

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[892 NE2d 365, 862 NYS2d 301]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BUR-
TON JEFFREY HUNTER, Appellant.

Argued April 24, 2008; decided June 12, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 7, 2007. The Appellate Division (1) dismissed an appeal from an order of the Rensselaer County Court (Patrick J. McGrath, J.; op 11 Misc 3d 1055[A], 2006 NY Slip Op 50223[U]), which had granted defendant a hearing as to whether the People knowingly failed to disclose *Brady* material; and (2) reversed, on the law, an order of that Court which had granted defendant's motion pursuant to CPL 440.10 to vacate the judgment convicting him of sodomy in the first degree, without a hearing; denied the motion; and reinstated the judgment of conviction.

People v Hunter, 41 AD3d 885, reversed.

HEADNOTE

Crimes — Disclosure — Failure to Disclose Exculpatory Material

In the prosecution of defendant, who was convicted of sodomy after the complainant testified that he raped and assaulted her during a visit to his home, the People violated their obligations under *Brady v Maryland* (373 US 83 [1963]) when they learned before defendant's trial but did not tell defendant that the complainant had recently accused another man of raping her in that man's home. The other man's guilty plea to attempted rape months after defendant's trial was irrelevant to what the People's duties under *Brady* were

at the time of trial and before. The information known to the People when defendant's case was tried was "favorable to the accused" and "material" within the meaning of *Brady*. Defendant had a due process right to obtain it, and that right could not be nullified by post-trial events. It would not have been an abuse of discretion for the trial court to permit defendant to confront the complainant on cross-examination with the facts concerning her charge against the other man. If defendant had used the information about the other man to impeach the complainant, there was a reasonable probability he would have been acquitted. The fact that the jury heard the complainant's father testify that she threatened to accuse him falsely of rape did not render the information about the other man cumulative.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1183; AM JUR 2d, Depositions and Discovery §§ 280–282.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2288–172:2290, 172:2299–172:2301.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.6.

NY JUR 2d, Criminal Law §§ 1560–1562, 1569–1571.

ANNOTATION REFERENCE

Withholding or suppression of evidence by prosecution in criminal case as vitiating conviction. 34 ALR3d 16.

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POINTS OF COUNSEL

Cheryl Coleman Law Offices, Albany (*Cheryl Coleman* of counsel), for appellant. The *Brady* violation of admissible evidence at defendant's trial mandates a retrial regardless of its admissibility at such retrial. (*Brady v Maryland*, 373 US 83; *Miranda v Arizona*, 384 US 436; *Rhode Island v Innis*, 446 US 291; *People v Bethea*, 67 NY2d 364; *Kyles v Whitley*, 514 US 419; *People v Wright*, 86 NY2d 591; *United States v Gil*, 297 F3d 93; *People v Bryce*, 88 NY2d 124; *United States v Bagley*, 473 US 667; *People v Vilardi*, 76 NY2d 67.)

Richard J. McNally Jr., District Attorney, Troy (*Ian H. Silverman* of counsel), for respondent. I. Even if the determinative test for a *Brady* violation occurs at the time of trial, the evidence of the Schenectady County complaint was not *Brady* ma-

terial. (*Brady v Maryland*, 373 US 83; *People v Mandel*, 48 NY2d 952; *People v Chin*, 67 NY2d 22.) II. Upon retrial the defense should be precluded from questioning the victim about the Schenectady County complaint. III. It is consistent with the public policy of New York to preclude the defense from questioning the victim about the Schenectady County complaint. (*People v Westfall*, 95 AD2d 581.)

OPINION OF THE COURT

SMITH, J.

Defendant was charged with rape, sodomy and sexual abuse, and convicted of sodomy, after a young woman testified that he raped and otherwise assaulted her during a visit to his home. Before defendant's trial the People learned, but did not tell defendant, that the same woman had recently accused another man of raping her in that man's home. We hold, based on the facts of this case, that the People violated their obligations under *Brady v Maryland* (373 US 83 [1963]).

I

The event at the center of this case took place on December 9, 2001. At the trial, which began on November 6, 2002, the 17-year-old complainant testified that she had met the 33-year-old defendant for the first time on the day in question, and accepted his invitation to watch a movie at his house. While she was there, she testified, defendant, against her will, penetrated her with his penis and his fingers and performed oral sex on her. Defendant testified that only oral sex took place, and that the complainant consented. He testified, in substance, that the complainant first welcomed his advances, then told him to stop; that he stopped as soon as she asked him to; and that, as soon as she put her clothes back on, she inexplicably ran out of the house. He testified that he pursued her to ask what the problem was, and that her reply was "You raped me."

The forensic evidence was inconclusive. Each side spent considerable effort in shoring up the credibility of one of the main witnesses, and tearing down the other's.

The People proved that the complainant made her accusation immediately after the event, to her 13-year-old friend and her mother. These two witnesses also testified that defendant admitted to them that the complainant had been saying "no" during their encounter. In addition, the People suggested that defendant's version of the events was inherently incredible.

Defendant, for his part, brought out substantial inconsistencies between the complainant's original account of the event and her testimony at trial. He produced witnesses (though not impartial ones) to support his claim that the complainant had met him before the evening in question. He called two witnesses to testify that the complainant was known in the community as a liar—and one of those witnesses was the complainant's own father.

The complainant's father also testified to an occasion when his daughter flew into such a violent rage that he threatened to call the police, and she responded by saying, "[G]o ahead, call the cops. I will tell them you raped me." He said that he did call the police, and that the complainant did not follow through on her threat—a point the People stressed in closing argument: "[W]hatever [the complainant] said, if she said anything, was not taken seriously by [her father's] own words, it didn't bother him. There was no police report. There was [*sic*] no statements to police. There were no charges filed."

The jury's verdict implies that it did not wholly believe or disbelieve either of the two main witnesses: it acquitted defendant of rape and sexual abuse, but convicted him of sodomy in the first degree (oral sex by forcible compulsion).

After the trial, defendant learned that a man named Parker had been indicted for raping the same complainant. The alleged Parker rape took place in Parker's home on October 10, 2002, some 10 months after the incident involving defendant and about a month before defendant's trial. In a statement given on the day of the event, Parker admitted to having sex with the complainant, but said she consented to it. On May 27, 2003, several months after defendant's trial, Parker pleaded guilty to attempted rape of the complainant, and received a seven years and six months sentence, to run concurrently with a sentence of equal length imposed on him for an unrelated robbery.

Defendant moved, pursuant to CPL 440.10, to set aside his conviction, claiming the People had withheld *Brady* material. After the motion was made, the parties stipulated that the prosecutor who tried the case had learned of the accusation against Parker shortly before defendant's trial, but had not told the defense about it.

County Court granted defendant's motion, but the Appellate Division reversed. Relying on *People v Mandel* (48 NY2d 952 [1979], *cert denied* 446 US 949 [1980]), the Appellate Division

held that evidence of complainant's accusation against Parker would not have been admissible at trial to impeach the complainant, because defendant had not shown either that the accusation was false or that it was similar enough to the complainant's accusation of defendant to suggest "a pattern of false complaints" (41 AD3d 885, 888 [2007]). The Appellate Division relied on Parker's guilty plea, but also said that, even before the guilty plea, defendant could not have shown the falsity of the Parker allegation.

A Judge of this Court granted leave to appeal, and we now reverse.

II

Brady holds "that the suppression by the prosecution of evidence favorable to an accused upon request violates due process where the evidence is material either to guilt or to punishment, irrespective of the good faith or bad faith of the prosecution" (373 US at 87). In this case, the parties dispute whether the complainant's accusation of Parker was "material" to the question of defendant's guilt. Where, as here, the defense did not specifically request the information, the test of materiality is whether "there is a reasonable probability that had it been disclosed to the defense, the result would have been different—i.e., a probability sufficient to undermine the court's confidence in the outcome of the trial" (*People v Bryce*, 88 NY2d 124, 128 [1996]). We conclude that that test is satisfied.

The Appellate Division held that the information about Parker was immaterial because, in the Appellate Division's view, it could not have been used to impeach the complainant's testimony at trial. Defendant argues that the information would be subject to *Brady* even if it was not itself admissible in evidence (see *United States v Gil*, 297 F3d 93, 104 [2d Cir 2002]), but we need not consider that argument because we disagree with the Appellate Division's view that it would have been inadmissible.

The Appellate Division's opinion puts heavy emphasis on Parker's guilty plea to attempted rape months after defendant's trial. But that plea was irrelevant to what the People's duties under *Brady* were at the time of trial and before. If the information known to the People when this case was tried was "favorable to [the] accused" and "material" within the meaning of *Brady*, defendant had a due process right to obtain it, and that right could not be nullified by post-trial events.

The Appellate Division held in the alternative that, even before Parker's guilty plea, information about the complainant's charge against him would have been inadmissible under *Mandel*, but the Appellate Division read *Mandel* too broadly. In that case, we held "that there was [no] abuse of the discretion vested in the trial court" when the court refused to permit impeachment of the victim's testimony with previous, allegedly false, rape complaints (48 NY2d at 954). We did not hold the evidence inadmissible as a matter of law. Here, assuming that County Court would have had discretion under *Mandel* to forbid impeachment of the complainant with the Parker information, it would also have had discretion to permit it—and County Court made clear, in its opinion granting defendant's CPL article 440 motion, that it would have exercised that discretion in defendant's favor. The information was, in substance, that the complainant had accused Parker of rape, as she had defendant; that her encounter with Parker, like her encounter with defendant, took place in the accused man's home; and that, according to Parker, the complainant willingly had sex with him and then lied about it. It would not have been an abuse of discretion for County Court to permit defendant to confront the complainant with these facts on cross-examination.

The remaining question is whether, if defendant had used the information about Parker to impeach the complainant, there is a reasonable probability he would have been acquitted. This is a close question, but our answer to it is yes. Admittedly, it would have seemed possible, even before Parker's guilty plea, that complainant's accusation of him was true; but it would also have seemed possible it was not, and thus the Parker evidence would have added a little more doubt to the jury's view of the complainant's allegations. We find it reasonably probable that a little more doubt would have been enough.

In this difficult case, an important point in the People's favor was the apparent implausibility of defendant's version of events: that the complainant suddenly interrupted their voluntary encounter and decided, for no obvious reason, to accuse him of a sexual assault. Defendant did try to suggest a motive for the false accusation—ill will between the complainant's mother and defendant's roommate, resulting from a romantic relationship between them—but the evidence of this was meager, and the motive seems a weak one. That the same complainant later made a similar accusation against another man, who also claimed their encounter was consensual, might well have

persuaded the jury to be significantly less skeptical of defendant's story, and more skeptical of the complainant's.

The People suggest that, since the jury heard the complainant's father testify that she threatened to accuse him falsely of rape, the information about Parker would have been essentially cumulative. We disagree. The Parker information was different from the father's testimony in significant ways: the motive for the threat the father described was obvious; the circumstances of the rape she supposedly threatened to accuse him of were not similar to those in defendant's case; and, as the People emphasized in summation, there were in the father's case "no statements to police . . . no charges filed." And even if the circumstances involving the complainant's father and Parker were similar, the Parker information would not be insignificant. A jury might well find that three actual or threatened allegations of rape raised larger questions about the complainant's credibility than two.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion under CPL 440.10 to vacate his conviction granted, and a new trial ordered.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[892 NE2d 380, 862 NYS2d 316]

LANDAU, P.C., as Successor, by Change of Name, to MORRIS J. EISEN, P.C., Appellant, et al., Plaintiff, v LAROSSA, MITCHELL & ROSS, et al., Respondents.

Argued June 3, 2008; decided June 25, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 28, 2007. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Alice Schlesinger, J.), which had granted plaintiffs' motion for reargument, and, upon reargument, adhered to an order of that Supreme Court (6 Misc 3d 1018[A], 2003 NY Slip Op 51746[U]) granting defendants' motion to dismiss the complaint.

Landau, P.C. v LaRossa, Mitchell & Ross, 41 AD3d 371, reversed.

HEADNOTE

Judgments — Res Judicata — Dismissal without Prejudice Due to Corporation's Lack of Capacity No Bar to Subsequent Action by Successor Corporation

A judgment dismissing the complaint in a legal malpractice action "without prejudice," on the basis of the corporate plaintiff's lack of capacity, did not have res judicata effect on the subsequent legal malpractice action brought by the corporation's successor. Here, there was no valid final judgment deciding the merits of the claim asserted by the successor corporation. Although the successor corporation initially lacked capacity to initiate the subject litigation because it had been dissolved for failure to pay franchise taxes, this deficiency was cured when it paid the required fees (*see* Tax Law § 203-a [7]). A dismissal "without prejudice" lacks a necessary element of res judicata—by its terms such a judgment is not a final determination on the merits. The only matters litigated below concerned the standing and/or capacity of the original corporate plaintiff, its principal and the successor corporation to assert a legal malpractice cause of action against defendants. The merit of the successor corporation's legal malpractice claim was not previously addressed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations §§ 1, 1869, 1870, 1873; AM JUR 2d, Judgments §§ 470, 473, 474.

CARMODY-WAIT 2d, Judgments §§ 63:450, 63:464, 63:477, 63:564; CARMODY-WAIT 2d, Actions and Proceedings By and Against Corporations, Their Officers, Directors, and Shareholders § 121:4.

McKINNEY's, Tax Law § 203-a (7).

NY JUR 2d, Business Relationships §§ 1250, 1297; NY JUR 2d, Judgments §§ 331, 367, 403, 406.

SIEGEL, NY PRAC §§ 442, 446.

ANNOTATION REFERENCE

See ALR Index under Corporations; Malpractice By Attorney; Res Judicata.

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POINTS OF COUNSEL

Bernstein Litowitz Berger & Grossmann LLP, New York City (John P. Coffey, Max W. Berger and Jai K. Chandrasekhar of counsel), *Duane Morris LLP* (Thomas R. Newman of counsel) and *Harrington Henry LLP*, for appellant. I. Justice Bransten's nonfinal, non-merits-based dismissal of the prior action without prejudice cannot form the basis of res judicata. (*Miller Mfg. Co. v Zeiler*, 45 NY2d 956; *Allende v New York City Health & Hosps. Corp.*, 90 NY2d 333; *Stiles v Batavia Atomic Horseshoes*, 81 NY2d 950, 1068; *City of New York v Caristo Constr. Corp.*, 94 AD2d 688, 62 NY2d 819; *Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *GTFM, LLC v Nagy*, 18 AD3d 266; *Schindler v Issler & Schrage*, 262 AD2d 226, 94 NY2d 791, 859; *Iacono v Japan Line*, 89 AD2d 948; *Alco Gravure, Inc. v Knapp Found.*, 64 NY2d 458; *Matter of Schulz v State of New York*, 81 NY2d 336.) II. Landau, P.C. has capacity to maintain its claims against defendants-respondents because it was reinstated nunc pro tunc under Tax Law § 203-a (7). (*St. James Constr. Corp. v Long*, 253 AD2d 754; *Erljur Assoc. v Weissman*, 134 AD2d 321; *Tedesco v A.P. Green Indus., Inc.*, 8 NY3d 243; *People ex rel. Matthews v New York State Div. of Parole*, 95 NY2d 640; *Telaro v Telaro*, 25 NY2d 433.) III. Landau, P.C. is entitled to the six-month grace period to file a new action on the same claims under CPLR 205 (a) because Landau, P.C. was restored to good corporate standing under Tax Law § 203-a (7). (*George v Mt. Sinai Hosp.*, 47 NY2d 170; *Freedman v New York Hosp. Med. Ctr. of Queens*, 9 AD3d 415; *Vigliotti v Ricci*, 229 AD2d 389; *Hillen v Di Paolo*, 100 AD2d 893; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *McGuire v Southside Hosp.*, 301 AD2d 505; *Brown v Huntington Med. Group*, 238 AD2d 367; *Lancaster v 46 NYL Partners*, 228 AD2d 133; *Brown v Zaino*, 226 AD2d 492; *Ballav v Deepdale Gen. Hosp.*, 196 AD2d 520.)

Martin Clearwater & Bell LLP, New York City (Nancy A. Breslow, Peter T. Crean and Thomas A. Mobilia of counsel), for respondents. This action was properly dismissed on res judicata grounds. (*Smith v Russell Sage Coll.*, 54 NY2d 185; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Matter of Shea*, 309 NY 605; *Forte v Kaneka Am. Corp.*, 110 AD2d 81; *O'Brien v City of Syracuse*, 54 NY2d 353; *Schneider v David*, 197 AD2d 363; *Ryan v New York Tel. Co.*, 62 NY2d 494; *S.T. Grand, Inc. v City of New York*, 32 NY2d 300; *Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *Marinelli Assoc. v Helmsley-Noyes Co.*, 265 AD2d 1.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine whether a judgment dismissing a complaint “without prejudice,” on the basis of a corporation’s lack of capacity, has res judicata effect on a subsequent action brought by the corporation’s successor. We conclude that it does not.

From 1974 until his disbarment in January 1992, Morris J. Eisen was the sole shareholder and managing partner of the law firm Morris J. Eisen, P.C. (Eisen, P.C.). On August 11, 1986, the City of New York filed a civil action against Eisen, P.C. and various individuals, alleging that they had defrauded the City by presenting false testimony in three negligence actions in which the City was a defendant. Eisen, P.C. retained defendant law firm to defend the action. While the City’s civil action was pending, Eisen was tried in federal court for bribery, mail fraud and racketeering in connection with his representation of 11 personal injury plaintiffs, which resulted in his 1991 conviction. As a result of Eisen’s conviction, he was disbarred on January 23, 1992 (*see Matter of Eisen*, 174 AD2d 141 [1st Dept 1992]).

On September 4, 1992, an amended certificate of incorporation was filed with the Secretary of State changing the name of Eisen, P.C. to Landau, P.C., and naming Eisen’s daughter, Debbi Landau (an attorney), as the director, president, secretary and shareholder of Landau, P.C. However, in a December 30, 1992 document entitled “Written Consent of Sole Director and Shareholder,” Eisen asserted that he was the sole director and shareholder of Landau, P.C. and that Landau, P.C. was to be liquidated and dissolved. That same day Eisen also executed a document entitled “Assignment Agreement” in which he, as president of Landau, P.C., assigned Landau, P.C.’s assets, subject to

the assignor's liabilities, to himself.¹ Additionally, on an IRS Form 966—corporate dissolution or liquidation—dated February 1, 1993, Eisen, as president of Landau, P.C., affirmed that Landau, P.C. was dissolved and liquidated on December 30, 1992.

On February 24, 1995, Supreme Court granted the City of New York partial summary judgment on its claims. Eisen and Eisen, P.C. unsuccessfully sought renewal, reargument and/or vacatur of Supreme Court's order, arguing that newly discovered evidence would rebut the City's claim for damages and that the court misapplied the doctrine of collateral estoppel.

Eisen and Eisen, P.C. then initiated the first legal malpractice lawsuit against defendants, alleging that they failed to properly oppose the City of New York's motion for summary judgment. Defendants moved pre-answer to dismiss the complaint for lack of standing, contending that Eisen, as a disbarred attorney, could not bring suit individually or on behalf of Eisen, P.C. Defendants additionally moved to dismiss on the grounds that: (1) collateral estoppel barred Eisen and Eisen, P.C. from establishing proximate cause because any of the alleged damages were the result of the federal criminal convictions for racketeering, bribery and fraud, and (2) Eisen, P.C., as a corporation dissolved pursuant to Tax Law § 203-a, lacked the capacity to initiate a lawsuit.

Supreme Court, by order dated January 10, 2000, dismissed the complaint, concluding that Eisen in his individual capacity lacked standing to assert a claim on behalf of Eisen, P.C. The court further held that Eisen, P.C. lacked the capacity to initiate the action because it was a dissolved corporation—due either to the December 1992 or the March 1997 dissolution—that can only assert claims to wind up the corporation's affairs. A malpractice action, the court reasoned, could not be deemed part of the winding up of the P.C.'s affairs.

Eisen and Eisen, P.C. then moved to renew and reargue Supreme Court's January 10, 2000 decision and sought an order, pursuant to CPLR 3025, for leave to serve an amended complaint adding Landau, P.C., as successor to Eisen, P.C., as plaintiff and to allege causes of action on behalf of Eisen as a liquidation shareholder and assignee of Landau, P.C. Eisen and

1. In a document dated September 1999, Debbi Landau, as sole director and former shareholder of Landau, P.C., adopted the plan of liquidation and dissolution as set forth in the December 30, 1992 Written Consent of Sole Director and Shareholder.

Eisen, P.C. asserted that based upon the Secretary of State's annulment of the dissolution proclamation, Landau, P.C. had standing to bring the legal malpractice action on its own behalf. Supreme Court denied the motions and the Appellate Division affirmed both orders without opinion (*see Morris J. Eisen, P.C. v LaRossa, Mitchell & Ross*, 282 AD2d 996 [1st Dept 2001]).

Defendants then moved to amend Supreme Court's June 25, 2001 judgment to provide that the dismissal of Eisen and Eisen, P.C.'s complaint be changed from "with prejudice" to "without prejudice." Supreme Court granted defendants' motion stating that the parties agreed to substitute the court's June 25, 2001 judgment with the order of Supreme Court dated September 18, 2001, thereby changing the dismissal of Eisen and Eisen, P.C.'s complaint to "without prejudice" (*see Morris J. Eisen, P.C. and Morris J. Eisen v LaRossa, Mitchell & Ross et al.*, Sup Ct, NY County, Sept. 18, 2001, Bransten, J., index No. 112652/98).

Landau, P.C. as successor, by change of name, to Morris J. Eisen, P.C., and Morris J. Eisen, as plaintiff, then commenced the instant action by serving a virtually identical summons and complaint. Defendants moved to dismiss the second action on a number of grounds. Supreme Court stated that "[t]he most compelling ground, and the one on which defendants['] motion is now being granted, is *res judicata*" (*see Landau, P.C. v LaRossa, Mitchell & Ross*, 6 Misc 3d 1018[A], 2003 NY Slip Op 51746[U], *2 [Sup Ct, NY County 2003]). Landau, P.C. then sought reargument on the ground that the earlier decisions could not serve as a bar under the doctrine of *res judicata* because the orders were not a final determination on the merits. The court granted plaintiff's motion for reargument, but adhered to its original decision. Supreme Court held in defendants' favor and the Appellate Division affirmed (*see Landau, P.C. v LaRossa, Mitchell & Ross*, 41 AD3d 371 [1st Dept 2007]). We now reverse.

In *Parker v Blauvelt Volunteer Fire Co.* (93 NY2d 343 [1999]), we stated that

"[u]nder *res judicata*, or claim preclusion, a valid final judgment bars future actions between the same parties on the same cause of action. As a general rule, once a claim is brought to a final conclusion, all other claims arising out of the same transaction or series of transactions are barred, even if based upon different theories or if seeking a different rem-

edy” (*id.* at 347 [internal quotation marks and citations omitted]).

In this case, there has not been a valid final judgment deciding the merits of the legal malpractice claim asserted by Landau, PC. Although Landau, PC. initially lacked capacity to initiate the subject litigation in that it had been dissolved by proclamation of the Secretary of State pursuant to Tax Law § 203-a for failure to pay franchise taxes, this deficiency was cured when Landau, PC. paid the required fees (*see* Tax Law § 203-a [7]). Thus, Landau, PC. was restored to the status it had when it was dissolved by proclamation on March 26, 1997.

Defendants assert that *res judicata* should be applied. However, a dismissal “without prejudice” lacks a necessary element of *res judicata*—by its terms such a judgment is not a final determination on the merits (*see e.g. Miller Mfg. Co. v Zeiler*, 45 NY2d 956, 958 [1978]). When defendants moved to amend Supreme Court’s judgment dated June 25, 2001 to provide that the dismissal of Eisen and Eisen, P.C.’s complaint be changed from “with prejudice” to “without prejudice,” this was a clear acknowledgment by the parties and the motion court that the merits of this case have yet to be decided.²

As we stated in *Matter of Grainger (Shea Enters.)*, “[t]he general doctrine of *res judicata* gives binding effect to the judgment of a court of competent jurisdiction and prevents the parties to an action, and those in privity with them, from subsequently relitigating any questions that were necessarily decided therein” (309 NY 605, 616 [1956]). The record before us reveals that the only matters litigated below concern the standing and/or capacity of Eisen, Eisen, P.C. and Landau, P.C. to assert a legal malpractice cause of action against defendants.³ The merit of

2. *See* Restatement (Second) of Judgments § 24 (1) (“When a valid and final judgment rendered in an action extinguishes the plaintiff’s claim pursuant to the rules of merger or bar . . . , the claim extinguished includes all rights of the plaintiff to remedies against the defendant with respect to all or any part of the transaction, or series of connected transactions, out of which the action arose”); *see also* Restatement (Second) of Judgments § 26 (1) (stating that in the following circumstance “the general rule of § 24 does not apply to extinguish the claim, and part or all of the claim subsists as a possible basis for a second action by the plaintiff against the defendant: . . . [b] [t]he court in the first action has expressly reserved the plaintiff’s right to maintain the second action”).

3. *See* 10 Weinstein-Korn-Miller, NY Civ Prac ¶ 5011.11, at 50-116 (2d ed) (“Whereas a dismissal based on the statute of limitations or statute of frauds grounds is a determination that the matter is irremediably flawed as a matter

(n. cont’d)

Landau, P.C.'s legal malpractice claim has not previously been addressed.

Further, in *Matter of Schulz v State of New York* (81 NY2d 336, 347 [1993]) and in *Town of Hardenburgh, Ulster County, N.Y. v State of New York* (52 NY2d 536, 540 [1981]), we recognized that when the disposition of a case is based upon a lack of standing only, the lower courts have not yet considered the merits of the claim (*Matter of Schulz v State of New York*, 81 NY2d at 347). We agree that "[i]t would be inequitable to preclude a party from asserting a claim under the principle of res judicata, where, as in this case, '[t]he court in the first action has expressly reserved the plaintiff's right to maintain the second action' " (*Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d at 349, quoting Restatement [Second] of Judgments § 26 [1] [b]). We remain mindful that if applied too rigidly, res judicata has the potential to work considerable injustice. "In properly seeking to deny a litigant 'two days in court', courts must be careful not to deprive him of one" (*Matter of Reilly v Reid*, 45 NY2d 24, 28 [1978]). Landau, P.C. has yet to have its day in court to litigate the merits of its legal malpractice claim against defendants and therefore we find that res judicata is not applicable to plaintiff in this case.

We have examined the parties' remaining contentions and find them to be without merit.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendants' motion to dismiss the complaint denied.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

of law, it is equivalent to a determination on the merits for *res judicata* purposes. At the opposite end of the spectrum, dismissal for prematurity, lack of standing, absence of ability of the court to proceed by reason of a defect in jurisdiction over subject matter or person or other forms of procedural inadequacy unique to the particular case in the particular forum are not intended to have any determinative effect 'on the merits' of the action").

[892 NE2d 375, 862 NYS2d 311]

ADINA MARMELSTEIN, Appellant, v KEHILLAT NEW HEMPSTEAD:
THE RAV ARON JOFEN COMMUNITY SYNAGOGUE, Defendant,
and MORDECAI TENDLER, Respondent.

Argued June 3, 2008; decided June 25, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 23, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, New York County (Jane S. Solomon, J.; op 2006 NY Slip Op 30204[U]), as had denied so much of the motion of defendant Mordecai Tandler as sought to dismiss causes of action for breach of fiduciary duty and intentional infliction of emotional distress against him; (2) granted that part of the motion; and (3) directed the clerk to enter judgment dismissing the complaint against that defendant.

Marmelstein v Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue, 45 AD3d 33, affirmed.

HEADNOTES

Torts — Breach of Fiduciary Duty — Extended Sexual Relationship with Cleric

1. Plaintiff failed to state a viable cause of action for breach of fiduciary duty against defendant, an Orthodox Jewish rabbi, premised upon their alleged 3½-year sexual relationship. A fiduciary relationship exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation. Plaintiff's claim that defendant acted as a counselor and advisor to her was inadequate to cast defendant as a fiduciary beyond that of ordinary cleric-congregant affiliations. The facts alleged and the inferences derived therefrom demonstrated that plaintiff voluntarily consented to an intimate relationship with defendant because she subjectively believed that the "therapy" he suggested would help her find a husband. Although she contended that defendant's ulterior motive for inducing the sexual relationship was the fulfillment of his own gratification, plaintiff showed only that she was deceived by defendant, not that she was so vulnerable as to surrender her will and capacity to determine her own best interests. In the absence of a prima facie showing that a fiduciary obligation was owed by defendant, no cause of action could be maintained for an extended voluntary sexual affair between consenting adults.

Torts — Intentional Infliction of Emotional Distress — Extended Sexual Relationship with Cleric

2. Plaintiff failed to state a viable cause of action for intentional infliction of emotional distress against defendant, an Orthodox Jewish rabbi, premised

upon their alleged 3¹/₂-year sexual relationship. The complaint did not establish that defendant's conduct was so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and was utterly intolerable in a civilized community.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit §§ 30–34; AM JUR 2d, Fright, Shock, and Mental Disturbance §§ 12–15, 38, 45; AM JUR 2d, Religious Societies § 28.

NY JUR 2d, Fraud and Deceit § 16; NY JUR 2d, Fright, Shock, and Mental Disturbance §§ 1, 2, 7, 22; NY JUR 2d, Religious Organizations §§ 12, 56.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 3:6, 3:59.

PROSSER AND KEETON, TORTS (5th ed) §§ 12, 53.

ANNOTATION REFERENCE

Cause of action for clergy malpractice. 75 ALR4th 750.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: breach! /4 fiduciary & clergy! rabbi /p sex!

POINTS OF COUNSEL

Kramer & Dunleavy, L.L.P., New York City (*Lenore Kramer* and *Jonathan R. Ratchik* of counsel), for appellant. I. The First Department erred when it held that defendant-respondent did not stand in a fiduciary relation with plaintiff-appellant and did not owe her a duty not to abuse their relationship of trust and confidence. (*Fearon v Treanor*, 272 NY 268; *Aadland v Flynn*, 27 Misc 2d 833, 14 AD2d 837; *Roy v Hartogs*, 85 Misc 2d 891; *Tuck v Tuck*, 14 NY2d 341; *Penato v George*, 52 AD2d 939; *Noto v St. Vincent's Hosp. & Med. Ctr. of N.Y.*, 142 Misc 2d 292; *Matter of Reddy v State Bd. for Professional Med. Conduct*, 259 AD2d 847; *Matter of Morrison v DeBuono*, 255 AD2d 710.) II. New York State should recognize the existence of a fiduciary relationship between a cleric and a parishioner. (*Wende C. v United Methodist Church, N.Y. W. Area*, 4 NY3d 293; *Langford v Roman Catholic Diocese of Brooklyn*, 271 AD2d 494; *Sanders v Casa View Baptist Church*, 134 F3d 331.) III. The First Department erred when it held that plaintiff-appellant's cause of action for intentional infliction of emotional distress was barred by the Civil Rights Law. (*Murphy v American Home Prods. Corp.*,

58 NY2d 293; *Noto v St. Vincent's Hosp. & Med. Ctr. of N.Y.*, 142 Misc 2d 292, 160 AD2d 656; *Sanchez v Orozco*, 178 AD2d 391; *Shannon v MTA Metro-N. R.R.*, 269 AD2d 218; *Roy v Hartogs*, 85 Misc 2d 891; *Tuck v Tuck*, 14 NY2d 341.)

Richard H. Bliss, New York City, and *Wilson, Elser, Moskowitz, Edelman & Dicker, LLP*, White Plains, for respondent. I. The Appellate Division correctly determined that plaintiff-appellant's remaining claims for breach of fiduciary duty and intentional infliction of emotional distress were thinly-veiled claims of seduction barred by Civil Rights Law § 80-a. (*Gaden v Gaden*, 29 NY2d 80; *Coopersmith v Gold*, 172 AD2d 982; *Parker v Hoefer*, 2 NY2d 612; *Sahid v Chambers*, 237 AD2d 175, 90 NY2d 805; *Licata v Kelley*, 217 AD2d 973; *Roney v Janis*, 77 AD2d 555, 53 NY2d 1025; *Wende C. v United Methodist Church, N.Y. W. Area*, 6 AD3d 1047, 4 NY3d 293, 546 US 818; *Aadland v Flynn*, 27 Misc 2d 833, 14 AD2d 837; *Roy v Hartogs*, 85 Misc 2d 891; *Tuck v Tuck*, 14 NY2d 341.) II. The complaint fails to state a cause of action for breach of fiduciary duty. (*Zumpano v Quinn*, 6 NY3d 666; *Wende C. v United Methodist Church, N.Y. W. Area*, 4 NY3d 293, 546 US 818; *Langford v Roman Catholic Diocese of Brooklyn*, 271 AD2d 494; *Matter of Clara C. v William L.*, 96 NY2d 244; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Penato v George*, 52 AD2d 939, 42 NY2d 908; *United States v Chestman*, 947 F2d 551, 503 US 1004; *Doyle v Turner*, 90 F Supp 2d 311, *affd sub nom. Hughley v Local 1199, Drug, Hosp. & Health Care Empls. Union, RWDSU*, 231 F3d 889; *Sears v First Pioneer Farm Credit, ACA*, 46 AD3d 1282; *Johnston v De-Haan*, 37 AD2d 1028.) III. The cause of action for intentional infliction of emotional distress was properly dismissed. (*Howell v New York Post Co.*, 81 NY2d 115; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Burlew v American Mut. Ins. Co.*, 63 NY2d 412; *Freihofer v Hearst Corp.*, 65 NY2d 135; *Fischer v Maloney*, 43 NY2d 553; *Sheila C. v Povich*, 11 AD3d 120; *Maas v Cornell Univ.*, 94 NY2d 87; *Gertler v Goodgold*, 107 AD2d 481, 66 NY2d 946; *Lightman v Flaum*, 278 AD2d 373, 97 NY2d 128, 535 US 1096; *Noto v St. Vincent's Hosp. & Med. Ctr. of N.Y.*, 142 Misc 2d 292, 160 AD2d 656.)

OPINION OF THE COURT

GRAFFEO, J.

This case requires us to consider whether the allegations in the complaint establish a viable cause of action for breach of fiduciary duty against a cleric premised on an alleged 3^{1/2}-year

sexual relationship between consenting adults. We agree with the Appellate Division that the complaint must be dismissed.

I

Plaintiff Adina Marmelstein commenced this lawsuit in December 2005 against defendant Mordecai Tendler (an Orthodox Jewish rabbi) and his employer, defendant Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue (KNH). The causes of action set forth in the complaint stem from an intimate relationship that allegedly occurred between Tendler, the founder and leader of KNH, and Marmelstein. According to Marmelstein, Tendler had cultivated a reputation as an educator and scholar within the Orthodox community, with particular expertise in women's issues. Marmelstein and Tendler first became acquainted in 1994, when she began to contact him by telephone to discuss "various personal issues." The following year, Tendler initiated efforts to recruit Marmelstein to join KNH's congregation and, in September 1996, she began to attend services at his synagogue.

Marmelstein claims that during this period, Tendler counseled and advised her on a variety of personal, legal and financial problems, including her desire to find a husband and have children. The complaint states that Tendler enticed Marmelstein by telling her that she was his "favorite" and "closest," and that he "would 'be there' for all of her needs." She claims that as a "relationship of confidence and trust" developed, Tendler acted as "an advisor, a father figure and a god," telling her that he "was as close to God as anyone could get," that he "talks to God all the time" and that he was, in fact, "the Messiah."

Regarding her marital status concerns, Marmelstein recounts that Tendler explained that she was "closed to the possibility of finding a husband" and her "only hope" was to engage in a sexual relationship with him, which would "open her up to the world" in order to become more attractive to men. The complaint characterizes this as a "course of sexual therapy" suggested by Tendler to assist Marmelstein in her quest to attain marriage and a family. Marmelstein acknowledges that she acquiesced and began a sexual relationship with Tendler in November 2001, continuing to May 2005.

During their relationship, Marmelstein contends that Tendler intimidated her by his declarations that if she disclosed their sexual arrangement to anyone, he would "have her placed in a straight jacket," "have her banned from the shul (synagogue)"

and “turn the community against her.” After the affair ended, Marmelstein alleges that her reputation was impugned by Tendler to the extent that she lost her standing in her religious community and left the synagogue.

There are five causes of action in Marmelstein’s complaint. The first claim, premised on fraud, maintains that Tendler intentionally deceived her and induced her to engage in sexual relations that she would not have consented to if she had known that the “therapy” he advised was “solely for his personal pleasure and gratification.” In her second cause of action, Marmelstein asserts that Tendler “occupied a position as fiduciary” because he was her “counselor, advisor and therapist,” and that Tendler breached his fiduciary duty. The third and fourth causes of action, for intentional and negligent infliction of emotional distress, state that Tendler encouraged the congregants of KNH to “harass, threaten and intimidate” Marmelstein, and that Tendler “engaged in a concerted scheme to embarrass, humiliate and diminish” her such that she was ostracized from the community. The fifth cause of action is directed against KNH for negligently retaining Tendler as the synagogue’s rabbi.

Tendler denied all of Marmelstein’s allegations and moved to dismiss the complaint on two grounds—failure to state a cause of action and that the action was barred by the statute of limitations. Supreme Court dismissed the fraud claim as a veiled attempt to plead a seduction cause of action prohibited by Civil Rights Law § 80-a.¹ With respect to the breach of fiduciary duty claim, the court rejected Tendler’s argument that the claim was precluded by the First Amendment because Marmelstein sought advice on how to find a husband, not on religious or spiritual matters and, therefore, a jury would not be asked whether Tendler acted in accord with religious doctrine. The court did, however, hold that the three-year statute of limitations applied to this claim, and restricted the breach of fiduciary duty allegations to conduct occurring after December 2002. Supreme Court also declined to dismiss the intentional infliction of emotional distress and negligent retention causes of action; the court

1. This statute, addressing causes of action for “alienation of affections, criminal conversation, seduction, or breach of contract to marry,” is referred to as the “heart balm” statute and provides, in pertinent part: “The rights of action to recover sums of money as damages for alienation of affections, criminal conversation, seduction, or breach of contract to marry are abolished. No act done within this state shall operate to give rise, either within or without this state, to any such right of action” (Civil Rights Law § 80-a).

dismissed the negligent infliction of emotional distress claim for lack of an allegation that Tendler committed any negligent acts.

On appeal, the Appellate Division dismissed the two remaining causes of action—breach of fiduciary duty and intentional infliction of emotional distress—concluding that both were barred by Civil Rights Law § 80-a. In addressing the breach of fiduciary duty claim, the Appellate Division determined that cause of action failed because the complaint contained only general allegations that were insufficient to demonstrate the existence of a true fiduciary relationship.² Two Justices dissented, finding that Marmelstein’s allegations were not seduction claims and that she had adequately pleaded a fiduciary bond with Tendler. Marmelstein appeals as of right, and we now affirm.

II

This is not the first occasion we have had to consider civil actions based on allegations of misconduct by members of the clergy. In *Lightman v Flaum* (97 NY2d 128 [2001], *cert denied* 535 US 1096 [2002]), we were asked whether civil liability could be imposed under CPLR 4505 against a cleric for the disclosure of confidential communications. In rejecting the notion that the statutory cleric-penitent privilege created a fiduciary relationship, we noted that a cause of action for clergy malpractice had “troubling constitutional implications” under the First Amendment where the finder of fact would be required to decide whether a cleric’s actions comported with religious doctrine (*id.* at 137). More recently, in *Wende C. v United Methodist Church, N.Y. W. Area* (4 NY3d 293 [2005], *cert denied* 546 US 818 [2005]), the plaintiff asserted that her pastor had engaged in sexual relations with her during a course of marital counseling, while “ ‘acting within the authority granted to him by the defendant Church . . . under the guise of his role as pastor in the ministerial relationship between himself and . . . a congregant, and [in] his position as a responsible member of the clergy’ ” (*id.* at 299). In resolving this case, we left open the question whether sexual misconduct by a cleric could be redressed under an alternative theory of breach of fiduciary duty because the allegations in the complaint sounded in clergy malpractice and

2. Marmelstein did not appeal Supreme Court’s rejection of the fraud and negligent infliction of emotional distress causes of action. The lack of a viable cause of action against Tendler necessarily caused the negligent retention claim against KNH to fail, so all parties recognize that cause of action as being dismissed.

involved the examination of ecclesiastical doctrine to establish “the standard of due care owed to parishioners undergoing ministerial counseling” (*id.*)—the precise concern expressed in *Lightman*.

Here, Marmelstein attempts to avoid these First Amendment entanglement problems—she does not specifically refer to Tendler as a rabbi and the complaint does not state that a ministerial relationship existed between Marmelstein and Tendler, or that the counsel Tendler provided to Marmelstein was guided or influenced by religious beliefs. Like the Appellate Division, we view the absence of such allegations as unusual given that Tendler is the spiritual leader of a synagogue and Marmelstein claims that Tendler’s control over his community “permeate[d] all aspects of life, both religious and nonreligious, including personal, family, business and other lifestyle issues.”

[1] Even assuming that Marmelstein has surmounted First Amendment barriers, we conclude that her breach of fiduciary duty cause of action fails for another reason: the facts asserted insufficiently demonstrate that she developed a fiduciary relationship with Tendler. “A fiduciary relationship ‘exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation’ ” (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005], quoting Restatement [Second] of Torts § 874, Comment *a*). Whether a fiduciary relationship has been established is an inquiry that is “necessarily fact-specific” (*id.*). In undertaking that determination, we have noted that two “essential elements of a fiduciary relation are . . . ‘de facto control and dominance’ ” (*Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158, 173 [1993, Hancock, J., dissenting], quoting *United States v Reed*, 601 F Supp 685, 708 [SD NY], *revd on other grounds* 773 F2d 477 [2d Cir 1985], quoting *United States v Margiotta*, 688 F2d 108, 125 [2d Cir 1982], *cert denied* 461 US 913 [1983], *overruled on other grounds by McNally v United States*, 483 US 350 [1987]).

Marmelstein claims that Tendler held himself out as a counselor and advisor and that he provided those services to her. But these general assertions alone are inadequate to cast Tendler as a fiduciary beyond that of ordinary cleric-congregant affiliations. Nor can Marmelstein show that a duty existed by merely stating, in a conclusory fashion, that Tendler acted as a fiduciary and that a relationship of trust existed. Rather, it is essential that a plaintiff articulate specific facts that will allow a

court to distinguish a viable claim of breach of fiduciary duty from nonactionable seductive conduct, however reprehensible the offending conduct may be.

Allegations that give rise to only a general clergy-congregant relationship that includes aspects of counseling do not generally impose a fiduciary obligation upon a cleric. To establish that a course of formal counseling resulted in a cleric assuming “de facto control and dominance” over the congregant (*Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d at 173 [internal quotation marks omitted]), a congregant must set forth facts and circumstances in the complaint demonstrating that the congregant became uniquely vulnerable and incapable of self-protection regarding the matter at issue.³

Judged by this standard, Marmelstein’s allegations fall short of a cause of action for breach of fiduciary duty. The facts alleged and the inferences derived therefrom demonstrate that Marmelstein voluntarily consented to a 3½-year intimate relationship with Tendler because she subjectively believed that the “therapy” he suggested would help her find a husband. Although she contends that Tendler’s ulterior motive for inducing the sexual relationship was the fulfillment of his own gratification, rather than the achievement of Marmelstein’s goals, Marmelstein has shown only that she was deceived by Tendler, not that she was so vulnerable as to surrender her will and capacity to determine her own best interests. In the absence of a prima facie showing that a fiduciary obligation was owed by Tendler, no cause of action can be maintained for an extended voluntary sexual affair between consenting adults, even if Marmelstein could prove that her acquiescence was obtained through lies, manipulation or other morally opprobrious conduct (see Civil Rights Law § 80-a).⁴

[2] Marmelstein’s argument seeking to reinstate her cause of action for intentional infliction of emotional distress is also without merit. The complaint does not establish that Tendler’s conduct was “‘so outrageous in character, and so extreme in

3. This is not to suggest that a cleric who is also a licensed professional, such as a psychiatrist, psychologist or attorney, could not assume fiduciary obligations under existing laws and the secular standards that govern the practice of those professions.

4. Of course, there is a critical difference in the viability of a civil action premised on sexual contact between a cleric and a person who is incapable of consent, such as a minor (see e.g. *Martinelli v Bridgeport R.C. Diocesan Corp.*, 196 F3d 409 [2d Cir 1999]).

degree, as to go beyond all possible bounds of decency . . . and [was] utterly intolerable in a civilized community' ” (*Murphy v American Home Prods. Corp.*, 58 NY2d 293, 303 [1983], quoting Restatement [Second] of Torts § 46, Comment *d*).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[892 NE2d 846, 862 NYS2d 453]

SOLOMON MESHOLAM, Respondent, v ISABELLE HELENE MESHO-
LAM, Appellant.

Argued June 3, 2008; decided June 26, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an amended judgment of the Supreme Court, Nassau County (Robert A. Ross, J.), entered July 31, 2007. The amended judgment dissolved the parties' marriage, awarded plaintiff and defendant their respective net total share of the assets, directed plaintiff to pay defendant maintenance, and directed defendant's counsel to submit a qualified domestic relations order effectuating the future distribution of the parties' pensions. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 24, 2006. The Appellate Division modified, on the law, the facts, and in the exercise of discretion, insofar as appealed from, so much of a judgment of the Supreme Court, Nassau County (Burton S. Joseph, J.), entered after a nonjury trial, as had valued plaintiff's pension at \$859,084 for purposes of equitable distribution, directed that plaintiff pay pendente lite arrears, failed to credit plaintiff for mortgage payments made on the marital residence, determined the value of defendant's social worker license, and directed plaintiff to pay 60% of defendant's counsel fees. The modification consisted of (1) adding a provision reducing defendant's share of the proceeds from the sale of the marital residence by one half of the total of plaintiff's payments of principal on the mortgage for that property from April 20, 2000 to August 29, 2001; (2) deleting the seventh and eighth decretal paragraphs directing plaintiff to pay 60% of defendant's counsel fees; and (3) deleting from the second and third decretal paragraphs the amounts relating to plaintiff's pension, the total assets, and the parties' respective shares of the assets. The Appellate Division affirmed the judgment, insofar as appealed from, as modified, and remitted the matter to the Supreme Court, Nassau County, for a determination of the amount of money paid by plaintiff between April 20, 2000 and August 29, 2001, toward the principal balance of the mortgage on the marital residence, and for the entry of an appropriate judgment including the recalculation of the parties' interests in plaintiff's pension.

Mesholam v Mesholam, 25 AD3d 670, modified.

HEADNOTE

Husband and Wife — Equitable Distribution — Valuation of Assets — Commencement of Prior, Discontinued Divorce Action Not Proper Valuation Date

The commencement of a prior, discontinued divorce action may not serve as the valuation date for marital property for purposes of equitable distribution in a later, successful divorce action. The trial court in a divorce action has broad discretion to select an appropriate date for measuring the value of marital property, provided it is between “the date of commencement of the action [and] the date of trial” (Domestic Relations Law § 236 [B] [4] [b]). Equitable distribution is available “in an action wherein all or part of the relief granted is divorce” (Domestic Relations Law § 236 [B] [5] [a]), and where there is no divorce, there can be no equitable distribution. To permit the commencement date of the prior, unsuccessful divorce action to govern the valuation date of marital property for the purposes of a later, successful action in which equitable distribution is available would be inconsistent with the statutory scheme. Although the commencement date of the later, successful action must serve as the earliest valuation date, the circumstances surrounding the commencement of the earlier action can and should be considered as a factor in the equitable distribution of marital property acquired after the start of such an action by either spouse.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Divorce and Separation §§ 574–576, 585, 586.
CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:211–118:213, 118:218.
3 LAW AND THE FAMILY NEW YORK (2d ed) § 2:3.
MCKINNEY’S, Domestic Relations Law § 236 (B) (4) (b); (5) (a).
NY JUR 2d, Domestic Relations §§ 2492, 2630, 2631.

ANNOTATION REFERENCE

Proper date for valuation of property being distributed pursuant to divorce. 34 ALR4th 63.

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Database: NY-ORCS

Query: equitable /2 distribution /s valuation /2 date /p discontinued

POINTS OF COUNSEL

Law Office of Glenn S. Koopersmith, Garden City (*Glenn S. Koopersmith* of counsel), for appellant. The decision to value the pension as of the commencement of a prior discontinued action for divorce is improper as a matter of law because it extends

the court's discretion beyond the boundaries set forth in Domestic Relations Law § 236 (B) (4) (b). It is violative of public policy and inconsistent with the broad construction of marital property championed by this Court, which should cause this Court to reverse the relevant portion of the amended judgment on appeal. (*Anglin v Anglin*, 80 NY2d 553; *Matter of Ward v Ward*, 94 AD2d 908; *O'Connell v O'Connell*, 290 AD2d 774, *revd on other grounds sub nom. O'Connell v Corcoran*, 1 NY3d 179; *McAteer v McAteer*, 294 AD2d 783; *Cozza v Colangelo*, 298 AD2d 914; *Matter of Nicit v Nicit*, 217 AD2d 1006; *McMahon v McMahon*, 187 Misc 2d 364; *Match v Match*, 179 AD2d 124; *Thomas v Thomas*, 221 AD2d 621; *Iwanow v Iwanow*, 39 AD3d 471.)

Charles E. Holster III, Mineola, for respondent. I. Defendant-appellant's filing of an appendix and brief which include and discuss only plaintiff husband's notice of appeal from the Supreme Court's April 17, 2002 *decision*, rather than his subsequent notice of appeal from the March 5, 2003 *judgment* of divorce, upon which jurisdiction was acquired by the Appellate Division, was frivolous and misleading. (*People v Thompson*, 83 NY2d 477; *City of Albany v Yaras*, 6 NY2d 749; *Tausik v Tausik*, 9 NY2d 664.) II. Since defendant's application for leave to appeal specifically limited the issue she sought to have reviewed to one of statutory construction, she is bound by such limitation and may not raise the additional issue on this appeal of whether the decision of the Appellate Division constituted an abuse of discretion. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376.) III. Defendant may not make the argument for the first time in this Court that the trial court's pension award should not be modified because it is inextricably linked to its maintenance award. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Buchsbaum v Buchsbaum*, 292 AD2d 553; *Schildkraut v Schildkraut*, 223 AD2d 585; *Guskin v Guskin*, 18 AD3d 814; *Ahrend v Ahrend*, 123 AD2d 731.) IV. Plaintiff husband would be severely prejudiced if as a result of defendant wife's discontinuance of her 1994 divorce action she were to acquire a share of the increase in the value of the husband's pension between 1994 and 1999 that would otherwise have been his separate property. (*Giambrone v Giambrone*, 140 AD2d 206; *Wacholder v Wacholder*, 188 AD2d 130; *Kane v Kane*, 163 AD2d 568; *Thomas v Thomas*, 221 AD2d 621; *Cappa v Cappa*, 212 AD2d 1056; *Conklin v Wilbur*, 26 AD2d 666; *Schultz v Kobus*, 15 AD2d 382.) V. The Second Department's flexible, fact-sensitive approach is correct. (*Gonzalez v Gonzalez*, 240 AD2d 630; *Lamba v Lamba*, 266 AD2d 515; *Miller v Miller*, 304 AD2d 727, 100 NY2d 615;

Anglin v Anglin, 80 NY2d 553; *Match v Match*, 179 AD2d 124; *Martinucci v Martinucci*, 288 AD2d 444; *Marconi v Marconi*, 240 AD2d 641; *Tuccillo v Tuccillo*, 8 AD3d 660; *Janet B. v John B.*, 5 Misc 3d 1027[A], 2004 NY Slip Op 51584[U]; *Greisman v Greisman*, 14 Misc 3d 409.) VI. If this Court were to apply the law from the Third and Fourth Departments, defendant's share of plaintiff's pension should remain what it is, not increased, since the wife presented no evidence that she contributed in *any* way to the increase in value of the husband's pension. (*Richards v Richards*, 207 AD2d 628; *O'Connell v O'Connell*, 290 AD2d 774, *revd on other grounds sub nom. O'Connell v Corcoran*, 1 NY3d 179; *McMahon v McMahon*, 187 Misc 2d 364; *Musumeci v Musumeci*, 133 Misc 2d 139; *Eastern Paralyzed Veterans Assn. v Metropolitan Transp. Auth.*, 79 AD2d 516; *Matter of Cook v Carmen S. Pariso, Inc.*, 287 AD2d 208; *Lewis v Spies*, 43 AD2d 714.)

OPINION OF THE COURT

FIGOTT, J.

The question is whether in this case the commencement of a prior, discontinued divorce action may serve as the valuation date for marital property for purposes of equitable distribution in a later divorce action. We hold that it may not.

The parties were married in 1969. The wife commenced an action for divorce in 1994. The husband answered, but did not counterclaim for divorce. Five years later, following long and contentious pretrial proceedings, the wife moved for permission to discontinue the action. The husband opposed the motion, and cross-moved to amend his answer to assert a counterclaim for divorce. Supreme Court granted the wife's motion to discontinue the action and denied the husband's cross motion.

Almost immediately, the husband commenced this action for divorce and ancillary relief. After finding that the husband was entitled to a divorce on the ground of constructive abandonment, Supreme Court held a bench trial to resolve disputed equitable distribution issues.

Supreme Court held that the husband's pension must be valued as of the commencement date of the present action, rather than the commencement date of the wife's 1994 action. Relying on Domestic Relations Law § 236 (B) (4) (b), the court reasoned that it was precluded from selecting a valuation date earlier than the commencement of the pending action. The court further observed that there was no evidence of "wrongdoing or

ill-motive” in the wife’s election to discontinue the prior divorce action. After considering the duration of the marriage and the other statutory factors pursuant to Domestic Relations Law § 236 (B) (5) (d), Supreme Court determined that the marital property, including the marital portion of the pension, should be divided equally between the parties.

The Appellate Division modified the judgment of divorce, in part, and otherwise affirmed, holding that Supreme Court improvidently exercised its discretion in valuing the pension as of the commencement date of the present action. The court concluded that the “appropriate date for valuation” was the commencement date of the 1994 action because there was “no evidence that the parties reconciled and continued to receive the benefits of the marital relationship after the prior action was commenced” (25 AD3d 670, 671 [2006]).

We now modify the order of the Appellate Division and remit the matter to Supreme Court for further proceedings.

Domestic Relations Law § 236 (B) (1) (c) defines marital property as all property acquired “during the marriage and before the execution of a separation agreement or the commencement of a matrimonial action.” Thus, in the absence of a separation agreement, the commencement date of a matrimonial action demarcates “the termination point for the further accrual of marital property” (*Anglin v Anglin*, 80 NY2d 553, 556 [1992]). The definition of marital property “should be construed broadly in order to give effect to the ‘economic partnership’ concept of the marriage relationship recognized in the statute” (*Price v Price*, 69 NY2d 8, 15 [1986] [emphasis omitted]). Once property is classified as marital or separate, the trial court has broad discretion to select an “appropriate date for measuring the value of [the] property” (*McSparron v McSparron*, 87 NY2d 275, 287 [1995]). However, the valuation date must be between “the date of commencement of the action [and] the date of trial” (Domestic Relations Law § 236 [B] [4] [b]).

In determining whether the commencement of a particular “matrimonial action” terminates the accrual of marital property, we have looked to “the overall legislative intent of the Domestic Relations Law and . . . the particular application of the equitable distribution regime” (*Anglin*, 80 NY2d at 556). In *Anglin*, this Court held that the commencement of a separation action does not cut off the accrual of marital property because such an action “does not, ipso facto, terminate the marital eco-

conomic partnership” (*id.* at 554). Rather, “[t]he economic partnership should be considered dissolved when a matrimonial action is commenced which seeks ‘divorce, or the dissolution, annulment or declaration of the nullity of a marriage’, i.e., an action in which equitable distribution is available” (*id.* at 557, quoting Domestic Relations Law § 236 [B] [5] [a]). We observed that this rule “provides internal consistency and compatibility and objective verification, as opposed to uneven, ephemeral, personal interpretations as to when economic marital partnerships end” (*id.*).

For similar reasons, we conclude that the value of marital property generally should not be determined by the commencement of an action for divorce that does not ultimately culminate in divorce. Equitable distribution is available “in an action wherein all or part of the relief granted is divorce” (Domestic Relations Law § 236 [B] [5] [a]). Where there is no divorce, there can be no equitable distribution. Consequently, permitting the commencement date of the prior, unsuccessful divorce action to govern the valuation date of marital property for the purposes of a later, successful action in which equitable distribution is available would be inconsistent with the statutory scheme.

In short, we hold today that courts must use the commencement date of the later, successful action as the earliest valuation date for marital property. However, the circumstances surrounding the commencement of the earlier action can and should “be considered as a factor by [the trial court], among other relevant factors, as [it] attempt[s] to calibrate the ultimate equitable distribution of marital economic partnership property acquired after the start of such an action by either spouse” (*see Anglin*, 80 NY2d at 558).

Here, as Supreme Court concluded, the pension benefits are marital property to the extent that they were earned prior to the commencement of the present divorce action (*see Olivo v Olivo*, 82 NY2d 202, 207 [1993]; *Majauskas v Majauskas*, 61 NY2d 481, 491 [1984]; *see also* Scheinkman, Practice Commentaries, McKinney’s Cons Laws of NY, Book 14, Domestic Relations Law C236B:26, at 424 [“Pension rights are determined as of date of commencement of action since rights earned subsequently cannot be considered marital property”]). As a result, the marital portion of the pension could not be valued at any time earlier than the commencement date (*see* Domestic Relations Law § 236 [B] [4] [b]).

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be modified, with costs to defendant, and the matter remitted to Supreme Court for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Judgment appealed from and order of the Appellate Division brought up for review modified, etc.

[892 NE2d 839, 862 NYS2d 446]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROMAN
BARET, Appellant.

Argued June 4, 2008; decided June 25, 2008

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 6, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Dominic R. Massaro, J., on motions; John E.H. Stackhouse, J., at plea and on motion to withdraw plea; Albert Lorenzo, J., at sentence), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the third degree.

People v Baret, 43 AD3d 648, affirmed.

HEADNOTE

Crimes — Plea of Guilty — Withdrawal of Plea

Where defendant and his codefendant had been offered a connected plea that would fail if either declined the offer, defendant's motion to withdraw his plea on the ground that it was the result of threats made by his codefendant was properly denied without a hearing. Defendant's affidavit in support of his motion suggested, but did not unequivocally say, that he pleaded guilty only because he was afraid that his codefendant would have killed or injured him if he did not. Moreover, the affidavit did not say what basis defendant had for believing the threat, and the threat itself was couched in ambiguous language, without any specific context. There was, accordingly, no basis to disturb the conclusion of the courts below that defendant's showing of involuntariness did not warrant further inquiry.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 689–693.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:1600,
172:1601, 172:1603, 172:1615.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 21.5.
NY JUR 2d, Criminal Law §§ 1388, 1388.5, 1396, 1397.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Richard M. Greenberg of counsel), for appellant. Where Roman Baret moved to withdraw his plea based on detailed sworn allegations that he was pressured and threatened into pleading guilty by his codefendant, who was offered and received a sentence of probation pursuant to a “no-split” plea offer, the court should have granted the motion or at least conducted a hearing. (Boykin v Alabama, 395 US 238; People v Harris, 61 NY2d 9; People v Nixon, 21 NY2d 338; People v Pina, 35 AD3d 45; People v Richards, 17 AD3d 136; People v Caccavale, 305 AD2d 695; People v Stevens, 298 AD2d 267; People v Sung Min, 249 AD2d 130; People v Brown, 205 AD2d 436; People v Fanini, 222 AD2d 1111.)

Robert T. Johnson, District Attorney, Bronx (Dana Levin and Joseph N. Ferdenzi of counsel), for respondent. The trial court properly exercised its discretion in denying defendant’s motion to withdraw his guilty plea. (People v Seaberg, 74 NY2d 1; People v Alexander, 97 NY2d 482; People v Fiumefreddo, 82 NY2d 536; People v Tinsley, 35 NY2d 926; People v Frederick, 45 NY2d 520; People v Harris, 61 NY2d 9; People v Young, 194 AD2d 307, 82 NY2d 761; People v Vellucci, 13 NY2d 665; People v White, 309 NY 636, 352 US 849; People v Dixon, 29 NY2d 55.)

OPINION OF THE COURT

SMITH, J.

We hold that the courts below did not abuse their discretion in rejecting, without a hearing, the claim of defendant-appellant, Roman Baret, that his guilty plea was the result of threats made by his codefendant.

Baret and Reynardo Nunez were charged with sale of cocaine and possession of cocaine with intent to sell it. The People offered them a plea bargain under which Baret would plead guilty to one count of sale and Nunez to one count of attempted sale. Under the People’s proposal, Baret would get a 2 to 6 year sentence, and Nunez would get probation. The deal was offered on a “no-split” basis: it was not available to either defendant unless both agreed to it. Both did, and their pleas were accepted after each told the court that no one had forced him to plead guilty.

Before being sentenced, Baret moved to withdraw his plea. In support of his motion, he submitted an affidavit, saying that he had initially rejected the deal when his lawyer told him about it. (Unlike our dissenting colleague [at 35 n], we think it clear from the record that Baret's lawyer was not also representing Nunez.) Baret's affidavit continued:

"Shortly thereafter, Mr. Nunez approached me and began to put pressure on me to plead guilty so that he could get Probation. . . .

"Mr. Nunez told me that 'I better do the right thing and plead guilty' or he would make sure he 'did the right thing.' He continually told me that his life was 'on the line' and that he would 'do what he had to do' if I didn't plead guilty. . . .

"Given these express and implied threats from Mr. Nunez, I felt in danger of physical reprisal if I did not plead guilty. . . .

"On December 23, 1996, I appeared in Part 38 with [my lawyer] and Mr. Nunez. I was feeling a great deal of pressure from Mr. Nunez. My attorney told me I had to make a decision to plead or go to trial on that date.

"Under such pressure, I agreed to plead guilty and accept a State prison sentence of two to six years. I was in shock during the plea proceeding and did not have a clear idea what I was doing."

Supreme Court denied Baret's motion without a hearing. The Appellate Division affirmed, with two Justices dissenting on the ground that a hearing should have been held (43 AD3d 648 [1st Dept 2007]). A Justice of the Appellate Division granted leave to appeal to this Court, and we now affirm.

When a defendant moves to withdraw a guilty plea, the "fact-finding procedures" to be followed "rest largely in the discretion of the Judge to whom the motion is made" (*People v Tinsley*, 35 NY2d 926, 927 [1974]). "Only in the rare instance will a defendant be entitled to an evidentiary hearing" (*id.*). Here, Supreme Court's exercise of discretion in denying Baret's motion without a hearing finds ample support in the record.

Baret's affidavit suggests, but does not unequivocally say, that he pleaded guilty only because he was afraid Nunez would

have killed or injured him if he did not. The affidavit does not say what basis, if any, Baret had for believing that Nunez was able to carry out this threat. And the threat itself, couched in ambiguous language, is presented without any specific context. The affidavit does not tell us when or where Nunez spoke to Baret, how often, or whether in person or on the telephone. Nor does the affidavit describe Baret's response. It uses such vague expressions as "[s]hortly thereafter," "continually," and "a great deal of pressure." One would expect a man who had in truth been threatened with violence, and found the threat credible enough that he would accept a 2 to 6 year prison term rather than defy it, to be able to tell his story in much more specific detail.

We have no basis for disturbing the conclusion of both courts below that Baret's showing of involuntariness was too flimsy to warrant further inquiry.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). Because I think that connected pleas have an inherent tendency to coerce and, thus, deserve heightened scrutiny, I respectfully dissent.

At the core of the constitutional requirement that a guilty plea be entered voluntarily, knowingly and intelligently (*see People v Fiumefreddo*, 82 NY2d 536, 543 [1993]) is the additional, unremarkable requirement that there "be an affirmative showing on the record" that defendant waived his or her constitutional protections (*id.*). In my view, defendant's allegations of coercion—though not a model of specificity—under the circumstances sufficiently raised doubts about the voluntariness of his guilty plea such that, at a minimum, an uncumbersome evidentiary hearing was warranted.

This Court has long rejected "a formalistic approach to guilty pleas, preferring instead to leave the ascertainment" of the satisfactoriness of pleas "to the trial court's 'sound discretion exercised in cases on an individual basis' " (*id.*, quoting *People v Nixon*, 21 NY2d 338, 355 [1967]). However, on guilty plea withdrawal motions, defendants "should be afforded [a] reasonable opportunity to present [their] contentions and the court should be enabled to make an informed determination" (*id.* [citation and internal quotation marks omitted; emphasis added]). This principle applies with greater force in the context of connected pleas.

Here, defendant initially made it known to his first attorney that he wished to plead not guilty. The People then offered him and his codefendant a connected plea which would fail if either declined the offer. Prior to sentencing, and with new counsel, defendant moved to withdraw his previously entered plea. Defendant alleged, in a sworn affidavit, that not long after the plea offer was made, his codefendant “began to put pressure on me to plead guilty so that he could get Probation”; that defendant had “better do the right thing and plead guilty” or he (the codefendant) would make sure that defendant “did the right thing.” Defendant stated that his codefendant “continually told [him] that his life was ‘on the line’ and that he would ‘do what he had to do’ if [defendant] didn’t plead guilty.” Given these threats, defendant stated that he “felt in danger of physical reprisal” were he to decline the plea offer.*

In my view, defendant’s allegations were not facially incredible. As Justice Marlow in dissent below observed, it is unremarkable that defendant did not show fear or otherwise suggest that his plea was involuntary, or outright accuse his codefendant of physical threats since the latter was present at the allocution.

We must take care to ensure that a guilty plea is not induced by fraud or coercion. On their face, the plea allocution minutes indicate that defendant satisfied all constitutional requirements for a knowing, voluntary and intelligent plea (*see generally People v Nixon*, 21 NY2d 338 [1967]). The problem, however, is that in certain cases, sole reliance upon the allocution presumes too much about what has previously taken place (or not) off the record. While the majority correctly takes stock of this reality, it fails to go one step further to recognize that in some cases, a defendant—all sincerity and a good faith fear in the alleged threats of coercion notwithstanding—will simply not be in a position to

* Defendant additionally asserted that he and his codefendant were represented by the same counsel at the pleading stage, and that their mutual counsel also put pressure on him to accept the connected plea. The People countered that the defendants were, instead, represented by separate counsel. It is unclear from the record, however, which version is accurate. In any event, even if defendant was represented by separate counsel, defendant indicated that his attorney advised him that if he did not accept the plea, his codefendant would not receive the plea offer. Though obviously not exceedingly probative, it does provide some context (however marginal) for defendant’s allegations.

provide the kinds of specific facts sufficient to warrant further inquiry that the majority here requires.

Absent the kind of specificity the majority demands, defendants who find themselves in such a predicament would never be heard to complain. Although specificity in allegations of coercion entails matters of degree, and each case must be evaluated on its own facts, where nothing else existed to call defendant's credibility into question, we should discourage courts from rendering summary determinations that risk depriving defendants of the opportunity, however brief, to make an uncomplicated case of coercion, outside codefendant's presence (*see People v Picciotti*, 4 NY2d 340, 344 [1958] ["The manner in which (a) statement (of coercion) . . . was made (if made at all), the circumstances surrounding its utterance, its impact upon the accused, . . . (and) whether reasonable, are matters to be considered and passed upon" at a hearing]).

The hearing court here decided defendant's motion without a hearing, on submission of his affidavit only. It is difficult to adequately evaluate defendant's allegations on paper when he has never been afforded the opportunity to stand before the court uninfluenced by his codefendant's presence. Moreover, the court's frame of reference, in evaluating defendant's submission without a hearing, is the allocution minutes; so it is no surprise that the hearing court, in its four-page written decision on the motion spent all but a single sentence to state, in summary form, that defendant "failed to substantiate his allegations of coercion." The rest is dedicated exclusively to the uncontested, *facial* adequacy of the allocution minutes. As Justice Marlow noted in dissent, the allegations, if true, portray a picture of "a defendant whose free will was beclouded by the coercive force of his codefendant's threats of future violence had defendant maintained his not guilty plea," and "of a desperate codefendant who would not stop at acts of violence[] to avoid going to prison" (43 AD3d 648, 652 [2007]). This would not be an unreasonable conclusion.

Lastly, I would simply note that although the plea is a vital instrument of judicial administration, a connected plea should not devolve into a situation whereby a defendant feels irretrievably ensnared by a previously entered guilty plea which, in retrospect, may have been at best ill-advised or, at worst, silenced at allocution by the very presence of a coercive agent. It should not be that only defendants with an intimate understanding of his or her codefendant's wherewithal to

make good on a promised threat of future harm should, in effect, receive the benefit of a closer look at alleged threats of coercion.

Accordingly, I would reverse and order a hearing.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge JONES dissents and votes to reverse in a separate opinion.

Order affirmed.

[892 NE2d 843, 862 NYS2d 450]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GARY
FREYCINET, Appellant.

Argued May 29, 2008; decided June 26, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 19, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Randall T. Eng, J.), which had convicted defendant, after a nonjury trial, of manslaughter in the second degree, tampering with physical evidence and criminal possession of a weapon in the fourth degree.

People v Freycinet, 41 AD3d 731, affirmed.

HEADNOTE**Crimes — Right of Confrontation — Autopsy Report Prepared by
Nontestifying Expert**

An autopsy report redacted to eliminate the opinions of the doctor who prepared the report as to the cause and manner of the victim's death did not constitute "testimonial" evidence within the meaning of *Crawford v Washington* (541 US 36 [2004]) and thus was properly received in evidence at defendant's trial over his Confrontation Clause objection where the doctor who prepared the report did not testify. The Confrontation Clause does not bar the use of out-of-court statements by declarants who are not "witnesses"; and witnesses are those who bear testimony. The duties of the Office of the Chief Medical Examiner, the doctor's employer, are independent of and not subject to the control of the office of the prosecutor; the agency is not a law enforcement agency. The doctor's report, as redacted, was largely a contemporaneous, objective account of observable facts. Moreover, the report did not directly link defendant to the crime at issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal law §§ 1075, 1081, 1088–1090; AM
JUR 2d, Evidence §§ 1023, 1024.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2234,
172:3119.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law §§ 1941, 2031, 2070.

ANNOTATION REFERENCE

See ALR Index under Autopsies; Confrontation of Witnesses.

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Query: autopsy /2 report /s testimon! & right /4 confront!

POINTS OF COUNSEL

Appellate Advocates, New York City (*Winston McIntosh* and *Lynn W.L. Fahey* of counsel), for appellant. The trial court violated appellant's constitutional right to confront the witnesses against him when, over objection, it admitted an absent medical examiner's autopsy findings and permitted another medical examiner, who had not even been present when the autopsy was performed, to analyze and interpret the findings and give her opinion on contested issues based on them. (*Crawford v Washington*, 541 US 36; *Ohio v Roberts*, 448 US 56; *People v Liner*, 9 NY3d 856; *People v Durio*, 7 Misc 3d 729; *Davis v Washington*, 547 US 813; *Diaz v United States*, 223 US 442; *People v Rogers*, 8 AD3d 888; *People v Nisonoff*, 293 NY 597; *People v Bryant*, 27 AD3d 1124; *United States v Feliz*, 467 F3d 227.)

Richard A. Brown, District Attorney, Kew Gardens (*Jennifer Hagan* and *John M. Castellano* of counsel), for respondent. The Appellate Division correctly held that the autopsy report was properly admitted under the Confrontation Clause. (*Crawford v Washington*, 541 US 36; *United States v Feliz*, 467 F3d 227; *People v Nisonoff*, 293 NY 597; *Davis v Washington*, 547 US 813; *United States v Morgan*, 505 F3d 332; *United States v Munoz-Franco*, 487 F3d 25; *United States v Urqhart*, 469 F3d 745; *United States v Baker*, 458 F3d 513; *United States v Hagege*, 437 F3d 943; *United States v Weiland*, 420 F3d 1062.)

OPINION OF THE COURT

SMITH, J.

In *People v Rawlins* (10 NY3d 136 [2008]), we considered whether fingerprint comparison reports and the report of a DNA technician were "testimonial" evidence under *Crawford v Washington* (541 US 36 [2004]). This case raises a similar question about an autopsy report. Analyzing the question in the way *Rawlins* requires, we conclude that the redacted report at issue here was not testimonial.

I

Defendant's girlfriend died of a knife wound, and defendant was indicted for murder, manslaughter and other crimes. His

defense was that he killed her either justifiably or by accident. He did not testify at trial, but relied on statements he made to police and a prosecutor after his arrest, in which he described the event as occurring when he and the victim were lying next to each other. According to his account, the two had an argument; the victim punched him and reached first for an iron and then for a knife; he reached the knife before she did; she grabbed his wrist; and the knife “just hit her.”

Dr. John Lacy, of the New York City Office of Chief Medical Examiner, performed an autopsy on the victim. Dr. Lacy later moved to Seattle, and he did not return for the trial. His report, redacted to eliminate his opinions as to the cause and manner of the victim’s death, was received in evidence over defendant’s Confrontation Clause objection.

The report said that Dr. Lacy observed “a single perforating stab wound of the face and neck and minor blunt force injury of the face.” It said that the stab wound was on the “left face in front of the left ear,” and that it was “oriented obliquely with one blunt angle close to the ear and one sharp angle directed toward the chin.” The report described the “wound track,” as passing “through the subcutaneous tissue and posterior scalp.” The report gave the location of the “exit wound” as “just within the hairline of the back of the neck.” It also noted a small round abrasion on the left cheek.

Dr. Corinne Ambrosi of the Medical Examiner’s office testified as an expert for the People, giving opinions based on the facts in Dr. Lacy’s report. She concluded that the cause of the victim’s death was bleeding from the stab wound. She also said that the knife, when it entered the victim’s neck, was positioned with its blunt edge toward the ear and its sharp edge “facing more toward the front.” She said that the wounds were “consistent with a right-handed person as a stabber on top of the person being stabbed” and “with the stabber using force.”

In closing argument, the People relied both on Dr. Ambrosi’s opinions and Dr. Lacy’s report to attack defendant’s version of the facts. The prosecutor argued that defendant must have been on top of the victim, not beside her as he said, and that so deep a wound, “from the front of her face to the back of her scalp,” could not have been inflicted by accident.

The trial judge, sitting without a jury, acquitted defendant of murder but convicted him, among other things, of manslaughter in the second degree. The Appellate Division affirmed. A judge of this Court granted leave to appeal, and we now affirm.

II

The Confrontation Clause of the United States Constitution says: “In all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him” (US Const Amend VI). *Crawford* and *Davis v Washington* (547 US 813 [2006]) establish that this clause does not bar the use of out-of-court statements by declarants who are not “witnesses”; and *Crawford* held that witnesses are “those who ‘bear testimony’ ” (*Crawford*, 541 US at 51). The Supreme Court has not defined “testimony” in this context, though it has said that “[a]n accuser who makes a formal statement to government of-ficers bears testimony in a sense that a person who makes a casual remark to an acquaintance does not” (*id.*). The only issue on this appeal is whether the redacted version of Dr. Lacy’s autopsy report was “testimony” as that term is used in *Crawford*.

The question of when reports of scientific procedures are and are not testimonial is one we examined at length in *Rawlins*. In that case, we refused to establish an “absolute rule” that documents within the “business records” exception to the hearsay rule are never testimonial, noting that under New York law records of law enforcement agencies may be business records (10 NY3d at 149-150). Instead, we discussed “various indicia of testimoniality” (*id.* at 151). Among them are: the extent to which the entity conducting the procedure is “an ‘arm’ of law enforcement” (*State v Crager*, 116 Ohio St 3d 369, 379, 879 NE2d 745, 753 [2007], quoted in *Rawlins*, 10 NY3d at 153); whether the contents of the report are a contemporaneous record of objective facts, or reflect the exercise of “fallible human judgment” (10 NY3d at 154); the question—closely related to the previous two—of whether a pro-law-enforcement bias is likely to influence the contents of the report (*id.* at 153); and whether the report’s contents are “directly accusatory” in the sense that they explicitly link the defendant to the crime (*id.* at 156). Considering these factors, we held in *Rawlins* that fingerprint comparison reports prepared by a police department analyst, which said that prints found at two crime scenes belonged to the defendant, were testimonial. However, in *People v Meekins* (decided with *Rawlins*), in which the police had sent samples from a rape kit to a private laboratory for testing, we held that a technician’s report establishing that a particular DNA profile was obtained from one of the samples was nontestimonial.

Under the *Rawlins* approach, Dr. Lacy's autopsy report was clearly not testimonial. The duties of the Office of Chief Medical Examiner, Dr. Lacy's employer, "are, by law, independent of and not subject to the control of the office of the prosecutor"; the agency "is not a law enforcement agency" (*People v Washington*, 86 NY2d 189, 192 [1995]). Dr. Lacy's report, redacted to eliminate his opinions, was very largely a contemporaneous, objective account of observable facts. The giving of opinions was left to Dr. Ambrosi, who testified at trial. Admittedly, a report of a doctor's findings at an autopsy may reflect more exercise of judgment than the report of a DNA technician; for example, Dr. Lacy no doubt exercised judgment in characterizing the victim's injury as a "stab wound." Nevertheless, the significance of the report to this case derives almost entirely from Dr. Lacy's precise recording of his observations and measurements as they occurred. It is hard to imagine how this redacted report could have been significantly affected by a pro-law-enforcement bias.

Finally, Dr. Lacy's report did not directly link defendant to the crime. The report is concerned only with what happened to the victim, not with who killed her. As *Crawford* explains, the Confrontation Clause derives from the strongly held idea of our country's founders, derived from English common law, that a person accused should have the right to face his or her "accuser." The Clause is in a way an echo of Sir Walter Raleigh's unheeded demand, quoted in *Crawford*: "Call my accuser before my face" (541 US at 44). Dr. Lacy was not defendant's "accuser" in any but the most attenuated sense.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, PIGOTT and JONES concur; Judge CIPARICK taking no part.

Order affirmed.

[893 NE2d 110, 862 NYS2d 833]

In the Matter of MARTY MARKOWITZ, as Brooklyn Borough President, Appellant, v GREGORY V. SERIO, as Superintendent of the State of New York Insurance Department, Respondent, and FARMERS NEW CENTURY INSURANCE COMPANY et al., Intervenor-Respondents.

Argued May 28, 2008; decided June 26, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 5, 2007. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Doris Ling-Cohan, J.; op 11 Misc 3d 439), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to the extent of annulling determinations of respondent Superintendent of the State of New York Insurance Department denying petitioner's appeals of the denial of his Freedom of Information Law requests, and directing respondent to comply with such requests; (2) reinstated and confirmed the determinations; (3) denied the petition; and (4) dismissed the proceeding.

Matter of Markowitz v Serio, 39 AD3d 247, reversed.

HEADNOTE

Records — Freedom of Information Law — Insurers' Regulation 90 Reports

Petitioner was entitled to disclosure under the Freedom of Information Law (FOIL) of reports filed annually by insurers with the State Insurance Department pursuant to 11 NYCRR 218.7 (Regulation 90 reports) consisting of information, compiled by zip code, concerning automobile insurance policies that had been issued, renewed, cancelled (other than for nonpayment of premium) or nonrenewed. Although Regulation 90 reports are public records (*see* 11 NYCRR 218.7 [d]), an insurer has the right to assert that some information required to be included in the reports is exempt from disclosure under FOIL. In this case the Department and the insurers failed to meet their burden of establishing that the reports were exempt from disclosure under Public Officers Law § 87 (2) (d) as they alleged. Although the insurers claimed that competitors could use information regarding zip codes of areas where relatively few policies were issued to exploit an insurer's geographic weak spot, it was not shown that disclosure of the zip code data, without more, would necessarily put an insurer at a competitive disadvantage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 54–56, 70, 138, 154, 156, 157; AM JUR 2d, Insurance §§ 37, 43.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:631, 145:636, 145:645–145:647.

McKINNEY's, Public Officers Law § 87 (2) (d).
11 NYCRR 218.7.

NY JUR 2d, Insurance § 64; NY JUR 2d, Records and Re-
cording §§ 17, 19, 35, 44.

ANNOTATION REFERENCE

See ALR Index under Freedom of Information Acts; In-
surance and Insurance Companies.

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Database: NY-ORCS

Query: foil & insurer /s report & zip /2 code

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Drake Colley, Edward F.X. Hart, Alan H. Kleinman and Tahiri M. Sadrieh of counsel), for appellant. I. The Insurance Department's own rule requires it to disclose the Regulation 90 filings. (*Matter of Frick v Bahou*, 56 NY2d 777; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Matter of Duflo Spray-Chemical v Jorling*, 153 AD2d 244; *Matter of Trager v Kampe*, 287 AD2d 643, 99 NY2d 361; *Matter of Goldstein v New York State Indus. Bd. of Appeals*, 292 AD2d 706; *Matter of New York Tel. Co. v Public Serv. Commn.*, 56 NY2d 213; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131; *Matter of Turner v Department of Fin. of City of N.Y.*, 242 AD2d 146; *Matter of Law Enforcement Officers Union, Dist. Council 82, AFSCME, AFL-CIO v State of New York*, 229 AD2d 286.) II. The record fails to show that the substantial competitive injury exception to the Freedom of Information Law applies to regulatory information submitted by all members of an industry where the only risk, borne by all members of the industry, is that some or all members of the industry might have better informed marketing. (*Matter of Mantica v New York State Dept. of Health*, 94 NY2d 58; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *McDonnell Douglas Corp. v United States Dept. of Air Force*, 375 F3d 1182; *Public Citizen Health Research Group v Food &*

Drug Admin., 185 F3d 898; *GC Micro Corp. v Defense Logistics Agency*, 33 F3d 1109; *Matter of Verizon N.Y., Inc. v Bradbury*, 40 AD3d 1113; *Matter of Bahnken v New York City Fire Dept.*, 17 AD3d 228, 6 NY3d 701; *Matter of Sunset Energy Fleet v New York State Dept. of Envtl. Conservation*, 285 AD2d 865.) III. A proper balancing of the public's interest in disclosure versus the insurers' interest in confidentiality must result in disclosure of the Regulation 90 materials. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Newsday, Inc. v State Dept. of Transp.*, 5 NY3d 84; *GC Micro Corp. v Defense Logistics Agency*, 33 F3d 1109; *National Parks & Conservation Assn. v Morton*, 498 F2d 765; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557.)

Andrew M. Cuomo, Attorney General, New York City (Benjamin N. Gutman, Barbara D. Underwood and Cecelia C. Chang of counsel), for respondent. I. The regulation making each redlining report a "public record" preserves the Insurance Department's ability to invoke exemptions from disclosure under the Freedom of Information Law. (*Matter of New York Tel. Co. v Public Serv. Commn.*, 56 NY2d 213; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Goldstein v New York State Indus. Bd. of Appeals*, 292 AD2d 706; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of Turner v Department of Fin. of City of N.Y.*, 242 AD2d 146; *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273; *Matter of Lantry v State of New York*, 6 NY3d 49.) II. The Insurance Department properly concluded that disclosing insurers' most recent redlining reports would cause substantial competitive harm to those insurers. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of New York State Elec. & Gas Corp. v New York State Energy Planning Bd.*, 221 AD2d 121; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *Lion Raisins v United States Dept. of Agric.*, 354 F3d 1072; *Center For Pub. Integrity v Federal Communications Commn.*, 505 F Supp 2d 106; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.*, 57 NY2d 399; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355.)

Chadbourne & Parke LLP, New York City (*Richard G. Liskov* of counsel), and *Dewey & LeBoeuf LLP* (*Ellen M. Dunn* and *Kelly H. Tsai* of counsel) for intervenors-respondents. I. The ZIP code data appellant requested fall squarely within the statutory exemption for records which if disclosed, would cause substantial competitive injury. (*Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *Matter of Passino v Jefferson-Lewis*, 277 AD2d 1028, 96 NY2d 709; *Matter of Troy Sand & Gravel Co. v New York State Dept. of Transp.*, 277 AD2d 782, 96 NY2d 708; *Matter of New York State Elec. & Gas Corp. v New York State Energy Planning Bd.*, 221 AD2d 121; *Worthington Compressors, Inc. v Costle*, 662 F2d 45; *Gulf & W. Indus., Inc. v United States*, 615 F2d 527; *Center For Pub. Integrity v Federal Communications Commn.*, 505 F Supp 2d 106; *National Parks & Conservation Assn. v Morton*, 498 F2d 765.) II. Section 87 (2) of the Public Officers Law also exempts trade secrets from disclosure, which is an additional basis for affirming the Appellate Division's order. (*People ex rel. Matthews v New York State Div. of Parole*, 95 NY2d 640; *Matter of Couch v Perales*, 78 NY2d 595; *Matter of New York Tel. Co. v Public Serv. Commn.*, 56 NY2d 213; *Integrated Cash Mgt. Servs., Inc. v Digital Transactions, Inc.*, 920 F2d 171; *Public Citizen Health Research Group v Food & Drug Admin.*, 704 F2d 1280; *Garvin GuyButler Corp. v Cowen & Co.*, 155 Misc 2d 39; *Matter of Sunset Energy Fleet v New York State Dept. of Envtl. Conservation*, 285 AD2d 865; *Stanley Tulchin Assoc. v Vignola*, 186 AD2d 183.) III. The Insurance Department properly interpreted Regulation 90 in harmony with both the entire Freedom of Information Law statute and Insurance Department Regulation 71 governing public access to Department records. (*Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131; *Matter of New York Tel. Co. v Public Serv. Commn.*, 56 NY2d 213; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Goldstein v New York State Indus. Bd. of Appeals*, 292 AD2d 706; *Matter of Frick v Bahou*, 56 NY2d 777.)

Melito & Adolfsen P.C., New York City (*S. Dwight Stephens* of counsel), and *Wiley Rein LLP*, Washington, D.C. (*Craig A. Berrington* and *Gary P. Seligman* of counsel), for American Insur-

ance Association and others, amici curiae. I. Regulation 90 does not preclude the Insurance Department's considered application of Freedom of Information Law exemptions. (*Matter of New York Tel. Co. v Public Serv. Commn.*, 56 NY2d 213; *Matter of Goldstein v New York State Indus. Bd. of Appeals*, 292 AD2d 706.) II. The record overwhelmingly demonstrates the likelihood of substantial competitive injury faced by insurers that would result from contemporaneous disclosure of the ZIP code reports. (*Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Glens Falls Newspapers v Counties of Warren & Washington Indus. Dev. Agency*, 257 AD2d 948; *National Parks & Conservation Assn. v Kleppe*, 547 F2d 673; *Public Citizen Health Research Group v Food & Drug Admin.*, 704 F2d 1280; *Matter of Siegel, Fenchel & Peddy v Central Pine Barrens Joint Planning & Policy Commn.*, 251 AD2d 670; *Matter of Passino v Jefferson-Lewis*, 277 AD2d 1028; *Matter of Belth v Insurance Dept. of State of N.Y.*, 95 Misc 2d 18; *Center For Pub. Integrity v Federal Communications Commn.*, 505 F Supp 2d 106; *Matter of Troy Sand & Gravel Co. v New York State Dept. of Transp.*, 277 AD2d 782.) III. Delayed disclosure of the ZIP code reports appropriately balances the competing interests as required by Freedom of Information Law. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Makastchian v Oxford Health Plans*, 281 AD2d 197; *Huskission v Sentry Ins.*, 123 AD2d 832; *Kenney v Kemper Natl. Ins. Cos.*, 133 F3d 907; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Newsday, Inc. v State Dept. of Transp.*, 5 NY3d 84; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Department of Defense v FLRA*, 510 US 487.)

OPINION OF THE COURT

FIGOTT, J.

“Redlining,” as the term is used in the insurance industry, is an insurer’s refusal to issue or renew, or its cancellation of, a policy premised exclusively on the geographic location of the risk. Concerned that auto insurers were engaging in that practice, Marty Markowitz, Brooklyn Borough President and petitioner in this proceeding, filed two Freedom of Information Law (FOIL) requests with the State Insurance Department

seeking information “for each Kings County zip code, including, by carrier, the number of voluntary [automobile] policies issued, renewed, cancelled (other than for non-payment of premium) or nonrenewed.” Markowitz claimed that such zip code reports (commonly referred to as Regulation 90 reports) were available pursuant to 11 NYCRR 218.7 (d), an insurance regulation which states that such reports “shall be public record.”

The Department provided Markowitz with data relative to the total number of auto policies in force in New York in each county from 1999 through 2002, but refused to release any data generated after 1997 demarcating the number of policies in force broken down, by carrier, for each Kings County zip code. This refusal was based on the Department’s contention that Regulation 90 reports are exempt from disclosure or release under FOIL because their contents constitute either trade secrets or records that, if disclosed, “would cause substantial injury to the competitive position” of insurers (Public Officers Law § 87 [2] [d]). The Department advised Markowitz that the reports would be disclosed, but only after six years.

On December 3, 2004, after exhausting his administrative remedies relative to the denials of both FOIL requests, Markowitz commenced this CPLR article 78 proceeding against respondent Gregory V. Serio, Superintendent of the Insurance Department. The petition seeks an order and judgment annulling, as arbitrary and capricious, the Superintendent’s determinations that the Regulation 90 reports are subject to a FOIL exemption, and ordering the Superintendent to produce the reports broken down by zip code. The Department answered asserting that its refusal to release the reports was neither arbitrary nor capricious and that its decision was reasonable and consistent with lawful procedure.

Markowitz and the Superintendent entered into a stipulation permitting several interested insurers to intervene in the proceeding.* Those insurers submitted affidavits in support of their claims that the reports sought by Markowitz constituted confidential information, the release of which would result in substantial competitive harm.

Supreme Court granted the petition, holding that Regulation 90 expressly mandated public disclosure of the reports and that

* The intervenor insurers are Farmers New Century Insurance Company, State Farm Mutual Automobile Insurance Company, State Farm Fire and Casualty Insurance Company, and Chubb & Son.

the Department failed to meet its burden of demonstrating that the Regulation 90 filings qualified under a FOIL exemption. The Appellate Division reversed and reinstated the Department's administrative determinations, noting that although the Department had decided in 1994 that the Regulation 90 reports were public records as the regulation clearly stated, they were nevertheless subject to FOIL disclosure and its reversal of position in 2000 was neither arbitrary nor capricious because the Department had relied on additional evidence from insurers that the disclosure of such information would result in competitive harm to them (39 AD3d 247, 248 [1st Dept 2007]). The Appellate Division further held that the Department's decision to exempt the reports on the ground that their release would result in substantial competitive injury was reasonable (*id.* at 248-249). This Court granted leave to appeal and we now reverse.

The Legislature enacted Insurance Law § 3429 to proscribe insurers from declining to issue or renew, or from cancelling, certain types of auto insurance “based solely on the geographical location of the risk” (Insurance Law § 3429 [a] [2]). That law directs the Superintendent to promulgate regulations establishing “procedures with respect to notification to insureds of the insurer’s specific reason or reasons for refusal to issue or renew or for cancellation” of auto insurance policies (Insurance Law § 3429 [b]).

To that end, the Superintendent promulgated 11 NYCRR 218.7 (d), which provides that Regulation 90 reports must be filed annually “in a format . . . prescribed by the superintendent” and that “every such report *shall be public record*” (emphasis supplied). Contrary to Markowitz’s contention, however, the “public record” language does not negate an insurer’s right to assert that some information required to be included in the reports is exempt from disclosure under FOIL. Rather, as the Department has reasonably concluded, such language suggests that, although Regulation 90 reports are submitted by a private entity at the behest of the Department, they are subject to public disclosure unless the insurer asserts that a FOIL exemption applies and is able to sustain its burden of establishing nondisclosure. This interpretation is consistent with this Court’s construction of the “public records” language in the context of FOIL exemptions (*see e.g. Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131, 132 [1985]; *Matter of New York Tel. Co. v Public Serv. Commn.*, 56 NY2d 213, 219-220 [1982]). Indeed, this Court has held that “the FOIL exemp-

tions must be read as having engrafted, as a matter of public policy, certain limitations on the disclosure of otherwise accessible records” (*Matter of Xerox Corp.*, 65 NY2d at 132). Accordingly, the Department’s interpretation that 11 NYCRR 218.7 (d) does not deprive insurers of their right to contest the disclosure of Regulation 90 reports is neither irrational nor unreasonable and is “entitled to deference” (*Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545, 549 [1997]).

Further evidence of the reasonableness of the Department’s interpretation of 11 NYCRR 218.7 (d) is found at 11 NYCRR part 241 (Regulation 71), which provides a regulatory framework concerning requests for, and the release of, Department records. For instance, 11 NYCRR 241.3 (a) states that “[e]xcept as otherwise provided by the Insurance Law, section 87 (2) of the Public Officers Law, or other provisions of law, all records produced [by the Department] shall be available for public inspection and copying,” thereby evidencing that FOIL exemptions are potentially applicable to all Department records, even those filed pursuant to Regulation 90. Moreover, 11 NYCRR 241.6 (a) explicitly permits one “who submits any information to the [D]epartment” to “request that the [D]epartment except such information from disclosure under” Public Officers Law § 87 (2) (d). Indeed, several of the insurers here have done so in the past when filing their annual Regulation 90 reports. Therefore, it is apparent that the Department’s interpretation of 11 NYCRR 218.7 (d) reconciles, and gives effect to, the key disclosure components of Regulations 90 and 71. As such, while the “public record” language indicates that the Regulation 90 reports are subject to disclosure, an insurer retains the right to assert and attempt to prove that they fall within an applicable FOIL exemption.

The Department and insurers argue that the applicable FOIL exemption here is Public Officers Law § 87 (2) (d), which states that the Department “may deny access to records or portions thereof that . . . are trade secrets or are submitted . . . by a commercial enterprise . . . and which if disclosed would cause substantial injury to the competitive position of the subject enterprise.” As the parties seeking the exemption, the Department and insurers are charged with the burden of proving their entitlement to it (*see* Public Officers Law § 89 [4] [b]; [5] [e]), meaning that they must demonstrate that the reports “‘fall[] squarely within a FOIL exemption by articulating a particular-

ized and specific justification for denying access' ” (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462-463 [2007], quoting *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]). Because the overall purpose of FOIL is to ensure that the public is afforded greater access to governmental records, FOIL exemptions are interpreted narrowly (see *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557, 564 [1984]). To meet its burden, the party seeking exemption must present specific, persuasive evidence that disclosure will cause it to suffer a competitive injury; it cannot merely rest on a speculative conclusion that disclosure might potentially cause harm.

Here, the Department and insurers have failed to meet this burden. The evidence suggesting they will suffer a competitive disadvantage is theoretical at best. The insurers' key argument is that if they are forced to reveal zip codes of areas where relatively few policies are issued, competitors could use this information to exploit an insurer's geographic weak spot. It has not been shown that zip code data, without more, would necessarily put the insurer at a competitive disadvantage. Because neither the Department nor insurers have met their burden of justifying the exemption of the reports under Public Officers Law § 87 (2) (d) (see *Matter of Washington Post Co.*, 61 NY2d at 567), the order of the Appellate Division should be reversed, with costs, and the order and judgment of Supreme Court reinstated.

SMITH, J. (concurring). The majority concludes that Regulation 90 reports are available to the public only if the Freedom of Information Law (FOIL) makes them so. It also concludes that the insurers have failed to show that the reports are exempt from FOIL.

I disagree with both conclusions. I think that Regulation 90, by its own force, makes the reports “public record.” But if I were to consider the FOIL issue, I would find that the insurers had made an ample showing that disclosure of the records “would cause substantial injury to [their] competitive position” within the meaning of Public Officers Law § 87 (2) (d). Ironically, I end up agreeing with the majority's result—but only because the majority's two errors, as they affect this case, cancel each other out.

I

Regulation 90 requires insurers to submit certain reports and says: “every such report shall be public record” (11 NYCRR

218.7 [d]). The majority holds that this means only that the records are public unless a FOIL exemption applies. If that is all it means, the authors of the regulation were wasting their time writing the words, because all records of state agencies are public unless a FOIL exemption applies. But “public record” and “subject to FOIL” do not mean the same thing.

A public record, in ordinary speech, refers to a record that any member of the public can look at and copy. Deeds on file at the county clerk’s office are public records; so are the pleadings filed in most litigations. A clerk who is the custodian of public records will show them to anyone who walks into his or her office—or, if the office is technologically advanced, the documents may be available online to anyone with a computer. This is very different from documents subject to FOIL—as to which members of the public may only submit a FOIL request, which will be dealt with, often in cumbersome and time-consuming fashion, by the official assigned by the agency to deal with such things.

The majority cites *Matter of Xerox Corp. v Town of Webster* (65 NY2d 131 [1985]) and *Matter of New York Tel. Co. v Public Serv. Commn.* (56 NY2d 213 [1982]) for the proposition that “public records” and “subject to FOIL” have the same meaning. That is not what these cases hold. *Xerox* interpreted General Municipal Law § 51, a statute enacted before FOIL, which declared a broad category of documents to be “public records.” We held that, since the Legislature was “presumably aware of General Municipal Law § 51 at the time it enacted FOIL,” the later statute “must be read as having engrafted . . . certain limitations” on the earlier one (65 NY2d at 132). *New York Tel. Co.* involved a statute saying that all proceedings, documents and records of the Public Service Commission “shall be public records” (Public Service Law § 16 [1]). We held that, while the proceedings of the Commission are generally public, the statute does not prohibit the Commission from making exceptions for evidence “which falls within the category of trade secrets”—just as a court, whose proceedings are generally public, might put some sensitive information under seal (56 NY2d at 219). *New York Tel. Co.* says nothing about FOIL.

Xerox and *New York Tel. Co.* stand for the proposition that, where a broad category of material is declared to be “public record,” exceptions may be made, based on FOIL exemptions or simply on public policy. That proposition has no relevance to this case, for Regulation 90 establishes as “public record” not a

broad category to which the insurers ask for an exception but the precise documents that they want to keep confidential for six years: reports showing insurers' agents, brokers, policies and applications broken down by zip code. The insurers are seeking not an exception to the "public record" requirement but the virtual nullification of it.

I would hold that reports under Regulation 90 are public, as the regulation says they are, and would not reach any question under FOIL.

II

If I did reach the FOIL issue, however, I would hold that the documents in issue here are exempt from disclosure under Public Officers Law § 87 (2) (d), because they "are submitted to an agency by a commercial enterprise . . . and . . . if disclosed would cause substantial injury to the competitive position of the subject enterprise."

The insurers' submissions make a specific and persuasive showing of competitive injury. The affidavit of Eric Webster, an official of intervenor State Farm Mutual Automobile Insurance Company, explains in detail how a State Farm competitor could gain an advantage from State Farm's Regulation 90 reports. Such a competitor, Webster says, would compare and merge its zip code data with State Farm's, would use that data to estimate its and State Farm's market share in each zip code, would determine from that which areas to target, would do a targeted marketing campaign, and would use the results to create a statistical model to guide future marketing. Webster adds that Regulation 90 reports would help competitors assess the weaknesses and strengths of particular State Farm agents' performance, using techniques that Webster describes at length. He also explains how, by tracking changes disclosed by the reports in "risk placement" between State Farm and an affiliated company, a competitor could detect a new State Farm marketing strategy, for example "a shift toward[] youthful, higher risk customers in specific zip codes." Affidavits submitted by officials of the other insurer intervenors also contain explanations of the harm they will suffer.

The insurers' factual submissions total 19 pages. The majority brushes them aside in three sentences. It says their showing "is theoretical at best" (majority op at 51), but that is true only in the sense that any attempt to predict the consequences of disclosure must be theoretical. The statute requires such a pre-

diction. The exemption created by section 87 (2) (d) is available only on a showing that the information “if disclosed would cause substantial injury.”

The majority mentions only one of the insurers’ points, which it chooses to call their “key argument” (majority op at 51). The majority then responds with the unsupported assertion that “it has not been shown that zip code data, without more, would necessarily put the insurer at a competitive disadvantage” (*id.*). But that is exactly what the insurers have shown, in extensive detail—and even without that showing, it would be self-evident that a business can get a substantial advantage from information about its competitor’s success or lack of it in particular locations.

I have little doubt that insurers will suffer some significant competitive injury from the public disclosure of Regulation 90 reports. I would order those reports disclosed anyway, because I read the regulation as a policy determination by the Insurance Department, acting under the authority given it by the anti-redlining statute (Insurance Law § 3429), that the reasons for making this information public outweigh the insurers’ legitimate reasons for keeping it confidential. But the majority’s attempt to pretend that no policy choice need be made, because no competitive injury has been shown, simply ignores the record.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH concurs in result in a separate opinion.

Order reversed, etc.

[892 NE2d 850, 862 NYS2d 457]

In the Matter of SAMBASIVA RAO VENIGALLA et al., Respondents,
v DATTATREYUDU NORI et al., Appellants. ATTORNEY GEN-
ERAL OF STATE OF NEW YORK, Intervenor.

Argued May 28, 2008; decided July 1, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 19, 2007. The Appellate Division, among other things, affirmed a judgment of the Supreme Court, Queens County (Joseph G. Golia, J.), which had approved the report of a referee and declared certain named individuals to be the duly elected trustees of the Hindu Temple Society of North America. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered August 25, 2003 (307 AD2d 1041). The Appellate Division had (1) reversed, on the law, insofar as appealed from, so much of a judgment of that Supreme Court, entered in a proceeding pursuant to N-PCL 706, as denied those branches of the petition which were to remove the Board of Trustees of the Society, invalidate the post-1970 bylaws of the Society, and appoint a referee; (2) granted those branches of the petition; (3) reinstated the 1970 bylaws; (4) remitted the matter to Supreme Court for the appointment of a referee to direct and oversee a reorganizational meeting of the Society, for the purpose of electing a new Board of Trustees; and (5) ordered that the present Board of Trustees remain in office until a new board was elected.

Matter of Venigalla v Nori, 41 AD3d 725, reversed.

HEADNOTE

Religious Corporations and Associations — Elections

In a proceeding commenced under the Not-for-Profit Corporation Law in 2001, because the Hindu Temple Society of North America was incorporated in 1970 under article 9 of the Religious Corporations Law, which provides for self-perpetuating boards of trustees, the Appellate Division erred in requiring the conduct of an election of trustees by members as prescribed by bylaws adopted in 1970 that were never implemented. The provisions of the Society's 1970 bylaws that called for election of trustees contradicted article 9 of the Religious Corporations Law and were invalid from their inception. In any event, the 1970 bylaws had long since been abandoned. The Society was run in accordance with bylaws first adopted in 1978, which provided for a self-perpetuating board. Resuscitation of the 1970 bylaws was not warranted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Religious Societies §§ 6, 8.
McKINNEY's, Religious Corporations Law art 9.
NY JUR 2d, Religious Organizations §§ 7, 17, 44–46.

ANNOTATION REFERENCE

See ALR Index under Religion and Religious Societies.

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POINTS OF COUNSEL

Hodgson Russ LLP, New York City (*Daniel S. Steinberg*, *Joseph P. Goldberg* and *Jacquelyn R. Trussell* of counsel), for appellants. I. The Appellate Division's decision was error as a matter of law and should be reversed insofar as it invalidated the post-1970 bylaws and enforced the 1970 bylaws. (*Matter of Alcott Staff Leasing v New York Compensation Ins. Rating Bd.*, 224 AD2d 54; *Town of Somers v Camarco*, 284 App Div 979, 308 NY 537; *Matter of Berich v Ithaca Police Benevolent Assn., Inc.*, 23 AD3d 904; *Matter of Salino v Cimino*, 1 NY3d 166; *Hildreth-Henry v Henry*, 27 AD3d 419; *Fascaldi v Fascaldi*, 209 AD2d 576; *Matter of Salahuddin v Coughlin*, 222 AD2d 950; *Matter of Roanoke Sand & Gravel Corp. v Town of Brookhaven*, 24 AD3d 783; *Matter of Conte v Town of Norfolk Zoning Bd. of Appeals*, 261 AD2d 734; *Matter of Ball v New York State Dept. of Env'tl. Conservation*, 35 AD3d 732.) II. The 1970 bylaws are invalid to the extent they conflict with Religious Corporations Law article 9 and the Hindu Temple Society of North America's certificate of incorporation. (*Matter of Herbert H. Lehman Coll. Found. v Fernandez*, 292 AD2d 227; *Keogh v Connolly*, 235 AD2d 241; *Christal v Petry*, 275 App Div 550.) III. The court's imposition of elections on the Hindu Temple Society of North America (Temple) and the supervision and determination by a court-appointed referee of membership in the Temple for purposes of voting in an election of trustees violated the Free Exercise Clauses of the United States and New York Constitutions. (*Matter of Congregation Yetev Lev D'Satmar Inc. v Kahana*, 9 NY3d 282; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696; *Rector, Churchwardens &*

Vestrymen of Church of Holy Trinity v Melish, 3 NY2d 476; *Matter of Venigalla v Alagappan*, 307 AD2d 1041; *Rector, Church Wardens & Vestrymen of St. Bartholomew's Church in City of N.Y. v Committee to Preserve St. Bartholomew's Church*, 56 NY2d 71.) IV. The Religious Corporations Law's enumeration of rights and powers for particular religious denominations improperly prefers those established religions in violation of the Establishment Clause of the United States Constitution and violates the rights of the Hindu Temple Society of North America and its followers to the free exercise of religion and the equal protection of the laws. (*Cantwell v Connecticut*, 310 US 296; *Catholic Charities of Diocese of Albany v Serio*, 7 NY3d 510; *Larson v Valente*, 456 US 228; *Everson v Board of Ed. of Ewing*, 330 US 1; *Grumet v Pataki*, 93 NY2d 677, 528 US 946; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Morris v Scribner*, 69 NY2d 418; *Matter of Saints of God In Christ Inc.*, 20 Misc 2d 532.)

Chittur & Associates, P.C., New York City (Krishnan S. Chittur of counsel), for Dattatreyaudu Nori and others, respondents. I. The 1970 bylaws were properly upheld and enforced. (*Held v Kaufman*, 91 NY2d 425; *Ioele v Wal-Mart Stores*, 290 AD2d 614; *Crowther v City of New York*, 262 AD2d 519; *Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.*, 185 Misc 2d 704; *Hildreth-Henry v Henry*, 27 AD3d 419; *Fascaldi v Fascaldi*, 209 AD2d 576; *Matter of Salahuddin v Coughlin*, 222 AD2d 950; *St. Vincent's Hosp. & Med. Ctr. v Nationwide Mut. Ins. Co.*, 42 AD3d 523; *Charney v North Jersey Trading Corp.*, 150 Misc 2d 849; *Hauck Food Prods. Corp. v Stevenson & Co., Inc.*, 203 App Div 308.) II. Appellants' statutory and constitutional challenges should not be considered since they were never raised before the Supreme Court. (*Martin v New York Hosp.*, 295 AD2d 485; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Matter of Salino v Cimino*, 1 NY3d 166; *Matter of Dowsett v Dowsett*, 172 AD2d 610; *Matherson v Marchello*, 100 AD2d 233; *Matter of Kalkstein v DiNapoli*, 228 AD2d 28; *Matter of Steel v Department for Aging of City of N.Y.*, 14 AD3d 423; *Matter of Goodnature Prods. [Guangping Huang]*, 300 AD2d 1050; *Matter of Fotopoulos v Berman*, 298 AD2d 698.) III. In any event, the 1970 bylaws do not contravene the Religious Corporations Law. (*Matter of Kaminsky*, 251 App Div 132, 277 NY 524; *Kroth v Congregation Chebra Ukadisha Bnai Israel Mikalwarie*, 105 Misc 2d 904; *Watt Samakki Dhammikaram, Inc. v Thenjitto*, 166 Misc 2d 16; *Mat-*

ter of New York Soul Clinic, 208 Misc 612; *Diamond v Art Contr. Co., Inc.*, 147 Misc 88; *Witthaus v St. Thomas' Church*, 161 App Div 208; *Emmett v American Equit. Assur. Co. of N.Y.*, 194 Misc 529; *New York Dist. of Assemblies of God v Calvary Assembly of God*, 64 AD2d 311; *New York Annual Conference of Methodist Church v Nam Un Cho*, 156 AD2d 511; *St. Matthew Church of Christ, Disciples of Christ v Creech*, 196 Misc 2d 843.) IV. Appellants' and the Attorney General's construction of the Religious Corporations Law contravenes the Not-For-Profit Corporation Law. (*Croughan v New York Mut. Benevolent Socy.*, 179 App Div 211; *Matter of Hausner v Hopewell Prods.*, 22 Misc 2d 969; *Islamic Ctr. of Harrison v Islamic Science Found.*, 262 AD2d 362.) V. The Hindu Temple Society of North America has a First Amendment right to have an elected board and open membership "irrespective of religion." (*Karageorgious v Laoudis*, 271 AD2d 653; *White Riv. Amusement Pub, Inc. v Town of Hartford*, 481 F3d 163; *Matter of Congregation Yetev Lev D'Satmar Inc. v Kahana*, 9 NY3d 282.) VI. Appellants' and the Attorney General's construction renders the Religious Corporations Law unconstitutional. (*Russian Church of Our Lady of Kazan v Dunkel*, 67 Misc 2d 1032; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94; *Bernal v Fainter*, 467 US 216; *DeSousa v Reno*, 190 F3d 175; *Nordlinger v Hahn*, 505 US 1; *Sugarman v Dougall*, 413 US 634; *In re Griffiths*, 413 US 717; *Examining Bd. of Engineers, Architects & Surveyors v Flores de Otero*, 426 US 572; *Graham v Richardson*, 403 US 365; *Soskin v Reinertson*, 353 F3d 1242.)

Krishnamurthy Aiyer, respondent pro se. Respondents have denied members of the Hindu Temple Society of North America any right to elect their own trustees and to seek accountability in all financial matters.

Andrew M. Cuomo, Attorney General, New York City (*Justin R. Long*, *Barbara D. Underwood* and *Benjamin N. Gutman* of counsel), in his statutory capacity under Executive Law § 71. I. Religious Corporations Law § 182 requires article 9 corporations like the Hindu Temple Society of North America to have a self-perpetuating board even if the bylaws provide for elections by the membership. (*People v Felix*, 58 NY2d 156; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Matter of O'Brien v Spitzer*, 7 NY3d 239; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals*, *Tax Appeals Trib.*,

2 NY3d 249; *Matter of Robert J.*, 2 NY3d 339; *Robertson v Bullions*, 11 NY 243; *Benintendi v Kenton Hotel, Inc.*, 294 NY 112; *Matter of Burkin [Katz]*, 1 NY2d 570.) II. The Religious Corporations Law does not violate the Free Exercise Clause or Establishment Clause of the Federal Constitutions. (*Catholic Charities of Diocese of Albany v Serio*, 7 NY3d 510, 8 NY3d 866; *Matter of Congregation Yetev Lev D'Satmar Inc. v Kahana*, 9 NY3d 282; *Morris v Scribner*, 69 NY2d 418; *Cutter v Wilkinson*, 544 US 709; *Larson v Valente*, 456 US 228; *City of New York v State of New York*, 76 NY2d 479.)

OPINION OF THE COURT

SMITH, J.

The Hindu Temple Society of North America was incorporated in 1970 under article 9 of the Religious Corporations Law. In the same year, it adopted bylaws calling for the members of the Society to elect its trustees. Those bylaws were never implemented, and were forgotten until 2001, when petitioners rediscovered them and demanded that the prescribed elections take place. The Appellate Division upheld petitioners' demand.

We hold that the Appellate Division erred for two reasons: the requirement of elections for trustees is inconsistent with the Religious Corporations Law, and therefore invalid; and, in any event, the 1970 bylaws had been abandoned by 2001.

I

The Society's certificate of incorporation was filed with the Department of State on February 17, 1970. It says that the Society is organized "[p]ursuant to Article 9 of the Religious Corporations Law." The certificate names seven trustees. On May 21, 1970, the Society applied to the Internal Revenue Service (IRS) for a tax exemption, attaching to its application a set of bylaws. The Appellate Division found that these bylaws were adopted by the Society in 1970, and we accept that finding as supported by the record.

The 1970 bylaws define the "General Body" as "all members in good standing who have paid their annual dues" and provide that "[t]he members of the General Body shall elect members of the Board of Trustees" for three-year terms, at meetings to be held annually. The 1970 bylaws also provide that they can be amended only by a vote of the General Body. So far as the record shows, however, neither these provisions nor any others in

the 1970 bylaws were ever implemented, from May 21, 1970 until after the commencement of this proceeding in 2001. During that time, no one connected with the Society, so far as the record shows, ever mentioned the 1970 bylaws or appeared to be aware of their existence.

From the inception of the Society, it was in fact governed by a self-perpetuating board of trustees. The trustees named in the certificate of incorporation added others to their number, and when vacancies later occurred they were filled by a vote of the board. A memorandum prepared in 1975 describes the “Interim Organizational Structure” of the Society, making no reference to the 1970 bylaws and containing no provision for election of trustees by members. A 1977 report, directed at devising a “more permanent framework,” says: “It is most fortunate that the society did not adopt the recognized methods of cultural societies with annual elections, change of officers etc.” In 1978, the board adopted new bylaws that said “[t]he Board of Trustees will exercise the function of final selection and appointment” of its own membership. The Society operated under the 1978 bylaws, as amended by the trustees from time to time, until after this dispute arose; none of the amendments disturbed the board’s power of “final selection and appointment.” There is no record that anyone, before the 21st century, expressed any doubt that the 1978 bylaws were validly adopted.

The belief of the Society’s leadership that the Society should and did have a self-perpetuating, not an elected, board was not kept secret. An article entitled “Building Temples or Community Centres in Modern Times,” written in 1977 by one of the Society’s founders, held up the Society’s temple as a model. The article warned that “it will be self-defeating” if a temple “is organised as a cultural society with annual elections [and] continuous change in officials High level people will not join if they have to stand for elections. Decision-making with clear-cut responsibility are [*sic*] difficult if subjected to general body meetings.” In a letter written many years later, after this litigation had begun, one of the petitioners in this case conceded—unhappily, and in provocative terms—the reality that had long existed: “The temple was managed in a totalitarian form from the very beginning.”

Petitioners, members of the Society who disagreed with certain actions of its management, began this proceeding in

2001. The petition makes no mention of the 1970 bylaws, though it does assert that the Society's members have "a valid right to participate in the governance" of the Society. The petition, relying on various provisions of the Not-For-Profit Corporation Law, sought removal of the board of trustees, appointment of a receiver, and other relief. While the case was pending before Supreme Court, petitioners discovered the 1970 bylaws and submitted them to the court as an alternative ground for the relief they sought.

In 2002, Supreme Court granted petitioners certain relief, but refused to dissolve the board or appoint a receiver. Supreme Court treated the bylaws adopted in 1978 and thereafter as valid amendments to the 1970 bylaws. Petitioners appealed. The Appellate Division, in a 2003 order, found "no evidence in the record that the required procedures were ever followed to amend the 1970 bylaws" and held that "Supreme Court should have voided the bylaws postdating 1970" (*Matter of Venigalla v Alagappan*, 307 AD2d 1041, 1042 [2d Dept 2003]). Since none of the trustees had been elected as the 1970 bylaws required, the Appellate Division removed the board and directed "the appointment of a referee to direct and oversee a reorganizational meeting of the Society for the purpose of electing a new Board" (*id.* at 1043).

Supreme Court's attempts, on remand, to carry out the Appellate Division's 2003 order generated years of bitter litigation that need not be described here. At length, a new election was held—resulting in a board virtually unchanged from the old one. Despite their success in the election, the trustees appealed to the Appellate Division from a 2006 judgment confirming its results, arguing in substance that the election should never have been held. The Appellate Division affirmed the judgment in 2007 (41 AD3d 725 [2d Dept 2007]). We granted leave to appeal from the Appellate Division's 2007 order of affirmance, bringing up for review its 2003 order directing an election. We now reverse.

II

The Religious Corporations Law, providing rules for the governance of religious bodies, contains articles applicable to many specific denominations, but not to the Hindu faith. A Hindu group that wants to become a religious corporation may, like other groups not specifically provided for, choose to incorporate either under article 9 ("Free Churches") or article 10 ("Other Denominations"). The Society chose article 9.

An important difference between the two articles is that, while the trustees of article 10 corporations are elected by the body's members (*see* Religious Corporations Law §§ 191, 192, 194, 195, 199), article 9 corporations have self-perpetuating boards. The original trustees of an article 9 entity are named in its certificate of incorporation (Religious Corporations Law § 180), and Religious Corporations Law § 182 provides: "Any vacancies occurring in the said board of trustees shall be supplied by the remaining trustees." Article 9 makes no provision for any elections, other than votes of the trustees themselves. Indeed, the only "members" referred to in article 9 are the members of the board of trustees.

The provisions of the Society's 1970 bylaws that called for election of trustees by the "General Body" contradicted article 9 and were invalid from their inception. The Appellate Division erred in requiring the conduct of an election pursuant to those provisions.

That is enough to require invalidating the election, but we examine also the status of the 1970 bylaws as a whole—not just the provisions for election of trustees—so that the Society can know what its governing document is. We conclude that the 1970 bylaws have long been defunct. As the court said in *Pomeroy v Westaway* (189 Misc 307, 310 [Sup Ct, NY County 1947], *affd* 273 App Div 760 [1st Dept 1947]), "nonusage of a by-law, continuing for a considerable length of time, and acquiesced therein, will work its abrogation." There could hardly be a clearer case than this one for the application of that rule.

While the Appellate Division was justified in finding, based on the submission of the 1970 bylaws to the IRS, that the Society adopted those bylaws in 1970, the record shows that they fell into complete desuetude for the next three decades. By 1975, those running the Society's affairs had apparently forgotten (if they ever knew) that the 1970 bylaws existed. The Society was run in accordance with bylaws first adopted in 1978, which provided a different approach to governance than the 1970 bylaws, and all members of the Society knew or had the means of knowing this. Until 2001, none protested. To allow petitioners to resuscitate the 1970 bylaws when they finally rediscovered them would be unwise and unfair (*see Matter of George [Holstein-Friesian Assn. of Am.]*, 238 NY 513, 522 [1924]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for proceedings consistent with this opinion.

Chief Judge KAYE and Judges GRAFFEO, READ, PIGOTT and JONES concur; Judge CIPARICK taking no part.

Order reversed, etc.

[893 NE2d 105, 862 NYS2d 828]

THE PEOPLE OF THE STATE OF NEW YORK, by ELIOT SPITZER, Attorney General of the State of New York, Appellant, v RICHARD A. GRASSO, Respondent, et al., Defendants. (And Other Actions.)

Argued June 3, 2008; decided June 25, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 8, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 12 Misc 3d 384), which had denied a motion by defendant Richard A. Grasso, pursuant to CPLR 3211 (a) (7), to dismiss the first, fourth, fifth, and sixth causes of action, and (2) granted the motion. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

People v Grasso, 42 AD3d 126, affirmed.

HEADNOTE

Attorney General — Powers — Authority to Sue Officer or Director of Not-For-Profit Corporation — Nonstatutory Causes of Action

In an action brought by the New York State Attorney General challenging as excessive the compensation paid to defendant, the former chairman and chief executive officer of the New York Stock Exchange (NYSE), a New York not-for-profit corporation regulated by the Not-For-Profit Corporation Law, in which both statutory and nonstatutory causes of action were alleged, the Attorney General lacked authority to assert the complaint’s four nonstatutory causes of action against defendant. The four nonstatutory claims were premised on provisions of the N-PCL but clothed in the common law, and included causes of action for a constructive trust and payment had and received, based on a theory of unjust enrichment; a cause of action seeking restitution of certain benefit awards alleging that a majority of the Board failed to approve them; and a cause of action alleging that the NYSE’s advance payments from a retirement plan violated the prohibition against loans to officers and that the NYSE was entitled to reasonable interest thereon. The two statutory claims, alleging an unlawful transfer and breach of fiduciary duty, were brought pursuant to specific provisions of the N-PCL and required the Attorney General to prove defendant’s fault. The nonstatutory causes of action, however, were devoid of any fault-based elements. As such, they were fundamentally inconsistent with the N-PCL, and reached beyond the bounds of the Attorney General’s authority.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Attorney General §§ 7, 21, 35.

NY JUR 2d, State of New York §§ 27, 29, 33, 34, 43, 44.

ANNOTATION REFERENCE

See ALR Index under Attorney General.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, New York City (Barbara D. Underwood, Benjamin E. Rosenberg and Jeffrey P. Metzler of counsel), for appellant. I. Assertion of the nonstatutory causes of action is an appropriate exercise of the Attorney General's historic common-law parens patriae authority. (*State of New York v Cortelle Corp.*, 38 NY2d 83; *People v Lowe*, 117 NY 175; *Finger Lakes Health Sys. Agency v St. Joseph's Hosp.*, 81 AD2d 403; *Hawaii v Standard Oil Co. of Cal.*, 405 US 251; *Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *People by Vacco v Mid Hudson Med. Group, P.C.*, 877 F Supp 143; *State of N.Y. by Abrams v General Motors Corp.*, 547 F Supp 703; *State of New York v Booth*, 32 NY 397; *People of State of N.Y. by Abrams v Seneci*, 817 F2d 1015; *People of State of N.Y. by Abrams v Holiday Inns, Inc.*, 656 F Supp 675.) II. The N-PCL did not limit or displace the Attorney General's parens patriae authority. (*People v New York Cent. & Hudson Riv. R.R. Co.*, 74 NY 302; *People v Phyfe*, 136 NY 554; *People v King*, 61 NY2d 550; *Matter of Bayswater Health Related Facility v Karagheuzoff*, 37 NY2d 408; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Mark G. v Sabol*, 93 NY2d 710; *State of New York v Cortelle Corp.*, 38 NY2d 83; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Alco Gravure, Inc. v Knapp Found.*, 64 NY2d 458; *Smithers v St. Luke's-Roosevelt Hosp. Ctr.*, 281 AD2d 127.)

Williams & Connolly LLP, Washington, D.C. (Gerson A. Zweifach, Brendan V. Sullivan, Jr., Steven M. Farina and Carl R. Metz of counsel), and Flemming Zulack Williamson Zauderer LLP, New York City (Mark C. Zauderer and Jonathan D. Lupkin of counsel), for respondent. I. The Attorney General's parens patriae power does not extend to rewriting statutes. (*Rogers v Hill*, 289 US 582; *Eisenberg v Central Zone Prop. Corp.*, 306 NY 58; *American Baptist Churches of Metro. N.Y. v Gallo-*

way, 271 AD2d 92; *Kalmanash v Smith*, 291 NY 142; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *People v Litto*, 8 NY3d 692; *Carrier v Salvation Army*, 88 NY2d 298; *Mark G. v Sabol*, 93 NY2d 710; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398.) II. A suit to return compensation paid by the New York Stock Exchange is not a valid exercise of *parens patriae* authority. (*People v Lowe*, 117 NY 175; *People v Ingersoll*, 58 NY 1; *Abrams v 11 Cornwell Co.*, 695 F2d 34; *Matter of State of New York v New York City Conciliation & Appeals Bd.*, 123 Misc 2d 47; *People of State of N.Y. by Abrams v Holiday Inns, Inc.*, 656 F Supp 675; *Matter of Herbert H. Lehman Coll. Found. v Fernandez*, 292 AD2d 227; *Pennsylvania v New Jersey*, 426 US 660; *People v O'Brien*, 111 NY 1; *Town of Riverhead v Long Is. Light. Co.*, 258 AD2d 643.)

OPINION OF THE COURT

Chief Judge KAYE.

This appeal arises out of compensation paid by the New York Stock Exchange (NYSE) to Richard A. Grasso, Chairman and Chief Executive Officer from 1995 until his resignation in September 2003. At all times relevant to this appeal the NYSE was a New York not-for-profit corporation regulated by the Not-For-Profit Corporation Law (N-PCL).¹ The present challenge is to four of the eight causes of action brought by the Attorney General charging that the compensation paid to Grasso was excessive.

The Allegations of the Complaint

Three agreements, executed in 1995, 1999 and 2003, governed Grasso's compensation by the NYSE. From 1995 through 2002, his base salary was roughly \$1.4 million, but his bonus awards escalated from \$900,000 in 1995 to \$10.6 million in 2002. The 2003 agreement provided Grasso with an immediate lump sum payment of \$139.5 million and an additional \$48 million payable over four years—compensating him for past and future work.

1. N-PCL 201 (b) defines four types of corporations, each with a different purpose. Type A corporations, like the NYSE, “may be formed for any lawful non-business purpose.” Type B corporations may be formed to serve “charitable, educational, religious, scientific, literary, cultural [purposes] or for the prevention of cruelty to children or animals”; Type C corporations “may be formed for any lawful business purpose to achieve a lawful public or quasi-public objective”; Type D corporations can serve any purpose so long as their formation is authorized “by any other corporate law of this state.”

The Attorney General alleges that the payments contemplated by the 2003 agreement were not reasonable or commensurate with the services performed by Grasso, and therefore violated N-PCL 202 (a) (12) and 515 (b). The complaint describes the situation as “a fundamental breakdown of corporate governance” predicated on numerous breaches of fiduciary duty, beginning with the composition of the Compensation Committee—its members hand-picked by Grasso—which ignored a benchmark system² designed to calculate Grasso’s compensation. In 1999, 2000 and 2001, the Compensation Committee provided Grasso with awards exceeding the benchmark by 64%, 141% and 65%, respectively. In addition, the Attorney General alleges that information provided to Committee and Board members regarding the extent of Grasso’s compensation under various benefit programs was inaccurate, incomplete and misleading.

The complaint then shifts to a description of the negotiation process for the 2003 agreement, beginning with Grasso’s 2002 proposal. Instead of immediately approving the package, the Compensation Committee retained the law firm of Vedder Price to serve as independent consultant. By August 2003 an agreement still had not been reached and several Board members expressed disapproval of the \$139.5 million figure. In light of these concerns, according to the complaint, the proposal was not included on the agenda for the August 7, 2003 Compensation Committee meeting or Board meeting. During the August 7 Committee meeting, however, the members present decided to approve the proposal and pass it on to the Board. Allegedly, as a result of this last-minute change, neither independent counsel nor opponents of the compensation package were at the meeting, and Board members who did attend had no opportunity to review the details of the package in advance of the meeting. The Board, nonetheless, approved the \$187.5 million package.

Grasso’s Resignation and the Instant Action

The negative reaction to Grasso’s compensation package forced his resignation and prompted an internal investigation. Based on the investigation’s results, the NYSE Interim Chair-

2. In 1996 the Compensation Committee adopted a policy of assessing executive compensation by comparing it to the compensation paid to senior executives of large, for-profit companies—the “Comparator Group.” The basis for selecting these executives was to ensure that the NYSE offered competitive salaries to attract “world class talent.”

man wrote both to the Attorney General and to the Chairman of the Securities and Exchange Commission asking that they “pursue the matter on [the NYSE’s] behalf and as part of [their] broader responsibilities.” Five months later, the Attorney General commenced this action.

The complaint asserts eight causes of action—six against Grasso, one against Kenneth Langone (Chairman of the Compensation Committee from 1999 through June 2003), and one for declaratory and injunctive relief against the NYSE. The causes of action against Grasso can be separated into two categories—the statutory causes of action and the nonstatutory causes of action that are the subject of this appeal. The two statutory claims against Grasso—the second and third causes of action—are for unlawful transfer of corporate assets and breach of fiduciary duty (*see* N-PCL 720 [a], [b]). Section 720 (b) expressly authorizes the Attorney General to bring these two causes of action and that authority is uncontested in this appeal.³

The four nonstatutory claims against Grasso are at bottom premised on provisions of the N-PCL but clothed in the common law. The first and fourth causes of action for a constructive trust and payment had and received, based on a theory of unjust enrichment, are premised on the reasonable compensation provisions of the N-PCL (*see* N-PCL 202 [a] [12]; 515 [b]). The fifth cause of action seeks restitution of certain benefit awards alleging that a majority of the Board failed to approve them as required by N-PCL 715 (f). Finally, the sixth cause of action alleges that the NYSE’s advance payments from a retirement plan violated the prohibition against loans to officers under N-PCL 716 and that the NYSE is entitled to reasonable interest thereon.

Grasso moved to dismiss the four nonstatutory claims on the ground that the Attorney General lacked authority to maintain them. Supreme Court denied defendant’s motion to dismiss, holding that the Attorney General had standing to sue under

3. The Attorney General’s authority to maintain the second and third causes of action is, however, the subject of another appeal pending in the Appellate Division. Grasso alleges that the Attorney General has lost standing to sue under N-PCL 720 because the NYSE, after its corporate reorganization in 2006, became a for-profit company (NYSE LLC) with a not-for-profit regulatory arm (*see People v Grasso*, 13 Misc 3d 1227[A], 2006 NY Slip Op 52019[U], *9 [2006]). Supreme Court denied Grasso’s motion for summary dismissal of those claims.

the parens patriae doctrine to vindicate the interests of the investing public.⁴

A majority at the Appellate Division reversed and dismissed the four nonstatutory causes of action against Grasso, viewing them as an attempt to circumvent the fault-based claims provided by the N-PCL. The dissenting Justices would have permitted the claims to proceed based on the parens patriae doctrine. We now affirm the order of the Appellate Division.

Analysis

Although several provisions of the N-PCL mirror those regulating for-profit entities under the Business Corporation Law, one unique characteristic is the legislative codification of the Attorney General's traditional role as an overseer of public corporations (*see e.g. People v Lowe*, 117 NY 175 [1889]).

At least 18 provisions of the statute detail the Attorney General's varied enforcement powers. These powers include the ability to provide structural relief with respect to the corporation and to bring actions against individual directors or officers. Section 112 expressly authorizes actions or special proceedings to annul or dissolve corporations that have acted beyond their authority or to restrain unauthorized activities (N-PCL 112 [a] [1]). In addition, the Attorney General may enforce any right given to members of Type B or Type C corporations and, upon an order from Supreme Court, may do the same for Type A corporations (N-PCL 112 [a] [7], [9]). In addition, sections 719 and 720 permit the Attorney General to seek redress for injuries resulting from—to name only a few—unlawful distributions of corporate cash, property or assets (N-PCL 719 [a] [1], [4]), improper loans (N-PCL 719 [a] [5]), waste of corporate assets (N-PCL 720 [a] [1] [B]) and breach of fiduciary duties (N-PCL 720 [a] [1] [A]). The Attorney General's authority to maintain these actions is explicitly codified under N-PCL 720 (b).

4. Parens patriae is a common-law standing doctrine that permits the state to commence an action to protect a public interest, like the safety, health or welfare of its citizens. To invoke the doctrine, the Attorney General must prove a quasi-sovereign interest distinct from that of a particular party and injury to a substantial segment of the state's population (*see Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592, 607 [1982]). In varying contexts, courts have held that a state has a quasi-sovereign interest in protecting the integrity of the marketplace (*see State of N.Y. by Abrams v General Motors Corp.*, 547 F Supp 703 [SD NY 1982]; *People v H&R Block, Inc.*, 16 Misc 3d 1124[A], 2007 NY Slip Op 51562[U] [2007]).

The Legislature's comprehensive enforcement scheme, however, is not without limitation. First, any action or special proceeding brought by the Attorney General under the N-PCL "is triable by jury as a matter of right" (N-PCL 112 [b] [1]). Second, and most relevant to the issue before us, the Legislature has provided directors and officers with the protections of the business judgment rule (*see* N-PCL 717). The statute provides that officers and directors must discharge "the duties of their respective positions in good faith and with that degree of diligence, care and skill which ordinarily prudent men would exercise under similar circumstances in like positions" (N-PCL 717 [a]). Officers and directors are permitted to rely on information, opinions or reports of reasonable reliability so long as the officer or director acts in good faith (N-PCL 717 [b]). Moreover, the statute dictates that persons "who so perform their duties shall have no liability by reason of being or having been directors or officers of the corporation" (N-PCL 717 [b]).

Despite the numerous causes of action explicitly made available to the Attorney General, the four nonstatutory claims that are the subject of this appeal rest on an assertion of *parens patriae* authority to vindicate the public's interest in an honest marketplace. Here, however, as the dispositive defect stems from the inconsistency between the two sets of claims, we need not and do not reach the scope of any such authority. Instead, a side-by-side comparison of the challenged claims and the statutory claims reveals that the Attorney General has crafted four causes of action with a lower burden of proof than that specified by the statute, overriding the fault-based scheme codified by the Legislature and thus reaching beyond the bounds of the Attorney General's authority.

In an analogous context, we have consistently held that a private right of action may not be implied from a statute where it is "incompatible with the enforcement mechanism chosen by the Legislature" (*Sheehy v Big Flats Community Day*, 73 NY2d 629, 635 [1989]; *see also Mark G. v Sabol*, 93 NY2d 710 [1999]; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32 [1999]). That the plaintiff here is the Attorney General as opposed to a private party does not preclude the application of these decisions (*see e.g. People v Litto*, 8 NY3d 692, 705 [2007]). Rather, in this context, the Attorney General's role as a member of the executive branch heightens our concerns. Although the Executive must have flexibility in enforcing statutes, it must do so while maintaining the integrity of calculated legislative policy judg-

ments. That balance falters where, as here, the Executive seeks to create a remedial device incompatible with the particular statute it enforces.

The two statutory claims asserted against Grasso, in addition to those provided in N-PCL 719, rest on the fault-based provisions enacted by the Legislature to remedy not-for-profit corporate wrongdoing. The second cause of action for an unlawful transfer permits an action “[t]o set aside an unlawful conveyance, assignment or transfer of corporate assets, where the transferee *knew of its unlawfulness*” (N-PCL 720 [a] [2] [emphasis added]). The third cause of action for breach of fiduciary duty permits an action for the “neglect of, or failure to perform . . . duties in the management and disposition of corporate assets” and for an officer’s “acquisition . . . , loss or waste of corporate assets due to any neglect of, or failure to perform . . . duties” (N-PCL 720 [a] [1] [A], [B]). This claim requires a showing that the officer or director lacked good faith in executing his duties. The plain language of these provisions reveals a legislative policy decision to provide officers and directors of not-for-profit corporations with the “business judgment” protections afforded their for-profit counterparts. The Legislature specifically provided for the Attorney General’s role as an overseer of not-for-profit corporations, and requires that he prove an officer’s fault to sustain these claims.

By contrast, the four nonstatutory causes of action are devoid of any fault-based elements and, as such, are fundamentally inconsistent with the N-PCL. The first and fourth causes of action—for a constructive trust and payment had and received—rely on the reasonable compensation provisions of the N-PCL and seek the same relief as the statutory claims, yet they lack any element of knowledge or bad faith. Rather, under these claims the Attorney General need only prove that Grasso’s compensation was unreasonable and, therefore, unlawful under the N-PCL and constituting an ultra vires act. Abandoning the knowledge requirement of N-PCL 720 (a) (2) and the business judgment rule, they would impose a type of strict liability.

The fifth cause of action asserts that Grasso’s salary was not approved in accordance with N-PCL 715 (f). Section 715 addresses circumstances relating to interested directors and officers. It provides, “[t]he fixing of salaries of officers . . . shall require the affirmative vote of a majority of the entire board” (N-PCL 715 [f]). It does not, however, grant the Attorney General the authority to maintain an action for the Board’s failure

to properly vote on a compensation package. In fact, N-PCL 715 (b) provides the corporation—not the Attorney General—with the power to avoid contracts or transactions between the corporation and its officers or directors and, even then, such actions may only be maintained in the absence of good faith (N-PCL 715 [b]).

Finally, the sixth cause of action alleges that certain advance payments from Grasso's supplemental retirement plan constituted an improper loan under N-PCL 716 and seeks interest on the loaned amounts. As distinct from the other three, the N-PCL expressly provides the Attorney General the authority to bring an action against directors who approve a loan in violation of N-PCL 716 (*see* N-PCL 719 [a] [5]; 720 [b]). The Attorney General's present claim fails, however, for the same reason as the other three: the statutory claim would require the Attorney General to overcome a business judgment defense, whereas the action pleaded disregards the knowledge element that other unlawful transfers must allege (*see* N-PCL 719 [e]; 720 [a] [2]).

In summary, each of the challenged causes of action against Grasso seeks to ascribe liability based on the size of his compensation package. The Legislature, however, enacted a statute requiring more. The Attorney General may not circumvent that scheme, however unreasonable that compensation may seem on its face. To do so would tread on the Legislature's policy-making authority.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

[893 NE2d 116, 862 NYS2d 839]

ROBERT FALK et al., Appellants, v TIMOTHY CHITTENDEN, Respondent.

Argued June 4, 2008; decided June 26, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 12, 2006. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Joan B. Lefkowitz, J.), which had granted defendant's motion for summary judgment dismissing the complaint.

Falk v Chittenden, 35 AD3d 531, reversed.

HEADNOTE

Attorney and Client — Disqualification — Standing as Prior Client

Plaintiff police lieutenant, who had commenced the underlying police disciplinary proceeding against defendant police officer, had standing as a former client of defendant's attorney to bring an action seeking a declaration that the attorney had a conflict of interest precluding him from representing defendant in the disciplinary proceeding. Code of Professional Responsibility DR 5-108 (a) (1) (22 NYCRR 1200.27 [a] [1]) requires a party seeking disqualification of an opponent's lawyer to show that there was a prior attorney-client relationship, that the matters involved in both representations are substantially related, and that the present interests of the attorney's past and present clients are materially adverse. Here, plaintiff previously sought legal advice from defendant's attorney at least partly in a professional capacity, with their conversations touching on the matter of disciplining defendant. Moreover, seeking advice about a potential disciplinary case against defendant for insubordination was "substantially related" to actually bringing just such a case a couple of years later, and the parties' interests in the disciplinary proceeding were materially adverse.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 191, 192, 195.

CARMODY-WAIT 2d, Officers of Court §§ 3:397, 3:398.

22 NYCRR 1200.27 (a) (1).

NY JUR 2d, Attorneys at Law §§ 79, 82, 83, 167.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Conflict of Interest.

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Query: disqualif! /s attorney lawyer counsel /s related /s
adverse & disciplinary

POINTS OF COUNSEL

Landman Corsi Ballaine & Ford P.C., New York City (*Louis G. Corsi* and *Ameet B. Kabrawala* of counsel), and *Law Office of Vincent Toomey*, Lake Success (*Vincent Toomey* and *Christine A. Gaeta* of counsel), for appellants. I. The municipality and the police supervisor who brought disciplinary charges against a police officer have standing to seek an attorney's disqualification from representing the police officer at a disciplinary proceeding when the police supervisor who brought the charges previously consulted with that attorney about substantially related disciplinary problems concerning that police officer. (*Kassis v Teacher's Ins. & Annuity Assn.*, 93 NY2d 611; *Jamaica Pub. Serv. Co. v AIU Ins. Co.*, 92 NY2d 631; *Solow v Grace & Co.*, 83 NY2d 303; *Greene v Greene*, 47 NY2d 447; *Nichols v Village Voice*, 99 Misc 2d 822; *Rose Ocko Found. v Liebovitz*, 155 AD2d 426; *Arifi v de Transp. du Cocher, Inc.*, 290 F Supp 2d 344; *Weinberger v City of New York*, 97 AD2d 819; *A.F.C. Enters., Inc. v New York City School Constr. Auth.*, 33 AD3d 736; *Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148.) II. The trial court and the Appellate Division had the inherent power and obligation to address sua sponte the issue of attorney conflict in order to prevent the disclosure of privileged attorney-client communications, protect the integrity of an administrative disciplinary proceeding, and ensure both clients and the general public that lawyers will act within the bounds of ethical conduct. (*Leviten v Sandbank*, 291 NY 352; *Rainbow Hill Homeowners Assn., Inc. v Gigante, Inc.*, 32 AD3d 532; *Dorsainvil v Parker*, 14 Misc 3d 397; *Island Pa-Vin Corp. v Klinger*, 76 Misc 2d 180, 47 AD2d 627; *HF Mgt. Servs. LLC v Pistone*, 34 AD3d 82; *Rosen v Rosen*, 5 Misc 3d 1031[A], 2003 NY Slip Op 51736[U]; *Booth v Continental Ins. Co.*, 167 Misc 2d 429; *Develop Don't Destroy Brooklyn v Empire State Dev. Corp.*, 31 AD3d 144; *Nichols v Village Voice*, 99 Misc 2d 822; *Kevlik v Goldstein*, 724 F2d 844.) III. Because there are no triable issues of fact, this Court should direct the Supreme Court to enter judgment in favor of plaintiffs declaring that defendant's counsel is disqualified from representing him in the pending disciplinary proceedings. (*Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Dunham v Hilco Constr. Co.*, 89 NY2d 425; *Igbara Realty Corp. v New York Prop. Ins. Underwriting Assn.*, 63 NY2d 201;

Matter of Town of Islip v Cuomo, 64 NY2d 50; *Hecht v City of New York*, 60 NY2d 57.)

Lovett & Gould, LLP, White Plains (*Jane Bilus Gould* of counsel), for respondent. Plaintiffs have failed to sustain their burden of establishing that disqualification is warranted. (*Tekni-Plex, Inc. v Meyner & Landis*, 89 NY2d 123; *Campolongo v Campolongo*, 2 AD3d 476; *Heim v Merritt-Meridian Corp.*, 236 AD2d 367; *Reem Contr. Corp. v Resnick Murray St. Assoc.*, 43 AD3d 369; *Gaspar v Hollrock Poured Concrete, Inc.*, 7 AD3d 871; *Sollow v Grace & Co.*, 83 NY2d 303; *Jamaica Pub. Serv. Co. v AIU Ins. Co.*, 92 NY2d 631; *Waehner v Northwest Bay Partners, Ltd.*, 30 AD3d 799; *Greene v Greene*, 47 NY2d 447; *Medical Capital Corp. v MRI Global Imaging, Inc.*, 27 AD3d 427.)

OPINION OF THE COURT

READ, J.

In 2003, Robert Falk, in his capacity as a lieutenant in the City of Rye's Police Department, commenced a disciplinary proceeding against Officer Timothy Chittenden pursuant to Civil Service Law § 75 and the Police Department's Rules and Regulations. Falk, who supervised Chittenden, preferred five misconduct charges alleging insubordination by Chittenden toward another police lieutenant, Joseph Verille, in December 2002. Chittenden ultimately retained Jonathan Lovett, Esq. to represent him at the hearing on these charges.

Falk moved before the hearing officer to disqualify Lovett on the ground that he had an attorney-client relationship with him, which created a conflict of interest. Chittenden opposed the motion, and the hearing officer concluded that he did not have authority to decide it. The hearing officer consequently "strongly recommend[ed] that this Motion to Disqualify Counsel be referred to the Supreme Court," noting that "many issues of credibility" existed, and that the parties "total[ly] disagree[d] with regard to the [alleged prior] legal representation of Lieutenant Falk by Mr. Lovett."

By summons dated May 17, 2004 and verified complaint dated April 28, 2004, Falk and the City of Rye commenced this action against Chittenden in Supreme Court. They sought a declaration that Lovett had a conflict of interest precluding him from representing Chittenden in the disciplinary proceeding and an order directing Chittenden to discontinue his representation by Lovett and his law firm. They alleged that in late 2000 and/or early 2001, Chittenden falsely complained to the newly ap-

pointed City Manager that Falk was incompetent, causing Falk to worry that the City Manager and Mayor might terminate his employment based on these complaints. As a result, Falk allegedly sought Lovett's advice on how to retain his position, met with him personally approximately five times, communicated with him many times via telephone and in writing, discussed Chittenden's acts of insubordination and shared numerous confidential documents with him, including e-mails from Chittenden evincing insubordination and Falk's private records on Chittenden, other police officers and city officials.

Based on these materials, Lovett allegedly advised Falk that disciplinary action could be taken against Chittenden, and the two men discussed using Lovett's services as a prosecutor in such an action. According to Falk, he offered to pay Lovett for his advisory services but Lovett demurred, suggesting a contingency fee arrangement in the event that Falk brought suit against the City.

Although Falk did not bring disciplinary charges against Chittenden at that time, he continued to consider Lovett his attorney and claims that he communicated with Lovett periodically. Lovett did not advise Falk of his intention to represent Chittenden in the 2003 disciplinary proceeding and Falk did not consent to the representation. After Falk learned that Lovett was representing Chittenden, Lovett allegedly called Falk and advised him that he would continue to represent Falk in other matters.

Falk and the City argue in this declaratory judgment action that Lovett's representation of Chittenden in the disciplinary proceeding creates a conflict of interest—for example, Chittenden could use the confidential information acquired through Lovett and Falk's attorney-client relationship during cross-examination. In his answer, Chittenden disputed much of Falk's description of the nature and frequency of the communications between Lovett and Falk.

Chittenden moved for summary judgment to dismiss the lawsuit, asserting that Falk and the City lacked capacity and standing to seek Lovett's disqualification, that the court was without subject matter jurisdiction, and that the complaint failed to state a cause of action. In an order dated April 18, 2005, Supreme Court granted the motion, opining that "the issue presented [wa]s not ripe for resolution, would result in an advisory opinion and is based upon events that might not occur."

Falk and the City appealed. In a decision and order dated December 12, 2006, the Appellate Division affirmed on a different ground. Disagreeing with Supreme Court, the Appellate Division determined that the controversy was ripe for judicial review because disqualification of Lovett would “have an ‘immediate and practical effect’ on the conduct of the parties” (*Falk v Chittenden*, 35 AD3d 531, 532 [2d Dept 2006], quoting *New York Pub. Interest Research Group v Carey*, 42 NY2d 527, 532 [1977]). The court concluded, however, that “Chittenden . . . demonstrated, in support of his motion for summary judgment, that the plaintiffs [Falk and the City] lack standing to seek the relief requested in the complaint[, and] the plaintiffs failed to raise a triable issue of fact [in opposition]” (*id.*).

The Appellate Division stated that “[a] party has no standing to seek the disqualification of an attorney with whom the party has no present or former attorney-client relationship”; and that “[t]he plaintiff City of Rye asserts no such relationship” (*id.*). “Rather,” according to the Appellate Division,

“the complaint is predicated upon Falk’s alleged private consultation with Lovett in connection with a related matter. As the plaintiffs’ attorney conceded at oral argument, however, Falk’s presence as a plaintiff in this action is in his official capacity as a lieutenant of the Rye City Police Department. Falk’s private consultation with Lovett did not establish an attorney-client relationship between Lovett and Falk, the lieutenant. The plaintiffs therefore lack standing to seek disqualification of Lovett in this action in which Falk appears only in his official capacity” (*id.* at 532-533 [citation omitted]).

We subsequently granted leave to appeal, and now reverse.

Code of Professional Responsibility DR 5-108 (a), which describes an attorney’s duty to maintain the confidences and secrets of *former* clients, provides in relevant part that

“a lawyer who has represented a client in a matter shall not, without the consent of the former client after full disclosure . . . [t]hereafter represent another person in the same or a substantially related matter in which that person’s interests are materially adverse to the interests of the former client” (22 NYCRR 1200.27 [a] [1]).

As we stated in *Jamaica Pub. Serv. Co. v AIU Ins. Co.* (92 NY2d 631 [1998]), DR 5-108 (a) requires a party seeking disqualification of an opponent's lawyer to show that there was a prior attorney-client relationship; that the matters involved in both representations are substantially related; and that the present interests of the attorney's past and present clients are materially adverse (*id.* at 636). Indeed, DR 5-108 (a) mandates disqualification where these three conditions are met (*see Tekni-Plex, Inc. v Meyner & Landis*, 89 NY2d 123, 132 [1996] ["where the movant satisfies all three inquiries . . . the irrebuttable presumption of disqualification arise(s)"]). All three conditions have been fulfilled here.

As an initial matter, those elements of the two parties' 2000/2001 interactions that are undisputed establish that some kind of attorney-client relationship existed between Lovett and Falk. The record shows that Falk sought Lovett's legal advice at least partly in a professional capacity. The record further establishes that conversations between Lovett and Falk touched on the matter of disciplining Chittenden. Lovett acknowledges that he rendered some legal advice on that issue, advising Falk to be wary of Officer Chittenden's First Amendment rights. Moreover, while disciplining Chittenden might have been a personal desire of Falk's, a request for legal advice as to whether discipline against an inferior officer is a viable course of action falls squarely within a commanding officer's professional responsibilities. Accordingly, Falk in his official capacity had an attorney-client relationship with Lovett, and therefore has standing as a prior client to bring this action for declaratory judgment.

The other prongs of DR 5-108 (a) are satisfied as well. Seeking advice about a potential disciplinary case against Chittenden for insubordination in 2000/2001 is "substantially related" to actually bringing just such a case in 2003. More specifically, Chittenden's prior conduct might bear on the issue of punishment, and Falk's prior consideration of pursuing charges for insubordination might likewise be relevant. Together, these factors create a sufficient nexus between the two representations. And Falk's and Chittenden's interests are materially adverse in the disciplinary proceeding, which pits these two parties—obvious antagonists—against one another.

As a final matter, Falk and the City have asked us to declare that Lovett is disqualified from representing Chittenden in the pending disciplinary proceeding. They did not, however, cross-move for summary judgment for this relief, which we may not

grant in the absence of an appeal from the denial of such a cross motion (*see Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106, 110 [1984]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[893 NE2d 120, 862 NYS2d 842]

CARMEL REDDINGTON, Appellant, v STATEN ISLAND UNIVERSITY
HOSPITAL et al., Respondents.

Argued May 28, 2008; decided July 1, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Does the institution of a time-barred claim pursuant to New York Labor Law § 740 simultaneously with a claim pursuant to New York Labor Law § 741 trigger section 740(7)’s waiver provision and thereby bar the section 741 claim, even if the section 740 claim is subsequently withdrawn? (2) Does the definition of employee in New York Labor Law § 741 encompass an individual who does not render medical treatment, and under what circumstances?”

HEADNOTES

Labor — Whistleblower Law — Election of Remedies

1. Plaintiff did not waive her right to pursue a Labor Law § 741 (Health Care Whistleblower Law) claim against her former employer by having asserted a time-barred, and subsequently withdrawn, Labor Law § 740 (Whistleblower Law) claim in her original complaint. Although Labor Law § 740 (7) contains an election-of-remedies provision, thus contemplating that a plaintiff will choose whether to file a section 740 whistleblower claim or some other claim, no election of remedies is implicated when sections 741 and 740 are pleaded together, or when section 741 is pleaded after a plaintiff has instituted a section 740 claim. Labor Law § 741 does not create its own private right of action, but rather contemplates enforcement through a Labor Law § 740 (4) civil suit. The elements of sections 740 and 741 are uniquely interconnected in that every section 741 claim expressly relies on and incorporates section 740 for purposes of enforcement.

Labor — Whistleblower Law — Health Care Whistleblower Law — Covered Employee

2. Plaintiff, who was formerly employed by defendant hospital as the coordinator and manager of volunteer services and then director of the International Patient Program, was not entitled to bring a claim for retaliatory personnel action against defendant under Labor Law § 741 (Health Care Whistleblower Law). The exceptional and specialized whistleblower protection of Labor Law § 741 is over and above the generalized protection afforded by Labor Law § 740 (Whistleblower Law), and is meant to safeguard only those employees who are qualified by virtue of training and/or experience to make

knowledgeable judgments as to the quality of patient care, and whose jobs require them to make these judgments. It extends only to those health care employees who “perform[] health care services” (Labor Law § 741 [1] [a]), meaning the employee must actually supply health care services, and not merely coordinate with those who do.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Wrongful Discharge §§ 117, 120, 121.

McKINNEY’s, Labor Law §§ 740, 741.

NY JUR 2d, Employment Relations §§ 502–506.

ANNOTATION REFERENCE

See ALR Index under Election of Remedies; Whistleblowers.

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Query: whistle-blow! /s health /2 care

POINTS OF COUNSEL

Behrins & Behrins, P.C., Staten Island (*Jonathan Behrins* of counsel), for appellant. I. Since a time-barred claim is not one initiated “in accordance” with section 740 of the Labor Law, it does not trigger the waiver provision set forth in section 740 (7). II. A cause of action under Labor Law § 741 is not subject to the waiver provision of Labor Law § 740 (7). (*Pipia v Nassau County*, 34 AD3d 664.) III. Even if the Labor Law § 740 (7) waiver extends to a Labor Law § 741 claim and is triggered by the initiation of a time-barred action under section 740, a plaintiff may properly avoid that consequence through an amended pleading that omits the section 740 claim. (*Collette v St. Luke’s Roosevelt Hosp.*, 132 F Supp 2d 256; *Testa v Katt*, 330 US 386; *Ferres v City of New Rochelle*, 68 NY2d 446; *Shields v Citytrust Bancorp, Inc.*, 25 F3d 1124; *Gonzalez v John T. Mather Mem. Hosp.*, 147 Misc 2d 1082; *Sage Realty Corp. v Proskauer Rose*, 251 AD2d 35; *Rotwein v Sunharbor Manor Residential Health Care Facility*, 181 Misc 2d 847; *Pipas v Syracuse Home Assn.*, 226 AD2d 1097.) IV. The definition of “employee” in Labor Law § 741 encompasses an individual who, though not rendering medical treatment, renders the kind of services that Carmel Reddington provided under her job titles for defendant Staten Island University Hospital.

Epstein Becker & Green, P.C., New York City (*Kenneth J. Kelly*

and *Jennifer M. Horowitz* of counsel), for respondents. I. The institution of a time-barred claim pursuant to Labor Law § 740 triggers section 740 (7)'s waiver provision and bars a Labor Law § 741 claim. (*People v Finnegan*, 85 NY2d 53; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *Desiderio v Ochs*, 100 NY2d 159; *Matter of Killian [General Motors Corp., Delco Chassis Div.—Sweeney]*, 89 NY2d 748; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Collette v St. Luke's Roosevelt Hosp.*, 132 F Supp 2d 256; *Feinman v Morgan Stanley Dean Witter*, 193 Misc 2d 496; *Rotwein v Sunharbor Manor Residential Health Care Facility*, 181 Misc 2d 847; *Pipas v Syracuse Home Assn.*, 226 AD2d 1097; *McGrane v Reader's Digest Assn., Inc.*, 863 F Supp 183, 60 F3d 811.) II. Labor Law § 741 does not afford protection to employees such as appellant who do not “perform” health care services.

OPINION OF THE COURT

READ, J.

The United States Circuit Court of Appeals for the Second Circuit has certified two questions to us: the first involves the relationship between the waiver clause in Labor Law § 740 (New York's Whistleblower Law) and Labor Law § 741 (New York's Health Care Whistleblower Law); the second relates to the scope of section 741's coverage. We begin by summarizing the facts alleged in the amended complaint.

I.

The Allegations in the Amended Complaint

Plaintiff Carmel Reddington was employed at defendant Staten Island University Hospital from December 19, 1994 to October 30, 2002. Reddington was first hired as a coordinator of volunteer services; in March 1998, she was promoted to the position of manager of volunteer services.

In early 2002, the Hospital launched a new program to attract cancer patients from Italy for stereotactic radiosurgery treatment at its facilities in New York. In May 2002, Hospital management tapped Reddington, who spoke Italian and was familiar with Italian culture and customs, to serve as a translator for patients being treated in this new program—eventually dubbed the International Patient Program—and their families. Reddington agreed to take on this extra responsibility until the Hospital hired someone for the job.

Upon meeting the Italian families for the first time, Reddington was “besieged with complaints of inadequate and non-treatment, abandonment, and failure to provide a translator.” Although she reported this to Hospital management, nothing was done and complaints persisted.

In June 2002, Reddington served as a translator at a meeting between Hospital management and “two supposed ‘doctors’ from Italy.” The attendees discussed opening a second office in Italy to be managed by one of the Italian doctors, who would receive a referral fee for each patient he sent to the Hospital for treatment. The other doctor was already receiving referral fees in connection with an existing office in Naples, Italy. When Reddington conveyed her uneasiness about the propriety and legality of this arrangement to Hospital management, she was treated dismissively by her supervisor.

Over the next two months, Reddington “worked feverishly with Italian patients and their families,” who continued to report problems to her, which she, in turn, conveyed to her supervisor. In August 2002, Reddington was asked to be the Program’s director, and she took the job. She claims that Hospital management repeatedly assured her that her former position “would always be available to her” if her new job did not work out. When Reddington “expressed reservations . . . about leaving for vacation without properly training” her replacement as manager of volunteer services, she was told “‘not to worry’, since [the Hospital] already had someone in mind.”

Reddington returned from her vacation and, on August 30, 2002, received and signed a written job description for her new position as “Director-International Patient Program.” Her duties and responsibilities, as set forth in the job description, were to

- “1. Coordinate arrival, transportation and lodging for international patients and ensure continuity with clinical services staff.
- “2. Coordinate and develop with Chief Medical Officer and appropriate medical personnel, services to be offered to international patients.
- “3. Coordinate marketing of the international patients program with Senior Staff.
- “4. Manage and train personnel providing transla-

tion services and maintain an on-call schedule to ensure coverage.

“5. Maintain International Patients Welcome Center to promote positive image of Staten Island University Hospital and its services.

“6. Develop calendar of activities for international patients to further enhance their experience at Staten Island University Hospital.

“7. Maintain up to date data base on patients serviced.

“8. Distribute, collect and analyze patient satisfaction questionnaires to continually enhance services.

“9. Communicate with consulate to coordinate patient[s'] letters of service.”

In time, Reddington came to believe that her leadership as the Program's director was being undermined by another Hospital employee, who reported to the senior vice-president of human resources. She objected about this to her supervisor.

On October 25, 2002, Reddington received a telephone call from the vice-president of human resources, who requested a meeting with her. At this meeting, Reddington repeated her grievances about the other employee's role in the Program. She complained, for example, that this other employee had given her “orders that there would be no more trips to the Retreat House; changed the schedule for bringing the patients to a prayer group and Mass; and cancelled the weekday trips to Manhattan.” The vice-president “conceded . . . that [Reddington] had some ‘legitimate concerns’ ” and committed to “investigate the matter.”

The vice-president also advised her, however, that the other employee “was to be ‘the point person’ ” between Reddington and her supervisor. When asked if she “was ‘okay’ with that,” Reddington responded “that she had no problem with [the] arrangement, and was merely asking for some clarification on the logistics of her department.” The vice-president then asked Reddington to meet with her again on October 30th “so they could try to clear up any misunderstandings.”

At the meeting on October 30th, the vice-president “accused” Reddington of calling her supervisor after having been directed not to do so. Reddington replied that she “was unaware that she was prohibited from speaking with” her supervisor at all,

and, in any event, had done so to coordinate the transportation of a dead patient's body back home to England. When the vice-president commented that Reddington's job responsibilities related only to Italian patients, Reddington "explained" that "this was untrue," and that she had, in fact, spent several hours the previous day with the British patient's family, "mak[ing] the necessary arrangements, and comforting them."

At the conclusion of this meeting, the vice-president fired Reddington. When Reddington asked to return to her former position as manager of volunteer services, the vice-president refused. When Reddington "pleaded" for an explanation of "what she had done wrong," she was informed that she had "disobeyed orders," and was told to "pack up and leave."

In November 2002, Reddington contacted the New York State Department of Labor, which advised her to obtain the Hospital's reasons for firing her in writing. After several requests by Reddington, the Hospital sent her a letter dated December 10, 2002, which stated that she had been dismissed "due to probationary failure." According to Reddington, she was never informed that her new position involved a probationary period.

Prior Proceedings

After receiving a right-to-sue notice from the Equal Employment Opportunity Commission, Reddington filed a complaint in the United States District Court for the Eastern District of New York on March 16, 2004, naming the Hospital and North Shore-Long Island Jewish Health System, Inc., which allegedly owned and/or controlled the Hospital, as defendants. In her complaint, Reddington asserted numerous causes of action: violations of federal, state and municipal laws prohibiting age discrimination in employment; violation of New York's Whistleblower Law (Labor Law § 740); violation of the New York's Health Care Whistleblower Law (Labor Law § 741); violation of the Fair Labor Standards Act; intentional infliction of emotional distress; and breach of contract.

After defendants moved to dismiss for failure to state a claim and for lack of subject-matter jurisdiction as well as for an award of attorneys' fees under Labor Law § 740 (6), Reddington amended her complaint on August 24, 2004. She withdrew her claim under Labor Law § 740—which was time-barred—and the Fair Labor Standards Act, as well as her claim for intentional infliction of emotional distress. Defendants again moved to dismiss and for an award of attorneys' fees.

On June 21, 2005, the District Court ruled on the defendants' motion, granting it in part by dismissing Reddington's claims under Labor Law § 741 and for breach of contract, and denying it in part by concluding that Reddington had stated claims under federal, state and municipal age discrimination laws (*see Reddington v Staten Is. Univ. Hosp.*, 373 F Supp 2d 177 [ED NY 2005]). The Judge declined to award attorneys' fees to the Hospital.

With respect to Reddington's Labor Law § 741 claim, the District Court found that "plaintiff waived this claim when she asserted a claim for retaliatory termination under § 740 in her original complaint," citing the "waiver" or "election of remedies" provision in Labor Law § 740 (7) (*Reddington*, 373 F Supp 2d at 187). The District Court Judge rejected Reddington's argument that amending her complaint to omit the section 740 claim precluded any section 740 (7) waiver; he concluded that the plain text of section 740 (7) refers to "*institut[ing]* an action" (*id.* at 186). In addition, in a footnote the Judge offered as an alternative basis for dismissal that section 741 did not apply to Reddington because

"[t]here [were] no allegations in the complaint that [she] performed health care services while employed by [the Hospital] or was a health care employee. Instead, the complaint alleges that she acted as an interpreter and that she held the positions of Coordinator and Manager of Volunteer Services and later Director of the [Program]" (*id.* at 187 n 7 [internal quotation marks omitted]).

After discovery on the age discrimination claims, the parties stipulated to their dismissal with prejudice, which led to entry of final judgment. Reddington then appealed the dismissal of her Labor Law § 741 claim to the Second Circuit, which observed that the District Court

"based its conclusion [that Reddington failed to state a claim under section 741] on two alternative grounds: first, that Reddington waived her claim under section 741, the health care whistleblower provision, by previously initiating an action under section 740, New York's general whistleblower provision; and second, that Reddington was not an employee within the meaning of section 741" (*Reddington v Staten Is. Univ. Hosp.*, 511 F3d 126, 132 [2d Cir 2007] [citation omitted]).

Finding no controlling decision of this Court on either issue, and substantial disagreement among state and federal courts on both, the Second Circuit certified the following two questions to us:

“(1) Does the institution of a time-barred claim pursuant to New York Labor Law § 740 simultaneously with a claim pursuant to New York Labor Law § 741 trigger section 740(7)’s waiver provision and thereby bar the section 741 claim, even if the section 740 claim is subsequently withdrawn?

“(2) Does the definition of employee in New York Labor Law § 741 encompass an individual who does not render medical treatment, and under what circumstances?” (*Id.* at 136.)

For the reasons that follow, we answer both questions in the negative.

II.

Section 740 (7), which contains the Whistleblower Law’s so-called “waiver” provision, states as follows:

“Existing rights. Nothing in this section shall be deemed to diminish the rights, privileges, or remedies of any employee under any other law or regulation or under any collective bargaining agreement or employment contract; *except that the institution of an action in accordance with this section shall be deemed a waiver of the rights and remedies available under any other contract, collective bargaining agreement, law, rule or regulation or under the common law*” (emphasis added).

The plain text of this provision indicates that “institut[ing]” an action—without anything more—triggers waiver. And in New York, an action is instituted with the filing of a complaint and service upon opposing parties. Moreover, documents in the Bill Jacket repeatedly refer to section 740 (7) as an election-of-remedies provision, thus contemplating that a plaintiff will *choose* whether to file a section 740 whistleblower claim or some other claim (*see e.g.* Mem of Pub Empl Relations Bd, Bill Jacket, L 1984, ch 660, at 16).

[1] Although Reddington argues that either filing a time-barred section 740 claim (as she did), or amending a complaint to omit a section 740 claim (as she also did), precludes waiver,

section 740 (7)'s language and legislative history do not support her position. A "cause of action will be deemed the same if the amended and original complaints both seek to enforce the same obligation or liability" (*Abrams v Maryland Cas. Co.*, 300 NY 80, 86 [1949] [citations omitted]). In short, Reddington clearly "institut[ed] . . . an action in accordance with [section 740]." We conclude, however, that Reddington nonetheless did not waive the right to pursue her section 741 claim. This conclusion flows from the uniquely interconnected elements of sections 740 and 741; specifically, every section 741 claim expressly relies on and incorporates section 740 for purposes of enforcement.

Labor Law § 741 (4) states: "Enforcement. A health care employee may seek enforcement of this section *pursuant to paragraph (d) of subdivision four of section seven hundred forty of this article*" (emphasis added). Importantly, Labor Law § 740—unlike section 741—explicitly creates a private right of action, stating in relevant part:

"Violation; remedy. (a) An employee who has been the subject of a retaliatory personnel action in violation of this section may institute a civil action in a court of competent jurisdiction for relief as set forth in subdivision five of this section within one year after the alleged retaliatory personnel action was taken" (Labor Law § 740 [4] [a]).

Paragraph (d) of section 740 (4)—specified in section 741 (4) as the means to enforce section 741—provides that

"a health care employee who has been the subject of a retaliatory action by a health care employer in violation of section seven hundred forty-one of this article may institute a civil action in a court of competent jurisdiction for relief as set forth in subdivision five of this section within two years after the alleged retaliatory personnel action was taken. In addition to the relief set forth in that subdivision, the court, in its discretion, based upon a finding that the employer acted in bad faith in the retaliatory action, may assess the employer a civil penalty of an amount not to exceed ten thousand dollars, to be paid to the improving quality of patient care fund, established pursuant to section ninety-seven-aaaa of the state finance law" (emphasis added).

This provision was enacted concurrently with section 741 (*see* L 2002, ch 24, §§ 1, 2); it was not enacted with the rest of section 740 (*see* L 1984, ch 660, § 2).

Thus, rather than creating its own private right of action, Labor Law § 741 contemplates enforcement through a Labor Law § 740 (4) civil suit. This is critically important, as it completely changes the nature of the waiver inquiry in a case involving sections 740 and 741. That is, the plain language of section 741 (4) indicates that a claim under that provision necessarily involves section 740 (4) (d) and therefore section 740, to that extent, remains in the case, eliminating any notion of waiver. This is so whether or not a separate section 740 claim is pleaded in the original complaint.

Put another way, section 740 (7), as noted previously, is an election-of-remedies provision (*see e.g. Reddington*, 511 F3d at 132; *Collette v St. Luke's Roosevelt Hosp.*, 132 F Supp 2d 256, 268-269 [SD NY 2001]). Yet no election of remedies is implicated when sections 741 and 740 are pleaded together, or section 741 is pleaded after a plaintiff has instituted a section 740 claim, because section 741 provides no independent remedy. Section 741 sets out substantive legal requirements while explicitly relying on section 740 for their enforcement (*see* Labor Law § 741 [4]). Importantly, as the entire point of section 740 (7)'s waiver provision is to prevent duplicative recovery, a plaintiff health care employee can only recover damages for a section 741/740 (4) violation (specific) *or* a section 740 violation (general), but *not* for both.

The dissent objects that section 740 (7) does not itself include “the words . . . ‘election of remedies’ ” or state that “there should be no duplicative recovery” (dissenting op at 94). By the same token, however, the Legislature did not, as previously noted, choose to create a right of action to enforce section 741 independent of section 740, which it surely would have done if it had intended for a plaintiff who initiates a section 740 action to thereby waive any subsequent claim under section 741 relating to the same alleged retaliatory action.

III.

The specialized protection offered by Labor Law § 741 extends only to those health care employees who “perform[] health care services” (Labor Law § 741 [1] [a]). Specifically, section 741 (2) states:

“Retaliatory action prohibited. Notwithstanding any

other provision of law, no employer shall take retaliatory action against any employee because the employee does any of the following:

“(a) discloses or threatens to disclose to a supervisor, or to a public body an activity, policy or practice of the employer or agent that the employee, in good faith, reasonably believes constitutes improper quality of patient care; or

“(b) objects to, or refuses to participate in any activity, policy or practice of the employer or agent that the employee, in good faith, reasonably believes constitutes improper quality of patient care.”

The terms “employee” and “improper quality of patient care” are defined in section 741 (1) (a) and (d) respectively. For purposes of section 741, “employee” is defined as “any person *who performs health care services* for and under the control and direction of any public or private employer which provides health care services for wages or other remuneration” (Labor Law § 741 [1] [a] [emphasis added]) and “improper quality of patient care” is defined to

“mean[], with respect to patient care, any practice, procedure, action or failure to act of an employer which violates any law, rule, regulation or declaratory ruling adopted pursuant to law, where such violation relates to matters which may present a substantial and specific danger to public health or safety *or a significant threat to the health of a specific patient*” (Labor Law § 741 [1] [d] [emphasis added]).

Unlike Labor Law § 740, which defines “employee” to “mean[] an individual who performs services for and under the control and direction of an employer for wages or other remuneration” (Labor Law § 740 [1] [a]), Labor Law § 741 therefore has an exactly specific definition of “employee”: “any person *who performs health care services* for and under the control and direction of any public or private employer which provides health care services for wages or other remuneration” (Labor Law § 741 [1] [a] [emphasis added]). This definition of employee contains two limitations: first, it applies only to those employed by “employer[s] . . . provid[ing] health care services,” and second, the category of covered workers is further narrowed to those “perform[ing] health care services.” It is important that

section 741 (1) (a) limits *both* type of employer (“employer which provides health care services”) and—given a qualifying employer—the type of employee (“any person who performs health care services”). This puts a clear outer boundary on employees covered by section 741: in order to give effect to both limitations within section 741 (1) (a), the universe of covered employees must be smaller than all those employed by a health care provider, who are afforded the more generalized protection of section 740 (*see* Labor Law § 740 [2] [a]; *see also* Budget Report on NY Assembly Bill A9454, at 1, Bill Jacket, L 2002, ch 24 [“The instant bill would build upon (section 740’s) protections and would specifically address the employment situations of health care workers”]).

Because some limiting principle is mandated by section 741, the question becomes the meaning of the phrase “performs health care services.” Webster’s Collegiate Dictionary defines “perform” as “carry out; do” or “to do in a formal manner or according to prescribed ritual” (Merriam-Webster’s Collegiate Dictionary 863 [10th ed 1998]), while the Oxford English Dictionary defines perform as “to carry through to completion; to complete, finish, perfect (an action process, work, etc.)” (10 Oxford English Dictionary 543 [2d ed 1989]). Similarly, Roget’s Thesaurus defines “perform” as “[t]o begin and carry through to completion” and supplies the synonyms “do,” “execute,” and “prosecute” (Roget’s II: The New Thesaurus 721 [3d ed 1995]). Nowhere is the term “perform” defined to mean “coordinate,” “communicate,” or “develop.”

[2] We have observed that “[i]n construing statutes, it is a well-established rule that resort must be had to the natural signification of the words employed, and if they have a definite meaning, which involves no absurdity or contradiction, there is no room for construction and courts have no right to add to or take away from that meaning” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998], quoting *Tompkins v Hunter*, 149 NY 117, 122-123 [1896] [additional citation omitted]). Here, the “natural signification” of section 741 (1) (a) is quite definite: to be subject to the special protections of section 741, an employee of a health care provider must “perform[] health care services,” which means to actually supply health care services, not merely to coordinate with those who do.

A review of the rest of Labor Law § 741, as well as the statute’s legislative history, further bolsters the plain-text interpretation of section 741 (1) (a). The Assembly memorandum in

support of Laws of 2002 (ch 24)—which enacted Labor Law § 741 as well as Labor Law § 740 (4) (d)—states, under the subtitle “JUSTIFICATION”:

“This legislation does not specifically mention adherence to acceptable standards of professional practice or a code of ethics. The bill does allow a *professional* to go to court to be made whole after retaliatory action when the *professional* reasonably believes that a state law, rule or regulation has been violated. It is expected that a *professional* would reasonably believe that a *practice identified in their professional standard or ethic* as best practice or prohibited practice would be reflected in the determinations of the state agencies that regulate *professional practice*. A *professional* who knows that a colleague or a facility has been sanctioned or disciplined by the state for improper patient care could reasonably believe that the state’s penalties were based upon a violation of state law, rule or regulation. Department of Health regulations (Section 405.5) require facilities to provide nurse staffing ‘to ensure, when needed in accordance with generally accepted standards of nursing practice, the immediate availability of a registered professional nurse for bedside care of any patient.’ *Nurses* would reasonably believe when, *in their professional judgment*, they were not immediately available to meet a patient’s needs that there was a violation of state regulations. Therefore, they would be able to have their day in court following retaliation for speaking out about their perception of inadequate staffing levels” (Assembly Rules Comm Mem in Support, at 1, Bill Jacket, L 2002, ch 24 [emphases added]).

This legislative history indicates that the specialized protections of Labor Law § 741 were meant to protect professional judgments regarding the quality of patient care. The example given in the Assembly memorandum—the only concrete example provided by the bill’s sponsors—is illustrative: a nursing regulation requiring “immediate availability” of bedside nursing care is cited. This is not to say that section 741 only covers employees who possess professional licenses; there may be cases where an employee without a professional license performs health care services in the employment of a health care provider. Nonethe-

less, section 741, which offers exceptional and specialized whistleblower protection over and above the generalized protection afforded by section 740, is meant to safeguard only those employees who are qualified by virtue of training and/or experience to make knowledgeable judgments as to the quality of patient care, and whose jobs require them to make these judgments.

Accordingly, the certified questions should be answered in the negative.

SMITH, J. (dissenting in part). I dissent from the majority's negative answer to the first question, and would hold that the institution of a claim under Labor Law § 740 bars a claim under Labor Law § 741.

Labor Law § 740 (7) says that “the institution of an action in accordance with this section shall be deemed a waiver of the rights and remedies available under any other contract, collective bargaining agreement, law, rule or regulation or under the common law.” This is an unusual statute. While it raises a number of interpretative questions, its basic thrust is clear enough: a plaintiff who sues under Labor Law § 740 waives his or her other rights. The message this sends to potential plaintiffs is: Do not sue under Labor Law § 740 unless you are confident that your claim is excellent.

There is much to be said for encouraging such a cautious approach to bringing lawsuits. That approach, however, is utterly alien to the shoot-first-and-ask-questions-later atmosphere so familiar to most American litigators. Perhaps for this reason, the waiver clause of section 740 (7) has had a checkered career.

Some courts have refused to hold, despite the plain language of the statute, that the mere “institution” of an action under section 740 triggers the waiver provision. They have held, in effect, that an action can be “un-instituted” if the section 740 claim is promptly dismissed or abandoned (*Gonzalez v John T. Mather Mem. Hosp.*, 147 Misc 2d 1082, 1083-1084 [Sup Ct, Suffolk County 1990]; *Clarke v TRW, Inc.*, 1994 WL 591677, *3-4, 1994 US Dist LEXIS 15423, *10-13 [ND NY 1994]; cf. *Gaughan v Nelson*, 1997 WL 80549, *2, 1997 US Dist LEXIS 1942, *5-7 [SD NY 1997]). *Clarke* also suggests that a section 740 claim dismissed for a legal deficiency “prior to judgment” may not trigger the waiver because it was not instituted “in accordance with” section 740 (1994 WL 591677 at *3, 1994 US Dist LEXIS 15423 at *10)—thus suggesting to prospective plaintiffs that it

is safe to begin a bad lawsuit, but not a good one. I agree with today's majority in disapproving of these two theories.

An extensive analysis by a federal district court, proceeding from the indisputable premise that a plaintiff filing under section 740 does not waive *all* other rights—she does not, for example, give up the right to sue her husband for divorce or her doctor for malpractice—concludes that only other whistleblower claims are waived (*Collette v St. Luke's Roosevelt Hosp.*, 132 F Supp 2d 256 [SD NY 2001]). The *Collette* court reached this conclusion at a time when New York had no other whistleblower statute. Other courts have given section 740 (7) a less restrictive reading (see e.g. *Pipas v Syracuse Home Assn.*, 226 AD2d 1097 [4th Dept 1996] [holding the waiver applicable to all claims that “relate to the retaliatory discharge”]; *Kraus v Brandstetter*, 185 AD2d 302, 302-303 [2d Dept 1992] [same]; *Rotwein v Sunharbor Manor Residential Health Care Facility*, 181 Misc 2d 847, 853-856 [Sup Ct, Nassau County 1999] [same]; see also *Owitz v Beth Israel Med. Ctr.*, 1 Misc 3d 912[A], 2004 NY Slip Op 50046[U], *4 [Sup Ct, NY County 2004] [referring to “the *Collette* Court’s very narrow interpretation of the § 740 waiver”]).

Though New York had no other whistleblower statute when *Collette* was decided, it has one now—and the majority today holds that a claim under the new statute, section 741, is immune from the waiver. The basis for the majority’s holding is “the uniquely interconnected elements of sections 740 and 741” (majority op at 88). The majority says that “no election of remedies is implicated” when both sections are pleaded, “because section 741 provides no independent remedy” (*id.* at 89). But the words of the statute are not “election of remedies,” but “waiver of the rights and remedies available under any other . . . law” (Labor Law § 740 [7]). I see nothing in these words to suggest that they do not apply to claims under section 741. The majority seems to hold that section 741 is not an “other” law, but that holding is logically unsound. Laws can be, as these two statutes are, closely related to each other and still distinct.

The majority says that “the entire point of section 740 (7)’s waiver provision is to prevent duplicative recovery” (majority op at 89). It offers no reasoning and no authority in support of this assertion, which seems to me simply wrong. If the authors of this statute wanted only to prevent duplicative recovery, they could have provided there should be no duplicative recovery. What they apparently did want was to require plaintiffs who

brought section 740 cases to give up their other claims—a goal that is frustrated by the majority’s holding today.

This case, in short, must be added to the curious collection of decisions that have declined to give effect to the clearly expressed purpose of the waiver clause in Labor Law § 740 (7). If the New York Legislature really wants to require plaintiffs who begin section 740 actions to waive all their related claims, it will have to speak even more clearly.

Chief Judge KAYE and Judges GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge SMITH dissents in part and votes to answer certified question No. 1 in the affirmative in a separate opinion; Judge CIPARICK taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in the negative.

[893 NE2d 803, 863 NYS2d 387]

POLICE BENEVOLENT ASSOCIATION OF NEW YORK STATE TROOPERS, INC., et al., Appellants, v DIVISION OF NEW YORK STATE POLICE et al., Respondents.

Argued May 29, 2008; decided July 1, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 26, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Albany County (Joseph C. Teresi, J.), which had denied defendants' motion for summary judgment, granted plaintiffs' cross motion for summary judgment, and declared that the policy and practice of defendants of denying members involved in critical incidents the right to consult with available counsel was illegal under Civil Service Law § 75 and that members involved in critical incidents had the right to consult with counsel and union representatives prior to answering questions regarding their involvement in the critical incident; (2) denied plaintiffs' cross motion for summary judgment; (3) granted defendants' motion for summary judgment; and (4) dismissed the complaint.

Police Benevolent Assn. of N.Y. State Troopers, Inc. v Division of N.Y. State Police, 43 AD3d 125, affirmed.

HEADNOTE

Civil Service — Police — Discipline of Police — No Right to Counsel for State Troopers in “Critical Incident Reviews”

State troopers do not have a right to counsel or union representation in “critical incident reviews,” which take place following critical incidents when a critical incident investigation team obtains written and oral statements from the involved troopers, prior to any criminal or administrative investigation. Although discipline is a prohibited subject of collective bargaining when legislation commits police discipline to the discretion of local authorities, critical incident reviews do not relate to discipline and are subject to collective bargaining. Here, the parties negotiated a right to representation for administrative interrogations, but failed to enumerate any such right with regard to critical incident reviews. Because petitioner union agreed to a right to counsel only during administrative interrogations, it necessarily waived any representation right troopers may have had during critical incident reviews.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Labor and Labor Relations § 2268; AM JUR 2d, Sheriffs, Police, and Constables §§ 22–24.

NY JUR 2d, Employment Relations § 441; NY JUR 2d, Police, Sheriffs, and Related Officers § 46.

ANNOTATION REFERENCE

See ALR Index under Collective Bargaining; Discipline and Disciplinary Actions; Labor and Employment; Police and Law Enforcement Officers.

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POINTS OF COUNSEL

Gleason, Dunn, Walsh & O'Shea, Albany (Mark T. Walsh of counsel), for appellants. I. Plaintiffs have suffered injury-in-fact sufficient for them to have standing to sue and present a ripe controversy. (*Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *People v West*, 81 NY2d 370; *People v Skinner*, 52 NY2d 24; *People v Townes*, 41 NY2d 97; *People v Rice*, 176 Misc 2d 751; *People v Hawkins*, 55 NY2d 474; *People v Wilson*, 89 NY2d 754.) II. Plaintiffs have a right to counsel and union representation at all stages of the critical incident review and investigation.

Andrew M. Cuomo, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrea Oser of counsel), for respondents. I. Plaintiffs lack standing to challenge the clarified critical incident policy. (*New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *Matter of New York State Psychiatric Assn., Inc. v Mills*, 29 AD3d 1058, 7 NY3d 708; *Rudder v Pataki*, 93 NY2d 273; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Matt v Larocca*, 71 NY2d 154, 487 US 1250; *Matter of Boyd v Constantine*, 81 NY2d 189; *Matter of Finn's Liq. Shop v State Liq. Auth.*, 24 NY2d 647; *Boryszewski v Brydges*, 37 NY2d 361; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6.) II. Plaintiffs waived any statutory or constitutional rights they otherwise may have had to counsel in their Collective Bargaining Agreement. (*Matter of Grippo v Martin*, 257 AD2d 952; *Dye v New York City Tr. Auth.*, 88 AD2d 899, 57 NY2d 917; *Antinore v State of New York*, 49 AD2d 6, 40

NY2d 921; *Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 8 NY3d 226; *Matter of Fortune v State of N.Y., Div. of State Police*, 293 AD2d 154; *Matter of Hall v Town of Henderson*, 17 AD3d 981, 5 NY3d 714.) III. Plaintiffs have no statutory right to counsel or union representation under Civil Service Law § 75 (2) for purposes of critical incident reviews. (*Matter of Ward v Chesworth*, 125 AD2d 912, 69 NY2d 610; *Matter of Brusco v Braun*, 84 NY2d 674; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563.) IV. Troopers have no constitutional right to counsel or union representation in a critical incident review. (*People v Mitchell*, 2 NY3d 272; *Brewer v Williams*, 430 US 387; *Kirby v Illinois*, 406 US 682; *People v Hawkins*, 55 NY2d 474, 459 US 846; *Arrington v County of Dallas*, 970 F2d 1441; *Miranda v Arizona*, 384 US 436; *Chavez v Martinez*, 538 US 760; *Garrity v New Jersey*, 385 US 493; *Lefkowitz v Turley*, 414 US 70; *People v Avant*, 33 NY2d 265.)

OPINION OF THE COURT

Chief Judge KAYE.

This appeal by the Police Benevolent Association (PBA) and five state troopers seeks a judgment declaring that troopers have a right to counsel or union representation in “critical incident reviews.”

A “critical incident” is defined in the State Police Administrative Manual, in part, as action by a trooper that results in death or serious injury to the trooper or another person, or discharge of a firearm. After every critical incident, the Division of New York State Police conducts both a criminal and an administrative investigation to ascertain whether the troopers complied with criminal statutes and Division rules. Representation rights during those investigations are not at issue on this appeal. Before any criminal or administrative investigation occurs, however, the Division dispatches a critical incident investigation team, which obtains written and oral statements from the involved troopers. The purpose is promptly to provide the Superintendent with accurate information regarding such significant events both for timely reporting to the Governor, the public and the media, and for the Superintendent’s own oversight of police operations. It is this initial inquiry that constitutes the “critical incident review” now before this Court.

Until some time in 2001, both the PBA and the Division assumed that a trooper’s collectively bargained right to represen-

tation during administrative interrogations (which may lead to discipline or removal) applied to critical incident reviews. That Collective Bargaining Agreement (CBA) section provided, in relevant part:

“In all cases wherein a member is to be interrogated concerning an alleged violation of the Division Rules and Regulations which, if proven, may result in the member’s dismissal from the service or the infliction of other disciplinary punishment upon the member, the member shall be afforded a reasonable opportunity and facilities to contact and consult privately with an attorney of the member’s own choosing and/or a PBA troop representative before being interrogated. An attorney of the member’s own choosing and/or a PBA troop representative may be present during the interrogation, but may not participate in the interrogation except to counsel the member” (CBA § 16.2 [A] [8]).

Apparently around 2001-2002, the Division believed a different CBA section applied to critical incident reviews. That section provided:

“Occasions will arise when there is a need for inquiry into a member’s official actions or activities either as a principal or as a witness so that there will be a recording of facts, for the protection of the member or of the Division, or to rebut, explain or clarify any allegations, criticism or complaints made against a member of the Division. Under such circumstances members may be requested and are expected to properly respond and if requested, submit written memoranda detailing all necessary facts. Such memoranda will not be considered as admissions against self-interest in evidence submitted in a disciplinary proceeding under Rule 3 of the Rules, unless the member was offered the representation to which the member is entitled in an interrogation pursuant to paragraph 16.2A (8) below” (CBA § 16.1 [D]).

In May 2001, plaintiff Trooper Matthew Taney was involved in a high-speed automobile accident, resulting in the death of a civilian. At the hospital, the critical incident officer (CIO) required Taney to submit a memorandum detailing his actions, and prevented his union delegate from participating in the

interview, telling Taney that, based upon other witnesses' accounts of the accident, he was not the potential target of discipline. As a result of the investigation, the PBA filed a grievance under the CBA and an improper practice charge with the Public Employment Relations Board (PERB) challenging the Division's change in practice. After the grievance was denied, the PBA and the Division arbitrated the dispute. On July 5, 2002, the arbitrator found no violation because, when the Division denied Taney's request, the CIO told Taney that he was absolved of any responsibility for the accident, and thus he could not have believed that he was subject to discipline.

The following week, several troopers surrounded a house in which a double-homicide suspect had barricaded himself, ultimately resulting in an exchange of gunfire and the suspect's death. The critical incident review team arrived at the scene and interviewed the troopers, including the five who had fired shots, denying their requests for representation. Afterward, plaintiff Trooper Kurt Schafsteck, along with the PBA, filed a grievance, alleging a violation of the CBA, the Administrative Manual and past practice.¹ In the arbitration that followed, the arbitrator determined that by failing to give the troopers assurance that they were absolved of wrongdoing, or by not permitting them to consult with counsel or union representatives, the Division had violated the CBA. Supreme Court confirmed the award, and the Division did not appeal.

Between filing and determination of the Schafsteck grievance, the Division restated its critical incident review policy. While a trooper could have counsel or a union representative present for questioning, private conversations prior to the critical incident interview would not be permitted; moreover, any compelled statements would not be shared with criminal investigators or a district attorney until the trooper was absolved of any criminal liability.

Some time later, the Division again restated its policy. Before a critical incident review, the investigating team would have to inform the trooper to be questioned that he or she would be "expected to respond to . . . questions and/or submit memoranda detailing all necessary facts"; that the trooper was not being given representation to which he or she would be entitled

1. Plaintiffs claimed that, some time after the critical incident reviews, either a statement or a memorandum was used in further investigations. None of the individual plaintiffs, however, alleged that he faced disciplinary or criminal sanctions as a result of the critical incident reviews.

under the CBA if this questioning were an administrative investigation; and that the trooper was being offered use immunity for compelled statements or memoranda. Additionally, any statements by the trooper could not be used in disciplinary proceedings as admissions against interest.

Responding to PBA concerns, the Division in August 2005 further separated the critical incident review process from administrative investigations examining possible disciplinary infractions: critical incident review personnel could not be the same personnel who conducted the administrative investigation, and administrative investigative personnel would not have access to critical incident memoranda or other information derived from the review.

In January 2006, the PBA, Taney, Schafsteck and three troopers who had also been denied counsel or union representation during a critical incident review commenced this action for declaratory and injunctive relief claiming that the Division's restated critical incident review policies violated Civil Service Law § 75 (2) and the troopers' constitutional right to counsel. On September 20, 2006, Supreme Court granted plaintiffs' summary judgment motion, concluding that, at a minimum, the revised protocols violated the troopers' statutory right to counsel because, at the time of the critical incident review, the trooper was a potential subject of disciplinary action. The Appellate Division, on July 26, 2007, reversed on the ground that plaintiffs lacked standing to bring the action, and dismissed the complaint. This Court dismissed the plaintiffs' appeal as of right and granted their motion for leave to appeal.

Decisions in two related cases provide additional backdrop for the present appeal. First, in 2005, as a result of improper practice charges lodged by the State against the PBA arising from attempts to negotiate a new CBA, PERB determined that trooper disciplinary matters were not subject to collective bargaining because Executive Law § 215 (3) vests sole disciplinary authority in the State Police Superintendent (*Matter of State of New York [Div. of State Police]*, 38 PERB ¶ 3007 [2005]). On December 27, 2006, Supreme Court (Stein, J.) affirmed PERB's 2005 determination, concluding that the "express language of Executive Law § 215 (3) evinces a 'plain and clear' legislative intent to vest the Superintendent of the State Police with the authority over police officer discipline, effectively removing the subject of discipline from collective bargaining" (*Matter of Police Benevolent Assn. of N.Y. State Troopers, Inc. v*

State of N.Y. State Pub. Empl. Relations Bd., 39 PERB ¶ 7013 [2006]).²

Second, in 2006, the PBA asserted improper practice charges concerning representation rights during critical incident reviews. In response, the Division—in addition to arguing that critical incident reviews were not related to discipline and thus trooper representation rights during those reviews were subject to collective bargaining—applied the rationale of PERB’s decision in the context of critical incident reviews. Specifically, the Division argued that, if critical incident reviews were in fact related to discipline, they were prohibited subjects of bargaining. The PBA rejoined that, if critical incident reviews were related to discipline, then troopers had a right to representation under Civil Service Law § 75 (2).

After PERB concluded that critical incident reviews were related to discipline (*see* 39 PERB ¶ 3023 [2006]), Supreme Court (Devine, J.) in 2007 annulled PERB’s decision and held that the critical incident review was not related to discipline within the meaning of Executive Law § 215 (3) but rather was part of the process leading up to the decision whether or not to discipline, and therefore a mandatory subject of collective bargaining (*Police Benevolent Assn. of N.Y. State Troopers, Inc. v New York State Pub. Empl. Relations Bd.*, 40 PERB ¶ 7003 [2007]).³ Two months later, the Appellate Division dismissed plaintiffs’ present complaint, holding that, given the remoteness of possible criminal or disciplinary sanctions, plaintiffs lacked injury-in-fact necessary for standing.

While the Taylor Law (Civil Service Law § 200 *et seq.*) requires public employers to bargain in good faith concerning all terms and conditions of employment (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 78 [2000]), when legislation commits police discipline to the discretion of local authorities, as a matter of public policy, discipline is a prohibited subject of collective bargaining (*Matter of Patrolmen’s Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563 [2006]). Other terms of employment, so long as statutes or public policy do not forbid their negotiation, can be negotiated in collective bargaining

2. The PBA filed a notice of appeal from this judgment but has since abandoned the appeal.

3. The Division filed an appeal but has advised the Court that, if we conclude that critical incident reviews are not discipline—as we now do—the Division will withdraw its appeal.

(*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 666 [1990]). Indeed, statutory and due process rights may even be surrendered during collective bargaining (*Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 8 NY3d 226 [2007] [statutory right to exclusion of statements made during disciplinary questioning without representation may be surrendered in collective bargaining]; *Matter of Fortune v State of N.Y., Div. of State Police*, 293 AD2d 154, 158 [3d Dept 2002] [troopers waived due process right to a hearing through collective bargaining]).

This Court now assumes standing for purposes of the present appeal, and affirms the order of the Appellate Division dismissing the complaint.

The Division argues that critical incident reviews do not relate to discipline, and thus concedes—as plaintiffs do not dispute—that critical incident reviews are subject to collective bargaining.

Here, although the parties negotiated a right to representation for administrative interrogations, they failed to enumerate any such right with regard to critical incident reviews. The CBA provides that during “administrative interrogations,” which can lead to dismissal or other punishment for violations of the Division’s rules and regulations, troopers have a right to counsel (CBA § 16.2 [A] [8]). The assumption that this right also attached to critical incident reviews, held by both parties prior to the Division’s change in policy in 2001—while perhaps disadvantaging the PBA—did not, however, amount to a negotiated right. In fact, a close reading of CBA §§ 16.1 and 16.2 should have informed the PBA of the potential applicability of the former section, which provided for no bargained-for right to counsel when a trooper is “expected to properly respond and if requested, submit written memoranda detailing all necessary facts” to account for the trooper’s official actions (CBA § 16.1 [D]). Compared to section 16.2 (A) (8), section 16.1 (D) is conspicuously silent on the right to counsel.

Because the PBA agreed to a right to counsel only during administrative interrogations, it necessarily waived any representation right troopers may have had during critical incident reviews. We note, finally, that if the PBA disagreed with the Division applying CBA § 16.1 (D) to critical incident reviews, it was obligated to, and did, submit that grievance to binding arbitration (CBA § 15.4).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur;
Judge CIPARICK taking no part.

Order affirmed, with costs.

[894 NE2d 1, 863 NYS2d 615]

In the Matter of THE PEOPLE OF THE STATE OF NEW YORK, by
ELIOT SPITZER, as Attorney General, Respondent-Appellant,
v APPLIED CARD SYSTEMS, INC., et al., Appellants-
Respondents.

Argued April 29, 2008; decided June 26, 2008

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 5, 2007. The Appellate Division modified, on the law and the facts, an order of the Supreme Court, Albany County (Thomas J. McNamara, J.), entered in a proceeding pursuant to Executive Law § 63 (12), which had partially granted petitioner's motion for restitution, penalties, and costs. The modification consisted of reversing so much of the order as had awarded restitution to consumers who enrolled in the Credit Account Protection program and whose accounts were re-aged. The Appellate Division affirmed the order as modified. The appeal brings up for review a prior nonfinal order of the Appellate Division, entered December 1, 2005 (27 AD3d 104). The Appellate Division had affirmed an order and judgment of that Supreme Court (Joseph Cannizzaro, J.), which had permanently enjoined respondents from engaging in the fraudulent, deceptive, and unlawful acts and practices alleged in the verified petition, and held in abeyance petitioner's request for additional relief including, but not limited to, restitution, damages, disgorgement, statutory penalties and costs.

Matter of People v Applied Card Sys., Inc., 41 AD3d 4, affirmed.

HEADNOTES

Statutes — Federal Preemption — Fraudulent and Deceptive Credit Card Solicitation Scheme

1. In a special proceeding initiated by the Attorney General alleging that defendants engaged in a fraudulent and deceptive credit card solicitation scheme, petitioner's claims for restitution, civil penalties and injunctive relief for violations of the Executive Law and Consumer Protection Act (*see* Executive Law § 63 [12]; General Business Law §§ 349, 350) were not preempted by the federal Truth-in-Lending Act (TILA). The express preemption provision contained in TILA preempts state laws "relating to the disclosure of information" in credit card applications and solicitations "subject to the requirements of section 1637 (c)," not laws that prevent fraud, deception and false advertising (15 USC § 1610 [e]). Although the petition made reference to the fact that

many consumers were “unaware” of the manner in which certain credit terms were applied against their accounts, petitioner took no issue with the substance or sufficiency of respondents’ TILA disclosures and did not obtain any relief based upon consumers’ purported lack of awareness. The mere fact that a complaint makes reference to certain matters that are preempted by a federal statute does not transform a state law action into one that is preempted under federal law. Nor does inclusion of the phrase “relating to” in 15 USC § 1610 (e) support preemption, as petitioner’s claims did not relate to the disclosure of federally mandated information in credit card applications or solicitations, but rather to the inclusion in those materials of certain fraudulent and deceptive misinformation.

Judgments — Res Judicata — Privity — Attorney General in Privity with Consumers Who Settled Class Action Suit

2. In a special proceeding initiated by the Attorney General alleging that respondents engaged in a fraudulent and deceptive credit card solicitation scheme and seeking restitution, civil penalties, and injunctive relief for violations of the Executive Law and Consumer Protection Act (*see* Executive Law § 63 [12]; General Business Law §§ 349, 350), petitioner was precluded under the doctrine of res judicata from recovering restitution on behalf of the consumers who were part of the settling class in a prior nationwide class action settlement agreement against respondents. Although petitioner’s interest in seeking restitution on behalf of the settling consumers might have been broader than the consumers’ individual pecuniary concerns, the consumers were entitled to only one opportunity to obtain make-whole relief, and to allow petitioner to seek additional restitution on their behalf would destroy or impair rights conclusively established in the class action. As one specific portion of the relief sought by petitioner was identical to that which the New York members of the settlement class had already pursued to a final and binding judgment, there was privity as to that measure of relief.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Consumer and Borrower Protection §§ 245, 246, 258–260, 267, 270, 277; AM JUR 2d, Judgments §§ 473, 474.

CARMODY-WAIT 2d, Judgments §§ 63:464–63:468.

McKINNEY’s, Executive Law § 63 (12); General Business Law §§ 349, 350.

NY JUR 2d, Consumer and Borrower Protection §§ 5–7, 11, 18, 22, 28; NY JUR 2d, Judgments §§ 328–335.

SIEGEL, NY PRAC § 442.

15 USCA § 1610 (e); § 1637 (c).

ANNOTATION REFERENCE

Practices forbidden by state deceptive trade practice and consumer protection acts. 89 ALR3d 449.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: credit /2 card /s deceptive fraud! & pre-empt!

POINTS OF COUNSEL

Arnold & Porter LLP, New York City (*H. Peter Haveles, Jr.*, of counsel) and *Howard N. Cayne*, Washington, D.C., for appellants-respondents. I. The Attorney General's claims are barred by the total preemption provisions of the Truth-in-Lending Act. (*California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272; *Rosario v Diagonal Realty, LLC*, 8 NY3d 755; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Medtronic, Inc. v Lohr*, 518 US 470; *Schneidewind v ANR Pipeline Co.*, 485 US 293; *Northern Natural Gas Co. v Kansas Corporation Comm'n*, 372 US 84; *Mississippi Power & Light Co. v Mississippi ex rel. Moore*, 487 US 354; *Construction Laborers v Curry*, 371 US 542; *Cipollone v Liggett Group, Inc.*, 505 US 504; *City of New York v FCC*, 486 US 57.) II. Under sections 349 and 350 of the General Business Law truthful disclosures should not be found to be misleading and deceptive absent extrinsic evidence. (*Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Matter of State of New York v Colorado State Christian Coll. of Church of Inner Power*, 76 Misc 2d 50; *State of New York v Feldman*, 210 F Supp 2d 294; *Johnson & Johnson * Merck Consumer Pharms. Co. v Smithkline Beecham Corp.*, 960 F2d 294; *Kraft, Inc. v Federal Trade Commn.*, 970 F2d 311; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Brenkus v Metropolitan Life Ins. Co.*, 309 AD2d 1260; *Sims v First Consumers Natl. Bank*, 303 AD2d 288; *Broder v MBNA Corp.*, 281 AD2d 369; *People v General Elec. Co.*, 302 AD2d 314.)

Andrew M. Cuomo, Attorney General, New York City (*Michelle Aronowitz*, *Barbara D. Underwood* and *Diana R.H. Winters* of counsel), for respondent-appellant. I. As a disclosure law, the Truth-in-Lending Act does not preempt claims for deceptive practices under either state or federal law. (*Rosario v Diagonal Realty, LLC*, 8 NY3d 755; *California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272; *Drattel v Toyota Motor Corp.*, 92 NY2d 35; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Jones v Rath Packing Co.*, 430 US 519; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *General Motors Corp. v Abrams*, 897 F2d 34; *Ford Motor Credit Co. v Milhollin*, 444 US 555; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545.) II. Both the affirmed factual

finding of deception and the unpreserved claim that extrinsic evidence is required are beyond the scope of this Court's review; in any event the challenges are without merit. (*Chambers v Old Stone Hill Rd. Assoc.*, 1 NY3d 424; *Collucci v Collucci*, 58 NY2d 834; *People v General Elec. Co.*, 302 AD2d 314; *Matter of Lefkowitz v E.F.G. Baby Prods. Co.*, 40 AD2d 364; *People v Volkswagen of Am.*, 47 AD2d 868; *People v Network Assoc.*, 195 Misc 2d 384; *Zauderer v Office of Disciplinary Counsel of Supreme Court of Ohio*, 471 US 626; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Broder v MBNA Corp.*, 281 AD2d 369.) III. The Attorney General is not precluded from seeking restitution for New York consumers, when that remedy serves the public interest, by the settlement of a private class action in which the Attorney General did not participate. (*Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Postal Telegraph Cable Co. v Newport*, 247 US 464; *Watts v Swiss Bank Corp.*, 27 NY2d 270; *Green v Santa Fe Indus.*, 70 NY2d 244; *Richmond v United States*, 422 US 358; *Mississippi v Louisiana*, 506 US 73; *Durfee v Duke*, 375 US 106; *Sam Fox Publishing Co. v United States*, 366 US 683; *United States v Borden Co.*, 347 US 514; *EEOC v Waffle House, Inc.*, 534 US 279.) IV. Consumers who enrolled in the Credit Account Protector program and those who participated in the re-aging process were injured by the companies' deception and should receive restitution. (*Federal Trade Commn. v Cyberspace.Com LLC*, 453 F3d 1196; *State of New York v Feldman*, 210 F Supp 2d 294; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Matter of State of New York v Colorado State Christian Coll. of Church of Inner Power*, 76 Misc 2d 50; *Matter of People v Telehublink Corp.*, 301 AD2d 1006; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Matter of People v Wilco Energy Corp.*, 284 AD2d 469; *Exposition Press, Inc. v Federal Trade Commn.*, 295 F2d 869; *Resort Car Rental Sys., Inc. v Federal Trade Commn.*, 518 F2d 962; *Federal Trade Commn. v Freecom Communications, Inc.*, 401 F3d 1192.)

William H. Sorrell, Attorney General, Montpelier, Vermont (Elliot Burg of counsel), for Attorneys General of the States of Alaska and others, amici curiae. I. The lower court erred in holding that under the doctrine of res judicata, the New York Attorney General was barred by the *Allec v Cross Country Bank* settlement from seeking consumer restitution in this matter. (*Hansberry v Lee*, 311 US 32; *Richards v Jefferson County*, 517 US 793; *Chase Nat. Bank v Norwalk*, 291 US 431; *Martin v*

Wilks, 490 US 755; *Firefighters v Cleveland*, 478 US 501; *Walker v Liggett Group, Inc.*, 982 F Supp 1208; *Algie v RCA Global Communications, Inc.*, 891 F Supp 839; *Equal Empl. Opportunity Commn. v Pemco Aeroplex, Inc.*, 383 F3d 1280; *Commodity Futures Trading Commn. v Commercial Hedge Servs., Inc.*, 422 F Supp 2d 1057; *Federal Trade Commn. v AmeriDebt, Inc.*, 343 F Supp 2d 451.) II. To apply res judicata to a state in these circumstances would exacerbate the problem of “class action abuse.” (*Amchem Products, Inc. v Windsor*, 521 US 591; *United States v East Baton Rouge Parish School Bd.*, 594 F2d 56.)

OPINION OF THE COURT

CIPARICK, J.

This appeal arises out of a special proceeding initiated by the Attorney General, seeking restitution, civil penalties, and injunctive relief for violations of New York’s Executive Law and Consumer Protection Act (*see* Executive Law § 63 [12]; General Business Law §§ 349, 350). We are asked to determine whether the federal Truth-in-Lending Act (TILA) preempts these claims of a fraudulent and deceptive credit card solicitation scheme. We conclude that it does not. We hold, however, that res judicata effect should be granted to a prior nationwide class action settlement agreement, thereby precluding the Attorney General from recovering certain restitution.

I.

Respondent Cross Country Bank (CCB) is a Delaware bank that, since 1997, has actively solicited consumers in the “subprime” credit market to apply for its credit cards. These consumers “generally would not qualify for credit under traditional underwriting guidelines and principles.”¹ Certain of CCB’s marketing materials claim that the company’s “purpose is to help people establish good credit.” Respondent Applied Card Systems (ACS) provided, as relevant here, debt collection services for CCB’s credit card accounts.

On March 28, 2003, the Attorney General filed a verified petition asserting that CCB’s credit card solicitations and collections practices violated New York’s Executive Law and Consumer Protection Act (*see* Executive Law § 63 [12] [fraud]; General Business Law §§ 349 [deceptive business practices], 350 [false advertising]). The gravamen of the petitioner’s complaint

1. CCB also solicits consumers who have yet to establish a credit history.

was that CCB had misrepresented the credit limits that subprime consumers could obtain and that it failed to disclose the effect that its origination and annual fees would have on the amount of initially available credit.

For example, in its mail solicitations CCB told consumers that they were “pre-approved” for a credit limit “up to” \$2,500 or \$1,000. These communications further clarified that the actually-approved credit limit could be substantially less, perhaps as low as \$350.² CCB’s solicitations also explained that upon approval consumers would incur a \$100 “Account Origination Fee” and a \$50 “Annual Fee.” But CCB’s explanation of the fact that those fees would be treated as charges that could greatly reduce the amount of credit initially available to consumers was oblique.³ In some cases, the initial fees depleted consumers’ credit limits by approximately 40% or more.

As relevant here, the verified petition also contained allegations of fraud and deception pertaining to CCB’s marketing of “secured cards,” the Credit Account Protector (CAP) insurance program, the Applied Advantage (AA) cardholder benefit program, and a debt collection device known as “re-aging.” With respect to secured cards,⁴ petitioner asserted that CCB’s advertisement was deceptive because its banner touted “no late fees*” and “no collections calls*,” but further clarified that such fees would be imposed and such calls made in certain instances. The marketing of CAP was fraudulent and deceptive, petitioner claimed, because the program was advertised as providing coverage in the event of “death, disability, unemployment, or family leave,” but—as CCB clarified in an insert and subsequently-mailed certificate of coverage—only life and

2. In some of its solicitations, CCB also explained that “historically,” the average approved credit limit was \$400.

3. For example, in one of its mail solicitations, CCB described the origination fee as a “one-time” charge. Further, near the bottom of the first page of CCB’s “Credit Card Agreement,” the company stated:

“**Our Charges.** You agree to pay us the following fees in connection with your Account. Such fees will be treated as Purchases on your Account . . .

“**1. Annual Fee.** Your account is subject to an Annual Fee and it will be imposed when your Account is approved and in about the same Billing Cycle of each following year.”

4. Such cards were “secured” by funds on deposit in savings accounts maintained by CCB. Secured cards’ credit limits corresponded to the amount of funds on deposit in those accounts. According to the verified petition, those limits were reduced by a \$50 account origination fee and a \$10 monthly maintenance fee. And, like its other credit cards, CCB’s secured cards were subject to monthly \$30 late and over-the-limit fees.

dismemberment benefits were available to New York consumers.⁵ As for AA, petitioner asserted that CCB's practice of automatically enrolling consumers in the benefit program—at a cost of \$34.95 per year—unless they expressly opted out of it was deceptive because the opt-out mechanism was confusing and misleading. Finally, petitioner alleged that ACS marketed re-aging as a means for severely delinquent cardholders to bring their accounts current through a series of payments, while failing to explain that over-the-limit fees would continue to accrue throughout the re-aging process and that both these fees and the previously imposed late fees would be due at the conclusion of the re-aging process.⁶

In addition to the alleged fraudulent and deceptive practices described above, the verified petition also set forth certain facts regarding respondents' late fees, finance charges, balance calculation method, and the lack of any "grace period" for consumer payments. Pursuant to TILA, these terms must be disclosed in all credit card solicitations. But petitioner claimed that many consumers were "unaware" of the manner in which charges and penalties based upon the terms were assessed to their accounts.⁷ According to petitioner, these charges and penalties contributed to "trapp[ing] . . . unwary consumers" in a "vicious cycle of pyramiding debt."

On February 11, 2004, Supreme Court issued a decision and order that, in relevant part, held that petitioner was barred by res judicata from seeking restitution for pre-January 1, 2002 "front-end claims," or those concerning illegal conduct "at or near the inception of the cardholder relationship," on behalf of New York consumers who had opted to accept the benefits of a nationwide class action settlement with CCB.⁸ The California Superior Court approved the settlement and dismissal of the action with prejudice on September 30, 2002 (*see Allec v Cross*

5. Petitioner further claimed that CCB's solicitations deceptively positioned the CAP authorization signature line in close proximity to the line that consumers were required to sign to accept CCB's credit card offer.

6. Re-aging refers to a federally-regulated process through which credit card companies enter into agreements with delinquent card holders to avoid "charging-off" such accounts due to persistent nonpayment (*see* 65 Fed Reg 36903, 36903 [2000]).

7. With respect to CCB's secured card advertisement, petitioner asserted that the late and over-the-limit fee information was "buried" in the application and its terms and conditions chart.

8. Of the New York members of the *Allec* class, only 12 chose not to accept the settlement's benefits.

Country Bank, No. 802894, final judgment and order of dismissal with prejudice [Sept. 30, 2002]).

In their motion to reargue the February 11 order, respondents asserted that the credit card application and solicitation disclosure requirements set forth in TILA (*see* 15 USC § 1632 [c]; § 1637 [c], [e], [f]) and its accompanying regulation, Regulation Z (12 CFR part 226), preempted petitioner's claims. Following oral argument, Supreme Court held that the claims were not preempted.

After issuing its preemption decision, the court proceeded to find "as a matter of law and fact" that CCB had "repeatedly and persistently" engaged in fraud, deception and false advertising in connection with its credit card solicitations, and that ACS's marketing of the re-aging process was similarly illegal. These rulings were based on the court's review of "volumes of evidentiary proof," including more than 100 pages of application and solicitation materials, more than 200 consumer complaints and affidavits, and the affidavits of former ACS collection employees.

On June 24, 2004, Supreme Court issued an order that, as relevant here, "permanently enjoined" respondents from engaging in future fraud, deception, and false advertising with respect to: credit limits, initially available credit, late fees and collection calls concerning secured credit card accounts, benefits available under CAP, and the benefits of account repayment plans, such as re-aging. Supreme Court also prohibited respondents from automatically enrolling consumers in AA without express authorization. The Appellate Division affirmed, rejecting respondents' preemption argument (*see* 27 AD3d 104, 109 [2005]). On January 27, 2006, Supreme Court entered an order awarding the Attorney General approximately \$1.3 million in restitution and damages, \$7.9 million in penalties and \$2,000 in costs. In part, restitution was based upon costs incurred by virtue of the origination and annual fees as well as certain late and over-the-limit fees.

The Appellate Division modified. Upholding Supreme Court's *res judicata* ruling, the court held that the "public interest does not justify giving the New York consumers bound by the *Allec* settlement two chances to receive make-whole relief" (41 AD3d 4, 8 [2007] [internal quotation marks and brackets omitted]). As to respondents' appeal, the court held that Supreme Court's award of restitution for petitioner's CAP and re-aging claims

was improper. Finally, the court affirmed each of the penalties assessed.

This Court granted petitioner and respondents leave to appeal and we now affirm.

II.

Under the US Constitution’s Supremacy Clause (US Const, art VI, cl 2), the purpose of our preemption analysis is singular and straightforward. “[O]ur sole task is to ascertain the intent of Congress” (*California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272, 280 [1987]; *Rosario v Diagonal Realty, LLC*, 8 NY3d 755, 763 [2007]; *see also Medtronic, Inc. v Lohr*, 518 US 470, 485 [1996] [“(T)he purpose of Congress is the ultimate touchstone in every pre-emption case” (internal quotation marks omitted)]). Preemption can arise by: (i) express statutory provision, (ii) implication, or (iii) an irreconcilable conflict between federal and state law (*see Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006]).

When dealing with an express preemption provision, as we do here, it is unnecessary to consider the applicability of the doctrines of implied or conflict preemption (*see Cipollone v Liggett Group, Inc.*, 505 US 504, 517 [1992, plurality op] [statute’s preemptive scope is “governed entirely” by its “express language”]). Instead, the resolution in this case turns solely upon proper statutory construction of TILA’s credit card application and solicitation preemption provision (*see Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126, 131 [1987]). In undertaking that task, we are guided by the “starting presumption that Congress does not intend to supplant state law” unless its intent to do so is “clear and manifest” (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645, 654, 655 [1995]; *Lohr*, 518 US at 485; *accord Balbuena*, 6 NY3d at 356).

The preemption provision at issue here was enacted as part of the Fair Credit and Charge Card Disclosure Act of 1988 (FC-CCDA), which amended TILA.⁹ It states:

“(e) Certain credit and charge card application and solicitation disclosure provisions

9. Since its enactment in 1968, TILA has also contained another preemption provision (*see* 15 USC § 1610 [a] [1]). In contrast to 15 USC § 1610 (e), that provision preempts state laws “relating to the disclosure of information in connection with credit transactions” only to the extent of their inconsistency with TILA or Regulation Z (*see* 15 USC § 1610 [a] [1]; *see also* Clontz

(n. cont’d)

“The provisions of subsection (c) of section 1632 of this title and subsections (c), (d), (e), and (f) of section 1637 of this title shall supersede any provision of the law of any State relating to the disclosure of information in any credit or charge card application or solicitation which is subject to the requirements of section 1637 (c) of this title or any renewal notice which is subject to the requirements of section 1637 (d) of this title, except that any State may employ or establish State laws for the purpose of enforcing the requirements of such sections” (15 USC § 1610 [e]).

[1] Respondents repeatedly assert that section 1610 (e) expressly preempts “any and every state law ‘relating to the disclosure of information in any credit or charge card application or solicitation.’ ” Petitioner counters that its claims are not preempted because they do not relate to the disclosure of credit information, but rather to affirmative deception. Based upon the statutory text, legislative history, and administrative interpretation of section 1610 (e), we agree with petitioner.

Section 1610 (e) does not preempt every state law that could potentially touch upon any credit information that respondents might choose to include in their credit card applications and solicitations. Instead it preempts those state laws that relate to “disclosure of information” in credit card applications and solicitations “subject to the requirements of section 1637 (c),” not those that prevent fraud, deception and false advertising. Preemption is limited, then, to laws that purport to alter the format, content, and manner of the TILA-required disclosures and those that require credit issuers to affirmatively disclose specific credit term information not embraced by TILA or Regulation Z (*see* 15 USC § 1610 [e]; § 1637 [c] [5]; *see also* 54 Fed Reg 13855, 13863 [“State laws relating to the terms of credit required to be disclosed or the manner in which such terms must be disclosed are preempted”]; Official Staff Interpretations of Federal Reserve System Board of Governors, 12 CFR part 226, Supp I, ¶ 28 [d] [1] [eff Jan. 14, 2008] [explaining that state laws are preempted when they require the disclosure of credit terms]).

Neither aspect of such preemption is present in this case. This is because New York’s Executive Law and Consumer Protection Act, collectively, do not require respondents to dis-

and Pannabecker, Truth-In-Lending Manual: Text and Forms ¶ 2.03 [4] [2007]).

close anything. These statutes simply require that they refrain from fraud, deception, and false advertising when communicating with New York consumers.

The misleading statements in respondents' applications and solicitations regarding potential credit limits, initially available credit, secured card benefits, credit insurance coverage and re-aging benefits, and their deceptive automatic enrollment of consumers in the AA program do not constitute the disclosure of any information "which is subject to the requirements of 1637 (c)" (*see* 15 USC § 1610 [e]).¹⁰ The only information in a credit card application or solicitation that must be disclosed pursuant to section 1637 (c) is that describing: (i) annual percentage rate, including whether such rate is variable, (ii) annual and other periodic fees, including, "membership fee[s] imposed for the issuance or availability of a credit card," (iii) minimum finance and transaction charges, (iv) grace period, (v) balance calculation method, (vi) cash advance fee, (vii) late fee, (viii) over-the-limit fee, and (ix) a statement that charges incurred are due when a periodic statement is received (*see* 15 USC § 1637 [c] [1] [A] [i] [I], [II]; [ii] [I]-[III]; [iii], [iv]; [B] [i]-[iii]; [4] [A] [iii]; 15 USC § 1637 [c] [2] [mandating, with certain exceptions, disclosure of information described in section 1637 (c) (1) (A) in telephone solicitations]; 12 CFR 226.5a [b]). Pursuant to 15 USC § 1637 (c) (5), however, the Federal Reserve Board of Governors (the Board) has authority to enact regulations requiring "the disclosure of information in addition to" that described in section 1637 (c).

The verified petition does make reference to the fact that many consumers were "unaware" of the manner in which certain credit terms, including late and over-the-limit fees, bal-

10. Petitioner's claims also do not concern the tabular format of certain TILA disclosures, disclosures in renewal notices, disclosures of percentages used to determine fees, or the disclosure of the range of fees applicable in different states. Accordingly, these claims do not implicate section 1632 (c) or subsection (d), (e) or (f) of section 1637, which are referenced at the beginning of the preemption clause at issue here (*see* 15 USC § 1632 [c] [1] [requiring presentation of "the information described in paragraphs (1) (A), (3) (B) (i) (I), (4) (A), and (4) (C) (i) (I) of section 1637 (c)" to be set forth in a tabular format, commonly known as the "Schumer Box" after FCCCDA's House sponsor, then-Representative Charles Schumer (N.Y.)]; § 1637 [d] [1] [B] [requiring disclosure in renewal statement of "the information described in subsection (c) (1) (A) or (c) (4) (A)"]; § 1637 [e] [requiring disclosure of percentage and amount used to determine "any fee required to be disclosed under subsection (c) or (d)"]; § 1637 [f] [permitting disclosure of range of fees "required to be disclosed . . . under (certain subparagraphs) of subsection (c)"]).

ance calculation method, and the lack of any grace period, were applied against their accounts. But petitioner “take[s] no issue” with the substance or sufficiency of respondents’ TILA disclosures and he has obtained no relief based upon consumers’ purported lack of awareness. As we previously have held, the mere fact that a complaint makes reference to certain matters that are preempted by a federal statute does not “transform” a state law action into one that is preempted under federal law (see *Nealy v US Healthcare HMO*, 93 NY2d 209, 220 [1999]).¹¹

Respondents argue, however, that the statutory text compels us to conclude that section 1610 (e) bars the Attorney General’s claims. Their textual argument is based primarily upon the purportedly settled construction of the phrase “relating to” in U.S. Supreme Court precedent.

The U.S. Supreme Court’s interpretation of the phrase “relating to” does not help respondents. When construing other statutes, the Court has concluded that the phrase has a meaning that “express[es] a broad pre-emptive purpose” (see *Morales v Trans World Airlines, Inc.*, 504 US 374, 383 [1992]; accord *Rowe v New Hampshire Motor Transp. Assn.*, 552 US —, —, 128 S Ct 989, 994 [2008]). It has been defined as “having a connection with, or reference to” the subject matter set forth in a particular preemption clause (see *Morales*, 504 US at 384). But the Court has made clear that the scope of its interpretation of “relating to” is subject to some limitation. This is because “[i]f ‘relate to’ were taken to extend to the furthest stretch of indeterminacy, then for all practical purposes pre-emption would never run its course” (*Travelers*, 514 US at 655). Thus, the U.S. Supreme Court has “cautioned against an ‘uncritical literalism’ that would make pre-emption turn on ‘infinite connections’ ” (*Egelhoff v Egelhoff*, 532 US 141, 147 [2001], quoting *Travelers*, 514 US at 656).

We applied these principles in *Nealy* to conclude that even when a complaint refers to matters preempted under federal law, no preemption occurs if the effect of the relief sought upon the federal scheme is “‘too tenuous, remote, or peripheral’ ” (*Nealy*, 93 NY2d at 220, quoting *Shaw v Delta Air Lines, Inc.*, 463 US 85, 100 n 21 [1983]). We hold this rule of limitation to be applicable here. Quite simply, petitioner’s claims do not relate

11. This case does not present the question whether a New York Executive Law or Consumer Protection Act claim seeking relief based upon specific section 1637 (c) disclosures would be preempted. Accordingly, we offer no opinion upon the propriety of such a claim.

to the disclosure of federally-mandated information in credit card applications or solicitations. Instead, they relate to the inclusion in those materials of certain fraudulent and deceptive misinformation—none of which is even addressed by the federal disclosure scheme.

The preemption clause at issue here is very different from that in *Morales*, a case that respondents’ textual argument hinges upon. There, the Airline Deregulation Act of 1978 (ADA) preempted “any law ‘relating to rates, routes, or services’ of any air carrier” (*Morales*, 504 US at 378-379, quoting 49 USC Appendix § 1305 [a] [1] [now codified at 49 USC § 41713]). Based on the comprehensive preemptive intent evidenced in this provision, the Court had little trouble concluding that a set of purportedly enforceable guidelines adopted by the National Association of Attorneys General, which described in excruciating detail the “content and format” of airline advertising, frequent flyer programs, and passenger compensation policies, was preempted (*see Morales*, 504 US at 379, 388, 390-414; *see also American Airlines, Inc. v Wolens*, 513 US 219, 227-228 [1995] [preemptive provision in ADA bars claims under Illinois’s Consumer Fraud and Deceptive Business Practices Act]; *Air Transp. Assn. of Am., Inc. v Cuomo*, 520 F3d 218, 223 [2d Cir 2008] [ADA preempts New York’s Passenger Bill of Rights because that statute requires airlines to provide certain amenities to travelers and therefore relates to “the service of an air carrier”]). But the reach of section 1610 (e) is not as expansive as that of the ADA preemption provision at issue in *Morales*.

Section 1610 (e) preempts only those state laws that relate to the format, content, manner, or substance of the TILA-required disclosures. Thus, there is no preemption here because neither petitioner’s claims nor the relief he was granted below have any effect upon those disclosures (*see Nealy*, 93 NY2d at 220 [no preemption where “(p)laintiff’s claims do not bind an employee plan to any particular choice of benefits, do not dictate the administration of such a plan and do not interfere with a uniform administrative scheme”]; *see also Harvey v Members Empls. Trust for Retail Outlets*, 96 NY2d 99, 106 [2001] [state insurance law and regulation relate to an Employee Retirement Income Security Act (ERISA) plan because they “impose a basic benefit structure”]). To the contrary, Supreme Court’s affirmed orders did not mandate any alteration of or addition to the required section 1637 (c) disclosures. Rather, its injunction simply prevents respondents from affirmatively misrepresent-

ing the nature of credit terms that, at present, are not even subject to regulation under TILA or Regulation Z. Indeed, petitioner's entitlement to the relief granted below exists wholly apart from respondents' section 1637 (c) disclosure obligations; it is based upon "a more general obligation—the duty not to deceive" (*see Cipollone*, 505 US at 528-529 [plurality op]).

But respondents maintain that Congress's intent to create a uniform system of disclosure in credit card applications and solicitations militates in favor of preemption. We again emphasize, however, that petitioner's success in this case does not force respondents to make any alterations to their section 1637 (c) disclosures or to affirmatively disclose any additional credit terms. This is dispositive. In any event, the sort of "indirect economic influence" upon respondents' solicitations practices resulting from the relief accorded below is not sufficient to overcome the presumption against preemption of state law (*see Travelers*, 514 US at 664 [although ERISA contains a broad, "relating to," preemption clause New York law imposing surcharges on all insurers was not preempted because the law "d(id) not impose (a) . . . substantive coverage requirement"]; *accord Nealy*, 93 NY2d at 220).

We acknowledge that the U.S. Supreme Court recently reiterated that state tort judgments impose substantive requirements that "can be . . . a potent method of governing conduct and controlling policy" (*see Riegel v Medtronic, Inc.*, 552 US —, —, 128 S Ct 999, 1008 [2008] [internal quotation marks omitted]). But *Riegel* is not controlling here for two reasons. First, the Medical Device Amendments preemption provision at issue there is substantively different from 15 USC § 1610 (e). It preempted "state requirements 'different from, or in addition to, any requirement applicable . . . to [a medical] device' under federal law" (*see* 552 US at —, 128 S Ct at 1006, quoting 21 USC § 360k [a] [1]). The scope of section 1610 (e) preemption is, however, expressly limited to state laws relating to the disclosures specifically required under section 1637 (c), it does not extend to the additional state requirement that respondent must refrain from fraud and deception when making statements about credit terms that are not even within the scope of TILA or Regulation Z.

Second, unlike the tort law claims in *Riegel*, the Attorney General's success in this action will not "disrupt[] the federal scheme" of disclosure mandated under TILA (*see* 552 US at —, 128 S Ct at 1008). Petitioner has not sought relief based upon

the TILA-required disclosures. Nor has he sought to alter the format, content, or manner of those disclosures. The relief granted below does not impose any additional disclosure requirements upon respondents, it merely precludes them from making fraudulent and deceptive statements regarding certain credit terms (*compare Riegel*, 552 US at —, 128 S Ct at 1008 [state tort law claim preempted because Food and Drug Administration’s (FDA) exacting standards for premarket approval of medical devices would be disrupted by judgment “that requires a manufacturer’s catheters to be safer, but hence less effective, than the model the FDA has approved”]).

Respondents’ disruption argument assumes that Congress intended the TILA disclosures to provide consumers’ sole protection against credit card companies’ fraudulent and deceptive marketing practices. But the qualified nature of the preemption provision’s text belies that sweeping assertion, as does the statute’s legislative history.

The FCCCDA’s House Conference Report states that section 1610 (e) preempts “State credit and charge card disclosure laws” (*see* HR Conf Rep 100-1069, 100th Cong, 2d Sess, at 22, reprinted in 1988 US Code Cong & Admin News, at 3951, 3960). An example of such a law is California’s Areias Credit Card Full Disclosure Act of 1986, which contains application and solicitation disclosure requirements very similar to TILA’s (*see* Cal Civ Code §§ 1748.10-1748.12; Furletti, Comment, *The Debate Over the National Bank Act and the Preemption of State Efforts to Regulate Credit Cards*, 77 Temp L Rev 425, 451, 451 n 233 [2004]; *see also* Wis Stat Ann § 422.308 [1] [a] [requiring that “every application for (an) open-end credit plan” shall set forth certain specific information, including “(t)he annual percentage rate”]).¹² Although the Senate’s version of FCCCDA would have saved provisions of such state laws that required disclosure of information in addition to that set forth in section 1637 (c) from preemption if they were reenacted within two years of the Act’s passage (*see* S Rep 100-259, 100th Cong, 1st Sess, at 9-10, reprinted in 1988 US Code Cong & Admin News, at 3936, 3945-3946), the Senate compromised and “recede[d]” to the House

12. Like TILA, these state credit card application and solicitation laws mandated disclosure of only “selected costs associated with credit cards” (*see* Gelb and Cubita, *The Fair Credit and Charge Card Disclosure Act of 1988: A Federal Alternative to the Rate Ceiling Approach*, 44 Bus Law 941, 941 n 1 [1989], quoting 1986 Cal Stat, ch 1397, § 1 [a], reprinted in Cal Civ Code § 1748.10 Historical and Statutory Notes [West]).

version, which “preempted the provisions of all state laws *with respect to the disclosures mandated under its bill*” (see HR Conf Rep No. 100-1069, 100th Cong, 2d Sess, at 21, reprinted in 1988 US Code Cong & Admin News, at 3960 [emphasis added]; see also Gelb and Cubita, *Credit Card Application and Solicitation Disclosure Legislation: An Alternative to the Rate Ceiling Approach*, 43 Bus Law 1557, 1564 [1988]). The Attorney General’s claims in this case do not affect any of the mandated disclosures ultimately codified by the FCCCDA nor do they require respondents to make any additional affirmative disclosures regarding their credit products. Thus, this case does not concern the sort of credit card disclosure laws preempted under TILA.

Congress also made clear that, even when enforcing the TILA disclosure requirements, states could use their unfair and deceptive trade practices acts to “requir[e] or obtain[] the requirements of a specific disclosure beyond those specified in Section [1637] (c) in the settlement or adjudication of a specific case or cases” (see HR Conf Rep 100-1069, 100th Cong, 2d Sess, at 22, reprinted in 1988 US Code Cong & Admin News, at 3960).¹³ In sum, the legislative record shows that Congress only intended FCCCDA to preempt a specific set of state credit card disclosure laws, not states’ general unfair trade practices acts.

Even more significantly, the Senate Banking Committee Report states that TILA does not preempt “the use of State mini-Federal Trade Commission [FTC] statutes to address unfair or deceptive acts or practices” (see S Rep 100-259, 100th Cong, 1st Sess, at 9, reprinted in 1988 US Code Cong & Admin News, at 3945). General Business Law §§ 349 and 350 comprise, of course, just such a “mini-FTC” act (see *Oswego Laborers’ Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 26 [1995]; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 323-324 [2002]). The Senate Report’s understanding of TILA’s disclosure requirements is reflected in the Official Staff Interpretations of the Federal Reserve Board of Governors, the agency charged by statute with administering TILA (see 12 CFR part 226, Supp I, ¶ 28 [d] [3] [eff Jan. 14, 2008] [“(S)tate laws prohibiting unfair or deceptive acts or practices concerning

13. The Conference Report’s approval of the prospect of settlements and adjudications by which state agencies would gain the right to demand disclosures beyond those required under section 1637 (c) stands in marked contrast to the dissent’s claim that Congress “wanted to cut off and fully supplant” all state regulation of credit card applications and solicitations (see dissenting op at 138).

credit and charge card applications, solicitations and renewals are not preempted”]; 54 Fed Reg 13855, 13864 [1989] [“(A)ny prohibitions against unfair and deceptive acts or practices (such as state ‘mini-FTC acts’) . . . are not preempted”]). That interpretation is entitled to great deference (*see Ford Motor Credit Co. v Milhollin*, 444 US 555, 565 [1980] [“(D)eference is especially appropriate in the process of interpreting the Truth in Lending Act and Regulation Z. Unless demonstrably irrational, Federal Reserve Board staff opinions construing the Act or Regulation should be dispositive”]).¹⁴

Therefore, we hold that petitioner’s Executive Law and Consumer Protection Act claims are not preempted by TILA or Regulation Z.

III.

We turn next to the res judicata effect of the *Allec* settlement upon a portion of the Attorney General’s claims for restitution. Pursuant to California’s procedural rules (Cal Rules Ct rule

14. That the Board has recently proposed certain amendments to Regulation Z that would require credit card issuers to disclose in their applications or solicitations the effect of “fees or a security deposit” upon an applicant’s credit limit, if such fees “are 25 percent or more of the minimum credit limit offered for the account” (*see* 72 Fed Reg 32948, 32954 [June 14, 2007]; *see also* 73 Fed Reg 28866, 28890 [May 19, 2008] [proposing disclosure of effect of fees or security deposit in “initial disclosure,” or account-opening, statements]) does not alter our conclusion. After all, “[t]he proposal of regulations is not synonymous with [their] adoption” (*see State by Malone v Burlington N., Inc.*, 311 Minn 89, 92, 247 NW2d 54, 55 [1976]).

Moreover, the Board, the Office of Thrift Supervision, and the National Credit Union Administration, pursuant to their authority under the Federal Trade Commission Act, have also recently proposed Regulation AA, a provision of which would prohibit charging fees and security deposits that constitute a majority of a consumer’s credit limit during the first 12 months of the account and would also require credit issuers to spread the cost of fees totaling more than 25% of a consumer’s credit limit equally over the course of the year (*see* 73 Fed Reg 28904, 28923-28925 [May 19, 2008]). The agencies’ rationale for adopting proposed Regulation AA is that the practice of charging fees that quickly deplete a new customer’s credit limit “appears to be an unfair act or practice” under the Federal Trade Commission Act, the very statute General Business Law §§ 349 and 350 were modeled upon (*id.* at 28924). And to support their conclusion that consumers “may lack the information necessary to avoid harm” from this practice, the agencies cite to the Appellate Division’s initial decision in the instant case (*see id.* at 28924 [quoting Appellate Division’s conclusion (*see* 27 AD3d at 108) that CCB’s post-2001 solicitations “‘did not represent an accurate estimation of a consumer’s credit limit’ ”]). Thus, from these recent regulatory proposals, we can infer that TILA and Regulation Z have not previously embraced the regulation of credit limit practices that were determined to be deceptive below.

3.769 [f]), New York consumers were provided with notice of the settlement and the opportunity to “opt-in” to a nationwide settlement class. In exchange for certain payments or account credits, consumers who opted-in:

“forever released and discharged [respondents] from any claims . . . of any nature . . . that [they] have had in the past, or now have against [respondents], which relate to the solicitation or origination of the cardholder relationship, the ‘pre-approval’ of persons being solicited for CCB credit cards, the Initial Credit Card Fees, the assignment of credit limits and/or the Disclosure Claims; and all claims set forth in the [*Allec*] Action.”

The California court approved the settlement. And the parties do not dispute that the *Allec* action was dismissed with prejudice, thereby “forever barr[ing]” all settlement class members from prosecuting the released claims against respondents. Under California law, such a finally-approved settlement is entitled to res judicata effect (see e.g. *Johnson v American Airlines, Inc.*, 157 Cal App 3d 427, 431, 203 Cal Rptr 638, 640 [1984]; see also Moore and Thomas, Cal Civ Prac Procedure § 32:17 [2008 ed] [“A judgment rendered in a proper class action is res judicata as to the claims of every member of the class although they are not formal parties to the suit”]).¹⁵

In New York, res judicata, or claim preclusion, bars successive litigation based upon the “same transaction or series of connected transactions” (see Siegel, NY Prac § 447 [4th ed]) if: (i) there is a judgment on the merits rendered by a court of competent jurisdiction, and (ii) the party against whom the doctrine is invoked was a party to the previous action, or in privity with a party who was (see *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481, 485 [1979]; Weinstein-Korn-Miller, NY Civ Prac ¶ 5011.08 [2d ed]). Here, the parties’ dispute focuses solely upon the second prong of the res judicata test, privity.

[2] The Attorney General argues that he is not in privity with members of the *Allec* settlement class because his interest in

15. The California court’s September 30 order states that “[a]s of Final Approval, the Action is . . . dismissed with prejudice.” No order granting final approval (see Cal Rules Ct rule 3.769 [h] [providing for entry of judgment “after the final approval hearing”]), however, appears in the record. Nevertheless, neither party disputes Supreme Court’s statement that “there is no question that the *Allec* class action was dismissed with prejudice on the merits” pursuant to the *Allec* settlement.

seeking restitution on those consumers' behalf is far broader than their individual pecuniary concerns. Rather, he seeks restitution as a means of deterring future fraud, deception, and false advertising and restoring the public's trust in the consumer credit marketplace. Amici, the Attorneys General of 30 states, agree with that view and urge us to consider the problem of "class action abuse," which, they say, has led to collusive and undervalued settlements such as that entered in *Allec*. Respondents counter by invoking our traditional solicitude towards settlement agreements, urging us to permit the *Allec* settlement class members only one opportunity to obtain make-whole relief. We agree with respondents.

Our precedents have repeatedly explained that privity is not susceptible to a hard-and-fast definition (see *Watts v Swiss Bank Corp.*, 27 NY2d 270, 277 [1970] ["(T)he term privity does not have a technical and well-defined meaning"]; *Gramatan*, 46 NY2d at 486 ["(P)rivity is an amorphous term not susceptible to ease of application"]; *Buechel v Bain*, 97 NY2d 295, 304 [2001] ["(P)rivity is 'an amorphous concept'"]). Although we have provided examples of cases in which privity is present (see *Green v Santa Fe Indus.*, 70 NY2d 244, 253 [1987]; see also *Buechel*, 97 NY2d at 305), none of those are applicable here. Ultimately, we must determine whether the severe consequences of preclusion flowing from a finding of privity strike a fair result under the circumstances (see *Buechel*, 97 NY2d at 304-305). This inquiry is, of course, informed by reference to the policies that res judicata is designed to protect (see *Matter of Reilly v Reid*, 45 NY2d 24, 28 [1978]).

It is a " 'familiar doctrine' " that a class action judgment is binding upon class members who were adequately represented in the action (see *Richards v Jefferson County*, 517 US 793, 800 [1996], quoting *Hansberry v Lee*, 311 US 32, 42 [1940]; see also *Taylor v Sturgell*, 552 US —, —, 128 S Ct 2161, 2172 [2008] ["Representative suits with preclusive effect on nonparties include properly conducted class actions"]; Restatement [Second] of Judgments § 41 [1] [e] and Comment *e* [in properly authorized class actions "persons within the class are bound by a judgment for or against the representative"]; 18-131 Moore's Federal Practice—Civil § 131.40 [3] [e] [iii] ["All class members will be bound, under (res judicata), by a final judgment in a class action, including a judgment following settlement, assuming the action met the necessary procedural due process prerequisites"])). The adequacy of representation in the *Allec* ac-

tion is not at issue here (see Restatement [Second] of Judgments § 42 [1] [d]-[e]).

The Attorney General argues, however, that his interest in protecting the public was not represented at all in the *Allec* case. Indeed, he points out that he was not provided with notice of the settlement or an opportunity to object to it. Nevertheless, one specific portion of the relief petitioner seeks here—restitution for pre-January 1, 2002 claims—is identical to that which the New York members of the *Allec* settlement class have already pursued to a final and binding judgment. As to that measure of relief alone, we hold that there is privacy.¹⁶

Our conclusion is supported by a core principle of res judicata, a party's right to rely upon the finality of the results of previous litigation (see *Matter of New York State Labor Relations Bd. v Holland Laundry, Inc.*, 294 NY 480, 493 [1945] [“(T)he public tranquillity demands that, having been once . . . tried, all litigation of (a) question, and between (the) parties, should be closed forever”]; *Reilly*, 45 NY2d at 28 [“*Res judicata* is designed to provide finality in the resolution of disputes”]; cf. *Matter of Olympic Tower Assoc. v City of New York*, 81 NY2d 961, 962-963 [1993] [settlement agreements entitled to res judicata effect]; Siegel, NY Prac § 444 [4th ed] [judgments entered pursuant to settlement are entitled to res judicata effect]). A similar respect for finality has informed our longstanding rule that—absent exceptional circumstances such as duress, illegality, fraud, or mutual mistake (see *Mangini v McClurg*, 24

16. Our holding is in accord with the U.S. Supreme Court's recent rejection of “virtual representation” as a basis for claim preclusion under federal common law (see *Taylor*, 552 US at —, 128 S Ct at 2178). With respect to petitioner's claim for restitution, the members of the *Allec* settlement class, on whose behalf the Attorney General sues, have already had their “day in court” (see 552 US at —, —, 128 S Ct at 2171, 2175). Moreover, there is no dispute that the settlement class members' interests were adequately represented in the California court, where they were afforded “the procedural safeguards” codified in California's procedural rules governing class actions (see 552 US at —, 128 S Ct at 2176). Furthermore, our holding today does not authorize “‘*de facto* class actions,’” rather we give effect to the results obtained in an actually-litigated class action (see 552 US at —, 128 S Ct at 2176, quoting *Tice v American Airlines, Inc.*, 162 F3d 966, 973 [7th Cir 1998]). Finally, our conclusion does not result in the proliferation of an amorphous balancing test, requiring the evaluation of myriad case-specific factors (see 552 US at —, 128 S Ct at 2176). Instead, we look simply to the judgment approving a class action settlement and the nature of the claims released therein to determine the extent to which petitioner's claim for restitution is precluded.

NY2d 556, 563 [1969])—a settlement must be enforced according to its terms (see *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375, 383 [1993]).

Permitting the Attorney General to seek additional restitution on behalf of the *Allec* settlement class members would undoubtedly “destroy or impair rights” conclusively established in the *Allec* case (see *Schuylkill Fuel Corp. v Nieberg Realty Corp.*, 250 NY 304, 307 [1929, Cardozo, Ch. J.]). Indeed, the Attorney General has asserted that restitution is about making consumers whole. The problem here is that the *Allec* settlement class members have already compromised their entitlement to a full measure of make-whole relief in a proper judicial forum (cf. *EEOC v Waffle House, Inc.*, 534 US 279, 297 [2002] [“(I)t ‘goes without saying that the courts can and should preclude double recovery by an individual’ ”]). Although we recognize the importance of permitting petitioner to seek restitution to deter Executive Law and Consumer Protection Act violations, we cannot allow him to do so at the expense of undermining a validly-entered judgment of a sister state, which it is our constitutional duty to protect (US Const, art IV, § 1; 28 USC § 1738; *O’Connell v Corcoran*, 1 NY3d 179, 184 [2003]; cf. *Matsushita Elec. Industrial Co. v Epstein*, 516 US 367, 374 [1996] [“(A) judgment entered in a class action, like any other judgment entered in a state judicial proceeding, is presumptively entitled to full faith and credit”]).

Our holding does not, however, substantially prejudice the public interest served by the Attorney General in pursuing this action. Indeed, respect for the finality of the *Allec* settlement still permits the Attorney General to seek restitution on behalf of those not bound by the settlement and for the time periods not embraced therein. In addition, the claims for injunctive relief, civil penalties, and costs remain undisturbed. And, as Supreme Court noted, the Attorney General might be able to obtain disgorgement—an equitable remedy distinct from restitution—of profits that respondents derived from all New York consumers, whether within the *Allec* settlement class or not (see 41 AD3d at 8 n 2; cf. *Securities & Exch. Commn. v Fischbach Corp.*, 133 F3d 170, 175 [2d Cir 1997] [“(As an exercise of its equity powers, the court may order wrongdoers to disgorge their fraudulently obtained profits”]; accord *Official Comm. of*

Unsecured Creditors of WorldCom, Inc. v Securities & Exch. Commn., 467 F3d 73, 81 [2d Cir 2006]).¹⁷

We have considered petitioner's arguments regarding the Appellate Division's reversal of those portions of Supreme Court's January 27 order awarding restitution for damages allegedly incurred through consumers' participation in the CAP and re-aging programs and we find those arguments meritless. In addition, respondents' argument that extrinsic evidence of consumer deception is required to establish petitioner's Consumer Protection Act claims is unpreserved for our review.

Accordingly, the order of the Appellate Division should be affirmed without costs.

READ, J. (dissenting). The federal Truth-in-Lending Act (TILA) preempts the Attorney General's bid to impose disclosure requirements on Cross Country Bank's (CCB) credit card solicitations in the guise of this proceeding seeking injunctive relief, restitution and penalties pursuant to Executive Law § 63 (12) (fraud) and General Business Law §§ 349 (deceptive business practices) and 350 (false advertising). The majority reaches the opposite conclusion by dint of misreading TILA's special preemption rule for credit or charge card applications or solicitations. I respectfully dissent.

I.

Section 1610 (e) of TILA (15 USC) states as follows:

“Certain credit and charge card application and solicitation disclosure provisions

“The provisions of subsection (c) of section 1632 of this title [governing the form or manner of disclosure] and subsections (c), (d), (e), and (f) of section 1637 of this title [governing the content or substance of disclosure] shall supersede any provision of the law of any State relating to the disclosure of information in any credit or charge card application or solicitation which is subject to the requirements of section 1637 (c) of this title or any renewal notice which is subject to the requirements of section 1637

17. Although the Attorney General sought disgorgement as an alternative measure of relief in this case, Supreme Court did not grant that relief and—in the present posture—it would be inappropriate for us to do so.

(d) of this title, except that any State may employ or establish State laws for the purpose of enforcing the requirements of such sections.”

The majority reads the clause “which is subject to the requirements of section 1637 (c)” to modify “information.” Accordingly, the majority reasons, “[t]he scope of section 1610 (e) preemption is . . . *expressly limited* to state laws relating to the disclosures *specifically required* under section 1637 (c)” (majority op at 118 [emphases added]). The majority therefore concludes that “there is no preemption here because neither petitioner’s claims nor the relief he was granted below have any effect upon those disclosures” (majority op at 117). That is, because there is no conflict between TILA’s disclosure requirements and New York’s consumer protection laws, CCB may (and indeed must) devise a solicitation complying with both federal and state law.

But the majority’s reading of the statutory text is not correct. It completely

“disregards—indeed, is precisely contrary to—the grammatical ‘rule of the last antecedent,’ according to which a limiting clause or phrase . . . should ordinarily be read as modifying only the noun or phrase that it immediately follows . . . While this rule is not an absolute and can assuredly be overcome by other indicia of meaning, . . . construing a statute in accord with the rule is quite sensible as a matter of grammar” (*Barnhart v Thomas*, 540 US 20, 26 [2003] [some internal quotation marks omitted]; see also 2A Singer and Singer, Statutes and Statutory Construction § 47:33, at 487 [7th ed 2007] [“Referential and qualifying words and phrases, where no contrary intention appears, refer solely to the last antecedent”]).

Here, the limiting clause “which is subject to the requirements of section 1637 (c)” immediately follows and therefore modifies “any credit or charge card application or solicitation,” *not* “information.”

The Federal Reserve System Board of Governors, which implements section 1610 (e) through its Regulation Z (12 CFR part 226), disagrees with the majority’s textual analysis: the Board’s expression of TILA’s special preemption rule is completely at odds with the majority’s apparent view that the clause “which is subject to the requirements of section 1637 (c)” modifies “information” rather than “application or solicitation.” In its

discussion of section 1610 (e), the Board took the position that “[s]tate laws relating to the disclosure of credit information in credit or charge card applications and solicitations subject to the requirements of [15 USC § 1637 (c)] . . . are preempted” (54 Fed Reg 13855, 13855-13856 [Apr. 6, 1989]). Accordingly, 12 CFR 226.28 (d) states as follows:

“(d) Special rule for credit and charge cards. State law requirements relating to the disclosure of credit information in *any credit or charge card application or solicitation that is subject to the requirements of [15 USC § 1637 (c)]* (§ 226.5a of the regulation) . . . are preempted. State laws relating to the enforcement of [15 USC § 1637 (c)] . . . are not preempted” (emphasis added).

Concomitantly, the Board has defined those credit or charge card applications or solicitations that *are* subject to the requirements of section 1637 (c) (credit or charge accounts used primarily by consumers to purchase goods and services), and those that *are not* (applications or solicitations to open overdraft lines of credit tied to asset accounts accessible by use of a debit card; open-end lines of credit accessed solely by account numbers; home equity lines of credit that may be accessed by the use of a credit or charge card and are subject to the Home Equity Loan Consumer Protection Act of 1988 amendments to TILA; applications and solicitations to add a credit or charge card to an existing open-end plan) (54 Fed Reg at 13856).

According to the Board, then, TILA supplants state law “requirements” that “relat[e] to the disclosure of credit information” in certain credit or charge card applications or solicitations (i.e., those that the Board has determined to be subject to the requirements of 15 USC § 1637 [c]) (*id.* at 13855); thus, preemption is not limited to “state laws relating to the disclosures specifically required under section 1637 (c)” (majority op at 118). The Board’s view in this regard is entirely consonant with the statute’s text, and with Congress’ purpose in adopting a special preemption rule in the first place.

At the time TILA was enacted in 1968, “consumer credit [was] preponderantly small and local in both its nature and operation . . . [T]here [was] no national market for consumer credit . . . outside [a consumer’s] town or city, although there

[was] some mail order business . . . But generally, the market for consumer credit [was] fairly restricted” (Miller and Rohner, *In Search of a Uniform Policy—State and Federal Sources of Consumer Financial Services Law*, 37 Bus Law 1415, 1415-1416 [1982] [footnotes and internal quotation marks omitted]). In deference to these state interests, TILA preserved state jurisdiction to regulate disclosures in consumer credit transactions, including so-called “traditional” credit or charge card accounts used primarily by consumers to purchase goods and services.

Specifically, section 1610 (a) (1) of TILA stated that its provisions did not “annul, alter, or affect the laws of any State relating to the disclosure of information in connection with credit transactions, except to the extent that those laws are inconsistent with the provisions of this subchapter and then only to the extent of the inconsistency.” “Since the statute and the legislative history provided the [Board] with little guidance on how to implement the preemption scheme, the [Board] had substantial leeway in deciding how and when state laws would be preempted” (Tidwell, *Preemption of State Disclosures by the Truth in Lending Act: The Continuing Quest for a Workable Formula*, 40 Bus Law 933, 935-936 [1984-1985] [discussing in detail the Board’s interpretation and implementation of TILA preemption from 1969 until the mid-1980s]).

In section 226.6 (b) of the original Regulation Z, the Board counseled that a state law was “inconsistent” with TILA or Regulation Z

“to the extent that it required disclosures or actions ‘different’ from the requirements of the regulation with respect to form, content, terminology, or time of delivery; disclosure of the amount of the finance charge determined in any manner other than that prescribed by the regulation; and disclosure of the APR determined in any manner other than that prescribed by the regulation” (Tidwell at 936).

In addition, section 226.6 (a) of the original Regulation Z “provided that no other information could be placed with the federal disclosures if it would tend to detract from [them] or mislead or confuse the consumer” (Tidwell at 936).

It was generally left up to creditors to decide whether a state law was inconsistent, although the Board issued a number of interpretive letters. A creditor was, in fact, permitted to make

an inconsistent state law disclosure so long as it was placed on a separate piece of paper from the TILA disclosures, or below a clearly marked line on the same statement containing the TILA disclosures (12 CFR former 226.6 [c]; Tidwell at 936-937). The Board cautioned creditors “that when making a determination of what information would not mislead, confuse, or detract from required disclosures, they should be ready to justify their determinations before their enforcement agency and the courts” (*id.* at 938).

“The gist of the policy toward preemption of state laws during the 1970s” has been summarized as follows:

“State-required disclosures were rarely, if ever, fully preempted in the sense that the creditor was forbidden to use them in contract documents. Instead, *creditors remained subject to any state disclosure law that called for more detailed or different information*, and creditors were always free to make state-required disclosures, either below a demarcation line or as permissible ‘additional information’ interspersed among the TIL disclosures . . . If a creditor decided to make his own preemption determinations, he ran the risk that a state court might deem the disclosure necessary for contract validity. Therefore, not assuming the risk was considered prudent” (*id.* at 941 [emphasis added]).

Not surprisingly, lengthy, complex and confusing credit forms proliferated.

Nonetheless, when Congress passed the Truth in Lending Simplification and Reform Act (Pub L 96-221 tit VI) in 1980, it only tweaked TILA’s preemption provision: the inconsistency standard remained in section 1610 (a) (1), although the Board was now mandated to determine if a state law requirement was inconsistent upon the request of a creditor, state or interested party. Moreover, a state law disclosure requirement could no longer appear in consumer credit contract documents once the Board decided it was inconsistent.¹

When it revised Regulation Z in 1981 to bring it in line with the TIL Simplification and Reform Act, the Board framed the

1. Interestingly, the TIL Simplification and Reform Act also amended TILA preemption so as generally to permit a creditor, state or interested party to petition the Board to determine whether a state-required disclosure was so similar to the disclosure mandated by TILA that creditors in that state could comply with the state law in lieu of making TILA disclosure (*see* 15 USC § 1610 [a] [2]).

preemption standard very narrowly so as to displace little state law. That is, a state law was now inconsistent only if it

“require[d] a creditor to make disclosures or take actions that *contradict[ed]* the requirements of the federal law. A state law [was] contradictory if it require[d] the use of the same term to represent a different amount or a different meaning than the federal law, or if it require[d] the use of a term different from that required in the federal law to describe the same item” (12 CFR former 226.28 [a] [1], as amended at 46 Fed Reg 20848, 20906 [Apr. 7, 1981] [emphasis added]).

In short, “[t]he ‘contradictory’ standard” in Regulation Z

“simply remove[d] many state disclosure provisions . . . from the scope of preemption and concomitantly allow[ed] compliance with state law in borderline situations. Allowing creditors to comply with state disclosure requirements until the [Board] ma[de] a preemption determination remove[d] any fear of creditor violation of the TILA by making these required [state] disclosures” (Tidwell at 944).

Congress next revisited TILA in a major way in 1988, when it enacted the Fair Credit and Charge Card Disclosure Act of 1988 (FCCCDCA) (Pub L 100-583). By 1988, the credit card business was a large, nationwide industry, not “preponderantly small and local in both its nature and operation,” as had been the case in 1968 when TILA was enacted. In addition, beginning in 1986 with Wisconsin’s enactment of a disclosure statute, state legislation in this area was burgeoning: by the time the FCCCDCA was adopted, “at least 11 states and Suffolk County in New York had enacted new cost of credit legislation designed to foster price competition among card issuers” (Gelb and Cubita, *The Fair Credit and Charge Card Disclosure Act of 1988: A Federal Alternative to the Rate Ceiling Approach*, 44 Bus Law 941, 941 n 1 [1989]). So this time, Congress tackled preemption head on, devising a “special” rule for disclosure of credit information in credit or charge card applications or solicitations, which “depart[ed] radically from” the inconsistency standard, “the approach which Congress historically [had] adopted in the credit disclosure area” (Gelb and Cubita at 955).

The FCCCDCA dictated what credit information had to be disclosed (15 USC § 1637 [c], [e], [f]), and the manner of its

disclosure (15 USC § 1632 [c]) in credit or charge card applications or solicitations. To ensure that the marketplace did not outpace its detailed mandates, Congress in section 1637 (c) (5) provided as follows:

“Regulatory authority of the Board

“The Board may, by regulation, require the disclosure of information *in addition to* that otherwise required by this subsection . . . , and *modify any disclosure of information required by* this subsection . . . , in any application to open a credit card account for any person under an open end consumer credit plan or any application to open a charge card account for any person, or a solicitation to open any such account without requiring an application, if the Board determines that such action is necessary to carry out the purposes of, or prevent evasions of, any paragraph of this subsection” (emphasis added).

Section 1610 (e), as previously discussed, then specified that the provisions of sections 1632 (c) (governing the form or manner of disclosure) and 1637 (c), (e) and (f) (governing the content or substance of disclosure) “supersede[d] any provision of the law of any State relating to the disclosure of information in any credit or charge card application or solicitation which is subject to the requirements of section 1637 (c)” except to enforce TILA and Regulation Z.

Congress thus occupied the entire field of cost-of-credit disclosures in credit or charge card applications or solicitations: it set out comprehensive requirements and established a singular *federal* mechanism (the Board) to add to or modify these requirements to keep abreast of developments in the consumer credit or charge card business. A state may enforce TILA’s disclosure provisions, and surely a state may bring consumer complaints to the Board’s attention and advocate revisions to Regulation Z. The language of section 1610 (e) and the structure of TILA’s regulatory scheme after Congress’ adoption of the FCCCDA, however, belie any notion that a state may use its consumer protection laws to impose additional or different cost-of-credit disclosure on a creditor. The majority’s contrary statutory interpretation produces a patchwork scheme whereby each state may effect different or additional credit disclosure requirements unless and until the Board acts pursuant to section 1637 (c) (5) to regulate the form or substance of

disclosure of the same item of credit information, which would perforce then become “information . . . which is subject to the requirements of section 1637 (c).”² This, of course, completely undermines the uniformity of the federal regime that Congress devised to govern a nationwide industry. Moreover, it leaves no room for the possibility that the Board may have policy reasons *not* to mandate a particular disclosure that a state considers to be warranted (see *Arkansas Elec. Cooperative Corp. v Arkansas Pub. Serv. Comm’n*, 461 US 375, 384 [1983] [Under the Supremacy Clause, “a federal decision to forgo regulation in a given area may imply an authoritative federal determination that the area is best left *unregulated*, and in that event would have as much pre-emptive force as a decision *to regulate*”]).

As the discussion of the evolution of TILA preemption illustrates, before Congress adopted the special preemption rule, states supplemented federal credit disclosure requirements with regularity. If Congress had wanted this state of affairs to continue, there would have been no need for it to supplant the inconsistency/contradictory standard in section 1610 (a) (1) (as interpreted by the Board in Regulation Z) with the special preemption rule in section 1610 (e). By reading the special preemption rule as it does, the majority has undone Congress’ handiwork: the majority has effectively reinstated the inconsistency/contradictory standard for disclosures in credit or charge card applications or solicitations. While the majority cloaks its interpretation of section 1610 (e) in the garb of the presumption against preemption of state law (majority op at 118), the presumption does not empower a state court to circumvent Congress’ will as expressed in nonambiguous statutory language (“In all pre-emption cases . . . we start with the assumption that the historic police powers of the States were not to be superseded by the Federal Act *unless that was the*

2. At least I assume that the majority would, at a minimum, acknowledge that if the Board, for example, ultimately amends Regulation Z to require disclosure of the effect of fees or a security deposit upon an applicant’s credit limits in credit card applications (see majority op at 121 n 14), the State could no longer challenge the form or substance of the disclosure of credit limits via a lawsuit grounded in state consumer protection laws. That is, when my colleagues state that “[t]he scope of section 1610 (e) preemption is . . . expressly limited to state laws relating to the disclosures specifically required under section 1637 (c)” (majority op at 118), I assume they must intend “disclosures specifically required under section 1637 (c)” to include any additional or modified disclosures required in Regulation Z by the Board pursuant to its section 1637 (c) (5) authority. If not, the injury to the federal regime would be even more severe.

clear and manifest purpose of Congress” [*Medtronic, Inc. v Lohr*, 518 US 470, 485 (1996) (emphasis supplied, internal quotation marks and citations omitted)]).

II.

In this litigation, the Attorney General has taken the position—approved by the majority—that

“the overall impression of CCB’s representations regarding its credit cards, taken as a whole, was fraudulent and misleading to the average consumer. The flaw in these representations was not that they failed to provide the disclosures required by TILA, but rather that they affirmatively misled consumers and thus violated New York’s consumer protection laws. Because the petition alleges affirmative deception rather than inadequate disclosure, the claim is not preempted by TILA” (appellate brief at 3 [emphases added]).

In sum, the Attorney General argued that whether or not CCB’s solicitations comported with TILA or Regulation Z was basically irrelevant because he was only suing to enforce state laws prohibiting unfair or deceptive acts or practices, and TILA does not preempt these state laws. He stressed that he did not seek or obtain “an order requiring that anything actually be disclosed, but rather requested and received an order enjoining [CCB] from misrepresenting credit terms.”

The foundation for the Attorney General’s analytical edifice is the Board’s discussion of the scope of section 1610 (e) when it revised Regulation Z to implement the FCCCD. In fact, the Attorney General argues that the Board “directly answer[ed] the question posed in this case by declaring that ‘prohibitions against unfair and deceptive acts or practices (such as state “mini-FTC acts”’ also are not preempted,’ ” quoting the Board’s commentary accompanying the final version of section 226.28 (d) of Regulation Z (54 Fed Reg at 13864; *see also* majority op at 121).

First, the statement that the Attorney General seizes upon is both truncated and taken out of context. The paragraph in which it appears reads in its entirety as follows:

“In addition, state laws regulating the substance of transactions subject to section 127 (c) [15 USC § 1637 (c) (applications and solicitations)] or (d) [15

USC § 1637 (d) (renewal notice)] are not preempted, nor are state laws preempted that regulate the form or content of the disclosure of information that is unrelated to the scope and content of information required to be disclosed under section 127 (c) or (d). Thus, for example, the following types of state laws are not preempted: laws requiring card issuers to offer a grace period^[3] or prohibiting certain fees in credit or charge card transactions; laws such as retail installment sales acts and plain language laws,^[4] unless they regulate the disclosure of credit term information in credit and charge card applications, solicitations or renewal notices; laws requiring notice of a consumer's rights under antidiscrimination or similar laws; and laws notifying consumers about credit information available from state authorities. *Finally, state laws regarding the enforcement of the requirements of section 127 (c) or (d) or of any prohibitions against unfair and deceptive acts or practices (such as state 'mini-FTC acts') also are not preempted*" (54 Fed Reg at 13863-13864 [emphasis added]).

This last sentence accords with the House Conference Report for the FCCCDA, which also discussed the use of mini-FTC statutes *solely* in the context of enforcing TILA and Regulation Z (see HR Conf Rep No. 100-1069, 100th Cong, 2d Sess, at 21-22, reprinted in 1988 US Code Cong & Admin News, at 3951, 3960;⁵ see also Official Staff Interpretations of Federal Reserve System Board of Governors, 12 CFR part 226, Supp I, at 577 [2008 ed]; Gelb and Cubita, *Implementation of the Fair Credit and Charge Card Disclosure Act of 1988: The Regulatory Response*, 44 Bus Law 1427, 1437 [1989] ["(T)he supplementary information accompanying the final regulation indicates that (section 1610 [e]) would not preempt state laws concerning the substance of credit card arrangements^[6] or the form and content of disclosures that are unrelated to the scope and content of the

3. See *e.g.* Personal Property Law § 413 (3) (c) (ii).

4. See *e.g.* General Obligations Law § 5-702.

5. Here, the Attorney General concededly did not bring this lawsuit to enforce TILA or Regulation Z; therefore, the comment in the House Conference Report to the effect that disclosures beyond those specified in section 1637 (c) might be required or obtained in the settlement or adjudication of such a lawsuit is beside the point here (see majority op at 120).

6. For example, section 1610 (e) would not have prevented the Attorney General from challenging CCB's *practice* of charging fees and security deposits

(n. cont'd)

federal application, solicitation, and renewal disclosures” and, “(b)y way of illustration,” offers examples]).

What is notably missing from the Board’s discussion is any suggestion whatsoever that state mini-FTC laws might—after enactment of the FCCCDA with its special preemption rule—remain available as a mechanism to impose disclosure requirements on creditors over and above those mandated by TILA and Regulation Z. Indeed, the Board emphasized that

“[s]tate laws relating to *the terms of credit* required to be disclosed or *the manner* in which such terms must be disclosed are preempted as to any credit or charge card application or solicitation that is subject to [15 USC § 1637 (c)] . . . The preemption of such provisions of state law is *total*, and differs from other provisions of the TILA which generally preempt only inconsistent state laws” (54 Fed Reg at 13863 [emphases added]).

This position is in tune with the text of section 1610 (e) and the history of the special preemption rule; it is reflected in the broad wording chosen by the Board to implement section 1610 (e)—i.e., “[s]tate law requirements relating to the disclosure of credit information” (12 CFR 226.28 [d]).

Finally, the Attorney General (and the majority) cannot evade preemption by portraying this enforcement action as a suit to enjoin a misleading and fraudulent “overall impression” rather than “inadequate disclosure.” The only way for CCB to dispel the complained-about “overall impression”—the only way for CCB to comply with Supreme Court’s injunction⁷—is to revise and alter the form and content of its solicitations; i.e., to make different and/or additional disclosures (*compare* majority op at 118 [“We again emphasize . . . that (the Attorney General’s) success in this case does not force (CCB) . . . to affirmatively disclose any additional credit terms”]). Neither the Attorney General nor the majority explains how else CCB may eliminate the alleged misrepresentations from its solicitations.

that constitute a majority of a consumer’s credit limit for the first 12 months of the account (*see* majority op at 121 n 14 [discussing proposed Regulation AA, which would regulate this practice under the Federal Trade Commission Act because it “appears to be an unfair act or practice” (73 Fed Reg 28904, 28923 [May 19, 2008])]).

7. In relevant part, the injunction enjoins CCB “from engaging in the fraudulent, deceptive and unlawful acts and practices alleged in the Verified Petition” by “misrepresenting” certain credit information.

III.

Just a few months ago, the United States Supreme Court handed down *Riegel v Medtronic, Inc.* (552 US —, 128 S Ct 999 [2008]). Riegel sued Medtronic for damages, alleging that a catheter marketed by the company was “designed, labeled, and manufactured in a manner that violated New York common law, and that these defects caused [him] to suffer severe and permanent injuries” (552 US at —, 128 S Ct at 1005). The type of catheter implicated in Riegel’s injuries had received premarket approval from the Food and Drug Administration (FDA) under a federal safety oversight regime created by the Medical Device Amendments of 1976 (MDA). The MDA includes a preemption provision; specifically, 21 USC § 360k (a) provides that a state shall not

“establish or continue in effect with respect to a device . . . any requirement—

“(1) which is different from, or in addition to, any requirement applicable under [federal law] to the device, and

“(2) which relates to the safety or effectiveness of the device or to any other matter included in a requirement applicable to the device under [relevant federal law].”

The issue in *Riegel* was whether the FDA’s approval of the catheter precluded the New York common-law tort suit. The Supreme Court (affirming the United States Court of Appeals for the Second Circuit) decided that the MDA preempted Riegel’s civil suit, reasoning that “[a]bsent other indication, [Congress’] reference to a State’s ‘requirements’ includes its common-law duties,” and these “requirements” were “different from, or in addition to” the federal ones (552 US at —, 128 S Ct at 1008). Further, the Court remarked that section 360k did “not prevent a State from providing a damages remedy for claims premised on a violation of FDA regulations” because in such a case the state duties would “‘parallel,’ rather than add to, federal requirements” (552 US at —, 128 S Ct at 1011).

This is an even clearer case for preemption than *Riegel*. In *Riegel*, the preemption provision did not explicitly mention civil tort liability. Here, there can be no doubt that the Attorney General’s claims under the Executive Law and the General Business Law are made under a “provision of the law of [the] State

relating to the disclosure of information” in solicitations governed by TILA (15 USC § 1610 [e]); or, as articulated by the Board, are “[s]tate law requirements relating to the disclosure of credit information” (12 CFR 226.28 [d]). As the Supreme Court has observed, “[t]he ordinary meaning of [the phrase ‘relating to’] is a broad one—to stand in some relation; to have bearing or concern; to pertain; refer; to bring into association with or connection with—and the words thus express a broad pre-emptive purpose” (*Morales v Trans World Airlines, Inc.*, 504 US 374, 383 [1992] [internal quotation marks and citation omitted]). The majority avoids this evident conclusion only by resorting to its faulty analysis that the “scope of section 1610 (e) preemption is . . . expressly limited to state laws relating to the disclosures specifically required under 1637 (c)” (majority op at 118).

The majority also concludes that the MDA’s preemption provision is broader than section 1610 (e) because the former displaces those state requirements that are “different from, or in addition to” federal law. Yet again, the majority relies on its erroneous reading of section 1610 (e) to “expressly limit[]” preemption “to state laws relating to the disclosures specifically required under section 1637 (c)” (majority op at 118). In fact (and as discussed previously), the wording of section 1610 (e) illustrates its preemption of the entire field of disclosure of cost-of-credit information in credit or charge card solicitations. Indeed (as discussed previously), under the formerly applicable inconsistency/contradictory standard, states were empowered to enforce state law disclosure requirements that differed from or added to the requirements established for credit or charge card solicitations by Congress in TILA. Congress fashioned the “special” preemption rule in section 1610 (e) precisely because it wanted to cut off and fully supplant supplemental state regulation in this area: only the Board may add to or modify TILA’s statutory disclosure requirements.

Finally (again as discussed previously), the relief that the Attorney General sought (and has obtained) inevitably calls for CCB to alter the format and content of the disclosures in its credit or charge card solicitations of consumers *in New York*, thus “disrupt[ing] the federal scheme” envisaged and designed by Congress (*Riegel*, 552 US at —, 128 S Ct at 1008) to “enhance credit shopping” by requiring “more detailed and uniform” disclosure of credit information to consumers nationwide (54 Fed Reg at 13855; *compare* majority op at 118).

IV.

The majority's desire to maximize our State's regulatory reach in the area of consumer protection is unsurprising. And the Board has arguably been slow to appreciate the value to consumers of at least certain of the specific disclosures at issue in this case (*see* 72 Fed Reg 32948 [June 14, 2007] [proposal by the Board to amend Regulation Z following a comprehensive review of TILA's rules for open-end (revolving) credit that is not home-secured]). But state pride and good intentions are not enough to justify this lawsuit. To borrow words from the Second Circuit's decision in a recent preemption case, "[i]f New York's view regarding the scope of its regulatory authority carried the day, another state could be free to enact" its own laws or bring its own lawsuits to supplement or modify the credit disclosures required by TILA and Regulation Z, thus "unraveling the centralized federal framework" in this area (*Air Transp. Assn. of Am., Inc. v Cuomo*, 520 F3d 218, 225 [2d Cir 2008] [determining that federal law preempts New York State's Passenger Bill of Rights (General Business Law § 251-g [1])]). In enacting section 1610 (e), Congress essentially decided that the benefits from a uniform, nationwide regime for disclosure under the aegis of the Board outweighed any loss of protection to consumers under state law. The Supremacy Clause permits Congress to make this judgment, and we are bound to honor it. Accordingly, I respectfully dissent.

Chief Judge KAYE and Judges GRAFFEO, PIGOTT and JONES concur with Judge CIPARICK; Judge READ dissents in a separate opinion; Judge SMITH taking no part.

Order affirmed, without costs.

[893 NE2d 807, 863 NYS2d 391]

In the Matter of FIVECO, INC., Doing Business as MER's, INC.,
Appellant, v BRUCE HABER, Respondent.

Argued June 5, 2008; decided July 1, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 10, 2007. The Appellate Division modified, on the law, an order of the Supreme Court, Nassau County (Roy S. Mahon, J.; op 2006 NY Slip Op 30385[U]), entered in a proceeding pursuant to CPLR article 75, which had granted the petition and denied respondent's motion for legal fees. The modification consisted of deleting the provision of the order granting the petition and substituting therefor a provision denying the petition. The Appellate Division affirmed the order as modified.

Matter of Fiveco, Inc. v Haber, 42 AD3d 454, affirmed.

HEADNOTE**Arbitration — Stay of Arbitration — Timeliness**

The petition was properly denied as time-barred pursuant to CPLR 7503 (c) in a proceeding pursuant to CPLR article 75 to permanently stay arbitration commenced more than three months after petitioner had been served with a demand for arbitration. The exception to the 20-day statutory limitation period, which allows a court to consider an untimely petition to stay arbitration where the parties never agreed to arbitrate, was inapplicable here because the contracts at issue contained an agreement to arbitrate. Although the contracts had expired, an arbitration clause in a written agreement is enforceable when it is evident that the parties intended to be bound by the contract.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 102, 107.

CARMODY-WAIT 2d, Arbitration §§ 141:124, 141:131.

MCKINNEY's, CPLR 7503 (c).

NY JUR 2d, Arbitration and Award §§ 50, 111, 118, 121,
124.

SIEGEL, NY PRAC § 592.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: stay /2 arbitration /s untimely /2 petition

POINTS OF COUNSEL

Michael T. Lamberti, Woodbury, for appellant. I. The affirmation of respondent's attorney who had no personal knowledge of the facts constituted a nullity. (*Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Roche v Hearst Corp.*, 72 AD2d 245; *Beltre v Babu*, 32 AD3d 722; *Taebong Choi v JKS Dry Cleaning Equip. Corp.*, 15 AD3d 566; *Harlock v Scott Kay, Inc.*, 14 AD3d 343; *God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371; *Matter of Waldron [Goddess]*, 61 NY2d 181; *Matter of Crawford v Feldman*, 199 AD2d 265; *American States Ins. Co. v Sorrell*, 258 AD2d 782; *Matter of Charles S. Fields, Inc. v American Hydrotherm Corp.*, 5 AD2d 647.) II. Arbitration was properly stayed even though petitioner's application for a stay was filed more than 20 days after service of respondent's demand for arbitration. (*Matter of Steck [State Farm Ins. Co.]*, 89 NY2d 1082; *Matter of Matarasso [Continental Cas. Co.]*, 56 NY2d 264; *Matter of American Centennial Ins. Co. v Williams*, 233 AD2d 320; *Matter of Crawford v Feldman*, 199 AD2d 265; *Matter of Primex Intl. Corp. v Wal-Mart Stores*, 89 NY2d 594; *Matter of County of Rockland [Primiano Constr. Co.]*, 51 NY2d 1; *Matter of O'Donnell v Arrow Elecs.*, 294 AD2d 581.) III. The nisi prius court properly stayed arbitration based upon the absence of an agreement to arbitrate. (*Matter of Waldron [Goddess]*, 61 NY2d 181; *George v LeBeau*, 455 F3d 92; *Schenkers Intl. Forwarders v Meyer*, 164 AD2d 541; *Rockwood Automatic Mach., Inc. v Lear Corp.*, 13 Misc 3d 1219[A], 2006 NY Slip Op 51914[U]; *Matter of Jennings [St. Elizabeth Hosp.]*, 54 AD2d 607; *New York Times Co. v New York Typographical Union No. 6*, 43 AD2d 231; *M. K. & O. Tr. Lines, Inc. v Division No. 892, Amalgamated Assn. of St., Elec. Ry. & Motor Coach Empls. of Am.*, 319 F2d 488; *Proctor & Gamble Ind. Union of Port Ivory, N.Y. v Proctor & Gamble Mfg. Co.*, 312 F2d 181, 374 US 830.) IV. This Court has the requisite jurisdiction to reverse the decision and order of the Appellate Division. (*Matter of Miller*, 257 NY 349; *Sciolina v Erie Preserving Co.*, 151 NY 50; *Glenn v Hoteltron Sys.*, 74 NY2d 386; *Keane v Keane*, 8 NY3d 115; *Patron v Patron*, 40 NY2d 582; *Andon v 302-304 Mott St. Assoc.*, 94 NY2d 740; *Grunfeld v Grunfeld*, 94 NY2d 696; *Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Slate v Schiavone Constr. Co.*, 4 NY3d 816.)

Blatt & Koppelman, P.C., New City (*Itamar J. Yeger and Ron-*

ald S. Koppelman of counsel), for respondent. I. The Second Department properly ruled that the broad arbitration clauses mean that all matters between the parties were subject to arbitration, including whether the contracts were extended by virtue of respondent's \$1,000 payment to petitioner during the contracts' initial term. (*Matter of United Nations Dev. Corp. v Norkin Plumbing Co.*, 45 NY2d 358; *Gold Mills v Pleasure Sports*, 85 AD2d 527; *Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.*, 37 NY2d 91; *Matter of Black & Pola [Manes Org.]*, 72 AD2d 514, 50 NY2d 821; *Matter of Schlaifer v Sedlow*, 51 NY2d 181; *Inryco, Inc. v Parsons & Whittemore Contrs. Corp.*, 55 NY2d 666; *Matter of Cassone*, 63 NY2d 756; *Matter of Primex Intl. Corp. v Wal-Mart Stores*, 89 NY2d 594; *Brown v V&R Adv.*, 112 AD2d 856, 67 NY2d 772.) II. Because the Second Department properly determined that the agreement controlled, it did not need to inquire into the dispute regarding the payment admittedly made from respondent to petitioner. (*Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Roche v Hearst Corp.*, 72 AD2d 245; *Beltre v Babu*, 32 AD3d 722; *Taebong Choi v JKS Dry Cleaning Equip. Corp.*, 15 AD3d 566; *Harlock v Scott Kay, Inc.*, 14 AD3d 343; *Cazer Homes v Relyea*, 169 AD2d 862; *Sutton v Lavezzo*, 160 AD2d 292; *Incorporated Vil. of Hempstead v Jablonsky*, 283 AD2d 553; *Figueroa v Luna*, 281 AD2d 204; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299.)

OPINION OF THE COURT

PIGOTT, J.

This appeal requires us to determine whether an untimely petition to permanently stay arbitration brought by petitioner Fiveco, Inc. falls under the exception to the statutory limitation period articulated in *Matter of Matarasso (Continental Cas. Co.)* (56 NY2d 264 [1982]). We hold that it does not; thus, the petition is time-barred and the parties' dispute must be submitted to arbitration.

In November 1997, respondent Bruce Haber entered into two virtually identical installation and security agreements with Fiveco's predecessor-in-interest. The agreements covered coin-operated music and video game machines to be installed and maintained by Haber in Mer's Pub, a bar located in Farmingdale, New York. The term of each agreement was seven years, beginning on November 21, 1997 and ending on November 21, 2004. Pursuant to the contracts, the term would "be deemed extended automatically for an additional period of five (5) years" if Haber made a "payment, loan or advance" to the bar owner.

The parties also agreed to arbitrate “[a]ny controversy, dispute or claim arising out of, or relating to [the agreements] . . . or the execution, validity or breach thereof.”

Fiveco purchased Mer’s Pub in June 2001 and assumed the existing agreements. In April 2002, Haber issued Fiveco a \$1,000 check, which he described as a “bonus.” In November 2004, Fiveco demanded that Haber remove the machines from the bar, stating that the agreements had expired. Haber complied and removed the machines. Approximately eight months later, Haber served Fiveco with a demand for arbitration, alleging that the April 2002 payment of \$1,000 extended the agreements for an additional five years, and that Fiveco breached the contracts by prematurely demanding removal of the machines.

More than three months later, Fiveco commenced this proceeding pursuant to CPLR article 75 to permanently stay arbitration. Fiveco alleged that the contracts expired on November 21, 2004, and no contract extension was effectuated. In support of the petition, Fiveco submitted an affidavit from its president, who averred that the parties never intended the \$1,000 payment to extend the term of the agreements, but rather, that the check represented compensation made in lieu of Haber installing an updated jukebox, which Fiveco had requested. Further, the affidavit alleged that, between December 2003 and November 2004, Haber made numerous offers to renew the agreements, all of which Fiveco declined. In response, Haber argued that the petition was time-barred under CPLR 7503 (c), since pursuant to that statute, any proceeding to stay arbitration must be commenced within 20 days of the arbitration demand. Haber further argued that, as required by the contracts’ arbitration clause, the issue of whether the \$1,000 payment extended the agreements was a question for the arbitrator.

Supreme Court granted the petition to stay arbitration, concluding that Fiveco clearly established that the \$1,000 payment did not constitute a loan, payment or advance within the meaning of the contracts, and thus, the agreements expired on November 21, 2004. The Appellate Division modified to the extent of denying the petition, holding that the proceeding was time-barred pursuant to CPLR 7503 (c). The court further concluded that the exception articulated by this Court in *Matarasso* (56 NY2d at 266), which allows a court to consider an untimely petition to stay arbitration where “the parties never agreed to arbitrate,” did not apply because both Fiveco and

Haber were parties to a contract containing an agreement to arbitrate (42 AD3d 454, 455 [2d Dept 2007]). We granted Fiveco leave to appeal and now affirm.

Fiveco primarily argues that, despite its untimely petition under CPLR 7503 (c), arbitration should nevertheless be stayed pursuant to the *Matarasso* exception because it demonstrated that the contracts containing the agreement to arbitrate expired. We disagree.

This Court's "long-standing rule" is that "an arbitration clause in a written agreement is enforceable . . . when it is evident that the parties intended to be bound by the contract" (*God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371, 373 [2006]). Indeed, it is well settled that "[a] party to an agreement may not be compelled to arbitrate its dispute with another unless the evidence establishes the parties' 'clear, explicit and unequivocal' agreement to arbitrate" (*id.* at 374, quoting *Matter of Waldron [Goddess]*, 61 NY2d 181, 183 [1984]).

Generally, "whether there is a clear, unequivocal and extant agreement to arbitrate the claims[] is for the court and not the arbitrator to determine" (*Matter of Primex Intl. Corp. v Wal-Mart Stores*, 89 NY2d 594, 598 [1997]). Pursuant to CPLR 7503 (c), however, a party served with a proper demand for arbitration must apply to stay arbitration within 20 days after service of the demand or it will "be precluded from objecting that a valid agreement was not made or has not been complied with and from asserting in court the bar of a limitation of time."

In *Matarasso* (56 NY2d 264 [1982]), we articulated an exception to the statutory rule prohibiting courts from considering untimely objections to arbitration. There, we held that an untimely application may be entertained where "its basis is that the parties *never agreed to arbitrate*, as distinct from situations in which there is an arbitration agreement which is nevertheless claimed to be invalid or unenforceable because its conditions have not been complied with" (*id.* at 266 [emphasis added]). In situations where the parties never agreed to arbitrate, it was clear that the Legislature, in enacting CPLR 7503 (c), did not intend "to bind persons to the arbitral process by their mere inaction for 20 days where no agreement to arbitrate has ever been made" (*id.* at 267).

Here, Fiveco commenced this proceeding to permanently stay arbitration well beyond CPLR 7503 (c)'s 20-day time period to

object to arbitration. As such, the petition is time-barred unless the basis for Fiveco's objection falls within the *Matarasso* exception. Because the contracts at issue in this case contain an arbitration provision, it cannot be said that "the parties never agreed to arbitrate" or that "no agreement to arbitrate has ever been made" (*Matter of Matarasso*, 56 NY2d at 266, 267). Indeed, Fiveco does not assert that the parties never entered into an arbitration agreement; rather, it simply attacks the present viability of the contracts containing the agreement to arbitrate. Thus, the *Matarasso* exception is inapplicable under the circumstances of this case (*see Matter of Steck [State Farm Ins. Co.]*, 89 NY2d 1082, 1084 [1996]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

[896 NE2d 61, 866 NYS2d 578]

AG CAPITAL FUNDING PARTNERS, L.P., et al., Appellants, v STATE STREET BANK AND TRUST COMPANY, Respondent. (And Other Actions.)

Argued May 28, 2008; decided June 25, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 17, 2007. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Helen E. Freedman, J.), which had (1) granted defendant State Street Bank and Trust Company's motion for an order vacating in part a prior order of that Supreme Court granting plaintiffs' motion for partial summary judgment as to State Street Bank and Trust Company's liability on the fourth and sixth causes of action, (2) granted State Street Bank and Trust Company's motion for leave to renew, and, upon renewal, (3) denied State Street Bank and Trust Company's motion for summary judgment dismissing the fourth, fifth and sixth causes of action. The modification consisted of granting State Street Bank and Trust Company's motion for summary judgment with respect to dismissal of the fourth, fifth and sixth causes of action. The Appellate Division affirmed the order as modified.

AG Capital Funding Partners, L.P. v State St. Bank & Trust Co., 40 AD3d 392, modified.

HEADNOTES

Release — Scope of Release — Failure of Indenture Trustee to Deliver Debt Transaction Registration Statements — Release of Indenture Trustee Following Issuer's Bankruptcy

1. In an action arising out of the issuance of a series of debt securities, plaintiffs did not have viable claims against defendant indenture trustee for breach of contract and violation of the federal Trust Indenture Act (15 USC § 77aaa *et seq.*) based on defendant's alleged failure to deliver debt transaction registration statements arguably required to secure the debt, where plaintiffs had approved the issuers' bankruptcy reorganization plan, settled their claims against the issuers by accepting a discounted value for the notes at issue and agreed to "release" defendant in accordance with the reorganization plan. Under the plain terms of the release, its scope was based on the terms of the indemnification provision set forth in each indenture. The indentures provided that the issuers would indemnify defendant for and hold it harmless against all claims except those based on defendant's negligence, bad faith or willful misconduct. As plaintiffs' breach of contract and Trust Indenture Act claims against defendant were not based on defendant's negligence, bad faith or will-

ful misconduct, these claims fell under the category of “allowed claim for indemnification” and were barred pursuant to the release.

Secured Transactions — Security Agreements — Breach of Fiduciary Duty — Failure of Indenture Trustee to Deliver Debt Transaction Registration Statements

2. In an action arising out of the issuance of a series of debt securities, plaintiffs did not have a viable claim against defendant for breach of fiduciary duty as indenture trustee based on defendant’s alleged failure to deliver debt transaction registration statements arguably required to secure the debt, where plaintiffs had approved the issuers’ bankruptcy reorganization plan, settled their claims against the issuers by accepting a discounted value for the notes at issue and agreed to “release” defendant in accordance with the reorganization plan. An indenture trustee owes a duty to perform its ministerial functions with due care, and if this duty is breached the trustee will be subjected to tort liability. There was no provision in the indentures at issue that placed fiduciary obligations on defendant prior to an event of default. Further, fiduciary obligations are wholly different from the performance of ministerial functions with due care. Finally, mere allegations that a fiduciary duty exists, with nothing more, are insufficient to withstand summary judgment.

Secured Transactions — Security Agreements — Breach of Fiduciary Duty — Secured Party Representative — Failure of Indenture Trustee to Deliver Debt Transaction Registration Statements

3. In an action arising out of the issuance of a series of debt securities, plaintiffs did not have a viable claim against defendant indenture trustee for breach of fiduciary duty as secured party representative based on defendant’s alleged failure to deliver debt transaction registration statements arguably required to secure the debt, where plaintiffs had approved the issuers’ bankruptcy reorganization plan, settled their claims against the issuers by accepting a discounted value for the notes at issue and agreed to “release” defendant in accordance with the reorganization plan. A fiduciary relationship exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation. Inasmuch as defendant never became a secured party representative, as defined by the applicable Collateral Trust Agreement, in the first instance, defendant never undertook a duty to act for or to give advice for the benefit of another in that capacity.

Negligence — What Constitutes — Failure of Indenture Trustee to Deliver Debt Transaction Registration Statements

4. In an action arising out of the issuance of a series of debt securities, plaintiffs stated a claim for negligence against defendant indenture trustee based on defendant’s alleged failure to deliver debt transaction registration statements arguably required to secure the debt, where plaintiffs had approved the issuers’ bankruptcy reorganization plan, settled their claims against the issuers by accepting a discounted value for the notes at issue and agreed to “release” defendant indenture trustee in accordance with the reorganization plan. The release executed by plaintiffs did not shield defendant from its own acts of negligence since it only applied to claims for which the issuers would have to indemnify defendant under the respective indentures, which specifically excluded acts of negligence from the issuers’ indemnification obligations. Because it was undisputed that defendant and the issuers executed the debt transaction registration statements, that the statements

called for defendant to deliver same to the collateral trustee and that defendant failed to deliver the statements or ensure that the statements were delivered, there were issues of fact as to whether defendant, separate and apart from its contractual duty under the statements, undertook and breached a duty of care, connected with and dependent upon the statements, to act in accordance with the statements and the Collateral Trust Agreement (CTA) registration requirements to protect plaintiffs' security rights in the CTA collateral and whether plaintiffs sustained significant losses as a result of this alleged breach.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Bankruptcy §§ 674, 3007; AM JUR 2d, Business Trusts § 82; AM JUR 2d, Negligence §§ 71, 73–75, 81–83, 88; AM JUR 2d, Release §§ 3, 28, 29, 34; AM JUR 2d, Securities Regulation—Federal §§ 872, 873, 1607.

NY JUR 2d, Compromise, Accord, and Release §§ 59, 62, 73, 75, 76, 84–93; NY JUR 2d, Mortgages and Deeds of Trust §§ 31, 886; NY JUR 2d, Negligence §§ 2, 9, 10, 12; NY JUR 2d, Secured Transactions § 20.

PROSSER AND KEETON, TORTS (5th ed) § 53.

15 USCA § 77aaa *et seq.*

ANNOTATION REFERENCE

See ALR Index under Discharge or Release; Negligence; Secured Transactions.

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Query: release /p indenture /3 trustee

POINTS OF COUNSEL

Kasowitz, Benson, Torres & Friedman LLP, New York City (*James J. Stricker* and *David M. Friedman* of counsel), for appellants. I. The First Department erred in interpreting the indentures to require indemnification for liability caused by State Street Bank and Trust Company's own misconduct. (*Caplin v Marine Midland Grace Trust Co.*, 406 US 416; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.*, 216 AD2d 126; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *150 Broadway N.Y. Assoc., L.P. v Bodner*, 14 AD3d 1; *Weissman v Sinorm Deli*, 88 NY2d 437; *Dunham v Weissman*, 281 AD2d 220; *Cassidy v County of Nassau*, 182 AD2d 608.) II. The First Department erred in holding that the noteholders could not assert tort claims against the indenture

trustee in addition to their contract claims. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Mandelblatt v Devon Stores*, 132 AD2d 162; *Sergeants Benevolent Assn. Annuity Fund v Renck*, 19 AD3d 107; *Sally Lou Fashions Corp. v Camhe-Marcille*, 300 AD2d 224; *Davis v Dime Sav. Bank of N.Y.*, 158 AD2d 50; *Bouquet Brands Div. of J & D Food Sales v Citibank*, 97 AD2d 936; *LNC Invs., Inc. v First Fid. Bank, N.A.*, 935 F Supp 1333; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.*, 163 Misc 2d 551; *Williams v Continental Stock Transfer & Trust Co.*, 1 F Supp 2d 836; *Hazzard v Chase Natl. Bank of City of N.Y.*, 159 Misc 57, 257 App Div 950, 282 NY 652.)

Kelley Drye & Warren LLP, New York City (Steven P. Caley, Robert S. Friedman and Kevin J. Smith of counsel), for respondent. I. The First Department correctly affirmed the trial court's dismissal of plaintiffs' breach of contract and trust indenture act claims based on plaintiffs' release of those claims. (*Stoll v Gottlieb*, 305 US 165; *Jerome J. Steiker Co. v Eccelston Props.*, 156 Misc 2d 308; *Truesdell v Donaldson, Lufkin & Jenrette Sec. Corp.*, 281 AD2d 334; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.*, 216 AD2d 126; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Jacobson v Sassower*, 66 NY2d 991.) II. The First Department correctly dismissed plaintiffs' tort claims against State Street Bank and Trust Company. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Papa v New York Tel Co.*, 72 NY2d 879; *Brown v Wyckoff Hgts. Med. Ctr.*, 28 AD3d 412; *Brown v Brown*, 12 AD3d 176; *Roklina v Skidmore Coll.*, 268 AD2d 765; *Non-Linear Trading Co. v Braddis Assoc.*, 243 AD2d 107; *North Shore Bottling Co. v Schmidt & Sons*, 22 NY2d 171; *Luxonomy Cars v Citibank, N.A.*, 65 AD2d 549; *Hazzard v Chase Natl. Bank of City of N.Y.*, 159 Misc 57, 257 App Div 950, 282 NY 652; *Elliott Assoc. v J. Henry Schroder Bank & Trust Co.*, 838 F2d 66.) III. Plaintiffs' claims should be dismissed because State Street Bank and Trust Company was entitled to rely conclusively on opinions, certificates and other documents from Loewen Group International, Inc. and Loewen Group, Inc. (Loewen), the underwriters and Loewen's counsel stating that the pass-through asset trust securities and Series 6 and 7 Notes were secured by the Collateral Trust Agreement collateral upon issuance. (*Caplin v Marine Midland Grace Trust Co.*, 406 US 416; *Cruden v Bank of N.Y.*, 957 F2d 961.) IV. Under no circumstances would plaintiffs be entitled to summary judgment. (*Ugarriza v Schmieder*, 46 NY2d 471; *Londa v Dougby Estates*, 40 NY2d 1001; *Donohue v Copi-*

ague Union Free School Dist., 64 AD2d 29; *Gleason v Reynolds Leasing Corp.*, 227 AD2d 375; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Doolittle v Conklin Brass & Copper Co.*, 103 AD2d 722; *Resource Fin. v National Cas. Co.*, 219 AD2d 627.)

C. Dawn Causey, General Counsel, American Bankers Association, Washington, D.C. (*Gregory F. Taylor, Jill M. Goldman and Cristeena Naser* of counsel), for American Bankers Association, amicus curiae. Imposing liability based upon a common-law duty would be inconsistent with the Trust Indenture Act and would have a negative impact upon the industry. (*Zeffiro v First Pennsylvania Banking & Trust Co.*, 623 F2d 290, 456 US 1005; *Bluebird Partners, L.P. v First Fid. Bank, N.A. N.J.*, 85 F3d 970.)

OPINION OF THE COURT

JONES, J.

In this appeal arising out of the issuance of a series of debt securities by nonparties Loewen Group International, Inc. and Loewen Group, Inc. (collectively Loewen), the question before us is whether plaintiffs have viable claims against defendant State Street Bank and Trust Company (State Street) for breach of contract, violation of the federal Trust Indenture Act of 1939 (*see* 15 USC § 77aaa *et seq.*), breach of fiduciary duty and negligence based on its alleged failure to deliver debt transaction registration statements arguably required to secure the debt. We conclude that plaintiffs' contract and Trust Indenture Act claims are barred by a release previously executed by plaintiffs as part of a bankruptcy settlement with Loewen and that no fiduciary duties exist. However, because negligence claims are not barred by the release, and because there is an issue of fact as to whether State Street owed and violated a duty of care to plaintiffs, we reinstate the cause of action for negligence brought by plaintiffs against State Street.

Facts¹

In May 1996, Loewen and collateral trustee Bankers Trust entered into a Collateral Trust Agreement (CTA). As relevant here, the CTA permitted holders of future debt offerings to

1. The facts concerning the transactions at issue are largely set forth in a prior decision of this Court (*see AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582 [2005] [In a related third-party action commenced by State Street, the Court reinstated its claims for negligence and contribution]). We restate and augment the facts only to the extent necessary to resolve the instant appeal (which concerns the main action).

acquire secured-creditor status with respect to the same pool of collateral. Specifically, the CTA provided that future

“trustees or like representatives acting on behalf of Holders of any proposed Additional Secured Indebtedness . . . may become Secured Party Representatives under this Collateral Trust Agreement and be entitled to the benefits of the security interests in the Collateral as set out herein and in the other Collateral Documents. *To become a Secured Party Representative hereunder each such representative or Holder must deliver to the Trustee, for acceptance and registration in the Secured Indebtedness Register, an Additional Secured Indebtedness Registration Statement*” (emphasis added).

In the late 1990s, in an effort to raise capital, Loewen issued a series of debt securities.² Three of the debt securities, the pass-through asset trust securities (PATS), issued in September 1997, and the Series 6 and 7 Notes (Notes), issued in May 1998, are relevant here. Under the indenture for each transaction, Loewen engaged State Street to serve as indenture trustee and administer the debt issue. Plaintiffs—various insurance companies, mutual funds and investment funds—are holders of the PATS and Notes, which were valued at approximately \$750 million when issued. For each transaction, Loewen and State Street executed an additional secured indebtedness registration statement (ASIRS) as set forth in the CTA. Each ASIRS, incorporating by reference the CTA between Loewen and Bankers Trust, provided:

“*By executing and delivering this Additional Secured Indebtedness Registration Statement and, upon the acceptance and recordation hereof by the Trustee in accordance with Section 2.3 of the Collateral Trust Agreement, State Street . . . as trustee under the indenture . . . hereby agrees on behalf of itself and the Holders it represents to be bound by all the terms and provisions of the [CTA] applicable to a*

2. The document setting the terms and conditions of a debt issuance is a corporate indenture (see Black’s Law Dictionary 784 [8th ed 2004]).

Holder and a Secured Party Representative” (emphasis added).³

It is undisputed that no ASIRS for the PATS or the Notes was ever delivered to or received by Bankers Trust.

In June 1999, Loewen filed for chapter 11 bankruptcy protection. Because no ASIRS was delivered for the subject debt securities, uncertainty arose as to whether the holders of those instruments had secured-creditor status. In the bankruptcy proceeding, plaintiffs approved Loewen’s fourth reorganization plan and settled their claims against Loewen by accepting a discounted value for the Notes and PATS. Plaintiffs also agreed to “release” State Street in accordance with Loewen’s reorganization plan, which provided that

“each holder of a CTA Note Claim, each Indenture Trustee and each Principal CTA Creditor will be deemed to forever release, waive and discharge [State Street] . . . from any claims, demands, rights, causes of action[] or liabilities that, if enforced against [State Street], entitle [State Street] to an Allowed Claim for indemnification from [Loewen].”

The indentures for the subject transactions required that Loewen

“shall indemnify [State Street] for, and hold it harmless against, any loss or liability incurred by it arising out of or in connection with the administration of this trust and its rights or duties hereunder, including the costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers or duties hereunder. . . . [Loewen] need not reimburse any expense or indemnify against any loss or liability to the extent incurred by [State Street] through its

3. UBS Warburg LLC (UBS) was lead underwriter in the PATS transaction, and its counsel, Skadden, Arps, Slate, Meagher & Flom LLP, hosted and ran the closing. Salomon Smith Barney, Inc. (Salomon) was lead underwriter in the Notes transaction, and its counsel, Davis Polk & Wardwell, hosted and ran the closing. Thelen Reid & Priest LLP (Thelen) represented Loewen and drafted the ASIRS for both transactions. Our prior decision provides a detailed exposition of the foregoing (see *AG Capital*, 5 NY3d at 588-589). State Street alleges that after the respective closings, Thelen made numerous representations through, among other things, the issuance of opinion letters to Bankers Trust, that the subject debt was fully secured and ranked equally with the other secured debt previously issued by Loewen.

negligence, bad faith or willful misconduct” (emphasis added).

Thus, State Street was not indemnified by Loewen, and therefore not released by plaintiffs, as to any claim based on its negligence.

Procedural History

In 2002, plaintiffs commenced this action against State Street, alleging six causes of action: (1) breach of the PATS ASIRS and the Notes ASIRS, (2) breach of the PATS indenture and the Notes indenture, (3) violation of the federal Trust Indenture Act, (4) breach of fiduciary duty as an indenture trustee, (5) breach of fiduciary duty as a secured party representative and (6) negligence. In sum, plaintiffs alleged that State Street’s failure to deliver the ASIRS to Bankers Trust for registration as required under the CTA and the ASIRS caused plaintiffs to settle their claims in Loewen’s bankruptcy for “tens of millions of dollars” less than if State Street had delivered the ASIRS. In its answer, State Street denied the complaint’s allegations and asserted various affirmative defenses, including release. State Street further countered that the subject notes were secured, whether or not they were registered.⁴ In January 2005, State Street moved for summary judgment dismissing the complaint, and plaintiffs moved for partial summary judgment on their contract claims (i.e., breach of the ASIRS and breach of the indentures), as well as their breach of fiduciary duty as indenture trustee and negligence claims. Plaintiffs also sought an award of damages.

4. In 2003, State Street commenced a third-party action asserting claims for common-law indemnification, contribution and unjust enrichment against third-party defendants Salomon, UBS and Thelen, and negligent misrepresentation and attorney malpractice against Thelen. State Street alleged that if it is liable to plaintiffs in the main action, the third-party defendants should ultimately be held liable to it because they assumed State Street’s delivery obligation and breached that duty by failing to deliver the ASIRS. The third-party defendants moved to dismiss the third-party complaint under CPLR 3211 (a) (7). Supreme Court dismissed the unjust enrichment, indemnification, attorney malpractice and negligent misrepresentation claims. However, the court let State Street’s negligence and contribution claims go forward. In August 2004, the Appellate Division granted third-party defendants’ motions in their entirety and dismissed State Street’s third-party complaint, holding that “State Street assumed the contractual obligation to deliver to Bankers Trust a registration statement for any additional secured indebtedness” (10 AD3d 293, 294 [2004]). We reinstated the contribution and negligence claims (5 NY3d 582 [2005]). In so holding, we “express[ed] no opinion on the merits of the underlying claims against State Street” (*id.* at 590).

In July 2005, Supreme Court (1) granted State Street's motion to the extent of dismissing plaintiffs' claims for breach of contract and violation of the Trust Indenture Act, (2) granted plaintiffs' motion to the extent of granting them summary judgment as to liability on their breach of fiduciary duty as indenture trustee and negligence claims and (3) otherwise denied the motions. Specifically, the court held that the release plaintiffs executed as part of the Loewen bankruptcy settlement barred their contract and violation of the Trust Indenture Act claims, but did not affect their breach of fiduciary duty and negligence claims.

Further, the court, relying on the Appellate Division's 2004 decision dismissing State Street's third-party claims, held that plaintiffs were entitled to summary judgment as to liability on their breach of fiduciary duty as indenture trustee and negligence claims. However, in our November 2005 decision reversing the dismissal of the third-party negligence and contribution claims, we noted that the Appellate Division's comments on the merits of the main claim were "premature and beyond the scope of the appeal" (5 NY3d at 590 n 3).

After our November 2005 decision, State Street moved to vacate certain portions of Supreme Court's July 2005 decision and to renew its summary judgment motion as to the remaining claims, arguing that this Court rejected the Appellate Division's conclusion that plaintiffs could predicate tort claims on State Street's failure to perform ministerial tasks. In May 2006, Supreme Court (1) vacated so much of its prior order that granted plaintiffs summary judgment on the breach of fiduciary duty as indenture trustee and negligence claims, (2) granted State Street's motion to renew and (3) upon renewal, denied State Street's motion for summary judgment dismissing plaintiffs' breach of fiduciary duty (as indenture trustee and secured party representative) claims and their negligence claim. The parties appealed from Supreme Court's July 2005 and May 2006 orders to the extent they were aggrieved.

The Appellate Division dismissed plaintiffs' claims for breach of contract and violation of the Trust Indenture Act, explaining that because these claims were not predicated upon State Street's negligence, bad faith or willful misconduct, they are clearly barred by the release (40 AD3d 392, 393-394 [1st Dept 2007]). The court further concluded that the remaining claims for breach of fiduciary duty and negligence "should have been dismissed since they are essentially duplicative of the claims for

breach of contract” (*id.* at 394). The court stated that, “[n]otwithstanding the wording of” such claims, “it is apparent that plaintiffs have not alleged the breach of an extracontractual duty redressable in tort” (*id.*). We granted plaintiffs leave to appeal and now modify and reinstate the negligence claim against State Street.

Discussion

Plaintiffs argue that the Appellate Division decision immunizes State Street’s failure to perform its most basic and fundamental obligations as an indenture trustee. Specifically, plaintiffs contend that: (1) Loewen’s indemnification obligations to State Street, consistent with the Trust Indenture Act, did not relieve State Street from any claims or liability resulting from its own misconduct or failure to perform its express contractual obligations; as such, the release has no effect on plaintiffs’ breach of contract claims; and (2) prior to the issuer’s default, State Street owed plaintiffs an extracontractual duty to perform basic, nondiscretionary ministerial tasks (e.g., delivery of the ASIRS) and that breach of such duty supports a tort claim against State Street. State Street counters that (1) plaintiffs’ breach of contract and Trust Indenture Act claims are barred by the release; (2) plaintiffs have not alleged the breach of an extracontractual duty redressable in tort; and (3) in any event, plaintiffs’ tort claims are duplicative of the breach of contract claims.

[1] Under the plain terms of the release, its scope is based on the terms of the indemnification provision set forth in each indenture. In short, the indentures provide that Loewen shall indemnify State Street for and hold it harmless against all claims except those based on State Street’s negligence, bad faith or willful misconduct.⁵ As plaintiffs’ breach of contract and Trust Indenture Act claims against State Street are not based on State Street’s negligence, bad faith or willful misconduct, these claims fall under the category of “Allowed Claim for indemnification” and are barred pursuant to the release. Therefore, the Appellate Division properly concluded that, based on the release, State Street is entitled to summary judgment dismissing plaintiffs’ first three claims.

5. This provision is consistent with the Trust Indenture Act, which states: a corporate indenture “shall not contain any provisions relieving the indenture trustee from liability for its own negligent action, its own negligent failure to act, or its own willful misconduct” (15 USC § 7700o [d]).

We turn next to plaintiffs' contention that State Street may be held liable in tort for its failure to perform the basic, nondiscretionary ministerial function of delivering the ASIRS (prior to the event of default) and that, accordingly, plaintiffs' fourth and fifth claims, sounding in breach of fiduciary duty as an indenture trustee and as a secured party representative, respectively, should be reinstated.

The Trust Indenture Act of 1939, which is applicable "to notes, bonds, debentures, and other evidences of indebtedness, whether or not secured, and to all certificates representing such an interest" (5 Hazen, Securities Regulation § 19.2, at 261 [5th ed]), was enacted because "previous abuses by indenture trustees had adversely affected the national public interest and the interest of investors in notes, bonds [and] debentures, 15 U.S.C. § 77bbb (a), and Congress sought to address this national problem in a uniform way, S.Rep. No. 248, 76th Cong., 1st Sess. 3 (1939)" (*Bluebird Partners, L.P. v First Fid. Bank, N.A. N.J.*, 85 F3d 970, 974 [2d Cir 1996] [internal quotation marks omitted]). In short, "[t]he Act is designed to vindicate a federal policy of protecting investors" (*id.* [internal quotation marks and emphasis omitted]). As relevant here, the Act states that an indenture "*shall automatically be deemed (unless it is expressly provided therein that any such provision is excluded) to provide that, prior to default . . . the indenture trustee shall not be liable except for the performance of such duties as are specifically set out in such indenture*" (15 USC § 77000 [a] [1] [emphasis added]).

New York state and federal case law are consistent with section 77000 (a) (1) of the Act. In *Hazzard v Chase Natl. Bank of City of N.Y.*, Supreme Court, New York County explained that

"[t]he corporate trustee has very little in common with the ordinary trustee The trustee under a corporate indenture . . . has his [or her] rights and duties defined, not by the fiduciary relationship, but exclusively by the terms of the agreement. His [or her] status is more that of a stakeholder than one of a trustee" (159 Misc 57, 83-84 [1936], *affd without op* 257 App Div 950 [1st Dept 1939], *affd without op* 282 NY 652 [1940], *cert denied* 311 US 708 [1940]; *see Elliott Assoc. v J. Henry Schroder Bank & Trust Co.*, 838 F2d 66, 71 [2d Cir 1988] [holding that as long as trustee fulfills obligations under the express terms of indenture, no pre-default duties owed to

debt holders except to avoid conflicts of interest]; *Meckel v Continental Resources Co.*, 758 F2d 811, 816 [2d Cir 1985] [same as *Hazzard*]; *Craig v Bank of N.Y.*, 2002 WL 1543893, 2002 US Dist LEXIS 12721 [SD NY 2002]; *Magten Asset Mgt. Corp. v Bank of N.Y.*, 15 Misc 3d 1132[A], 2007 NY Slip Op 50951[U] [Sup Ct, NY County 2007] [same as *Hazzard*]; *AMBAC Indem. Corp. v Bankers Trust Co.*, 151 Misc 2d 334, 338-339 [Sup Ct, NY County 1991] [same as *Hazzard* and *Elliott Assoc.*]).

We further note that a number of courts have held that prior to default, indenture trustees owe note holders an extracontractual duty to perform basic, nondiscretionary, ministerial functions redressable in tort if such duty is breached (see *LNC Inv., Inc. v First Fid. Bank, N.A.*, 935 F Supp 1333, 1347 [SD NY 1996];⁶ *Philip v L.F. Rothschild & Co.*, 1999 WL 771354, *1, 1999 US Dist LEXIS 14967, *3-4 [SD NY 1999]; *Dresner Co. Profit Sharing Plan v First Fid. Bank, N.A., N.J.*, 1996 WL 694345, *4, 1996 US Dist LEXIS 17913, *12-13 [SD NY 1996]; *Williams v Continental Stock Transfer & Trust Co.*, 1 F Supp 2d 836, 840 [ND Ill 1998]). These decisions are consistent with section 77000 (a) (1) of the Trust Indenture Act, *Elliott Assoc.* and *Hazzard*.

Based on the foregoing, we hold that an indenture trustee owes a duty to perform its ministerial functions with due care, and if this duty is breached the trustee will be subjected to tort liability. However, contrary to plaintiffs' arguments, the alleged breach of such duty neither gives rise to *fiduciary* duties nor supports the reinstatement of plaintiffs' fourth and fifth causes of action.

[2] Plaintiffs' fourth cause of action alleging that State Street had a fiduciary duty as an "Indenture Trustee" is not viable. First, they cannot point to any provision in the indentures that places fiduciary obligations on State Street prior to an event of

6. In support of its holding in *LNC Inv.*, the Southern District cited *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.* (163 Misc 2d 551 [Sup Ct, NY County 1994], *affd on different grounds* 216 AD2d 126 [1st Dept 1995], *lv dismissed* 87 NY2d 892 [1995]). In that case, as here, the ministerial task defendant trustee was required to perform was set forth in an agreement executed by the debt issuer and the indenture trustee. Put differently, the duty to perform the required ministerial task clearly arose under the terms of the agreement.

default.⁷ Second, as will be made clear below, fiduciary obligations are wholly different from the performance of ministerial functions with due care. Finally, mere allegations that a fiduciary duty exists, with nothing more, are insufficient to withstand summary judgment.

[3] Plaintiffs' fifth cause of action alleging that State Street had a fiduciary duty as a "Secured Party Representative" is not viable under the general principles governing fiduciary relationships. "A fiduciary relationship 'exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation' " (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005], quoting Restatement [Second] of Torts § 874, Comment a). Determining whether a fiduciary relationship exists necessarily involves a fact-specific inquiry (*see id.*). "[E]ssential elements of a fiduciary relation are . . . 'reliance, . . . de facto control and dominance' " (*Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158, 173 [1993, Hancock, J., dissenting] [citations omitted]). Stated differently, "[a] fiduciary relation exists when confidence is reposed on one side and there is resulting superiority and influence on the other" (*id.*).

Here, State Street never became a secured party representative, as defined by the CTA, in the first instance. Accordingly, State Street never undertook "a duty to act for or to give advice for the benefit of another" in that capacity.

[4] Finally, we conclude that the Appellate Division erred in dismissing plaintiffs' negligence claim as duplicative of plaintiffs' breach of the ASIRS (contract) claim. At the outset, we reiterate that the release executed by plaintiffs only applied to claims for which Loewen would have to indemnify State Street under the respective indentures, which specifically exclude acts of negligence from Loewen's indemnification obligations. Therefore, the release does not shield State Street from its own acts of negligence.

Here, it is undisputed that State Street and Loewen executed the ASIRS, that the ASIRS called for State Street to deliver

7. This is consistent with the Trust Indenture Act, which distinguishes between an indenture trustee's pre- and post-default duties. Thus, while an indenture trustee, prior to default, is liable for obligations specifically set forth in the indenture, once the issuer defaults, the trustee "shall exercise . . . such of the rights and powers vested in it by such indenture, and . . . use the same degree of care and skill in their exercise, as a prudent [person] would exercise or use under the circumstances in the conduct of his [or her] own affairs" (15 USC § 7700o [c]).

same to Bankers Trust and that State Street failed to deliver the ASIRS or ensure that the ASIRS were delivered to Bankers Trust. Accordingly, there are issues of fact as to whether State Street, separate and apart from its contractual duty under the ASIRS, undertook and breached a duty of care, “connected with and dependent upon the [ASIRS]” (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 389 [1987] [citation omitted]), to act in accordance with the ASIRS and the CTA registration requirements to protect plaintiffs’ security rights in the CTA collateral and whether plaintiffs sustained significant losses as a result of this alleged breach. These questions should be resolved at trial.

State Street’s reliance on various representations and opinions of Loewen’s counsel (Thelen) stating that the PATS and the Notes were, or would be, entitled to secured status is misplaced and, in any event, does not alter our holding on plaintiffs’ negligence claim. Because State Street did not advise Thelen that it had failed to deliver the ASIRS as it agreed to do, State Street cannot, in good faith, rely upon Thelen’s representations.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH and FIGOTT concur; Judge CIPARICK taking no part.

Order modified, etc.

[896 NE2d 69, 866 NYS2d 586]

In the Matter of RONNIE RAMROOP, Appellant, v FLEXO-CRAFT PRINTING, INC., et al., Respondents. WORKERS' COMPENSATION BOARD, Respondent.

Argued June 3, 2008; decided June 26, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 21, 2007. The Appellate Division affirmed a decision of the Workers' Compensation Board, which had ruled that claimant was not entitled to additional workers' compensation benefits pursuant to Workers' Compensation Law § 15 (3) (v).

Matter of Ramroop v Flexo-Craft Print., Inc., 41 AD3d 1055, affirmed.

HEADNOTE

Workers' Compensation — Extent of Disability — Additional Compensation Not Available to Undocumented Alien

The Workers' Compensation Board properly determined that claimant, an undocumented alien who sustained a compensable hand injury, was not entitled to recover "additional compensation" under Workers' Compensation Law § 15 (3) (v) after his schedule award was fully paid. Even if claimant could establish that the impairment of his wage-earning capacity was due solely to the compensable injury he sustained, as required by the statute, he could not meet the statute's requirement that he participate in a "Board approved rehabilitation program" because he was ineligible for work in the United States. Moreover, even if claimant cooperated to the extent he could, his inability to participate was not because rehabilitation was not feasible, but because no rehabilitation program is available to those who are not legally employable. It could not have been the intent of the Legislature to restore to reemployment a worker who may not be lawfully employed. Additionally, Workers' Compensation Law § 17, which was amended to ensure that an alien's relocation outside the country (or Canada) would not result in diminished "compensation" to that alien, was inapplicable here, based on the legislative purpose of section 17 and because claimant was a New York State resident.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Aliens and Citizens § 2105; AM JUR 2d, Workers' Compensation §§ 126, 190, 191.

McKINNEY's, Workers' Compensation Law § 15 (3) (v); § 17.

NY JUR 2d, Workers' Compensation §§ 323, 484, 882.

ANNOTATION REFERENCE

Application of workers' compensation laws to illegal aliens. 121 ALR5th 523.

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POINTS OF COUNSEL

Joel M. Gluck, Brooklyn, for appellant. I. The decision of the Workers' Compensation Board affirmed by the Appellate Division is proscribed by Workers' Compensation Law § 17 and this state's historical refusal to bar compensation based on immigration status. (*Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *O'Rourke v Long*, 41 NY2d 219; *Noreen v Vogel & Bros.*, 231 NY 317; *Matter of Sackolwitz v Hamburg & Co.*, 295 NY 264; *Matter of Davison v Holder*, 137 AD2d 899; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133; *Matter of Hernandez v Excel Recycling Corp.*, 31 AD3d 1091; *Matter of Richardson v Fiedler Roofing*, 112 AD2d 551, 67 NY2d 246; *Balbuena v IDR Realty LLC*, 6 NY3d 338.) II. The Workers' Compensation Board's decision rests on an erroneous interpretation of Workers' Compensation Law § 15 (3) (v). (*Matter of Fortuna v Pfizer, Inc.*, 91 AD2d 1083; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of Porter v D.A. Collins Constr.*, 28 AD3d 951; *Matter of Marcera v Delco Prods., Div. of Gen. Motors Corp.*, 218 AD2d 888; *Matter of Graham v Pathways, Inc.*, 305 AD2d 830; *Matter of Bremner v New Venture Gear*, 31 AD3d 848; *Matter of Nye v IBM Corp.*, 2 AD3d 1164; *Matter of Carbonaro v Chinatown Sea Food*, 55 AD2d 756; *Matter of Scally v Ravena Coeymans Selkirk Cent. School Dist.*, 31 AD3d 836; *Matter of Lane v Roto-dyne, Inc.*, 66 AD2d 153.)

Gregory J. Allen, General Attorney, State Insurance Fund, New York City (*Rudolph Rosa Di Sant* of counsel), for respondents. I. Denial of "additional compensation" under Workers' Compensation Law § 15 (3) (v) based upon treatment of claimant's illegal status as an additional impairment of his earning capacity is supported by the language of the statute, case law and the principles of statutory construction. (*Balbuena v IDR Realty LLC*, 6 NY3d 338; *Matter of Sackolwitz v Hamburg & Co.*, 295 NY 264; *Matter of Richardson v Fiedler Roofing*, 67 NY2d 246; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of*

Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington, 97 NY2d 86; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Meltzer v Koenigsberg*, 302 NY 523; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Porter v D.A. Collins Constr.*, 28 AD3d 951; *Matter of Graham v Pathways, Inc.*, 305 AD2d 830, 1 NY3d 564.) II. Denial of "additional compensation" under Workers' Compensation Law § 15 (3) (v) based upon claimant's ineligibility for vocational rehabilitation is supported by the language of the statute and is consistent with federal immigration policy. (*Matter of Murphy v Office of Vocational & Educ. Servs. for Individuals with Disabilities*, N.Y. State Educ. Dept., 92 NY2d 477; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Matter of Lane v Rotodyne, Inc.*, 66 AD2d 153; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516.) III. Workers' Compensation Law § 17 does not exempt immigration status from consideration in determining eligibility under Workers' Compensation Law § 15 (3) (v); alternatively, relief under Workers' Compensation Law § 15 (3) (v) is not unconditional. (*Matter of Fogarty v Young*, 1 AD2d 751; *Matter of Spaduccino v Hayes & Co.*, 180 App Div 37, 223 NY 681; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133, 8 NY2d 705; *Matter of Iannone v Radory Constr. Corp.*, 285 App Div 751; *Matter of Kinkela v Crimmins Contr. Co.*, 263 App Div 770; *Matter of Serrano v M. A. Gammino Constr. Co.*, 281 App Div 736; *Matter of Rolle v General Foods Corp., Birds Eye Div.*, 19 AD2d 188; *AP Propane v Sperbeck*, 157 AD2d 27, 77 NY2d 886; *Williamson v 16 W. 57th St. Co.*, 256 AD2d 507.)

MFY Legal Services, Inc., New York City (Anne Marie O'Donovan and Jeanette Zelhof of counsel), for Sameer M. Ashar and others, amici curiae. I. The history of New York's Workers' Compensation Law demonstrates the Legislature's powerful commitment to protecting all workers, irrespective of immigration status. (*Shanahan v Monarch Eng'g Co.*, 219 NY 469; *Matter of Post v Burger & Gohlke*, 216 NY 544; *Ives v South Buffalo Ry. Co.*, 201 NY 271; *Matter of Spaduccino v Hayes & Co.*, 180 App Div 37, 223 NY 681.) II. The term immigrants in Workers' Compensation Law § 17 is best understood as including undocumented immigrants given the Legislature's deep familiarity with immigration status distinctions and its intent that coverage under the Workers' Compensation Law be broad and exclusive. (*Shanahan v Monarch Eng'g Co.*, 219 NY 469; *Sliosberg v New York Life Ins. Co.*, 244 NY 482; *Alfson v Bush Co. [Ltd.]*, 182 NY 393; *Noreen v Vogel & Bros.*, 231 NY 317.) III.

The Legislature, by adding Workers' Compensation Law § 15 (3) (v) in 1970, intended to strengthen protections for injured immigrant workers and did not exclude workers based on immigration status. (*Matter of Testa v Sorrento Rest.*, 10 AD2d 133.) IV. The Legislature's decision to expand workers' compensation coverage for injured immigrant workers in the 1980s makes even more explicit its commitment to protecting all workers, irrespective of immigration status.

Urban Justice Center, New York City (*E. Tammy Kim* of counsel), and *Legal Aid Society* (*Steven Banks*, *Adriene Holder*, *Richard E. Blum*, *Christopher Lamb* and *Hollis V. Pfitsch* of counsel), for New York City Central Labor Council, AFL-CIO and others, amici curiae. I. This Court has already held that it is the law and policy of the State of New York to protect all workers by providing wage replacement to injured workers regardless of immigration status. (*Balbuena v IDR Realty LLC*, 6 NY3d 338; *Hoffman Plastic Compounds, Inc. v NLRB*, 535 US 137; *Madeira v Affordable Hous. Found., Inc.*, 469 F3d 219.) II. New York's Worker's Compensation Law enshrines the same principles that this Court articulated in *Balbuena v IDR Realty LLC* (6 NY3d 338 [2006]) and therefore requires that workers' compensation benefits be equally available to all regardless of immigration status. (*Matter of Sackolwitz v Hamburg & Co.*, 295 NY 264; *Matter of Post v Burger & Gohlke*, 216 NY 544; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133; *Matter of Richardson v Commissioner of N.Y. City Dept. of Social Servs.*, 88 NY2d 35; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Gardebring v Jenkins*, 485 US 415; *Matter of Palucci v Capital Newspapers*, 197 AD2d 811; *Matter of Caldas v 86 Alda Rest.*, 167 AD2d 594; *Matter of Fogorty v Young*, 1 AD2d 751.) III. As the Workers' Compensation Board's decision is not entitled to deference, the Court should make its own determination of the meaning of Workers' Compensation Law § 15 (3) (v) and reverse the Third Department's ruling. (*Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *O'Rourke v Long*, 41 NY2d 219; *Noreen v Vogel & Bros.*, 231 NY 317; *Matter of Davison v Holder*, 137 AD2d 899; *Matter of Smith v Tompkins County Courthouse*, 60 NY2d 939; *Matter of Porter v D.A. Collins Constr.*, 28 AD3d 951; *Matter of Eimers v Lee's Rest.*, 162 AD2d 850; *Matter of Marcera v Delco Prods., Div. of Gen. Motors Corp.*, 218 AD2d 888; *Matter of Graham v Pathways, Inc.*, 305 AD2d 830.) IV. The Court should reject the Workers' Compensation Board's determination because it is an unreasoned departure from the

Board's own decisions on the meaning of Workers' Compensation Law § 15 (3) (v)'s "due solely thereto" requirement. (*Matter of Richardson v Commissioner of N.Y. City Dept. of Social Servs.*, 88 NY2d 35; *Matter of Marcera v Delco Prods., Div. of Gen. Motors Corp.*, 218 AD2d 888.) V. The Workers' Compensation Board erred in concluding that appellant did not meet the vocational rehabilitation requirement of Workers' Compensation Law § 15 (3) (v). (*Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Matter of Lane v Rotodyne, Inc.*, 66 AD2d 153; *Madeira v Affordable Hous. Found., Inc.*, 469 F3d 219.) VI. The policies of workers' compensation and federal immigration law compel reversal of the Third Department's ruling. (*Matter of Jensen v Southern Pac. Co.*, 215 NY 514, 244 US 205; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Commercial Cleaning Servs., L.L.C. v Colin Serv. Sys., Inc.*, 271 F3d 374.)

OPINION OF THE COURT

JONES, J.

The question before us is whether claimant may recover "additional compensation" under Workers' Compensation Law § 15 (3) (v). We conclude that he may not.¹

On March 28, 1995, claimant, then employed and working as a printer for respondent Flexo-Craft Printing, Inc., sustained a severe crush injury involving four fingers when he caught his right hand in a printing press.² After claimant's March 8, 1996 workers' compensation hearing (where his claim for a compensable injury to the right hand was established), the Workers'

1. Enacted in 1913 as Workmen's Compensation Law § 15 (*see* L 1913, ch 816), the statute provides compensation for four different types of injury: permanent total disability, temporary total disability, permanent partial disability and temporary partial disability (*see Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348, 353 [2007], citing Workers' Compensation Law § 15 [1], [2], [3], [5]). "Permanent partial disability . . . is called a schedule loss of use award because the statute assigns—as by a 'schedule'—a fixed number of lost weeks' compensation according to the bodily member injured" (*LaCroix*, 8 NY3d at 353, citing Workers' Compensation Law § 15 [3]). As claimant here injured his hand, the number of weeks assigned by statute is 244 (*see* Workers' Compensation Law § 15 [3] [c]). Schedule loss of use awards "compensate for loss of earning power" and, like all other compensation awards, "are intended to provide a limited and certain, not full but uncertain remedy regardless of the fault of the employer, and to continue the wage income as nearly uniform as the provisions of the law would permit after the employee's injury" (*LaCroix*, 8 NY3d at 353 [citations and internal quotation marks omitted]).

2. Claimant underwent seven surgical procedures. His right third and fourth fingers were so severely injured that they required amputation.

Compensation Board awarded claimant temporary disability benefits that were paid by respondent employer's workers' compensation carrier, the State Insurance Fund (Fund). The Board ultimately ordered a 75% schedule loss of use award. In sum, under the Board's awards, claimant received primary compensation benefits from March 29, 1995 until January 18, 2000, when the award was fully paid. Claimant's case was subsequently closed.

In 1997, claimant was interviewed and evaluated by the Board's Rehabilitation Bureau for vocational purposes. Claimant was eventually referred to the New York State Education Department's Office of Vocational and Educational Services for Individuals with Disabilities (VESID), but the agency found that he was ineligible for services because he is an undocumented alien who cannot be legally employed in the United States.

In July 2002, more than two years after the schedule award had been fully paid, claimant requested that the case be reopened and restored, and that he receive "additional compensation" pursuant to Workers' Compensation Law § 15 (3) (v). After a hearing in October 2003, a Workers' Compensation Law Judge (WCLJ) awarded claimant section 15 (3) (v) benefits in the amount of \$200 per week from September 2002 through October 2003 and ordered the Fund to make such payments. The Fund appealed the decision to a Board panel based on VESID's finding that claimant was ineligible for training for non-work-related reasons. A Board panel rescinded the WCLJ's decision and ordered further hearings regarding whether claimant's impairment of earning capacity was due "solely" to his work-related injury, as required by section 15 (3) (v). At a subsequent hearing held in September 2004, the Board's rehabilitation counselor testified that claimant was ineligible for VESID training due to his undocumented status. The WCLJ reinstated the additional compensation award and the carrier appealed the decision to a Board panel.

In November 2005, the Board panel that originally rescinded the WCLJ's first decision reversed the decision rendered at the subsequent hearing. The Board panel concluded that claimant did not meet the requirements of section 15 (3) (v) and that Workers' Compensation Law § 17 should not change this result. Claimant appealed to the Appellate Division, which affirmed. The court held that "the Board quite properly found that because claimant was an undocumented alien, he was ineligible

for employment in the United States and, thus, his loss of earning capacity was not solely attributable to his compensable injury” and that “Workers’ Compensation Law § 17 [did] not compel a contrary result” (41 AD3d 1055 [2007]). We granted claimant leave to appeal and now affirm, albeit on different grounds.

Claimant and *amici* seek reversal of the Appellate Division order and argue, among other things, that the decision of the Board, affirmed by the Appellate Division, runs counter to the legislative history of Workers’ Compensation Law § 15 (3) (v) and § 17. We disagree.

Because this appeal involves a question of statutory interpretation, we must discern and give effect to the Legislature’s intent:

“As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof. . . . In construing statutes, it is a well-established rule that resort must be had to the natural signification of the words employed, and if they have a definite meaning, which involves no absurdity or contradiction, there is no room for construction and courts have no right to add to or take away from that meaning” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [citations and internal quotation marks omitted]).

Section 15 (3) (v) (added by L 1970, ch 286, § 1), entitled “Additional compensation for impairment of wage earning capacity in certain permanent partial disabilities,” states, in relevant part:

“[A]dditional compensation shall be payable for impairment of wage earning capacity for any period after the termination of an award under paragraphs a, b, c, or d[] of this subdivision for the loss or loss of use of [50%] or more of a[n arm, leg, hand or foot], *provided such impairment of earning capacity shall be due solely thereto.* . . . *As soon as practicable after the injury, the worker shall be required to participate in a board approved rehabilitation program; or shall have demonstrated cooperation with efforts to institute such a board approved*

program and shall have been determined by the board not to be a feasible candidate for rehabilitation.” (Emphasis added.)

Contrary to claimant’s argument that the legislative history of section 15 (3) (v) controls, the statute clearly and unambiguously provides that claimant must fulfill two requirements. With this in mind and assuming, without deciding, claimant can establish that the impairment of his wage-earning capacity is due solely to the compensable injury he sustained, we hold that he does not meet the second requirement under the statute. That is, because claimant was ineligible for work in the United States, claimant did not, and could not, participate in a “board approved rehabilitation program.” Moreover, even if we assume that claimant cooperated to the extent he could, his inability to participate was not because rehabilitation was not feasible—the Board never made a feasibility determination—but because no rehabilitation program is available to those who are not legally employable.

This appeal puts into clear focus the tension between the statute’s vocational rehabilitation objective to return an injured worker to the marketplace, and the reemployment of a worker, as in this case, who is not authorized to so participate in the first instance. Section 15 (3) (v)’s legislative history underscores this tension:

“A key feature of the bill [that became section 15 (3) (v)] is the requirement that the worker receiving additional compensation participate in Board approved programs of retraining and rehabilitation. This helps both the worker and the employer since it will tend to reduce the effects of the injury, *restore the worker to re-employment* and help him achieve his optimum earning capacity” (Governor’s Program Bill Mem, Bill Jacket, L 1970, ch 286 [emphasis added]).

Simply put, it cannot have been the Legislature’s goal to “restore . . . to re-employment” a worker who may not be lawfully employed. Reversal of the Appellate Division order would not only promote such restoration, it would effectively place the instant claimant, and others similarly situated, in a more favorable position than claimants who must meet all statutory requirements. This would amount to our directing the Board to put its imprimatur on an “additional compensation” award in contravention of its statutory mandate, a result which the law compels against.

Additionally, claimant's reliance on section 17 is misplaced. Section 17, as amended in 1985 (*see* L 1985, ch 538), provides, in pertinent part, that "[c]ompensation . . . to *aliens not residents or about to become nonresidents of the United States or Canada*, shall be the same in amount as provided for residents" (emphasis added). By its plain terms, section 17 is concerned solely with the treatment of aliens (not just undocumented aliens) who reside, or are about to reside, somewhere other than the United States or Canada. Under section 17, as originally enacted, the Board had the authority to commute in half all death and disability compensation awarded to such aliens; thus, such aliens were paid only half of the compensation they would have otherwise received. This practice was eliminated when the Legislature amended section 17 in 1985. This amendment was intended to "delete[] the provision from the Workers' Compensation Law which provides that upon an alien becoming a non-resident alien, the benefits to which he is entitled under the Workers' Compensation Law are reduced by 50%" and "restore the amount of compensation paid to non-resident aliens to 100%" (Sponsor's Mem, Bill Jacket, L 1985, ch 538). Put differently, section 17, as amended, is meant to ensure that an alien's relocation outside the country (or Canada) will not result in diminished "compensation" to that alien. Based on the legislative purpose of section 17 and because claimant, according to the record, resides in New York State, section 17 is inapplicable here.

Although some workplace protections³ and primary workers' compensation benefits⁴ have been held to be available to injured workers who cannot demonstrate legal immigration status, the terms of section 15 (3) (v) are clear and we are constrained to give effect to their plain meaning.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting in part). I agree with the majority that section 17 of the Workers' Compensation Law is not applicable to the facts of this case. However, because the record fails

3. *See e.g. Balbuena v IDR Realty LLC*, 6 NY3d 338 (2006) (holding that our state Labor Law protections are not preempted by the federal Immigration Reform and Control Act of 1986 [8 USC § 1324a *et seq.*], which is designed to deter the employment of aliens who are not lawfully present in the United States and those who are lawfully present, but not authorized to work).

4. *See e.g. Matter of Testa v Sorrento Rest.*, 10 AD2d 133 (3d Dept 1960), *lv denied* 8 NY2d 705 (1960).

to establish whether a Workers' Compensation Board approved rehabilitation program is available to those persons who are not legally employable, I respectfully dissent.

The majority today holds that the claimant's "inability to participate was not because rehabilitation was not feasible—the Board never made a feasibility determination—but because no rehabilitation program is available to those who are not legally employable" (majority op at 167). The record reveals otherwise. At an October 25, 2005 hearing before the Workers' Compensation Board, Commissioner Mona Bargnesi asked whether there was a rehabilitation service that did not require the participant to have a green card. Neither Mr. Hilfer (counsel for Mr. Ramroop) nor Mr. Zenkewich (counsel for Flexo-Craft Printing and the State Insurance Fund) knew whether such a program was available. Indeed respondents' counsel replied:

"He went where they generally send them. They sent him to the VESID program . . .

"Well, I would think that . . . since it has to be a Board approved program that if there was another program that he could have done. I—Personally, I would have hoped that the VESID people could say we can't handle you because of your status but you should go someplace else if there was another place, so I don't know" (Oct. 25, 2005 hearing held before State of New York Workers' Compensation Board, transcript at 14).

Because the question of whether there exists a Workers' Compensation Board approved rehabilitation program willing to enroll a person with an immigration status impairment has not been answered, I would reverse the order of the Appellate Division and remit for further proceedings to determine the availability of an alternative program.

All workers, whether or not they are authorized to work in this country, are eligible for workers' compensation benefits as such benefits are available.

"To further the claimant's ability to establish his [or her] right to benefits, the statute creates a presumption that the injuries are compensable. The statute was enacted for humanitarian purposes, framed, in the words of Chief Judge Cardozo, to insure that injured employees might be saved from becoming one of the derelicts of society, a fragment

of human wreckage. To further that purpose, we have held that the statutory obligation to compensate injuries sustained in the course of employment which are causally related to it does not depend on the equities of a particular case, nor may it be avoided because of the workers' fraud or wrongdoing: it is absolute" (*Matter of Richardson v Fiedler Roofing*, 67 NY2d 246, 251 [1986] [citations and internal quotation marks omitted]).

Furthermore, I cannot agree with the majority's conclusion that

"it cannot have been the Legislature's goal to restore to reemployment a worker who may not be lawfully employed. Reversal of the Appellate Division order would not only promote such restoration, it would effectively place the instant claimant, and others similarly situated, in a more favorable position than claimants who must meet all statutory requirements" (majority op at 167 [ellipsis and internal quotation marks omitted]).

The legislative history of Workers' Compensation Law § 15 (3) (v) demonstrates that only health-related restrictions on eligibility were contemplated. This intent is articulated in the Governor's program bill memorandum which notes that compensation is available "if the worker continues to suffer loss of earnings because of the injury" (Governor's Program Bill Mem, Bill Jacket, L 1970, ch 286, at 2). Nowhere within the legislative history does it state that in order to qualify the worker must be legally authorized to work within the United States. What is stated is that the purpose of the bill is "[t]o provide additional compensation benefits to certain workers suffering impairment of earning capacity because of a job-connected loss of an arm, hand, leg, or foot" (*id.*).

Section 15 (3) (v) of the Workers' Compensation Law has two requirements: (1) that the worker suffer an injury involving 50% or more loss, or loss of use of an arm, hand, leg or foot; and (2) that the worker participate in a retraining and rehabilitation program approved by the Workers' Compensation Board or cooperate with such efforts and be deemed not to be a feasible candidate. Here, claimant has suffered a 75% loss to his right hand. However, this record is devoid as to whether there exists an alternative rehabilitation program approved by the Workers' Compensation Board that could provide the necessary services

to help this claimant to return to the workplace or to determine that rehabilitation is not feasible, as the Workers' Compensation Law intended.

Providing claimant, and others similarly situated, with additional compensation will not effectively place them in a more favorable position than claimants who must meet all statutory requirements because it has yet to be established that VESID is the only rehabilitation program approved by the Workers' Compensation Board. As stated by Workers' Compensation Board Commissioner Michael Berns during the October 25, 2005 hearing:

"I have a suspicion . . . that everybody is hanging on the letter of the law here. In the meantime, we have a claimant who may have other alternatives. We don't know because the State Insurance Fund is not doing anything . . . In the meantime, the claimant has not been given any alternatives for service how he could conceivably get back into the workplace" (transcript at 13).

As we stated in *Matter of Smith v Tompkins County Courthouse*, it is a "fundamental principle that the Workers' Compensation Law is to be liberally construed to accomplish the economic and humanitarian objects of the act" (60 NY2d 939, 941 [1983]). The purpose of section 15 (3) (v) is to reemploy the worker and maximize the worker's earning capacity (*see* Governor's Program Bill Mem, Bill Jacket, L 1970, ch 286, at 3). For this Court to now hold that a worker's earning capacity is diminished because of a lack of authorization to work in this country—when the lack of authorization existed preinjury—defeats this legislative purpose.

The majority today forecloses the availability of additional compensation for severely injured workers solely because they may lack permanent residency status or authorization to work in this country, ignoring the history of our Workers' Compensation Law and this State's commitment to protect all workers, irrespective of immigration status (*see Balbuena v IDR Realty LLC*, 6 NY3d 338, 358-359 [2006]).

Therefore, I would reverse the order of the Appellate Division and remit to the Workers' Compensation Board for a hearing in order to establish whether there exists such an alternative rehabilitation program.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge JONES; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge KAYE concurs.

Order affirmed, with costs.

[896 NE2d 662, 867 NYS2d 27]

LORRAINE GOLDMAN, Appellant, v WHITE PLAINS CENTER FOR
NURSING CARE, LLC, et al., Respondents.

Argued September 2, 2008; decided October 16, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 2, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Alice Schlesinger, J.; op 2006 NY Slip Op 30264[U]), which had granted plaintiff's motion for partial summary judgment as to liability on her breach of contract cause of action; (2) denied plaintiff's motion; (3) granted defendants' cross motion for summary judgment dismissing plaintiff's breach of contract cause of action; and (4) dismissed plaintiff's breach of contract cause of action.

Goldman v White Plains Ctr. for Nursing Care, LLC, 43 AD3d 251, affirmed.

HEADNOTE

Contracts — Employment Contracts — Continuation of Employment Following Termination of Agreement

The expiration of a two-year employment contract did not give rise to successive one-year implied contracts when plaintiff employee continued working for defendant employer without a new agreement, because the language of the contract unambiguously indicated that the parties understood that the contract would end at the conclusion of the two-year period unless an extension was agreed upon. Rather, plaintiff became an at-will employee at the end of the two-year period. Because the parties agreed that the contract memorialized their understanding, that it could be modified only in writing and that it expired on a specified date absent additional negotiations for a new agreement, application of the common-law presumption that they intended to renew the agreement for an additional year when plaintiff continued to work after expiration of the contract would have been contrary to principles of contract interpretation and the employment-at-will doctrine.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 29, 30, 39.
CALAMARI AND PERILLO, CONTRACTS (5th ed) § 3.10.
NY JUR 2d, Employment Relations §§ 58, 63, 66, 78.

ANNOTATION REFERENCE

See ALR Index under At Will Relationship; Discharge From Employment or Office; Labor and Employment.

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POINTS OF COUNSEL

Law Offices of Annette G. Hasapidis, South Salem (*Annette G. Hasapidis* of counsel), and *Samuel J. Landau*, New York City, for appellant. I. The Appellate Division erred in ruling that the contract expired by its own terms on March 31, 1992 and that the common-law presumption of renewal for one-year implied-in-fact contracts did not apply. (*Cinefot Intl. Corp. v Hudson Photographic Indus.*, 13 NY2d 249; *Adams v Fitzpatrick*, 125 NY 124; *Borne Chem. Co. v Dictrow*, 85 AD2d 646; *Carter v Bradlee*, 245 App Div 49, 269 NY 664; *Perlick v Tahari, Ltd.*, 293 AD2d 275; *Shenn v Fair-Tex Mills*, 26 AD2d 282; *Capital Med. Sys. v Fuji Med. Sys., U.S.A.*, 239 AD2d 743; *Watts v Columbia Artists Mgt.*, 188 AD2d 799; *Town of Webster v Village of Webster*, 280 AD2d 931; *New York Tel. Co. v Jamestown Tel. Corp.*, 282 NY 365.) II. The lower court erred in ruling that appellant failed to even raise a question of fact whether the agreement was renewed annually by the creation of an implied-in-fact contract. (*McNulty v City of New York*, 100 NY2d 227; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Ayotte v Gervasio*, 81 NY2d 1062; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Tjoa v Butterfield Mem. Hosp.*, 205 AD2d 526.)

Abrams, Fensterman, Fensterman, Eisman, Greenberg, Formato & Einiger, LLP, Lake Success (*Sarah C. Lichtenstein* of counsel), for respondents. I. The Appellate Division applied the proper standard in concluding that Lorraine Goldman's employment agreement was not renewed. (*Adams v Fitzpatrick*, 125 NY 124; *Cinefot Intl. Corp. v Hudson Photographic Indus.*, 13 NY2d 249; *Innophos, Inc. v Rhodia, S.A.*, 10 NY3d 25; *Greenfield v Philles Records*, 98 NY2d 562; *Chimart Assoc. v Paul*, 66 NY2d 570; *Teitelbaum Holdings v Gold*, 48 NY2d 51; *West, Weir & Bartel v Mary Carter Paint Co.*, 25 NY2d 535; *Town of Webster v Village of Webster*, 280 AD2d 931; *Computerized Med. Imaging Equip. v Dasonics Ultrasound*, 303 AD2d 962; *Shenn v Fair-Tex Mills*, 26 AD2d 282.) II. Lorraine Goldman presented no evidence that the parties to the employment agreement intended the agreement to be renewed. (*Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285; *Modell's N.Y. v*

Noodle Kidoodle, 242 AD2d 248; *Zanghi v Laborers' Intl. Union of N. Am.*, AFL-CIO, 21 AD3d 1370; *Maas v Cornell Univ.*, 253 AD2d 1, 94 NY2d 87; *Chase v United Hosp.*, 60 AD2d 558.) III. White Plains Center for Nursing Care, LLC's purported assumption of the employment agreement does not defeat summary judgment dismissing the petition. (*Wald v Marine Midland Bus. Loans*, 270 AD2d 73; *Matter of International Ribbon Mills [Arjan Ribbons]*, 36 NY2d 121; *Tanbro Fabrics Corp. v Deering Milliken*, 35 AD2d 469, 29 NY2d 690; *Negron v JP Morgan Chase/Chase Manhattan Bank*, 14 AD3d 673; *Lobosco v New York Tel. Co./NYNEX*, 96 NY2d 312; *Thawley v Turtell*, 289 AD2d 169; *Grebinar v Consolidated Edison of N.Y., Inc.*, 12 AD3d 277.)

OPINION OF THE COURT

GRAFFEO, J.

In this case we must decide whether the expiration of a two-year employment contract gives rise to successive one-year implied contracts when the employee continues working for the employer without a new agreement. Based on the language of the contract before us, we conclude that plaintiff became an at-will employee at the end of the two-year period.

Plaintiff Lorraine Goldman entered into a written employment agreement to become the administrative director of two skilled nursing facilities for a two-year period commencing on April 1, 1990. The contract specified that the parties would “enter into good faith negotiations . . . with respect to renewal of th[e] Agreement on mutually agreeable terms” no less than nine months before the contract was due to expire. The agreement could be terminated by the mutual consent of the parties or “[b]y either party giving notice to the other at least six (6) months prior to the end of the Employment Period of its intention not to renew this Agreement.” At expiration of the contract or termination of employment, the employer would “be released of any responsibility or obligation hereunder, except for payment of salary and benefits accrued to the effective date of such expiration or termination.” Finally, the contract represented the “entire Agreement and understanding” of the parties and could “not be changed, modified or amended, except by a writing signed by” plaintiff and the employer.

During the course of the two-year term, plaintiff and her employer did not discuss renewal of the agreement and neither sent a notice of termination. After the contract expired on

March 31, 1992, plaintiff continued to serve as administrative director and received annual salary adjustments until the facilities were purchased by defendants White Plains Center for Nursing Care, LLC and NMC Acquisition, LLC (collectively White Plains Center) in October 2004. In conjunction with that transaction, White Plains Center executed an assignment and assumption of contracts, which listed plaintiff's 1990 employment contract among the documents provided to the purchasers. Three months later, White Plains Center terminated plaintiff's employment.

Plaintiff initiated this breach of contract action, seeking summary judgment and money damages against White Plains Center.¹ Supreme Court granted plaintiff's motion, ruling that her continued employment following the expiration of the original two-year agreement gave rise to a presumption that the parties intended to renew the contract for successive one-year terms (2006 NY Slip Op 30264[U]). The Appellate Division disagreed, concluding that the application of an implied contractual arrangement after expiration of the two-year term was inconsistent with the express language of the original employment agreement (43 AD3d 251 [2007]). We now affirm.

A fundamental tenet of contract law is that agreements are construed in accordance with the intent of the parties and the best evidence of the parties' intent is what they express in their written contract (*see e.g. Innophos, Inc. v Rhodia, S.A.*, 10 NY3d 25, 29 [2008]). "Thus, a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms," without reference to extrinsic materials outside the four corners of the document (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]).

Here, the agreement included a provision requiring the parties to negotiate a renewal of the employment arrangement before the contract was set to expire. The contract also specified that its terms would end when a party stated its "intention not to renew" the employment arrangement "at least six (6) months prior to the end of the Employment Period,"² or when the parties failed to reach an agreement extending the term of employ-

1. The parties settled a cause of action alleging age discrimination.

2. A notice of intent not to renew can serve varying purposes. A party can use the notice to advise the other that both the contract and the employment would discontinue. However, an employee can also use the notice to inform an employer of a desire not to extend the terms of the contract but to keep working for the employer on an at-will basis without being contractually obligated

(n. cont'd)

ment. If the agreement was allowed to expire at the conclusion of the two-year term, the contract provided that the employer would have no further obligations to plaintiff other than compensating her for accrued salary and benefits. The parties also made clear that the language of the contract reflected their entire understanding and that the terms of the agreement could be modified only in a written instrument signed by both plaintiff and her employer. These provisions unambiguously indicate that the parties understood that the employment contract would end at the conclusion of the two-year period unless an extension was agreed upon.

Plaintiff nevertheless maintains that a one-year implied contract on the same terms as set forth in the original agreement was created each year that her employment continued after the expiration of the written contract. Aside from the fact that this position is contrary to the renewal provisions of the agreement, this contention conflicts with the well-established rule that, “absent an agreement establishing a fixed duration, an employment relationship is presumed to be a hiring at will, terminable at any time by either party” (*Sabetay v Sterling Drug*, 69 NY2d 329, 333 [1987]; see e.g. *Murphy v American Home Prods. Corp.*, 58 NY2d 293, 300 [1983]). Plaintiff therefore relies on a common-law rule that recognizes an inference that parties intend to renew an employment agreement for an additional year where the employee continues to work after expiration of an employment contract (see *Cinefot Intl. Corp. v Hudson Photographic Indus.*, 13 NY2d 249, 252 [1963], citing *Adams v Fitzpatrick*, 125 NY 124 [1891]).³ This common-law presumption—developed in the nineteenth century before the establishment of the employment-at-will doctrine—can be rebutted by demonstrating that the parties did not intend to allow a contract to renew automatically (see *Cinefot*, 13 NY2d at 252).

Decisions such as *Cinefot* (13 NY2d 249 [1963]) and *Adams* (125 NY 124 [1891]) are distinguishable from this case. In *Cinefot*, the parties orally agreed that the plaintiff would be hired as the defendant’s employee for one year and there was no indica-

to serve for a definite period of time. Similarly, an employer can issue notice after deciding that it wants the employment arrangement to continue but does not want to commit to a particular time frame.

3. The common law created a presumption of a new term of employment of only one year to avoid a statute of frauds problem (see e.g. *Borne Chem. Co. v Dictrow*, 85 AD2d 646, 648 [2d Dept 1981]; General Obligations Law § 5-701 [a] [1]).

tion that they agreed that the contract could not be renewed unless future negotiations occurred and a new agreement extending the term of employment was reached. *Adams* similarly involved an oral employment contract for approximately one year that also did not require negotiations for contract renewal. Since neither of these cases incorporated terms dealing with contract extension similar to those in the case at issue, the common-law evidentiary presumption was appropriate because its application did not contradict any express provision of the agreements. But in this case—where the employer and employee agree that the contract memorializes their understanding, can be modified only in writing and expires on a specified date absent additional negotiations for a new agreement—application of the common-law presumption would be contrary to principles of contract interpretation and the employment-at-will doctrine. In such a situation, the evidentiary presumption must yield—and this should be the result regardless of whether the contract is oral or written. We therefore hold that the common-law rule cannot be used to imply that there was mutual and silent assent to automatic contract renewal when an agreement imposes an express obligation on the parties to enter into a new contract to extend the term of employment.⁴ Hence, plaintiff's employment became an at-will arrangement upon the expiration of the agreement on March 31, 1992 and defendants were entitled to summary judgment dismissing the breach of contract claim.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

4. Parties to future contracts can avoid uncertainty regarding application of the common-law rule simply by specifying that continuation of the employment relationship after the expiration of the contractual period will result in either successive one-year extensions of employment or at-will employment status.

[897 NE2d 116, 867 NYS2d 716]

In the Matter of DOMINICK GIAQUINTO, Appellant, v COMMISSIONER OF NEW YORK STATE DEPARTMENT OF HEALTH, Respondent, et al., Respondent.

Argued May 1, 2008; decided June 12, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 5, 2007. The Appellate Division modified, on the law, a judgment of the Supreme Court, Albany County (Stephen A. Ferradino, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition to review the determination denying petitioner's Medicaid application based on excess income and resources and directing petitioner's wife to purchase a "single premium immediate life annuity" to generate sufficient income to raise her income to the minimum monthly maintenance needs threshold amount; (2) vacated the determination; and (3) awarded petitioner costs, disbursements and counsel fees. The modification consisted of reversing so much of the judgment as granted petitioner's request for counsel fees against respondent Commissioner of the New York State Department of Health, and denied the request for counsel fees. The Appellate Division affirmed the judgment as modified.

Matter of Giaquinto v Commissioner of N.Y. State Dept. of Health, 39 AD3d 922, reversed.

HEADNOTES

Civil Rights — Federal Civil Rights Claim — Counsel Fees — Right to Recover Counsel Fees from State Official Acting in Official Capacity

1. In a CPLR article 78 proceeding brought against respondent Commissioner of New York State Department of Health, in her official capacity as the head of a state agency, to review and annul a fair hearing decision affirming the denial of petitioner's Medicaid application based on excess income and resources, the Eleventh Amendment did not bar petitioner's right to recover attorney's fees pursuant to 42 USC § 1988. State officials acting in their official capacities may be sued under 42 USC § 1983 only for injunctive or prospective relief. The relief petitioner sought was prospective in nature, as he primarily sought not only to stop an ongoing violation of federal law by a state official acting in her official capacity, but to vindicate his right to Medicaid eligibility under the federal law and receive ongoing current and future Medicaid payments. The fact that petitioner's Medicaid eligibility would be retroactive to the date of his application was only incidental to the primary relief sought, namely, the annulment of the fair hearing decision.

Civil Rights — Federal Civil Rights Claim — Counsel Fees — Failure to Determine 42 USC § 1983 Claim

2. In a CPLR article 78 proceeding brought against respondent Commissioner of New York State Department of Health, in her official capacity as the head of a state agency, to review and annul a fair hearing decision affirming the denial of petitioner's Medicaid application based on excess income and resources, Supreme Court did not have discretion to award attorney's fees pursuant to 42 USC § 1988 in conjunction with its annulment of the fair hearing decision, as it was not clear that petitioner prevailed against respondent on a claim under 42 USC § 1983, and that the Department of Health was a "person" which, while acting under color of state law, deprived petitioner of the federal right to Medicaid. Petitioner's request for attorney's fees was premised on his claim that respondent's calculation of his wife's "community spouse resource allowance" violated a specific federal Medicaid Act provision, namely 42 USC § 1396r-5 (e) (2) (C). However, Supreme Court made no determination that respondent violated that statutory provision and, consequently, did not make the determination of petitioner's section 1983 claim to which petitioner was entitled.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Rights §§ 164, 191, 193.
NY JUR 2d, Costs in Civil Actions §§ 16, 17.
42 USCA §§ 1983, 1988, 1396r-5 (e) (2) (C).

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Civil Rights and Discrimination.

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POINTS OF COUNSEL

Pierro Law Group, LLC, Albany (*Louis W. Pierro* of counsel), for appellant. I. Petitioner is entitled to an award of attorney's fees under 42 USC §§ 1983 and 1988 as a successful litigant in a CPLR article 78 proceeding against a state official for the wrongful denial of ongoing Medicaid benefits. (*Matter of Thomasel v Perales*, 78 NY2d 561; *Maine v Thiboutot*, 448 US 1; *Morenz v Wilson-Coker*, 321 F Supp 2d 398, 415 F3d 230; *Matter of Haussman v Kirby*, 96 AD2d 244; *Matter of Buhania*, 187 Misc 2d 312; *Matter of Levandusky v One Fifth Ave. Apt. Corp.*, 75 NY2d 530; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Lopez v Commissioner of N.Y. State Dept. of*

Health, 42 AD3d 638; *Matter of Cleary v Perales*, 191 AD2d 209; *Matter of Johnson v Blum*, 58 NY2d 454.) II. Petitioner's claim is against a state official for prospective relief, and is not barred by the Eleventh Amendment. (*Ex parte Young*, 209 US 123; *Edelman v Jordan*, 415 US 651; *Milliken v Bradley*, 433 US 267; *New York City Health & Hosps. Corp. v Perales*, 50 F3d 129; *Maher v Gagne*, 448 US 122; *Morenz v Wilson-Coker*, 321 F Supp 2d 398; *Matter of Klapak v Blum*, 97 AD2d 764; *Matter of Aviles v D'Elia*, 97 AD2d 821; *Matter of Daniels v Hammons*, 228 AD2d 341; *Matter of Feliz v Wing*, 285 AD2d 426.)

Andrew M. Cuomo, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrea Oser of counsel), for New York State Department of Health, respondent. I. Petitioner cannot obtain an attorney's fee under 42 USC § 1988 because he obtained no determination regarding the merit of his federal statutory claim and that claim lacks merit. (*Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531; *Matter of Johnson v Blum*, 58 NY2d 454; *Matter of Guido v New York State Teachers' Retirement Sys.*, 94 NY2d 64; *Matter of Thomasel v Perales*, 78 NY2d 561; *Town of Mount Pleasant v Legion of Christ, Inc.*, 7 NY3d 122; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *People ex rel. Matthews v New York State Div. of Parole*, 95 NY2d 640; *Matter of Seitelman v Lavine*, 36 NY2d 165; *Persky v Bank of Am. Natl. Assn.*, 261 NY 212; *Matter of Lynch v Commissioner of N.Y. State Dept. of Health*, 18 Misc 3d 1113[A], 2008 NY Slip Op 50015[U].) II. Petitioner's federal statutory claim provides no predicate for fees because it asserts no claim against a "person" within the meaning of 42 USC § 1983. (*Will v Michigan Dept. of State Police*, 491 US 58; *Haywood v Drown*, 9 NY3d 481; *Hafer v Melo*, 502 US 21; *Ex parte Young*, 209 US 123; *Green v Mansour*, 474 US 64; *Ford v Reynolds*, 316 F3d 351; *Verizon Md. Inc. v Public Serv. Comm'n of Md.*, 535 US 635; *Idaho v Coeur d'Alene Tribe of Idaho*, 521 US 261; *State Empls. Bargaining Agent Coalition v Rowland*, 494 F3d 71; *Kostok v Thomas*, 105 F3d 65; *Sonnleitner v York*, 304 F3d 704.)

Empire Justice Center, Albany (Susan C. Antos of counsel), amicus curiae pro se and Peter Dellinger, Rochester, for Empire Justice Center, amicus curiae. The Third Department improperly categorized the type of relief sought and obtained by plaintiff in his CPLR article 78 petition as "retrospective benefits," when in fact the relief obtained was predominantly prospective. (*Edelman v Jordan*, 415 US 651; *Ex parte Young*, 209 US 123; *Will v*

Michigan Dept. of State Police, 491 US 58; *Quern v Jordan*, 440 US 332; *Milliken v Bradley*, 433 US 267; *Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York*, 940 F2d 766; *Pauk v Board of Trustees of City Univ. of N.Y.*, 68 NY2d 702; *LaDuke v Lyons*, 250 AD2d 969; *ABC Radio Network v State of N.Y. Dept. of Taxation & Fin.*, 294 AD2d 213; *Matter of Adams v Welch*, 272 AD2d 642.)

Vollmer & Tanck, P.C., Jericho (Peter Vollmer of counsel), for Peter Vollmer, amicus curiae. Imposition of sovereign immunity on the facts of this appeal will erode private bar interest in the representation of the poor and undermine the stated intent and purpose of 42 USC § 1988. (*Blum v Stenson*, 465 US 886; *McMahon v Novello*, 192 F Supp 2d 54; *Calkins v Blum*, 511 F Supp 1073; *Matter of Martinez v Perales*, 135 AD2d 818, 77 NY2d 923; *Matter of Cleary v Perales*, 191 AD2d 209; *Matter of Palmer v New York State Dept. of Social Servs.*, 125 AD2d 977; *Matter of Klapak v Blum*, 97 AD2d 764; *Matter of Haussman v Kirby*, 96 AD2d 244; *Catanzano v Dowling*, 847 F Supp 1070, 60 F3d 113.)

National Center for Law and Economic Justice, Inc., New York City (Henry A. Freedman and Lynn D. Lu of counsel), amicus curiae pro se. I. The Third Department's reversal of the award of 42 USC § 1988 attorney's fees is contrary to federal and state decisional authority and should be reversed. (*Richardson v McKnight*, 521 US 399; *Will v Michigan Dept. of State Police*, 491 US 58; *Verizon Md. Inc. v Public Serv. Comm'n of Md.*, 535 US 635; *Green v Mansour*, 474 US 64; *Ex parte Young*, 209 US 123; *Matter of Martinez v Perales*, 135 AD2d 818, 77 NY2d 923; *Matter of Klapak v Blum*, 97 AD2d 764; *Matter of Aviles v D'Elia*, 97 AD2d 821; *Matter of Haussman v Kirby*, 96 AD2d 244.) II. The reversal of a decision after fair hearing is not retrospective relief that improperly invades the state treasury. (*Edelman v Jordan*, 415 US 651; *Morenz v Wilson-Coker*, 415 F3d 230; *Klaips v Bergland*, 715 F2d 477; *Seittelman v Sabol*, 91 NY2d 618; *Greenstein v Bane*, 833 F Supp 1054; *Salazar v District of Columbia*, 954 F Supp 278.) III. The primary relief granted to appellant was prospective relief available against state officials pursuant to section 1983 to remedy an ongoing violation of federal rights. (*State Empls. Bargaining Agent Coalition v Rowland*, 494 F3d 71; *Morenz v Wilson-Coker*, 321 F Supp 2d 398, 415 F3d 230; *Matter of Rivera v Trimarco*, 36 NY2d 747; *Kostok v Thomas*, 105 F3d 65; *Elliott v Hinds*, 786 F2d 298.)

OPINION OF THE COURT

JONES, J.

At issue is whether petitioner is entitled to recover attorney's fees from respondent Commissioner of the New York State Department of Health (DOH) under 42 USC § 1988 (b) or whether such claim is barred under the Eleventh Amendment.

Although we see no impediment under Eleventh Amendment sovereign immunity to petitioner recovering attorney's fees from respondent, we cannot conclude that Supreme Court in fact awarded petitioner relief on federal grounds. Accordingly, we remit this matter to Supreme Court for a determination of (1) petitioner's claim that respondent's calculation of his wife's "community spouse resource allowance" (CSRA) violated a provision of the federal Medicaid Act (42 USC § 1396r-5 [e] [2] [C]) and (2) petitioner's request for section 1988 attorney's fees.

Facts and Procedural History

In October 2004, petitioner, a resident in an adult care facility, applied to the Montgomery County Department of Social Services (DSS) seeking Medicaid benefits for nursing facility services commencing August 1, 2004.¹ Petitioner's application was denied because he and his wife, who still resided in their marital residence, had household income and resources in excess of permissible limits for Medicaid eligibility. On November 16, 2004, petitioner requested an administrative fair hearing with DOH, seeking a reversal of DSS's denial of his application and to establish an increased CSRA for his wife, the "community spouse."² The hearing was held before an Administrative Law Judge (ALJ) the following month.

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1. As we stated in *Matter of Tomeck* (8 NY3d 724, 727-728 [2007]), "Medicaid, a joint federal-state program established pursuant to title XIX of the Social Security Act (42 USC § 1396 *et seq.*), pays for medical care for those unable to afford it, including nursing home care for medically needy older people who become eligible by incurring medical expenses that reduce their monthly income and assets below prescribed levels. Ordinarily, a local Medicaid agency employee calculates an applicant's income and resources to figure out how much must be reduced or 'spent down' in order for the applicant to meet the financial criteria to qualify for Medicaid benefits (*see* 42 USC § 1396r-5 [c] [1] [B]; Social Services Law § 366-c [7]; 18 NYCRR 360-4.8 [c])."
 2. Under the Medicare Catastrophic Coverage Act of 1988 (42 USC § 1396r-5),

"Congress adopted the spousal impoverishment provisions, a complex set of standards governing the allocation of resources

(*n. cont'd*)

On April 14, 2005, respondent, through the ALJ as her designee, issued a fair hearing decision affirming DSS's denial of petitioner's Medicaid application based on excess income and resources. The fair hearing decision held that petitioner's wife was entitled to an increased CSRA. Because the ALJ found that petitioner wife's income was below the minimum monthly maintenance needs threshold, the matter was remanded to Montgomery County so that DSS could determine how much of petitioner's excess resources petitioner's wife would need in order to purchase a "single premium immediate life annuity" to generate sufficient income to raise petitioner's wife's income to the threshold amount.

In December 2005, petitioner commenced this CPLR article 78 proceeding against respondent in her official capacity as the head of a state agency, alleging that respondent's determination requiring petitioner's wife to purchase a "single premium immediate life annuity" was arbitrary and capricious and in violation of 42 USC § 1396r-5 (e) (2) (C),³ and that, by such a deter-

between the spouse residing in a nursing home (the institutionalized spouse) and the [community spouse]. In general, these provisions are designed to insure that the community spouse retains necessary, but not excessive, income and assets, which do not need to be depleted to make the institutionalized spouse eligible for Medicaid. In [enacting this legislation], Congress sought to protect community spouses from 'pauperization' while preventing financially secure couples from obtaining Medicaid assistance" (*Tomeck*, 8 NY3d at 728 [citations and internal quotation marks omitted]).

Under federal and state law, the "community spouse" is entitled to a minimum level of monthly income, referred to as the "minimum monthly maintenance needs allowance" (*see* 42 USC § 1396r-5 [d] [3]; Social Services Law § 366-c [2] [h]) and a CSRA (*see* 42 USC § 1396r-5 [f] [2]; Social Services Law § 366-c [2] [d]). In determining whether an "institutionalized" spouse is Medicaid eligible, the only resources of the couple taken into account are those in excess of the CSRA (*see* 42 USC § 1396r-5 [c] [2]).

3. Regarding his federal claim, petitioner specifically alleged that:

"Pursuant to federal law, if the [CSRA] is inadequate to raise the community spouse's income to the [minimum monthly maintenance needs allowance], **'there shall be substituted** for the [CSRA] under subsection (f) (2) of this section, an amount adequate to provide such a minimum monthly maintenance needs allowance.' 42 U.S.C. § 1396r-5(e)(2)(C) (emphasis added).

"[]The Respondents erroneously remanded the case to the [DSS] 'so that it can determine how much of the excess resources are needed to purchase a single premium immediate life annuity to generate sufficient monthly income to raise the community spouses's total available income up to the [minimum monthly

(n. cont'd)

mination, DOH created a new rule in violation of State Administrative Procedure Act § 202.⁴ The petition sought a judgment (1) annulling the fair hearing decision, (2) directing respondent to find petitioner eligible for Medicaid retroactive to the date requested in his original application and (3) determining that petitioner's wife could retain all of her resources as of that date. Petitioner also sought attorney's fees under 42 USC §§ 1983 and 1988.

Supreme Court granted the petition, stating

“[DOH] clearly stated that it lacked any legal basis or authorization to direct a community or institutionalized spouse to purchase a particular type of investment. In this action, [DOH] has not explained its change of methodology in the calculation of the CSRA for the community spouse. When an agency alters its prior policy and interpretation of law, it must explain its reasons for doing so or its determination shall be reversed on the law as arbitrary. *Matter of Charles A. Field Deliver[y] Service, Inc.*, 66 NY 2d 516 (1985).”

In short, the court found that with respect to DOH's calculation of the CSRA, respondent failed to adhere to its own precedent without providing the required explanation. Thus, the court concluded that respondent's determination that petitioner's wife purchase a single premium immediate life annuity lacked a rational basis, was arbitrary and capricious, and had no basis in law. The court further determined that respondent had no authority to utilize the employed annuity method to calculate income or resource allowances or to direct applicants to pursue any particular type of investment. Finally, the court vacated the fair hearing decision and respondent's April 2005 determination, awarded petitioner attorney's fees and stated that “[a]ny relief not specifically granted is denied.” Respondent originally appealed from Supreme Court's entire judgment. Although the appeal on the merits was subsequently withdrawn, respondent continued to oppose the award of attorney's fees.

The Appellate Division reversed petitioner's fee award. The court noted that under 42 USC § 1988 (b) courts may award at-

maintenance needs allowance] for the period of August 1, 2004 ongoing.’ ”

4. Although named as a respondent in this proceeding, the Montgomery County Commissioner of Social Services did not oppose the petition in Supreme Court or appear at the Appellate Division.

torney's fees to parties who prevail in a suit to enforce their rights under 42 USC § 1983 or who prevail on state grounds, but have a valid federal claim. The court further noted that under section 1983, state officers may be sued in their official capacities when the petitioner seeks only "injunctive or prospective relief to prevent a continuing violation of the law" (39 AD3d 922, 924 [2007]). The court concluded that "the relief sought by petitioner was retrospective, remedying a prior erroneous decision, even though a grant of such relief would result in his eligibility for and receipt of benefits in the future" (*id.*). Accordingly, the court held that petitioner failed to prevail against respondent on a claim under section 1983 and therefore was not entitled to an award of counsel fees under section 1988. We granted petitioner leave to appeal and now reverse and remit to Supreme Court for a determination of petitioner's section 1396r-5 claim and request for attorney's fees under section 1988.

Discussion

42 USC § 1988 (b) provides that in any action or proceeding to enforce a provision of section 1983, "the court, in its discretion, may allow the prevailing party, other than the United States, . . . reasonable attorney's fee[s] as part of the costs."⁵ A citizen of the United States may bring a section 1983 claim against a "person" who, under color of state law, "subjects, or causes to be subjected, [the citizen] to the deprivation of any rights, privileges, or immunities secured by the Constitution and [federal] laws" (42 USC § 1983). Although a "person" under

5. Regarding 42 USC § 1988, we stated:

"Congress recognized that attorney's fees are an 'integral part of the remedy necessary to achieve compliance' with civil rights laws such as 42 USC § 1983 (S Rep No. 1011, 94th Cong, 2d Sess, at 3 [reprinted in 1976 US Code Cong & Admin News 5910]). In furtherance of that goal, Congress enacted the Civil Rights Attorney's Fees Awards Act in 1976 (Pub L 94-559, § 2, codified at 42 USC § 1988) . . .

"In keeping with this remedial objective, we have liberally construed section 1988 (*Matter of Johnson v Blum*, 58 NY2d 454, 459). While the statute intones 'discretion,' the legislative history and judicial precedents emphasize that '[a] party seeking to enforce the rights protected by the statutes covered by [section 1988], if successful, should ordinarily recover an attorney's fee unless special circumstances would render such an award unjust.' (S Rep No. 1011, 94th Cong, 2d Sess, at 2, 4 [reprinted in 1976 US Code Cong & Admin News 5912] . . .)" (*Matter of Thomasel v Perales*, 78 NY2d 561, 567 [1991].)

section 1983 “shall [generally] be liable to the party injured in an action at law, suit in equity, or other proper proceeding for redress” (*id.*), petitioner here sued respondent in her official capacity as the head of a state agency. Accordingly, the Eleventh Amendment to the Federal Constitution bears on whether petitioner will be entitled to an award of section 1988 attorney’s fees.

Eleventh Amendment

Under the Eleventh Amendment, which sets forth the doctrine of sovereign immunity, “[t]he Judicial power of the United States shall not be construed to extend to any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State, or by Citizens or Subjects of any Foreign State.” It is well settled that the Eleventh Amendment bars “a suit by private parties seeking to impose a liability which must be paid from public funds in the state treasury” (*Edelman v Jordan*, 415 US 651, 663 [1974]). Further, under Eleventh Amendment sovereign immunity, “neither a State nor its officials acting in their official capacities are ‘persons’ under § 1983” (*Will v Michigan Dept. of State Police*, 491 US 58, 71 [1989]).

The United States Supreme Court has, however, carved out a narrow exception to this rule. In *Ex parte Young* (209 US 123, 159-160 [1908]), the Court held that

“[i]f the act which the state [officer] seeks to enforce be a violation of the Federal Constitution, the officer, in proceeding under such enactment, comes into conflict with the superior authority of that Constitution, and he is in that case stripped of his official or representative character and is subjected in his person to the consequences of his individual conduct. The state has no power to impart to him any immunity from responsibility to the supreme authority of the United States” (citation omitted).

In *Papasan v Allain* (478 US 265 [1986]), the Supreme Court, synthesizing a number of its prior decisions interpreting *Young*, stated:

“*Young*’s applicability has been tailored to conform as precisely as possible to those specific situations in which it is necessary to permit the federal courts to vindicate federal rights and hold state officials responsible to the supreme authority of the United

States. Consequently, *Young* has been focused on cases in which a violation of federal law by a state official is ongoing as opposed to cases in which federal law has been violated at one time or over a period of time in the past, as well as on cases in which the relief against the state official directly ends the violation of federal law as opposed to cases in which that relief is intended indirectly to encourage compliance with federal law through deterrence or directly to meet third-party interests such as compensation. . . . Remedies designed to end a continuing violation of federal law are necessary to vindicate the federal interest in assuring the supremacy of that law. But compensatory or deterrence interests are insufficient to overcome the dictates of the Eleventh Amendment. . . .

“[R]elief that serves directly to bring an end to a present violation of federal law is not barred by the Eleventh Amendment even though accompanied by a substantial ancillary effect on the state treasury. . . .

“For Eleventh Amendment purposes, the line between permitted and prohibited suits will often be indistinct . . . In discerning on which side of the line a particular case falls, we look to the substance rather than to the form of the relief sought, and will be guided by the policies underlying the decision in *Ex Parte Young*” (*Papasan*, 478 US at 277-279 [citations and internal quotation marks omitted]).

In short, relief that serves to remedy a past violation of the law is retrospective in nature. On the other hand, prospective relief seeks to end an ongoing or future violation of law. State officials acting in their official capacities may only be sued for injunctive or prospective relief (*see Will*, 491 US at 71 n 10 [“a state official in his or her official capacity, when sued for injunctive relief, (is) a person under § 1983 because official-capacity actions for prospective relief are not treated as actions against the State” (internal quotation marks omitted)]; *see also Huminski v Corsones*, 396 F3d 53, 70 [2d Cir 2005] [“state officials cannot be sued in their official capacities for retrospective relief under Section 1983 . . . (but) can be subject to suit in their official capacities for injunctive or other prospective relief”])).

Here, petitioner casts the relief he sought as prospective because it would result in his ongoing entitlement to current

and future Medicaid benefits, which neither party disputes and, therefore, would end respondent's ongoing violation of federal law. The fact that petitioner's Medicaid eligibility would be retroactive to the date requested in his application is only incidental to the primary relief sought, namely, the annulment of the fair hearing decision. Respondent counters that the relief petitioner sought was retrospective in that it merely sought to remedy a prior erroneous decision even though the grant of such relief would entitle petitioner to benefits in the future. Respondent's argument is unavailing.

[1] In light of *Young* and its progeny, we agree with petitioner and hold that the relief petitioner sought was prospective in nature; accordingly, the Eleventh Amendment does not bar petitioner's suit against respondent. In seeking to annul the fair hearing decision, petitioner sought not only to stop an ongoing violation of federal law by a state official acting in her official capacity, but to vindicate his right to Medicaid eligibility under the federal law and receive ongoing current and future Medicaid payments. The relief sought also had the effect of vindicating the federal interest in assuring the supremacy of the federal Medicaid Act (*see Papasan*, 478 US at 278). Respondent's argument minimizes the importance of the federal right sought to be vindicated and elevates the form of the relief sought over its substance, contrary to the Supreme Court's direction to courts considering whether a suit is or is not barred by the Eleventh Amendment (*id.* at 279).⁶

Finally, there is a split in Circuit Court authority regarding the Eleventh Amendment issue before us (*compare Tekkno Labs., Inc. v Perales*, 933 F2d 1093 [2d Cir 1991] [holding that Medicaid provider, who brought a section 1983 claim challenging New York State's withholding of payment of claims and sought a preliminary injunction requiring the State to cease such activity, sought retrospective relief barred by the Eleventh Amendment], *with Morenz v Wilson-Coker*, 415 F3d 230 [2d Cir 2005] [Plaintiff sought injunctive and declaratory relief after

6. Additionally, the following factors militate in favor of our determination that petitioner sought prospective relief: (1) this Court liberally construes section 1988 claims for attorney's fees, as section 1988 is meant to encourage "the availability of needed legal assistance to individuals whose rights have been violated and who require vindication" (*Thomasel*, 78 NY2d at 570); and (2) without the possibility of an attorney's fees award, indigent Medicaid applicants who allege that they were wrongfully denied Medicaid benefits could not secure the representation needed to vindicate their rights and would effectively be left without a remedy.

the State of Connecticut denied his Medicaid application based on his wife's excess resources. Court held award of Medicaid benefits beginning three months prior to date husband was deemed Medicaid eligible was not retroactive relief in violation of the Eleventh Amendment] and *Kostok v Thomas*, 105 F3d 65, 69 [2d Cir 1997] [In holding that plaintiff's suit for injunctive relief compelling that State of Connecticut furnish him with a new wheelchair customized to his special needs was not violative of the Eleventh Amendment, Court stated, "(plaintiff) seeks relief that is truly prospective: a wheelchair from this time forward. The relief cannot be deemed retroactive simply because it costs money"').

However, the Second Circuit has recently sanctioned awards of section 1988 attorney's fees under circumstances similar to those presented here (*see Morenz* and *Kostok*),⁷ and we agree with those decisions. In light of the state-federal nature of the Medicaid programs and the fact that federal Medicaid claims can be brought in both state and federal courts, agreement between this Court and the Second Circuit on the Eleventh Amendment issue at bar would allay forum shopping concerns (i.e., those seeking Medicaid benefits would [1] have the security of knowing that the relevant substantive law does not differ between the state and federal forums and [2] be less inclined to choose between the two forums based on how favorable the relevant substantive law is).

Supreme Court Did Not Clearly Award Relief on Federal Grounds

In *Farrar v Hobby* (506 US 103 [1992]), the Supreme Court stated:

“[T]o qualify as a prevailing party, a civil rights plaintiff must obtain at least some relief on the merits of his claim. The plaintiff must obtain an enforceable judgment against the defendant from whom fees are sought, or comparable relief through a consent decree or settlement. Whatever relief the plaintiff secures must directly benefit him at the time of judgment or settlement. Otherwise the judg-

7. Although the specific relief requested here is different from the injunctive relief requested in *Morenz* and *Kostok*, all three cases are similar in the following respects: (1) the relief requested would entitle petitioner/plaintiff to benefits in the future; and (2) the award of retroactive benefits was ancillary to the primary award.

ment or settlement cannot be said to affect the behavior of the defendant toward the plaintiff. Only under these circumstances can civil rights litigation effect the material alteration of the legal relationship of the parties and thereby transform the plaintiff into a prevailing party. In short, a plaintiff prevails when actual relief on the merits of his claim materially alters the legal relationship between the parties by modifying the defendant's behavior in a way that directly benefits the plaintiff" (*id.* at 111-112 [brackets, citations and internal quotation marks omitted]).

Regarding section 1988 counsel fees, we have stated:

"[A]ttorney's fees are available under section 1988 where relief is sought on both State and Federal grounds, but nevertheless awarded on State grounds only. In such a case, if a constitutional question is involved, fees may be awarded if the constitutional claim is substantial and arises out of a common nucleus of operative fact as the State claim" (*Thomaset*, 78 NY2d at 568 [citations and internal quotation marks omitted]).

However, where "a [petitioner] joins a claim under one of the federal statutes covered by the Fees Act with a claim that does not allow attorney fees, that [petitioner,] if it prevails on the non-fee claim, is entitled to a determination on the other claim [if nonconstitutional] for the purpose of awarding attorney fees" (*Matter of Johnson v Blum*, 58 NY2d 454, 458 n 2 [1983]).⁸ Thus, under *Johnson*, petitioner is entitled to a determination of his section 1983 claim.

Here, petitioner's request for attorney's fees was premised on his claim that respondent's calculation of the CSRA violated a specific federal Medicaid Act provision, namely 42 USC § 1396r-5 (e) (2) (C). However, Supreme Court made no determination that respondent violated this statutory provision, i.e., it did not award petitioner any relief on the merits of his federal claim. Consequently, Supreme Court made no determination of

8. The distinction between federal constitutional claims and federal statutory claims is drawn so that courts may avoid reaching constitutional issues solely for purposes of deciding requests for fees (*see Johnson*, 58 NY2d at 458 n 2). However, the Appellate Division did not acknowledge this difference. Instead, the court conflated this distinction and mistakenly found that Supreme Court had discretion to consider whether section 1988 counsel fees should be awarded.

petitioner's section 1983 claim; it annulled the fair hearing decision and, as a result of the annulment, petitioner became Medicaid eligible, but it stated no clear federal basis for its decision. In other words, Supreme Court appeared to resolve this matter solely on state law grounds instead of addressing the issue whether DOH's determination and remand to DSS violated a specific provision of the federal Medicaid Act.

[2] Thus, on this record, we cannot conclude, as a threshold matter, whether there was a federal predicate for Supreme Court's award of attorney's fees to petitioner or that petitioner was a "prevailing party" within the meaning of 42 USC § 1988 (b) as it is not clear that Supreme Court awarded petitioner relief on his 42 USC § 1396r-5 claim on federal grounds (i.e., it is not clear that petitioner prevailed against respondent on a claim under 42 USC § 1983). Further, it is not apparent whether Supreme Court determined that DOH was a "person" which, while acting under color of state law, deprived petitioner of the federal right to Medicaid. In the absence of the foregoing, Supreme Court did not have discretion to award attorney's fees here.⁹

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

PIGOTT, J. (dissenting). I respectfully dissent. In my view, the record is sufficient to conclude that respondent's calculation of petitioner's wife's "community spouse resource allowance" (CSRA) did not violate federal Medicaid law. Accordingly, remittal is unnecessary and unwarranted. I would therefore affirm the order of the Appellate Division on different grounds.

The primary relief sought by petitioner in this proceeding

9. The dissent's reliance on *Matter of Lynch v Commissioner of N.Y. State Dept. of Health* (18 Misc 3d 1113[A], 2008 NY Slip Op 50015[U] [Sup Ct, Albany County, Jan. 9, 2008]) is misplaced. In *Matter of Lynch*, Supreme Court's decision regarding DOH's broad discretion to select a reasonable methodology for determining the CSRA was expressly based on a *July 27, 2006* interpretation of 42 USC § 1396r-5 (e) by the Centers for Medicare and Medicaid Services (CMS), which the dissent quotes. Here, however, the federal issue is whether respondent's *April 2005* determination regarding petitioner's application for benefits was lawful under the federal Medicaid Act. Because CMS's regulatory interpretation was *not* issued prior to petitioner's administrative fair hearing or respondent's determination, the dissent's primary justification for deciding the federal issue as a matter of law without further record development or argument is mooted.

was to overturn the denial of his Medicaid application. That relief was granted by Supreme Court. As explained by the majority, Supreme Court premised its decision on state law, holding that respondent's determination lacked a rational basis, was arbitrary and capricious, and had no basis in law. Supreme Court explained that, on a prior occasion, the Department of Health (DOH) stated that it lacked the authority to direct Medicaid applicants to purchase a particular type of investment. In this case, however, respondent required petitioner's wife to purchase a "single premium immediate life annuity" to attain the "minimum monthly maintenance needs allowance" (MMMNA). Supreme Court concluded that respondent failed to explain "its change of methodology in the calculation of the CSRA for the community spouse," which an agency is required to do when it "alters its prior policy and interpretation of law." Supreme Court never addressed petitioner's further argument that respondent's actions violated federal Medicaid law.

Assuming, as the majority does, that *Matter of Johnson v Blum* (58 NY2d 454, 458 n 2 [1983]) requires courts to determine a federal statutory law claim "for the purpose of awarding attorney fees" where a litigant already prevailed on a dispositive state law claim, then this Court should determine whether a federal law predicate exists for awarding attorney's fees to petitioner under 42 USC § 1988 (b), i.e., whether respondent's calculation of the CSRA violated 42 USC § 1396r-5 (e) (2) (C). In my view, on this record, no federal predicate exists for the awarding of attorney's fees, rendering it unnecessary to remit this matter to Supreme Court for a determination as to whether an alternative ground—i.e., a federal law ground—existed for granting the petition and annulling respondent's determination.

In the petition, petitioner alleged that respondent violated 42 USC § 1396r-5 (e) (2) (C) by directing the Montgomery County Department of Social Services to determine how much excess resources are needed to purchase a single premium immediate life annuity as a means to generate sufficient monthly income to raise petitioner's wife's income to the MMMNA level. That provision of the Medicaid law, entitled "[r]evision of community spouse resource allowance," provides:

"If either such spouse establishes that the community spouse resource allowance (in relation to the amount of income generated by such an allowance) is inadequate to raise the community spouse's

income to the minimum monthly maintenance needs allowance, there shall be substituted, for the community spouse resource allowance under subsection (f) (2) of this section, an amount adequate to provide such a minimum monthly maintenance needs allowance” (*id.*).

Here, nothing in the statute prohibits respondent from using the cost of a single premium immediate life annuity as a basis for calculating an increase in the CSRA. As one court recently noted, “[t]he statutory language does not . . . prescribe any particular method” for computing the increased CSRA, thus supporting DOH’s “argument that it has broad discretion to select a reasonable methodology for making this determination” (*Matter of Lynch v Commissioner of N.Y. State Dept. of Health*, 18 Misc 3d 1113[A], 2008 NY Slip Op 50015[U], *4 [Sup Ct, Albany County, Jan. 9, 2008]). The *Lynch* court also noted that the Centers for Medicare and Medicaid Services (CMS), the federal agency charged with administering the Medicaid program, advised State Medicaid directors that

“[s]tates may use **any reasonable method** for determining the amount of resources necessary to generate adequate income, **including adjusting the CSRA to the amount a person would have to invest in a single premium annuity to generate the needed income**, attributing a rate of return based on a presumed available rate of interest, or other methods” (*id.* at *5).

Moreover, as this case demonstrates, the federal issue involved is a pure legal question capable of resolution by this Court, thereby obviating the need for remittal. Thus, in my view, petitioner clearly failed to establish his entitlement to attorney’s fees on this record because respondent did not violate federal law (i.e., 42 USC § 1396r-5 [e] [2] [C]).

Chief Judge KAYE and Judges GRAFFEO and READ concur with Judge JONES; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge SMITH concurs; Judge CIPARICK taking no part.

Order reversed, etc.

[897 NE2d 1044, 868 NYS2d 563]

FRIEDA TYDINGS, Respondent, v GREENFIELD, STEIN & SENIOR,
LLP, Appellant.

Argued September 10, 2008; decided October 16, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 13, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Marylin G. Diamond, J.; op 14 Misc 3d 1233[A], 2007 NY Slip Op 50279[U]), which had granted defendant's motion to dismiss the complaint; (2) denied the motion; and (3) reinstated the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Tydings v Greenfield, Stein & Senior, LLP, 43 AD3d 680, affirmed.

HEADNOTES

Judgments — Collateral Estoppel — Ruling Serving as Alternative Basis for Trial-Level Determination Not Reviewed on Appeal

1. In a legal malpractice action alleging that defendant law firm's negligence in defending a proceeding to compel a trust accounting from plaintiff caused her damage, the doctrine of collateral estoppel did not prevent relitigation of the ruling in the underlying proceeding that plaintiff had failed to show the statute of limitations had expired before the proceeding to compel was begun, as that was an alternative basis for the Surrogate's denial of plaintiff's motion to dismiss the objections to her accounting, and the Appellate Division affirmed the Surrogate's Court decision without addressing that ruling. When a decision rests on two independent grounds, either of which could support it alone, the general rule is that neither holding is binding for collateral estoppel purposes. That rule would not be rigidly applied if it were clear that the prior determination squarely addressed and specifically decided the issue to be determined in the subsequent action or proceeding. Here, however, plaintiff tried, unsuccessfully, to get appellate review of the alternative holding that subsequently was invoked against her.

Limitation of Actions — When Cause of Action Accrues — Proceeding to Compel Accounting

2. In a legal malpractice action alleging that defendant law firm's negligence in defending a proceeding to compel a trust accounting from plaintiff caused her damage, the Court of Appeals reaffirmed the ruling in *Spallholz v Sheldon* (216 NY 205 [1915]) that the six-year statute of limitations applicable to an accounting proceeding against a former trustee (*see* CPLR 213 [1]) begins to

run when the trust relation is at an end, and the trustee has yielded the estate to a successor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 201, 227–229; AM JUR 2d, Judgments §§ 487, 489, 493, 494, 496; AM JUR 2d, Limitation of Actions §§ 143, 167.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:210, 13:334; CARMODY-WAIT 2d, Judgments §§ 63:470, 63:471, 63:476.
MCKINNEY's, CPLR 213 (1).
NY JUR 2d, Judgments §§ 337–342, 345, 351; NY JUR 2d, Limitations and Laches §§ 51, 210, 221, 247; NY JUR 2d, Malpractice §§ 61, 62.
SIEGEL, NY PRAC §§ 35, 40.

ANNOTATION REFERENCE

See ALR Index under Accounts and Accounting; Collateral Estoppel; Limitation of Actions; Malpractice By Attorney.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: collateral /2 estoppel & accounting /s limitation

POINTS OF COUNSEL

Kavanagh Maloney & Osnato LLP, New York City (*James J. Maloney, David F. Bayne and Steven M. Cordero* of counsel), for appellant. I. The order of the Appellate Division should be reversed because it has created new law in conflict with this Court's precedents. (*Vavolizza v Krieger*, 33 NY2d 351; *Moore v Aegon Reins. Co. of Am.*, 196 AD2d 250; *Buechel v Bain*, 97 NY2d 295; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Ross v Medical Liab. Mut. Ins. Co.*, 75 NY2d 825; *O'Connor v G & R Packing Co.*, 53 NY2d 278; *Malloy v Trombley*, 50 NY2d 46; *Halpern v Schwartz*, 426 F2d 102; *Gelb v Royal Globe Ins. Co.*, 798 F2d 38; *Aldrich v State of New York*, 110 AD2d 331.) II. In the alternative, the order of the Appellate Division should be reversed because plaintiff did not have a valid statute of limitations defense in the accounting action. (*Matter of Barabash*, 31 NY2d 76; *Kaszirer v Kaszirer*, 286 AD2d 598; *Craig v Bank of N.Y.*, 169 F Supp 2d 202; *Spallholz v Sheldon*, 216 NY 205; *Matter of Alpert*, 234 AD2d 150; *Matter of Zilkha*, 174 AD2d 331; *Matter of Ashheim*, 111 App Div 176,

185 NY 609; *Matter of Mayo*, 11 Misc 3d 1072[A], 2006 NY Slip Op 50525[U]; *Nobile v Schwartz*, 265 F Supp 2d 282; *Matter of Meyer*, 303 AD2d 682.)

Proskauer Rose LLP, New York City (*Bertrand C. Sellier* and *Andy S. Oh* of counsel), and *Peter M. Levine* for respondent. I. The Appellate Division's decision is entirely consistent with New York law of collateral estoppel. (*Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261; *Gilberg v Barbieri*, 53 NY2d 285; *Windowizards, Inc. v S & S Improvements, Inc.*, 11 Misc 3d 130[A], 2006 NY Slip Op 50310[U]; *Buechel v Bain*, 97 NY2d 295; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Sucher v Kutscher's Country Club*, 113 AD2d 928; *Commissioners of State Ins. Fund v Low*, 3 NY2d 590; *Avon Dev. Enters. Corp. v Samnick*, 286 AD2d 581; *Church v New York State Thruway Auth.*, 16 AD3d 808; *Ryan v New York Tel. Co.*, 62 NY2d 494.) II. The substantive limitations issue is not properly before this Court and, in any event, the Appellate Division correctly stated the law with respect to whether a resignation can constitute a repudiation for purposes of the statute of limitations. (*Matter of Barabash*, 31 NY2d 76; *Kaszirer v Kaszirer*, 286 AD2d 598; *Craig v Bank of N.Y.*, 169 F Supp 2d 202; *Spallholz v Sheldon*, 216 NY 205; *Matter of Carpenter [American Sur. Co. of N.Y.]*, 271 App Div 71, 297 NY 498; *Price v Price*, 69 NY2d 8; *General Fireproofing Co. v Keepsdry Constr. Co.*, 225 NY 180; *Coatsworth v Lehigh Val. Ry. Co.*, 156 NY 451; *Westchester Religious Inst. v Kamerman*, 262 AD2d 131; *Nobile v Schwartz*, 265 F Supp 2d 282.)

OPINION OF THE COURT

SMITH, J.

We hold that collateral estoppel does not prevent relitigation of a ruling that was an alternative basis for a trial-level decision, where an appellate court affirmed the decision without addressing that ruling. We also hold that, when a trustee resigns, the statute of limitations governing an action to compel her to account runs from the date the trusteeship is turned over to a successor trustee.

I

Frieda Tydings brings this legal malpractice action against the law firm of Greenfield, Stein & Senior, LLP (GSS), alleging that GSS's negligence in defending a proceeding to compel an accounting caused her damage.

Tydings served for several years as trustee of a grantor trust created by Tydings's relative, Ricki Singer. She resigned on January 1, 1997, and was succeeded as trustee by Singer's brother on that date. For more than six years after that, Tydings rendered no accounting. On August 20, 2003, Singer filed a petition in Surrogate's Court, seeking a compulsory accounting from both Tydings and Tydings's successor as trustee.

Tydings retained GSS to represent her. The law firm filed a notice of appearance but did not answer the petition or assert, in any form, a statute of limitations defense. The Surrogate ordered Tydings to provide an accounting, which she did. Singer objected to the accounting and Tydings, now represented by new counsel, moved to dismiss the objections, relying on the six-year statute of limitations (CPLR 213 [1]). The Surrogate denied Tydings's motion on two alternative grounds: that Tydings had failed to show the statute expired before the proceeding to compel an accounting was begun, and that the statute of limitations defense was unavailable to Tydings because she asserted it too late (*Matter of Singer*, 12 Misc 3d 621, 624-626 [Sur Ct, NY County 2006]). The Appellate Division affirmed the Surrogate's order on the second ground only, holding that Tydings "waived her statute of limitations defense by failing to raise it in response to the grantor's petition to compel an accounting" (*Matter of Singer*, 30 AD3d 211 [2006]).

Tydings then began this action against GSS. She claims that the accounting proceeding against her would have been dismissed if GSS's negligence had not caused her to waive her statute of limitations defense. Of course, this could be true only if the defense had merit. GSS moved to dismiss, contending that Tydings was bound by the Surrogate's alternative holding, in the previous proceeding, rejecting her statute of limitations argument. Supreme Court granted the motion (14 Misc 3d 1233[A], 2007 NY Slip Op 50279[U]), but the Appellate Division reversed, holding that the Surrogate's ruling on the statute of limitations issue should not be given collateral estoppel effect (*Tydings v Greenfield, Stein & Senior, LLP*, 43 AD3d 680 [1st Dept 2007]). The Appellate Division also discussed the merits of that issue: it rejected the Surrogate's reasoning and said that the statute of limitations began to run upon Tydings's "resignation as trustee and surrender of the trusteeship to a successor" (*id.* at 683 n). The Appellate Division granted leave to appeal to us on a certified question, and we now affirm.

II

Collateral estoppel bars relitigation of an issue “which has necessarily been decided in [a] prior action and is decisive of the present action” if there has been “a full and fair opportunity to contest the decision now said to be controlling” (*Buechel v Bain*, 97 NY2d 295, 303-304 [2001]). When a decision rests on two independent grounds, either of which could support it alone, the general rule, according to the Restatement (Second) of Judgments, is that neither holding is binding for collateral estoppel purposes (Restatement [Second] of Judgments § 27, Comment *i*). In *Malloy v Trombley* (50 NY2d 46 [1980]), however, we departed from the Restatement rule.

Malloy and Trombley were both injured when Malloy’s car ran into Trombley’s on a highway. Both brought claims against the State in the Court of Claims. The Court of Claims tried the two cases jointly and dismissed them both, finding in the alternative that the State was not negligent and that both Malloy and Trombley were contributorily negligent; because the accident occurred before the effective date of the comparative negligence law, contributory negligence was a complete bar to recovery. No party appealed from the Court of Claims decision.

Malloy also brought a negligence action against Trombley. We affirmed the dismissal of that action, holding it was barred by the Court of Claims’ finding that Malloy was guilty of contributory negligence. We took note of “the recognized principle that conclusive effect is not to be accorded a finding which is but an alternative ground for the prior court’s decision,” but decided not to “apply that principle rigidly” (50 NY2d at 49). We based our decision on the circumstances present in *Malloy*, and said we did not intend “to enunciate any broad rule” (*id.* at 52). Judge Fuchsberg, whose vote was necessary to the outcome, wrote a concurring opinion in which he stressed that the result was tied to “the particular facts and circumstances in this case” (*id.* at 53 [Fuchsberg, J., concurring]). He described those circumstances in detail, including “the unhurried and painstaking care” with which the Court of Claims trial had been conducted (*id.*) and the fact that, in his view, the Court of Claims’ finding on the contributory negligence issue was “[p]ragmatically . . . not open to any serious dispute” (*id.* at 54).

It is obvious both from the 4-3 vote and from the opinions of the majority judges that *Malloy* was a close case. Our later decision in *O’Connor v G & R Packing Co.* (53 NY2d 278, 280

[1981]), declining to apply collateral estoppel to an alternative ground for decision when it was not “clear that the prior determination squarely addressed and specifically decided the issue,” shows that, while we have not abandoned *Malloy*, we have not been willing to extend it. But GSS asks us to extend it here, by applying collateral estoppel where the losing party in the earlier case tried, unsuccessfully, to get appellate review of the alternative holding now being invoked against her. We will not take this further step.

This case is different from *Malloy*, in which the losing party in the first lawsuit could have appealed but did not. Tydings did appeal the first decision against her, and challenged the Surrogate’s statute of limitations holding, but was unable to get an appellate ruling on the issue. It is significantly less clear here than it was in *Malloy* that the losing party had a full and fair chance to overturn the earlier decision.

[1] GSS cites no case from any jurisdiction in which an alternative holding has been held binding for collateral estoppel purposes after an appellate court affirmed the earlier judgment without considering that holding. Several decisions by the Appellate Division (*Sabbatini v Galati*, 43 AD3d 1136, 1139 [2d Dept 2007]; *Vincent v Thompson*, 50 AD2d 211, 213 [2d Dept 1975]) and by federal courts (*Gelb v Royal Globe Ins. Co.*, 798 F2d 38, 45 [2d Cir 1986]; *Hannahville Indian Community v United States*, 180 Ct Cl 477, 485 [1967]) adopt the opposite rule. As the Second Circuit put it in *Gelb*: “[I]f an appeal is taken and the appellate court affirms on one ground and disregards the other, there is no collateral estoppel as to the unreviewed ground” (798 F2d at 45). *Gelb* was stating federal law, but we hold today that New York law is the same.

For this reason, the Surrogate’s decision on the statute of limitations issue does not bind Tydings in the present lawsuit. Tydings argues that the same is true for another reason also—that the Surrogate’s decision was on a pure question of law, to which the doctrine of collateral estoppel does not apply (*American Home Assur. Co. v International Ins. Co.*, 90 NY2d 433, 440 [1997]). We have no need to consider this argument.

III

[2] Even though the Surrogate’s decision is not binding as a matter of collateral estoppel, GSS would still be entitled to dismissal of this case if the Surrogate had been correct in holding that the statute of limitations defense, which GSS failed to

plead, lacked merit. We conclude, however, that the statute of limitations defense was a good one, and would have required dismissal of the accounting proceeding against Tydings if it had been timely asserted.

The parties agree that an accounting proceeding against a former trustee is governed by CPLR 213 (1), which lists “an action for which no limitation is specifically prescribed by law” among actions that “must be commenced within six years.” The disputed question here is: within six years of what? We answered this question nearly a century ago, when we said, speaking through Judge Cardozo:

“While an express trust subsists and has not been openly renounced, the Statute of Limitations does not run in favor of the trustee. But *after the trust relation is at an end, and the trustee has yielded the estate to a successor*, the rule is different. *The running of the statute then begins*, and only actual or intentional fraud will be effective to suspend it” (*Spallholz v Sheldon*, 216 NY 205, 209 [1915] [citations omitted and emphasis added]).

We see no reason to depart from the rule of *Spallholz*. It is easy to understand and easy to apply, and gives the successor trustee and the beneficiaries six full years to bring an accounting proceeding after the former trustee’s role has come to an end. In this case, Tydings turned over the trusteeship to a successor on January 1, 1997, and the accounting proceeding was brought more than six years later, on August 20, 2003. It was brought too late.

GSS argues for a different rule, contending that the statute does not start to run until the former trustee is asked to give an accounting and refuses to do so. That rule is an impractical one; its effect would be that the statute would not start to run for years, perhaps decades, if the former trustee was never asked for an accounting and had no occasion to say that she would not give one. GSS claims, however, that its rule is supported by *Matter of Barabash* (31 NY2d 76 [1972]). We disagree.

Barabash is a different kind of case. The fiduciary there was the administrator of a decedent’s estate, and was also the decedent’s nephew. The administrator had distributed the entire estate to himself, ignoring the rights of the decedent’s children. The children sued for an accounting some 17 years later. It was

not suggested in *Barabash* that the administrator had resigned, or turned over his office to a successor. We held that, on those facts, the statute did not begin to run until the administrator openly repudiated his obligation to account. Until that repudiation occurred, the beneficiaries of the estate were entitled to assume that the administrator would perform his trust responsibilities. But here, Singer knew on January 1, 1997 that her brother had replaced Tydings as trustee. Knowing that Tydings was no longer her fiduciary, she was not justified in waiting indefinitely to demand an accounting.

The Surrogate in the *Singer* accounting proceeding did not adopt GSS's present theory, but held that the "statute of limitations can begin to run on the beneficiary's right to an accounting only where the former fiduciary has failed to have accounted after a reasonable time to do so has passed" (12 Misc 3d at 625). The Surrogate's theory, as we understand it, is that the beneficiaries or the successor trustee cannot or should not bring action to compel an accounting until a reasonable time after the resignation, and that the statute should not start running before suit can be brought.

The Surrogate's theory would leave the courts with the problem of deciding what a reasonable time is. In this case, for example, the accounting proceeding was brought six years, seven months and 19 days after Tydings turned the trusteeship over to her successor—so that, on the Surrogate's reasoning, it would be necessary to decide whether seven months and 19 days was more or less than a reasonable time to account. We prefer the clearer and simpler rule that the time starts running when a successor trustee is put in place. This rule does not give Singer less than six years to sue, for she could have sought to compel an accounting the day after Tydings's resignation if she had wanted to. Under Surrogate's Court Procedure Act § 2205 (1), "the court may *at any time*, upon it appearing that it is for the best interests of the estate, make an order . . . requiring a fiduciary to file an intermediate or final account" (SCPA 2205 [1] [a] [emphasis added]).

For all these reasons, we reaffirm the rule of *Spallholz*: running of the statute of limitations on a proceeding to compel an accounting begins when "the trust relation is at an end, and the trustee has yielded the estate to a successor" (216 NY at 209).

IV

Accordingly, the order of the Appellate Division should be affirmed with costs. The certified question should be answered in the affirmative.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge KAYE taking no part.

Order affirmed, etc.

[898 NE2d 549, 869 NYS2d 366]

STEPHEN J. BROOKS et al., Plaintiffs, v JUDLAU CONTRACTING, INC., Defendant and Third-Party Plaintiff-Appellant. THUNDERBIRD CONSTRUCTORS, INC., Third-Party Defendant-Respondent.

Argued September 4, 2008; decided October 21, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered April 3, 2007. The Appellate Division order, insofar as appealed from, affirmed so much of a judgment of the Supreme Court, Kings County (Martin Schneier, J.), as had dismissed the third-party complaint. The following question was certified by the Appellate Division: “Was so much of the decision and order of this court dated April 3, 2007, properly made insofar as it affirmed so much of the judgment dated December 10, 2004, that, in effect, is in favor of the third-party defendant-respondent and against the defendant third-party plaintiff-respondent-appellant dismissing the third-party claim for contractual indemnification?”

Brooks v Judlau Contr., Inc., 39 AD3d 447, reversed.

HEADNOTE

Indemnity — Contractual Indemnification

Pursuant to section 5-322.1 of the General Obligations Law, a general contractor who had been found to be partially at fault for injuries sustained by its subcontractor's employee was allowed to enforce an indemnification provision against the subcontractor for that portion of damages attributable to the negligence of the subcontractor, since the indemnification provision obligated the subcontractor to indemnify the general contractor when the damages were caused by the subcontractor's own negligence and did not require the subcontractor to indemnify the general contractor for its own negligence. Leaving the general contractor liable for the negligent actions of its subcontractor would be contrary to the intent of General Obligations Law § 5-322.1 that payment of damages be made according to fault. The language of the indemnification provision which stated that “[t]he Subcontractor shall, to the fullest extent permitted by law, hold the Contractor . . . harmless from any and all liability” did not broaden the subcontractor's liability to require full contractual indemnification. Rather, that language contemplated partial indemnification and was intended to limit the subcontractor's contractual indemnity obligation solely to the subcontractor's own negligence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indemnity §§ 237, 269.

McKINNEY's, General Obligations Law § 5-322.1.

NY JUR 2d, Contribution, Indemnity, and Subrogation
§§ 67, 70, 76-78, 80, 103, 109.

ANNOTATION REFERENCE

Liability of subcontractor upon bond or other agreement indemnifying general contractor against liability for damage to person or property. 68 ALR3d 7.

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gen! /4 subcontractor

POINTS OF COUNSEL

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, Chicago, Illinois (*Melissa A. Murphy-Petros* of counsel), and *Wilson, Elser, Moskowitz, Edelman & Dicker LLP*, New York City (*Richard E. Lerner* of counsel), for defendant and third-party plaintiff-appellant. I. This Court has subject matter jurisdiction to review the order from which the Appellate Division granted leave to appeal. (*Burke v Crosson*, 85 NY2d 10; *Barile v Kavanaugh*, 67 NY2d 392.) II. Questions of statutory interpretation are reviewed de novo. (*Matter of Beekman Hill Assn. v Chin*, 274 AD2d 161; *Fleming v Graham*, 10 NY3d 296.) III. Partial contractual indemnification provisions, such as that between Judlau Contracting, Inc. and Thunderbird Constructors, Inc. here, are valid and fully enforceable under General Obligations Law § 5-322.1. (*Itri Brick & Concrete Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 786; *Lesisz v Salvation Army*, 40 AD3d 1050; *Dutton v Pankow Bldrs.*, 296 AD2d 321, 99 NY2d 511; *107 W. Apt. Corp. v K & J Restoration, Inc.*, 19 Misc 3d 1106[A], 2008 NY Slip Op 50570[U]; *Rhodes-Evans v 111 Chelsea LLC*, 44 AD3d 430; *Jackson v City of New York*, 38 AD3d 324; *O'Connor v William Metrose Ltd. Bldr./Dev.*, 38 AD3d 1207; *D'Allessandro v Lucent Tech.*, 16 Misc 3d 1125[A], 2007 NY Slip Op 51579[U]; *Murphy v Columbia Univ.*, 4 AD3d 200; *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504.) IV. General Obligations Law § 5-322.1's legislative history supports enforcement of partial contractual indemnification provisions: the purpose of the statute is payment of damages according to fault. (*Burgos v 213 W. 23rd St. Group LLC*, 48 AD3d 283; *Quevedo v City of New York*, 56 NY2d 150; *County of Onondaga v Penetryn Sys.*, 84 AD2d 934; *Brown v Two Exch. Plaza Partners*, 76 NY2d 172; *Itri Brick*

& Concrete Corp. v Aetna Cas. & Sur. Co., 89 NY2d 786.) V. The enforcement of partial contractual indemnification provisions is consistent with the principles of common-law contribution. (*Dole v Dow Chem. Co.*, 30 NY2d 143; *Glaser v Fortunoff of Westbury Corp.*, 71 NY2d 643; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Fleming v Graham*, 10 NY3d 296; *Carriere v Whiting Turner Contr.*, 299 AD2d 509; *Robinson v City of New York*, 8 Misc 3d 1012[A], 2005 NY Slip Op 51067[U], 22 AD3d 293; *God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371.)

Cerussi & Spring, White Plains (*Peter Riggs* of counsel), for third-party defendant-respondent. I. Where, as here, the indemnification agreement purports to require indemnification of a partially negligent party, General Obligations Law § 5-322.1 renders the agreement void and unenforceable. (*Itri Brick & Concrete Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 786; *Brown v Two Exch. Plaza Partners*, 76 NY2d 172; *Smith v Xaverian High School*, 270 AD2d 246; *National Union Fire Ins. Co. of Pittsburgh, Pa. v State Ins. Fund*, 266 AD2d 518.) II. The express terms of the indemnification agreement between Judlau Contracting, Inc. and Thunderbird Constructors, Inc. require indemnification for Judlau's negligence. (*Levine v Shell Oil Co.*, 28 NY2d 205; *Liff v Consolidated Edison Co. of N.Y.*, 29 AD2d 665, 23 NY2d 854; *Drzewinski v Atlantic Scaffold & Ladder Co.*, 70 NY2d 774; *Walsh v Morse Diesel*, 143 AD2d 653; *Velez v Tishman Foley Partners*, 245 AD2d 155.) III. The indemnification provision at issue contains no terms expressly excluding indemnification for Judlau Contracting, Inc.'s negligence. (*Itri Brick & Concrete Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 786; *County of Onondaga v Penetryn Sys.*, 84 AD2d 934, 56 NY2d 726; *Brown v Two Exch. Plaza Partners*, 146 AD2d 129, 76 NY2d 172; *National Union Fire Ins. Co. of Pittsburgh, Pa. v State Ins. Fund*, 266 AD2d 518.) IV. To construe the phrase "to the fullest extent permitted by law" as implying that the negligence of the promisee should be excluded, so as to salvage an indemnification provision that would otherwise violate General Obligations Law § 5-322.1, would be contrary to the legislative intent. (*Itri Brick & Concrete Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 786.) V. The cases cited by Judlau Contracting, Inc. generally do not support enforcement of partial indemnification based solely upon the phrase "to the fullest extent permitted by law." (*Murphy v Columbia Univ.*, 4 AD3d 200; *107 W. Apt. Corp. v K & J Restoration*, 19 Misc 3d 1106[A], 2008 NY Slip Op 50570[U]; *Rhodes-Evans v 111 Chelsea LLC*, 44 AD3d 430; *Jackson v City*

of *New York*, 38 AD3d 324; *O'Connor v William Metrose Ltd. Bldr./Dev.*, 38 AD3d 1207; *D'Allessandro v Lucent Tech.*, 16 Misc 3d 1125[A], 2007 NY Slip Op 51579[U]; *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504; *Reilly v Newireen Assoc.*, 303 AD2d 214; *Balladares v Southgate Owners Corp.*, 40 AD3d 667; *Reynolds v County of Westchester*, 270 AD2d 473; *Dutton v Pankow Bldrs.*, 99 NY2d 511.)

OPINION OF THE COURT

CIPARICK, J.

This appeal asks us to determine the question left open in *Itri Brick & Concrete Corp. v Aetna Cas. & Sur. Co.* (89 NY2d 786 [1997]) as to whether section 5-322.1 of the General Obligations Law allows a general contractor—who has been found to be partially at fault—to enforce an indemnification provision against its subcontractor for that portion of damages attributable to the negligence of the subcontractor. We conclude that the statute does permit a partially negligent general contractor to seek contractual indemnification from its subcontractor so long as the indemnification provision does not purport to indemnify the general contractor for its own negligence. As such, the provision is enforceable and does not violate General Obligations Law § 5-322.1.¹

An action for damages was brought by plaintiff, Stephen J. Brooks, an ironworker, against general contractor, Judlau Contracting, Inc., for injuries sustained on the job while employed by subcontractor, third-party defendant Thunderbird Constructors, Inc. The construction project involved the renovation and restoration of a highway overpass. Upon grabbing onto a perimeter safety cable installed by defendant, Judlau, the cable came loose causing plaintiff to fall 18 feet to the pavement below and sustain injury. Judlau asserted a third-party claim for contractual indemnification against Thunderbird. The action was bifurcated—a damages trial as to the underlying tort was

1. General Obligations Law § 5-322.1 (1) provides that:

“[a] covenant, promise, agreement or understanding in, or in connection with . . . a contract or agreement relative to the construction, alteration, repair or maintenance of a building . . . purporting to indemnify or hold harmless the promisee against liability for damage arising out of bodily injury to persons or damage to property contributed to, caused by or resulting from the negligence of the promisee, his agents or employees, or indemnitee, whether such negligence be in whole or in part, is against public policy and is void and unenforceable.”

tried by a jury and the third-party contractual indemnification claim by the court. Following trial, Supreme Court granted Thunderbird's motion for a directed verdict dismissing Judlau's third-party claim holding that Judlau's installation of the safety cable in an "ineffective and unsafe manner" was a substantial factor in causing plaintiff's accident, that Judlau was accordingly actively negligent "at least to some degree" and that such negligence foreclosed Judlau's entitlement to contractual indemnification from Thunderbird.

The Appellate Division affirmed the dismissal of Judlau's third-party complaint against Thunderbird (39 AD3d 447 [2007]). It held that General Obligations Law § 5-322.1 bars contractual indemnification and that the contractual provision at issue was unenforceable, and further that the evidence in the underlying tort action established that Judlau negligently installed a safety cable causing plaintiff's injury. The court certified a question of law as to whether its order was properly made insofar as it affirmed the dismissal of the third-party claim for contractual indemnification. We now reverse and answer the question in the negative.²

There appears to be no dispute that Judlau is prohibited from filing a common-law contribution claim against Thunderbird because Thunderbird is plaintiff's employer and plaintiff did not sustain a grave injury within the meaning of Workers' Compensation Law § 11. Judlau asserts, however, that a claim for contractual indemnification lies since Thunderbird's negligence also contributed to plaintiff's injuries in that Thunderbird, having control of the workplace, failed to provide plaintiff with the necessary safety equipment to prevent his fall.

Unlike the indemnification provisions voided in *Itri Brick*, enforcement of the indemnification provision currently before us will not result in Judlau being indemnified for its own acts of negligence; rather, it is being indemnified only for those acts attributable to the subcontractor, Thunderbird. The indemnification provision of the agreement provides that

"[t]he Contractor shall not be liable for any loss or casualty incurred or caused by or to the Subcontractor. The Subcontractor shall maintain full and complete insurance on its work until final accep-

2. Only an appeal from the dismissal of the third-party claim is before us. The direct action was remitted to Supreme Court for a new trial and has since settled for \$3 million.

tance of the General Contract. The Subcontractor assumes all risk of loss for all of its work regardless of whether the Subcontractor had previously been paid for it. The Contractor is not responsible to provide any protective service for the Subcontractor's benefit. The Subcontractor shall, to the fullest extent permitted by law, hold the Contractor and the Owner, their agents, employees and representatives harmless from any and all liability, costs, damages, attorneys' fee, and expenses from any claims or causes of action of whatever nature arising from the Subcontractor's work, including all claims relating to its subcontractors, suppliers or employees, or by reason of any claim or dispute of any person or entity for damages from any cause directly or indirectly relating to any action or failure to act by the Subcontractor, its representatives, employees, subcontractors, or suppliers. The Subcontractor acknowledges that specific consideration has been received by it for this Indemnification."

Contrary to Thunderbird's assertion, this provision does not violate General Obligations Law § 5-322.1 as it does not require Thunderbird to indemnify Judlau for its own negligence. The provision is clear, obligating Thunderbird to indemnify Judlau only when it is shown that damages were caused by Thunderbird's own negligence.³

As we stated in *Itri Brick*, the Legislature enacted General Obligations Law § 5-322.1 in order to

"prevent a prevalent practice in the construction industry of requiring subcontractors to assume liability by contract for the negligence of others. The Legislature concluded that such 'coercive' bidding requirements unnecessarily increased the cost of construction by limiting the number of contractors able to obtain the necessary hold harmless insurance, and unfairly imposed liability on subcontractors for the negligence of others over whom they

3. See *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507, 512-513 (2008) ("it is a basic contract principle that 'when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms'"), quoting *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 (2004), quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 (1990).

had no control. The agreements also needlessly created expensive double coverage for hold harmless or general liability insurance” (89 NY2d at 794).

Since “[o]ne should not be held to answer for the wrongful acts of another unless he is in the insurance business, assuming risks in return for payment of premiums” (Sponsor’s Mem, Bill Jacket, L 1981, ch 964, 1981 NY Legis Ann, at 502), for us to hold today that a partially negligent general contractor may never seek contractual indemnification for the wrongful actions attributable to its subcontractor would leave the general contractor liable for the negligent actions of its subcontractor. Such an outcome would be contrary to the intent of General Obligations Law § 5-322.1 that payment of damages be made according to fault.

Thunderbird asserts that the language “to the fullest extent permitted by law” broadens the subcontractor’s liability to require full contractual indemnification, which includes indemnification for Judlau’s negligence and is thus rendered void by General Obligations Law § 5-322.1. We disagree. That language contemplates partial indemnification and is intended to limit Thunderbird’s contractual indemnity obligation solely to Thunderbird’s own negligence.

Our holding that the phrase “to the fullest extent permitted by law” limits rather than expands a promisor’s indemnification obligation is supported by the holdings of other courts that have likewise held that such phrases create a partial indemnification obligation on behalf of the subcontractor promisor.⁴ Recognizing that these precedents are not binding on us—and that there likewise are many decisions negating partial indemnification—we adopt the broader interpretation as the more sound. Indeed, there is no language within General Obliga-

4. See *Dutton v Pankow Bldrs.*, 296 AD2d 321, 322 (1st Dept 2002) (phrases “‘to the fullest extent permitted by applicable law’” and “‘regardless of whether [the general contractor is] partially negligent . . . exclud[ing] only liability created by the [general contractors’s] sole and exclusive negligence’” enforceable); *Murphy v Columbia Univ.*, 4 AD3d 200, 202 (1st Dept 2004) (obligation was “‘to the fullest extent permitted by applicable law’”); *Jackson v City of New York*, 38 AD3d 324, 324 (1st Dept 2007) (same); *Lesisz v Salvation Army*, 40 AD3d 1050, 1051 (2d Dept 2007) (same); *Balladares v Southgate Owners Corp.*, 40 AD3d 667, 671 (2d Dept 2007) (same); *Bink v F.C. Queens Place Assoc., LLC*, 27 AD3d 408, 409 (2d Dept 2006) (same); *Madeira v Affordable Hous. Found., Inc.*, 315 F Supp 2d 504, 508-509 (SD NY 2004) (contractual indemnification language “‘[t]o the fullest extent permitted by law’” and “‘to the extent caused in whole or part by the Subcontractor’” is enforceable).

tions Law § 5-322.1 that prevents partial indemnification provisions such as the one currently before us from being enforced in a case where it is shown that both a general contractor and its subcontractor are joint tortfeasors.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, appellant Judlau's third-party complaint against third-party defendant Thunderbird should be reinstated and this case remitted to Supreme Court for further proceedings in accordance with this opinion, and the certified question answered in the negative.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[898 NE2d 545, 869 NYS2d 362]

ERIC STRINGER, Appellant, v BARBARA MUSACCHIA, Individually
and as Trustee of the JOHN MUSACCHIA RESIDUAL TRUST
B-1, et al., Respondents.

Argued September 11, 2008; decided October 21, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 27, 2007. The Appellate Division, with two Justices dissenting, modified, on the law, an order of the Supreme Court, Greene County (George B. Ceresia, Jr., J.; op 2006 NY Slip Op 30432[U]), which, among other things, had granted plaintiff's cross motion for partial summary judgment as to liability on his Labor Law § 240 (1) claim and denied defendant's motion for summary judgment on that claim. The modification consisted of (1) reversing so much of Supreme Court's order as had granted plaintiff's cross motion for partial summary judgment as to liability on his Labor Law § 240 (1) claim and denied defendant's motion for summary judgment on that claim; (2) denying plaintiff's cross motion for partial summary judgment; (3) granting defendants' motion for summary judgment; and (4) dismissing the complaint in its entirety. The Appellate Division affirmed the order as modified.

Stringer v Musacchia, 46 AD3d 1274, affirmed.

HEADNOTE

Labor — Safe Place to Work — Volunteers

Plaintiff, who had agreed to construct a shed on defendants' property in exchange for being allowed to participate in a turkey hunt on the property, was not covered by the strict liability provisions of Labor Law § 240 (1) in his action to recover damages for injuries he sustained when he fell from a ladder while constructing the shed. The strict liability provisions of Labor Law § 240 (1) apply to employees but not to persons who volunteer to work on a project. An individual does not become an employee covered by Labor Law § 240 (1) by providing casual, uncompensated assistance to another person with a repair or construction project in an informal arrangement that does not give rise to mutual duties or obligations between them and bears none of the traditional hallmarks of an employment relationship. Here, plaintiff was interested in hunting turkeys, and in return for being allowed to do so, he volunteered to construct a shed with no expectation of being paid a wage or salary. It was an informal arrangement between plaintiff and the individual defendant's son, who did not control or supervise plaintiff's efforts, and neither man assumed a contractual obligation to the other.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 237, 269.
McKINNEY's, Labor Law § 240 (1).
NY JUR 2d, Employment Relations §§ 231, 232, 278.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health; Volunteers.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: strict /2 liability /s volunteer

POINTS OF COUNSEL

Lewis & Stanzione, Catskill (Ralph C. Lewis, Jr., of counsel), for appellant. Plaintiff-appellant was an employee within the meaning of Labor Law § 240 (1). (*Whelen v Warwick Val. Civic & Social Club*, 47 NY2d 970; *Tse Chin Cheung v G & M Hardware & Elec.*, 249 AD2d 28; *Howerter v Dugan*, 232 AD2d 524; *Curatolo v Postiglione*, 2 AD3d 480; *Thompson v Marotta*, 256 AD2d 1124.)

Bailey, Kelleher & Johnson, PC., Albany (Thomas J. Johnson of counsel), for respondents. Plaintiff is not a person to whom the Labor Law applies. (*Whelen v Warwick Val. Civic & Social Club*, 89 Misc 2d 577, 63 AD2d 646, 47 NY2d 970; *Yearke v Zarccone*, 57 AD2d 457; *Thompson v Marotta*, 256 AD2d 1124; *Curatolo v Postiglione*, 2 AD3d 480; *Tse Chin Cheung v G & M Hardware & Elec.*, 249 AD2d 28; *Howerter v Dugan*, 232 AD2d 524; *Vernum v Zilka*, 241 AD2d 885.)

OPINION OF THE COURT

GRAFFEO, J.

The strict liability provisions of Labor Law § 240 (1) apply to employees but not to persons who volunteer to work on a project. In this case, we are asked to decide whether plaintiff was entitled to section 240 (1) protection when he built a shed for an acquaintance while on a hunting trip. Based on the facts of this case, we conclude that plaintiff was not covered under the statute.

In 2001, defendant Barbara Musacchia was the sole trustee of the John Musacchia Residual Trust B-1 that owned property in

Greene County. Her son, John Musacchia, Jr., held hunting excursions on the land, including an annual turkey hunt in May. Frequently invited were celebrity guests who were filmed for television productions. Certain friends of Musacchia were invited as well, but these hunters were asked to do chores around the property in the afternoons following the morning hunts. All of the guests slept and ate in the residence located on the property.

Plaintiff Eric Stringer, a resident of Georgia, was an avid archer who met Musacchia at an archery exhibition. Stringer had experience in the construction industry and Musacchia hired him to construct a trade show display for the family's archery company. Stringer was interested in joining the turkey hunt in May 2001 and Musacchia realized that extending the invitation could be beneficial—for some time he had wanted to erect an implement shed on the Greene County property to house machinery but an earlier \$6,000 estimate from a local contractor had been rejected by his mother as too costly. After discussing the project with Stringer, Musacchia told him that he could participate in the hunt if he was willing to build the shed in the afternoons. Stringer agreed and purchased a plane ticket to New York, arriving in Greene County on or about May 1, 2001.

For more than a week after his arrival, Stringer hunted on the property and worked on the shed. Then, on May 10th, as he was standing on an extension ladder attempting to install a rafter, the ladder “kicked out” beneath him and he fell 8 to 10 feet to the ground onto a bag of concrete. Musacchia later found Stringer injured and drove him to a hospital, where doctors discovered that his Achilles tendon had been severed. Stringer returned home to Georgia for a series of surgeries.

Stringer commenced this action against Barbara Musacchia, individually and as trustee of the family trust, and the trust itself, asserting causes of action premised on common-law negligence and Labor Law §§ 200, 240 (1) and § 241. The parties cross-moved for summary judgment. Supreme Court granted defendants' motion, in part, by dismissing the negligence and section 200 and 241 claims, but granted plaintiff summary judgment as to liability on the section 240 (1) cause of action, concluding that Stringer was entitled to the statute's strict liability protections because he was acting as an “employ-

ee” when he was building the shed (2006 NY Slip Op 30432[U]).¹ The Appellate Division, with two Justices dissenting, modified by dismissing the section 240 (1) claim, ruling that Stringer was a volunteer because he was not obligated to complete the shed and did not receive any monetary compensation (46 AD3d 1274 [2007]). Plaintiff appeals as of right on the two-Justice dissent, and we now affirm.

The primary purpose of Labor Law § 240 (1) is to extend special protections to “employees” or “workers” (see *Mordkofsky v V.C.V. Dev. Corp.*, 76 NY2d 573, 577 [1990]; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520 [1985]). Inclusion in this “special class for whose benefit absolute liability is imposed” requires a plaintiff to “demonstrate that ‘he was both permitted or suffered to work on a building or structure and that he was hired by someone, be it [the] owner, contractor or their agent’ ” (*Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46, 50-51 [2004], quoting *Whelen v Warwick Val. Civic & Social Club*, 47 NY2d 970, 971 [1979]). As a result, we have held that the statute does not apply to a volunteer who performs a service gratuitously (see *Whelen v Warwick Val. Civic & Social Club*, 47 NY2d at 971; *Mordkofsky v V.C.V. Dev. Corp.*, 76 NY2d at 577). Aside from these references in *Whelen* and *Mordkofsky*, however, we have not had the opportunity to elaborate on what differentiates an employee from a volunteer.

Analysis of this issue requires consideration of the traditional parameters of employer-employee relationships in conjunction with the Legislature’s intent in enacting Labor Law § 240 (1).² The term “employee” is statutorily defined as a “mechanic, workingman or laborer working for another *for hire*” (Labor Law § 2 [5] [emphasis added]). When a person has been hired, at least three factors are usually present. First, there is the voluntary undertaking of a mutual obligation—the employee agrees to perform a service in return for compensation (usually monetary) from the employer, thereby revealing an economic motivation for completing the task (see *Black’s Law Dictionary* 565 [8th ed] [an “employer” is the person who “pays the worker’s salary or wages”]). Second, although not an essential

1. Labor Law § 240 (1) does not apply to “owners of one and two-family dwellings who contract for but do not direct or control the work” of the person(s) they hire. Defendants did not raise this as a defense so we have no occasion to determine its application to this case.

2. The statute also applies to independent contractors, but it is not alleged here that Stringer acted in this capacity.

factor, an employer may exercise authority in directing and supervising the manner and method of the work (*see e.g. Daniello v Holy Name Church*, 286 AD2d 268, 269 [1st Dept 2001]; Black's Law Dictionary 564 [8th ed] [a person is an "employee" if "the employer has the right to control the details of work performance"]). Third, the employer usually decides whether the task undertaken by the employee has been completed satisfactorily.

Corresponding with these aspects of employer-employee relations is the purpose that underlies Labor Law § 240 (1). In enacting the statute, the Legislature "intended to place 'ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner and general contractor' rather than on the workers themselves" (*Sanatass v Consolidated Inv. Co., Inc.*, 10 NY3d 333, 338 [2008], quoting Mem of Senator Calandra and Assemblyman Amann, 1969 NY Legis Ann, at 407). In addition, the Appellate Divisions have recognized that section 240 (1) was not intended to make owners strictly liable to family members, acquaintances or neighbors who are injured while assisting in the completion of a home repair or improvement project without compensation because no true employment obligation arises in such situations (*see e.g. Schwab v Campbell*, 266 AD2d 840 [4th Dept 1999]; *Tse Chin Cheung v G & M Hardware & Elec.*, 249 AD2d 28 [1st Dept 1998]; *Alver v Duarte*, 80 AD2d 182 [3d Dept 1981]; *Yearke v Zarcone*, 57 AD2d 457 [4th Dept 1977]; *cf. Thompson v Marotta*, 256 AD2d 1124 [4th Dept 1998] [employment relationship found because the plaintiff agreed to do work in exchange for the defendant's waiver of a security deposit and allowing the plaintiff to live in a home for two or three months without paying rent]). And even where the person who provides such assistance to a homeowner receives some ancillary, nonmonetary benefit in return and the homeowner is relieved of having to pay someone to complete the task, a formal employment relationship has not developed (*see generally Howerter v Dugan*, 232 AD2d 524 [2d Dept 1996]).

We believe that the reasoning of the Appellate Divisions is consistent with both the intent of the Labor Law and the plain meaning of the terms "employee" and "for hire." Consequently, we hold that an individual does not become an employee covered by Labor Law § 240 (1) by providing casual, uncompensated assistance to another person with a repair or construction project in an informal arrangement that does not give rise to mutual

duties or obligations between them and bears none of the traditional hallmarks of an employment relationship.

Applying this standard, Stringer was not defendants' employee for purposes of section 240 (1) liability. Stringer was interested in pursuing a recreational activity—hunting turkeys—and in return for being allowed to participate in the hunt, he volunteered to construct a shed with no expectation of being paid a wage or salary. This was an informal arrangement between Stringer and Musacchia, and neither man assumed a contractual obligation to the other. Aside from paying for the materials used, Musacchia did not control or supervise Stringer's efforts. Thus, Stringer was acting as a volunteer and not as an employee when he was injured. Defendants were therefore entitled to summary judgment dismissing the Labor Law § 240 (1) cause of action.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[897 NE2d 1052, 868 NYS2d 570]

**THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DELON
LUCAS, Appellant.**

Argued September 4, 2008; decided October 21, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 18, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Plummer E. Lott, J.), which had convicted defendant, upon his plea of guilty, of murder in the first degree and murder in the second degree.

People v Lucas, 43 AD3d 1084, affirmed.

HEADNOTE**Crimes — Indictment — Sufficiency of Indictment — First Degree
Murder Based upon Death of Kidnapping Victim**

An indictment charging defendant with first degree murder (Penal Law § 125.27 [1] [a] [vii]) based upon his killing of a person he had abducted was not legally insufficient because it “double counted” the death of the victim, relying on it both as an element of first degree murder and as an element of first degree kidnapping (Penal Law § 135.25 [3]). The indictment tracked the language of the statutes, alleging the elements of murder in the first degree, including a killing “in the course of” and “in furtherance of” a first degree kidnapping, and also alleging the elements of first degree kidnapping, including the abduction and the death of the person abducted. In defining first degree murder, the Legislature required murder and an additional aggravating factor—murder “plus.” Although a defendant’s crime has not been “aggravated” to first degree murder where the same mens rea—the intent to kill—is used to define both the murder and the aggravating factor, here, the murder that defendant committed and the predicate crime that served as an aggravation arose from two distinct intents—the intent to kill the victim and the intent to abduct him.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Abduction and Kidnapping §§ 22, 29, 47, 53;

AM JUR 2d, Homicide §§ 39, 40, 44, 64, 66, 67.

MCKINNEY’S, Penal Law § 125.27 (1) (a) (vii); § 135.25 (3).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 490, 519, 752, 758, 767.

ANNOTATION REFERENCE

See ALR Index under Abduction and Kidnapping; Homicide.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: murder /3 first /s kidnapping /3 first /p intent

POINTS OF COUNSEL

Legal Aid Society Criminal Appeals Bureau, New York City (Joanne Legano Ross and Steven Banks of counsel), for appellant. The indictment, which double counted the victim's death to elevate second degree kidnapping, which is not a predicate offense under Penal Law § 125.27 (1) (a) (vii), to first degree kidnapping, and thereby to qualify it as the foundation for a first degree felony murder charge, provided an inadequate justification for that charge under the rationale of *People v Cahill* (2 NY3d 14 [2003]). (*Matter of New York City Asbestos Litig. [Brooklyn Nav. Shipyard Cases]*, 82 NY2d 342; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *People v Walker*, 81 NY2d 661; *FGL & L Prop. Corp. v City of Rye*, 66 NY2d 111; *People v Brown*, 67 NY2d 555; *People v Santorelli*, 80 NY2d 875; *People v Valenza*, 60 NY2d 363; *People v Mertz*, 68 NY2d 136; *People v Fullan*, 92 NY2d 690; *People v Miller*, 6 NY3d 295.)

Charles J. Hynes, District Attorney, Brooklyn (Keith Dolan and Leonard Joblove of counsel), for respondent. Defendant's plea of guilty to first degree felony murder (Penal Law § 125.27 [1] [a] [vii]), based upon a first degree kidnapping during which the victim died (Penal Law § 135.25 [3]), was not foreclosed by this Court's decision in *People v Cahill* (2 NY3d 14 [2003]). (*People v Finnegan*, 85 NY2d 53, 516 US 919; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Garson*, 6 NY3d 604; *Matter of Erie County Agric. Socy. v Cluchey*, 40 NY2d 194; *Matter of Polan v State of N.Y. Ins. Dept.*, 3 NY3d 54; *People v Robinson*, 95 NY2d 179; *Sega v State of New York*, 60 NY2d 183; *People v Jackson*, 87 NY2d 782; *People v Mateo*, 2 NY3d 383.)

OPINION OF THE COURT

SMITH, J.

An intentional killing committed in the course of and in furtherance of kidnapping in the first degree is first degree murder (Penal Law § 125.27 [1] [a] [vii]), and an abduction during which the person abducted dies is first degree kidnapping (Penal Law § 135.25 [3]). Defendant, who was indicted for first degree murder based on his killing of a person he had abducted,

argues that the indictment was legally insufficient because it “double counted” the death of the victim, relying on it both as an element of first degree murder and as an element of first degree kidnapping. We reject defendant’s argument.

I

Defendant was indicted for several crimes related to the abduction and death of Patrick Bhola. The first count accused him of murder in the first degree, alleging that defendant “with intent to cause the death of Patrick Bhola, caused the death of Patrick Bhola by stabbing and beating him about the body”; and that

“Patrick Bhola was killed while the defendant . . . was in the course of and in furtherance of committing the crime of kidnapping in the first degree . . . to wit: the defendant . . . abducted Patrick Bhola and Patrick Bhola died during the abduction and before he was able to return and be returned to safety.”

After a motion to dismiss the indictment was denied, defendant pleaded guilty to murder in the first degree and murder in the second degree. As part of the plea bargain, he signed a waiver of appeal, but the People agreed to an exception to the waiver allowing him to raise on appeal the argument he now advances. The Appellate Division affirmed (43 AD3d 1084 [2007]). A Judge of this Court granted leave to appeal (9 NY3d 1007 [2007]), and we now affirm.

II

Defendant argues that the facts stated in the indictment do not constitute the crime of first degree murder. This argument attacks the facial sufficiency of the accusatory instrument, and so is not forfeited by defendant’s guilty plea (*People v Taylor*, 65 NY2d 1, 5 [1985]), but it fails on the merits.

Penal Law § 125.27 says, in relevant part:

“A person is guilty of murder in the first degree when:

“1. With intent to cause the death of another person, he causes the death of such person or of a third person; and

“(a) . . .

“(vii) the victim was killed while the defendant was in the course of committing . . . and in furtherance of . . . kidnapping in the first degree.”

Penal Law § 135.25 says, in relevant part:

“A person is guilty of kidnapping in the first degree when he abducts another person and when . . .

“3. The person abducted dies during the abduction or before he is able to return or to be returned to safety.”

The indictment in this case tracks the language of these statutes. It alleges the elements of murder in the first degree, including a killing “in the course of” and “in furtherance of” a first degree kidnapping, and it also alleges the elements of first degree kidnapping, including the abduction and the death of the person abducted. Defendant argues that the indictment is nevertheless insufficient because it violates a rule against “double counting” that defendant finds in *People v Cahill* (2 NY3d 14 [2003]). Defendant reads *Cahill* too broadly.

Cahill was indicted for first degree murder based on a killing committed in the course of, and in furtherance of, burglary in the second degree (2 NY3d at 62-63). It is an element of second degree burglary that the person committing it “enters or remains unlawfully in a building with intent to commit a crime therein” (Penal Law § 140.25). The crime that Cahill intended to commit when he entered the building was the murder he in fact committed; thus, the same criminal intent supported both the murder charge and the aggravating factor, the burglary. Reversing Cahill’s first degree murder conviction, we accepted his argument “that this circularity is impermissible” (2 NY3d at 64). In this case, defendant says that a similar “circularity” exists, because the victim’s death is an element both of first degree murder and of the predicate kidnapping crime. We disagree.

Cahill did not hold that, in first degree felony murder cases, the murder and the predicate felony can have no common elements. The problem in *Cahill* was the double counting of one criminal *intent*. We said that Cahill’s “conviction cannot stand because the burglary carried no *intent* other than to commit the murder” (*id.* at 62 [emphasis added]). We explained that, in defining first degree murder—a crime which could make a defendant eligible for the death penalty—the Legislature required murder and “[a]n additional aggravating factor—murder

‘plus’ ” (*id.* at 64). But where “the very same mens rea—the intent to kill” was used to define both the murder and the aggravating factor, the legislative goal of “narrowing rather than expanding the class of defendants eligible for the death penalty” had not been achieved (*id.* at 64, 65). The gist of *Cahill* is that where only one criminal intent, the intent to kill, is shown, defendant’s crime has not been “aggravated” to first degree murder.

That is not true here. Here, the murder defendant committed and the predicate crime that serves as an aggravation arise from two distinct intents—the intent to kill the victim and the intent to abduct him. The intent to abduct aggravated the crime of murder, and defendant is thus a member of that class of murderers whose crime is significantly worse than ordinary murder—“murder plus.” It is of no moment that a factual circumstance other than defendant’s intent—in this case, the victim’s death—is an element of both the murder and the predicate felony. *Cahill* is satisfied by the showing of a second criminal intent.

The result defendant seeks here would contradict the obvious intention of the authors of the first degree murder statute. The authors specifically included kidnapping in the first degree as a predicate crime, and one of the three subdivisions of the first degree kidnapping statute (Penal Law § 135.25 [3]) applies only in cases where the victim dies. On defendant’s reading, the Legislature intended to exclude virtually all section 135.25 (3) kidnappings from the first degree murder statute—all except those in which the person abducted dies and the kidnapper murders someone else. Surely, if the Legislature had such an intention it would have said so more plainly. Indeed, that intention is an unlikely one to attribute to the Legislature—an intention to punish one of the most heinous of crimes, kidnapping accompanied by murder of the victim, less severely than many other murders.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed.

[898 NE2d 891, 869 NYS2d 848]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v L. DENNIS KOZLOWSKI, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARK H. SWARTZ, Appellant.

Argued September 2, 2008; decided October 16, 2008

SUMMARY

APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 15, 2007. The Appellate Division affirmed judgments of the Supreme Court, New York County (Michael J. Obus, J.), which had convicted defendants, upon a jury verdict, of grand larceny in the first degree (12 counts), conspiracy in the fourth degree, violation of General Business Law § 352-c (5) and falsifying business records in the first degree (eight counts).

People v Kozlowski, 47 AD3d 111, affirmed.

HEADNOTES

Crimes — Witnesses — Corporate Wrongdoing — Testimony of Attorney Retained to Conduct Internal Corporate Investigation

1. In the prosecution of defendants for crimes associated with corporate wrongdoing, including the theft of four multi-million dollar “bonuses,” the admission into evidence of testimony of an attorney retained to conduct a corporate internal investigation did not improperly convey to the jury an opinion regarding defendants’ guilt. The attorney’s testimony, which was used to undercut defendants’ claim that they had taken the bonuses in good faith and to establish how the company reacted once it became aware of evidence suggesting that one defendant had violated company compensation procedures, was properly limited to a firsthand factual account. Although defendants complained that the attorney was permitted to rebut their testimony and theory of the case with certain facts that may have led the jury to convict, that was not prohibited.

Crimes — Witnesses — Corporate Wrongdoing — Attorney Retained to Conduct Internal Corporate Investigation — Background Information

2. In the prosecution of defendants for crimes associated with corporate wrongdoing, in which testimony of an attorney retained to conduct an internal corporate investigation was admitted, the People were properly permitted to elicit testimony regarding the attorney’s background, a general overview of internal investigations and the scope of the subject investigation. This background testimony provided a helpful context for the jury about a complex subject matter. In addition, such evidence was also admissible to allow the jury to evaluate defendants’ contention that the attorney’s representation of

the corporation in ancillary civil litigation gave him a motive to slant his testimony in favor of the People.

Crimes — Argument and Conduct of Counsel

3. In the prosecution of defendants for crimes associated with corporate wrongdoing, the prosecutor's summation comments on the testimony of an attorney retained to conduct a corporate internal investigation were not prejudicial. The prosecutor's statement in response to defendants' assertion that the corporation's directors had branded them as scapegoats to avoid their own civil and criminal liability, as well as the prosecutor's references to the attorney's factual testimony, did not convey a personal belief or opinion regarding the trial evidence or defendants' guilt. Instead, it properly concentrated, in argument, on proved facts and circumstances and the inferences to be drawn therefrom.

Crimes — Disclosure — Subpoena Duces Tecum — Material Exempt from Disclosure — Material Prepared for Litigation

4. In the prosecution of defendants for crimes associated with corporate wrongdoing, including the theft of four multi-million dollar "bonuses," Supreme Court did not abuse its discretion in quashing defendants' subpoena duces tecum, which sought the factual portions of certain interview notes and a memorandum prepared during the course of a corporate internal investigation. Defendants sought to challenge the testimony of certain corporate director-witnesses that they did not approve the four charged bonuses, evidence that bore directly on the question of whether defendants took those bonuses under a good faith claim of right. Although defendants satisfied the minimal threshold showing necessary for enforcement, in that they identified specific director-witness statements and proffered facts that permitted an inference that those statements were reasonably likely to contain material that could contradict the statements of key witnesses for the People, the materials defendants requested were shielded from production by the qualified privilege covering trial preparation materials (*see* CPLR 3101 [d] [2]).

Crimes — Disclosure — Subpoena Duces Tecum — Material Exempt from Disclosure — Material Prepared for Litigation

5. In the prosecution of defendants for crimes associated with corporate wrongdoing, including the theft of four multi-million dollar "bonuses," Supreme Court did not abuse its discretion in quashing defendants' subpoena duces tecum, which sought the factual portions of certain interview notes and a memorandum prepared by a law firm during the course of a corporate internal investigation. The requested materials were shielded from production by the qualified privilege covering trial preparation materials (*see* CPLR 3101 [d] [2]). Defendants made no effort to show any "undue hardship" that would have prevented them from securing their own "substantial[ly] equivalent" interviews with the corporate director-witnesses (*see* CPLR 3101 [d] [2]), and Supreme Court properly determined that the corporation had not waived the qualified privilege covering those documents. No waiver occurred when the corporation produced attorney-client and work product privileged materials to the People in response to their grand jury subpoena, as those materials did not refer to the corporate internal investigation at issue. Disclosure of historical privileged documents did not waive the privilege covering trial preparation materials created in a subsequent internal investigation. Moreover, no waiver occurred through the corporation's cooperation with the District Attorney's investigation. Nor did "testimonial" waivers occur at defendants' first trial when the corporation's lawyers and employees testified regarding privileged communications that occurred prior to the internal investigation.

Crimes — Sentence — Fine

6. In the prosecution of defendants for crimes associated with corporate wrongdoing, in which defendants contended that the imposition of fines upon them pursuant to Penal Law § 80.00 contravened their constitutional right to a jury trial, any violation of *Apprendi v New Jersey* (530 US 466 [2000]), which delineates circumstances when judicial fact-finding in sentencing is impermissible under the Sixth Amendment to the US Constitution, was harmless because defendants' trial testimony—with respect to each of those counts upon which the trial court imposed fines—established gains that corresponded to or exceeded the fine amounts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations §§ 1640–1643; AM JUR 2d, Criminal Law § 978; AM JUR 2d, Depositions and Discovery §§ 263, 268, 275; AM JUR 2d, Trial §§ 532, 534, 537; AM JUR 2d, Witnesses §§ 19, 20, 25–29.

CARMODY-WAIT 2d, Disclosure §§ 42:188–42:195; CARMODY-WAIT 2d, Subpoenas; Notice to Produce §§ 54:106, 54:107, 54:110; CARMODY-WAIT 2d, Criminal Procedure §§ 172:3185, 172:3186, 172:3200, 172:3671–172:3673, 172:3684–172:3686.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 24.4, 24.7.

McKINNEY'S, CPLR 3101 (d) (2); Penal Law § 80.00.

NY JUR 2d, Criminal Law: Procedure §§ 1657, 1663, 2397, 2664, 2666; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 380, 385; NY JUR 2d, Disclosure §§ 76, 77, 92, 94–98, 100.

SIEGEL, NY PRAC §§ 346, 348.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Corporate Officers, Directors, and Agents; Evidence Rules; Fines, Penalties, and Forfeitures; Privileged and Confidential Information; Subpoena Duces Tecum.

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POINTS OF COUNSEL

Martin & Obermaier, LLC, New York City (*John S. Martin* of counsel), *Bryan Cave LLP* (*James R. DeVita*, *Austin V. Campriello* and *Kathryn E. Gebert* of counsel), and *Stephen E. Kaufman, P.C.* (*Stephen E. Kaufman* and *Andrew Kaufman* of

counsel), for L. Dennis Kozlowski, appellant. I. Mr. Kozlowski was severely prejudiced by the trial court's error in allowing David Boies to testify about his extensive investigation and give his opinion on defendants' guilt. (*People v Graydon*, 43 AD2d 842; *People v Ciaccio*, 47 NY2d 431; *People v Garcia*, 76 AD2d 867; *People v Bailey*, 58 NY2d 272; *People v Huston*, 88 NY2d 400; *People v Hackett*, 228 AD2d 377; *People v Placencia*, 157 Misc 2d 397.) II. The prosecution should not have been permitted to use against Mr. Kozlowski David Boies's testimony about a statement allegedly made by Mr. Swartz that incriminated Mr. Kozlowski. III. The admission of the testimony of David Boies was highly prejudicial and was not harmless error. (*People v Hardy*, 4 NY3d 192; *People v Creasy*, 236 NY 205; *People v Crimmins*, 36 NY2d 230.) IV. The trial court erroneously quashed a defense subpoena on David Boies's law firm. V. Mr. Kozlowski's conviction of stealing a \$20 million finder's fee paid to Frank Walsh and a charity should be reversed because Walsh, an investment banker, earned the fee and because Mr. Kozlowski and Walsh believed that Mr. Kozlowski had the authority to pay it. (*People v Ricchiuti*, 93 AD2d 842; *People v Chesler*, 50 NY2d 203; *People v Cahill*, 2 NY3d 14; *People v Bleakley*, 69 NY2d 490; *Cohen v Hallmark Cards*, 45 NY2d 493.) VI. The Court should reverse the convictions for stealing bonuses to which Mr. Kozlowski was legally entitled. (*Weiner v Diebold Group*, 173 AD2d 166; *Bayer v Oxford Univ. Press, Inc.*, 270 App Div 586, 296 NY 780; *People v Foster*, 73 NY2d 596; *People v Zinke*, 76 NY2d 8; *People v Ricchiuti*, 93 AD2d 842; *People v Chesler*, 50 NY2d 203.) VII. The Court should reverse the artwork convictions because Mr. Kozlowski had the authority to purchase art for Tyco and there was no evidence he did not intend to repay the money he borrowed to purchase art for himself. (*People v Jennings*, 69 NY2d 103.) VIII. Mr. Kozlowski joins in the arguments by appellant Mark Swartz. (*Apprendi v New Jersey*, 530 US 466.)

Stillman, Friedman & Shechtman, P.C., New York City (Nathaniel Z. Marmur and Michael J. Grudberg of counsel), for Mark H. Swartz, appellant. I. The trial court erroneously quashed defendants' subpoena on Boies, Schiller & Flexner LLP. (*People v Gissendanner*, 48 NY2d 543; *People v Ricketts*, 38 AD3d 291, 8 NY3d 989; *People v Le Grand*, 67 AD2d 446; *Pennsylvania v Ritchie*, 480 US 39; *People v Rutter*, 202 AD2d 123; *United States v Nixon*, 418 US 683; *Chemical Bank v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 70 AD2d 837; *Goldberg v Hirschberg*, 10 Misc 3d 292; *DeGourney v Mulzac*, 287 AD2d 680;

People v Perez, 171 Misc 2d 75.) II. The bonus larceny convictions were based on insufficient evidence. (*People v Harper*, 75 NY2d 313; *People v Zinke*, 76 NY2d 8; *People v Green*, 5 NY3d 538; *People v Hunter*, 34 NY2d 432; *People v Kirk*, 62 Misc 2d 1078; *Guggenheimer v Bernstein Litowitz Berger & Grossmann LLP*, 11 Misc 3d 926; *Mirchel v RMJ Sec. Corp.*, 205 AD2d 388; *Weiner v Diebold Group*, 173 AD2d 166; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29.) III. Mark Swartz joins in the brief of his codefendant. (*Boyle v Petrie Stores Corp.*, 136 Misc 2d 380.) IV. The fine violated Mr. Swartz's Sixth Amendment jury trial rights. (*Apprendi v New Jersey*, 530 US 466; *Ring v Arizona*, 536 US 584; *United States v Booker*, 543 US 220; *People v Rivera*, 5 NY3d 61; *County of Nassau v Canavan*, 1 NY3d 134; *Matter of Dumbarton Oaks Rest. & Bar v New York State Liq. Auth.*, 58 NY2d 89; *United States v Rattoballi*, 452 F3d 127; *United States v LaGrou Distrib. Sys., Inc.*, 466 F3d 585; *United States v Meyer*, 427 F3d 558; *United States v Reifler*, 446 F3d 65.)

Robert M. Morgenthau, District Attorney, New York City (Amyjane Rettew and Gina Mignola of counsel), for respondent. I. The evidence fully supports the verdict convicting defendants of stealing the three multi-million-dollar and midyear "bonuses" they took in 1999 and 2000 without the board of directors' knowledge or approval. (*Nickerson v Volt Delta Resources*, 211 AD2d 512; *People v Hines*, 97 NY2d 56; *People v Gray*, 86 NY2d 10; *People v Finger*, 95 NY2d 894; *People v Santos*, 86 NY2d 869; *People v Foster*, 73 NY2d 596; *Jackson v Virginia*, 443 US 307; *People v Danielson*, 9 NY3d 342; *People v Contes*, 60 NY2d 620; *People v Green*, 5 NY3d 538.) II. The jury had ample reason to find defendants guilty of stealing \$12 million worth of restricted stock in the summer of 2001. (*People v Danielson*, 9 NY3d 342.) III. The jury properly convicted defendants of stealing millions of dollars L. Dennis Kozlowski used to buy himself artwork. (*People v Kramer*, 92 NY2d 529; *People v Vandermuelen*, 42 AD3d 667; *People v Norman*, 85 NY2d 609; *People v Jennings*, 69 NY2d 103; *People v Yannett*, 49 NY2d 296; *People v Robinson*, 284 NY 75; *People v Meadows*, 199 NY 1; *Boyle v Petrie Stores Corp.*, 136 Misc 2d 380; *People v Ponnappula*, 266 AD2d 32.) IV. The jury properly found defendants guilty of stealing the \$20 million they secretly paid to Frank Walsh. (*Cohen v Hallmark Cards*, 45 NY2d 493; *People v Chesler*, 50 NY2d 203; *People v Ricchiuti*, 93 AD2d 842.) V. The trial judge properly found that Mark Swartz's explanation of his 1999 bonus was a statement in furtherance of defendants' ongoing conspiracy to

retain possession of the money they had stolen. (*People v Ryan*, 263 NY 298; *Lutwak v United States*, 344 US 604; *People v Van Vleet*, 256 AD2d 1181; *United States v Knuckles*, 581 F2d 305; *United States v Warren*, 578 F2d 1058; *People v Storrs*, 207 NY 147; *United States v Grubb*, 527 F2d 1107; *United States v Papi*, 560 F2d 827; *United States v Thompson*, 476 F2d 1196; *People v Crimmins*, 36 NY2d 230.) VI. The judge's rulings about the Boies firm's work were sound and the jury heard no improper opinion evidence. (*People v Hackett*, 228 AD2d 377; *People v Ciaccio*, 47 NY2d 431; *People v Graydon*, 43 AD2d 842; *People v Smith*, 2 NY3d 8; *People v Cronin*, 60 NY2d 430; *People v Huston*, 88 NY2d 400; *People v Bailey*, 58 NY2d 272.) VII. Defendants cannot obtain a new trial on the basis of documents they conceded were privileged, especially without any showing that the documents contain any information that could have affected the jury's assessment of any material issue. (*People v Le Grand*, 67 AD2d 446; *People v Yavru-Sakuk*, 4 NY3d 814; *People v Rutter*, 202 AD2d 123; *Pennsylvania v Ritchie*, 480 US 39; *Davis v Alaska*, 415 US 308; *People v Washington*, 86 NY2d 189; *People v Kelly*, 88 NY2d 248; *People v Howard*, 87 NY2d 940; *People v Flynn*, 79 NY2d 879; *People v Gissendanner*, 48 NY2d 543.) VIII. The jury's verdict and defendants' admissions to the sentencing judge authorized the court to impose a fine of up to twice the amount of defendants' gain, and the fines actually imposed were far less than that authorized amount. (*Apprendi v New Jersey*, 530 US 466; *Ring v Arizona*, 536 US 584; *Cunningham v California*, 549 US 270; *United States v Booker*, 543 US 220; *Blakely v Washington*, 542 US 296; *People v Rivera*, 5 NY3d 61; *People v Horne*, 97 NY2d 404; *United States v Reifler*, 446 F3d 65; *United States v Dupes*, 513 F3d 338; *United States v Oladimeji*, 463 F3d 152.)

Cohen & Gressler LLP, New York City (Mark S. Cohen and Marc E. Isserles of counsel), for New York Council of Defense Lawyers, amicus curiae. I. A threat to individual liberties arises from "deputized" corporate investigations. (*United States v Stein*, 440 F Supp 2d 315.) II. Defendants may lose access to critical impeachment evidence in the possession of "deputized" corporate counsel. (*People v Rosario*, 9 NY2d 286; *People v Kelly*, 88 NY2d 248; *United States v Rodriguez*, 496 F3d 221; *In re Qwest Communications Intl. Inc.*, 450 F3d 1179; *In re Columbia/HCA Healthcare Corp. Billing Practices Litig.*, 293 F3d 289; *Permian Corp. v United States*, 665 F2d 1214; *United States v Massachusetts Inst. of Tech.*, 129 F3d 681; *In re John Doe Corp.*, 675 F2d 482; *Westinghouse Elec. Corp. v Republic of Philip-*

pinos, 951 F2d 1414; *In re Martin Marietta Corp.*, 856 F2d 619.) III. The trial court's order quashing defendants' subpoena for potentially critical impeachment evidence undermines core Sixth Amendment protections. (*People v Gissendanner*, 48 NY2d 543; *Weatherford v Bursey*, 429 US 545; *Washington v Texas*, 388 US 14; *In re Martin Marietta Corp.*, 856 F2d 619; *Chambers v Mississippi*, 410 US 284; *People v Chipp*, 75 NY2d 327; *United States v Hubbell*, 530 US 27; *Davis v Alaska*, 415 US 308; *People v Thurston*, 209 AD2d 976; *Pennsylvania v Ritchie*, 480 US 39.) IV. The work product doctrine should not bar defendants' right to obtain core impeachment evidence. (*Washington v Texas*, 388 US 14; *Hickman v Taylor*, 329 US 495; *United States v Nixon*, 418 US 683; *Cheney v United States Dist. Court for D. C.*, 542 US 367; *In re Grand Jury Subpoena Dated July 6, 2005*, 510 F3d 180; *United States v Libby*, 432 F Supp 2d 26; *United States v Skeddle*, 989 F Supp 912; *People v Grady*, 130 Misc 2d 677; *DeGourney v Mulzac*, 287 AD2d 680.)

Skadden, Arps, Slate, Meagher & Flom, LLP, New York City (*Preeta D. Bansal* of counsel), *Susan Hackett, General Counsel*, *Association of Corporate Counsel*, Washington, DC, *Skadden, Arps, Slate, Meagher & Flom, LLP* (*Clifford M. Sloan, Amy R. Sabrin and Darren M. Welch*, of the District of Columbia bar, admitted pro hac vice, of counsel), and *Stephen Gillers*, New York City, for *Association of Corporate Counsel*, amicus curiae. I. The attorney-client privilege and work product doctrine serve important policy functions. (*Upjohn Co. v United States*, 449 US 383; *Hickman v Taylor*, 329 US 495; *United States v Nobles*, 422 US 225; *Corcoran v Peat, Marwick, Mitchell & Co.*, 151 AD2d 443; *Delta Fin. Corp. v Morrison*, 15 Misc 3d 308; *People v Torres*, 251 AD2d 519; *People v Marin*, 86 AD2d 40; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *People v Mitchell*, 58 NY2d 368; *Rossi v Blue Cross & Blue Shield of Greater N.Y.*, 73 NY2d 588.) II. The new legal standard proposed by opposing amicus is contrary to law and unwarranted in this case. (*People v Radtke*, 153 Misc 2d 554; *People v Marin*, 86 AD2d 40; *Warren v New York City Tr. Auth.*, 34 AD2d 749; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Parisi v Leppard*, 172 Misc 2d 951; *Ancona v Net Realty Holding Trust Co.*, 153 Misc 2d 946; *Upjohn Co. v United States*, 449 US 383; *Hickman v Taylor*, 329 US 495; *People v Rosario*, 9 NY2d 286; *People v Flynn*, 79 NY2d 879.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal relating to the convictions of two former execu-

tives for crimes associated with corporate wrongdoing, we are asked to determine whether the admission of an attorney's testimony concerning certain facts related to a corporate internal investigation improperly conveyed to the jury an opinion regarding defendants' guilt. We conclude that this testimony—and the prosecutor's summation comments thereon—did not convey such an opinion. Second, we hold that Supreme Court did not abuse its discretion in quashing defendants' subpoena duces tecum, which sought the factual portions of certain interview notes and a memorandum prepared during the course of the internal investigation. Although defendants satisfied the minimal threshold showing necessary for enforcement, the materials defendants requested are shielded from production by the qualified privilege covering trial preparation materials (*see* CPLR 3101 [d] [2]). Finally, we do not reach the question whether the fines imposed under Penal Law § 80.00 violated *Apprendi v New Jersey* (530 US 466 [2000]), because we conclude that if error exists it was harmless.

I.

Defendants are the former chief executive officer (L. Dennis Kozlowski) and chief financial officer (Mark H. Swartz) of Tyco International Ltd., a publicly-held diversified manufacturing company. After a nearly six-month trial, a jury convicted defendants of 12 counts of first degree grand larceny (Penal Law § 155.42), eight counts of first degree falsifying business records (Penal Law § 175.10), one count of fourth degree conspiracy (Penal Law § 105.10 [1]) and one Martin Act count of securities fraud (General Business Law § 352-c [5]).¹ The principal charges concerned defendants' theft of four multi-million-dollar "bonuses" between 1999 and 2001.

Defendants' convictions arose primarily out of their abuse of two Tyco loan programs: the Key Employee Loan Program (KELP) and the relocation loan program. KELP allowed defendants and other executives to borrow funds to pay taxes due upon the vesting of restricted stock. The relocation loan program covered certain moving expenses incurred when the company transferred an employee to a new geographic area. Defendants did not, however, utilize these programs for permissible purposes. Instead, they incurred debts under them that were used to finance opulent lifestyles.

1. This was a second trial. The initial trial ended in a mistrial during jury deliberations.

For example, in 2001, Swartz assisted Kozlowski in charging \$12.75 million in purported KELP loans to cover the cost of nine paintings, including a Monet and a Renoir. These paintings were hung in a \$30 million Fifth Avenue apartment that Kozlowski shared with his wife.² Kozlowski also purchased a \$7.2 million Park Avenue residence, which he later relinquished as part of a divorce settlement, by charging it to his Tyco relocation account as a no-interest loan. Additionally, Kozlowski utilized KELP loans to finance millions of dollars in jewelry purchases and an \$8.3 million stake in a New Jersey sports partnership. Swartz similarly had millions of dollars in company loans transferred to his personal accounts to cover the costs of personal expenditures and investments. By August 1999, Kozlowski and Swartz owed Tyco \$52.7 million and \$17.4 million, respectively. To satisfy these obligations, defendants turned to Tyco's "Incentive Compensation Plan."

Under the Plan, defendants were entitled to a base salary regardless of the company's performance, but had the potential to earn "performance awards," or bonuses, by exceeding certain performance goals or "hurdles." These awards took the form of cash payments and the vesting of restricted stock. In general, Swartz's potential awards were half those of Kozlowski's.

Performance goals were established by Tyco's four-member Compensation Committee, under authority delegated to it by the corporation's board of directors. The Incentive Compensation Plan specifically provided that prior to any payments the Committee would certify that the performance goals had been satisfied. Such certification generally took place at the close of Tyco's fiscal year, which ended on September 30, when audited financial results were available.³ The Committee would review information packages prepared by employees working under the direction of defendants. In addition, Swartz would appear before the Committee to explain whether that year's performance goals had been satisfied. Following its review, the Committee—acting as a whole—would determine whether any bonuses were due defendants and record its awards in the official minutes.

These procedures were not employed with respect to the four so-called "mega-larceny" bonus counts, under which the jury

2. Kozlowski characterized this residence, which was only used by him and his wife, as a "hotel room," albeit one that was "larger and more elaborate."

3. A 1997 amendment to the Incentive Compensation Plan permitted the Committee to authorize payments prior to the close of the fiscal year. No documentation or third-party testimony was presented that this authority was exercised with respect to any of the alleged larcenies.

convicted Kozlowski and Swartz of stealing \$77 million and \$44.5 million, respectively. Two of these bonuses—those paid in August 1999 and August 2000—took the form of reductions of debts that defendants owed Tyco. During the relevant time periods, defendants' loan balances were considerable. Even after they ordered bonus payments of \$25 million (Kozlowski) and \$12.5 million (Swartz) in August 1999, Kozlowski still owed \$27.7 million and Swartz owed \$4.9 million. Those amounts did not decrease over time. Indeed, in August 2000, when defendants facilitated a second round of "loan-forgiveness" bonuses, including a "tax gross-up," that were valued at \$32.97 million for Kozlowski and \$16.6 million for Swartz, their respective loan obligations stood at \$25 million and \$8.3 million.

The remaining bonus counts concerned payments made in November 2000 and August 2001. In the first, defendants ordered cash payments for themselves, totaling \$17.2 million (Kozlowski) and \$8.65 million (Swartz). In connection with the November 2000 bonus, defendants also received \$8.2 million (Kozlowski) and \$4.1 million (Swartz) worth of stock. The August 2001 bonus took the form of a vesting of restricted stock. After the bonus transaction was processed, defendants sold that stock for \$8.2 million (Kozlowski) and \$4.1 million (Swartz).

Common to all four of these bonuses was the absence of documentation in the information packets provided to the Compensation Committee or that Committee's minutes authorizing the bonuses that defendants received. In addition, every member of the Compensation Committee who was available to testify at trial denied approving these purported bonuses.

Defendants asserted, however, that the bonuses had been properly authorized. As to the first three bonuses, their claim rested primarily upon Kozlowski's communications with the late Philip Hampton, the former chair of the Compensation Committee.⁴ Kozlowski testified that he had explained the justification and mechanics of these bonuses to Hampton. According to Kozlowski, Hampton's response was that he was "fine with" the bonuses and that he would "handle" the authorization of the payments by "dealing with the issues" raised by the Compensation Committee and by requesting additional materials from Kozlowski and his subordinates, if necessary.

4. At the time that he allegedly authorized the first bonus payment in August 1999, Hampton was suffering from cancer and receiving radiation treatment and chemotherapy.

Defendants proffered no documentation from Hampton or Kozlowski reflecting these assurances. Swartz did assert that he made certain presentations to the Compensation Committee and the board, but also offered no evidence to support that claim.

Hampton died prior to defendants' receipt of the August 2001 bonus. Kozlowski claims that this bonus was approved by Stephen Foss, then-chair of the Compensation Committee. After Kozlowski told him that the bonus had been approved, Swartz ordered that it be processed. Under the heading "FY 2001 Projected Incentive Plan Projected Payments," the Compensation Committee's October 2001 minutes contain a resolution stating that the restricted stock bonus "vested on June 20, 2001." But defendants had already sold this stock to a Tyco subsidiary in August 2001, long before the Compensation Committee passed this retroactive vesting resolution. There is no documentation or third-party testimony demonstrating that the Committee was aware at the time of passage that such sales had occurred.

In April 2002, Tyco retained the law firm of Boies, Schiller & Flexner LLP (Boies Schiller) to conduct an internal investigation into Kozlowski's payment of a \$20 million investment banking fee to a member of the company's board, Frank Walsh.⁵ The May 17, 2002 retention letter memorializing this engagement states that it encompassed "any litigation arising from or relating to" a review and analysis of transactions between the company and "certain of its directors and officers." Such litigation, including a federal multi-district litigation in a federal court in New Hampshire, did in fact eventually commence.

At least a dozen Boies Schiller attorneys assisted in the investigation, which was headed by the firm's founding partner, David Boies. Although initially confined to the circumstances surrounding the Walsh payment, the Boies Schiller investigation expanded in June 2002, when Kozlowski resigned as CEO after being indicted for his failure to pay sales taxes owed on

5. Without informing Tyco's board of directors or its shareholders, defendants arranged this payment to Walsh in exchange for his efforts in facilitating Tyco's merger with the CIT Group in March 2001. Because they believed that payments of less than \$15 million did not need to be disclosed in Tyco's proxy statement, defendants had \$10 million paid to Walsh and another \$10 million paid to a charity of his choosing. Walsh pleaded guilty to a securities fraud charge for concealing the payment and was sentenced to a fine and a conditional discharge. Defendants were convicted of first degree grand larceny for having approved and facilitated the Walsh payment.

artwork that he purchased. On June 3, 2002, the Boies Schiller attorneys began looking into whether Tyco's directors and officers had engaged in improper transactions with company funds. In connection with this assignment, they interviewed Tyco's employees and directors. These interviews occurred following Kozlowski's departure from Tyco.

On July 17, 2002, Boies interviewed Swartz regarding the August 1999 bonus. Boies met with Swartz alone and he did not take notes or otherwise memorialize the interview. That same day, Boies met with director, and then-interim CEO, John Fort to report the results of his interview with Swartz; Swartz was present for a portion of this meeting. Subsequently, Boies also met with Tyco's new CEO, and Fort's replacement, Ed Breen, regarding Swartz's continued employment and recommended that Tyco's board of directors accept a severance package that would pay Swartz \$50 million.

As part of their investigation, Boies Schiller attorneys also interviewed Tyco's directors. As evidenced by Boies Schiller's retention letter, the purpose of these interviews was to assist the company in preparing for potential litigation, particularly shareholder derivative suits. Thus, on June 6, 2002, a Boies Schiller attorney interviewed director Fort. As summarized in privilege logs that Tyco filed in connection with the federal multi-district litigation in New Hampshire, this interview concerned the "Walsh payments." On August 12 and 13, 2002, Boies Schiller attorneys interviewed all the surviving members of the Compensation Committee—directors Stephen Foss, Peter Slusser and James Pasman. The federal privilege logs summarize these interviews as concerning the KELP and relocation loan programs, "Compensation Events" and "Use of Company Assets."⁶

On August 1, an agreement was reached whereby Swartz would resign from Tyco's board of directors immediately, but continue as CFO until a successor was found. The August 1 agreement also limited Swartz's severance, in the event that he was terminated as CFO prior to being convicted of a felony, to \$50 million. This reduced Tyco's severance obligation, as set forth in an earlier retention agreement, by \$100 million. Around the time that the August 1 agreement was entered, Tyco publicly announced that Swartz would leave the company when a new CFO was hired.

6. The relevant interviews were memorialized in handwritten notes and a draft memorandum.

On August 14, Tyco's board voted to approve the August 1 agreement. After that date, however, Swartz continued to serve as Tyco's CFO until he was terminated on September 11, 2002, one day before he was indicted. In that capacity, he participated in investor conference calls as one of Tyco's spokespersons and signed Tyco's 10-Q as its representative under the federal Sarbanes-Oxley Act.

The subpoena duces tecum in question, joined in by Kozlowski, was served by Swartz's counsel on October 13, 2004—approximately six months after the initial mistrial in this case—in preparation for defendants' second trial. It sought from Boies Schiller “[a]ll memoranda and notes of [the firm’s] personnel (or forensic accountants working on their behalf) relating to interviews of employees, directors or auditors of Tyco.” The relevant interviews covered a range of 19 topics, including executive compensation, the \$20 million payment to Frank Walsh and the payment or recording in Tyco's books and records of the bonuses.

On behalf of Tyco, Boies Schiller moved to quash the subpoena, arguing that it was overbroad and impermissibly sought disclosure of materials shielded by the attorney-client and work product privileges.⁷ In response, defendants' counsel submitted an affirmation, which attached as an exhibit the federal privilege logs. Defendants placed a check mark next to 72 privilege log entries, which, they said, identified the documents responsive to their subpoena.⁸

Defendants acknowledged that there was “little dispute” that the requested materials were either attorney-client or work product privileged, but claimed that Tyco waived both privileges. According to defendants, waiver had occurred through: (1) Tyco's production to the District Attorney of a large volume of privileged documents, predating the Boies Schiller investigation, (2) testimony by Tyco's in-house and corporate counsel and employees regarding privileged conversations prior to the investigation, (3) the introduction in evidence of privileged communications and work product prepared by Tyco's corporate

7. Before filing their reply brief on the motion to quash the subpoena, Tyco did provide 4 of the 72 requested documents to defendants. These were notes and memoranda describing interviews with Swartz, “redacted to exclude attorney's opinions or mental impressions,” that Boies Schiller delivered to both defendants and the People.

8. Only three of those entries—those that described the June 6, August 12, and August 13 director-witness interviews—are relevant here.

and litigation attorneys before the investigation, (4) Boies's direct testimony at the first trial, and (5) Tyco's having "cooperat[ed] fully" with the District Attorney's investigation by responding to document requests and questions from that office and preparing employees for interviews with assistant district attorneys.

To justify their demand for the director-witness interview notes, defendants argued that such documents "go directly to the issues underlying this indictment" and "likely reflect a better recollection by those witnesses of details and facts th[a]n the witnesses had at trial, or will have upon a retrial almost three years after the interviews." In sum, defendants argued that they were entitled to these privileged documents because they are "relevant and material" and because they "more than adequately identified those specific memoranda and notes th[at] . . . [are] responsive to the subpoena."

In response, Tyco argued that defendants had not shown a substantial need for the Boies Schiller work product and an inability to duplicate the same because "Swartz and his lawyers have access to the same witnesses Tyco does. He can interview them, he has already cross-examined them, and he can investigate them as well as Boies Schiller did." In addition, Tyco contended that disclosure of attorney-client and work product privileged documents produced "in the ordinary course of Tyco's business" or for "litigations no longer at issue," which the company referred to as "historical privileged communications," could not effect a subject matter waiver over privileged materials prepared in the course of a subsequent internal investigation.

Finally, Tyco asserted that defendants' "suppos[ition]" that it had "presented to the District Attorney the substance of *everything* contained in its attorney's memoranda and notes [was] . . . incorrect" (emphasis added). The company argued that it could respond to subpoenas and document requests, answer questions and otherwise cooperate with the District Attorney's Office without "presenting . . . Boies Schiller's analysis and strategy from its investigation." To bolster this point, Tyco cited the statement of an assistant district attorney during the related criminal trial of Tyco's former general counsel, Mark Belnick: "I cannot agree with the representation that the Boies firm have been reporting the results of their interviews to the District Attorney's Office." At oral argument, Tyco's counsel stated that, with respect to "Boies Schiller's communications

with the District Attorney's Office . . . there w[as]n't disclosure of Boies Schiller work product" and that "Tyco did not disclose the results of its investigation to the District Attorney's Office."

On January 14, 2005, Supreme Court quashed the subpoena. The court ruled that no waiver of the work product privilege had occurred because "there is no showing that Tyco has disclosed work product created by Boies, Schiller to the District Attorney." In addition, the court concluded that defendants were not entitled to the director-witness materials under CPLR 3101 (d) (2) because, although they pointed to the importance in this case of the witnesses' knowledge and the passage of time since the interviews were undertaken, defendants had not explained why they could not have sought to conduct their own interviews of these witnesses at an earlier time.

At trial, defendants did not move to reopen the subpoena question following the director-witnesses' testimony. In the course of Boies's direct, however, they objected that they had not seen a privileged memorandum that described how Boies Schiller had discovered the illicit August 1999 bonus. The prosecutor responded by reiterating Tyco's claim that no materials prepared by Boies Schiller during the investigation had been shared with the People, stating: "I want to emphasize that neither the defense nor the prosecution has access to . . . materials that have been held to be privileged." Defense counsel further explained, however, that "[i]t seems like that memorandum is the sole source of information that [Boies is] relying on for his testimony, and I think it would be inappropriate for us not to have access to [it]." The court agreed and ordered production of the memorandum.

Defendants were convicted and Supreme Court imposed concurrent prison terms of $8\frac{1}{3}$ to 25 years on each of the four bonus counts. In addition, the court ordered joint restitution of \$134,351,397 and that fines of \$35 million and \$70 million be imposed on Swartz and Kozlowski, respectively. With one exception—where the amount was \$3 million less—each of these fines corresponded to the amounts set forth in the indictment and amounts that defendants affirmatively testified to having taken. Responding to defendants' constitutional argument against imposition of the fines, Supreme Court held that "Apprendi applies to the terms of prison sentences as opposed to fines."

The Appellate Division affirmed in all respects (*see* 47 AD3d 111 [2007]). The court concluded that Boies's testimony and the

prosecutor's summation comments thereon did not convey Boies's personal opinion as to defendants' guilt of the crimes charged; that defendants' subpoena was properly quashed because "the documents sought were not material and exculpatory" (*id.* at 120); and that there was no *Apprendi* violation because defendants had "not dispute[d] the amount of their gains from the acts in question" (*id.*).

A Judge of this Court granted defendants leave to appeal (10 NY3d 767, 772 [2008]) and we now affirm.

II.

[1] Defendants first argue that they are entitled to a new trial because of the prejudicial effect of Boies's testimony and the People's summation comments on that testimony. Because the testimony and summation complained of merely set forth facts enabling the jury to draw an inference of defendants' guilt, we disagree.

[2] As an initial matter, the trial court did not abuse its discretion in permitting the People to elicit Boies's background, a general overview of internal investigations and the scope of the Tyco investigation. Defendants assert that testimony regarding Boies's credentials—including his having lectured on the topic of internal investigations—and his statement that law firms conducting internal investigations often work both with forensic accountants specially trained to ferret out "wrongdoing" and with law enforcement authorities, impermissibly cast a "patina of officialdom" over Boies Schiller's work on behalf of Tyco. This background testimony was not unduly prejudicial. Indeed, such testimony is generally admissible, especially where, as here, it provides helpful context for the jury about complex subject matter, such as an internal investigation. In addition, such evidence was also admissible to allow the jury to evaluate defendants' contention that Boies's representation of Tyco in ancillary civil litigation gave him a motive to slant his testimony in favor of the People (*see* 2-401 Weinstein's Federal Evidence § 401.04 [4] [a]). We turn then to the substance of Boies's direct testimony at the second trial.

[1] The purpose of Boies's testimony was twofold. First, the People sought to use Boies's account of his conversation with Swartz to undercut defendants' claim that they had taken the August 1999 bonuses in good faith (*see* Penal Law § 155.15). Second, in response to Swartz's eliciting testimony tending to show that the board continued to employ him as CFO after it

was aware of the August 1999 bonuses, Boies's testimony as to his conversations with Tyco's board and senior management were used to establish how the company reacted once it became aware of evidence suggesting that Swartz may have violated company compensation procedures.

Boies's testimony on these subjects was limited to a firsthand factual account. Thus, Boies told the jury that, on July 17, 2002, he explained to Swartz that his firm's investigation had uncovered "no documentation," either from Tyco's board or the Compensation Committee, authorizing the August 1999 multi-million-dollar bonuses. Boies then explained that Swartz's response to this factual assertion was that a "journal entry" authorizing those payments was "a mistake." As Boies further testified, never in the course of the July 17 interview did Swartz refer to the KELP loan reduction authorized by this journal entry as "a bonus." Rather, said Boies, Swartz stated that he instructed Tyco's director of financial operations, Mark Foley, to process the loan reductions because Kozlowski had told him to do it.⁹ In addition, Boies testified that Swartz agreed that he would make good on his mistake by repaying the money with interest.

Similarly, Boies's testimony concerning his interactions with Tyco's senior management and its board did not stray from its factual focus. Thus, Boies explained that during the July 17 interview he told Swartz that in response to questioning from Boies Schiller attorneys, Foley stated that Swartz directed him to process the August 1999 bonuses. Boies then recounted for the jury another July 17 meeting with director Fort during which Swartz confirmed his undertaking to repay the August 1999 bonus with interest; Boies then told the jury that Swartz did eventually discharge that obligation. Further, Boies explained that he provided new CEO Breen with certain "facts" and "information" concerning Swartz, which carried an "inherent" recommendation regarding Swartz's continued employment. Indeed, said Boies, Breen decided to terminate Swartz "as soon as a replacement could be identified" and to reduce his role as CFO in the interim. Boies then discussed the mechanics of the August 1 agreement that facilitated the removal of Swartz

9. The Appellate Division held that it was error to admit this statement against Kozlowski under the theory that it was made in furtherance of a conspiracy. The court concluded, however, that the error was harmless because Kozlowski testified that he instructed Swartz to make the entry after the late Philip Hampton approved the bonus (*see* 47 AD3d at 119). We agree.

as a director and limited his CFO-related severance to \$50 million. He told the jury that he had advised the board to accept the agreement at the August 14 board meeting and that the board had, in fact, voted in favor of approval.

It is fundamental that facts, such as those Boies provided regarding his firm's investigation of the 1999 bonus, his conversations with Swartz and Fort, his recommendation to Breen and his advice to the board "are the appropriate subject of evidence" (see *People v Creasy*, 236 NY 205, 222 [1923]). At bottom, defendants' complaint is that Boies was permitted to rebut their testimony and theory of the case with certain facts that may have led the jury to convict. This, however, is not prohibited. The line is crossed not when a witness relates facts that may be prejudicial, but when he or she conveys—either directly or indirectly—a personal opinion regarding the defendant's criminal guilt (see *id.* at 209, 221-222; *People v Ciaccio*, 47 NY2d 431, 439 [1979]).

Contrary to defendants' assertion, this case is markedly different from *Ciaccio*. There, a police detective was called to corroborate a victim's account of a hijacking by answering a hypothetical question that assumed the facts set forth in the victim's testimony. We held that the detective's testimony that the victim's account "was not unusual" constituted improper opinion evidence because it usurped the function of the jury to test the credibility of the victim-witness (see *Ciaccio*, 47 NY2d at 439). What was impermissible about the testimony was that its sole purpose was to bolster the testimony of another witness by explaining that his version of the events was more "believable" (*id.*). It was thus the equivalent of an opinion that the defendant was guilty, which is impermissible.

Here, in contrast, Boies testified to facts. This testimony was in no sense hypothetical. Indeed, defendants were provided with Boies Schiller's work product memorandum that led to the discovery of the 1999 bonuses. Boies's testimony, when considered as a whole, relayed to the jury his preliminary findings during the investigation and the reaction of Tyco's directors and senior management when they were confronted with those findings. For example, Boies's discovery that "[t]here was no documentation" of the bonuses does not constitute a legal conclusion of guilt—the jury still had to determine defendants' intent at the time of the taking. Similarly, testimony that Breen resolved on the basis of Boies's "inherent" recommendation to remove Swartz immediately or that the board took Boies's

advice and agreed to pay Swartz \$50 million in severance to facilitate such removal are not conclusions but facts, which—at most—support an inference of criminal guilt. Kozlowski and Swartz vigorously argued that they were entitled to the bonuses and never contested receiving them. And Swartz maintained that the board stood behind him even after it learned of his alleged improprieties. The People were entitled to present evidence casting doubt on those theories. In sum, Boies recounted facts, which the jurors, in light of their experience, could use to test the merits of the charges levied against defendants (*see Creasy*, 236 NY at 222; *Ciaccio*, 47 NY2d at 439).

[3] We likewise reject defendants’ assertions that the prosecutor’s summation of Boies’s testimony was prejudicial. Defendants place particular emphasis on the prosecutor’s statement—made in response to defendants’ assertion that Tyco’s directors had branded them as scapegoats to avoid their own civil and criminal liability—that the board only became aware of defendants’ illicit activities “after the forensic auditors had come in and combed through all the tens of millions of pages that are the books and records of Tyco [a]nd after the Boies lawyers ha[d] done their investigation.” But this, as well as the prosecutor’s references to Boies’s factual testimony, did not convey a “personal belief or opinion” regarding the trial evidence or defendants’ guilt (*see People v Bailey*, 58 NY2d 272, 277 [1983]). Instead it quite properly “concentrated, in argument, on proved facts and circumstances and the inferences to be drawn therefrom” (*id.*).

III.

The second issue we address is whether Supreme Court abused its discretion in quashing defendants’ subpoena. Our standard for enforcing a third-party subpoena duces tecum was set forth nearly 30 years ago in *People v Gissendanner* (48 NY2d 543, 550 [1979]). Under it, defendants must proffer a good faith factual predicate sufficient for a court to draw an inference that specifically identified materials are reasonably likely to contain information that has the potential to be both relevant and exculpatory.

Here, the People’s case centers on the charge that defendants’ bonuses were not approved by the Compensation Committee or the board of directors. Defendants maintain that the bonuses were properly approved through the efforts of either the late Philip Hampton or Stephen Foss. Among other things, their

subpoena seeks specifically identified statements made by the director-witnesses regarding key issues in this case, including, most notably, compensation events. Although defendants have certainly not made a robust showing under *Gissendanner*, we disagree with the People's contention that defendants were simply fishing for "general credibility" evidence (see *Gissendanner*, 48 NY2d at 548). Indeed, the trial court implicitly recognized as much by confining its written opinion on the subpoena application to questions concerning the applicability of the work product and trial preparation privileges (cf. *United States v Nixon*, 418 US 683, 703 [1974] [after determining that subpoena is otherwise enforceable court must evaluate whether documents sought are shielded by privilege]).

The proper purpose of a subpoena duces tecum, of course, is to compel the production of specific documents that are relevant and material to facts at issue in a pending judicial proceeding. The relevant and material facts in a criminal trial are those bearing upon "the unreliability of either the criminal charge or of a witness upon whose testimony it depends" (see *Gissendanner*, 48 NY2d at 550). Here, defendants seek to challenge the director-witnesses' testimony that they did not approve the four charged bonuses, evidence that bears directly on the question whether defendants took those bonuses under a good faith claim of right (see Penal Law § 155.15 [1]).

In meeting the burden for production, defendants need not—and indeed could not—show that director-witness statements are "actually" relevant and exculpatory (see *Gissendanner*, 48 NY2d at 550).¹⁰ *Gissendanner* does mandate, however, that they point to specific facts demonstrating a reasonable likelihood that such material may be disclosed and that they are not engaged in a fishing expedition. In applying this standard, we must give due regard to the accused's right to a fair trial (*Ritchie*, 480 US at 56; *Nixon*, 418 US at 711).¹¹

Here, defendants were not engaged in "general discovery" regarding the director-witness statements. Instead, they identi-

10. The People do not urge us to adopt the Appellate Division's framing of the *Gissendanner* test, which would require defendants to show that "the documents sought were . . . material and exculpatory" (see 47 AD3d at 120 [emphasis added]). In any event, we reject this standard, as it is "impossible" to satisfy absent review of the relevant documents (see *Pennsylvania v Ritchie*, 480 US 39, 57 [1987]).

11. As the People point out, defendants did not raise a constitutional argument in support of their subpoena below, and we therefore address none.

fied the specific director-witness interview notes and memorandum that they sought by referring Supreme Court to Tyco's privilege log. Defendants pointed to undisputed facts, arguing that after the directors were made aware of at least some of defendants' questionable activities through the Boies Schiller investigation, they continued to permit Swartz to exercise substantial authority as the CFO of Tyco until September 11, 2002—the day before he was indicted—and voted to pay him \$50 million in severance just one day after the last of the relevant director interviews. On the basis of these facts, defendants asserted that the “directors witnesses . . . did not believe Mr. Swartz had engaged in any wrongful conduct and only ‘changed their tune’ after the District Attorney obtained an indictment.” The People argue that this factual showing was insufficient.

[4] We conclude that defendants met their burden under *Gis-sendanner*: they identified specific director-witness statements and proffered facts that permitted an inference that those statements were reasonably likely to contain material that could contradict the statements of key witnesses for the People. In this case, however, there is a claim that the relevant documents are privileged and thus not subject to production. Additional analysis is therefore required.

IV.

[5] As frequently occurs today, the director-witness statements were obtained in the course of corporate internal investigation, which inevitably implicates the attorney-client and work product privileges (*see* McNeil and Brian, Internal Corporate Investigations, at 18-19 [3d ed] [hereinafter McNeil and Brian]). In that connection, private law firms conducting internal investigations may consult with law enforcement authorities to advance their corporate client's interest in avoiding potentially serious criminal sanctions (*see e.g. United States v Stein*, 541 F3d 130, 137, 142 [2d Cir 2008]). While collaboration between prosecutors and attorney investigators may provide a public benefit through the more efficient detection and punishment of corporate wrongdoing, it may come at the expense of the proper safeguarding of the rights of individual corporate employees (*see Stein*, 541 F3d at 156-157). Courts must be sensitive to these competing considerations and endeavor to strike an appropriate balance between the rights and interests of law enforcement, corporations and their employees, and the accused. We cannot say that the balance struck by the

trial court here amounts to an abuse of discretion as a matter of law.

This case highlights a tension in CPLR 3101's treatment of attorney work product (which is not obtainable) and trial preparation materials (which may be disclosed "only upon a showing that the party seeking discovery has a substantial need of the materials in the preparation of the case and is unable without undue hardship to obtain the substantial equivalent of the materials by other means" [CPLR 3101 (c), (d) (2)]). The separation of work product and trial preparation materials was apparently an attempt to shield materials protected by the attorney-client privilege from disclosure (*see* 11th Ann Rep of NY Jud Conf, at 152 [1966] ["Whoever drafted the 'work product' provision . . . was doubtless thinking of such things as private consultations between attorney and client and memoranda of them"]; Connors, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C3101:27, at 53-54; Siegel, NY Prac § 347 [4th ed]). Thus, when particular work product is generated for litigation, courts have tended to classify it as trial preparation material, unless it contains otherwise privileged communications (*see* Connors, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C3101:27, at 53-54).

Here, the director-witness interview notes and memorandum were prepared to assist Tyco's preparation for civil litigations that eventually commenced. In its motion to quash the subpoena, Tyco asserted that these materials were shielded by the attorney-client privilege, stating at oral argument that "[t]hose are interviews with Tyco employees . . . [who] are communicating with counsel for a . . . legal purpose." Assuming that these communications were confidential, this assertion may well be correct.¹² In this Court, however, neither the People nor defendants urge us to hold that the director-witness interview materials are attorney-client privileged. Instead, defendants assert that those statements are merely conditionally-privileged trial preparation materials, while the People contend that they are absolutely privileged work product.

12. A trial court may conduct an in camera review of subpoenaed materials to assess an opposing party's privilege claims (*see Matter of Subpoena Duces Tecum to Jane Doe*, 99 NY2d 434, 442 [2003]; accord *Matter of Nassau County Grand Jury Subpoena Duces Tecum Dated June 24, 2003*, 4 NY3d 665, 679 n 11 [2005]). Here, however, no such review was necessary because defendants failed to meet the statutory criteria necessary to obtain production of the director-witness statements (*see* CPLR 3101 [d] [2]).

On this record, we conclude that defendants have the better argument. This is because they have limited their request to “the facts reported to Boies Schiller in th[e] interviews.” Indeed, defendants expressly agreed to permit Supreme Court to redact any material that would reveal opinion work product, or that portion of the interview notes reflecting the Boies Schiller attorneys’ “mental impressions, opinions, or legal theories” (*see* McNeil and Brian at 47). As we explained (*see People v Consolazio*, 40 NY2d 446, 453 [1976]), the mere fact that a narrative witness statement is transcribed by an attorney is not sufficient to render the statement “work product” (*see also* Siegel, NY Prac § 347 [“The fact that a lawyer has taken a statement from a witness . . . does not transmute the statement into a ‘work product’: a lay person could have taken it”]; Weinstein-Korn-Miller, NY Civ Prac ¶ 3101.47 [“Where . . . statements of witnesses could not reveal legal analysis or strategy by their disclosure, and legal training might have been used but was not required for their creation, the courts should consider them trial preparations covered by CPLR 3101 (d)”]).

Although we agree with defendants that the director-witness statements are trial preparation materials and not absolutely privileged, enforcement of their subpoena was directed to the trial court’s discretion (*see Gissendanner*, 48 NY2d at 550; *cf. People v Hodge*, 53 NY2d 313, 319 [1981]). In making its discretionary determination that defendants did not establish an inability to “obtain the substantial equivalent” of the facts contained in the director-witness interview notes without “undue hardship” (*see* CPLR 3101 [d] [2]; Weinstein-Korn-Miller, NY Civ Prac ¶ 3101.55), Supreme Court relied upon defendants’ failure to “explain[] why the defense could not have sought to conduct its own interviews of these witnesses at an earlier time.” We cannot say that this conclusion represents an abuse of the trial court’s discretion. Defendants made no effort to show any “undue hardship” that would have prevented them from securing their own “substantial[ly] equivalent” interviews with the director-witnesses (*see* CPLR 3101 [d] [2]). As Tyco pointed out in its reply submission on its motion to quash, defendants “have access to the same witnesses as Tyco does.”

Even on appeal, defendants have not proffered an explanation for their failure to seek interviews with the directors at an earlier time or stated whether they ever made an independent attempt to secure the relevant statements, a requirement for

obtaining an attorney's trial preparation materials (*see Hickman v Taylor*, 329 US 495, 513 [1947] [production of attorney's account of witness statements is justified only in "rare" cases and is not appropriate when potential for "direct interviews with the witnesses themselves" is possible]; *see also In re Grand Jury Proceedings*, 219 F3d 175, 192 [2d Cir 2000] [remanding for a determination whether government had "exhausted other means" for obtaining work product and instructing prosecutor to "explain to the district court why it cannot obtain the information it seeks through other witnesses"]; *United States v Reyes*, 239 FRD 591, 602 n 2 [ND Cal 2006]; *People v Grady*, 130 Misc 2d 677, 679 [Sup Ct, Bronx County 1985]).

Since they failed to make the requisite showing of "undue hardship" under CPLR 3101 (d) (2), defendants would only have been entitled to production of the director-witness statements if Tyco had waived the qualified privilege covering those documents (*see United States v Nobles*, 422 US 225, 239 [1975]). The qualified privilege governing trial preparation materials "is waived upon disclosure to a third party where there is a likelihood that the material will be revealed to an adversary, under conditions that are inconsistent with a desire to maintain confidentiality" (*see Bluebird Partners v First Fid. Bank, N.J.*, 248 AD2d 219, 225 [1st Dept 1998]). In response to defendants' specific waiver allegations, Tyco bore the burden of establishing that no such waiver had occurred (*see Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371, 377 [1991]).

The determination of whether and to what extent waiver has occurred is inherently factual and turns on case-by-case considerations of "fairness" (*see John Doe Co. v United States*, 350 F3d 299, 302 [2d Cir 2003], quoting *In re Grand Jury Proceedings*, 219 F3d at 183). Although review of this discretionary determination is "highly deferential" (*John Doe Co.*, 350 F3d at 306), the U.S. Supreme Court has indicated that a trial court properly exercises its discretion when it orders disclosure of "the portion" of trial preparation materials that is directly relevant to another, previously-disclosed, portion (*see Nobles*, 422 US at 240). Thus, a party is essentially precluded from using its trial preparation materials as both a sword and a shield. In evaluating defendants' waiver claims, we must confine our analysis to those arguments they asserted before Supreme Court (*see People v Nieves*, 2 NY3d 310, 315 [2004]). We affirm Supreme Court's discretionary determination that Tyco met its burden of establishing the absence of waiver in this case.

Defendants first argue that waiver occurred when Tyco produced attorney-client and work product privileged materials to the People in response to their grand jury subpoena. Tyco had initially declined to tender these documents because it was conducting a privilege review. Two days before the grand jury's term was to expire, however, Tyco honored the District Attorney's demand that it produce the documents to prevent unnecessary delay in the grand jury's deliberations.¹³ Defendants do not dispute that the documents produced in response to the subpoena do not refer to the Boies Schiller investigation. As Supreme Court found, those documents—which were prepared by Tyco's in-house and outside counsel—“were not created for the current criminal case and civil proceedings, but for past litigation, government filings and other corporate actions.” In addition, it can hardly be said that Tyco was wielding the qualified privilege covering these documents as both a sword and a shield since it provided them to both the People and defendants before trial.

Defendants cite no authority for the proposition that disclosure of historical privileged documents waives the privilege covering trial preparation materials created in a subsequent internal investigation. We decline to so hold. We reach this conclusion because a trial court has discretion to limit waiver of the qualified privilege covering trial preparation to matters actually referenced in disclosed materials. Here, the materials produced to the grand jury did not—and could not—refer to director-witness interview notes and a memorandum produced in a subsequent internal investigation.¹⁴

Next, defendants argue that waiver occurred through Tyco's cooperation with the District Attorney's investigation. It is be-

13. In its letter accompanying production of these documents, Tyco referenced an agreement with the District Attorney, whereby “production . . . would not constitute a waiver of any privilege.” In light of our conclusion that these documents were unrelated to the director-witness statements, we need not pass upon the effect—if any—of Tyco's “reservation” of its privilege.

14. Defendants also premise their documentary waiver claims on the introduction in evidence of KELP summaries prepared by UKW, a forensic accounting firm that assisted Boies Schiller in its investigation, and the minutes of the board's August 14 meeting, which described Boies's recommendation that Tyco fire Swartz and summarized Tyco's counsel's discussion with an assistant district attorney regarding Swartz's potential indictment. Having failed to present these claims to Supreme Court, defendants may not raise them here. But, we note that like their other examples of purported waiver, neither of these documents references or relies upon the key director-witness interview statements.

yond dispute that, had Boies Schiller provided the prosecution with the “written or recorded statements” of the director-witnesses, or had the People taken such notes themselves, defendants would be entitled to those statements pursuant to the rule of *People v Rosario* (9 NY2d 286 [1961]; CPL 240.45). But defendants ask us to hold that the statements should have been provided here based upon their conjecture that Boies Schiller attorneys shared the substance of the director-witness statements with the People. Two assistant district attorneys and Tyco’s counsel, all of whom owed duties of candor to the tribunal, denied that this occurred (*see* Code of Professional Responsibility DR 7-102 [a] [5] [22 NYCRR 1200.33 (a) (5)]). Certainly, it is possible for attorneys to assist prosecutors without divulging their trial preparation materials. Absent some other proof, we conclude that Supreme Court properly held that defendants had not established any disclosure of Boies Schiller work product to the People.

Defendants also urge that “testimonial” waivers occurred at the first trial when Tyco’s lawyers and employees testified regarding privileged communications that occurred prior to the internal investigation. Here, again, however, there is no showing that the jury in the first trial needed the director-witness interview notes and memorandum to properly assess the evidence.

But defendants say that “Tyco’s [testimonial] waivers were not limited to events that occurred prior to the investigation.” They assert that a Tyco employee’s testimony that Boies asked her about the 1999 bonus and instructed her to “really think about it because he was talking about fraud” and that another Boies Schiller attorney asked her for a relocation loan plan document constituted waiver. This testimony certainly references communications with the Boies Schiller attorneys, but it does not impermissibly use the relevant director-witness statements as both a sword and shield (*see In re Grand Jury Proceedings*, 219 F3d at 192). Indeed, the referenced testimony does not even mention those statements.

According to defendants, the “most damaging” testimonial waiver occurred during the testimony of David Boies. But they point to no impermissible use of the director-witness statements. Boies’s direct testimony was limited to facts concerning the interview with Foley, his July 17, 2002 conversations with Swartz and Fort, his recommendation to Breen regarding Swartz’s continued employment and his recommendation that

the board approve Swartz's severance package. At no point in his testimony did Boies seek to bolster his statements with the aid of the relevant director-witness statements. Moreover, in response to defendants' specific request, Supreme Court ordered disclosure of a privileged memorandum upon which a portion of Boies's testimony was based. At that time, defendants did not request any disclosure of the director-witness statements.¹⁵ Thus, under these circumstances, there was no waiver and no abuse of discretion (*compare Nobles*, 422 US at 239-240 [work product privilege over portions of investigator's report waived where "respondent sought to adduce the testimony of the investigator" regarding witness statements contained in the report]).

V.

Finally, defendants challenge the constitutionality of the fines that were imposed upon them. They contend that these fines contravened their right to a jury trial, as guaranteed by the Sixth Amendment to the US Constitution.

Penal Law § 80.00 (1) provides that

“[a] sentence to pay a fine for a felony shall be a sentence to pay an amount, fixed by the court, not exceeding the higher of

“a. five thousand dollars; or

“b. double the amount of the defendant's gain from the commission of the crime.”

When a fine is imposed on the basis of “gain,” “*the court* shall make a finding” as to that amount (*see* Penal Law § 80.00 [3] [emphasis added]). This finding may be based upon facts brought out at trial, a plea allocution, sentencing, or a fact-finding hearing conducted pursuant to CPL 400.30 (*see* Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law art 80 [“Fines”], at 6). Here, Supreme Court did not hold a CPL 400.30 hearing and instead appears to have based defendants' fines upon facts brought out at trial or conceded in “sentencing letters” that defendants filed with the court.

15. During Boies's testimony, defendants also specifically requested handwritten notes taken by director Slusser at board meetings conducted on July 2 and 17, and August 14, 2002. In response to a claim of privilege, Supreme Court reviewed these materials in camera and declined to order their production.

In *Apprendi v New Jersey* (530 US 466 [2000]) and its progeny, the U.S. Supreme Court has set forth three rules delineating when judicial fact-finding in sentencing is impermissible under the Sixth Amendment. First, the Court has directed that “[o]ther than the fact of a prior conviction, any fact that increases the penalty for a crime beyond the prescribed statutory maximum must be submitted to a jury, and proved beyond a reasonable doubt” (*id.* at 490). The Court has subsequently referred to this as a “bright-line rule” (*see Blakely v Washington*, 542 US 296, 308 [2004]). Second, the “‘statutory maximum’ for *Apprendi* purposes is the maximum sentence a judge may impose *solely on the basis of the facts reflected in the jury verdict or admitted by the defendant*” (*Blakely*, 542 US at 303; *accord United States v Booker*, 543 US 220, 235 [2005] [*Apprendi* violation occurs when judges “f(i)nd facts beyond those found by the jury”]). Third, *Apprendi* violations are subject to harmless-error review (*see Washington v Recuenco*, 548 US 212, 220-221 [2006]). We apply the third of these rules to the present case.

[6] Assuming without deciding that an *Apprendi* violation occurred here, we nonetheless affirm because error, if any, was harmless. Our precedents establish that “all the elements of an indicted crime *which are not conceded by defendant* or defendant’s counsel must be charged [to the jury]” (*see People v Flynn*, 79 NY2d 879, 881 [1992] [emphasis added]; *see also People v Walker*, 198 NY 329, 335 [1910] [“(W)hen a fact, even of great importance, is admitted by the defendant or his counsel in open court during the trial, that fact is established by the admission, and no evidence need be given in relation to it”]). Here, defendants’ trial testimony—with respect to each of those counts upon which the trial court imposed fines—established gains that corresponded to or exceeded the fine amounts. Thus, the *Apprendi* violation here, if any, was harmless (*see Recuenco*, 548 US at 215).

We have considered defendants’ remaining arguments and conclude that they are either unpreserved or without merit. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In each case: Order affirmed.

[898 NE2d 539, 869 NYS2d 356]

PAUL BROTHERS, Appellant, v NEW YORK STATE ELECTRIC AND
GAS CORPORATION, Respondent, et al., Defendants.

Argued September 4, 2008; decided October 21, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 28, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Onondaga County (Anthony J. Paris, J.), which, insofar as appealed from, had (a) denied the motion of defendant New York State Electric and Gas Corporation for summary judgment dismissing the complaint against it, and (b) granted in part, and denied in part, plaintiff's motion for partial summary judgment against defendant New York State Electric and Gas Corporation to the extent of declaring that defendant New York State Electric and Gas Corporation was negligent as a matter of law, but that questions of fact remained concerning whether its negligence was a proximate cause of plaintiff's accident; (2) denied plaintiff's motion in its entirety; (3) granted the motion by defendant New York State Electric and Gas Corporation; and (4) dismissed the complaint as against defendant New York State Electric and Gas Corporation.

Brothers v New York State Elec. & Gas Corp., 43 AD3d 1309, affirmed.

HEADNOTE

Employment Relationships — Respondeat Superior — Vicarious Liability — Independent Contractor

Plaintiff, an employee of an independent contractor hired by defendant utility to clear trees and shrubbery alongside a state highway who was injured when he was struck by a truck driven by a coworker, may not hold defendant vicariously liable for his employer's alleged negligence. Although the highway work permit obtained by defendant required it to comply with federal and state worker safety regulations, a contractual obligation does not necessarily constitute a nondelegable duty in tort. The determination of whether a duty is nondelegable turns on policy considerations, and here several policy considerations militated against imposing vicarious liability on defendant for the independent contractor's negligence. Expanding vicarious liability to cover highway work permits obtained by utilities would make defendant potentially liable to a large class of plaintiffs, thus extending its duty beyond any reasonable limit. The fact that an injured employee's recovery from an independent contractor that contracted with a utility is limited by workers' compensation is not sufficient justification to impose vicarious liability on a utility that does

not supervise or control the injury-causing work. Moreover, the Highway Law requires utilities to obtain permits, and they do not have the ability to bargain for terms and conditions. Defendant did not have a choice in whether or not to assume a duty to comply with the safety regulations recited in the permit, as it could not shirk maintenance work in state highway rights-of-way.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Independent Contractors §§ 27, 28, 43, 44.
NY JUR 2d, Agency and Independent Contractors §§ 402, 438; NY JUR 2d, Energy § 347; NY JUR 2d, Highways, Streets, and Bridges § 95.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:255.
PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Highways and Streets; Independent Contractors; Utilities; Vicarious Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: vicarious /2 liability & independent /2 contractor
/p utility

POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* and *Daniel R. Santola* of counsel), for appellant. I. New York State Electric and Gas Corporation (NYSEG) can be held vicariously liable for any negligence by Tamarack Forestry Service, Inc. that caused plaintiff's injuries, even if Tamarack is an independent contractor, if, as plaintiff contends, NYSEG assumed a contractual duty to comply with the pertinent federal and state work site safety regulations for the benefit of plaintiff by reason of the highway work permit issued to it, which required compliance with those regulations. (*Rosenberg v Equitable Life Assur. Socy. of U.S.*, 79 NY2d 663; *Gravelle v Norman*, 75 NY2d 779; *Feliberty v Damon*, 72 NY2d 112; *Kleeman v Rheingold*, 81 NY2d 270; *Joyce v Manhattan Coll.*, 1 AD3d 202; *Backiel v Citibank*, 299 AD2d 504; *Flaherty v Fox House Condominium*, 299 AD2d 448; *Davidson v Madison Corp.*, 257 NY 120; *May v 11½ E. 49th St. Co., Inc.*, 269 App Div 180, 296 NY 599; *Contemporary Mission, Inc. v Famous Music Corp.*, 557 F2d 918.) II. New York State Electric and Gas Corporation contractually assumed a duty to plaintiff

to comply with the pertinent federal and state worker safety regulations specified in the highway work permit applied for and issued to it by the State Department of Transportation. (*White v Westage Dev. Group*, 191 AD2d 687, 74 NY2d 609; *Nal-lan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Wolf v City of New York*, 39 NY2d 568; *Cassell v Babcock & Wilcox Co.*, 186 AD2d 1000; *Kaplan v Dart Towing*, 159 AD2d 610; *Florence v Gold-berg*, 44 NY2d 189; *City of New York v Kalikow Realty Co.*, 71 NY2d 957; *Burke v City of New York*, 2 NY2d 90; *People v Wong*, 182 AD2d 98; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584, 1042.) III. New York State Electric and Gas Corporation's (NYSEG) nondelegable duty that it owed plaintiff was breached as a matter of law by Tamarack Forestry Service, Inc. as the proof of its failure to comply with 29 CFR 1910.269 (p) (1) (ii) and 12 NYCRR 23-9.7 (d) is undisputed and NYSEG introduced no proof that such failures were in the circumstances excusable or otherwise rea-sonable. (*Wolf v City of New York*, 39 NY2d 568; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Copp v City of Elmira*, 31 AD3d 899; *Rodriguez v City of New York*, 232 AD2d 621; *Sacchetti v Vasile Constr. Corp.*, 254 AD2d 777.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick* and *Harris J. Zakarin* of counsel), and *Pennock, Breedlove & Noll* for re-spondent. I. New York State Electric and Gas Corporation (NY-SEG) is not responsible for the negligent acts of Tamarack For-estry Service, Inc., its independent contractor, and did not assume any specific nondelegable contractual duty for which vicarious liability would attach. Therefore, the complaint against NYSEG was properly dismissed. (*Feliberty v Damon*, 72 NY2d 112; *Mondello v New York Blood Ctr.—Greater N.Y. Blood Pro-gram*, 80 NY2d 219; *Kleeman v Rheingold*, 81 NY2d 270; *Chai-nani v Board of Educ. of City of N.Y.*, 87 NY2d 370; *Rosenberg v Equitable Life Assur. Socy. of U.S.*, 79 NY2d 663; *Whitaker v Norman*, 75 NY2d 779; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053; *Comes v New York State Elec. & Gas Corp.*, 82 NY2d 876; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Lom-bardi v Stout*, 80 NY2d 290.) II. Plaintiff's employer, not New York State Electric and Gas Corporation, was responsible to comply with safety regulations. In any event, the regulations cited by plaintiff were not breached. (*Fitzgerald v New York City School Constr. Auth.*, 18 AD3d 807, 8 NY3d 801; *Scott v American Museum of Natural History*, 3 AD3d 442; *Pelleschi v City of Rochester*, 198 AD2d 762; *Khan v Bangla Motor & Body Shop, Inc.*, 27 AD3d 526.)

Hiscock & Barclay, LLP, Buffalo (*Darryl J. Colosi* of counsel), for Niagara Mohawk Power Corporation, amicus curiae. The memorandum and order appealed from should be affirmed to avoid substantial negative impacts to the gas and electric utility industry and its customers throughout the state. (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Matter of Fosmire v Nico-leau*, 75 NY2d 218; *Abraham v New York Tel. Co.*, 85 Misc 2d 677; *Porr v NYNEX Corp.*, 230 AD2d 564; *Lauer v New York Tel. Co.*, 231 AD2d 126; *Lee v Consolidated Edison Co. of N.Y.*, 98 Misc 2d 304; *Western Union Telegraph Co. v Esteve Brothers & Co.*, 256 US 566.)

OPINION OF THE COURT

READ, J.

In October 1999, defendant New York State Electric and Gas Corporation (NYSEG) applied to the New York State Department of Transportation (DOT) for a form highway work permit authorizing it to undertake “Electric and Gas Maintenance Work in Highway Region #8 (Columbia, Dutchess, Orange, Putnam, Westchester, Rockland, and Ulster Counties)” between January 1 and December 31, 2000. NYSEG and other utilities providing electric and gas service to customers in upstate New York ask DOT each year for these generic work permits, which allow them to construct, maintain and repair electric and gas network and support facilities in state highway rights-of-way. The permits are transferable and assignable with DOT’s consent, and utilities routinely farm out their highway-related projects to independent contractors.

DOT granted NYSEG the permit, which set forth a detailed outline entitled “METHOD OF PERFORMING WORK WITHIN THE STATE HIGHWAY RIGHT OF WAY.” Under the heading “GENERAL CONDITIONS” and the subheading “REQUIREMENTS,” the permit stated that

“[a]ll the current requirements of the following shall apply: Occupational Safety and Health Administration, Federal Department of Labor, Safety and Health Standards (29 CFR 1926/1910); Part 131, Title 17, New York Code of Rules and Regulations, Accommodation of Utilities Within State Right-of-Way; New York State Department of Labor, Industrial Code Rule 23, Protection of Persons Employed in Construction and Demolition Work; Industrial Code Rule 53, Construction, Excavation and Demo-

lition Operations At or Near Underground Facilities.”

Two of the enumerated regulatory regimes are pertinent to this appeal: the federal Occupational Safety and Health Administration (OSHA) program and State Industrial Code (12 NYCRR) part 23. Specifically, OSHA regulations prescribe that

“[n]o vehicular equipment having an obstructed view to the rear may be operated on off-highway jobsites where any employee is exposed to the hazards created by the moving vehicle, unless:

“(A) The vehicle has a reverse signal alarm audible above the surrounding noise level, or

“(B) The vehicle is backed up only when a designated employee signals that it is safe to do so” (29 CFR 1910.269 [p] [1] [ii]).

Relatedly, part 23 specifies that “[t]rucks shall not be backed or dumped in places where persons are working nor backed into hazardous locations unless guided by a person so stationed that he sees the truck drivers and the spaces in back of the vehicles” (12 NYCRR 23-9.7 [d]).

Later in 1999, following a bidding process, NYSEG contracted with Tamarack Forestry Service, Inc. to clear trees and shrubbery in NYSEG’s “Brewster Division,” which includes parts of Westchester, Putnam and Dutchess Counties. The contract required Tamarack to take safety precautions “[f]or the protection of workers and the public.” Tamarack employed about a dozen workers on this project, including plaintiff Paul Brothers.

On the morning of August 29, 2000, Tamarack’s crew blocked off a portion of the eastbound lane of a two-lane state highway in the Town of Kent, Putnam County, with traffic cones. This created a work zone for trimming brush and trees encroaching upon the telephone poles lining that stretch of road. Flagpersons directed traffic around the work zone, where several Tamarack trucks were parked and a wood chipper had been set up. The cleared vegetation was to be fed into the chipper, which would then “shoot” fragmented debris directly into the bed of a waiting truck for disposal off-site.

Plaintiff, a member of the ground crew, was cutting trees and limbs in the work zone with a chainsaw. Around 9:00 A.M., his chainsaw came apart, and so he walked toward one of the parked trucks to retrieve tools to fix it. Meanwhile, a foreman had

directed one of plaintiff's coworkers to back up a bucket truck and position it behind the chipper, which was located at the opposite end of the work zone.

The coworker's view out the bucket truck's rear window was completely obstructed by a dump box mounted on the chassis. The truck was not equipped with a backup alarm, nor did a spotter or flagperson assist the coworker. As he began to back up to get around the parked trucks blocking his access to the chipper, the coworker saw plaintiff walking in the work zone. While maneuvering the truck, however, he lost sight of plaintiff, struck him from behind and ran over him. Plaintiff sustained severe injuries, including an above-the-knee amputation of one leg.

The Town of Kent Police Department cited the coworker for violating Vehicle and Traffic Law § 1211, "Limitations on backing." OSHA also investigated the accident and imposed a \$3,500 penalty on Tamarack for violating 29 CFR 1910.269 (p) (1) (ii).

In April 2001, plaintiff commenced an action against NYSEG for negligence and violation of Labor Law § 241, seeking to recover damages for his injuries. In August 2003, he also sued Verizon Communications, Inc., NYNEX, Inc., Verizon of New York, Inc. and Bell Atlantic Mobile, Inc., and Aerial Lift Repair, Inc., the latter for failure to install a backup alarm on the truck involved in the accident. These three actions were eventually consolidated. Plaintiff subsequently discontinued his claims against the telephone companies and withdrew his statutory claim against NYSEG. In addition, Aerial Lift successfully moved for summary judgment dismissing plaintiff's complaint against it.

On March 21, 2006, NYSEG moved for summary judgment dismissing the complaint, while plaintiff moved the next day for partial summary judgment against NYSEG on the issue of liability. In support of his motion, plaintiff contended that NYSEG was vicariously liable for the negligence of both his employer, Tamarack, and his coworker.

Supreme Court denied NYSEG's motion for summary judgment and granted plaintiff's motion for partial summary judgment to the extent of ruling that NYSEG breached a nondelegable duty owed him.¹ The court determined that the DOT highway work permit imposed a nondelegable duty on NYSEG

1. In tort law, the term "nondelegable duty," although widely used, is somewhat misleading. The question is not so much whether a defendant can

(n. cont'd)

to comply with federal and state safety regulations, and that this duty was “breached as concerns OSHA regulation 29 CFR 1910.269 (P) (1) (ii) and Industrial Code 12 NYCRR 23-9.7 (d),” but that NYSEG had adduced sufficient evidence to raise a question of fact as to proximate cause for the jury to decide.

On NYSEG’s appeal, the Appellate Division reversed on the law, denied plaintiff’s motion for partial summary judgment, granted NYSEG’s motion for summary judgment and dismissed the complaint. In the Appellate Division, plaintiff advanced the argument that NYSEG was liable for Tamarack’s negligence because the work permit was “a contract pursuant to which [NYSEG] voluntarily assumed a nondelegable duty to comply with various federal and state worker safety regulations” (*Brothers v New York State Elec. & Gas Corp.*, 43 AD3d 1309, 1310 [4th Dept 2007]). The Appellate Division disagreed, concluding that the work permit in this case was merely a license, not a contract, and that NYSEG “did not assume any duty running to plaintiff under the work permit” (*id.*). We subsequently granted plaintiff’s motion for leave to appeal (9 NY3d 818 [2008]), and now affirm.

The issue in this case is whether plaintiff may hold NYSEG vicariously liable for Tamarack’s alleged negligence. Typically, “liability in negligence is . . . premised on a defendant’s own fault, not the wrongdoing of another person” (*Feliberty v Damon*, 72 NY2d 112, 117 [1988]). Under the doctrine of vicarious liability, however, liability for another person’s wrongdoing is imputed to the defendant (*id.* at 117-118). This doctrine

“rests in part on the theory that—because of an opportunity for control of the wrongdoer, or simply as a matter of public policy loss distribution—certain relationships may give rise to a duty of care, the breach of which can indeed be viewed as the defendant’s own fault” (*id.* at 118).

Generally, “a party who retains an independent contractor, as distinguished from a mere employee or servant, is not liable for the independent contractor’s negligent acts” (*Kleeman v Rheingold*, 81 NY2d 270, 273 [1993]). The primary justification for this rule is that “one who employs an independent contractor has no right to control the manner in which the work is to be

or has delegated to another party a duty owed by that defendant to a particular plaintiff, but whether the defendant owes the plaintiff a duty in the first place.

done and, thus, the risk of loss is more sensibly placed on the contractor” (*id.* at 274). This general rule, however, is subject to various exceptions, and “it has been observed that the general rule ‘is now primarily important as a preamble to the catalog of its exceptions’ ” (*id.*, quoting *Pacific Fire Ins. Co. v Kenny Boiler & Mfg. Co.*, 201 Minn 500, 503, 277 NW 226, 228 [1937]).

The exceptions have been articulated in various ways. The Restatement groups them into three broad categories:

“1. Negligence of the employer in selecting, instructing, or supervising the contractor.

“2. Non-delegable duties of the employer, arising out of some relation toward the public or the particular plaintiff [and]

“3. Work which is specially, peculiarly, or ‘inherently’ dangerous” (Restatement [Second] of Torts § 409, Comment *b*; see also *Kleeman*, 81 NY2d at 274 [citing the Restatement]; *Chainani v Board of Educ. of City of N.Y.*, 87 NY2d 370, 381 [1995] [non-delegable duty exception “may be invoked where a particular responsibility is imposed upon a principal by statute or regulation . . . or where the task at issue is inherently dangerous” (citation omitted)]).

In *Rosenberg v Equitable Life Assur. Socy. of U.S.* (79 NY2d 663, 668 [1992]), we enumerated the exceptions somewhat differently, encompassing those circumstances

“where the employer (1) is under a statutory duty to perform or control the work, (2) has assumed a specific duty by contract, (3) is under a duty to keep premises safe, or (4) has assigned work to an independent contractor which the employer knows or has reason to know involves special dangers inherent in the work or dangers which should have been anticipated by the employer.”

In later cases involving vicarious liability for the negligence of an independent contractor, however, we have spoken more generally about nondelegable duties, explaining that “no clearly defined criteria” exist (*Kleeman*, 81 NY2d at 275). Rather, “a *sui generis* inquiry” must be conducted because “the conclusion ultimately rests on policy considerations” (*id.*). As we explained in *Feliberty*,

“[a] nondelegable duty has been described as one

that the employer is not free to delegate to a contractor and ‘requires the person upon whom it is imposed to answer for it that care is exercised by anyone, even though he be an independent contractor, to whom the performance of the duty is entrusted’ (Restatement [(Second) of Torts], Introductory Note [to sections 416-429], at 394). In large part, whether a duty—or, perhaps more accurately, whether liability—is ‘nondelegable’ turns on policy considerations. A duty is nondelegable when ‘the responsibility is so important to the community that the employer should not be permitted to transfer it to another.’ (Prosser and Keeton, Torts § 71, at 512 [5th ed].)” (72 NY2d at 118-119.)

Here, plaintiff asserts that NYSEG is vicariously liable for Tamarack’s negligence because, in the work permit, NYSEG “assumed a specific duty by contract” to comply with federal and state worker safety regulations. Plaintiff essentially takes the position that a contractual obligation necessarily constitutes a nondelegable duty in tort. We do not agree. In *Feliberty*, for example, the plaintiff physician sued his malpractice insurer, alleging that the insurer was vicariously liable for the alleged negligence of the independent counsel it retained to defend the plaintiff. Although the insurer’s duty to defend was undoubtedly contractual, we ultimately refused to impose vicarious liability. We relied on several policy considerations: namely, the duty to defend an insured is by its very nature delegable, because the Judiciary Law prohibits an insurance company from practicing law; the insurer is precluded from interfering with retained counsel’s independent professional judgments; and the insured could obtain relief in a direct action against independent counsel. Moreover, “a contractual obligation, standing alone, will . . . not give rise to tort liability in favor of a third party” absent certain exceptions not applicable here (*Espinal v Melville Snow Contrs.*, 98 NY2d 136, 138 [2002]; see also *Church v Callanan Indus.*, 99 NY2d 104, 111-112 [2002]).

Further, the work permit at issue in this case is not a typical “bargained-for exchange.” Although the State charges a fee for the permit, this is nominal consideration at best. In addition, the permittee’s “breach” of the permit’s conditions does not give rise to the usual contract remedies—in fact, DOT may revoke the permit at any time (see 17 NYCRR

131.21 [c]). But whether or not the permit constitutes a contract is ultimately beside the point, and not something that we need to decide: regardless, the permit imposes certain obligations on the permittee. Its terms and conditions are not meaningless or optional; the permittee agrees to abide by them in order to obtain DOT's permission to work in the highway right-of-way. Thus, the key issue is whether NYSEG has undertaken a nondelegable duty to comply with the safety regulations enumerated in the permit for plaintiff's benefit. And to quote *Kleeman* again, "whether a particular duty is properly categorized as 'nondelegable' necessarily entails a *sui generis* inquiry," where "the conclusion ultimately rests on policy considerations" (81 NY2d at 275).

Here, as the Appellate Division noted, several policy considerations militate against imposing vicarious liability on NYSEG for Tamarack's negligence. First, expanding vicarious liability to cover these work permits would make NYSEG potentially liable to a large class of plaintiffs, thus extending its duty beyond any reasonable limit. As in this case, utilities annually obtain highway work permits covering extensive geographical areas and, for practical reasons, routinely hire independent contractors to carry out the numerous construction/maintenance tasks thereby authorized. Of course, an injured employee's recovery from one of these independent contractors is limited by workers' compensation, but this is not sufficient justification to impose vicarious liability on a utility that does not supervise or control the injury-causing work. Moreover, the Highway Law requires utilities to obtain permits, and they do not have the ability to bargain for terms and conditions.² Thus, although plaintiff presses the point that NYSEG should be held liable because it voluntarily assumed a duty to comply with the safety regulations recited in the permit, NYSEG does not really have a choice in the matter; it cannot shirk maintenance work in state highway rights-of-way.

2. Highway Law § 52 requires a person or entity to obtain "a work permit issued by the commissioner of transportation" before commencing work within a state highway right-of-way. DOT regulations specify the types of permits and agreements that may be issued to utilities (*see* 17 NYCRR 131.16). The permit obtained by NYSEG in this case was an "annual work permit," which is "available on a region-wide basis for the maintenance of a utility's facilities" and authorizes the utility to perform "pruning of trees, emergency repairs, routine maintenance and service connections" (17 NYCRR 131.16 [f]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed, with costs.

[898 NE2d 909, 869 NYS2d 866]

LINDA R. GRAEV, Respondent, v LAWRENCE GRAEV, Appellant.

LAWRENCE GRAEV, Appellant, v LINDA R. GRAEV, Respondent.

Argued September 2, 2008; decided October 21, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 27, 2007. The Appellate Division, with two Justices dissenting, (1) affirmed a judgment of the Supreme Court, New York County (Saralee Evans, J.), which had awarded plaintiff Linda R. Graev the total sum of \$250,037.83 against defendant Lawrence Graev for maintenance arrears from September 10, 2004 to May 10, 2006; (2) affirmed a judgment of that court which had awarded plaintiff's attorney the total sum of \$120,309.90 against defendant; and (3) dismissed, as subsumed in the appeals from the judgments, appeals from (a) an order of that court which had granted plaintiff's motion to enforce the parties' settlement agreement, denied defendant's motion for summary judgment terminating his maintenance obligation under that agreement, and directed defendant to resume such payments and pay arrears, (b) an order of that court which had fixed the amount of maintenance arrears, and (c) an amended order of that court which had fixed the amount of maintenance arrears and the amount of plaintiff's counsel's fee.

Graev v Graev, 46 AD3d 445, reversed.

HEADNOTE**Husband and Wife — Support — Maintenance — Termination of Support upon Cohabitation with Unrelated Adult**

Based upon her alleged cohabitation with an unrelated male, plaintiff former wife did not forfeit her right to spousal support payments under the parties' settlement agreement, which provided that such payments would terminate if she cohabited with an unrelated adult for a period of 60 consecutive days, in the absence of a definition of the term "cohabitation" in the agreement. The word "cohabitation" was ambiguous as used in the parties' agreement. Cohabitation is not necessarily determined by whether a couple shares household expenses or functions as a single economic unit. Neither the dictionary nor New York case law supplies an authoritative or "plain" meaning. Although the common element in various definitions of the word "cohabitation" is "to live together," particularly in a relationship or manner resembling or suggestive of marriage, both bring to mind a variety of physical, emotional and material factors, and might mean any number of things in a separation or settlement agreement, where unexplained in the text, depending on the par-

ties' intent. Nor does New York case law establish a distinct meaning—"changed economic circumstances"—for "cohabitation."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation § 793.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:39, 118:81.

2 LAW AND THE FAMILY NEW YORK (2d ed) § 2:34.

NY JUR 2d, Domestic Relations § 2502.

ANNOTATION REFERENCE

Divorced or separated spouse's living with member of opposite sex as affecting other spouse's obligation of alimony or support under separation agreement. 47 ALR4th 38.

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POINTS OF COUNSEL

Greenberg Traurig, LLP, New York City (*Leslie D. Corwin*, *Israel Rubin* and *Rachel Sims* of counsel), for appellant. I. The settlement agreement is a contract subject to principles of contract interpretation. (*Bloomfield v Bloomfield*, 97 NY2d 188; *Matter of Meccico v Meccico*, 76 NY2d 822; *Rainbow v Swisher*, 72 NY2d 106; *Nichols v Nichols*, 306 NY 490; *Slamow v Del Col*, 79 NY2d 1016; *Matter of Scalabrini v Scalabrini*, 242 AD2d 725; *Laba v Carey*, 29 NY2d 302; *Camaio v Farance*, 50 AD3d 471; *Greenfield v Philles Records*, 98 NY2d 562; *R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29.) II. A look at other states that have construed the term "cohabitation" is illustrative. III. By focusing on the sharing of expenses, the Appellate Division majority ignored the way in which cohabiting adults often conduct their exclusive relationships.

Myrna Felder, New York City, for respondent. I. The affirmed findings of fact, by which this Court is bound, confirm that there was no cohabitation, even using the dictionary definition of living together in a sexual relationship. (*Matter of Hofbauer*, 47 NY2d 648; *Simon v Electrospace Corp.*, 28 NY2d 136; *L. Smirlock Realty Corp. v Title Guar. Co.*, 63 NY2d 955.) II. Since there was no cohabitation under either definition used by the

Appellate Division majority or dissent, the appeal is hypothetical and moot and should not be considered. (*People ex rel. Arthur F. v Hill*, 29 NY2d 17; *Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO*, 72 NY2d 307; *Matter of Roadway Express v Commissioner of N.Y. State Dept. of Labor*, 66 NY2d 742; *Matter of Barbara C.*, 64 NY2d 866.) III. For more than a decade prior to the parties' agreement, right up to the present day, New York courts have uniformly construed the unambiguous plain meaning of cohabitation to require a shared residence, shared household expenses and functioning as an economic unit. (*Scharnweber v Scharnweber*, 105 AD2d 1080, 65 NY2d 1016; *Brown v Brown*, 122 AD2d 762; *Salas v Salas*, 128 AD2d 849; *Matter of Ciardullo v Ciardullo*, 27 AD3d 735; *Clark v Clark*, 33 AD3d 836; *Matter of Emrich v Emrich*, 173 AD2d 818; *Lefkon v Drubin*, 143 AD2d 400; *Markhoff v Markhoff*, 225 AD2d 1000; *Famoso v Famoso*, 267 AD2d 274; *People v Robinson*, 95 NY2d 179.)

Elliott Scheinberg, Staten Island, for American Academy of Matrimonial Lawyers, New York Chapter, amicus curiae. I. The “*dum casta*” clause in a settlement agreement contractually terminates spousal maintenance upon the wife’s specified cohabitation with an unrelated male. (*Heller v Pope*, 250 NY 132; *Bloomfield v Bloomfield*, 97 NY2d 188; *Matter of Greiff*, 92 NY2d 341; *Christian v Christian*, 42 NY2d 63; *Robinson v Robinson*, 134 Misc 2d 664; *Matter of Embiricos*, 184 Misc 453; *Laba v Carey*, 29 NY2d 302; *Matter of Stoeger*, 30 Misc 2d 1090; *Clark v Clark*, 33 AD3d 836; *Matter of Ciardullo v Ciardullo*, 27 AD3d 735; *Matter of Emrich v Emrich*, 173 AD2d 818; *Scharnweber v Scharnweber*, 105 AD2d 1080, 65 NY2d 1016.) II. The Appellate Division decision created an impermissible presumption in violation of the canon of contract doctrine prohibiting judicial insertions into contracts. (*Rainbow v Swisher*, 72 NY2d 106; *Matter of Boden v Boden*, 42 NY2d 210; *Matter of Meccico v Meccico*, 76 NY2d 822; *Schmelzel v Schmelzel*, 287 NY 21; *Braithwaite v Braithwaite*, 299 AD2d 383; *Matisoff v Dobi*, 90 NY2d 127; *Brady v Nally*, 151 NY 258; *Mencher v Weiss*, 306 NY 1; *Fox Film Corp. v Springer*, 273 NY 434; *Nichols v Nichols*, 306 NY 490.) III. Words in a contract are to be given their ordinary dictionary meanings. (*Mazzola v County of Suffolk*, 143 AD2d 734; 2619 *Realty v Fidelity & Guar. Ins. Co.*, 303 AD2d 299, 100 NY2d 508; *Scharnweber v Scharnweber*, 65 NY2d 1016.) IV. “Natural, ordinary, familiar meanings” of words and “apparent meaning may not be distorted,” and “reasonable implications and

expectations” and “evident intent” must be followed as written. (*Rainbow v Swisher*, 72 NY2d 106; *Matter of Boden v Boden*, 42 NY2d 210; *Matter of Meccico v Meccico*, 76 NY2d 822; *Schmelzel v Schmelzel*, 287 NY 21; *Robinson v Robinson*, 134 Misc 2d 664; *Matter of Embiricos*, 184 Misc 453; *Matter of Stoeger*, 30 Misc 2d 1090; *Kalousdian v Kalousdian*, 35 AD3d 669; *Slatt v Slatt*, 102 AD2d 475; *Blackmon v Estate of Battcock*, 78 NY2d 735.) V. Another canon of contract construction directs that strict and rigid meanings may not be given to words; the Appellate Division decision imputed a rigid meaning of “cohabitation” to counsel. (*Atwater & Co. v Panama R.R. Co.*, 246 NY 519.) VI. The Appellate Division decision applies a one-size-fits-all reasoning even in instances where fact and logic dictate otherwise; conflicts and unanswered questions persist within the Appellate Division decision. (*Famoso v Famoso*, 267 AD2d 274; *Lefkon v Drubin*, 143 AD2d 400; *Matter of Emrich v Emrich*, 173 AD2d 818.)

McCarthy Fingar LLP, White Plains (*Gail M. Boggio* of counsel), for Women’s Bar Association of the State of New York, amicus curiae. I. The term cohabitation has been uniformly construed throughout New York State. (*Scharnweber v Scharnweber*, 105 AD2d 1080, 65 NY2d 1016; *Brown v Brown*, 122 AD2d 762; *Salas v Salas*, 128 AD2d 849; *Clark v Clark*, 33 AD3d 836; *Matter of Emrich v Emrich*, 173 AD2d 818; *Matter of Ciardullo v Ciardullo*, 27 AD3d 735; *Lefkon v Drubin*, 143 AD2d 400.) II. Women who signed agreements over the course of the last 20 years are entitled to rely upon the uniform case law definition of cohabitation. (*Scharnweber v Scharnweber*, 105 AD2d 1080, 65 NY2d 1016; *People v Robinson*, 95 NY2d 179; *Famoso v Famoso*, 267 AD2d 274; *Matter of Emrich v Emrich*, 173 AD2d 818; *Lefkon v Drubin*, 143 AD2d 400; *Salas v Salas*, 128 AD2d 849.) III. The dictionary test propounded by appellant would have an immense negative effect on dependent spouses. (*Hartog v Hartog*, 85 NY2d 36.)

OPINION OF THE COURT

READ, J.

In 1995, Linda Graev and Lawrence Graev filed separate divorce actions, which were subsequently consolidated. On April 18, 1997, they entered into a settlement agreement that was incorporated, but not merged, into a judgment of divorce entered and filed in June 1997. As relevant to this appeal, the agreement required Mr. Graev to pay Mrs. Graev spousal support payments in the amount of \$10,000 per month, subject to a

specified maximum cost-of-living adjustment, until the earlier of August 10, 2009 or the occurrence of any of four “termination events”; namely, the wife’s remarriage or death, the husband’s death, or “[t]he cohabitation of the Wife with an unrelated adult for a period of sixty (60) substantially consecutive days.” The agreement did not define “cohabitation.”

On September 7, 2004, Mr. Graev advised Mrs. Graev that her cohabitation with MP, an unrelated adult male, had been “documented and photographed by professionals retained by [his] counsel.” Invoking the settlement agreement’s provision for termination in the event of cohabitation, Mr. Graev therefore ceased making spousal support payments as of September 2004.

On October 13, 2004, Mrs. Graev moved in Supreme Court by order to show cause to enforce the settlement agreement’s maintenance provisions; on October 29, 2004, Mr. Graev cross-moved for summary judgment on the ground that a termination event had occurred. Mr. Graev essentially took the position that Mrs. Graev and MP were cohabiting within the meaning of the settlement agreement because MP had stayed overnight in Mrs. Graev’s vacation home in Connecticut for at least 60 substantially consecutive days during the summer of 2004, as borne out by surveillance. Further, he contended, there was an “obvious serious relationship” between Mrs. Graev and MP, and MP was Mrs. Graev’s “lover and life partner,” as illustrated by the number of family occasions—weddings, birthdays and the like—they attended as a couple.

Mrs. Graev argued that she did not “cohabit” with MP during the summer of 2004 because their relationship had long been platonic, as proven by evidence of MP’s sexual incapacity and her diminished sexual desire caused by prescribed medication. In Mrs. Graev’s view, “use [of] the word ‘cohabitation’—rather than ‘living together’ or ‘residing’ . . . plainly mean[t] having sexual relations.” In response, Mr. Graev insisted that “cohabitation could not possibly require ‘sexual relations’ ” under the law and the plain meaning of the settlement agreement, which was intended to be less stringent than section 248 of the Domestic Relations Law.¹

In subsequent dueling submissions to the motion court, Mrs. Graev for the first time pointed to “a body of New York cases

1. This provision vests trial judges with discretion to annul support payments “upon proof that the wife is habitually living with another man *and* holding herself out as his wife” (Domestic Relations Law § 248 [emphasis added]).

where termination of maintenance was not permitted [where] there was no economic unit shown.” For his part, Mr. Graev reprised his argument that “cohabitation [was] not synonymous with, and [did] not require a showing of ‘sexual relations,’ ” but rather encompassed a “variety of factors,” none of which was dispositive.

On February 14, 2005, Supreme Court granted both parties’ motions to the extent of ordering a hearing to determine whether Mrs. Graev’s relationship with MP constituted “cohabitation” within the meaning of the settlement agreement. The motion court first acknowledged that “the parties[’] agreement relating to ‘cohabitation’ draws from, but is far more expansive than, the language found in section 248 of the Domestic Relations Law” (6 Misc 3d 1024[A], 2005 NY Slip Op 50169[U], *2). Next, the court stated that whether Mrs. Graev was having sexual intercourse with MP was “not conclusive.” (*Id.*) Rather, “sexual intimacy may be one of the elements that a court could consider.” (*Id.*)

Given the absence of a definition of “cohabitation” in the settlement agreement, Supreme Court determined that “the plain meaning of” the word should be examined, as well as various New York cases, none of which “narrowly construed ‘cohabitation’ in the manner [Mrs. Graev] suggest[ed].” (*Id.*) The motion court opined that “cohabitation consist[ed] of several elements that [Mr. Graev] must establish by a preponderance of the evidence at a hearing,” but did not identify or suggest how much weight to give any individual element (*id.* at *3). The court twice cited *Brown v Brown* (122 AD2d 762, 763, 764 [2d Dept 1986]), which held that the ex-wife was not “liv[ing] with another man” so as to forfeit her support payments under the terms of a stipulation where “the evidence did not establish that [she] and her tenant shared household expenses or a bedroom, or that they functioned as an economic unit.” The court also adverted to *Matter of Watson v Watson* (39 AD2d 660 [1st Dept 1972] [intermittent intimacy with the same male does not fulfill the requirements of Domestic Relations Law § 248]); *Olstein v Olstein* (309 AD2d 697, 698, 699 [1st Dept 2003] [ex-wife “resid(ed) . . . with a non-relative adult male . . . for a reasonably continuous period of more than six months” where she admitted to a “romantic” relationship with her male friend, and they shared meals and stayed overnight in the same house for requisite period of time]); *Famoso v Famoso* (267 AD2d 274, 274, 275 [2d Dept 1999] [ex-wife did not “resid(e) with an unre-

lated adult male . . . for a period of 120 days in any one (1) year” where “resid(e)” was defined in separation agreement as “staying overnight” because husband neither established that ex-wife’s male friend stayed overnight a sufficient number of times during surveillance period, nor, alternatively, actually resided with her in light of evidence that he maintained a separate residence)]; *Markhoff v Markhoff* (225 AD2d 1000 [3d Dept 1996] [applying Domestic Relations Law § 248]); and *Scharnweber v Scharnweber* (105 AD2d 1080 [4th Dept 1984] [concluding that ex-wife was not “living” with an unrelated male at the former marital residence where “the evidence established that they (did) not share household expenses or a bedroom and (did) not function as an economic unit”], *affd* 65 NY2d 1016, 1017 [1985] [holding that a separation agreement may condition a husband’s obligation to support ex-wife “solely on her refraining from living with another man without the necessity for the husband to also prove that she habitually holds herself out as the other man’s wife as Domestic Relations Law § 248 requires”])).

The hearing was held before another Supreme Court Justice. Contending for the first time that the word “cohabitation” was ambiguous, Mr. Graev moved in limine for permission to present extrinsic evidence of the “circumstances surrounding the [settlement] agreement” so as to explain what behavior the parties intended to cover. Mrs. Graev countered that the motion court “was able to define the term cohabitation in accordance with the plain meaning of the term as construed by the case law” cited in its decision (i.e., *Brown*, *Olstein*, *Famoso*, *Markhoff* and *Scharnweber*), thus “removing any question of ambiguity” and establishing the law of the case.

Supreme Court denied the motion on the ground that the motion court’s February 2005 decision held that the word “cohabitation” as used in the settlement agreement was not ambiguous.² By the conclusion of the ensuing trial, Mr. Graev was arguing that Mrs. Graev and MP were cohabiting within the meaning of the settlement agreement because they consistently shared a bed at her summer home in Connecticut during the summer months of 2004; their relationship was, at least at one

2. As the majority in the Appellate Division subsequently noted, however, the motion court’s ruling “did not explicitly state that the term ‘cohabitation’ was unambiguous, but instead that the term had not been construed in the narrow manner that Mrs. Graev suggested” initially; i.e., having sexual relations (*Graev v Graev*, 46 AD3d 445, 447 [1st Dept 2007]).

point, admittedly sexual³ and remained romantic and exclusive for over three years; they participated in social activities with friends and family as a couple and split costs when dating; and they performed chores and errands together. These facts were basically undisputed. For her part, Mrs. Graev contended that she and MP were *not* “cohabiting” within the meaning of the settlement agreement because the cases relied on by the motion court “define[d] cohabitation as living together[,] with the central element being the maintaining [of] one residence, sharing household expenses and functioning as an economic unit.” And in this case, it was undisputed that MP owned his own home in Connecticut, where he spent considerable time, and did not contribute to the costs of maintaining Mrs. Graev’s summer home.

In a decision and order dated March 10, 2006, Supreme Court, again relying on the motion court’s decision, opined that because “cohabitation” was not defined in the settlement agreement, she had to consider its plain meaning and those few New York cases construing similar termination clauses. She referred to Black’s Law Dictionary, which defines “cohabitation” to mean “living together, especially] as partners in life, usu[ally] with the suggestion of sexual relations” (Black’s Law Dictionary 277 [8th ed 2004]), but noted that, as the motion court had ruled, “sexual intimacy alone [was] not determinative of . . . cohabitation.” In any event, Supreme Court credited Mrs. Graev’s and MP’s testimony that their relationship ceased to be sexual long before the summer of 2004.

Citing *Markhoff* and *Matter of Emrich v Emrich* (173 AD2d 818 [2d Dept 1991]), Supreme Court concluded that New York cases “find that an essential element of cohabitation is a shared residence with shared household expenses” and that “the couple functioned as an economic unit,” features lacking in the bond between Mrs. Graev and MP, which she likened to “an adult dating relationship.” As already mentioned, *Markhoff* applied Domestic Relations Law § 248. In *Emrich*, the Appellate Division concluded that the ex-wife was not “residing on a substantially continuous basis” with another male (meaning “for a period not less than sixty [60] days”) because of “the evidence that the wife’s [male] friend maintained a separate residence and that his contributions to the wife’s household expenses were sporadic and minor” (*Emrich*, 173 AD2d at 819, 820).

3. According to Mrs. Graev and MP, they started dating in October 2002, but were sexually intimate only from January to March 2003.

On appeal, Mr. Graev repeated his plea that the word “cohabitation” is ambiguous under New York law. Mrs. Graev rejoined that New York courts have construed “cohabitation” as synonymous with “living together,” which, in turn, the courts have long held to mean sharing a residence, sharing expenses, and functioning as an economic unit. The Appellate Division affirmed, with two Justices dissenting.

The majority acknowledged that parties to a divorce can, by agreement, alter the terms that would otherwise apply under Domestic Relations Law § 248, and observed that these kinds of agreements are “contracts subject to the principles of contract construction and interpretation” (*Graev*, 46 AD3d at 450). The majority then concluded that

“[a] review of New York case law shows that in the context of these types of separation agreements, *the term cohabitation has a plain meaning which contemplates changed economic circumstances, and is not ambiguous*. . . . [I]t is . . . sensible to presume that attorneys using a term such as ‘cohabitation’ in a separation agreement are aware of the judicial decisions construing the term” (*id.* at 451 [emphasis added]).

According to the majority, New York judicial decisions had consistently interpreted “cohabitation” to mean “more than a romantic relationship or series of nights spent together” and to require “the sharing of finances” or “an economic relationship akin to a shared possessory interest in one home,” which could be “proven with evidence that two people keep their personal belongings and receive their mail at the same address” (*id.* at 452, citing *Salas v Salas*, 128 AD2d 849 [2d Dept 1987], *lv dismissed* 70 NY2d 747 [1987] [ex-wife was not “living together” with another man because they maintained separate residences, frequently slept in their separate residences, and did not share household expenses or otherwise function as an economic unit]). The majority adduced four cases to support this proposition: *Scharnweber*; *Emrich*; *Matter of Ciardullo v Ciardullo* (27 AD3d 735, 736 [2d Dept 2006] [concluding that ex-wife was not “habitually living with a man” or “establishing a residence with a man” because un rebutted evidence showed that her boyfriend “maintained a separate residence in the one-bedroom apartment he rented from (her) and the two did not share household expenses or function as an economic unit”]); and *Clark v Clark* (33 AD3d 836, 837, 838 [2d Dept

2006] [interpreting “cohabitation of the Wife with an unrelated male,” and citing *Ciardullo*, *Emrich* and *Scharnweber* for the principle that “(a)s interpreted by New York courts, the term cohabitation entails a relationship between a former wife and an unrelated male who live together in the same residence and share household expenses or function as an economic unit” (internal quotation marks omitted)]).

As for this case, the majority found that Mrs. Graev and MP spent more than 60 substantially consecutive nights together during the summer of 2004, and that “their relationship became romantic in January 2003” (*Graev*, 46 AD3d at 448). These facts were not “decisive” under New York case law, however, because MP owned his own home and there was “absolutely no evidence that the couple shared household expenses or functioned as a single economic unit” (*id.* at 453). As a result, the majority concluded that Mrs. Graev’s relationship with MP did not amount to “cohabitation.”

The dissent would have awarded Mr. Graev summary judgment terminating his obligation to make spousal support payments. Setting out various dictionary definitions for “cohabitation,” the dissent considered it “obvious” that “in the context of the agreement, cohabitation mean[t] living together in a sexual relationship for a period of 60 substantially consecutive days” (*id.* at 458), and disbelieved Mrs. Graev’s and MP’s testimony about the absence of sexual intimacy in their romantic relationship after March 2003. The dissent did not “take the position that financial interdependence [was] irrelevant,” but “merely state[d] that under the terms of this agreement, it [was] not determinative of the issue of cohabitation, as the majority holds” (*id.* at 459).

We now reverse. We do not agree that “the term cohabitation has a plain meaning which contemplates changed economic circumstances, and is not ambiguous” absent an explicit provision to the contrary in a separation agreement or stipulation (*Graev*, 46 AD3d at 451), or, put slightly differently, is necessarily determined by whether a “couple share[s] household expenses or function[s] as a single economic unit” (*id.* at 453). Rather, the word “cohabitation” is ambiguous as used in this settlement agreement: neither the dictionary nor New York case law supplies an authoritative or “plain” meaning. Similarly, courts in other states have not ascribed a uniform meaning to the word “cohabitation” as used in separation agreements (*see* Allen, Annotation, *Divorced or Separated Spouse’s Living with*

Member of Opposite Sex as Affecting Other Spouse's Obligation of Alimony or Support Under Separation Agreement, 47 ALR4th 38, §§ 6[a], 6[b]).

In addition to the definition in Black's Law Dictionary, already set out, "cohabit" is variously defined as "[t]o live together as husband and wife: often said distinctively of persons not legally married" (3 Oxford English Dictionary 448 [2d ed 1989]); "live together and have a sexual relationship without being married" (The New Oxford American Dictionary 330 [2d ed 2005]); "to live together as or as if as husband and wife" (Webster's Third New International Dictionary 440 [2002 ed]); "to live together as husband and wife, usually without legal or religious sanction," or "to live together in an intimate relationship" (Random House Webster's Unabridged Dictionary 400 [2d ed 2001]); and "to live together as or as if a married couple" (Merriam Webster's Collegiate Dictionary [10th ed 1997]). The common element in all these definitions is "to live together," particularly in a relationship or manner resembling or suggestive of marriage, and New York courts have, in fact, used the word "cohabitation" interchangeably with the phrase "living together" (see e.g. *Markhoff*, 225 AD2d at 1001; *Olstein*, 309 AD2d at 698; *Scharnweber*, 65 NY2d at 1017). Ultimately, however, "living together" as if husband and wife is no less opaque than "cohabitation": both bring to mind a variety of physical, emotional and material factors, and therefore might mean any number of things in a separation agreement, where otherwise unexplained in the text, depending on the parties' intent. For example, the parties here might reasonably have meant "cohabitation" to encompass whether Mrs. Graev engaged in sexual relations with an unrelated adult; whether she and the unrelated adult commingled their finances or—just the opposite—whether she supported the unrelated adult financially; whether she and the unrelated adult shared the same bed; or some combination of these or other factors associated with living together as if husband and wife.

Nor does New York case law establish a distinct meaning—"changed economic circumstances"—for "cohabitation." The argument that it does stems from the Appellate Division's one-paragraph, frequently cited decision in *Scharnweber*, which we affirmed. In that case, Supreme Court concluded that an unrelated male was living with Mrs. Scharnweber in the former marital residence, which entitled her ex-husband to cease support payments and required her to pay \$10,000 to discharge a

second mortgage. There are no facts recited in the Appellate Division’s decision. The record on appeal, however, discloses that Mrs. Scharnweber, who was 43 years old, was having an affair with her daughter’s former boyfriend, who was 24 years old. The boyfriend moved into a house 300 yards down the street from the former marital residence, first house-sitting for the absent owner and subsequently renting a room. He gave Mrs. Scharnweber or her teenage daughter (the cook in the family) money to purchase food, and routinely took his meals with Mrs. Scharnweber and her children at the former marital residence; he also occasionally helped her out with car payments. Both Mrs. Scharnweber and her boyfriend testified that he did not sleep overnight with her in the marital residence (he worked a night shift; she worked during the day).

The Appellate Division reversed, concluding that “the evidence established that [Mrs. Scharnweber and her boyfriend did] not share household expenses or a bedroom and [did] not function as an economic unit” despite the boyfriend’s financial contributions for food and transportation (*Scharnweber*, 105 AD2d at 1080). In our memorandum decision, we stated that the facts in the case, which we did not describe, “more nearly comport[ed] with the Appellate Division’s view” than with Supreme Court’s, and so the ex-husband “failed to establish the cohabitation required by the agreement” (*Scharnweber*, 65 NY2d at 1017). We did not equate the word “cohabitation” with “changed economic circumstances” alone. Indeed, the Appellate Division in *Scharnweber* indicated that whether Mrs. Scharnweber and her boyfriend *shared a bedroom* (unlike Mrs. Graev and MP, they did not) was also a relevant factor (*see also Brown*, 122 AD2d at 764). While more recent Appellate Division decisions—particularly *Ciardullo* and *Clark*—may be read to imply, as the Appellate Division held in this case, that there can be no “cohabitation” without changed economic circumstances, we have never taken this position and decline to do so now. In addition, as Mr. Graev points out, *Ciardullo* and *Clark* were handed down long after the drafters of the settlement agreement in this case had finished their work, and so could not have influenced it.

The ambiguity of the word “cohabitation” in this settlement agreement is illustrated by the shape-shifting “plain” meanings and positions advanced by the parties over the course of the litigation. Initially, Mr. Graev claimed that Mrs. Graev and MP were cohabiting because MP stayed overnight in Mrs. Graev’s house for 60 substantially consecutive days, and shared a close

social, familial-like relationship. Mrs. Graev objected that “cohabitation” did *not* mean “living together,” and “plainly” meant only “having sexual relations.”

After the motion court ruled that “cohabitation” encompassed many different elements, and not just sexual intimacy, Mr. Graev argued that the word “cohabitation” was, in fact, ambiguous, and therefore extrinsic evidence was required to flesh out its meaning for these parties. Mrs. Graev then tacked about, contending that “cohabitation” was, after all, synonymous with “living together,” and that the “plain meaning of [cohabitation] as construed by the case law” entailed a shared residence, shared household expenses and living together as an economic unit. Having won below on this basis, Mrs. Graev makes the same assertions here. For his part, Mr. Graev insists—in line with the dissent in the Appellate Division—that “cohabitation” plainly contemplates solely a series of 60 more-or-less consecutive nights spent together.

In short, the word “cohabitation” does not have a “plain” meaning in this settlement agreement. Without extrinsic evidence as to the parties’ intent, there is no way to assess the particular factors inherent in the dictionary meanings or case law discussions of “cohabitation” the parties may have meant to embrace or emphasize.⁴

Accordingly, the order of the Appellate Division should be reversed, without costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

GRAFFEO, J. (dissenting). The issue in this case is whether the proof of “cohabitation” submitted by Mr. Graev was adequate to discontinue his maintenance obligation under the cohabitation clause in the parties’ agreement. I conclude it was and, therefore, would hold, as matter of law, that Mr. Graev is entitled to terminate his maintenance payments. The majority,

4. The dissent complains that our resolution of this appeal “creates uncertainty, making it difficult for parties to understand their obligations and responsibilities”; and that “[t]he wiser choice is to articulate a clear rule of law” (dissenting op at 280). But the uncertainty stems principally from parties’ use of a word sufficiently ambiguous to have been interpreted so variously by the courts. Moreover, the dissent’s purportedly “clear rule of law” is hardly fair to those who may have used the word “cohabitation” in an extant separation agreement, intending the meaning ascribed to it by those Appellate Division cases requiring financial interdependence. The wisest rule, of course, is for parties in the future to make their intention clear by more careful drafting.

however, views the use of the term “cohabitation” in the divorce settlement agreement in this case as inherently ambiguous and requires a court to make findings of fact regarding what the parties intended the term to mean. Because the cohabitation provision includes a specific time period together with the maintenance termination event, I believe the clause is unambiguous and there is no need to remit this case to Supreme Court for yet another hearing.

I

After two years of contentious divorce litigation, the Graevs negotiated a settlement agreement, which was incorporated, but not merged, in the judgment of divorce entered in June 1997. According to the terms of the negotiated settlement, Lawrence Graev paid Linda Graev almost \$2.5 million and agreed to make maintenance payments of \$120,000 a year (later increased to \$132,000 a year), with monthly maintenance payments continuing until August 10, 2009—about 12 years after the parties’ divorce. These payments would terminate upon the occurrence of one of four specified events: (1) the death of Mrs. Graev; (2) the death of Mr. Graev; (3) Mrs. Graev’s remarriage; or (4) Mrs. Graev’s “cohabitation . . . with an unrelated adult for a period of sixty (60) substantially consecutive days.”¹

Linda Graev’s primary residence was an apartment on Fifth Avenue in New York City, but she also maintained a home in Connecticut that she used intermittently and for about two months every summer. Sometime after the divorce, she became acquainted with M.P., who owned a home near hers in Connecticut. They soon began an exclusive and intimate relationship. It is undisputed that M.P. and Mrs. Graev spent virtually every day and night together for over 60 days from June through August 2004. M.P. had unfettered access to her home, but he did not keep much personal property at Mrs. Graev’s house (with the exception of an approximately two-week period after he sold his home and before he purchased a new house). Each paid for their own expenses and their finances were not commingled. Despite M.P.’s daily use of Mrs. Graev’s home, he did not make contributions toward upkeep of the property. As Mrs. Graev’s

1. The agreement here did not incorporate the entire statutory standard set forth in Domestic Relations Law § 248 for termination of court-ordered support. Section 248 allows a court, upon application, to exercise discretion “upon proof that the wife is habitually living with another man and holding herself out as his wife, although not married to such man.”

constant companion, M.P. began attending Graev family functions, such as birthday and college graduation celebrations. In fact, when M.P. attended the Graevs' daughter's wedding ceremony, he joined in the formal family photographs that were taken to commemorate that occasion.

After receiving reports from investigators regarding M.P.'s consistent presence at his ex-wife's home, Lawrence Graev moved to terminate his maintenance obligation on the ground that Linda Graev had cohabitated with M.P. during the summer of 2004. She countered that she had not triggered a spousal support termination event because M.P. owned a home and their finances remained separate. Both Supreme Court and the Appellate Division concluded that there was no cohabitation under the meaning of the parties' divorce agreement because Mrs. Graev and M.P. did not function as a single "economic unit." Mr. Graev now appeals to this Court as of right on the basis of a two-Justice dissent in the Appellate Division that would have granted his application on the rationale that financial interdependence is not a prerequisite to cohabitation.

II

"A separation agreement is a contract subject to the principles of contract construction and interpretation" (*Matter of Meccico v Meccico*, 76 NY2d 822, 823-824 [1990]). It is an elementary rule that contracts are construed in accordance with the intent of the parties and the best evidence of the parties' intent is what they write in their agreement (*see e.g. Goldman v White Plains Ctr. for Nursing Care, LLC*, 11 NY3d 173, 176 [2008]). Consequently, if a written agreement is complete, clear and unambiguous, it " 'must be enforced according to the plain meaning of its terms,' without reference to extrinsic materials outside the four corners of the document" (*id.*, quoting *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). When presented with such an agreement, "a court is not free to alter the contract to reflect its personal notions of fairness and equity" (*Greenfield v Philles Records*, 98 NY2d at 570).

Contrary to the majority's assertion, I find that the term "cohabitation" has a commonly-accepted core meaning: habitually living with an unrelated adult in the same residence while engaged in an intimate relationship without being legally married to that person (*see e.g. Black's Law Dictionary* 277 [8th ed] ["The fact or state of living together, esp. as partners in life,

usu. with the suggestion of sexual relations”]; New Oxford American Dictionary 330 [2d ed 2005] [“live together and have a sexual relationship without being married”]; Random House Webster’s Unabridged Dictionary 400 [2d ed 2001] [“1. to live together as husband and wife, usually without legal or religious sanction. 2. to live together in an intimate relationship”]; Webster’s Third New International Dictionary 440 [2002 ed] [“to live together as or as if as husband and wife”]). In fact, we have explained that “cohabitation” is synonymous with the phrase “habitually living with another” person for purposes of the maintenance termination provisions of Domestic Relations Law § 248 (see e.g. *Matter of Bliss v Bliss*, 66 NY2d 382, 389 [1985] [“statutory language clearly mandates discrete findings of *cohabitation* and holding out” (emphasis added)]; *Northrup v Northrup*, 43 NY2d 566, 571 [1978]; see also *Markhoff v Markhoff*, 225 AD2d 1000, 1001 [3d Dept 1996], *lv denied* 88 NY2d 807 [1996]; *Gordon v Gordon*, 342 Md 294, 297 n 2, 675 A2d 540, 542 n 2 [1996]; *E.D.M. v T.A.M.*, 307 SC 471, 475, 415 SE2d 812, 815 [1992] [“evidence of living together in an intimate relationship supports a finding of cohabitation”]).

It is true, however, that the use of the term “cohabitation” without elaboration or conditions is capable of causing ambiguity. This is because a living arrangement becomes cohabitation only if it is habitual and this requirement may not be quantified in every situation. But the parties in this case were careful to avoid this pitfall by indicating that the benchmark would be a specific duration—“sixty (60) substantially consecutive days”—a practice that is implicitly recommended by a leading New York treatise (see Scheinkman, *New York Law of Domestic Relations*, Appendix B, at 550 [12 West’s NY Prac Series] [“openly and continuously cohabits with an unrelated male for a continuous period exceeding 30 days”]). This was sufficient to make the cohabitation clause here unambiguous.²

The Graevs agreed that maintenance payments would terminate if Linda Graev cohabitated for 60 or more substantially consecutive days with a person not related to her. As Mrs. Graev concedes, she and M.P. were in an intimate relationship: they held themselves out as a couple to their family, friends and

2. Although it has been said that “cohabitation,” standing alone, is ambiguous because it can mean to live with a man, a woman, or either a man or a woman (*Kripp v Kripp*, 578 Pa 82, 92-93, 849 A2d 1159, 1165 [2004]), even if that is true the divorce agreement in this case specified that Mrs. Graev would not live with an unrelated “adult.”

community; their approximately three-year relationship was exclusive, monogamous and, at least for a time, sexual in nature; M.P. attended family celebrations; he had complete access to her home; they spent most of their time together; and they slept together almost every night for at least 60 substantially consecutive days. Consequently, I would hold that Mrs. Graev cohabitated with M.P. for the requisite period of time, resulting in the termination of her right to continued maintenance.

III

The fact that Mrs. Graev and M.P. lived together intimately for the relevant time frame but did not share household expenses or “function as an economic unit”—the key component of the Appellate Division’s reasoning—does not provide an adequate basis for departing from the text of this divorce agreement and basic principles of contract law. To begin, in construing the term “cohabitation,” we have never suggested that two people cannot “live together” in an intimate relationship if they do not function as an “economic unit” (see e.g. *Matter of Bliss v Bliss*, 66 NY2d at 389; *Northrup v Northrup*, 43 NY2d at 571). Admittedly, there is a line of Appellate Division cases that supports the idea that cohabitation requires financial interdependence. The genesis of this analysis appears to have been *Scharnweber v Scharnweber* (105 AD2d 1080 [4th Dept 1984], *affd* 65 NY2d 1016 [1985]). The agreement in that case specified that the ex-wife would “not have any unrelated male living in the household” that was the former marital residence. The Appellate Division concluded that this condition had not been met because the ex-wife and the new man did “not share household expenses or a bedroom and d[id] not function as an economic unit” (*id.*).

This Court affirmed, noting only that the evidence failed to establish that “the wife lived with an unrelated male at the former marital residence” (65 NY2d at 1017). Significantly, we did not address or endorse the “economic unit” requirement. Nevertheless, courts have subsequently adopted the notion that cohabitation requires a sharing of household expenses or functioning as an economic unit without adequately explaining why this factor must be engrafted on divorce agreements and stipulations that do not incorporate such a condition (see e.g. *Clark v Clark*, 33 AD3d 836 [2d Dept 2006]; *Matter of Ciardullo v Ciardullo*, 27 AD3d 735 [2d Dept 2006]).

Today, as a Court, we unanimously reject the rule that economic interdependence is a *sine qua non* of cohabitation.³ Aside from the textual and contractual considerations, that rule makes little sense practically because a party receiving maintenance can easily evade the consequence of a termination provision and receive more than the benefit of his or her bargain. Mrs. Graev and M.P., for example, would be free to continue their relationship in its current form indefinitely without violating the termination provision—they could be together 24 hours a day and sleep together every night for years—but as long as they maintain separate bank accounts and do not share expenses, they would not be cohabitating under the economic unit concept. This is not how a cohabitation clause is supposed to work; nor is it what other parties anticipate when including similar cohabitation clauses in their agreements.

That being said, I agree with the majority that economic interdependence can be relevant to the cohabitation analysis. As the plain meaning of the term makes clear, cohabitation is comprised of several distinct elements: (1) living with (2) an unrelated adult (3) for a specified period of time or with an expectation of permanence (4) in an intimate relationship (5) without being married to that person. In my view, the extent to which a couple intermingles its finances is pertinent on the issues of whether the relationship is sufficiently “intimate” or whether the parties intended a long-term commitment. But in this case, the intimate nature of the relationship is not in dispute, and the question of duration or permanence is addressed by the agreement itself—60 substantially consecutive days. Hence, the cohabitation clause has been triggered.

The Appellate Divisions’ “economic unit” theory is also undermined by its failure to take into account that financial interdependence, as well as economic interdependence, may sometimes support a finding of cohabitation. This is so because there can be more than one purpose for a cohabitation clause. It can represent the parties’ understanding that one ex-spouse should

3. The essential holding of the majority’s opinion is that there can be cohabitation without financial interdependence or functioning as an economic unit (*see* majority op at 273 [recognizing the existence of the Appellate Divisions’ “economic unit” theory but stating that “we have never taken this position and decline to do so” in this case]).

not have to pay maintenance if the other has a new partner to help support his or her lifestyle. But, just as importantly, these clauses may also be designed to prevent an ex-spouse from using the money he or she receives from an ex-spouse to support a new paramour.⁴

IV

In sum, the majority's determination that the use of "cohabitation" in divorce agreements gives rise to ambiguity raises serious concerns. First, it will create a proliferation of litigation in virtually every case where these commonly-used cohabitation/maintenance termination provisions are sought to be enforced. And courts, in turn, will have little helpful evidence when attempting to evaluate the issue other than the self-interested testimony of the parties themselves.⁵ Second, requiring extrinsic evidence in all these cases undermines the primary purpose for entering into written agreements—to memorialize the parties' understanding of the parameters of permissible and impermissible conduct and personal relations. Thus, the majority's rule creates uncertainty, making it difficult for parties to understand their obligations and responsibilities. The wiser choice is to articulate a clear rule of law: cohabitation occurs when two unrelated adults who are not married to each other have an intimate relationship and live together habitually for an agreed-to period of time.

For all of these reasons, I conclude that the maintenance obligation was terminated by operation of the cohabitation

4. See e.g. *Gordon v Gordon*, 342 Md at 309-310, 675 A2d at 548 ("if the cohabitant does not pay a fair share of the household expenses, then it follows that part of the support payment supports the cohabitant rather than the ex-spouse"); *Wolfe v Wolfe*, 46 Ohio St 2d 399, 421, 350 NE2d 413, 427 (1976) ("if the paramour resides in the wife's home without contributing anything toward the purchase of food or the payment of normal household bills, then there may be a reasonable inference that the wife's alimony is being used, at least in part, for the benefit of the paramour, in which case it could be argued with force that the amount thereof should be modified accordingly'"), quoting *Garlinger v Garlinger*, 137 NJ Super 56, 64, 347 A2d 799, 803 (1975).

5. Parties to future divorce agreements may wish to consider whether to define "cohabitation" to expressly exclude the "economic unit" concept (see generally *Zipparo v Zipparo*, 70 AD2d 616 [2d Dept 1979] [defining term to mean "the regular living together of the Wife with a man for period exceeding six (6) months'"] or simply discontinue using the term "cohabitation"—which the majority believes is inherently meaningless in the absence of factual findings regarding the parties' intent—in favor of "reside" or "live together" along with a specified period of time.

clause and would hold that Lawrence Graev is entitled to judgment as a matter of law.

Chief Judge KAYE and Judges CIPARICK and JONES concur with Judge READ; Judge GRAFFEO dissents in a separate opinion in which Judges SMITH and PIGOTT concur.

Order reversed, etc.

[898 NE2d 553, 869 NYS2d 370]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
JONATHAN JENKINS, Appellant.

Argued September 11, 2008; decided October 23, 2008

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 26, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (John Cataldo, J., at plea; Arlene D. Goldberg, J., and Dora L. Irizarry, J., at proceedings; Michael R. Ambrecht, J., at sentence), which had (1) convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the fifth degree; and (2) sentenced him, as a second felony offender, to a term of imprisonment of 3½ to 7 years.

People v Jenkins, 44 AD3d 1, affirmed.

HEADNOTE**Crimes — Plea Bargaining — Enforcement of Agreement**

Supreme Court was not compelled to grant defendant specific performance of a plea agreement providing for dismissal of an indictment upon his alleged successful completion of a drug treatment program, and acted within its discretion in denying dismissal upon defendant's failure to fulfill certain of his other obligations under the agreement. The language of the plea agreement gave broad discretion to the court and the People to decide whether defendant had complied with it. Because defendant failed to provide satisfactory proof that he completed all of the conditions of his agreement, the People were entitled to an adjournment and not required to join in defendant's motion to dismiss the indictment. Following the adjournment, when defendant violated his plea agreement by being rearrested and failing to comply with the requirement that he maintain "suitable" housing, the court was no longer bound by the plea promise and could properly impose an enhanced sentence. Supreme Court's recommendation that defendant seek counseling services with his girlfriend to prevent a relapse was well within the discretion afforded the court. Furthermore, the additional agreement to obtain counseling services that defendant chose to enter into after he breached his plea agreement did not violate the original agreement. In view of defendant's breach of the plea agreement, Supreme Court had the discretion to offer defendant an opportunity to obtain counseling services in lieu of sentencing him to jail. Nor did Supreme Court violate defendant's right to specific performance of his plea agreement when he violated the second agreement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 639, 657, 658.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1587, 172:1589.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.1–21.3.

NY JUR 2d, Criminal Law: Procedure §§ 1507, 1510.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Plea Bargaining; Specific Performance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: specific /2 performance /5 plea /2 bargain agreement /s drug /2 treatment

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Margaret E. Knight, Richard M. Greenberg and Rosemary Herbert of counsel), for appellant. Where Jonathan Jenkins had complied with all the terms of his plea agreement, in which he agreed to complete a drug treatment program and meet several other conditions in exchange for dismissal of his case, Mr. Jenkins was entitled to specific performance of the agreement. (*People v Danny G.*, 61 NY2d 169; *Matter of Benjamin S.*, 55 NY2d 116; *United States v Alexander*, 869 F2d 91; *People v McConnell*, 49 NY2d 340; *Spence v Superintendent, Great Meadow Correctional Facility*, 219 F3d 162; *United States v Lawlor*, 168 F3d 633; *Innes v Dalsheim*, 864 F2d 974; *Santobello v New York*, 404 US 257; *Torres v Barbary*, 340 F3d 63; *People v Outley*, 80 NY2d 702.)

Respondent precluded.

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether Supreme Court was compelled to grant defendant specific performance of a plea agreement providing for dismissal of an indictment upon his alleged successful completion of a drug treatment program. We conclude that Supreme Court acted within its discretion in denying dismissal of the indictment.

I.

Having been arrested in June 1999 and indicted for criminal sale of a controlled substance in the third degree (Penal Law

§ 220.39 [1]) for selling two bags of crack-cocaine to an undercover police officer, in December 1999 defendant pleaded guilty as a second felony offender to a reduced charge of criminal sale of a controlled substance in the fifth degree (Penal Law § 220.31), a class D felony, permitting him to avoid incarceration conditioned upon his satisfying the following obligations as set forth in a written plea agreement: (1) completing a 12-to-18-month residential drug treatment program at Veritas Therapeutic Community, a Drug Treatment Alternative to Prison (DTAP) program, and completing its aftercare or live-out treatment; (2) completing vocational training including obtaining a general equivalency diploma (GED); (3) securing full-time employment and (4) finding “suitable” housing. The plea agreement additionally required defendant to make every court appearance and not be rearrested. Sentencing was initially adjourned until August 2001.

In the event that defendant successfully completed the drug treatment program and otherwise complied with the terms of the plea agreement, the Office of Special Narcotics Prosecutor (OSN) would join in an application to the court to have defendant’s case dismissed. If defendant failed to fulfill any of these obligations, the agreement prescribed alternative sentences: 3½ to 7 years’ imprisonment if he left the program without authorization or otherwise did not complete treatment and did not voluntarily return to court, and 2 to 4 years’ imprisonment if he was not accepted by the program or if he failed the program but voluntarily returned to court. The plea agreement states that the determination of whether defendant violates the terms and conditions of the plea is at the “sole discretion” of OSN and the court.

Defendant began the residential phase of the Veritas program in January 2000, completing it in March 2001. He then began the outpatient phase, living with his girlfriend in New Jersey and attending a relapse-prevention aftercare program. Veritas reported to the court that defendant had obtained employment and opened a savings account. And, in a letter dated October 11, 2001, Veritas reported that defendant had successfully completed all phases of the drug treatment program, but that he had unresolved family issues that would create further problems for him if not addressed. The letter noted that although Veritas attempted to provide the couple with family services, defendant’s girlfriend was recalcitrant towards attending counseling sessions.

Defendant filed a *Clayton* motion (CPL 210.40; see *People v Clayton*, 41 AD2d 204, 206-208 [2d Dept 1973]) to dismiss the indictment in the furtherance of justice, alleging that he had complied with the terms of the agreement by completing the Veritas program and committing no new crimes. At a court appearance, on October 12, 2001, the People stated that they would not join in defendant's motion at that time because they had not received documentary proof that defendant successfully completed his GED, obtained full-time employment, opened a bank account and met the other plea conditions. OSN requested a two- or three-week adjournment to provide defendant with ample time to submit the documentation and to allow the People to evaluate defendant's progress and respond to the motion. After a bench conference, defendant withdrew his motion and likewise requested a several-week adjournment.

Supreme Court then read the portion of the Veritas letter to defendant that indicated concerns about his domestic problems. Afterwards, the court requested of defendant that during the adjournment he seek support services for his own benefit to prevent a "relapse." The court additionally said to defendant that he had shown "attitude problems" and "resistance" to timely providing the required documents to demonstrate his completion of the plea conditions. Defendant confirmed his intention to promptly provide the required documentary proof including bank statements and pay stubs. Following a colloquy, the court adjourned the case to November 16, 2001.¹

On November 2, 2001, defendant's compliance with the plea conditions began to worsen dramatically. He was rearrested in New Jersey for charges involving a domestic violence assault against his girlfriend, which charges were subsequently dismissed. By November 14, 2001, defendant had lost his job and failed to attend treatment consistently. Additionally, defendant continued residing with his girlfriend despite their apparently tumultuous relationship and after having been warned by OSN that residing with her could breach the condition requiring defendant to maintain "suitable" housing.

On February 1, defendant was remanded to custody after a report from Veritas that, since December of the previous year,

1. Shortly thereafter, the People informed defendant that they were concerned about his potential for domestic violence as noted in the letter from Veritas, and thus they would not deem his housing "suitable" unless he either discontinued residing with his girlfriend or both of them completed a family counseling program.

defendant was not employed and had failed to attend group and family counseling. On February 5, in open court, defendant signed a written agreement in the presence of his attorney providing him with yet another opportunity to continue with drug treatment instead of being sentenced to incarceration for having violated his plea agreement. Under this second agreement, defendant would attend biweekly counseling services until he obtained full-time employment, continue drug testing and attend one family counseling session per week with his girlfriend. Defendant agreed to the terms, signed the agreement and noted that he was not pressured or forced into doing so.

Defendant, however, soon stopped attending group meetings and failed to maintain contact with Veritas. On April 23, 2002, Veritas terminated him from the program for failing to appear for more than 30 days. Supreme Court then issued a bench warrant for his arrest for failing to make court appearances. On May 28, 2003, after two New Jersey arrests, defendant was involuntarily returned on the warrant. Thereafter, defendant renewed his *Clayton* motion. This time, he claimed that he was entitled to specific performance of his plea agreement as of October 12, 2001 when Veritas had confirmed his completion of the drug treatment program and he had orally asserted that he complied with the other terms. Defendant argued that the problems arose only after he was required to attend more counseling sessions, which he claimed were outside the scope of the plea agreement.

On June 6, 2004, defendant, with newly appointed counsel, withdrew his renewed *Clayton* motion, despite making a lengthy record that he should be granted a dismissal in the furtherance of justice or in the alternative a hearing to determine his compliance with his plea conditions. Defendant stated that he had obtained a GED, acquired vocational training certificates, secured full-time employment and that his housing had been, at some earlier time, approved by OSN. The People maintained that OSN had discretion to require defendant to participate in further support services relating to his unresolved family issues. Prior to sentencing defendant to 3½ to 7 years' incarceration, Supreme Court informed him that the withdrawal of his motion was without prejudice to pursue his claims on appeal.

The Appellate Division, with two Justices dissenting, held that Supreme Court was not obligated to grant defendant specific performance of the plea agreement on October 12, 2001 because defendant had failed to provide proof by that date that

he had completed his plea obligations (44 AD3d 1 [2007]). The court also rejected defendant's claim that the February 2002 agreement constituted a unilateral alteration of the plea agreement by Supreme Court. The dissent asserted that the People breached the plea agreement by refusing to grant defendant the benefit of the bargain, including dismissal of the indictment, because he had met all of his plea obligations and that Supreme Court erred by not dismissing the indictment. A Justice of the Appellate Division granted leave to appeal and we now affirm.

II.

In deciding a motion to dismiss an indictment in the interest of justice (*see* CPL 210.40, 210.45 [1], [2]), a court must strike a "sensitive balance between the individual and the State" interests to determine whether the ends of justice are served by dismissal of the indictment (*Clayton*, 41 AD2d at 208). Such a value judgment "hinge[s] on the production of facts in the possession of the prosecution and the defendant" (*id.*). Based upon such proffered facts, the court must consider applicable factors under CPL 210.40 "individually and collectively" before concluding that dismissal of the indictment is in the interest of justice (*see People v Berrus*, 1 NY3d 535, 536 [2003]).

Here, the language of the plea agreement itself specifically gave broad discretion to the court and the People to decide whether defendant had complied with it—"Whether the defendant violates the terms and conditions of this agreement is at the sole discretion of OSN and the court." Thus the court and the People were entitled to insist on strict compliance with every term. They had no obligation to overlook what might seem minor deficiencies, or to accept as satisfactory defendant's performance with the treatment program, when Veritas reported that important issues remained unresolved. The judgment as to whether defendant had performed adequately was for the prosecutor and the court to make.

Defendant contends that at the time he filed his initial *Clayton* motion, which he quickly withdrew in Supreme Court on October 12, 2001, he had successfully completed all aspects of his plea agreement. Defendant further asserts that Supreme Court's imposition of a family counseling condition subjected him to a supplemental condition, extraneous to the original plea agreement, that he was forced to accept because the alternative was a possible sentence of incarceration. These claims are meritless.

Under these circumstances, where defendant had failed to provide satisfactory proof that he completed all of the conditions of his agreement, the People were entitled to an adjournment and not required to join in the motion to dismiss. Neither was Supreme Court compelled to “turn a blind eye” and dismiss this case in the furtherance of justice. To be sure, Supreme Court could not pass favorably on defendant’s *Clayton* motion without evidentiary support demonstrating that he had complied with the terms of the agreement as CPL 210.40 requires the court to articulate on which factors it relies in dismissing an indictment. Affording the trial court this discretion does not, as the dissent maintains, improperly shift the burden of proof from the People to defendant (*see* dissenting op at 293).²

Once defendant violated his plea agreement by being rearrested, the court was “no longer bound by the plea promise and could properly impose an enhanced sentence” (*People v Figgins*, 87 NY2d 840, 841 [1995]). He also failed to comply with the requirement that he maintain “suitable” housing. OSN had informed defendant that he must either discontinue residing with his girlfriend or attend family counseling sessions with her, and he had not done either. Under the plea agreement, OSN had the authority to determine if defendant was maintaining “suitable” housing.

As for defendant’s contention that the court could not add additional family counseling, while it is impermissible for a trial court to impose additional conditions on a defendant after pleading guilty (*see People v Avery*, 85 NY2d 503, 507 [1995], citing *People v Farrar*, 52 NY2d 302, 306-307 [1981]), here, no such

2. The dissent, moreover, believes that the People erred by failing to join in defendant’s *Clayton* motion, and that Supreme Court erred by adjourning the case and by making an insufficient inquiry as to whether defendant complied with all of the terms of the DTAP agreement (*see* dissenting op at 291, 293).

A motion to dismiss an indictment must be in writing and on notice to the People, and the People must be given a chance to respond (*see* CPL 210.45 [1], [2]). Because defense counsel failed to timely file the *Clayton* motion with OSN, OSN received the motion shortly before the October 12th court date—certainly inadequate time to investigate whether defendant had complied with the DTAP agreement’s terms. Supreme Court, moreover, did not err in adjourning the case further because the People were entitled to an adjournment to determine whether OSN would join in the motion to dismiss the indictment and because defense counsel in his *Clayton* motion addressed only one of the 10 factors which the court was required to consider before dismissing the indictment in the furtherance of justice (CPL 210.40 [1] [a]-[j]).

additional conditions were imposed. Supreme Court recommended that defendant seek counseling services with his girlfriend to prevent a relapse which, on this record, was well within the discretion afforded the court. Indeed, Supreme Court never stated that defendant's refusal to attend a family counseling program would constitute a violation of the original plea agreement and make him eligible for the alternative jail sentence.

Moreover, the additional agreement that defendant chose to enter into on February 5, 2002 also did not violate defendant's original agreement. By that date, defendant had already breached his plea agreement, thereby making him eligible to be sentenced to 2 to 4 years' incarceration. Instead, the court put forward the proposal by OSN to provide him with yet another opportunity to avoid incarceration by attending additional counseling and finding full-time employment. In view of defendant's breach of the plea agreement, Supreme Court had the discretion to offer defendant this opportunity to obtain counseling services in lieu of sentencing him to jail.

Defendant violated this second agreement, resulting in his discharge from Veritas. Further, he failed to appear at scheduled court dates and bench warranted. Upon his return on the warrant, defendant renewed his *Clayton* motion. Supreme Court at sentencing likewise did not violate defendant's right to specific performance of his plea agreement and would have been justified in denying this renewed motion to dismiss the indictment had it not been withdrawn.

Thus, there has been no showing that Supreme Court abused its discretion while supervising a defendant subject to DTAP in requesting him in October 2001 to attend family counseling to address his unresolved family issues. Furthermore, defendant had not produced documentation as to his compliance with the other terms of the agreement. Neither did Supreme Court abuse its discretion on February 5, 2002 when defendant signed the subsequent agreement. In light of our holding that Supreme Court did not abuse its discretion as a matter of law, we need not reach other issues.

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). As efficacious as many remedial programs are, particularly those involving drug and alcohol rehabilitation, in my view, they do not relieve the People nor the

court from keeping promises made as part of a bargained-for plea. It is for that reason that I respectfully dissent.

We have long recognized that “[p]lea bargaining is a practice vital to the efficient administration of the criminal justice system, and ‘an integral part of the plea bargaining process is the negotiated sentence’” (*People v Avery*, 85 NY2d 503, 506 [1995] [citations omitted]). “Plea and sentence negotiation further important policy considerations, conserving law enforcement, judicial and penal resources, and permitting the parties to avoid the uncertainties inherent in the lengthy process of charge, trial, sentence and appeals, thereby ‘starting the offender on the road to possible rehabilitation’ as soon as practicable” (*id.*, quoting *People v Selikoff*, 35 NY2d 227, 233 [1974], *cert denied* 419 US 1122 [1975]). In short, it’s good for both sides.

It has always been true that if a defendant violates a valid condition of the plea agreement, the court is not bound by the agreed-upon sentence (*People v Figgins*, 87 NY2d 840, 841 [1995]). But it is equally true that the sentencing court must conduct a sufficient inquiry to determine if defendant has indeed violated any condition of the plea (*see People v Outley*, 80 NY2d 702 [1993]); and it is the People who bear the burden of proving that a violation has occurred (*see People v Milligan*, 40 AD3d 1217 [3d Dept 2007]; *see also Torres v Berbery*, 340 F3d 63 [2d Cir 2003]). In the absence of a violation, the failure or inability to fulfill a promise by either the People or the court requires either that the plea of guilty be vacated or the promise fulfilled (*People v Selikoff*, 35 NY2d at 239).

Equally relevant here, a court does not have discretion to unilaterally impose conditions that were not originally agreed upon by the parties or reasonably understood to be part of the agreement (*see Avery*, 85 NY2d at 508; *People v Spina*, 186 AD2d 9, 9-10 [1st Dept 1992]). We have said before that “inasmuch as the State may hold the defendant to the precise terms of the plea agreement as stated on the record, as a matter of fairness, defendant should be entitled to no less” (*People v Danny G.*, 61 NY2d 169, 174 [1984]).

In this case, defendant’s plea agreement required him to participate in a residential drug treatment program at Veritas Therapeutic Community (Veritas), a residential 12-to-18-month program devoted to the treatment and prevention of drug abuse and addiction. If defendant successfully completed the program, the Office of Special Narcotics Prosecutor (OSN) would join

defendant's application to dismiss the indictment in the interest of justice. "Successful completion" of the program was defined under the agreement as "completing vocational educational training, obtaining a General Equivalency Diploma, securing full-time employment, and finding suitable housing approved by the Enforcement Team of the Office of Special Narcotics Prosecutor (OSN)." If defendant left the program or otherwise failed to successfully complete the program *as determined by the program*, the court would impose a sentence of 3½ to 7 years. The agreement further required defendant to execute a consent form for the release of confidential information so that the court, his attorney and OSN could be apprised on a monthly basis of his progress in the treatment program. Whether defendant violated the terms and conditions *of the agreement* was "at the sole discretion of OSN and the Court."

Defendant entered Veritas in January 2000, and on a monthly basis thereafter, Veritas sent to OSN, which then forwarded to the court, a progress report on defendant. For instance, after 13½ months of treatment, in February 2001, a letter was sent to OSN from Veritas indicating that defendant was making "im-mense progress" and had negative toxicology reports. Further, defendant had maintained employment, opened a savings account, and demonstrated "responsibility and determination." On June 13, 2001, a progress report indicated that defendant "completed the residential phase of treatment and began the Live-Out Phase of treatment on March 30, 2001." He completed a "12-week cycle of Relapse Prevention on April 27, 2001," had negative drug tests and attended all scheduled groups. The letter further stated that defendant resided with his family, was employed full time, and continued his vocational training. For over a year and a half, progress reports like these were sent to OSN and the court. Thus, defendant's case was calendared and adjourned in excess of 50 times, evidencing close supervision by OSN and the court and apparent satisfaction with his progress.

On October 4, 2001, following completion of the program, defendant moved to dismiss his case in the interest of justice pursuant to the plea agreement. Neither OSN nor the People opposed defendant's motion, although they did not join in it as required by the plea agreement. A letter to the court, dated October 11, 2001, from a Veritas case manager announced defendant's success and confirmed that he "has completed all phases of drug treatment at Veritas." It further indicated that defendant had regularly attended group and individual sessions and had tested negative for drug use.

The case manager noted one wrinkle, unrelated to the original plea agreement, i.e. that defendant “has unresolved family issues” with his girlfriend “that have created and will eventually create further problems . . . if not addressed.” According to the case manager, Veritas had attempted to provide not just defendant but “the couple” with “family services,” but defendant’s girlfriend had refused to participate. Despite these family problems, defendant still “ha[d] made strides in his recovery and with [the Veritas] program. As of [October 11, 2001] defendant ha[d] completed all phases of drug treatment at Veritas.”

Upon the return date of the motion, October 12, 2001, Supreme Court conducted no inquiry and, presumably, made no determination as to whether defendant had, in fact, met all of the conditions of the plea agreement. Significantly, the People made no claim that defendant had not successfully completed the program. Rather, the People requested two to three weeks to respond and sought defendant’s cooperation in providing certain documents. The court held an off-the-record discussion at the bench. What exactly was said during this discussion is unknown, but it caused defense counsel to withdraw the motion. What is known is that the parties talked about the “unresolved family issues” identified in the October 11th Veritas letter and that the court adjourned the matter to look into getting defendant “some other support services.” Defendant voiced his objection stating, among other things, that he “completed everything there is to complete in this program.”

A majority of the Appellate Division and this Court reason that Supreme Court properly exercised its discretion when it postponed the matter to permit defendant to submit proof of his compliance with some of the conditions of the plea agreement. However, my reading of the record, as just indicated, reveals that Supreme Court adjourned the matter for another reason—to investigate the “family issues” separate and apart from any agreement between the court and defendant.

Moreover, it is readily apparent that the People did not contest defendant’s claim that he was entitled to have the charges dismissed, let alone establish that he was not, nor did the court make such a finding. Indeed, the People never even argued in Supreme Court, the Appellate Division or to this Court that, as of October 2001, defendant had not complied with the terms and conditions of the plea agreement. Rather, the People have consistently argued that Supreme Court properly exercised its discretion in requiring defendant to participate in further services.

Clearly, it was Supreme Court's duty to make sufficient inquiry, at the time of the motion, as to whether defendant had complied with the terms of the plea agreement. I disagree with the majority that defendant's failure to provide documentation regarding the successful completion of the program excused such inquiry by the court; to so hold improperly shifts the burden of proof from the People to the defendant to prove his compliance with the plea agreement—something we have never done. But even assuming the burden was on the defendant, the facts found in this record seem to support his claim. The court had in its possession monthly progress reports from Veritas, as well as the October 11th letter, indicating that defendant had successfully completed the program: a determination that Veritas was to make under the plea agreement. What remained for the court to determine was whether OSN had approved of his housing and whether defendant had committed any new crimes. The October 11th Veritas letter confirmed that defendant had been residing with his family. OSN never objected to defendant's housing nor his compliance with any of the other terms of the plea agreement during his treatment. Indeed, OSN only objected to his housing on October 23, 2001, two weeks after the return date, and the objection was conditional, i.e. defendant had to find another residence if his girlfriend did not attend treatment meetings.

Further, in my view, while well intentioned, Supreme Court erred in adjourning the matter to determine whether family counseling was needed for defendant, and also erred in imposing family counseling as a condition.

Accordingly, I would reverse and remit the matter to Supreme Court to conduct the appropriate inquiry into whether defendant complied with the terms and conditions of his plea agreement as of October 11, 2001.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to reverse in a separate opinion.

Order affirmed.

[898 NE2d 14, 869 NYS2d 1]

In the Matter of DENNIS LABOMBARD, Justice of the Ellenburg
Town Court, Clinton County, Petitioner. STATE COMMISSION
ON JUDICIAL CONDUCT, Respondent.

Argued September 9, 2008; decided October 23, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated December 12, 2007. The Commission determined that petitioner should be removed from the office of Justice of the Ellenburg Town Court, Clinton County.

HEADNOTE**Judges — Disciplinary Proceedings**

A determination of the State Commission on Judicial Conduct that petitioner Town Justice should be removed from office was accepted. Petitioner engaged in serious misconduct when he sat on a criminal matter involving his two stepgrandchildren and intervened in a case against his stepgrandson pending in another court through ex parte contact with the other judge. Petitioner also presided at the arraignment and bail proceeding of a former coworker's son, even though he believed recusal would have been warranted had the case been before him on the merits, and subsequently vacated the bail order and released the defendant on his own recognizance after participating in ex parte communications with the defendant's mother. Moreover, petitioner, after being involved in a minor motor vehicle accident with another motorist, repeatedly invoked his judicial status in an attempt to intimidate the other motorist.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 17, 19, 112, 113.

CARMODY-WAIT 2d, Officers of Court §§ 3:108, 3:109, 3:114,
3:120, 3:131, 3:133, 3:142, 3:148, 3:149.NY JUR 2d, Courts and Judges §§ 429, 430, 435, 440, 443,
457, 460.**ANNOTATION REFERENCE**

See ALR Index under Judges.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: judicial /2 misconduct /p remov! & town /2 justice

POINTS OF COUNSEL

Peter A. Dumas, Malone, for petitioner. It is a mischaracterization to describe the actions of petitioner as a “pattern of injudicious behavior” requiring the severe remedy of removal. (*Matter of Bauer*, 3 NY3d 158; *Matter of Esworthy*, 77 NY2d 280; *Matter of Duckman*, 92 NY2d 141; *Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658; *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286.)

Edward Lindner, New York City, *Robert H. Tembeckjian*, *Cathleen S. Cenci* and *Jill S. Polk* for respondent. Petitioner should be removed from judicial office for his repeated and egregious ethical transgressions. (*Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658; *Matter of Wait*, 67 NY2d 15; *Matter of Robert*, 89 NY2d 745; *Matter of Edwards*, 67 NY2d 153; *Matter of Tyler*, 75 NY2d 525; *Matter of Esworthy*, 77 NY2d 280.)

OPINION OF THE COURT

Per Curiam.

Petitioner Dennis LaBombard, Justice of the Ellenburg Town Court, seeks review of a determination of the Commission on Judicial Conduct finding that he engaged in serious judicial misconduct and recommending that he be removed from office. After plenary review of the record in this case, we agree with the Commission’s recommendation.

Petitioner has been a Town Justice since 1996. In September 2006, he was served with a complaint containing seven charges of misconduct, four of which were sustained by the Commission after a hearing before a Referee. Charge I arose from petitioner’s decision to preside over a case involving members of his family. His stepgrandson and stepgranddaughter were charged with criminal trespass in the third degree, a class B misdemeanor, as a result of an incident that occurred in the Town of Clinton. The charges were lodged in petitioner’s court, rather than Clinton Town Court, because one of the defendants was related to a Town Justice in Clinton. The prosecuting Assistant District Attorney—who was not aware of petitioner’s relationship to two of the defendants—offered to dispose of the charges by adjournment in contemplation of dismissal on the condition that each defendant agree to perform 25 hours of community service. Justice LaBombard adjourned the cases in contemplation of dismissal but,

without the knowledge of the prosecutor, did not impose the community service requirement.

Charge II also involved petitioner's stepgrandson, who had been charged with a class E felony in a case pending in another Town Court. Justice LaBombard contacted the Town Justice assigned the case and identified himself, knowing that the other judge was aware that he was a fellow jurist. After inquiring about the date of the next court appearance, petitioner advised the court that his stepgrandson was a "good kid," and made additional remarks about other individuals involved in the case, giving the impression that the codefendants were more culpable than his stepgrandson.

The next charge stemmed from petitioner's decision to preside over an arraignment and bail proceeding involving the son of a former coworker with whom he had worked in the same department for several years. Based on petitioner's own statements to Commission staff, he apparently recognized that his familiarity with this individual could warrant recusal; petitioner stated that if the offense had not been a felony and had been before him for disposition, he would have disqualified himself. Instead, petitioner arraigned the defendant and, based on the recommendation of the District Attorney's office, set bail at \$5,000 cash or \$10,000 bond. Unable to make bail, defendant was taken into custody. The next day petitioner received an ex parte telephone call from defendant's mother, his former coworker, who indicated that defendant would lose his job if he remained in jail. Following this conversation, petitioner authorized defendant's release on his own recognizance.

The final charge concerned petitioner's conduct after he was involved in a minor motor vehicle accident with another motorist. The collision did not result in property damage or personal injury but a verbal altercation ensued when both drivers exited their vehicles. Petitioner repeatedly and gratuitously told the other motorist that he was a judge, suggesting that because of his judicial status, she must have been in the wrong and had caused the accident. When the motorist entered a nearby barber shop to call the police, petitioner followed her into the shop and continued referring to his judicial status.

As the Commission determined, petitioner's conduct violated several of the Rules Governing Judicial Conduct, including sec-

tions 100.2 (C),¹ 100.3 (B) (6)² and 100.3 (E) (1).³ “As a Judge, petitioner was under a duty to conduct himself in such a manner as to inspire public confidence in the integrity, fair-mindedness and impartiality of the judiciary” (*Matter of Esworthy*, 77 NY2d 280, 282 [1991] [citation omitted]). Few principles are more fundamental to the integrity, fair-mindedness and impartiality of the judiciary than the requirement that judges not preside over or otherwise intervene in judicial matters involving relatives.

“The handling by a judge of a case to which a family member is a party creates an appearance of impropriety as well as a very obvious potential for abuse, and threatens to undermine the public’s confidence in the impartiality of the judiciary. Any involvement by a judge in such cases or any similar suggestion of favoritism to family members has been and will continue to be viewed by this court as serious misconduct” (*Matter of Wait*, 67 NY2d 15, 18 [1986]).

The same is true of intervention by a judge in proceedings involving family members pending in another court, particularly when that intervention takes the form of ex parte contact with the judge presiding over the relative’s case (*see Matter of Edwards*, 67 NY2d 153, 154-155 [1986]). And we have noted that “[t]he absence of a specific request for favorable treatment or special consideration is irrelevant” (*id.* at 155). In this case, petitioner engaged in serious misconduct when he sat on a criminal matter involving his two stepgrandchildren and intervened in a case against his stepgrandson pending in another court.⁴

1. “A judge shall not lend the prestige of judicial office to advance the private interests of the judge or others; nor shall a judge convey or permit others to convey the impression that they are in a special position to influence the judge” (22 NYCRR 100.2 [C]).

2. “A judge shall not initiate, permit, or consider *ex parte* communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding” (22 NYCRR 100.3 [B] [6]).

3. “A judge shall disqualify himself or herself in a proceeding in which the judge’s impartiality might reasonably be questioned” (22 NYCRR 100.3 [E] [1]).

4. The finding of misconduct does not depend on whether the children of the spouse of a judge’s child are relatives within the sixth degree of consanguinity or affinity under Judiciary Law § 14. Petitioner did not dispute that he had a familial relationship with his stepgrandchildren. As such, his de-

(n. cont’d)

Petitioner also presided at the arraignment and bail proceeding of a former coworker's son, even though this prior association led him to believe recusal would have been warranted had the case been before him on the merits. Under the Rules Governing Judicial Conduct, recusal is appropriate when a judge's "impartiality might reasonably be questioned" (22 NYCRR 100.3 [E] [1]). A judge is ordinarily the "sole arbiter of recusal" when the relationship at issue falls in the "vast discretionary area over which reasonable Judges can differ" (*Matter of Murphy*, 82 NY2d 491, 495 [1993] [citations omitted]). But, here, the Commission appropriately concluded that petitioner's decision to sit on the case amounted to misconduct because petitioner neither disqualified himself nor disclosed his relationship with defendant's mother to all interested parties, even though he had concluded that recusal with respect to cases involving this particular defendant was necessary in some circumstances. The appearance of favoritism that arose from petitioner's decision to hear the matter was compounded by his participation in ex parte communications with defendant's mother—his former coworker—and his subsequent decision to vacate the bail order and release defendant on his own recognizance. We similarly concur with the Commission's determination that petitioner's repeated invocation of his judicial status after the motor vehicle accident was improper as it appears to have been an attempt to use the prestige associated with judicial office to intimidate the other motorist.

Given the seriousness of petitioner's transgressions, removal is the appropriate sanction in this case. With knowledge of the rules governing judicial recusal, petitioner intentionally violated them. Petitioner testified that he understood that he should disqualify himself from cases involving his family members but did not do so because he believed he could be "very, very fair." He chose to sit on the case, even though the matter was in his court as a result of another judge's conflict of interest arising from a familial relationship with one of the defendants—a circumstance that should have prompted petitioner to seriously question the propriety of his own involvement. Notably, he presided even though the conflict of interest was palpable given that his daughter and defendants' father (his son-in-law) were present in the courtroom to provide support for the defendants

cision to sit on the case clearly presented a situation "in which the judge's impartiality might reasonably be questioned" (see 22 NYCRR 100.3 [E] [1]), thereby warranting recusal.

who were not represented by counsel. Whatever his motivation for declining to impose the community service condition required by the prosecutor, petitioner's treatment of the case gave the impression that his relatives had received a special benefit—a perception that undermines the integrity of the judiciary and is inconsistent with the fair administration of justice.

Equally troubling was petitioner's assertion that he would have recused himself from the matter involving his former coworker's son if the case had not been a felony; even after the fact, it appears that petitioner failed to appreciate that the decision to sit at the arraignment and bail proceeding presented precisely the same appearance of partiality. And petitioner's intervention on behalf of his stepgrandson in a matter pending in another court, as well as his invocation of his judicial status in the wake of the motor vehicle accident, suggest a willingness to misuse his judicial office for personal advantage—a quality that is antithetical to the judicial role.

Accordingly, the determined sanction of removal should be accepted, without costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Determined sanction accepted, without costs, and Dennis L. LaBombard removed from the office of Justice of the Ellenburg Town Court, Clinton County.

[898 NE2d 563, 869 NYS2d 380]

**ARLENE C. FARKAS, Appellant-Respondent, v BRUCE R. FARKAS,
Respondent-Appellant.**

Argued September 10, 2008; decided October 23, 2008

SUMMARY

APPEALS, by plaintiff as of right and by defendant by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 1, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Phyllis Gangel-Jacob, J.), which had awarded plaintiff \$750,000 with interest; (2) vacated the judgment; and (3) dismissed the claim underlying the judgment as abandoned pursuant to 22 NYCRR 202.48 (b). Defendant's appeal brings up for review a prior nonfinal order of that Appellate Division, entered June 2, 1998. The order brought up for review had affirmed a judgment of that Supreme Court which distributed the parties' marital property.

Farkas v Farkas, 40 AD3d 207, reversed.

Farkas v Farkas, 251 AD2d 4, affirmed.

HEADNOTES**Dismissal and Nonsuit — Abandoned Cases — Judgment Not
Subject to 60-Day Time Limit**

1. The Appellate Division erred in vacating a judgment in plaintiff's favor against defendant and dismissing the underlying claim as abandoned pursuant to 22 NYCRR 202.48 based on plaintiff's failure to submit the proposed judgment for signature within 60 days after the signing and filing of the decision directing that the order be settled, as the judgment was not subject to the 60-day requirement. That decision was not the first decision giving plaintiff the right to enter a money judgment against defendant, her former husband, for the total amount the parties owed to a certain bank if defendant failed to satisfy the debt. A decision issued after the parties' divorce trial gave plaintiff the right to enter a money judgment and directed the parties to "[s]ettle judgment." That direction was carried out in a subsequent judgment granting the divorce and an amended judgment of divorce, both of which included language stating that plaintiff, under certain circumstances, was "entitled to enter a money judgment against [defendant] for the total amount due and owing to [the bank] without further order." As the decretal paragraph in those judgments set out a simple judgment for a sum of money which spoke for itself, they fell outside the ambit of Rule 202.48 and were not subject to the 60-day requirement. Plaintiff, however, subsequently and unnecessarily moved for an order to show cause allowing her to enter a judgment against defendant for the bank monies even though she was already entitled to that relief without a

limitations period. The Supreme Court then issued an order stating, for the third time, that plaintiff was entitled to the monies owed to the bank without further order, while at the same time ordering plaintiff to “settle . . . judgment” for that very relief. Plaintiff’s failure to timely settle the judgment could not deprive her of the judgment as Rule 202.48 was improperly or unnecessarily invoked.

Husband and Wife — Equitable Distribution

2. In a divorce action, the order of the Appellate Division brought up for review that affirmed a Supreme Court judgment with respect to the distribution of the parties’ property was affirmed. Supreme Court did not abuse its discretion as a matter of law when distributing the marital property, as the record fully supported its affirmed findings and conclusions of law.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Divorce and Separation §§ 484–486, 495, 496, 548, 592; AM JUR 2d, Judgments §§ 94, 97, 107.
CARMODY-WAIT 2d, Motions and Orders § 8:104; CARMODY-WAIT 2d, Judgments §§ 63:22, 63:127; CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:172, 118:219, 118:254.
3A LAW AND THE FAMILY NEW YORK (2d ed) § 11:11.
22 NYCRR 202.48.
NY JUR 2d, Domestic Relations §§ 2593, 2664; NY JUR 2d, Judgments §§ 60, 64, 76.
SIEGEL, NY PRAC §§ 250, 418.

ANNOTATION REFERENCE

See ALR Index under Dismissal, Discontinuance, and Nonsuit; Equitable Distribution; Judgments, Orders, and Decrees.

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POINTS OF COUNSEL

Robert J. Tolchin, New York City, for appellant-respondent. I. Bruce Farkas’s appeal seeks review of myriad issues beyond the limited scope of his motion for leave to appeal which should not be considered. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376.) II. Bruce Farkas’s appeal improperly seeks review of factual determinations of the trial judge which were affirmed by the

Appellate Division. III. If Bruce Farkas is granted any modification of the judgment, it should be conditioned on payment of the judgment or posting a bond, as appropriate. IV. The trial court's order regarding the apartment was proper. (*Matisoff v Dobi*, 242 AD2d 495.) V. The trial judge exhibited no hostility to Bruce Farkas. VI. The trial judge did not inject herself into the strategy of this case. VII. The trial court did not make its award based on marital fault.

Lebow & Sokolow LLP, New York City (*Mark D. Lebow* of counsel), for respondent-appellant. The Appellate Division correctly held that the trial court should not have signed the judgment for \$750,000 in 2005 based on a decision made in 2000, because section 202.48 of the Uniform Rules for the New York State Trial Courts (22 NYCRR 202.48) requires that all judgments must be presented within 60 days of the decision unless there is good cause shown for any delay, and no "good cause" for this five-year-long delay was shown. (*Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725; *Brill v City of New York*, 2 NY3d 648; *Andrea v Arnone, Hedin, Casker, Kennedy & Drake Architects & Landscape Architects, P.C. [Habiterria Assoc.]*, 5 NY3d 514.)

Philip F. Alba, P.C., West Islip (*Joseph C. Leshen, Philip F. Alba* and *Rita Aniano* of counsel), for respondent-appellant. I. The court erred in granting plaintiff-respondent the total interest in the marital apartment relying on a writing that was not an agreement contemplated by Domestic Relations Law § 236 (B) (3). (*Matisoff v Dobi*, 90 NY2d 127; *Corbin v Litke*, 105 Misc 2d 94; *Rush v Rush*, 19 AD2d 846; *Bennett v Bennett*, 62 AD2d 1154; *Feldman v Feldman*, 204 AD2d 268; *Foppiano v Foppiano*, 166 AD2d 550; *Chase v Chase*, 208 AD2d 883; *Marlinghaus v Marlinghaus*, 202 AD2d 994.) II. The holding of this Court in *Matisoff v Dobi* (90 NY2d 127 [1997]) should be applied retroactively. (*Stuart v New York City Health & Hosps. Corp.*, 7 Misc 3d 225; *Broadnax v Gonzalez*, 2 NY3d 148; *Sheppard-Mobley v King*, 10 AD3d 70.) III. The trial court erred in making a distributive award of 100% of all assets to plaintiff-respondent in lieu of maintenance. (*McCauley v Drumm*, 217 AD2d 829.) IV. The trial court failed to credit defendant-appellant with his separate property interest prior to making any equitable distribution award. V. The marital apartment, as a passive asset, should be valued as of today. (*Weilert v Weilert*, 167 AD2d 463; *Hillmann v Hillmann*, 109 AD2d 777; *NK v MK*, 17 Misc 3d 1123[A], 2007 NY Slip Op 52126[U]; *D'Angelo v*

D'Angelo, 14 AD3d 476.) VI. Marital fault shall not be considered a factor in determining equitable distribution except in egregious cases that shock the conscience of the court. (*Blickstein v Blickstein*, 99 AD2d 287; *Weilert v Weilert*, 167 AD2d 463; *McCann v McCann*, 156 Misc 2d 540; *Wenzel v Wenzel*, 122 Misc 2d 1001; *Brancoveanu v Brancoveanu*, 145 AD2d 395; *Rosenberg v Rosenberg*, 126 AD2d 537; *Wilbur v Wilbur*, 116 AD2d 953; *Wilson v Wilson*, 101 AD2d 536; *Havell v Islam*, 301 AD2d 339.) VII. Plaintiff-respondent intentionally concealed her relationship with another man and misrepresented her finances to the court. VIII. The Alexander's stock held in the name of Bruce Farkas was found by the trial court to be the separate property of Bruce Farkas, and thus there could be no dissipation of marital assets. (*Hartog v Hartog*, 85 NY2d 36; *Price v Price*, 69 NY2d 8; *Gluck v Otis*, 265 App Div 244.) IX. The trial court erred in awarding plaintiff money judgments for spousal support arrears because of plaintiff's misrepresentations to the court. (*Getson v Getson*, 91 AD2d 540; *Matter of Carroll v Gammerman*, 193 AD2d 202; *Huebscher v Huebscher*, 206 AD2d 295.) X. The court interjected itself as an advocate for plaintiff, Arlene Farkas. XI. The trial court erred in awarding plaintiff-respondent legal fees. XII. The errors committed by the trial court require a reexamination of the question of marital fault and judicial impartiality.

OPINION OF THE COURT

READ, J.

These appeals stem from an action for divorce commenced 17 years ago by Arlene C. Farkas (the wife) against her then-husband of 32 years, Bruce R. Farkas (the husband). The wife's divorce action alleged cruel and inhuman treatment and abandonment and requested equitable distribution of property and spousal support, that all remaining property be distributed to her, and that her husband be penalized for dissipation of marital property and egregious conduct. In a decision after trial dated July 17, 1996 (the 1996 decision)—at which time the husband was incarcerated for contempt of court because of his failure to pay pendente lite support—Supreme Court granted the wife a divorce on the ground of cruel and inhuman treatment.

The 1996 decision, which contained numerous findings and conclusions, recounted the husband's claims that he could not find employment, that he relied on his mother for financial support, and that he possessed few assets other than the marital

apartment. Supreme Court found that the wife, who did not work during the parties' marriage, enhanced the husband's business with her social connections, and enabled him to pursue his career by taking care of the household and the couple's two children; that the husband seriously dissipated marital assets; and that, although the wife was entitled to \$100,000 per year in lifetime spousal maintenance, the husband would likely never pay, condemning her to "the role of sleuth and detective, always in court." Supreme Court sought to forestall this unpleasant outcome by granting the wife the exclusive right, title and interest in and to, and possession of, the parties' \$3.2 million cooperative apartment in Manhattan; all furniture, furnishings, antiques and works of art; all jewelry, collectibles and personal property she owned or had in her possession including stocks, bonds, equities, cash accounts and funds of any description; 50% of any interest or shares the husband might own in Alexander's department store, the family business; and 100% of any remaining IRA, Keogh or other retirement plan or annuity of which the husband was the owner or beneficiary.

The 1996 decision also addressed a debt the parties owed to Chemical Bank, which is central to the wife's appeal here. In 1994, Chemical Bank had commenced a foreclosure action against the husband and wife to recover a debt based on an equity line of credit that the husband had obtained by pledging as security the cooperative shares assigned to the marital apartment. Supreme Court required the husband either to pay all sums due to Chemical Bank and deliver to the wife a satisfaction of the debt and stipulation of discontinuance with prejudice of the foreclosure action; or, alternatively, to pay one half of the sums due to Chemical Bank and deliver to the wife a stipulation of discontinuance with prejudice of a replevin action that the husband's mother had commenced against the wife.¹ "In the event that [the husband] fails to comply with one of these alternatives within 45 days," the court opined, "[the wife] *may enter a money judgment* against [the husband] for the total amount due and owing to Chemical Bank" (emphasis added).

Supreme Court further specified that

"[o]n condition that [the husband] within 45 days from the date hereof complies with the condition above and pays all outstanding pendente lite sup-

1. This lawsuit subsequently went to trial, where the wife obtained a jury verdict in her favor (see *Farkas v Farkas*, 168 F3d 638 [2d Cir 1999]).

port due and owing to [the wife] pursuant to all money judgments which were heretofore entered and remain unpaid along with any interest thereon to date, he is relieved of all obligations to pay spousal maintenance, both retroactive and future[,] and the current order of contempt under which he remains incarcerated will be vacated.

“The distribution of property set forth above, if it is promptly paid[,] is meant to be in lieu of ongoing spousal maintenance However, if the Chemical Bank debt and outstanding money judgments for spousal maintenance are not paid in full within 45 days of the date hereof[,] this decision may be modified to include additional retroactive spousal maintenance and appropriate ongoing spousal maintenance.”

The Court ended its 1996 decision with the instruction to “[s]ettle judgment.”

Supreme Court’s subsequent judgment dated October 28 and filed December 10, 1996 (the 1996 judgment, which is captioned “COUNTER-JUDGMENT OF DIVORCE”) granted the divorce and recited the distribution of property set out in the 1996 decision. Since the husband had not complied with either alternative for discharging his obligation with respect to the Chemical Bank debt, Supreme Court included the following decretal paragraph in the 1996 judgment:

“ORDERED, ADJUDGED and DECREED, [the husband] is directed to pay in full all sums due to Chemical Bank, including interest, penalties, legal fees and other costs and to deliver to [the wife] or her attorneys . . . evidence of satisfaction of the debt and a stipulation of discontinuance with prejudice of the action brought by Chemical Bank. In lieu thereof, at his option [the husband] may pay one-half of all sums due to Chemical Bank and deliver a discontinuance with prejudice of the action for replevin brought by [the husband’s mother] against [the wife]. In the event that [the husband] fails to comply with either option within 30 days from the date hereof, [the wife] *shall be entitled to enter a money judgment* against [the husband] for the total

amount due and owing to Chemical Bank *without further order*”² (third and fourth emphases added).

The husband appealed. The Appellate Division affirmed, concluding that “[t]he trial court’s distribution of all of the known marital assets to [the wife], as well as award of maintenance and counsel fees to [the wife], is amply supported by the record, including proof that [the husband] had repeatedly and willfully disobeyed interim support orders and dissipated marital property” (*Farkas v Farkas*, 251 AD2d 4 [1st Dept 1998]).

An amended judgment of divorce, dated April 14 and filed April 30, 1999 (the 1999 amended judgment), repeated the 1996 judgment’s provision regarding the debt to Chemical Bank. Specifically, the 1999 amended judgment reiterated that “[i]n the event that [the husband] fails to comply with either option within thirty (30) days from [the] date hereof, [the wife] shall be *entitled to enter a money judgment* against [the husband] for the total amount due and owing to Chemical Bank *without further order*” (emphasis added).

By order to show cause granted June 8, 2000, the wife sought an “Order . . . [p]ursuant to the Order [*sic*] of this Court dated July 17, 1996, entering a Final Judgment against [the husband] for the sum of \$984,401.17, representing the principal sum due Chemical Bank, with interest and penalties.” Supreme Court consolidated this motion with an already-pending motion made by the husband and the wife’s cross motion, and disposed of all these matters in a decision and order dated October 13 and filed October 17, 2000 (the 2000 decision and order).

In the 2000 decision and order, Supreme Court granted the wife’s application “for a money judgment in her favor against [the husband] in the sum of \$984,401.17 in respect of the Chemical Bank foreclosure action.” In so doing, Supreme Court restated, in its entirety, the relevant decretal paragraph from the 1999 amended judgment, italicizing the final sentence, presumably for emphasis.³ Immediately thereafter, the court stated that “[t]here [was] no question that [the husband] ha[d] not complied with [this provision of] the Judgment and according to

2. The phrase “without further order” was added to the typewritten text in handwriting initialed by the Justice.

3. This is the sentence providing that “[i]n the event that [the husband] fails to comply with either option within thirty (30) days from [the] date hereof, [the wife] shall be *entitled to enter a money judgment* against [the husband] for the total amount due and owing to Chemical Bank *without further order*” (emphasis added).

the unequivocal terms thereof, *[the wife] is entitled to the judgment she seeks*” (emphasis added).

At the very end of the 2000 decision and order, Supreme Court set out six paragraphs disposing of the motions and the cross motion. The fifth paragraph provided as follows:

“ORDERED that [the wife’s] application . . . for a money judgment in her favor against [the husband] in the sum of \$984,401.17 in respect of the Chemical Bank foreclosure action, in addition to the bank’s attorneys’ fees, is granted and *[the wife] may settle the judgment thereon*. Upon [the wife’s] suggestion, such judgment shall contain language staying execution thereon pending determination or other disposition of the Chemical Bank foreclosure action” (emphasis added).

In May 2005—4^{1/2} years after Supreme Court’s 2000 decision and order—the wife served the husband with a notice of settlement and proposed judgment regarding the monies owed Chemical Bank. The proposed judgment stated that the wife and Chemical Bank had settled the foreclosure action for \$750,000 in August 2003; accordingly, the proposed judgment against the husband was in the principal amount of \$750,000.

The husband opposed entry, citing 22 NYCRR 202.48 (Rule 202.48). Subdivision (a) states that

“[p]roposed orders or judgments, with proof of service on all parties where the order is directed to be settled or submitted on notice, must be submitted for signature, unless otherwise directed by the court, within 60 days after the signing and filing of the decision directing that the order be settled or submitted.”

Subdivision (b) specifies that failure to submit the order or judgment as directed within the 60-day time frame constitutes an abandonment of the motion or action except upon “good cause shown” (*see* 22 NYCRR 202.48 [b]).

Supreme Court thereafter signed a paper captioned “ORDER/JUDGMENT,” dated June 20 and filed June 23, 2005 (the 2005 judgment), which stated that the wife had

“duly moved this Court by Order to Show Cause . . . for a money judgment against [the husband] in the amount of \$984,401.17, representing the princi-

pal sum due Chemical bank [*sic*] with interest and penalties,

“AND, as to [the wife’s] application . . . for a money judgment in her favor and against [the husband] in the amount of \$984,401.17, in respect to the Chemical Bank foreclosure action, in addition to the bank’s attorney’s fees, was granted. Furthermore, the Chemical Bank foreclosure action was resolved by Stipulation of Settlement between [the wife] and Chemical Bank for [\$750,000] on or about August 6, 2003,

“NOW, after reading said Cross-Motion and Order to Show Cause and the [2000 order], . . .

“IT IS HEREBY ORDERED, that [the wife’s] application . . . is granted in that a Money Judgment is hereby granted in favor of [the wife] . . . against [the husband] . . . in the amount of \$750,000.00 with interest from August 6, 2003, and that [the wife] shall have execution therefor[].”

After the husband appealed, the Appellate Division, with two Justices dissenting, reversed the judgment on the law, vacated it, and dismissed the underlying claim as abandoned pursuant to Rule 202.48. Citing our decisions in *Brill v City of New York* (2 NY3d 648 [2004]) and *Miceli v State Farm Mut. Auto. Ins. Co.* (3 NY3d 725, 726 [2004]), the majority considered itself “constrained to reverse and vacate” because the wife failed to provide any explanation for her untimely submission of the proposed judgment other than “law office failure” (*Farkas v Farkas*, 40 AD3d 207, 207, 211 [2007]). While acknowledging “that there was arguably good cause for delaying settlement of the judgment until after the Chemical Bank foreclosure action was settled in August 2003,” the majority concluded that “the record reveals no justification for [the wife’s] failure to submit a judgment for an additional year and nine months thereafter” (*id.* at 209).

The dissenting Justices acknowledged that Rule 202.48 required the wife to show good cause for not timely settling judgment. They asserted, however, that “the complex matrix of litigation between and involving these former spouses is the framework in which . . . a satisfactory explanation” for the delay could be found (*id.* at 214). Because Supreme Court “was intimately familiar with the parties’ litigation history,” the dis-

sentencing Justices would have deferred to the trial court's discretionary determination that good cause existed (*id.*). Crucially, they also pointed out that both the 1996 judgment and the 1999 amended judgment “authorized [the wife] to enter a money judgment against [the husband] for the total amount due and owing to Chemical Bank *without further order*” (*id.* at 215).

The wife appealed the Appellate Division's May 2007 order to us as of right, based on the dual dissent (*see* CPLR 5601 [a]). The husband sought leave to appeal from the same order, which we granted. His appeal brings up for review the Appellate Division's June 1998 order affirming the 1996 judgment (*see* CPLR 5501 [a] [1]). We now reverse the Appellate Division's May 2007 order, and uphold its June 1998 order.

[1] The 1996 judgment and the 1999 amended judgment unquestionably were not subject to Rule 202.48's 60-day requirement. These judgments carried out the 1996 decision, which directed the parties to “[s]ettle judgment.” Moreover, the decretal paragraph specifically addressing the Chemical Bank monies provided that the wife was “*entitled to enter a money judgment against [the husband] for the total amount due and owing to Chemical Bank without further order*” (emphasis added). That is, this paragraph set out a “simple judgment for a sum of money which speaks for itself,” and therefore falls outside the ambit of Rule 202.48 (*Funk v Barry*, 89 NY2d 364, 367 [1996]). As we emphasized in *Funk*, the “settle” or “submit” trigger for the 60-day limitation of Rule 202.48 (a) “does not purport to govern the flow of the entry process, which is a ministerial recording function that is separate and distinct from the procedure of obtaining the court's signature on a proposed judgment” (89 NY2d at 368 [citations omitted]). And to further drive home the point that no further court action was, in fact, contemplated or required with respect to the monies owed Chemical Bank, Supreme Court added the phrase “without further order” to the typewritten text of the proposed counterjudgment submitted in 1996.

Nonetheless, the wife's attorney moved for an order to show cause allowing the wife to enter a judgment against the husband for the Chemical Bank monies, even though she was already entitled to this relief—without a limitations period—under the plain terms of the 1999 amended judgment and *Funk* (*see* 89 NY2d at 368 [“Significantly, the Legislature has chosen *not to place a time restriction on the completion of entry*” (emphasis

added)]). This unnecessary motion led to the discussion in the 2000 decision and order in which Supreme Court stated—for the third time—that the wife was entitled to the monies owed Chemical Bank without further order, and then unaccountably ordered the wife to “settle . . . judgment” for this very relief. Rule 202.48 cannot deprive a party of a judgment where it has been improperly or unnecessarily invoked in the first place.

[2] Finally, the husband argues in his appeal that Supreme Court punished him for his infidelity and did not make sufficient findings of economic fault to warrant distributing all the marital assets to the wife. We cannot say, however, that Supreme Court abused its discretion as a matter of law when distributing the marital property. Indeed, the record fully supports Supreme Court’s affirmed findings and conclusions of law.

Accordingly, on the appeal of Arlene C. Farkas, the order of the Appellate Division should be reversed, and the order and judgment of Supreme Court reinstated, and on the appeal of Bruce R. Farkas, the order of the Appellate Division, insofar as it brings up for review a prior order of that court, should be affirmed, with one bill of costs to Arlene Farkas.

PIGOTT, J. (dissenting on the appeal by Arlene Farkas). The majority concludes that “Rule 202.48 cannot deprive a party of a judgment where it has been improperly or unnecessarily invoked in the first place” (majority op at 310). While I agree with this principle, I believe that Supreme Court’s 2000 decision and order directing Arlene Farkas (the wife) to “settle . . . judgment” did, indeed, fall within the ambit of 22 NYCRR 202.48 (see *Funk v Barry*, 89 NY2d 364, 365 [1996]). Thus, even accepting as true the majority’s position that the 1996 judgment and 1999 amended judgment were not subject to Rule 202.48, the 2000 order in my view was, triggering the wife’s obligation to submit an order within 60 days. Because I cannot agree with the majority’s analysis of Rule 202.48, I respectfully dissent with respect to the wife’s appeal. I also disagree, however, with the approach taken by the Appellate Division.

When a trial court directs a party to “settle” or “submit” an order and that party, without good cause, fails to do so within 60 days, Rule 202.48 instructs a court to deem abandoned the “motion or action” in response to which the court directed submission of the order (22 NYCRR 202.48 [b]). It does not follow, however, that the party may not renew its motion and cure the untimeliness of its proposed order. The Appellate Division

majority concludes that the rule was intended to deprive a party of a substantive victory. However, in my view, the proper function of Rule 202.48 is to facilitate and quicken the disposition of cases that require court approval of an order drafted by the parties (*see Funk*, 89 NY2d at 368), by providing a timetable whereby a specific motion will be deemed abandoned, if late. Its purpose is not to deprive a party of any underlying relief or threaten her with that loss. Nor does our decision in *Brill v City of New York* (2 NY3d 648 [2004]) dictate a contrary conclusion.

A hypothetical best illustrates my view. Suppose plaintiff sues defendant, alleging a Labor Law § 240 violation resulting in injury. Plaintiff, who intended to move for summary judgment, commits a *Brill* violation and misses the 120-day deadline of CPLR 3212 (a). The motion for summary judgment will not be entertained, with the result being a good deal of inconvenience and the expense of a liability trial that could have been avoided (*see Brill*, 2 NY3d at 653). Plaintiff's victory will be delayed, but it will not be forfeited. And why should it be, since plaintiff was entitled to judgment as a matter of law?

Now vary the scenario, so that plaintiff's attorney timely files and wins a motion for summary judgment establishing that defendant violated Labor Law § 240 and that the violation proximately caused plaintiff's injuries, and the trial court directs plaintiff to submit an order. Through law office oversight, plaintiff's counsel fails to submit the order within the 60-day deadline of Rule 202.48. Time passes, and counsel finally discovers the error. Plaintiff moves again for judgment, attaching a copy of the original decision granting summary judgment and an affidavit noting the error but giving no valid explanation, having no excuse for the untimeliness. If Rule 202.48 operates to vitiate a judgment, as the Appellate Division majority proposes, then after plaintiff fails to timely submit a proposed order, the trial court must not only deny plaintiff's motion but also dismiss a valid claim established before the court as a matter of law.

A similar paradox would emerge when plaintiff's case is patently meritless and defendant wins summary judgment but fails to submit the order within the 60-day deadline of Rule 202.48. Professor David Siegel notes the resulting dilemma. "Should such a case now be tried, even though it has been judicially determined that there is nothing to try? Does the abandonment mean to turn things around 180 degrees, so as to declare summary judgment for the opposing side, the one that

lost on the motion?” (Siegel, NY Prac § 251, at 428 [4th ed], discussing *Feldman v New York City Tr. Auth.*, 171 AD2d 473 [1st Dept 1991].) I think not. “[T]he interests of justice demand that the court not be burdened with the trial of a demonstrably meritless action. A contrary result would not bring the repose to court proceedings that [Rule] 202.48 was designed to effectuate, and would waste judicial resources.” (*Russo v City of New York*, 206 AD2d 355, 356 [2d Dept 1994] [citations and internal quotation marks omitted]; accord *Russell Kikenborg v New York City Health & Hosps. Corp.*, 291 AD2d 281 [1st Dept 2002].)

The Appellate Division majority creates an irrational distinction between a party who fails to meet a CPLR 3212 (a) deadline and one who misses a Rule 202.48 deadline. Whereas the party who runs afoul of *Brill* will receive an adjudication that is at worst redundant, the party who has already won on the merits but misses a Rule 202.48 deadline hands a substantive victory to his opponent. *Brill* threatens an untimely summary judgment movant with the expense and inconvenience of a trial, but the deterrent object of *Brill* is tempered with justice: no party forfeits substantive rights. Under the Appellate Division’s application of *Brill* to Rule 202.48, however, a party who has won a right to a judgment must forfeit that right, and has no opportunity to regain it, in the event his or her attorney inadvertently delays submission of the pertinent order.

In the present case, the wife, who has been granted a money judgment in her favor in the amount of \$750,000, plus interest, would, under the Appellate Division analysis, lose her judgment. She would suffer that loss simply because her counsel—focused on enforcing other long-outstanding money judgments against her duplicitous ex-husband, who had fled from New York, “condemning her to ‘the role of sleuth and detective, always in court’ ” (majority op at 304)—delayed in serving a proposed order. Such an unbending doctrine and harsh result do not reflect the intent of Rule 202.48. What the wife should lose is the time and expense necessary to duplicate her attorney’s efforts—resulting, perhaps, in a lesser priority for her judgment or in a lost opportunity to execute on certain assets of the defendant—but certainly not what the courts have substantively found to be her right.

I would hold that the wife abandoned the motion that Supreme Court decided in her favor in October 2000, by waiting until May 2005 to submit her proposed order, but she did not abandon her substantive right to a judgment. Therefore I would

modify the order of the Appellate Division, affirming insofar as the Appellate Division reversed the order and judgment of Supreme Court awarding the wife \$750,000, plus interest, but reversing so much of the order as dismissed the claim underlying the wife's judgment as abandoned, and would dismiss the motion on which the order and judgment were entered without prejudice to any future application by plaintiff for similar relief.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur on the appeal by Bruce Farkas.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and JONES concur with Judge READ on the appeal by Arlene Farkas; Judge PIGOTT dissents on the appeal by Arlene Farkas and votes to modify in a separate opinion in which Judge SMITH concurs.

On the appeal by Arlene Farkas, order reversed and order and judgment of Supreme Court, New York County, reinstated, and on the appeal by Bruce Farkas, order, insofar as it brings up for review a prior Appellate Division order, affirmed, with one bill of costs payable to Arlene Farkas.

[898 NE2d 17, 869 NYS2d 4]

KATZ PARK AVENUE CORP., Respondent, v BIANCA JAGGER, Appellant, et al., Defendants.

Argued September 3, 2008; decided October 23, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 18, 2007. The Appellate Division (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, New York County (Leland DeGrasse, J.; op 2005 NY Slip Op 30126[U]), as had denied plaintiff's motion for summary judgment and to strike and/or dismiss certain affirmative defenses and counterclaims; and (2) granted the motion to the extent of awarding plaintiff summary judgment on its ejectment cause of action, striking the remaining affirmative defenses, dismissing the second, third and fourth counterclaims, and remanding the matter to determine plaintiff's entitlement to attorney's fees, and upon such a demonstration, for an inquest to determine the amounts due plaintiff therefor and for use and occupancy. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed insofar as appealed from and as limited by the briefs the order of the Supreme Court, properly made?"

Katz Park Ave. Corp. v Jagger, 46 AD3d 186, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Primary Residence

Absent unusual facts not present here, defendant, a foreign national in the United States on a B-2 tourist visa, could not meet the "primary residence" requirement of New York City's rent regulations and could be ejected from her rent stabilized apartment on the ground that the premises were not occupied as her primary residence (Rent Stabilization Code [9 NYCRR] § 2524.4 [c]). The holder of a B-2 visa is required to have a "principal, actual dwelling place" outside the United States (*see* 8 USC § 1101 [a] [15] [B]; [a] [33]). Thus, if her B-2 visa were valid, defendant had a "principal, actual dwelling place in fact" outside the United States. Defendant did not explain how she could at the same time have a "primary residence" in New York City. Accordingly, at least absent some unusual circumstance, a primary residence in New York and a B-2 visa are logically incompatible.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant § 915.

CARMODY-WAIT 2d, Summary Proceedings to Recover Possession of Real Property § 90:30.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 30:65.

9 NYCRR 2524.4 (c).

NY JUR 2d, Landlord and Tenant §§ 469–471; NY JUR 2d, Real Property—Possessory and Related Actions § 22.

NEW YORK REAL PROPERTY SERVICE §§ 74:197, 74:204.

8 USCA § 1101 (a) (15) (B); (33).

ANNOTATION REFERENCE

See ALR Index under Ejectment, Eviction, and Ouster; Landlord and Tenant; Visas.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: primary /2 residence /p tourist /4 visa

POINTS OF COUNSEL

Law Offices of Roger D. Olson, New York City (*Roger D. Olson* of counsel), *Lewis & Roberts, PLLC*, Raleigh, North Carolina (*Daniel K. Bryson* of counsel), and *Law Office of Ryan S. Goldstein, PLLC*, New York City (*Ryan S. Goldstein* of counsel), for appellant. I. The Appellate Division majority opinion erred in holding, as a matter of law, that a foreign citizen with a B-1/B-2 visa is precluded from maintaining a “primary residence” in New York City. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Berkeley Assoc. Co. v Camlakides*, 173 AD2d 193, 78 NY2d 1098; *Hughes v Lenox Hill Hosp.*, 226 AD2d 4; *MSG Pomp Corp. v Doe*, 185 AD2d 798; *Chelsmore Apts. v Garcia*, 189 Misc 2d 542; *East End Temple v Silverman*, 199 AD2d 94; *Matter of New York State Labor Relations Bd. v Le Crepe—No. 3*, 78 Misc 2d 171; *Rocky 116 v Weston*, 195 Misc 2d 363; *Thornton v Baron*, 5 NY3d 175.) II. The Appellate Division majority erred in granting summary judgment where plaintiff failed to establish its entitlement to judgment as a matter of law because (a) the notice of termination was predicated upon a lease that was declared a “nullity” for its purported attempt to exempt the subject apartment from the Rent Stabilization Law, and (b) there was no evidence in admissible form tending to establish that defendant maintained her primary residence at any location other than at the subject premises. (*Drucker v Mauro*, 30 AD3d 37; *Riverside Syndicate, Inc. v Mun-*

roe, 10 NY3d 18; *Draper v Georgia Props.*, 94 NY2d 809; *Glenbriar Co. v Lipsman*, 5 NY3d 388.) III. The Appellate Division majority erred in remanding plaintiff's application for an award of attorney's fees and use and occupancy where it had failed to provide the court with a copy of the lease that was a nullity and, therefore, void ab initio. (*Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Rose v Elias*, 177 AD2d 415.)

Belkin Burden Wenig & Goldman, LLP, New York City (Magda L. Cruz, Sherwin Belkin and Kristine L. Grinberg of counsel), for respondent. I. Appellant's B-2 temporary tourist visa bars appellant from maintaining a primary residence in the United States. (*Emay Props. Corp. v Norton*, 136 Misc 2d 127; *Sommer v Ann Turkel, Inc.*, 137 Misc 2d 7, 139 Misc 2d 892; *Matter of Herzog v Joy*, 74 AD2d 372, 53 NY2d 821; *Emel Realty Corp. v Carey*, 288 AD2d 163; *Matter of Stahl Assoc. Co. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 148 AD2d 258; *Chelsmore Apts. v Garcia*, 189 Misc 2d 542; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *Jain v Immigration & Naturalization Serv.*, 612 F2d 683; *Ruiz-Almanzar v Ridge*, 485 F3d 193; *Muggalli v Ashcroft*, 258 F3d 52.) II. The Appellate Division properly held that appellant failed to meet the primary residence criteria under the rent stabilization laws. III. The Appellate Division properly remanded the owner's application for attorney's fees and use and occupancy to the lower court.

OPINION OF THE COURT

SMITH, J.

We hold that, at least in the absence of unusual facts, a foreign national who is in the United States on a tourist visa cannot meet the "primary residence" requirement of New York City's rent regulations.

Defendant's landlord brought this ejectment action to remove her from a rent stabilized apartment in Manhattan. The landlord alleged that "the Premises are not occupied . . . as the Tenant's primary residence." In support of a motion for summary judgment, the landlord submitted photocopies of pages from defendant's passport, showing that she is a British citizen and was admitted to the United States on a "B-2" visa, commonly known as a tourist visa. In response to the motion, defendant submitted no evidence as to her primary residence, essentially taking the position that the landlord had failed to meet its burden of proof.

Supreme Court denied the landlord's motion (2005 NY Slip Op 30126[U] [2005]), but the Appellate Division reversed, with

two Justices dissenting (46 AD3d 186 [2007]). The Appellate Division granted defendant leave to appeal, and we now affirm.

Under the Rent Stabilization Code (RSC), a landlord may recover possession of a rent stabilized apartment from a tenant whose lease has expired if the apartment “is not occupied by the tenant . . . as his or her primary residence” (RSC [9 NYCRR] § 2524.4 [c]). The Code does not define “primary residence” except to say that “no single factor shall be solely determinative,” and to list “evidence which may be considered” in making the determination (RSC § 2520.6 [u]). An appellate court has defined the term as “an ongoing, substantial, physical nexus with the . . . premises for actual living purposes” (*Emay Props. Corp. v Norton*, 136 Misc 2d 127, 129 [App Term, 1st Dept 1987]).

But while the rent regulations require a “primary residence” in New York, the holder of a B-2 visa is required to have a “principal, actual dwelling place” outside the United States. Federal regulations make B-2 visas available to aliens who are “visitors for pleasure” of the kind described in section 101 (a) (15) (B) of the Immigration and Nationality Act (8 USC § 1101 [a] [15] [B]; see 8 CFR 214.1 [a] [1] [i]; [2]). That subsection of the statute applies only to “an alien . . . having a residence in a foreign country which he has no intention of abandoning” (8 USC § 1101 [a] [15] [B]), and “residence” is defined as “principal, actual dwelling place in fact, without regard to intent” (8 USC § 1101 [a] [33]).

Thus, if her B-2 visa is valid, defendant has a “principal, actual dwelling place in fact” outside the United States. How she could at the same time have a “primary residence” in New York City is something she has not explained. The distinction between “primary residence” and “domicile” (see *Emay Props.*, 136 Misc 2d at 128), relied on by Supreme Court and the dissenting Justices in the Appellate Division, is not relevant, because neither defendant’s status under the rent regulations nor her immigration status depends on domicile.

We conclude that, at least absent some unusual circumstance, a primary residence in New York and a B-2 visa are logically incompatible. No such unusual circumstance exists here. Perhaps there are rare cases in which a tenant could show that her principal dwelling place for immigration purposes is in one place, and her primary residence for rent regulation purposes in another, but defendant has not even tried to make such a show-

ing. Nor has she suggested that her B-2 visa was issued in error, or has become invalid. Thus, we need not consider whether someone who is in the United States illegally may have a primary residence in New York for rent regulation purposes.

Accordingly, the order of the Appellate Division should be affirmed with costs. The certified question should be answered in the affirmative.

CIPARICK, J. (concurring). Because I cannot agree that, as a matter of law, a foreign citizen with a B-1 (business) or a B-2 (tourist) visa is automatically precluded from maintaining a primary residence under New York's rent stabilization laws, and because I further disagree with the proposition that "a primary residence in New York and a B-2 visa are logically incompatible" (see majority op at 317), I write separately. I nonetheless concur in the result as I believe summary judgment was properly granted in this ejectment action since there are no triable issues of fact remaining as to the issue of primary residency considering the unrebutted evidence of the tenant's sporadic and tenuous ties to the occupancy of the apartment, her B-2 "tourist" visa, her admissions that she has not occupied the apartment for over three years (albeit due to a mold condition), reports from building personnel and the lack of New York State tax returns or other proof of residence. Defendant's attempt to rebut plaintiff's contentions in an attorney's affirmation pertaining to solely the issue of an alleged mold condition is insufficient to raise a triable issue of fact.

Rent Stabilization Code (9 NYCRR) § 2524.4 (c) allows a landlord to refuse to renew a stabilized tenant's lease if the tenant does not occupy the premises as a "primary residence." The purpose of this law is to alleviate the shortage of housing in New York City by returning underutilized apartments to the marketplace for residents who need them (see *Matter of Herzog v Joy*, 74 AD2d 372, 374 [1st Dept 1980], *affd for reasons stated below* 53 NY2d 821 [1981]; see also Governor's Mem approving L 1971, ch 371, 1971 McKinney's Session Laws of NY, at 2608). It is axiomatic that residents of New York City who may be in dire need of affordable housing should be able to obtain such housing before occupants who reside elsewhere and misuse rent-stabilized properties as, for example, warehouses, pieds-à-terre for occasional visits or for other more nefarious purposes.

The landlord bears the initial burden of showing that the tenant did not utilize the apartment as a primary residence (see *Glenbriar Co. v Lipsman*, 5 NY3d 388, 392 [2005]). Although

the terminology “primary residence” is, as the majority notes, left undefined by the Code, appellate courts have described it as “an ongoing, substantial, physical nexus with the controlled premises for actual living purposes—which can be demonstrated by objective, empirical evidence” (*Emay Props. Corp. v Norton*, 136 Misc 2d 127, 129 [App Term, 1st Dept 1987]).

The Code does, however, outline the evidentiary factors to be considered in determining primary residency. In doing so, it provides in unequivocal terms that “no single factor shall be solely determinative” (9 NYCRR 2520.6 [u]), because a court should consider all of the relevant evidence, if applicable, including: (1) the address listed by the tenant on any tax return, driver’s license, motor vehicle registration or other document filed with a public agency; (2) the tenant’s address for voter registration; (3) the amount of time the tenant occupies the rent-regulated apartment, specifically if the tenant occupies the apartment for less than an aggregate total of 183 days in the most recent calendar year; and (4) any subletting of the apartment (*see* 9 NYCRR 2520.6 [u] [1]-[4]).

Although this record is replete with indicia of tenant’s non-primary residency, the majority relies on just a single factor—her B-2 visa status (*cf. Glenbriar*, 5 NY3d at 391, 393 [parties put forward evidence of several factors in arguing primary residence]; *Draper v Georgia Props.*, 94 NY2d 809, 811 [1999] [same])—giving undue weight to federal immigration laws in addressing this case which is governed by the Rent Stabilization Code.

United States Constitution, article I, § 8 (4) provides that the federal government has sole authority over immigration matters. The federal government passes immigration laws with a totally different purpose and intent than the Rent Stabilization Code. Consequently, the use of similar terminology in an immigration law should not define the important rights and protections for tenants under our rent stabilization laws. Thus, an analysis of a tenant’s immigration status should not be dispositive or, in certain cases, even relevant to a resident’s ability to maintain rent-stabilized housing (*see Balbuena v IDR Realty LLC*, 6 NY3d 338, 362-363 [2006] [violation of immigration laws alone cannot prevent recovery of damages for work-related injuries]).

Furthermore, as stated in the dissenting opinion below, it is unclear under our current immigration laws whether a B-1 or

B-2 visa holder may be able to stay in the United States for more than one year. B-1 and B-2 visa holders may obtain six-month extensions (see 8 CFR 214.2 [b] [1]), or they may be able to adjust their status by being granted (1) political asylum (see *e.g. Pavlova v Immigration & Naturalization Serv.*, 441 F3d 82 [2d Cir 2006]); (2) student visas (F-1 visas) (see *e.g. Ayoub v Immigration & Naturalization Serv.*, 708 F2d 721 [6th Cir 1982] [table; text at 1982 US App LEXIS 11305]); or (3) temporary-worker privileges (see *e.g. Urban v Immigration & Naturalization Serv.*, 123 F3d 644, 646 [7th Cir 1997]). Thus, the fact that a resident has a B-1 or B-2 visa may not adequately define the duration of residency as adjustments in immigration status can often result in a protracted stay and in some cases be coterminous with the duration of a rent-stabilized lease.

I thus conclude that the evidence submitted by plaintiff, including defendant's immigration status, her extremely limited use of the apartment and the lack of documentary evidence linking her to the residence establishes a prima facie case of nonprimary residence. Because defendant has failed to submit evidence to rebut plaintiff's contentions and likewise to demonstrate that she maintains a substantial physical nexus to the apartment, summary judgment for plaintiff is warranted.

Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge SMITH; Judge CIPARICK concurs in result in a separate opinion; Chief Judge KAYE taking no part.

Order affirmed, etc.

[897 NE2d 1056, 868 NYS2d 575]

JEAN BOUDREAUX et al., Appellants, v STATE OF LOUISIANA,
DEPARTMENT OF TRANSPORTATION et al., Respondents.

Argued September 9, 2008; decided October 28, 2008

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 24, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Charles E. Ramos, J.), which had denied plaintiffs' motion for leave to make two technical changes in a Louisiana judgment so that it could be docketed in New York and vacated the filing of that judgment.

Boudreaux v State of La., Dept. of Transp., 49 AD3d 238, affirmed.

HEADNOTES

Judgments — Foreign Judgment — Full Faith and Credit — Judgment Unenforceable in Rendering Jurisdiction Not Subject to Enforcement in New York

1. Neither the Full Faith and Credit Clause of the United States Constitution (US Const, art IV, § 1) nor CPLR article 54 required New York courts to enforce a money judgment against a State of Louisiana agency that was unenforceable in Louisiana due to constitutional and statutory limitations. Plaintiffs could not circumvent Louisiana's clear mandate that no judgment rendered against it shall be paid unless its Legislature appropriates funds. The Full Faith and Credit Clause requires that a court provide a foreign judgment with the same credit, validity and effect that it would have in the state that pronounced it.

Judgments — Foreign Judgment — Comity — Judgment Unenforceable in Rendering Jurisdiction Not Subject to Enforcement in New York

2. The doctrine of comity did not require New York courts to enforce a money judgment against a State of Louisiana agency that was unenforceable in Louisiana due to constitutional and statutory limitations. Comity is a voluntary decision by one state to defer to the policy of another, especially in the face of a strong assertion of interest by the other jurisdiction. Here, Louisiana had expressed its public policy and its own courts had recognized the validity of that policy. There was no compelling interest in providing New York as a forum for redress. The flood that caused damages to plaintiffs' homes and properties, and resulted in the judgment at issue, occurred in Louisiana and all litigation that arose from the flood was brought in Louisiana. The rights of New Yorkers were not involved in the matter.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 973, 975; AM JUR 2d,

Executions and Enforcement of Judgments §§ 670–672, 674, 675, 678, 710–712.

CARMODY-WAIT 2d, Judgments §§ 63:601–63:607.

McKINNEY's, CPLR art 54.

NY JUR 2d, Conflict of Laws §§ 11–13; NY JUR 2d, Enforcement and Execution of Judgments §§ 340–348, 370, 371.

SIEGEL, NY PRAC §§ 435, 471.

US Const, art IV, § 1.

ANNOTATION REFERENCE

See ALR Index under Comity; Foreign Judgments; Full Faith and Credit.

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Query: full /2 faith /p comity /p money /2 judgment /s state

POINTS OF COUNSEL

Folkenflik & McGerity, New York City (*Max Folkenflik* of counsel), for appellants. I. Under the Full Faith and Credit Clause of the US Constitution, the Louisiana judgment is required to be filed and enforced in accordance with New York enforcement law. (1544-48 *Props. v Maitre*, 184 Misc 2d 984; *Nevada v Hall*, 440 US 410; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65; *Clark v Williard*, 294 US 211; *Chicago, R. I. & P. R. Co. v Sturm*, 174 US 710; *Baker v General Motors Corp.*, 522 US 222; *Morris Plan Indus. Bank of N.Y. v Gunning*, 295 NY 324; *People's Natl. Bank v Hitchcock*, 104 Misc 2d 647; *Matter of Horton*, 91 Misc 2d 885.) II. The statutory scheme of CPLR article 54 requires filing and docketing. (*Fauntleroy v Lum*, 210 US 230; *Stanford v Utley*, 341 F2d 265; *Home Port Rentals, Inc. v International Yachting Group, Inc.*, 252 F3d 399.) III. The technical corrections requested in the order to show cause should be granted. (*Kiker v Nassau County*, 85 NY2d 879.)

Orrick, Herrington & Sutcliffe LLP, New York City (*Michael Stolper* and *Sarah Walcavich* of counsel), for respondents. I. The Full Faith and Credit Clause of the United States Constitution requires New York to recognize Louisiana's limited waiver of sovereign immunity and reject docketing of this Louisiana state court judgment against Louisiana. (*Matter of Farmland Dairies v Barber*, 65 NY2d 51; *Underwriters Nat. Assurance Co.*

v North Carolina Life & Accident & Health Ins. Guaranty Assn., 455 US 691; *New York ex rel. Halvey v Halvey*, 330 US 610; *Kovacs v Brewer*, 356 US 604; *Nevada v Hall*, 440 US 410.) II. Appellants' foreign judgment cannot be docketed in New York because it is stayed as a matter of law in the rendering state.

OPINION OF THE COURT

CIPARICK, J.

This appeal calls upon us to determine whether the Full Faith and Credit Clause of the United States Constitution and the doctrine of comity require New York courts to enforce a money judgment against the State of Louisiana, Department of Transportation (DOT) when such judgment is unenforceable in Louisiana due to constitutional and statutory limitations. We conclude that New York courts are not required to enforce such a money judgment.

In April 1983, flood waters damaged a large number of homes and businesses in Tangipahoa Parish, Louisiana. Plaintiffs Jean Boudreaux and other victims of the flood commenced a class action¹ against the State of Louisiana and various other defendants alleging that the Louisiana DOT disrupted the Tangipahoa River's natural flood plain by negligently constructing the Interstate 12 bridge, thereby causing backwater to submerge plaintiffs' surrounding homes and properties. After prevailing on the issue of liability and exhausting several appeals, plaintiffs were awarded \$91,846,957.04 in damages, plus interest from April 10, 1984. Although plaintiffs have docketed the judgment in 18 Louisiana parishes, they have not been able to recover any portion of the judgment.

In August 2006, plaintiffs attempted to docket the judgment in New York County pursuant to CPLR article 54 so they might reach any assets owned by the State of Louisiana located within the State of New York. A clerk of Supreme Court declined to accept the filing of the judgment, citing two technical defects.² Plaintiffs then moved for leave to correct the deficiencies, which Supreme Court orally denied. The Appellate Division, with one Justice dissenting, affirmed, holding that since plaintiffs' judg-

1. There are 1,286 plaintiffs within the class.

2. The clerk informed plaintiffs' counsel that: (1) the portions of the judgment which were in favor of the class required a named judgment creditor or the name and office address of the attorney for the judgment creditor (*see* CPLR 5018 [c] [1] [ii], [vii]) and (2) the clerk could not compute and enter prejudgment interest on a non-New York judgment.

ment does not become “ ‘payable’ ” against the State of Louisiana until its legislature appropriates the necessary monies to pay the judgment it cannot be enforced in the State of New York, and that as a matter of comity, New York State courts should defer to the laws of Louisiana (49 AD3d 238, 241 [2008]). The dissent concluded that public policy requires enforcement of the judgment. Plaintiffs appealed as of right on constitutional grounds and we now affirm.

[1] Plaintiffs argue that Louisiana waived sovereign immunity in article XII, § 10 (A) of its Constitution.³ Plaintiffs acknowledge, however, that there are constitutional and statutory limitations on a judgment creditor’s ability to seize property of the State of Louisiana to satisfy a judgment. Indeed, article XII, § 10 (C) of the Louisiana Constitution provides that: “[n]o judgment against the state, a state agency, or a political subdivision shall be exigible, payable, or paid except from funds appropriated therefor by the legislature or by the political subdivision against which the judgment is rendered.” Further, Louisiana Revised Statutes Annotated § 13:5109 (B) (2) requires that:

“[a]ny judgment rendered in any suit filed against the state, a state agency, or a political subdivision, or any compromise reached in favor of the plaintiff or plaintiffs in any such suit shall be exigible, payable, and paid only out of funds appropriated for that purpose by the legislature, if the suit was filed against the state or a state agency, or out of funds appropriated for that purpose by the named political subdivision, if the suit was filed against a political subdivision.”

In seeking to enforce the Louisiana judgment in New York, plaintiffs attempt to circumvent Louisiana’s clear mandate that no judgment rendered against it shall be paid unless its legislature appropriates funds. Plaintiffs argue that the Full Faith and Credit Clause⁴ requires that the Louisiana judgment be enforced in accordance with New York law. As we noted in

3. The section provides: “No Immunity in Contract and Tort. Neither the state, a state agency, nor a political subdivision shall be immune from suit and liability in contract or for injury to person or property.”

4. Article IV, § 1 of the United States Constitution requires that: “Full Faith and Credit shall be given in each State to the public Acts, Records, and judicial Proceedings of every other State. And the Congress may by general Laws prescribe the Manner in which such Acts, Records and Proceedings shall be proved, and the Effect thereof.”

O’Connell v Corcoran (1 NY3d 179, 185 [2003]), however, what the Full Faith and Credit Clause requires is that a court provide a foreign judgment with the same credit, validity, and effect that it would have in the state that pronounced it. Certainly, Louisiana courts are aware that a judgment creditor can be left without a remedy when its legislature refuses to appropriate the funds necessary to satisfy a judgment, as is the case here. In *Newman Marchive Partnership, Inc. v City of Shreveport* (979 So 2d 1262 [La 2008]) the Louisiana Supreme Court stated that:

“We recognize, as have courts before us, that our holding today effectively provides [a plaintiff] a right without a remedy . . . However, as the judicial branch, like all branches, derives its power from the constitution, we are bound to accept the limitations placed upon us by that document. Although article V, section 1 grants our branch the judicial power—a power which would seemingly carry with it the inherent ability to enforce judgments—the constitution otherwise limits that power when judgments are rendered against the state and its political subdivisions, and places enforcement of such judgments in the legislature” (*id.* at 1270 [internal quotation marks and citations omitted]).

Thus, what plaintiffs seek is for the courts of New York to enforce a judgment that cannot be enforced in Louisiana. As we stated in *Matter of Farmland Dairies v Barber* (65 NY2d 51 [1985]) the Full Faith and Credit Clause requires

“that the public acts, records and judicial proceedings of each State shall be given full faith and credit in every other State. The doctrine does not make a foreign State judgment a judgment in the forum State. Before that occurs and a locus remedy may be obtained, an action must be brought and a judgment entered on the foreign judgment in the forum State . . . [I]f the foreign court had jurisdiction . . . the courts of every other State must give it the same credit, validity and effect as it has in the State which rendered it” (*id.* at 55 [citations omitted]).

Contrary to plaintiffs’ assertion, we conclude that neither the Full Faith and Credit Clause nor CPLR article 54 requires the enforcement of the Louisiana judgment in New York State.

[2] Nor is it required as a matter of comity. In applying the doctrine of comity, we defer to the Constitution of Louisiana

and the public policy embodied within the statute enacted by its legislature. As we stated in *Ehrlich-Bober & Co. v University of Houston* (49 NY2d 574 [1980]) comity is not a rule of law, but a voluntary decision by one state to defer to the policy of another, especially “in the face of a strong assertion of interest by the other jurisdiction” (*id.* at 580).

Louisiana has expressed its public policy and its own courts have recognized its validity. We agree with the Appellate Division that there is no compelling interest in providing New York as a forum for redress in this case. Indeed, the flood that caused the damage suffered by plaintiffs occurred in Louisiana and all litigation that arose from the flood was brought in Louisiana. The rights of New Yorkers are not involved in this matter at all. Based upon the facts of this case, it is clear that the “wise policy [is] . . . to respect [Louisiana’s] established limits on liability” (*Nevada v Hall*, 440 US 410, 426 [1979]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[898 NE2d 921, 869 NYS2d 878]

In the Matter of BROOKLYN ASSEMBLY HALLS OF JEHOVAH'S WITNESSES, INC., Appellant, v DEPARTMENT OF ENVIRONMENTAL PROTECTION OF THE CITY OF NEW YORK et al., Respondents.

Argued September 9, 2008; decided October 28, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 3, 2007. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Janice A. Taylor, J.; op 2005 NY Slip Op 30298[U]), entered in a proceeding pursuant to CPLR article 78, which had granted the petition, vacated the determination of the Department of Environmental Protection denying petitioner's application for an exemption from water and sewer charges, and directed respondents to approve petitioner's application and to refund the sum of \$12,980.08 paid by petitioner for water and sewer charges since June 4, 2002; (2) denied the petition; and (3) dismissed the proceeding.

Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Env'tl. Protection of City of N.Y., 39 AD3d 541, affirmed.

HEADNOTE

Municipal Corporations — Water and Sewer Rates — Exemption

Petitioner Church, which owned and operated a building used for religious instruction and worship, was not entitled to an exemption from city water and sewer charges for the building pursuant to laws exempting from such charges real property used by a religious corporation exclusively as a place of public worship (*see* L 1887, ch 696, as amended [water exemption statute]; Administrative Code of City of NY § 24-514 [e]), where the building contained two apartments for two caretakers. The City agencies responsible for implementing the water exemption statute had consistently interpreted it sparingly, reading the phrase "*actually dedicated and used . . . exclusively* as a place of public worship" (emphasis added) to exempt from water charges only that portion of a religious corporation's property in fact used for public worship, plus a single caretaker residence. Having permitted the exemption for a single caretaker residence—an interpretation neither mandated nor prohibited by the statute—the agencies were not compelled to allow additional incidental uses. Furthermore, although Real Property Tax Law § 420-a (1) exempts from taxation any real property owned by a corporation or association organized or conducted exclusively for religious purposes, if used exclusively for such purposes, and the term "exclusively," in this context, has

been broadly defined to connote “principal” or “primary,” there was no basis, as a matter of legislative intent, to conclude that “exclusively” was to mean the same thing in the two statutes.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, State and Local Taxation §§ 303, 304, 313–316.
CARMODY-WAIT 2d, Judicial Review of Assessments and
Taxes §§ 146:24, 146:192.
McKINNEY’s, RPTL § 420–a (1).
NY JUR 2d, Taxation and Assessment §§ 173, 178, 180, 185,
190.
NEW YORK REAL PROPERTY SERVICE § 60:16.

ANNOTATION REFERENCE

Taxation: exemption of parsonage or residence of minister,
priest, rabbi, or other church personnel. 55 ALR3d 356.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: church /s exempt! & sewer /5 charge

POINTS OF COUNSEL

Philip Brumley, General Counsel, Watchtower Bible and Tract Society of New York, Inc., Patterson (John O. Miller, III, of counsel), for appellant. The requirement that exempt property be “actually dedicated and used . . . exclusively as a place of public worship” does not preclude the presence of more than one necessary and reasonably incidental dwelling on the property. (*Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Bethelite Community Church, Great Tomorrows Elementary School v Department of Env’tl. Protection of City of N.Y.*, 8 Misc 3d 274, 27 AD3d 256, 8 NY3d 1001; *Matter of Associated YM-YWHA’S of Greater N.Y. v D’Angelo*, 38 Misc 2d 1082; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244.)

Michael A. Cardozo, Corporation Counsel, New York City (Ronald E. Sternberg and Leonard Koerner of counsel), for respondents. Because the administrative interpretation of the

statute in question is reasonable and not arbitrary, capricious or an abuse of discretion, the Appellate Division appropriately “f[ound] no basis to disturb” it. (*Matter of Howard v Wyman*, 28 NY2d 434; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Bethelite Community Church, Great Tomorrows Elementary School v Department of Env'tl. Protection of City of N.Y.*, 27 AD3d 256, 8 NY3d 1001; *Matter of Legion of Christ v Town of Mount Pleasant*, 1 NY3d 406; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Robertson v Zimmermann*, 268 NY 52; *Brass v Rathbone*, 153 NY 435; *Town Bd. of Town of Poughkeepsie v City of Poughkeepsie*, 22 AD2d 270; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143.)

OPINION OF THE COURT

READ, J.

Petitioner Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. (the Church) owns and operates a 100,000-square-foot building at the corner of Flatbush Avenue and Albemarle Road in Brooklyn. The building is four stories high, with an attached three-story structure, and contains multiple meeting and assembly halls used for religious instruction and worship.

Respondent New York City Water Board is an autonomous public benefit corporation empowered to set water and sewer rates sufficient to support New York City's water and sewer systems (Public Authorities Law §§ 1045-f, 1045-j). Pursuant to an agreement between the City and the Board, respondent Department of Environmental Protection (DEP) acts as the Board's agent, responsible for billing and collecting water and sewer charges, maintaining accounts, and issuing determinations upon applications for water and sewer exemptions.

The Church first applied for an exemption from water and sewer charges for the Flatbush building in January 1991. Exemptions from city water charges are governed by chapter 696 of the Laws of 1887, as subsequently amended (the water exemption statute),¹ which provides that

“the real estate owned by any religious corporation
located in the city of New York as now constituted,

1. This statute has not been classified by the Legislature to the Consolidated Laws of the State of New York, nor is it included in McKinney's Unconsolidated Laws.

actually dedicated and used by such corporation exclusively as a place of public worship, [is] hereby exempted from the payment of any sum of money whatever to said city, for the use of water taken by same from said city” (L 1887, ch 696, § 1, as amended by L 1907, ch 135, § 1 [emphasis added]).

Concomitantly, New York City Administrative Code § 24-514 (e) exempts “[a]ny real property . . . entitled to an exemption from the payment of water rents or charges . . . from payment of the sewer rents or charges imposed hereunder.”

In its 1991 exemption application, the Church indicated that the Flatbush building included “2 apartments for 2 caretakers.” When asked whether any portion of the building was used for dwelling purposes and, if so, to describe the occupant’s affiliation with the organization, the Church answered that there were “[t]wo apartments on premises—One is for the manager and his wife. The second apartment is for the technical maintenance caretaker and his wife. All are ministers.”

On April 19, 1991, DEP denied the Church’s application, concluding that the Flatbush building “d[id] not qualify at th[at] time” for the requested exemption. The DEP advised the Church, however, that it

“may qualify for a partial exemption. The only portion qualified would be the basement, first and second floor area. Only one dwelling is allowed for a caretaker.

“Since the entire premises is metered by a single meter [sic] in order to have a partial exemption a branch meter must be installed for the non exempt [sic] portion.”

The Church did not again apply for an exemption until June 4, 2002. In the application’s cover letter, the Flatbush facility’s manager stated that there were “regularly scheduled events 30 weekends per year with approximately 1500-2000 in attendance per day at each event.” Explaining the two caretaker apartments, he added that “[d]ue to the size of our facility, maintenance and security needs, and insurance requirements, a caretaker must be on the premises 24 hours a day, seven days a week. Therefore, two caretakers are needed to live on the premises.”

On June 14, 2002, DEP returned the Church’s application on the ground that “the use of the building ha[d] not changed

[and] therefore the property . . . [was] still not eligible for exemption.” On May 31, 2004 (just shy of a two-year administrative deadline), the Church filed a complaint to contest DEP’s action. Having received no written response, the Church renewed its complaint on January 3, 2005.

On January 27, 2005, DEP’s Exemption Manager endorsed his agency’s 2002 decision to return the Church’s exemption application. He summarized what had happened in 1991, and pointed out that a recent inspection had revealed guest rooms on the building’s fourth floor, or balcony level, which were not disclosed in the Church’s 2002 application. The Exemption Manager then concluded that

“[t]he law states ‘property used **exclusively** as a place of public worship is eligible for exemption’. One dwelling only is allowed for the caretaker. Many of our not-for-profit religious organizations are of considerable size, and have one caretaker or install a separate meter. We cannot make an exception based on the size of the building.”

On February 18, 2005, the Church appealed this decision to the Water Board’s Executive Director.

On June 15, 2005, the Executive Director denied the Church’s appeal and confirmed DEP’s determination. He opined that in order for an organization to qualify for an exemption,

“the premises must be used exclusively for a qualifying purpose, or if the premises is not used exclusively for a qualifying purpose, the non-qualifying portion must be separately metered. For this premises, neither condition is met as the meter records consumption on both the part that may qualify (the assembly hall) and the non-qualifying portion (the additional caretaker apartment and two guest rooms). A single room or a small apartment for a caretaker is considered incidental; accommodations for an additional caretaker and two additional guests are not a qualifying exempt use.”

He further advised the Church that it could pursue “the option of separately metering the water service to the non-exempt portion,” in which event “an exemption [might] then be applied for on the qualifying portion of the premises, and if granted, [would] be applied on a prospective basis only.”

On May 24, 2005, prior to issuance of this unfavorable decision (which was apparently overdue at the time), the Church

commenced a CPLR article 78 proceeding in Supreme Court against DEP, the Executive Director, the City and Mayor Bloomberg. In its amended petition sworn to June 29, 2005, the Church sought a judgment annulling and vacating DEP's and the Executive Director's determinations; and directing and compelling respondents to grant the Church's application for an exemption, and to reimburse the Church for charges paid under protest. The Church argued that the determinations denying its request for exemption were arbitrary and capricious and contrary to law.

In a judgment dated December 15, 2005, Supreme Court granted the Church the relief that it had requested. In an accompanying memorandum dated October 25, 2005, Supreme Court opined that previous trial court decisions allowing an exemption from the payment of water charges under similar circumstances were binding on the Board (2005 NY Slip Op 30298[U]). Further, the Court analogized water exemptions with real property tax exemptions for buildings used exclusively for religious purposes.

After respondents appealed, the Appellate Division reversed on the law, denied the petition and dismissed the proceeding on the merits. The Court considered the Board's 2005 determination to be consistent with DEP's 1991 decision that the Church was, upon a proper application and the same operative facts, entitled only to a partial exemption. The Appellate Division further observed that "while reasonable minds [might] differ as to the precise scope of the statutory exemption," DEP's and the Board's "strict interpretation . . . under the facts presented" was not "so literal and narrow that it defeat[ed] the exemption's settled purpose" (*Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Env'tl. Protection of City of N.Y.*, 39 AD3d 541, 543 [2d Dept 2007] [internal quotation marks and citations omitted]). We granted the Church's motion for leave to appeal (9 NY3d 817 [2008]), and now affirm.

Chapter 696 of the Laws of 1887, entitled "AN ACT to provide hospitals, orphan asylums and other charitable institutions in the city of New York with water, and remitting assessments therefor," originally exempted only the City's "several hospitals, orphan asylums and homes for the aged" from paying "any sum of money whatever to said city, for the use of water taken by the same from said city" (L 1887, ch 696, § 1). Chapter 135 of the Laws of 1907 first added the language "or the real estate owned by any religious corporation located in the city of New York as

now constituted, actually dedicated and used by such corporation exclusively as a place of public worship” (L 1907, ch 135, § 1). The City is the only political entity in the State required to provide free water to certain institutions located within its borders.

And over time, the categories of institutions enjoying the exemption expanded considerably.² In addition, section 93d-9.0 of the Administrative Code allowed the former Board of Estimate, by unanimous vote and with the City Comptroller’s written approval, to cancel liens for water charges for institutions qualified for real property tax exemption under what is now section 420-a (1) of the Real Property Tax Law, thereby excusing additional organizations from paying the City for the water they consumed. For example, educational institutions, which did not qualify for an exemption under the water exemption statute, routinely obtained cancellation of liens for water charges in this way.

The resulting loss of revenue spurred the City to urge the Legislature repeatedly to cut back the statutory scheme, and in 1980, the Legislature responded by enacting a compromise: the exemption was extended to real estate owned by nonprofit corporations or associations used exclusively for K-12 education and entitled to a real property tax exemption, but was structured so as to calibrate the exemption to an organization’s level of water usage,³ or eligibility for government reimbursement (e.g., through Medicaid) for water charges (L 1980, chs 893, 894).

Against this backdrop, the city agencies responsible for implementing the water exemption statute (the Board and DEP)

2. By 1980, for example, in addition to hospitals, orphan asylums, homes for the aged and religious corporations, the statute also exempted dispensaries, women’s shelters, day care centers, emergency relief centers, medical research centers, public baths, free school societies, free circulating libraries, veteran firemen’s associations, social settlements and military veterans’ associations.

3. Specifically, the 1980 amendment limited free water to those institutions where \$5,000 worth of water a year or less was used, and allowed the City to charge half price for usage of more than \$5,000 but not more than \$10,000 a year, and full price where the value of the water supplied exceeded \$10,000 a year (L 1980, ch 893, § 2). In 1982, the Legislature again amended the statute to provide that “[i]n the event the rate charged for water rents or charges is increased, the base values of [\$5,000] and [\$10,000] . . . shall be increased by an amount equal to the percentage increase in such rate” (L 1982, ch 890, § 1). The Legislature also added a two-year sunset provision (*id.* § 2), although the law has been extended every two years since, most recently until September 1, 2010 (*see* L 2008, ch 518).

have consistently interpreted it sparingly, consistent with its plain meaning. That is, they have read the phrase “*actually dedicated and used . . . exclusively* as a place of public worship” (emphasis added) to exempt from water charges only that portion of a religious corporation’s property in fact used for public worship, plus a single caretaker residence. Such incidental uses as additional caretaker residences are not exempt; guest rooms for visiting clergy are not exempt; and clergy residences are not exempt unless the clergy doubles as the caretaker. Where nonexempt and exempt uses coexist on the same property, the agencies afford a partial exemption to the religious corporation, subject to some mechanism, such as submetering, for separately identifying the exempt and nonexempt volumes of water consumed.

As a general rule, “the construction given statutes . . . by the agency responsible for their administration, if not irrational or unreasonable, should be upheld” (*Matter of Howard v Wyman*, 28 NY2d 434, 438 [1971]; see also *Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008]). Here, the Church argues that the agencies’ interpretation of the water exemption statute is, in fact, arbitrary, capricious and without rational basis for two reasons.

First, the Church objects that the agencies ignore a religious organization’s actual need and actual water consumption. In short, “the City’s response to all applications for exemption is based on a rigid, one-size-fits-all standard regardless of individual circumstances or mitigating factors.” In effect, the Church advances the proposition that, having read the statute broadly enough to extend the exemption to a single caretaker residence, the agencies must assess how many caretakers a religious corporation actually needs when multiple caretaker residences are claimed in an exemption application.

But having opened the door a crack for a single caretaker residence—an interpretation neither mandated nor prohibited by the statute—the agencies are not compelled to fling it wide open to welcome additional incidental uses. Nothing in the water exemption statute’s legislative history or evolution over time suggests that the Legislature intended a broad interpretation. The Legislature itself has, after all, cabined the exemption, recognizing that the City incurs costs to supply water to its citizens, which are normally recouped through charges linked to usage. To the extent that certain users are excused from paying their share of these costs, an additional burden falls upon other consumers.

While the agencies might legitimately have chosen to read the statute more generously, we cannot say that they acted irrationally by limiting the exemption to premises devoted exclusively to public worship plus the residence of a caretaker for these premises, if there is one. This interpretation, uniformly applicable to religious corporations throughout the City, is easily understood and administered, and is reasonable in light of the water exemption statute's language and legislative history.

Next, the Church points to Real Property Tax Law § 420-a (1), which exempts from taxation any real property owned by a corporation or association organized or conducted exclusively for religious purposes, if used exclusively for such purposes. In *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg* (79 NY2d 244 [1992]), we explained that “[t]he term ‘exclusively’, in this context, has been broadly defined to connote ‘principal’ or ‘primary’ such that purposes and uses merely ‘auxiliary or incidental to the main and exempt purpose and use will not defeat the exemption’ ” (*id.* at 249, quoting *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143, 153 [1974] [emphasis added]).

The agencies were not, however, called upon to interpret the statutory exemption from water charges afforded religious corporations “in th[e] context” of Real Property Tax Law § 420-a (1). The water exemption statute does not identify eligible religious organizations by referring to Real Property Tax Law § 420-a (1) (or its predecessor statute in effect in 1907, section 4 [7] of the 1896 Tax Law [L 1896, ch 908]). Further, section 420-a (1) (which originated in the Tax Law) and the water exemption statute (which has always been freestanding) do not share a common legislative source; the enactors of the water exemption statute obviously could not have known how the courts would explain the word “exclusively” in the Real Property Tax Law many decades later. There is no basis, therefore, as a matter of legislative intent, to conclude that “exclusively” was to mean the same thing in the two statutes.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). Because I believe the Department of Environmental Protection's (DEP) unwritten rule—that in order for the religious property to qualify for exemption pursuant to the water exemption statute or the sewer ordinance it may not contain more than one caretaker residence on the proper-

ty—is arbitrary, capricious and unreasonable, I respectfully dissent.

The water exemption statute here at issue provides, in relevant part, that

“the real estate owned by any religious corporation located in the city of New York as now constituted, actually dedicated and *used by such corporation exclusively as a place of public worship* . . . [is] hereby exempted from the payment of any sum of money whatever to said city, for the use of water taken by same from said city” (L 1887, ch 696, § 1, as amended by, inter alia, L 1907, ch 135, § 1, and L 1980, ch 893, § 1 [emphasis added]).

The City’s sewer ordinance provides that any property entitled to an exemption from the payment of water rents or charges shall also be exempt from payment of the sewer rents or charges (Administrative Code of City of NY § 24-514 [b] [5]; [e]). The pertinent issue in this case is whether the property is used “exclusively as a place of public worship” to qualify for the exemption.

The Church argues without contradiction that exclusive use also includes uses of that property that are incidental to the property’s eleemosynary use. By allowing one caretaker residence, the DEP concedes that “exclusive use” cannot be interpreted literally and another use may exist on the property. Why is it then, the Church asks, that one caretaker for a small religious property is permitted under the exemption, but two caretakers, essential for a much larger institution, are not? A good question that, in my view, has no answer and requires reversal in this case.

The Church points us to two prior decisions of New York courts that have rejected the City’s one caretaker rule. In *Matter of Bethelite Community Church, Great Tomorrows Elementary School v Department of Env’tl. Protection of City of N.Y.* (27 AD3d 256 [1st Dept 2006], *revd on other grounds* 8 NY3d 1001 [2007]), the First Department held that a corporation that operated a church and school in a building in Manhattan was entitled to an exemption from the payment of water and sewer charges pursuant to the statute, despite the fact that the pastor, a church administrator/religious counselor and a full-time teacher for the school resided in three apartments within the building. And in *Matter of Chung*

Te Buddhist Assn. of N.Y., Inc. v Kusterbeck (2003 NY Slip Op 51432[U] [Sup Ct, NY County 2003]), Supreme Court granted a water exemption to an applicant that had 14 rooms for overnight guests and priests.

Those two courts found persuasive our cases interpreting the exemption for religious organizations from real property taxes,* noting that these exemption statutes “have [the] same underlying purpose” (*Chung*, 2003 NY Slip Op 51432[U] at *5). In interpreting the exemption for religious organizations under the Real Property Tax Law, we have construed the Legislature’s requirement that the religious property be used “exclusively” for its religious purposes to mean “principally” or “primarily” (see *Matter of Symphony Space v Tishelman*, 60 NY2d 33, 38 [1983]; *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476, 483 [1979]), and held that “uses merely auxiliary or incidental to the main and exempt purpose and use will not defeat the exemption” (*Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244, 249 [1992] [internal quotation marks omitted]).

In *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg* (79 NY2d 244 [1992]), we considered whether a not-for-profit religious corporation whose primary purpose is the teaching of principles and doctrines of the Jewish faith was entitled to real property tax exemption for a 31-acre parcel of land it owned. The property was used primarily during the summer months when students were provided rigorous religious and educational instruction. The property contained a main building with a kitchen and communal dining room, a ritual bath, recreational facilities, classrooms, synagogues and a variety of housing facilities including 64 bungalows and six trailers (*id.* at 247). Petitioner sought exemption pursuant to section 420-a of the Real Property Tax Law, but was granted the application only in part. The assessor determined that the housing units and wooded land were taxable because they were not used

* Real Property Tax Law § 420-a provides for mandatory real property tax exemption for religious organizations. This section states in pertinent part that:

“Real property owned by a corporation or association organized or conducted *exclusively* for . . . *religious . . . purposes*, and *used exclusively* for carrying out thereupon one or more of such purposes either by the owning corporation or association or by another such corporation or association as hereinafter provided shall be exempt from taxation as provided in this section” (RPTL 420-a [1] [a] [emphasis added]).

exclusively for religious purposes (*id.* at 248). We stated the test for “exclusive use” under the Real Property Tax Law as follows:

“The test of entitlement to tax exemption under the ‘used exclusively’ clause of the statute is whether the particular use is ‘reasonably incident[al] to the [primary or] major purpose of the [facility]’. Put differently, the determination of ‘whether the property is used exclusively for the statutory purposes depends upon whether its primary use is in furtherance of the permitted purposes’ ” (*id.* at 250 [citation and some internal quotation marks omitted]).

Applying this test, we held that the entire property, including the housing units and the trailer occupied by the caretaker, was entitled to a real property tax exemption because the challenged uses were incidental to the religious purposes of the organization.

Here, the DEP offers no explanation how a single caretaker residence better achieves the objective of the water or sewer exemption, while two, or perhaps one and a visiting pastor’s residence, do not. Nor does the statute’s language or the legislative history support the DEP’s rule. The purpose of the water exemption statute, like that of the Real Property Tax Law exemption, is to benefit not-for-profit charitable, educational and religious organizations. The City’s strict one caretaker rule ignores an exempt organization’s actual need, by denying the statutory exemption to those organizations whose exempt use requires more on-site personnel or incidental facilities than a similar smaller institution. The small and large, by being treated the same, are being treated unequally.

The test for entitlement to an exemption under the water statute or sewer ordinance should be clear—whether the particular use is reasonably incidental to the primary purpose of the exempt organization. Applying such a test here, not even the DEP disputes that the Church is a religious corporation whose real property is dedicated and used exclusively as a place of public worship. Nor does the DEP dispute the Church’s stated need for round the clock caretakers and that the residences for those caretakers are “incidental and necessary” to the operation of the Church. It has simply decided that “one is enough” and that position, in my view, is arbitrary.

Consequently, the DEP’s decision to deny the requested exemption was arbitrary and capricious and should be reversed.

Chief Judge KAYE and Judges CIPARICK and GRAFFEO concur with Judge READ; Judge PIGOTT dissents in a separate opinion in which Judges SMITH and JONES concur.

Order affirmed, with costs.

[899 NE2d 920, 870 NYS2d 814]

EPISCOPAL DIOCESE OF ROCHESTER et al., Respondents, v DAVID HARNISH, Former Rector of All Saints Protestant Episcopal Church, et al., Appellants, et al., Defendants.

In the Matter of ALL SAINTS ANGLICAN CHURCH, Formerly Known as ALL SAINTS PROTESTANT EPISCOPAL CHURCH, Appellant, v EPISCOPAL DIOCESE OF ROCHESTER et al., Respondents.

Argued September 9, 2008; decided October 23, 2008

SUMMARY

APPEAL, in the first above-entitled matter, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 28, 2007. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Monroe County (Kenneth R. Fisher, J.; op 17 Misc 3d 1105[A], 2006 NY Slip Op 52600[U]), which, insofar as appealed from, had granted in part plaintiffs' motion for summary judgment and declared that plaintiffs were entitled to the real and personal property at issue that was held in trust by defendant All Saints Anglican Church (formerly All Saints Protestant Episcopal Church) for the benefit of plaintiff Episcopal Diocese of Rochester and the Protestant Episcopal Church in the United States of America, ordered an accounting, declared the January 23, 2006 certificate of amendment to the certificate of incorporation of All Saints Protestant Episcopal Church null and void, enjoined defendants from conducting any activity and/or business for or on behalf of the former All Saints Protestant Episcopal Church under the corporation All Saints Anglican Church, and dismissed defendants' counterclaims.

APPEAL, in the second above-entitled matter, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 28, 2007. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Monroe County (Kenneth R. Fisher, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition.

Episcopal Diocese of Rochester v Harnish, 43 AD3d 1406, affirmed.

Matter of All Sts. Anglican Church v Episcopal Diocese of Rochester, 43 AD3d 1406, affirmed.

HEADNOTES**Religious Corporations and Associations — Determination of Claim to Real Property — Express Trust**

1. Defendant local Episcopal parish held its real and personal property in trust for the benefit of plaintiff Diocese and nonparty Protestant Episcopal Church in the United States of America (National Church), such that upon defendant's separation from the Diocese its property reverted back to the Diocese or the National Church. Application of the neutral principles doctrine to church property disputes requires a court to focus on the language of the deeds, the terms of the local church charter, the state statutes governing the holding of church property, and the provisions in the constitution of the general church concerning the ownership and control of church property, and to determine whether those documents indicate that the parties intended to create a trust or restriction. Here, nothing in the deeds established an express trust, defendant's certificate of incorporation did not indicate that the church property was to be held in trust, and there was no provision of the Religious Corporations Law that conclusively established a trust in favor of either the Diocese or the National Church. However, under the Dennis Canons, adopted in 1979 by the General Convention of the National Church, a parish holds its property in trust for the Diocese and the National Church, and defendant agreed to abide by the express trust established by the Dennis Canons either upon incorporation or upon recognition as a parish in spiritual union with the Diocese. Although the Dennis Canons were adopted nearly 30 years after defendant became a parish, defendant had agreed to abide by all "canonical and legal enactments," and it was unlikely that the parties intended that defendant could reserve a veto over every future change in the canons. Moreover, defendant never objected to the applicability or attempted to remove itself from the reach of the Dennis Canons in the more than 20 years since the National Church adopted the express trust provision.

Religious Corporations and Associations — Judicial Review — Resolution Dissolving Parish

2. The resolution by a diocese deeming a local Episcopal parish "extinct" was an ecclesiastical determination not subject to judicial review.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Religious Societies §§ 3, 35, 43, 49.

NY JUR 2d, Religious Organizations §§ 7, 15, 72, 76.

ANNOTATION REFERENCE

Determination of property rights between local church and parent church body: modern view. 52 ALR3d 324.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: church /s property /4 trust /p diocese

POINTS OF COUNSEL

Eugene Van Voorhis, Rochester, and *Adam Clark* for appellants in the first and second above-entitled matters. I. Plaintiffs-

respondents in action No. 1 and respondent-respondent in action No. 2 did not make a showing of sufficient admissible, undisputed evidence as a matter of law to warrant summary judgment declaring that an express or implied trust in All Saints Protestant Episcopal Church's property was ever created in favor of the Episcopal Diocese of Rochester and/or the Protestant Episcopal Church in the United States of America. (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Zuckerman v City of New York*, 49 NY2d 557; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Matter of Redemption Church of Christ of Apostolic Faith v Williams*, 84 AD2d 648; *Greenberg v Manlon Realty*, 43 AD2d 968; *Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439; *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, 250 AD2d 282; *Jones v Wolf*, 443 US 595; *Watson v Jones*, 13 Wall [80 US] 679.) II. Under neutral principles of law All Saints Protestant Episcopal Church (All Saints) does not hold its property in trust for the Episcopal Diocese of Rochester or for Protestant Episcopal Church in the United States of America (ECUSA), and mere passage of Protestant Episcopal Church in the United States of America canons I.7.4 and I.7.5 (Dennis Canon) could not create a trust in All Saints' property under New York law, nor did the Dennis Canon codify existing ECUSA polity. (*Board of Mgrs. of Diocesan Missionary & Church Extension Socy. of Prot. Episcopal Church in Diocese of N.Y. v Church of Holy Comforter*, 164 Misc 2d 661, 212 AD2d 657; *Presbytery of Hudson Riv. of Presbyt. Church [U.S.A.] v Trustees of First Presbyt. Church & Congregation of Ridgeberry*, 13 Misc 3d 707; *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, 250 AD2d 282.) III. Expulsion of All Saints Protestant Episcopal Church (All Saints) from the Episcopal Diocese of Rochester (Diocese) could not trigger a forfeiture of All Saints' property to the Diocese under neutral principles of New York law. (*Westminster Presbyt. Church of W. Twenty-Third St. v Trustees of Presbytery of N.Y.*, 211 NY 214; *Ludlow v Rector, Church Wardens & Vestrymen of St. John's Church*, 68 Misc 400, 144 App Div 207, 207 NY 689; *Matter of Venigalla v Alagappan*, 307 AD2d 1041; *Watson v Christie*, 288 AD2d 29; *Natoli v Milazzo*, 9 Misc 3d 1116[A], 2005 NY Slip Op 51570[U], 35 AD3d 823; *Rector, Churchwardens & Vestrymen of Church of Holy Trinity v Melish*, 4 AD2d 256.) IV. It was error on the part of the trial court to predicate its decision of the effect of article 3 of the Religious Corporations Law on the relationship of All Saints Protestant Episcopal

Church to the Episcopal Diocese of Rochester and Protestant Episcopal Church in the United States of America, especially since serious questions have been raised in the courts below by appellants as to the constitutionality of parts or all of the Religious Corporations Law under the Establishment Clause of the First Amendment to the Constitution of the United States and under the Preference Clause of article I, § 3 of the New York State Constitution. (*Cantwell v Connecticut*, 310 US 296; *Lemon v Kurtzman*, 403 US 602; *McCreary County v American Civil Liberties Union of Ky.*, 545 US 844; *Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Larson v Valente*, 456 US 228, 457 US 1111; *Storm v Town of Woodstock, N.Y.*, 32 F Supp 2d 520; *United States v Lee*, 455 US 252; *Morris v Scribner*, 69 NY2d 418; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*, 393 US 440; *Trustees of Presbytery of N.Y. v Westminster Presbyt. Church of W. Twenty-Third St.*, 222 NY 305.) V. In resolving the difference between the decisions in the Third and Fourth Departments of the Appellate Division in *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville* (250 AD2d 282 [3d Dept 1999]) and in the present case on the one hand and the decision of the Appellate Division, Second Department in *Board of Mgrs. of Diocesan Missionary & Church Extension Socy. of Prot. Episcopal Church in Diocese of N.Y. v Church of Holy Comforter* (164 Misc 2d 661 [Sup Ct, Dutchess County 1993], *affd* 212 AD2d 657 [2d Dept 1995]) on the other, it is respectfully submitted that the ruling in the latter case should be deemed the correct statement of New York law under neutral principles of law. (*Jones v Wolf*, 443 US 595.)

Harter Secrest & Emery LLP, Rochester (Thomas G. Smith and Carol L. O'Keefe of counsel), for respondents in the first and second above-entitled matters. I. Under neutral principles of law analysis, All Saints Protestant Episcopal Church held its property in trust for the Episcopal Diocese of Rochester and the Protestant Episcopal Church in the United States of America. (*Jones v Wolf*, 443 US 595; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110, 469 US 1037; *North Cent. N.Y. Annual Conference v Felker*, 28 AD3d 1130; *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, 250 AD2d 282; *Board of Mgrs. of Diocesan Missionary & Church Extension Socy. of Prot. Episcopal Church in Diocese of N.Y. v Church of Holy Comforter*, 164 Misc 2d 661; *Maryland & Virginia Eldership of Churches of God v Church of God at Sharpsburg, Inc.*, 396 US 367; *North Cent. N.Y. Annual*

Conference v Felker, 28 AD3d 1130; *Presbytery of Hudson Riv. of Presbyt. Church [U.S.A.] v Trustees of First Presbyt. Church & Congregation of Ridgeberry*, 13 Misc 3d 707; *Noel v L & M Holding Corp.*, 35 AD3d 681; *Anderson v Livonia, Avon & Lakeville R.R. Corp.*, 300 AD2d 1134.) II. No justiciable controversy exists regarding the constitutionality of the Religious Corporations Law. (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527; *Islamic Ctr. of Harrison, Pa. v Islamic Science Found.*, 216 AD2d 357; *Watson v Jones*, 13 Wall [80 US] 679; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*, 393 US 440; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696; *Jones v Wolf*, 443 US 595; *Dixon v Edwards*, 290 F3d 699; *Tomic v Catholic Diocese of Peoria*, 442 F3d 1036; *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, 250 AD2d 282; *Upstate N.Y. Synod of Evangelical Lutheran Church in Am. v Christ Evangelical Lutheran Church of Buffalo*, 185 AD2d 693.) III. The applicable provisions of the Religious Corporations Law do not violate the national church canons and constitution. (*People v Pagnotta*, 25 NY2d 333; *Matter of Van Berkel v Power*, 16 NY2d 37; *Lemon v Kurtzman*, 403 US 602; *Rector, Churchwardens & Vestrymen of Church of Holy Trinity v Melish*, 4 AD2d 256, 3 NY2d 476; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94; *Watson v Jones*, 13 Wall [80 US] 679; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696; *Jones v Wolf*, 443 US 595; *Maryland & Virginia Eldership of Churches of God v Church of God at Sharpsburg, Inc.*, 396 US 367.)

Goodwin Procter LLP, Washington, DC (Heather H. Anderson, Adam M. Chud and Soyong Cho of counsel), for Episcopal Church, amicus curiae in the first and second above-entitled matters. I. The First Amendment prohibits governmental interference in the internal governance of churches. (*Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Watson v Jones*, 13 Wall [80 US] 679; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*, 393 US 440; *Maryland & Virginia Eldership of Churches of God v Church of God at Sharpsburg, Inc.*, 396 US 367; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696; *Jones v Wolf*, 443 US 595; *Avitzur v Avitzur*, 58 NY2d 108; *Park Slope Jewish Ctr. v Congregation*

B'nai Jacob, 90 NY2d 517.) II. The lower courts properly applied neutral principles of law analysis in this case. (*First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110; *Jones v Wolf*, 13 Wall [80 US] 679; *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, 250 AD2d 282; *North Cent. N.Y. Annual Conference v Felker*, 28 AD3d 1130.) III. The result dictated by New York precedent and reached by the lower courts in this case is consistent with authority from around the country. IV. All Saints Protestant Episcopal Church is bound by the Protestant Episcopal Church in the United States of America's express trust canon adopted in 1979. (*Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, 250 AD2d 282; *Polin v Kaplan*, 257 NY 277; *Havens v King*, 221 App Div 475, *affd sub nom. Havens v Dodge*, 250 NY 617; *Jones v Wolf*, 443 US 595.) V. The lower court's decision is consistent with other applicable principles of New York law. (*Polin v Kaplan*, 257 NY 277; *Havens v King*, 221 App Div 475, *affd sub nom. Havens v Dodge*, 250 NY 617; *Burt v Oneida Community*, 137 NY 346; *Temple Beth AM v Tanenbaum*, 6 Misc 3d 373; *Watson v Jones*, 13 Wall [80 US] 679; *Lefkowitz v Cornell Univ.*, 35 AD2d 166, 28 NY2d 876; *Conklin v State of New York*, 284 App Div 193; *Saint Joseph's Hosp. v Bennett*, 281 NY 115.) VI. Appellants have not presented a justiciable controversy for ruling on the constitutionality of New York's Religious Corporations Law. (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527; *Ashcroft v Mattis*, 431 US 171; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110.)

Jacobowitz and Gubits, LLP, Walden (Donald G. Nichol of counsel), for Presbyterians for Constitutional Action, amicus curiae in the first and second above-entitled matters. I. Since the quitclaim from the Episcopal Diocese of Rochester to All Saints Protestant Episcopal Church is unambiguous, neutral principles of law must enforce the deed. (*Loch Sheldrake Assoc. v Evans*, 306 NY 297; *Uihlein v Matthews*, 172 NY 154; *Jones v Wolf*, 443 US 595; *Watson v Jones*, 13 Wall [80 US] 679; *Matter of Piel*, 10 NY3d 163; *Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256; *Matter of Cord*, 58 NY2d 539; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110.) II. The Episcopal Diocese of Rochester has failed to prove a trust beyond a reasonable doubt. (*Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc. v Congregation Yetev Lev D'Satmar, Inc.*, 9 NY3d 297; *Beaver v Beaver*, 117 NY 421; *Jones v Wolf*, 443 US 595.) III. The Episcopal constitu-

tion may not be enforced. IV. The Religious Corporations Law is unconstitutional. (*Grumet v Pataki*, 93 NY2d 677; *Petty v Tooker*, 21 NY 267.)

Raymond J. Dague, PLLC, Syracuse (*Raymond J. Dague* of counsel), for Church of the Good Shepherd, amicus curiae in the first and second above-entitled matters. I. The *Jones v Wolf* (443 US 595 [1979]) “neutral principles of law” standard does not allow civil enforcement of church canons in derogation of state property and trust law. (*First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110; *Watson v Jones*, 13 Wall [80 US] 679.) II. Protestant Episcopal Church in the United States of America’s (ECUSA) own official commentaries on the ECUSA constitution and canons recognize the ECUSA property canons are not civilly enforceable. (*Jones v Wolf*, 443 US 595.) III. Protestant Episcopal Church in the United States of America canons I.7.4 and II.6.4 were never properly adopted. (*Jones v Wolf*, 443 US 595.)

OPINION OF THE COURT

JONES, J.

The question before this Court is whether defendant All Saints Protestant Episcopal Church (All Saints, or the parish) held its real and personal property in trust for the benefit of plaintiff Episcopal Diocese of Rochester (Rochester Diocese) and nonparty Protestant Episcopal Church in the United States of America (National Church), such that upon the parish’s separation from the Rochester Diocese its property reverted back to the Rochester Diocese or the National Church. For the reasons stated below, we answer this question in the affirmative.

Background

The National Church was founded in the late 1700s and is a member of the Anglican Communion, a group of churches rooted in the doctrine, discipline and worship of the Church of England’s Book of Common Prayer. The National Church has a hierarchical form of governance. Its governing body, the General Convention, adopted—and periodically amends—a constitution and canons (the National Canons) that manifest its doctrinal law.

The Rochester Diocese is incorporated under article 3 of the Religious Corporations Law, which solely governs Protestant

Episcopal parishes or churches.¹ As a member of the National Church, the Diocese is governed by annual Conventions or Councils and, in addition to the National Canons, has adopted its own Diocesan Canons (the Rochester Canons).

All Saints was originally organized in 1927 as a mission under the ecclesiastical canons of the National Church and the Episcopal Diocese of Western New York.² Later that year All Saints incorporated under article 3 of the Religious Corporations Law. In 1947, All Saints applied to the Rochester Diocese to be recognized as a parish in spiritual union with the Diocese. To this end, All Saints signed a document agreeing “to abide by and conform to the constitution and Canons in force in the Episcopal Diocese of Rochester and to conform to all the canonical and legal enactments thereof.” The Bishop of the Diocese approved this union, and All Saints thereafter became a parish.

Facts and Procedural History

Due to serious theological disputes between the Rochester Diocese and the vestry (the leadership) of All Saints, in November 2005, the governing body of the Rochester Diocese—the Diocesan Convention—approved a resolution declaring the parish ecclesiastically “extinct.”³ The Convention also resolved that All Saints’ real property and tangible and intangible assets were to be “transferred to the trustees of the [Rochester Diocese].”⁴ All Saints, however, maintained that it held legal title to the real and personal property and, as it held the property free and clear under New York property law, neither the Rochester Diocese nor the National Church had claim to the property.

Plaintiffs commenced the instant declaratory judgment action seeking, among other relief, (1) a judgment that the real and personal property of All Saints was impressed with a trust in

1. Its predecessor was the Episcopal Diocese of Western New York.

2. A more detailed description of the history of and property relating to All Saints (e.g., the deeds) can be found in *Episcopal Diocese of Rochester v Harnish* (17 Misc 3d 1105[A], 2006 NY Slip Op 52600[U] [Sup Ct, Monroe County, Sept. 13, 2006]).

3. The parties acknowledge that the resolution was a purely ecclesiastical determination.

4. Subsequently, All Saints sought ecclesiastical oversight by other bodies within the Anglican Communion and All Saints notified plaintiff Rt. Reverend Jack M. McKelvey (Bishop of the Rochester Diocese), by letter, that it was now under the ecclesiastical authority of Archbishop Henry Orombi, Archbishop of the Church of the Province of Uganda. It also sought to amend its certificate of incorporation to change its name from All Saints Protestant Episcopal Church to “All Saints Anglican Church.”

favor of the Rochester Diocese and National Church, (2) an injunction barring All Saints from interfering with the Rochester Diocese's ownership and use of the property and (3) an accounting. Defendants counterclaimed, seeking to (1) quiet title to the property, (2) declare certain provisions of the Religious Corporations Law null and void under the Establishment Clause of First Amendment of the United States Constitution and (3) enjoin the Rochester Diocese from trespassing and interfering in All Saints. Further, All Saints brought a CPLR article 78 proceeding against the Rochester Diocese, seeking to annul the determination declaring the parish extinct. All Saints argued that the Rochester Diocese abused its discretion and failed to follow its own rules and New York law when it declared All Saints extinct.

Relying on *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville* (250 AD2d 282 [3d Dept 1999]), Supreme Court granted summary judgment to plaintiffs, declaring that All Saints held all the real and personal property of the local parish for the benefit of the Rochester Diocese and National Church and dismissing defendants' counterclaims. The Appellate Division affirmed "for reasons stated in the decision at Supreme Court" and also affirmed Supreme Court's dismissal of the article 78 petition since the Rochester Diocese's decision to dissolve the parish was a purely ecclesiastical determination and not reviewable by the Court (43 AD3d 1406 [2007]). We granted defendants leave to appeal (9 NY3d 1027 [2008]) and now affirm.

Discussion

Plaintiffs argue that there has been both an express and implied trust in favor of the Rochester Diocese and the National Church since All Saints' incorporation pursuant to article 3 of the Religious Corporations Law. Specifically, plaintiffs contend that All Saints expressly agreed to abide by the constitution and canons of the Rochester Diocese and is, therefore, subject to the trust doctrine of National Canons I.7.4 and I.7.5 (the Dennis Canons).⁵ Under the Dennis Canons, a parish holds its property in trust for the Diocese and the National Church. Plaintiffs also

5. The Dennis Canons were adopted in 1979 by the General Convention of the National Church. They provide:

"Sec. 4 All real and personal property held by or for the benefit of any Parish, Mission or Congregation is held in trust for this Church and the Diocese thereof in which Parish, Mission or Con-

(n. cont'd)

contend that Rochester Canon 8⁶ reaffirms this doctrine, and that the Religious Corporations Law (*see* art 3, § 42-a; art 2, § 5⁷) further supports their contention that a religious corporation, incorporated pursuant to article 3 of the Religious Corporations Law, holds its property in trust for the Diocese and the National Church. Finally, plaintiffs argue that All Saints has remained an Episcopal parish for more than 20 years after adoption of the Dennis Canons without challenging their substance or applicability.

Defendants contend that a factual question exists as to whether an express or constructive trust was created or existed in favor of the Rochester Diocese and/or the National Church when they were expelled from the Rochester Diocese. Specifi-

gregation is located. The existence of this trust, however, shall in no way limit the power and authority of the Parish, Mission or Congregation otherwise existing over such property so long as the particular Parish, Mission or Congregation remains a part of, and subject to, this Church and its Constitution and Canons.

“Sec. 5 The several Dioceses may, at their election, further confirm the trust declared under the foregoing Section 4 by appropriate action, but no such action shall be necessary for the existence and validity of the trust.”

6. Rochester Canon 8 provides:

“In conformity and consistent with the provisions of Title I, Canon 7, of the General Convention, it is hereby explicitly reaffirmed that all real and personal property held by or for the benefit of any Parish, Mission, Chapel, or Congregation located in the Diocese of Rochester is held in trust for the Episcopal Church and the Diocese of Rochester.”

7. Section 42-a, enacted in 1991, states:

“Notwithstanding and in addition to the provisions of section five of this chapter, and subject always to the trust in which all real and personal property is held for the Protestant Episcopal Church and the Diocese thereof in which the parish, mission or congregation is located, the vestry or trustees of any incorporated Protestant Episcopal parish or church, the trustees of every incorporated governing body of the Protestant Episcopal Church and each diocese are authorized to administer the temporalities and property, real and personal, belonging to the corporation, for the support and maintenance of the corporation and, provided it is in accordance with the discipline, rules and usages of the Protestant Episcopal Church and with the provisions of law relating thereto, for the support and maintenance of other religious, charitable, benevolent or educational objects whether or not conducted by the corporation or in connection with it or with the Protestant Episcopal Church.”

Under section 5, the trustees of a religious corporation “shall have the custody and control” of all church property and shall administer same in accordance with the rules of the corporation and ecclesiastical governing body.

cally, defendants argue that they cannot be bound by the Dennis Canons because they were adopted in 1979, nearly 30 years after All Saints was accepted as a parish. Also, defendants question whether the Dennis Canons or Rochester Canon 8 create an express trust, effectively divesting All Saints of its property, without violating the due process provisions of the United States and New York State Constitutions. Moreover, defendants argue that there is nothing in any deed or will or in the All Saints certificate of incorporation that establishes a trust over the All Saints property for the benefit of the Rochester Diocese or the National Church. Defendants' arguments are unavailing.

In *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.* (62 NY2d 110 [1984]) we adopted the neutral principles of law approach to church property disputes set forth by the United States Supreme Court in *Jones v Wolf* (443 US 595 [1979]).

“Under the neutral-principles approach, the outcome of a church property dispute is not foreordained. *At any time before the dispute erupts*, the parties can ensure, if they so desire, that the faction loyal to the hierarchical church will retain the church property. They can modify the deeds or the corporate charter to include a right of reversion or trust in favor of the general church. Alternatively, *the constitution of the general church can be made to recite an express trust in favor of the denominational church*. The burden involved in taking such steps will be minimal. *And the civil courts will be bound to give effect to the result indicated by the parties*, provided it is embodied in some legally cognizable form” (*Jones*, 443 US at 606 [emphasis added]).

The enactment of the Dennis Canons was apparently an attempt by the Episcopal Church to do exactly what this language suggested—to “ensure . . . that the faction loyal to the hierarchical church [would] retain the church property.”

Application of the neutral principles doctrine requires the court to focus

“on the language of the deeds, the terms of the local church charter, the State statutes governing the holding of church property, and the provisions in the constitution of the general church concerning the ownership and control of church property. The

court must determine from them whether there is any basis for a trust or similar restriction in favor of the general church, taking special care to scrutinize the documents in purely secular terms and not to rely on religious precepts in determining whether they indicate that the parties have intended to create a trust or restriction” (*First Presbyt. Church*, 62 NY2d at 122 [citation omitted]).

In *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville*, a case similar to this one, the Third Department noted that in many ways Dennis Canon I.7.4 was adopted in response to *Jones v Wolf*, which “held that the constitution of a hierarchical church can be crafted to recite an express trust in its favor concerning the ownership and control of local church property” (*Trinity*, 250 AD2d at 285, citing *Jones*, 443 US at 606). The Third Department affirmed the judgment granted in favor of the diocese, concluding—despite the existence of deeds indicating that the local parish held unrestricted title to three parcels of land surrounding the church—that the property was held in trust for the benefit of the diocese and hierarchical church.

Here, applying the neutral principles of law approach to the case at bar, we find that there is nothing in the deeds that establishes an express trust in favor of the Rochester Diocese or National Church. All Saints’ certificate of incorporation, further, does not indicate that the church property is to be held in trust for the benefit of either the Rochester Diocese or the National Church. Nor does any provision of the Religious Corporations Law conclusively establish a trust in favor of the Rochester Diocese or National Church.⁸

[1] The remaining factor for consideration under neutral principles, however, requires that we look to “the constitution of the general church concerning the ownership and control of church property” (62 NY2d at 122). It is this factor that we find dispositive. We conclude that the Dennis Canons clearly establish an express trust in favor of the Rochester Diocese and the National Church (*see Jones*, 443 US at 606), and that All Saints agreed to abide by this express trust either upon incorporation in 1927 or upon recognition as a parish in spiritual union with

8. However, since All Saints was incorporated under article 3 of the Religious Corporations Law, which only covers “PROTESTANT EPISCOPAL PARISHES OR CHURCHES,” we can conclude that it was a part of the Episcopal Church and Rochester Diocese until it became extinct in 2005.

the Rochester Diocese in 1947. We therefore need not consider the existence of an implied trust. In agreeing to abide by all “canonical and legal enactments,” it is unlikely that the parties intended that the local parish could reserve a veto over every future change in the canons. We find it significant, moreover, that All Saints never objected to the applicability or attempted to remove itself from the reach of the Dennis Canons in the more than 20 years since the National Church adopted the express trust provision (*cf. First Presbyt. Church*, 62 NY2d at 125).

[2] In conclusion, plaintiffs have established that they are entitled to the real and personal property at issue and defendants have not raised any triable issue of fact to preclude this determination. We have considered defendants’ remaining arguments in support of their declaratory judgment action and conclude that they lack merit. With regard to defendant’s article 78 petition, we conclude as did the Appellate Division, that plaintiffs’ resolution deeming the parish “extinct” was a nonreviewable ecclesiastical determination (*see Matter of Congregation Yetev Lev D’Satmar, Inc. v Kahana*, 9 NY3d 282 [2007]).

Accordingly, the Appellate Division orders should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Orders affirmed, with costs.

[899 NE2d 933, 870 NYS2d 827]

In the Matter of CITY OF NEW YORK, Appellant, Relative to the
Melrose Commons Urban Renewal Area, Phase II. KAISER
WOODCRAFT CORP., Respondent.

Argued September 3, 2008; decided October 28, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 20, 2007. The Appellate Division modified, on the law and facts, the seventh separate and partial final decree of the Supreme Court, Bronx County (Howard R. Silver, J.), which had awarded claimant the sum of \$525,000, with interest, as just compensation for its trade fixtures. The modification consisted of remanding the matter to Supreme Court for certain deductions from the award and for a further determination of the value of the noncompensable components of the building's basic electrical system, which was also to be deducted from the award. The Appellate Division affirmed the decree as modified. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by the decision and order of this Court, properly made?"

Matter of City of New York (Kaiser Woodcraft Corp.), 39 AD3d 131, reversed.

HEADNOTE

Eminent Domain — Fixtures — Machinery and Equipment Used in Woodworking Business

In a condemnation proceeding involving a woodworking shop, claimant's standard woodshop machinery and equipment did not qualify as compensable trade fixtures under the category of improvements used for business purposes that would lose substantial value if removed. Although the machines were placed in a particular order in the shop in order to maximize efficiency and would sell for less on a secondhand market, use in connection with a business or efficiency of operation is not the test of compensability. The common thread of items qualifying under the "substantial loss" category of compensable fixtures is devaluation of functional utility if the item is removed. Here, there was no claim of special design, and the placement of the equipment in a certain order to maximize efficiency did not make it an integrated operation. Nor did the fact that many of the listed items would lose value because they were worth less as secondhand goods than they were in claimant's shop, and that additional costs would be incurred to have the machinery removed, shipped and stored, qualify them as losing substantial value.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Eminent Domain §§ 310, 313.

CARMODY-WAIT 2d, Eminent Domain §§ 108:79, 108:80,
108:107.

NY JUR 2d, Eminent Domain §§ 257–263.

NEW YORK REAL PROPERTY SERVICE § 11:28.

ANNOTATION REFERENCEWhat constitutes trade fixture—modern cases. 107
ALR5th 311.**FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: eminent /2 domain /p trade /2 fixture & woodwork!

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Paul T. Rephen, Rita D. Dumain, Rochelle H. Cohen* and *Fred Kolikoff* of counsel), for appellant. The courts below departed from well-established criteria in awarding claimant compensation for items that were not fixtures. (*Matter of Village of Port Chester*, 42 AD3d 465; *Rose v State of New York*, 24 NY2d 80; *Matter of City of New York*, 278 NY 276; *Matter of City of New York*, 256 NY 236; *City of Buffalo v Michael*, 16 NY2d 88; *Marraro v State of New York*, 12 NY2d 285; *Matter of City of New York*, 10 AD2d 498; *Matter of Certain Prop. on N. Riv. in City of N.Y.*, 118 App Div 865; *United States v Certain Prop. Located in Borough of Manhattan, City, County & State of N.Y.*, 306 F2d 439; *Matter of City of New York [Quick Serv. Laundry]*, 48 AD2d 634.)

Goldstein, Goldstein, Rikon & Gottlieb, P.C., New York City (*Michael Rikon* of counsel), for respondent. I. The well-established law of trade fixtures in condemnation proceedings requires compensation for machinery, tools and items used in a business which would lose substantial value upon removal. (*United States v Miller*, 317 US 369; *City of Buffalo v Clement Co.*, 28 NY2d 241; *Rose v State of New York*, 24 NY2d 80; *Marraro v State of New York*, 12 NY2d 285; *Banner Milling Co. v State of New York*, 240 NY 533; *Matter of Board of Water Supply of City of N.Y.*, 277 NY 452; *New York, Ontario & W. Ry. Co. v Livingston*, 238 NY 300; *520 E. 81st St. Assoc. v State of New*

York, 99 NY2d 43; *Matter of Village of Port Chester v Sorto*, 14 AD3d 570; *Matter of City of New York [New York Life Ins. Co.]*, 21 NY2d 293.) II. New York's eminent domain law inadequately compensates a trade fixture claimant. (*Rose v State of New York*, 24 NY2d 80; *City of Buffalo v Clement Co.*, 28 NY2d 241; *Banner Milling Co. v State of New York*, 240 NY 533; *Interlake Serv. Sta. v State of New York*, 249 AD2d 275; *Matter of Certain Prop. on N. Riv. in City of N.Y.*, 118 App Div 865, 189 NY 508; *Matter of Village of Port Chester v Sorto*, 14 AD3d 570; *Kelo v New London*, 545 US 469; *Matter of Fisher [New York State Urban Dev. Corp.]*, 287 AD2d 262; *Jackson v State of New York*, 213 NY 34; *Matter of City of New York*, 57 AD2d 954, 44 NY2d 974.)

Carter Ledyard & Milburn LLP, New York City (*Joseph M. Ryan* and *Susan B. Kalib* of counsel), for New York State Urban Development Corporation, amicus curiae. This Court should reverse the Appellate Division's decision to the extent that it awarded compensation for items of personal property which are not affixed to the premises (or are attached solely for stability purposes), are of standard design and are usable in any woodworking or carpentry operation. (*Potter v Cromwell*, 40 NY 287; *McRea v Central Natl. Bank of Troy*, 66 NY 489; *Matter of City of New York*, 278 NY 276; *Matter of Village of Port Chester*, 42 AD3d 465; *Rose v State of New York*, 24 NY2d 80; *Matter of City of New York*, 256 NY 236; *Banner Milling Co. v State of New York*, 240 NY 533, 269 US 582; *Matter of New York City Tr. Auth. [Superior Reed & Rattan Furniture Co.]*, 160 AD2d 705.)

Milton H. Pachter, New York City, and *Carlene V. McIntyre* for Port Authority of New York and New Jersey, amicus curiae. The order of the Appellate Division should be reversed because the decision of that Court created a new and virtually limitless test for identification of personal property as trade fixtures in eminent domain proceedings without precedent in the law of this state, which will have an adverse effect upon the public interest if not overruled by this Court. (*Rose v State of New York*, 24 NY2d 80; *Marraro v State of New York*, 12 NY2d 285; *Matter of City of New York*, 192 NY 295; *Matter of City of New York*, 278 NY 276; *Matter of New York City Tr. Auth. [Superior Reed & Rattan Furniture Co.]*, 160 AD2d 705; *Belinky v State of New York*, 24 AD2d 908; *Matter of Village of Port Chester*, 42 AD3d 465; *Matter of City of New York*, 27 AD2d 539; *Matter of City of New York*, 10 AD2d 498; *Jackson v State of New York*, 213 NY 34.)

OPINION OF THE COURT

Chief Judge KAYE.

At the heart of this condemnation proceeding is the question whether certain equipment qualifies as compensable trade fixtures.

Factual Background

On July 20, 1998, the City of New York acquired title by eminent domain to property located at 3087 Third Avenue in the Bronx. The land was owned and occupied by Kaiser Woodcraft Corporation. For nearly 40 years Manfred Kaiser, founder and president of the corporation, operated a woodworking shop on the premises. In addition to seeking compensation for the underlying real estate, Kaiser's appraiser claimed that 147 items were compensable trade fixtures. This litigation concerns only those items.

The items claimed as trade fixtures included about 38 standard industrial woodworking tools.¹ Some were large (such as table saws—including, for example, a nine-foot-by-six-foot "Martin" table saw weighing at least 1,500 pounds—band saws, grinders, sanders, slitters, routers, drill presses, jointers, borers and planers). Others were heavy-duty hand tools (such as electric drills, nail guns, saber saws and pneumatic drills). Several of the machines, moreover, required the installation of beams beneath the floor to support their weight and dedicated electric wiring to provide the necessary power for their operation.

Kaiser's appraiser arrived at a final "sound value"—the cost of reproduction less depreciation—of about \$577,000.² The City's appraiser, meanwhile, disputed that many of these claimed items were trade fixtures, and determined that claimant was entitled to a sound value of \$128,936.

At trial, the witnesses were Manfred Kaiser and an appraiser for each side. Kaiser testified that because the premises were

1. Claimant's list included additional items that Supreme Court determined were noncompensable—an exterior fire escape; AT & T cordless telephone; wall-mounted electrical retractable reel, and wall-mounted lamp; ceiling fan; toilet facility structure and amenities; fire extinguisher, sawhorses; wall brackets, sand buckets, shelving unit; spray paint units, air hoses, metal cabinet; shelf, power strip, hand tool mounting strips, mounting board, small parts bin; shelving rack; disconnect switch; photocopier; sink, refrigerator, coffee maker, microwave oven and hot plate. These items are not in issue before us.

2. The City's brief cites this figure as \$564,270.

small, several machines were physically placed in an order that would maximize efficiency and mirror the flow of work. He conceded, however, that the items of equipment could each operate independently, no machine dependent on another. All of the apparatus could be moved to another location with similar electric or pneumatic power sources and used in a different manufacturing business. He further acknowledged that most of the equipment was of standard design, not built especially for him or according to any particular specifications. He also stated that while several items had been put on wheels or casters, if they were removed that would not alter the way the items functioned; additionally, some items were bolted to the floor, but only to steady them.

Claimant's appraiser testified that many of the items were classified as fixtures in part because they were used in Kaiser's business, even though they could be used in another woodworking shop or other business. In his view removal would cause a substantial loss in value in the secondhand market, and there would be additional costs to have the machinery removed, shipped and stored until it was sold. The City's appraiser, meanwhile, testified that these were items of standard design that could function with the same utility in another business, could be relocated without damage or loss of utility, were bought and sold through new and used commercial markets, were usable in a number of different environments, and therefore were not compensable trade fixtures.

Supreme Court determined that these claimed items were compensable trade fixtures and awarded \$525,000 to Kaiser, almost the entire amount sought. The court stated that the "test to be used in evaluating a claim is the economic test of loss in value . . . [which] bridges the gap of annexation and removability alike and solves the problem of intention of permanence," and concluded that "[a]ll improvements which are erected for the purpose of trade or manufacture and can be removed without injury to the premises, for purposes of this case are compensable as trade fixtures" (Sup Ct, Bronx County, July 11, 2005, Silver, J., index No. 2667/98, op at 2-3).

On appeal, the City challenged the court's conclusion, urging that some of the items were noncompensable personalty³ and

3. The City asserted that the following items were noncompensable personalty: belt sanders; numerous table saws with different attachments; a

(n. cont'd)

that others were part of the underlying realty.⁴ The Appellate Division modified Supreme Court's order, excluding a few additional items from the list of trade fixtures, and otherwise affirmed. First, the court excluded several items as part of the realty.⁵ Second, the court identified several handheld tools of standard design that, although of industrial quality, retained the characteristic of personalty "despite their integral role in Kaiser's operation [since] [t]hey were not annexed to the property, the property was not adapted particularly to them, and there was no quality of permanence about their presence" (39 AD3d 131, 135 [2007]).⁶ Third, the court concluded that while Supreme Court correctly treated certain aspects of the electrical system as trade fixtures, the building's basic electrical wiring cannot properly be classified as a trade fixture. None of the items excluded by the Appellate Division are before us on this appeal.

In the view of the Appellate Division, however, all other items were compensable trade fixtures:

"Contrary to the City's contention, these claimed items of machinery satisfied the 'annexation, adaptability and permanence' test. They were an integral part of Kaiser's woodworking business, and most of the machines were large, with dedicated electrical lines that had to be installed by an electrician. The premises being small, the machines were arranged in a particular order to mirror the flow of work for

canvas bag in a dust collection unit; planers; a splitter machine; handheld power tools, such as drills, nail guns, saws and various routers (claimant characterized some of the drills and nail guns as pneumatic operated by air pressure); drill presses; a band saw; various racks with small tools and supplies, including blades, planer knives and router blades; a 40-gallon barrel-type dust collector; an edge bender/sander (claimant characterized it as an edge bender/brake); a table-mounted router; a portable transfer cart (characterized by claimant as a "panel handling lift unit"); a belt sander console unit; a 51-inch roller unit (claimant described it as pneumatic); a table-mounted punch press with a steel table; a wood lathe and set of chisels; a router with a steel table; a shaper with a steel table (claimant characterized it as a small router with table); a small storage safe; a pedestal-mounted tool grinder; and a wall-mounted telephone.

4. The City asserted that the following merged with the realty: plywood, concrete block and mortar used as security closures for six former windows; a custom-built front door; and electrical wiring.

5. These items include concrete blocks, plywood and sheet metal used to close what had been window openings in the building.

6. These included several electric drills, pneumatic nail guns, saber saws, pneumatic drills and routers.

maximum efficiency. Kaiser's expert also testified that these machines would suffer a substantial depreciation in value if removed. The evidence further showed that racks, installed by Kaiser in key places along the flow of work to hold clamps and other items needed during the production process, would have minimal value if removed. Dust collectors were also installed to accommodate numerous machines in the production process and were ancillary to them." (*Id.* at 134-135.)

The Appellate Division remitted the matter to Supreme Court to modify its \$525,000 award (subsequently fixed at \$506,791). Significantly, the Appellate Division also granted the City's motion for leave to appeal to this Court, certifying the following question of law: "Was the order of the Supreme Court, as modified by the decision and order of this Court, properly made?" We answer that question in the negative.

Analysis

When the State takes property by eminent domain, the Constitution requires that it compensate the owner "so that he may be put in the same relative position, insofar as this is possible, as if the taking had not occurred" (*City of Buffalo v Clement Co.*, 28 NY2d 241, 258 [1971]). Thus, "[a]n appropriation of land . . . is an appropriation of all that is annexed to the land, whether classified as buildings or as fixtures The value of the fixtures ought, therefore, to [be] considered in estimating the total value of the property appropriated by the State" (*Jackson v State of New York*, 213 NY 34, 36 [1914]).

These principles are easier stated than applied to the law of fixtures, which developed in the context of land sales, not eminent domain. The difficulty is apparent in the case of business machinery, which—though large, heavy and specific to a trade—often is removable and useful in another location. Removability, however, is not determinative in separating compensable fixtures from noncompensable personalty.

New York's earliest cases on trade fixtures (as they are called) address the rights of buyers and sellers, or heirs and donees, of real property. The plaintiff, usually the seller, typically brought suit to retain title to machinery after a contract of sale for real property had been executed. The court's task was to determine whether the machinery was so affixed that it became part of the

realty and passed to the buyer by execution of the contract of sale (see *e.g. Potter v Cromwell*, 40 NY 287 [1869]). For an item to be deemed a fixture, it had to satisfy a three-pronged test: actual annexation to the realty, adaptability to the use or purpose of the realty and the intention that the annexation be permanent (*id.*).⁷

In the century and a half this Court has grappled with fixtures issues, the three-pronged “annexation-adaptability-permanency” test has remained central—in this and most other states—to determining whether an item is a compensable trade fixture or noncompensable personalty. Under the first prong, annexation originally required that the chattel be physically attached to the realty, but that concept has been enlarged to include items that are “constructively annexed” to the land. Adaptability, meanwhile, contemplates both fitting the chattel to the particular purpose of the freehold, and the necessity of the chattel for complete use of the freehold, as when machinery is placed in a factory to perform a special purpose and is fitted for that purpose. The final element is an intention that attachment be permanent, requiring an objective interpretation of the installer’s intention at the time of attachment. Even if the machinery could be removed, the critical factor was whether its installation was intended to be permanent (see *McRea v Central Natl. Bank of Troy*, 66 NY 489, 494 [1876]).

In *Jackson v State of New York* (213 NY 34 [1914, Cardozo, J.]), this Court first applied the law of fixtures to eminent domain, recognizing that certain economic factors—unique to a functioning business—must be considered as an enhancement

7. This test was actually first articulated by the Ohio Supreme Court in the oft-cited case *Teaff v Hewitt*, which declared:

“[T]he united application of the following requisites will be found the safest criterion of a fixture.

“1st. Actual annexation to the realty, or something appurtenant thereto.

“2d. Appropriation to the use or purpose of that part of the realty with which it is connected.

“3d. The intention of the party making the annexation, to make the article a permanent accession to the freehold—this intention being inferred from the *nature* of the article affixed, the *relation* and *situation* of the party making the annexation, the structure and mode of annexation, and the purpose or use for which the annexation has been made” (1 Ohio St 511, 529-530 [1853]).

factor when valuing condemned property.⁸ In *Jackson*, claimant's property had been used as a grain and bean warehouse that housed equipment and machinery used for business purposes. The Appellate Division determined that although most, if not all, of the items would be deemed fixtures as between vendor and vendee, that conclusion was inapposite in the context of eminent domain because the State—unlike a vendee—had no use for the attached machinery. This Court rejected that distinction, concluding that condemnation is a forced sale that places the State and the claimant in the position of vendee and vendor and “[o]n that basis [their] rights and duties . . . must be determined” (*id.* at 35).⁹

The Court revisited the subject in *Matter of City of New York (430 E. 59th St. Corp.)* (278 NY 276 [1938]), where a lessee maintained a silk ribbon manufacturing factory on property that was the subject of an eminent domain proceeding. The lessee sought compensation for machinery—including looms, harnesses and loose parts used in connection with the looms—utilized to run its business. The spare parts were standard articles purchased from dealers and the harnesses were interchangeable on the looms. The looms were attached to the floor by screws and bolts, but only to keep them from vibrating and shifting. The issue was whether the machinery constituted compensable trade fixtures, and in reaching that determination the Court further crafted the law of trade fixtures as it applies to machinery:

“Machinery normally is personal property and is not deemed a fixture except where it is installed in such manner that its removal will result in material injury to it or the realty, or where the building in which it is placed was specially designed to house it, or where there is other evidence that its installation was of a permanent nature.” (*Id.* at 281-282.)

8. As Judge Cardozo later noted in *New York, Ontario & W. Ry. Co. v Livingston* (238 NY 300, 305-306 [1924]), a just result also takes into account the interest of the public, which is to pay for the property taken.

9. Other state courts have drawn on *Jackson* in developing their own trade fixtures test in eminent domain proceedings. The New Jersey Supreme Court, for example, cited *Jackson* in adopting a “functional unit” test to determine whether removable machinery is compensable in eminent domain proceedings, holding that where “a building and industrial machinery housed therein constitute a functional unit, and the difference between the value of the building with such articles and without them[] is substantial, compensation for the taking should reflect that enhanced value” (*State by State Hwy. Commr. v Gallant*, 42 NJ 583, 590, 202 A2d 401, 405 [1964]).

Because there was no evidence that the looms were installed permanently, the Court declined to treat them as fixtures.

In its last major foray into the area of trade fixtures—*Rose v State of New York* (24 NY2d 80, 86 [1969]), a case primarily concerned with valuation rather than classification of fixtures—this Court recognized that “New York takes a broad view in evaluating what improvements are to be regarded as [trade] fixtures.” After citing the above-quoted passage from *City of New York*, this Court for the first time added a fourth element to the trade fixtures test: “those improvements which are used for business purposes and which would lose substantial value if removed” (*id.*). It is this “lose substantial value” element that is the focus of the present appeal.

Kaiser argues that certain of its large machinery would lose substantial value both because it would sell for less on a secondhand market and because it was part of an integrated workplace physically ordered to maximize efficiency and mirror the flow of labor. Both arguments were embraced by the courts below in articulating the applicable test. This, however, misconstrues what the Court in *Rose* meant by “lose substantial value if removed.”

Several decisions are illustrative of the meaning of the phrase. A substantial loss in value would occur, for example, where machinery was specially constructed for the plant, or the building was so designed that the subject items were functionally dependent on other items or on the building (*Matter of New York City Tr. Auth. [Superior Reed & Rattan Furniture Co.]*, 160 AD2d 705, 706 [2d Dept 1990]). Another example would be equipment that functions as part of a truly integrated operation, such that the removal of one item diminishes the utility of remaining items (*Matter of City of New York [Fassler]*, 27 AD2d 810, 811 [1st Dept 1967]). Thus, in determining the compensability of items in a commercial television production studio, one court concluded that “where installed equipment functions in dependence on other installed equipment at the site, so that there is no ‘realistic market’ for the item once detached from the condemned property[,] compensation is warranted” (*In re 42nd St. Dev. Project v Hispanic Am. Tel. Cos., Inc.*, Sup Ct, NY County, Dec. 27, 1994, Parness, J., index No. 44507/91, op at 5).

In contrast, laundromat equipment was not considered part of an integrated plant simply because the machines *could* be

used together (*In re City of N.Y. [East 99th St.]*, NYLJ, Aug. 2, 1973, at 11, cols 2, 4-5 [Sup Ct, NY County, Waltemade, J.]):

“The removal of any one machine, while temporarily interrupting or curtailing production, does not close down the whole operation. Normal production resumes upon the installation of a replacement, used or new machine, which is manufactured to perform the same function, all of which are readily available in the machinery market . . .

“The ‘umbrella like’ approach[—]classifying every piece of equipment in the plant as a trade fixture and hence compensable—is to be rejected . . . Every prudent, sophisticated and successful ent[re]preneur seeks to *integrate or coordinate* the operations of an industrial or service venture because it is more economical, more efficient and more productive. ‘Integrated’, in a business sense, merely means that the different phases of the work being done are organized in an orderly fashion to unify and expedite the functional performance . . . To characterize everything in a well-organized industrial plant as a trade fixture is a pitfall to be avoided.”

Kaiser’s appraisal lists virtually every item in its woodshop, even the “kitchen sink”—all indisputably used in connection with the business. But use in connection with a business is not the test of compensability in New York; nor is efficiency of operation. The common thread of items qualifying under the “substantial loss” category of compensable fixtures is devaluation of functional utility if the item is removed.

Here, there is no claim of special design. What is in issue is standard woodshop equipment. Claimant argued that, because of the small size of his shop, he physically placed his machines in such an order as to maximize efficiency. The Appellate Division agreed that the items were an integral part of the woodworking business because they were large, with dedicated electrical lines, and arranged “to mirror the flow of work for maximum efficiency” (39 AD3d 131, 134-135 [2007]). We disagree. The fact that equipment is placed in a certain order to maximize efficiency does not define an integrated operation for purposes of determining a loss of substantial value.

Claimant’s remaining argument—unchallenged by the City—is that many of the listed items will lose value because

they are worth less as secondhand goods than they are in his shop, and there are additional costs incurred to have the machinery removed, shipped and stored. The existence of these costs, similarly, does not qualify as losing substantial value. Claimant mistakes diminution in use with loss in value merely because each piece of equipment may be worth less used. Under such analysis, virtually every machine used in a business would be a compensable fixture, obliterating the distinction between fixtures and personalty.

A fair reading of the decisions below shows that the courts correctly identified the “annexation-adaptability-permanence” test along with the “lose substantial value” factor articulated in *Rose*. As we have explained, however, reliance on the secondhand value of individual items in this nonintegrated woodshop was error, and we cannot say whether in this case the items otherwise meet the test for trade fixtures.

Accordingly, the order of the Appellate Division should be reversed, with costs, the case remitted to Supreme Court for further proceedings in accordance with this opinion, and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[899 NE2d 925, 870 NYS2d 819]

In the Matter of DAVID F. JUNG, a Judge of the Family Court,
Fulton County, Petitioner. STATE COMMISSION ON JUDICIAL
CONDUCT, Respondent.

Argued September 9, 2008; decided October 28, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated February 13, 2008. The Commission determined that petitioner should be removed from the office of Judge of the Family Court, Fulton County.

HEADNOTE

Judges — Disciplinary Proceedings

A determination of the State Commission on Judicial Conduct that petitioner Family Court Judge should be removed from office was accepted. In five family offense proceedings petitioner violated litigants' rights either to be heard or to counsel or both when he entered defaults and sentenced them, in absentia, to jail. In denying litigants those rights he also violated Rules Governing Judicial Conduct (22 NYCRR) §§ 100.1, 100.2 (A), and § 100.3 (B) (1), (3), and (6). In four out of five of the proceedings, the due process violations resulted from two policies that petitioner effectuated in his courtroom for many years. One was a long-standing, unwritten policy that an incarcerated litigant would not be produced for a proceeding unless he or she specifically asked to be produced, and the other was that a litigant seeking assigned counsel in a family offense proceeding had to apply for a public defender within two weeks of initial appearance, regardless of the date of the hearing. Petitioner's steadfast adherence to long-standing policies that seriously compromised the due process rights of litigants evidenced a pattern of injudicious behavior justifying removal.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 17, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:107, 3:131, 3:133,
3:138, 3:139, 3:145.

22 NYCRR 100.1, 100.2 (A); 100.3 (B) (1), (3), (6).

NY JUR 2d, Courts and Judges §§ 440, 441, 443, 447, 460.

ANNOTATION REFERENCE

See ALR Index under Due Process; Judges.

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process /5 violat!

POINTS OF COUNSEL

Capasso & Massaroni, Schenectady (*Vincent Capasso, Jr.*, of counsel), for petitioner. I. This Court exercises plenary and de novo review of the State Commission on Judicial Conduct's determination. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386.) II. The State Commission on Judicial Conduct erred in determining that petitioner violated any of the Rules Governing Judicial Conduct. (*People ex rel. Constantino v Lorey*, 28 AD3d 1041; *People v Parker*, 57 NY2d 136; *Matter of Mosso v Mosso*, 6 AD3d 827; *Matter of Kendra M.*, 175 AD2d 657; *People ex rel. Foote v Lorey*, 28 AD3d 917; *Matter of Bauer*, 3 NY3d 158.) III. It is clear that Judge Jung abided by the law and rules with regard to Family Court.

Edward Lindner, New York City, *Robert H. Tembeckjian* and *Cathleen S. Cenci* for respondent. Petitioner should be removed from office for his repeated violation of the fundamental rights of litigants. (*Matter of Rodriguez v Feinberg*, 40 NY2d 994; *Matter of Mosso v Mosso*, 6 AD3d 827; *People ex rel. Lobenthal v Koehler*, 129 AD2d 28; *Matter of DeMarco v Raftery*, 242 AD2d 625; *Matter of Lewis v Crosson*, 53 AD2d 1029; *Matter of McNeill v Ressel*, 258 AD2d 64; *Matter of Radjpaul v Patton*, 145 AD2d 494; *Matter of Sales v Gisendaner*, 272 AD2d 997; *Matter of Hohenforst v DeMagistris*, 44 AD3d 1114; *Matter of Tristram K.*, 25 AD3d 222.)

Law Offices of Schur & Casale, PLLC, Mayfield (*Anthony Casale* of counsel), for Fulton County Bar Association, amicus curiae. I. The conduct of Judge Jung, a jurist with a previously unblemished record, warrants a disposition less severe than removal. (*Matter of Lonschein*, 50 NY2d 569; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Cunningham*, 57 NY2d 270; *Matter of Esworthy*, 77 NY2d 280; *Matter of Cohen [State Commn. on Jud. Conduct]*, 74 NY2d 272; *Matter of Kiley*, 74 NY2d 364.) II. Sanction of removal would deprive Fulton County of a competent and experienced judge.

OPINION OF THE COURT

Per Curiam.

Petitioner, a Judge of the Family Court, Fulton County, com-

menced this proceeding to review a determination of the State Commission on Judicial Conduct that sustained five charges of misconduct against him and imposed the sanction of removal from judicial office. Upon our plenary review of the record, we accept the determined sanction.

After serving as a law guardian for more than a decade, in 1989 petitioner was elected to the Fulton County Family Court and in 1992 he was appointed to serve as an Acting Supreme Court Justice. In 2005, petitioner presided over a series of Family Court cases that form the basis of the Commission's findings. By formal complaint dated December 6, 2006, the Commission served him with five charges. Charges I, II and III alleged violations of litigants' right to be heard and of sections 100.1, 100.2 (A) and 100.3 (B) (1) and (6) of the Rules Governing Judicial Conduct (22 NYCRR). Charges I, IV and V alleged violations of litigants' right to counsel and violations of the same sections.*

On April 19, 2007, petitioner, his counsel and Commission counsel entered into a stipulation of facts. A hearing was held on April 26, 2007, and the Referee accepted the stipulation into evidence. Petitioner testified, called two witnesses to testify on his behalf, and submitted additional affidavits attesting to his character. On September 7, 2007, the Referee sustained all five charges based on petitioner's violation of litigants' rights when he entered defaults and sentenced them, in absentia, to jail. The Commission unanimously sustained all charges, concluding that petitioner violated the cited sections of the Rules Governing Judicial Conduct, and imposed the sanction of removal, noting that as a consequence of petitioner's disregard of fundamental rights, five litigants were sentenced to significant terms of incarceration and at least three served several months in jail on the unlawful sentences he imposed.

I. Factual Findings

DeMagistris

Charge I alleged that while presiding over the case of *Matter of Wendy Lynn Hohenforst v Thomas DeMagistris*, petitioner violated the defendant's due process rights, including the right to be heard and the right to counsel, when he summarily held DeMagistris in default on two family offense petitions and

* Charges IV and V also alleged violations of section 100.3 (B) (3) of the Rules Governing Judicial Conduct.

sentenced him in absentia to two consecutive 180-day terms of incarceration notwithstanding that defendant was being held in a courthouse holding cell throughout the proceeding.

Outside of the courtroom prior to a family offense proceeding before petitioner, DeMagistris verbally assaulted counsel for his children's mother, Hohenforst, and was placed in a Family Court holding cell. Petitioner thereafter convened a proceeding in the courtroom and placed on the record a description of the incident, stating that DeMagistris was not in the courtroom because he had been placed under arrest for "criminal behavior" and had thus waived his right to appear. Subsequently, petitioner dismissed counsel for both parties upon their own motions without inquiry as to whether DeMagistris had notice of his counsel's request. Upon excusing counsel for the mother, petitioner asked if she wanted an adjournment, which she declined. Following an inquest, petitioner granted the relief she requested, including divesting DeMagistris of custody of his children, dismissed defendant's cross motion for failure to prosecute, and sentenced defendant to a year of incarceration. Petitioner directed that DeMagistris be served with the orders if he was still in the holding cell.

DeMagistris was released by Supreme Court's grant of a writ of habeas corpus (*see Matter of Hohenforst v DeMagistris*, 44 AD3d 1114 [3d Dept 2007]).

Constantino

Charge II alleged that in *Matter of Fulton County Department of Social Services v Angelic Constantino*, petitioner violated Constantino's due process rights when he failed to order her produced in court although he knew she was incarcerated in a correctional facility outside the county, summarily found her in default, sentenced her in absentia to six months' incarceration, and revoked her custodial rights.

At the time, petitioner's long-standing policy was that "incarcerated litigants had to request of the court to be produced by the court." After unsuccessful attempts to contact petitioner's court, Constantino, incarcerated in another county, failed to appear for an April 11, 2005 hearing before petitioner on a custody petition and an allegation that she had violated an order of protection. Although petitioner knew that the Fulton County Department of Social Services had served Ms. Constantino with the petition in Schenectady County jail, and acknowledged having been told by counsel for the father's

parents that Constantino was in jail, petitioner denied that he had *actual* knowledge that she was in jail, as he considered counsel's statement hearsay. He later maintained that if Constantino "has a normal IQ and she didn't know to ask [for an order to produce] . . . it's her responsibility to find out." He stated, further, that although the summons did not alert her to his policy, she was obligated to find out by "word of mouth." On April 12, 2005, Constantino called the court from jail and asked why she had not been produced. Court staff informed her of petitioner's policy and advised her to put her concerns in writing, which she did with the assistance of attorney in a letter dated April 15, 2005. Her attorney was told that as "no request was received from Angelic Constantino and the court was in receipt of an affidavit of service," the matter had proceeded upon default.

Constantino was released by Supreme Court's grant of a writ of habeas corpus, affirmed by the Appellate Division (*see People ex rel. Constantino v Lorey*, 28 AD3d 1041 [3d Dept 2006]).

DaCorsi

Charge III alleged that in *Matter of Julie A. Dacre v Dennis A. DaCorsi, Jr.*, petitioner violated DaCorsi's due process rights when, knowing that DaCorsi was incarcerated and unable to appear, he found him in default and sentenced him to nine months in jail.

DaCorsi was due to appear before petitioner on a custody petition on April 28, 2005. According to petitioner's docket sheet, DaCorsi's sister called on April 27, 2005 and informed the court that her brother had been arrested but was due to appear in Family Court the following day. A clerk told her that either the sheriff or DaCorsi himself would have to contact the court and ask that he be produced. Petitioner was informed (although the actual date is in dispute) that someone claiming to be DaCorsi's sister had called, but testified that he had "no idea if it was his sister" and if it was that she "could have gone over to the jail with a piece of paper to sign and she could have delivered it to the court and I would have produced him." Petitioner explained that, in any event, he did not consider the sister's call a request to produce.

Petitioner held DaCorsi in default, and after an inquest DaCorsi lost custody of his children and was sentenced in absentia to consecutive terms of 90 days' and 180 days' incarceration. On June 16, 2006, petitioner granted DaCorsi's motion to vacate the default judgment and for petitioner's disqualification.

Smith

Charge IV maintained that in *Matter of Dale A. Rulison v Nickie L. Smith*, petitioner violated Smith's right to counsel when he denied her request for assigned counsel as late, summarily affirmed a magistrate's order that found her in default when she failed to appear for a hearing on a child support matter, and sentenced her to 90 days in jail.

It was petitioner's policy that a litigant seeking assigned counsel in a family offense proceeding had to apply for a public defender within two weeks of initial appearance, regardless of the date of the hearing. On January 12, 2005, Smith appeared before a support magistrate to answer charges that she had violated an order of support. She requested counsel and was given an application for the public defender, and the matter was adjourned until April 27, 2005. On February 8, 2005, Smith submitted an application for representation by a public defender in the child support matter. Petitioner said the application was late and on February 14, 2005 denied it as untimely. On February 14, 2005, Smith also submitted an application for representation in a custody and visitation matter. Petitioner approved that application on February 18, 2005.

On April 27, 2005, Smith failed to appear for the support hearing and the magistrate declared her in default and recommended that she be held in contempt. On May 18, 2005, Smith appeared before petitioner for a confirmation proceeding. Petitioner later explained that the confirmation hearing was "merely [for the judge] to approve what the support magistrate did. . . . Or the judge may, and I emphasize may, conduct an evidentiary hearing, which is not what we were doing in this case." When Smith attempted to defend herself against the petition, petitioner said "I didn't see any objections filed here," confirmed the magistrate's determination and sentenced Smith to jail. Smith said she had sought representation from the public defender and never heard anything; petitioner responded "you'll have to take it up with the Public Defender's Office." Petitioner testified that he did not see, upon reviewing her file, that Smith had been assigned counsel on the custody matter and that he did not attempt to find out if any court attorneys were present at the courthouse that day.

Smith did not appeal or move to vacate petitioner's decision, and was released from jail after paying a "purge."

Foote

Charge V alleged that in *Matter of Timothy Foote v Karrie Foote*, petitioner violated Karrie Foote's due process rights when, despite evidence that she was learning-disabled and unable to read, he denied her the right to counsel, summarily affirmed the magistrate's finding of default and sentenced her to 180 days in jail.

Foote appeared before a support magistrate on January 20, 2005, on charges of contempt of court for willful violation of an order of support. She told the magistrate that she could not read and did not have a lawyer. The magistrate told her she could apply for a public defender and adjourned the matter until May 11, 2005. Foote obtained an application but never filed it. On April 4, 2005, she appeared before petitioner on a custody modification petition. Petitioner advised Foote of her right to an attorney and instructed her to fill out an application. The parties met with a court mediator, resolved their custody dispute and returned to petitioner's courtroom for confirmation.

Foote believed that this custody settlement resolved the support matter, and failed to appear before the support magistrate on May 11, 2005. The magistrate declared her in default and recommended that she be held in contempt. On May 25, 2005, Foote appeared, without counsel, at a confirmation proceeding in front of petitioner, and told petitioner she had requested a lawyer. Petitioner responded that it was "too late," later explaining that he meant it was "a double too late" "too late . . . with me and too late . . . with the magistrate."

Petitioner maintained that he could not have sent the *Foote* matter back to the support magistrate or taken steps to obtain counsel for her because he would have violated a uniform rule providing that a litigant is entitled to only one adjournment absent good cause, and he did not find good cause. He confirmed the decision and told Foote he was going to incarcerate her. Foote's mother addressed the court, explaining that Foote couldn't read and that she herself had not had time to read the papers or explain them to her daughter. She stated:

"I told Karrie that she needs to ask for a lawyer. She needs to be represented by a lawyer. I don't understand how these procedures can go on without her having some kind of representation. Especially when she doesn't even read. . . .

“She [h]as a fourth grade reading level.”

Petitioner responded:

“[Y]ou’re telling me that. That doesn’t make it a fact. But if we had some medical proof that that was so, if she had told somebody that, I, I’m not the Magistrate, so I didn’t hear the case.”

Petitioner signed an order committing Foote to the Fulton County jail. He later acknowledged that Foote herself told the support magistrate she could not read and that he had “noted that” in his review of the record. He also recalled her mother saying “that she had the ability of a fourth grade reader, which is pretty good ability.”

Foote was released by Supreme Court’s grant of a writ of habeas corpus nearly two months later. The Appellate Division affirmed (*see People ex rel. Foote v Lorey*, 28 AD3d 917 [3d Dept 2006]).

After the Appellate Division’s *Foote* decision, petitioner issued a press release defending his policies and expressing “disappointment” at the determination. Petitioner additionally stated:

“Henceforth, in an effort to further streamline and simplify procedures, since the statute does not specifically require the Court to mandate court appearances of parties so that confirmation of the Support Magistrate’s decision can be made in person, the Court will simply issue a written confirmation unless the Court finds that the Support Magistrate erred in some fashion. . . .

“If, at some point, the Appellate Division . . . reconsiders this issue and reverses itself as it has done in the past, or . . . if the Court of Appeals rules in favor of our prior policy and procedure, we can and will reinstate same.”

During the Commission’s investigation, petitioner testified that he wouldn’t have handled any of the cases any differently.

II. Analysis

At issue here is petitioner’s denial of due process to litigants in family offense—specifically custody and support—proceedings. *DeMagistris*, *Constantino* and *DaCorsi* involved denial of the right to be heard; *DeMagistris*, *Smith* and *Foote* the right to counsel.

The right to be heard is fundamental to our system of justice (*see Mullane v Central Hanover Bank & Trust Co.*, 339 US 306,

314 [1950]; *Matter of Jones v Berman*, 37 NY2d 42, 55 [1975]). Parents have an equally fundamental interest in the liberty, care and control of their children (*see Stanley v Illinois*, 405 US 645, 651 [1972]; *Matter of Ella B.*, 30 NY2d 352, 356 [1972]). The right to be heard, therefore, necessarily attaches to family offense proceedings, regardless of a party's status as incarcerated or otherwise detained pursuant to state authority (*see Matter of Tristram K.*, 25 AD3d 222, 226 [1st Dept 2005] ["even an incarcerated parent has a right to be heard on matters concerning her child, where there is neither a willful refusal to appear nor a waiver of appearance"]). This right is no less vital to a proceeding for summary contempt (*see Matter of Katz v Murtagh*, 28 NY2d 234, 238 [1971] [a person subject to incarceration for contempt is entitled to an opportunity to appear and "to offer any reason in law or fact why that judgment should not be pronounced"]; *see Matter of Mosso v Mosso*, 6 AD3d 827, 829 [3d Dept 2004] ["due process requires that . . . the contemnor be afforded 'an opportunity to be heard at a meaningful time and in a meaningful manner' "]; *see also* Family Ct Act § 454 [1], [3] [providing for incarceration "after hearing" on a willful violation of an order of support]).

Integral to this fundamental interest in the liberty, care and control of their children, and coextensive with the right to be heard in a meaningful manner, is a parent's right to representation of counsel in family offense proceedings. "[A]n indigent parent, faced with the loss of a child's society, as well as the possibility of criminal charges, . . . is entitled to the assistance of counsel" (*Ella B.*, 30 NY2d at 356 [codified in 1975 and extended to provide litigants with the right to counsel in custody, family offense and contempt proceedings (*see* Family Ct Act §§ 261, 262 [a] [v], [vi])]). The right to counsel includes the right to notice prior to a court-ordered withdrawal from representation (CPLR 321 [b] [2]; *Matter of Kindra B.*, 296 AD2d 456, 458 [2d Dept 2002]). Waiver of this right must be "unequivocal, voluntary and intelligent"; a court is obligated to make a "searching inquiry" to ensure that it is (*see People v Smith*, 92 NY2d 516, 520 [1998]).

At most, petitioner would now concede that his denial of these rights to litigants amounted to legal error and not misconduct. As we have previously explained, the two are not necessarily mutually exclusive; a pattern of fundamental legal error may be "serious misconduct" (*Matter of Reeves*, 63 NY2d 105, 109 [1984]; *see Matter of Sardino v State Commn. on Jud. Conduct*,

58 NY2d 286, 289 [1983]; see *Matter of McGee v State Commn. on Jud. Conduct*, 59 NY2d 870, 871 [1983]). Moreover, the Court agrees with the Commission that in denying litigants these rights, petitioner also violated the Rules Governing Judicial Conduct.

Although judicial disciplinary proceedings are not punishment (*Matter of Esworthy*, 77 NY2d 280, 283 [1991]), the severe sanction of removal is warranted where a jurist has exhibited a “pattern of injudicious behavior . . . which cannot be viewed as acceptable conduct by one holding judicial office” (*Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658, 660 [1988]) or an abuse of “the power of his office in a manner that . . . has irredeemably damaged public confidence in the integrity of his court” (*Matter of McGee v State Commn. on Jud. Conduct*, 59 NY2d 870, 871 [1983]). Such behavior is especially “intolerable” in Family Court, “where matters of the utmost sensitivity are often litigated by those who are unrepresented and unaware of their rights” (*Matter of Esworthy*, 77 NY2d at 283). Removal is thus appropriate when a Family Court judge exhibits conduct “which necessarily has the effect of leaving litigants with the impression that our judicial system is unfair and unjust” (*id.* [among other misconduct, “(i)n case after case” judge “neglected to inform litigants appearing before him of their constitutional and statutory rights, including their right to counsel” (*id.* at 282)]).

Here, in four out of five cases, the due process violations at issue resulted from two policies that petitioner effectuated in his courtroom for many years. Two of the violations of the right to be heard stemmed from petitioner’s policy that an incarcerated litigant would not be produced for a proceeding unless he or she specifically asked to be produced. This unwritten rule, neither printed on a summons nor communicated to any facility, imposed an onerous and unfair burden on litigants who had no way of knowing what was required of them. Litigants who had previously been incarcerated and produced for matters before other judges were even more disadvantaged by petitioner’s anomalous policy. Instead of taking steps to ease their burden, petitioner, in *Constantino* and *DaCorsi*, actually increased it by refusing, under the guise of not having “actual notice” of each litigant’s incarceration, to acknowledge attempts to contact the court by family members and litigants themselves. Petitioner’s view, however, was that even his own knowledge of a litigant’s incarceration would not have excused failure to comply with the

strictures he imposed. As the Commission concluded, such a policy impermissibly “elevated form over substance where liberty and parental rights hung in the balance.”

Petitioner’s institution of this long-standing policy resulted in gross and repeated deprivation of the fundamental right to be heard, and had grave consequences for litigants. This policy, along with petitioner’s unwavering imposition of a two-week time limit on requests for counsel, evidences a “pattern of injudicious behavior” that this Court cannot sustain (*see Matter of VonderHeide*, 72 NY2d at 660). Also significant is petitioner’s response to the Appellate Division’s two grants of writs of habeas corpus in *Constantino* and *Foote* (*see People ex rel. Constantino v Lorey*, 28 AD3d 1041 [3d Dept 2006]; *People ex rel. Foote v Lorey*, 28 AD3d 917 [3d Dept 2006]; *Matter of Hohenforst v DeMagistris*, 44 AD3d 1114 [3d Dept 2007]). After these reversals, petitioner chose to modify his first policy by increasing notifications, yet continuing to place the burden of production in court on incarcerated litigants. With regard to his second policy, he publicly stated his intent to discontinue confirmation hearings—the proceeding where Smith and Foote invoked their right to counsel—and issue written confirmations instead (*see* press release of April 26, 2007).

Plainly, even the Appellate Division precedents failed to impress the importance of these due process rights upon petitioner in any meaningful way. As in *Matter of Reeves*, these “errors were fundamental and the pattern of repeating them, coupled with an unwillingness to recognize their impropriety, indicate that petitioner poses a threat to the proper administration of justice” (63 NY2d at 110-111).

It is apparent from the record as a whole that petitioner continues to believe that his actions were a permissible exercise of the “wide discretion” given Family Court judges “for dealing with the complexities of family life” (Family Ct Act § 141). He fails to grasp that with such discretion comes grave responsibilities to the litigants before him as well as to their children. While we recognize that petitioner has well served youth in his court and through his extensive involvement in community service, part and parcel of effecting the “best interests” of a child is affording that child’s parent the rights inherent in the parental bond. We acknowledge that removal from office is an “extreme sanction” that is imposed only “in the event of truly egregious circumstances” (*Matter of Cunningham*, 57 NY2d 270, 275 [1982]). We conclude that petitioner’s steadfast adher-

ence to long-standing policies that have seriously compromised the due process rights of litigants justifies removal.

Accordingly, the determined sanction should be accepted, without costs, and David F. Jung removed from the office of Judge of the Family Court, Fulton County.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Determined sanction accepted, etc.

[899 NE2d 947, 870 NYS2d 841]

BRIGGS AVENUE LLC, Appellant, v INSURANCE CORPORATION OF
HANNOVER, Respondent.

Argued October 14, 2008; decided November 20, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Upon all the facts of this case, given the terms of the insurance policy and the reason for the insured’s failure to give more prompt notice of the lawsuit to the insurer, should the insurer’s disclaimer of coverage be sustained?”

HEADNOTE

Insurance — Disclaimer of Coverage — Failure to Give Timely Notice of Lawsuit

Defendant liability insurer was not required to defend plaintiff insured in the underlying personal injury action, and properly disclaimed coverage where plaintiff, as a result of its own error in failing to update the address it had listed with the Secretary of State as its agent to receive service of process (Limited Liability Company Law § 301), did not comply with a policy condition requiring timely notice of a lawsuit. Because plaintiff did not notify the Secretary of State of its change in address it did not know of the existence of the personal injury action until it was served directly with a motion for a default judgment some nine months after the action was commenced. Plaintiff failed to comply with the condition of the policy requiring it to give notice of a lawsuit to defendant “as soon as practicable.” While plaintiff’s mistake may have been understandable and caused no prejudice to the insurer, an insurer that does not receive timely notice in accordance with the policy provision may disclaim coverage, whether it is prejudiced by the delay or not.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Corporations § 1902; AM JUR 2d, Insurance
§§ 1321–1326, 1332.

CARMODY-WAIT 2d, Commencement of Actions; Summons
and Service of Process § 24:145.

COUCH ON INSURANCE (3d ed) §§ 190:4–190:7, 190:31,
192:6, 192:16.

McKINNEY’s, Limited Liability Company Law § 301.

NY JUR 2d, Business Relationships §§ 2044, 2053, 2055; NY
JUR 2d, Insurance §§ 1837–1843, 1847, 1856.

ANNOTATION REFERENCE

Construction and application of limited liability company
acts. 79 ALR5th 689.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: liability /3 insur! /s disclaim /p notice /4 timely
untimely & address

POINTS OF COUNSEL

Scher & Scher, P.C., Great Neck (*Robert A. Scher and Daniel J. Scher* of counsel), for appellant. I. This Court ought not to extend the purpose of Limited Liability Company Law § 301 beyond that for which it was enacted. (*Agoado Realty Corp. v United Intl. Ins. Co.*, 95 NY2d 141.) II. Oversights such as that of Briggs Avenue LLC should not prejudice the rights of either the insured or the injured parties, where the parties have proceeded diligently upon discovering the facts. III. This Court should interpret the policy provision in appellant's favor and hold that service upon the Secretary of State without actual delivery to appellant did not trigger the requirement to give notice of the suit under the policy issued by Insurance Corporation of Hannover. (*105 St. Assoc. LLC v Greenwich Ins. Co.*, 507 F Supp 2d 377; *26 Warren Corp. v Aetna Cas. & Sur. Co.*, 253 AD2d 375.) IV. It was not reasonably possible to give notice of the lawsuit within any prescribed time although it was given as soon as was reasonably possible. V. As a matter of law, respondent waived any claim that notice of the occurrence was late. (*General Acc. Ins. Group v Cirucci*, 46 NY2d 862.) VI. Respondent's disclaimer was based solely on late notice of suit. (*Fabian v Motor Veh. Acc. Indem. Corp.*, 111 AD2d 366; *Matter of State Farm Mut. Auto. Ins. Co. v Cooper*, 303 AD2d 414; *Matter of State Farm Mut. Auto. Ins. Co. v Joseph*, 287 AD2d 724; *John v Centennial Ins. Co.*, 91 AD2d 1104; *Matter of Eveready Ins. Co. v Dabach*, 176 AD2d 879; *Hazen v Otsego Mut. Fire Ins. Co.*, 286 AD2d 708; *Vanegas v Nationwide Mut. Fire Ins. Co.*, 282 AD2d 671; *United States Liab. Ins. Co. v Young*, 186 AD2d 644.) VII. If appellant was required to give notice of the occurrence, respondent has waived compliance with the policy provision requiring such notice. (*General Acc. Ins. Group v Cirucci*, 46 NY2d 862; *Hurley v First UNUM Life Ins. Co.*, 24 AD3d 509;

Vacca v State Farm Ins. Co., 15 AD3d 473; *Fabian v Motor Veh. Acc. Indem. Corp.*, 111 AD2d 366.)

White Fleischer & Fino, LLP, New York City (Nancy D. Lyness of counsel), for respondent. I. The instant Court should be persuaded by and accept the sound rationale of existing case law and the opinions of the District and Circuit Courts herein. (26 *Warren Corp. v Aetna Cas. & Sur. Co.*, 253 AD2d 375; *FGB Realty Advisors v Norm-Rick Realty Corp.*, 227 AD2d 439; *Cedeno v Wimbledon Bldg. Corp.*, 207 AD2d 297; *Associated Imports v Amiel Publ.*, 168 AD2d 354.) II. The new legislative bill eradicating New York's long-standing no prejudice rule has no bearing upon this matter. III. Briggs Avenue LLC's first three points are unpreserved for appellate review by this Court. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Matter of Salino v Cimino*, 1 NY3d 166; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Cummins v County of Onondaga*, 84 NY2d 322; *Haynes v Haynes*, 83 NY2d 954.) IV. New York Limited Liability Company Law § 301 actually confirms that notice to the New York Secretary of State's office constitutes notice to the limited liability company. V. Briggs Avenue LLC's reliance upon New York's direct action statute is equally inapposite. (*Wraight v Exchange Ins. Co.*, 234 AD2d 916; *Jenkins v Burgos*, 99 AD2d 217; *Ringel v Blue Ridge Ins. Co.*, 293 AD2d 460.) VI. CPLR 317 and 318 also afford no basis for this Court to excuse the inexcusable. VII. *Agoado Realty Corp. v United Intl. Ins. Co.* (95 NY2d 141 [2000]) does not, as contended by Briggs Avenue LLC, suggest that notice to the Secretary of State does not, as a matter of law, constitute notice to defendant. VIII. Insurance Corporation of Hannover is a liability insurer, not a guarantor of Briggs Avenue LLC's liability to third parties. IX. Insurance Corporation of Hannover has not waived any of its notice defenses.

Melito & Adolfsen P.C., New York City (Ignatius John Melito, S. Dwight Stephens and David DePasquale of counsel), and *Wiley Rein LLP*, Washington DC (Laura A. Foggan and Benjamin J. Theisman of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. An insurance policy, like any other contract, is applied according to its plain terms. (*Graf v Hope Bldg. Corp.*, 254 NY 1; *Matter of Davis v Block & Smith, Inc.*, 297 NY 20; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Douglas v Knick. Life Ins. Co.*, 83 NY 492.) II. Timely notice is a fundamental condition precedent to insur-

ance coverage. (*Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436; *Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *AXA Mar. & Aviation Ins. [UK] Ltd. v Seajet Indus. Inc.*, 84 F3d 622; *American Ins. Co. v Fairchild Indus., Inc.*, 56 F3d 435; *Commercial Union Ins. Co. v International Flavors & Fragrances, Inc.*, 822 F2d 267; *Sparks v Transamerica Ins. Co.*, 141 F3d 1179; *Vucetovic v Epsom Downs, Inc.*, 10 NY3d 517; *Morales v Gross*, 230 AD2d 7.) III. New York courts generally do not forgive one's inability to maintain a current address with the Secretary of State. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436; *Town House St., LLC v New Fellowship Full Gospel Baptist Church, Inc.*, 29 AD3d 893; *Yellow Book of N.Y., Inc. v Weiss*, 44 AD3d 755; *Crespo v A.D.A. Mgt.*, 292 AD2d 5; *Metropolitan Steel Indus. v Rosenshein Hub Dev. Corp.*, 257 AD2d 422; *Niemiec v Niemiec*, 180 Misc 2d 207; *Malik v Cukrowski*, 172 Misc 2d 360; *Al-Dohan v Kouyoumjian*, 114 Misc 2d 170.)

OPINION OF THE COURT

SMITH, J.

We hold that a liability insurer is entitled to disclaim coverage when the insured, because of its own error in failing to update the address it had listed with the Secretary of State, did not comply with a policy condition requiring timely notice of a lawsuit.

Briggs Avenue LLC is the owner of a building in the Bronx. The company was incorporated in 1999. Shaban Mehaj is its manager and only member. As required by Limited Liability Company Law § 301, Briggs's articles of organization designated the Secretary of State as its agent to receive service of process. The articles included Briggs's address, but Briggs later moved, and Mehaj did not notify the Secretary of State of the change. His explanation is that the lawyer who formed the company for him did not tell him of the need to keep the address updated.

In July 2003, a tenant of the building, Nelson Bonilla, began a personal injury action against Briggs, and served the summons and complaint on the Secretary of State. Because the Secretary of State did not have a current address for Briggs, Mehaj did not receive the summons and complaint and did not know that the lawsuit existed. He learned of it only in April 2004, when Bonilla served directly on Briggs a motion for a default judgment. Briggs then gave notice to its liability insurer, Insur-

ance Corporation of Hannover (ICH), of the claim against it. ICH promptly disclaimed coverage, relying among other things on a policy provision saying: “If a claim is made or ‘suit’ is brought against any insured, you must . . . [n]otify us as soon as practicable.”

Briggs brought a declaratory judgment action in Supreme Court against ICH, asking that the insurer be required to defend the *Bonilla* case. ICH removed the action to the United States District Court for the Southern District of New York, and the District Court dismissed Briggs’s complaint, holding that ICH’s disclaimer was valid (2006 WL 1517606, 2006 US Dist LEXIS 34854 [2006]). Briggs appealed to the United States Court of Appeals for the Second Circuit, which certified to us the following question: “Upon all the facts of this case, given the terms of the insurance policy and the reason for the insured’s failure to give more prompt notice of the lawsuit to the insurer, should the insurer’s disclaimer of coverage be sustained?” (516 F3d 42, 49-50 [2008].)

Our answer to the question is yes.

The validity of ICH’s disclaimer turns on whether Briggs complied with the condition of the policy requiring it to give notice of a lawsuit to ICH “as soon as practicable.” Clearly, it did not. It was unquestionably practicable for Briggs to keep its address current with the Secretary of State, and thus to assure that it would receive, and be able to give, timely notice of the lawsuit. Briggs’s failure to do so was simply an oversight.

Briggs relies on *Agoado Realty Corp. v United Intl. Ins. Co.* (95 NY2d 141 [2000]), in which we held that there was an issue of fact as to whether notice of a lawsuit was given “as soon as practicable.” But *Agoado* is distinguishable. In that case, the Secretary of State sent documents to the insureds’ lawyer, but the lawyer had died, and the insureds claimed they did not know of his death. Thus, in *Agoado* it may really have been impracticable for the insureds to find out about the lawsuit and give timely notice to the insurer. In this case, however, it is clear that the insured could have prevented the mishap.

Briggs’s argument is essentially that its mistake was understandable; that it caused no prejudice to the insurer; and that the loss of insurance coverage is a harsh result. All this may be true, but it is irrelevant. We have long held, and recently reaffirmed, that an insurer that does not receive timely notice in accordance with a policy provision may disclaim coverage, whether

it is prejudiced by the delay or not (*Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332, 339 [2005]; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436, 440 [1972]). While this rule produces harsh results in some cases, it also, by encouraging prompt notice, enables insurers to investigate claims promptly and thus to deter or detect claims that are ill-founded or fraudulent. The Legislature, weighing the competing interests at stake, has recently enacted legislation that strikes a different balance, more favorable to the insured (*see* L 2008, ch 388, §§ 2, 4 [amending Insurance Law § 3420, applicable to policies issued on or after January 17, 2009]), but that legislation has not yet become effective. The common-law no-prejudice rule applies to this case.

Accordingly, the certified question should be answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[898 NE2d 929, 869 NYS2d 886]

ROBERT M. MORGENTHAU, as District Attorney of New York
County, Appellant, v AVION RESOURCES LTD. et al., Respon-
dents.

Argued October 15, 2008; decided November 20, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 28, 2007. The Appellate Division order, insofar as appealed from, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Martin Shulman, J.), which had (1) denied plaintiff's motion to confirm an August 2, 2006 attachment order; (2) granted defendants' cross motions to vacate the August 2, 2006 attachment order and to dismiss the complaint; (3) dismissed the complaint with prejudice; and (4) directed plaintiff to return all assets of defendant Avion Resources Ltd. being held pursuant to the August 2, 2006 attachment order, together with any accrued interest. The following question was certified by the Appellate Division: "Was the order of this Court, to the extent that it affirmed the order of Supreme Court, entered on or about February 27, 2007, properly made?"

Morgenthau v Avion Resources Ltd., 49 AD3d 50, modified.

HEADNOTE

Process — Service without State — Forfeiture of Proceeds or Instrumentality of Crime

In a forfeiture proceeding instituted pursuant to CPLR article 13-A in which plaintiff District Attorney sought to obtain proceeds of an allegedly illegal international money transfer scheme engaged in by defendants, operating out of Brazil, service of process pursuant to CPLR 313 on defendants in Brazil was sufficient to confer personal jurisdiction in the absence of treaties or international agreements supplanting New York's service requirements. CPLR 313 contains no requirement that a foreign locale's service of process requirements be fulfilled in order to effectuate service in a New York action upon a defendant in another country. The statute clearly states that service may be made without the state in the same manner as service is made within the state. Principles of international comity did not mandate a different result. The doctrine has never been applied to import the laws of a foreign country into a New York lawsuit. All due process requirements were met and proper service upon those defendants timely served was effected.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Forfeitures and Penalties §§ 36, 37; AM JUR 2d,
Process §§ 97, 98, 186, 266.

CARMODY-WAIT 2d, Commencement of Actions; Summons and Service of Process § 24:86; CARMODY-WAIT 2d, Action for a Penalty or Forfeiture or on a Recognizance §§ 135:34, 135:35, 135:40, 135:46.

McKINNEY's, CPLR 313.

NY JUR 2d, Courts and Judges § 672; NY JUR 2d, Forfeitures and Penalties § 32; NY JUR 2d, Process and Papers § 44.

SIEGEL, NY PRAC §§ 58, 100.

ANNOTATION REFERENCE

See ALR Index under Forfeitures; Process and Service of Process and Papers.

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POINTS OF COUNSEL

Robert M. Morgenthau, District Attorney, New York City (Michael S. Morgan and Mark Dwyer of counsel), appellant pro se. I. The Appellate Division erred in holding that District Attorney Morgenthau was required to comply with both New York and Brazilian law to effect service of process upon defendants. (*Miliken v Meyer*, 311 US 457; *Dobkin v Chapman*, 21 NY2d 490; *Kelly v Lewis*, 220 AD2d 485; *Franklin v Winard*, 189 AD2d 717; *Delagi v Volkswagenwerk AG of Wolfsburg, Germany*, 29 NY2d 426; *Public Adm'r of County of N.Y. v Royal Bank of Can.*, 19 NY2d 127; *Frummer v Hilton Hotels Intl.*, 19 NY2d 533; *Supreme Merchandising Co. v Kinzoku Co.*, 121 AD2d 193; *Rio Props., Inc. v Rio Intl. Interlink*, 284 F3d 1007; *Umbenhauer v Woog*, 969 F2d 25.) II. The Appellate Division erred in holding that service upon defendants in Brazil was not made in accordance with the Mutual Legal Assistance Treaty in Criminal Matters. (*Matter of Commodity Futures Trading Commn. v Nahas*, 738 F2d 487; *Air France v Saks*, 470 US 392; *United States v Real Prop. Located at 22 Santa Barbara Dr.*, 264 F3d 860; *United States v All Funds in Account Nos. 747.034/278*, 141 F Supp 2d 548, 295 F3d 23; *Societe Nationale Industrielle Aero-spatiale v United States Dist. Court for Southern Dist. of Iowa*, 482 US 522; *Itel Containers Int'l Corp. v Huddleston*, 507 US 60; *Foster v Neilson*, 2 Pet [27 US] 253; *Long v State of New York*, 7 NY3d 269.)

Howrey LLP, New York City (James G. McCarney and Grace

L. Chan of counsel), *Bernard D'Orazio, P.C.* (*Bernard D'Orazio* of counsel), *Gleason & Koatz, LLP* (*John P. Gleason* of counsel), and *Busson & Sikorski* (*Robert Sikorski* and *Berenice Busson* of counsel), for respondents. This action was properly dismissed for insufficiency of service of process. (*Hilton v Guyot*, 159 US 113; *Societe Nationale Industrielle Aerospatiale v United States Dist. Court for Southern Dist. of Iowa*, 482 US 522; *Byblos Bank Europe, S.A. v Sekerbank Turk Anonym Syrketi*, 10 NY3d 243; *Ings v Ferguson*, 282 F2d 149; *Persaud v Teaneck Nursing Ctr.*, 290 AD2d 350; *Tadir Air v FGH Realty*, 297 AD2d 230; *Shinn v Catanzaro*, 1 AD3d 195; *Sam v Town of Rotterdam*, 248 AD2d 850; *141 E. 47th St. Assoc. v ABR Mgt.*, 225 AD2d 341; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

OPINION OF THE COURT

CIPARICK, J.

In this civil forfeiture action, we are asked to determine whether service of process pursuant to CPLR 313 on defendants in a foreign country is sufficient to confer personal jurisdiction or whether one must additionally satisfy the service requirements of that foreign locale. Because compliance with CPLR 313 alone constitutes proper service upon foreign defendants where, as here, no treaties or international agreements supplant New York's service requirements, and because principles of international comity do not mandate a different result, service was sufficient. Plaintiffs were not compelled to serve defendants in accordance with the service requirements of the foreign nation, Brazil, via letters rogatory.

I.

The genesis of this appeal is a forfeiture proceeding initiated by plaintiff, New York County District Attorney Robert M. Morgenthau, seeking to obtain proceeds of an allegedly illegal international money transfer scheme engaged in by defendant depositors, operating out of Brazil. Defendants allegedly transferred money from Brazil to a Manhattan bank in violation of Brazilian monetary regulations and New York banking laws. Many of the defendants were indicted by a New York County grand jury and charged with violating Banking Law § 650 (2) (b) (1). Along with these pending indictments, plaintiff instituted this CPLR article 13-A forfeiture proceeding in Supreme Court, seeking \$636,924,865 in alleged proceeds and

instrumentalities from the defendant depositors' criminal, international banking activities¹ (*see* CPLR 1311 [8]).

Before plaintiff's involvement in this matter, federal agents uncovered this alleged operation, which took place during a six-month period in 2002. Defendants utilized a money transfer station² to transfer money from Brazil to the United States in violation of Brazilian currency laws. A bank employee in Manhattan received the money and set up parallel accounts at her bank.³ In 2002, after discovering these transfers and investigating the matter further, federal authorities obtained *ex parte* warrants from the United States District Court for the District of New Jersey, authorizing a seizure of just over \$21 million, which had been deposited into the New York bank. The Government then transferred the funds to an undisclosed account within its control and obtained a criminal forfeiture order to freeze the money. Defendants moved in District Court to vacate that order. The court held that the Government had failed to demonstrate a rightful claim to the money and ordered that control of the funds be relinquished.

Subsequently, federal authorities approached District Attorney Morgenthau to ascertain his interest in proceeding with New York State prosecutions against defendants. On June 20, 2006, plaintiff commenced this civil forfeiture action pursuant to CPLR article 13-A and Supreme Court signed an *ex parte* temporary restraining order to freeze defendants' assets. Later that day, plaintiff secured an order of attachment, also *ex parte*.⁴ In response, defendants claimed that plaintiff had failed to timely satisfy the order by failing to confirm it within five days as required by statute. Plaintiff then obtained a second order of attachment, claiming that any untimeliness in confirming the first order became moot. On August 8, 2006, Supreme Court

1. Simultaneously, the Brazilian government is investigating and prosecuting many of the defendants for violations of its laws. According to plaintiff, each of the individual defendants has been arrested and charged in Brazil.

2. Money transfer stations in Brazil are known as "casas de cambio" or "doleiros."

3. The bank employee was arrested, charged and ultimately pleaded guilty in United States District Court for the District of New Jersey to charges pertaining to the filing of false tax returns and operating a money transfer operation without proper licensing. As part of the plea agreement, she forfeited any interest, title or right to the seized proceeds.

4. On June 20, 2006, plaintiff served the attachment order upon the New York City office of the United States Department of Homeland Security, Customs and Border Patrol Service, who then transferred \$17.7 million to a bank under plaintiff's control.

vacated the June 20 attachment order, and thereafter defendants moved to quash the second order of attachment.

During July 2006, plaintiff served 14 individual defendants and representatives of five corporate defendants in Brazil.⁵ As for certain defendants who allegedly could not be reached by personal service, plaintiff served their respective attorneys pursuant to an August 10 order of Supreme Court, permitting the use of alternative service methods under CPLR 308 (5), 311 (b) and 313. After defendants were indicted, plaintiff allegedly served many of them by mailing the summons and complaint to their attorneys. Most of the remaining defendants were served personally in Brazil by Brazilian law enforcement officials under an agreement with local New York authorities. Four other individuals were served under New York service procedures pursuant to CPLR 308 (2) and (4) via “delivery and mail” or “nail and mail.” Because service on those four defendants was not completed in a timely fashion, they are not affected by our holding today.

On February 8, 2007, Supreme Court vacated the second attachment order, noting that at the time the order was issued the funds were located beyond the court’s jurisdiction, in New Jersey. Additionally, Supreme Court dismissed the complaint, concluding that plaintiff’s service of process failed to comply both with service requirements prescribed by the Inter-American Convention on Letters Rogatory and the service requirements of Brazil, which utilizes only letters rogatory or a letter of request transmitted through diplomatic channels, and with principles of comity.

The Appellate Division affirmed, finding no abuse of discretion in Supreme Court’s decision to decline to confirm the attachment orders (49 AD3d 50 [2007]). The court further held that plaintiff’s service procedures were improper because they did not comply with Brazilian law and failed to defer to principles of international comity.⁶ Finally, the court stated that plaintiff did not effectuate service in accordance with the Mutual Legal Assistance Treaty in Criminal Matters, because serving defendants by Brazilian law enforcement authorities under an informal agreement with New York law enforcement authorities

5. Several corporate defendants incorporated in the British Virgin Islands were apparently served in their corporate capacity, as authorized representatives or agents in Brazil.

6. The court did not reach the validity of service of process by plaintiff pursuant to the CPLR.

did not comply with the treaty. The Appellate Division certified the following question: “Was the order of this Court, to the extent that it affirmed the order of the Supreme Court . . . properly made?”⁷ We answer that certified question in the negative and reinstate the complaint.⁸

II.

Defendants argue that plaintiff’s service was improper because it offends notions of international comity and requirements of international treaties and Brazilian law that service in Brazil be made exclusively via letters rogatory. Plaintiff argues that he was not obligated to serve defendants by letters rogatory because service made under a means recognized by CPLR 313 complies with due process requirements and constitutes proper service upon defendants outside of this state—there being no treaty or international agreement requiring otherwise. Plaintiff further argues that principles of comity do not warrant the importation of another country’s service of process rules. We agree with plaintiff that service pursuant to CPLR 313 is sufficient.

We begin with the words of the statute:

“A person domiciled in the state or subject to the jurisdiction of the courts of the state under section 301 or 302, or his executor or administrator, may be served with the summons without the state, in the same manner as service is made within the state, by any person authorized to make service within the state who is a resident of the state or by any person authorized to make service by the laws of the state, territory, possession or country in which service is made or by any duly qualified attorney, solicitor,

7. The Appellate Division, in the same order, also dismissed an appeal from a Supreme Court order denying plaintiff’s *ex parte* application to file affidavits of service out of time and have them deemed timely filed, *nunc pro tunc*. This part of the Appellate Division order is not within the scope of the certified question and is not before us.

8. In May 2008, during the pendency of this appeal, the United States District Court for the District of Columbia ordered plaintiff to transfer the seized money to federal authorities pursuant to a request from the Brazilian government. Abiding by that order, plaintiff transferred all the money he had under his control to the federal authorities, where it remains. Thus, the issue relating to the validity of the attachment order has been mooted, but the service of process issue remains ripe for disposition.

barrister, or equivalent in such jurisdiction” (CPLR 313).⁹

“As a general proposition, we need not look further than the unambiguous language of the statute to discern its meaning” (*Jones v Bill*, 10 NY3d 550, 554 [2008]). In doing so, we look not only at what the statute requires, but also at what it does not require. Absent in the plain text is any requirement to fulfill a foreign locale’s service of process requirements in order to effectuate service in a New York action upon a defendant in another country.

As we stated in *Dobkin v Chapman* (21 NY2d 490, 501 [1968]), the words of CPLR 313 are “clear and unqualified; service may be made without the State . . . ‘in the same manner as service is made within the state.’ ” This straightforward rule advances the statute’s purpose:

“[T]he joint report of the Senate and Assembly committees . . . noted, in so many words, that service outside of New York . . . could be effected ‘in any manner that is permitted within the state’ and that ‘[t]he permissive methods of service without the state have been increased in order to enhance the possibility of acquiring *in personam* jurisdiction over non-residents subject to our courts’ jurisdiction . . .’ (Fifth Preliminary Report, N. Y. Legis. Doc., 1961, No. 15, pp. 271-272)” (*id.* at 501).

CPLR 313, therefore, has both the intention and effect of “remov[ing] state lines, and the plaintiff is to use the service methodologies of CPLR 308, 309, 310, 311, and 312-a, etc. wherever the defendant (or person authorized to accept service on defendant’s behalf) may be found” (Alexander, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR 313, quoting Siegel, NY Prac § 100, at 168 [3d ed 1999] [internal quotation marks omitted]).

Neither do principles of comity compel a different result. The doctrine of comity “refers to the spirit of cooperation in which a domestic tribunal approaches the resolution of cases touching the laws and interests of other sovereign states” (*Byblos Bank Europe, S.A. v Sekerbank Turk Anonym Syrketi*, 10 NY3d 243,

9. Rule 4 (f) (3) of the Federal Rules of Civil Procedure is in accord with CPLR 313, permitting a foreign defendant to be served by any method of court-ordered service, provided that the method of service is not prohibited by international agreement (*see Rio Props., Inc. v Rio Intl. Interlink*, 284 F3d 1007 [9th Cir 2002]).

247 [2008]). Whether to apply the doctrine lies in the sound discretion of the court (*id.*). We have typically analyzed the doctrine in the context of enforcement in New York of judgments issued by foreign countries under CPLR article 53 (*see e.g. id.*; *Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78 [2006]). While we have, on occasion, addressed comity principles in cases where a party to New York litigation is asking a New York court to give effect to the laws of another jurisdiction (*see e.g. Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65 [2006]), we have never applied the doctrine to import the laws of a foreign country into a New York lawsuit—and we decline to do so in this case.

Thus, we need not apply comity principles to service of process issues where the CPLR's requirements of service upon foreign defendants are fulfilled, as they are here (*see Banco do Commercio e Industria de Sao Paulo v Esusa Engenharia e Construcoes*, 173 AD2d 340, 341 [1st Dept 1991] [because defendants admitted they were served with process in Brazil in accordance with the requirements of CPLR 308 by an officer of the court in Brazil, the motion for defective service failed]; *Rio Props., Inc.*, 284 F3d at 1014 [service in compliance with the federal rules is not invalidated even if it is made in a foreign country where such service is not utilized]; *Umbenhauer v Woog*, 969 F2d 25, 32-33 [3d Cir 1992] [same]). Thus, comity is not an additional hurdle for a plaintiff to overcome in serving a party in a foreign country, and defendants' claim that plaintiff should have complied with Brazilian law, which requires that service of process by a foreign party upon a party domiciled in Brazil must be made by letters rogatory, is without merit. A New York court's ability to exercise personal jurisdiction over a Brazilian domiciliary, where service is made in accordance with the CPLR, should not be so limited.

Where there exists a treaty requiring a specific form of service of process such as the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters (Hague Service Convention), that treaty, of course, is the supreme law of the land and its service requirements are mandatory (*see* US Const, art VI, cl 2; *Volkswagenwerk Aktiengesellschaft v Schlunk*, 486 US 694 [1988]). But the Hague Service Convention is not implicated in connection with service on the Brazilian nationals because Brazil is not a signatory to that convention.

Both the United States and Brazil are signatories to the Inter-American Convention on Letters Rogatory (reprinted following

28 USCA § 1781). Article 2 of that treaty does not mandate, however, that letters rogatory be the exclusive means of service on a party in Brazil. As stated in *Kreimerman v Casa Veerkamp, S.A. de C.V.* (22 F3d 634, 640-642 [5th Cir 1994]):

“[N]othing in the language of the Convention expressly reflects an intention to supplant all alternative methods of service. Rather, the Convention appears solely to govern the delivery of letters rogatory among the signatory States . . .

“[T]he text of the Convention strongly indicates, not that the Convention preempts other conceivable methods of service, but that it merely provides a mechanism for transmitting and delivering letters rogatory when and if parties elect to use that mechanism.”

Consequently, the Letters Rogatory Convention allows for service of process pursuant to a state statute (*see Laino v Cuprum S.A. de C.V.*, 235 AD2d 25, 29 [2d Dept 1997]).¹⁰ Here, that statute is CPLR 313.

Since a New York plaintiff need not comply with foreign law absent a treaty, we must lastly consider whether defendants were properly served under New York law. Individual defendants were served in Brazil under CPLR 313 and 308 (1), or they were served through their lawyers under alternative service pursuant to CPLR 308 (5). Plaintiff served corporate defendants by personal delivery to an authorized representative in Brazil under CPLR 311 (a) (1), or through their lawyers under the alternate service order pursuant to CPLR 311 (b).¹¹ We thus conclude that all due process requirements were met and proper service upon defendants, save the four served pursuant to CPLR 308 (2) and (4), was effected. Consequently, that portion of the Appellate Division decision that affirmed Supreme Court’s dismissal of the forfeiture action should be reversed.

10. Plaintiff argues alternatively that he complied with Brazilian service laws by serving defendants in Brazil under an informal agreement he maintained with Brazilian law enforcement authorities, pursuant to the Mutual Legal Assistance Treaty in Criminal Matters, to which the United States and Brazil are both signatories. We need not reach this issue.

11. Although not argued by either party in Supreme Court and held to be unpreserved by the Appellate Division, it is alleged that those corporate defendants incorporated in the British Virgin Islands were served in conformity with the Hague Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters, a treaty to which the United States and the British Virgin Islands are signatories.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, with costs to plaintiff, by reinstating the complaint and, as so modified, affirmed, and the certified question answered in the negative.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, modified, etc.

[899 NE2d 941, 870 NYS2d 835]

WHITE HOUSE MANOR, LTD., Respondent, v ROSE ELLEN BENJAMIN et al., Respondents. KOREAN PRESBYTERIAN CHURCH, Nonparty Appellant.

Argued September 10, 2008; decided November 20, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 10, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Westchester County (Joan B. Lefkowitz, J.), which, insofar as appealed from, had, upon a prior order of that court granting defendants' cross motion for summary judgment, (1) declared nonparty Korean Presbyterian Church (Church) in default of its real property purchase contract with defendants, the amendment to the contract and a stipulation of settlement resolving the unjust enrichment action between plaintiff and defendants; (2) decreed that the Church forfeited the down payment; (3) ordered the Church to turn over to defendants all reports, studies, plans, maps and investigations completed in pursuit of the subdivision and site plan approvals; (4) ordered the Church to turn over to defendants all engineering plans and confirm that all engineering and survey costs had been paid; (5) ordered the Church to pay the cost of a steep slope analysis necessary to complete the subdivision application; (6) ordered the Church to pay all municipal fees and costs required to complete the subdivision application; (7) ordered the Church to designate Jerald Jay Levy as authorized to complete the subdivision application; (8) ordered "[the Church to] pay to [plaintiff] the share of [the Church] of 2005 and any future county and town taxes"; (9) ordered "[the Church to] pay to [plaintiff] the share of [the Church] of 2005/2006 and any future school taxes"; and (10) awarded defendants \$29,365 for missed option payments and interest thereon, \$4,321.50 for the Church's share of the 2004/2005 county and town taxes and interest thereon, and \$4,911.08 for the Church's share of the 2004/2005 school taxes and interest thereon.

White House Manor, Ltd. v Benjamin, 42 AD3d 450, reversed.

HEADNOTE

Stipulations — Enforcement — Enforcement against Nonparty Signatory to Stipulation

In an unjust enrichment action brought by plaintiff as owner of part of a building lot against the owners of the other part seeking to recover plaintiff's

pro rata share of the real property taxes that it had been paying on the lot, the stipulation of settlement resolving the action could be enforced against the church that had entered into a contract with defendants to purchase their share of the lot, as the church, although not a party to the unjust enrichment action, expressly agreed to make itself a party to the stipulation. Given the power of a trial court to exercise supervisory control over all phases of pending actions and proceedings, including discretionary power to relieve parties from the consequences of a stipulation effected during litigation, Supreme Court's judgment resolving both plaintiff's motion by order to show cause to enforce the stipulation against defendants and the church, and defendants' "cross motion" within that action for a declaration that the church was in default of the purchase contract, the amendment to the contract and the stipulation, was proper only to the extent that it enforced the terms of the stipulation against the church. The church was given notice and an opportunity to appear in proceedings regarding the stipulation, and any relief directed merely toward enforcement of the stipulation did not offend its due process rights. So much of the judgment, however, as ordered remedies against the church for its purported breach of the purchase contract and the contract amendment was inappropriate. In order to pursue a claim against the church for breach of contract, defendants would have to commence a plenary action against it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Compromise and Settlement § 49; AM JUR 2d, Stipulations §§ 8–10.

CARMODY-WAIT 2d, Stipulations §§ 7:22, 7:37, 7:43.

NY JUR 2d, Compromise, Accord, and Release §§ 34, 42; NY JUR 2d, Trial §§ 252–255.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement; Stipulations.

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POINTS OF COUNSEL

Hughes Hubbard & Reed LLP, New York City (*James C. Fitzpatrick*, *George A. Davidson*, *Nathan I. Nahm* and *Lewis D. Ziropiannis* of counsel), for appellant. I. A judgment against a nonparty on an unpleaded cause of action brought by an improper cross motion should be reversed as not in accordance with the law. (*Mango v Long Is. Jewish-Hillside Med. Ctr.*, 123 AD2d 843; *Matter of Jetter*, 78 NY 601; *Teitelbaum Holdings v Gold*, 48 NY2d 51; *Barzack Realty Co. v Legatti & Son*, 114 Misc 2d 245; *Johnson v Hunte*, 8 Misc 3d 133[A], 2005 NY Slip

Op 51160[U]). II. The judgment should be reversed because the irregular procedure violated due process. (*Murray v Hoboken Land & Improvement Co.*, 18 How [59 US] 272; *Carey v Piphus*, 435 US 247; *Mathews v Eldridge*, 424 US 319; *Fuentes v Shevin*, 407 US 67; *Skyline Agency v Coppotelli, Inc.*, 117 AD2d 135; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Duckett v Ward*, 458 F Supp 624; *AmBase Corp. v Davis Polk & Wardwell*, 8 NY3d 428; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Gray v Pashkow*, 79 NY2d 930.)

Law Offices of Annette G. Hasapidis, South Salem (Annette G. Hasapidis of counsel), for respondents. I. Korean Presbyterian Church failed to preserve its objection to the alleged lack of jurisdiction when it executed a settlement stipulation that did not limit the court's jurisdiction over the parties or the underlying contract. (*Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Sam & Mary Hous. Corp. v Jo/Sal Mkt. Corp.*, 62 NY2d 941; *Guaspari v Gorsky*, 29 NY2d 891.) II. The motion court had jurisdiction to rule that Korean Presbyterian Church breached the stipulation and the contract because the church was a party to the stipulation, which modified the underlying contract. The church waived any objection by accepting the benefits of the stipulation for years. The church's remaining due process claims are unique procedural circumstances of the church's own making which did not violate its due process rights. (*Sheehan v Marshall*, 9 AD3d 403; *Kleeberg v City of New York*, 305 AD2d 549; *Volpe v Canfield*, 237 AD2d 282; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *Wynkoop Hallenbeck Crawford Co. v Western Union Tel. Co.*, 268 NY 108; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Beacon Term. Corp. v Chemprene, Inc.*, 75 AD2d 350, 51 NY2d 706; *Cortesi v R & D Constr. Corp.*, 73 NY2d 836; *Walker v Millard*, 29 NY 375.)

OPINION OF THE COURT

READ, J.

In 1987, plaintiff White House Manor, Ltd. purchased 3.43 acres of undeveloped property in the Town of Greenburgh, Westchester County, from Travis Levy, and executed a mortgage on it. The mortgage was subsequently assigned to defendants Rose Ellen Benjamin, Joan C. Levy,¹ and Jerald Jay Levy (the Levys).

1. Both Rose Ellen Benjamin and Joan C. Levy died during the pendency of this proceeding. Georgia Sassen, as trustee under the trust agreement of

(n. cont'd)

White House also purchased two neighboring parcels in 1987, and in 1990, obtained town approval to subdivide all three parcels into six lots, five of which were sold as building lots. White House intended to subdivide the remaining lot (8.03 acres), which contained the former Levy property and parts of the two other parcels, which were deemed merged as a matter of law. This lot received a new, single tax map designation, and is known as 1952 Saw Mill River Road, Elmsford, New York. When White House failed to fulfill certain requirements, however, the Town's final approval for subdivision of the 8.03-acre lot expired as a matter of law.

After defaulting on its mortgage payments to the Levys, White House deeded the Levys' former property back to them in June 1995 in lieu of foreclosure. Consequently, the Levys owned 3.43 acres of the larger 8.03-acre lot, while White House owned the remainder (4.6 acres). Since no separate tax assessment existed against the Levys' interest, White House continued to pay the real property taxes levied against the entire parcel.

The Town advised the Levys that the 8.03-acre lot needed to be subdivided in order for them to sell or build on their portion of it, and that subdivision approval would require sewer improvements, which the Levys discovered were costly. They therefore decided to market their property upon condition that the prospective purchaser would have to pay for severing the 3.43 acres, and obtaining any site plan approvals necessary for the purchaser's intended use.

In June 1999, White House commenced this unjust enrichment action against the Levys to recover their pro rata share of the real property taxes that White House had been paying on the 8.03-acre lot. In September 1999, the Levys answered and counterclaimed against White House, seeking contribution to subdivision costs.

Meanwhile, by a contract of sale dated August 6, 1999, Korean Presbyterian Church of Westchester purchased the 3.43 acres from the Levys for \$380,000, making a \$38,000 down payment into escrow. The sale was contingent upon the Church's securing any required government approvals—in particular, subdivision and site plan approvals from the Town and a road access permit from the New York State Department of Transportation—at its own expense. Further, paragraph “FOURTEENTH” of the August 1999 purchase contract provided that

Rose Ellen Benjamin, and Karen J. Levy, as the personal representative of Joan C. Levy's estate, have been substituted as parties defendant.

“[i]n the event the requisite approvals are not obtained . . . within six months from the date of receipt by [the Church] of a fully executed contract[, the Church] shall have the option of extending the approval period for an additional six (6) months after receipt by [the Church] of a fully executed contract and continuing each month thereafter until said approvals are obtained and the closing of title herein has occurred. In the event the [Church’s] applications are denied or [the Church] determines from the approving boards[’] memoranda and/or minutes that said approvals will not be granted, [the Church] shall forward documentation to [the Levys’] attorney confirming this denial, whereupon the down[] payment shall be promptly returned to [the Church], but not the . . . \$2,000.00 monthly fee which shall be non[-]refundable. Said \$2,000.00 fee is not a part of nor a credit against the Purchase Price herein. If said approvals are not obtained within one (1) year from the date of receipt by [the Church] of a fully executed contract, despite [the Church’s] diligent efforts to obtain same, then either [the Levys] or [the Church] shall have the right to terminate this contract. In the event of such termination, the aforesaid down[] payment shall be promptly returned to [the Church], but not the \$2,000.00 monthly fee, which, as previously stated, shall be non-refundable.”

The Church, which got caught up in a three-year building moratorium, did not timely obtain the necessary approvals from the Town. Accordingly, by an agreement dated May 1, 2003, the Church and the Levys amended the August 1999 purchase contract, modifying paragraph “FOURTEENTH” to extend the option period until the earlier of January 31, 2004, or the closing of title on condition that the Church make “current the option payments due and owing . . . and continue to make the requisite [\$2,000] option payments.” Further, the parties modified paragraph “ELEVENTH” to make the Church’s obligation to close title contingent upon obtaining subdivision approval only. Finally, the Church agreed to pay the Levys’ “pro rata portion of real estate taxes for [the 8.03-acre parcel] commencing with the Town Tax due on April 30, 2003 and [to] be responsible for payment of such pro rata portions *from the date hereof to the date of closing*” (emphasis added).

Shortly after the Church and the Levys amended the purchase contract, White House, the Levys and the Church executed a “Stipulation of Settlement” to “settle” the unjust enrichment action. The stipulation, dated May 20, 2003 and “so ordered” by Supreme Court on June 4, 2003, stated that “on August 7 [*sic*], 1999, [the Levys] entered into a Contract of Sale to sell [their] portion of the subject premises to the [Church], which Contract has been amended by Agreement dated May 1st, 2003”; and further, “the [Church], as Contract Vendee, has a vital interest in the outcome of the instant litigation *and has agreed to be a party to the instant Stipulation*” (emphasis added). The stipulation did not incorporate into its provisions the terms of the August 1999 purchase contract or the May 2003 amendment of it.

The stipulation went on to provide that “it [was] hereby stipulated and agreed that the above captioned action is settled as follows,” specifying that

“[c]ommencing on or before April 30, 2003, the [Church] shall remit monies directly to [White House’s former attorney] for [the Levys’] pro rata share of the real estate taxes for the year 2003 until the sooner of the closing of title pursuant to the aforementioned Contract[] of Sale, as amended and extended, the completion of the sub-division currently pending . . . , or *the termination of that Contract of Sale by the terms thereof due to the default of either [the Levys] or [the Church]*” (emphasis added).

The Levys further acknowledged that “they [would] . . . be responsible for their pro rata share of the real estate taxes in the event the closing of title envisioned above [did] not occur and the conditions of sale aforementioned [were] cancelled.” For its part, White House waived any objection to the Church’s pending subdivision application; and the Levys and the Church “waive[d] any objections they might otherwise have to any subdivision application . . . brought regarding the subject premises” by White House.

The Church subsequently requested, and apparently obtained, additional extensions of the purchase contract, claiming at one point that it had reached “the final stage” of town approval, and cautioning that “[i]f [the Levys] switch[ed] to a different buyer, they [would] start from scratch with the Town.” In January 2005, however, the Church stopped making the \$2,000

monthly option payments, and on March 28, 2005, the Levys complained to the Church. The Levys claim that, at about the same time, they discovered that the Church had not done anything to advance its subdivision or site plan applications for several months.

On March 31, 2005, the Church purportedly terminated the contract of sale pursuant to paragraph “FOURTEENTH” of the 1999 purchase contract, and demanded the return of its down payment. On April 4, 2005, the Levys rejected the Church’s action. They took the position that the Church would be in “willful default” under the purchase contract, the amendment and the stipulation if it ceased to seek subdivision approval from the Town. The Levys apparently wrote the Church again on June 21, 2005, advising that they considered the Church to be in default.

Presumably because of the contract dispute between the Levys and the Church, neither of them paid the Levys’ pro rata share of the real property taxes. This prompted White House to move by order to show cause, within its unjust enrichment action, to enforce the stipulation against the Levys and the Church. The Levys “cross-moved” within that action for a declaration that the Church was in default of the purchase contract, the amendment and the stipulation, and for concomitant relief.

In an order entered on February 7, 2006, Supreme Court granted the motion and the “cross motion.” Judgment was entered (1) declaring the Church in default of the purchase contract, the amendment and the stipulation; (2) decreeing that the Church forfeited the down payment; (3) ordering the Church to turn over to the Levys all reports, studies, plans, maps and investigations completed in pursuit of the subdivision and site plan approvals; (4) ordering the Church to turn over to the Levys all engineering plans and confirm that all engineering and survey costs had been paid; (5) ordering the Church to pay the cost of a steep slope analysis necessary to complete the subdivision application; (6) ordering the Church to pay all municipal fees and costs required to complete the subdivision application; (7) ordering the Church to designate Jerald Jay Levy as authorized to complete the subdivision application; (8) ordering “[the Church to] pay to [White House] the share of [the Church] of 2005 *and any future county and town taxes*” (emphasis added); (9) ordering “[the Church to] pay to [White House] the share of [the Church] of 2005/2006 *and any future school taxes*” (emphasis added); and (10) awarding the Levys

\$29,365 for missed option payments and interest thereon, \$4,321.50 for the Church's share of the 2004/2005 county and town taxes and interest thereon, and \$4,911.08 for the Church's share of the 2004/2005 school taxes and interest thereon. Supreme Court subsequently granted the Church's motion for reargument, but adhered to its decision.

The Church appealed, and in a decision dated July 10, 2007, the Appellate Division described the Church's appeal as follows:

"In an action . . . to recover damages for unjust enrichment, nonparty [the Church] appeals, as limited by its brief, *from so much of [Supreme Court's March 2006 judgment], as, upon [Supreme Court's February 2006 order], inter alia, granting the cross motion [of the Levys], among other things, in effect, for summary judgment* declaring that [the Church] breached a contract for the sale of real property dated August 6, 1999, as amended May 4 [sic], 2003, and a stipulation of settlement dated June 4, 2003, is in favor of the [Levys], and against it declaring that [the Church] breached the contract for the sale of real property dated August 6, 1999, as amended May 1, 2003, and the stipulation of settlement dated June 4, 2003" (*White House Manor, Ltd. v Benjamin*, 42 AD3d 450, 450 [2d Dept 2007] [emphasis added]).

The Appellate Division "affirmed insofar as appealed from" (*id.*), concluding that

"contrary to the [Church's] contention, . . . Supreme Court properly exercised its jurisdiction to enforce the terms of the subject stipulation of settlement to which the [Church] was a signatory. The [Church's] status as a nonparty contract vendee did not require the parties to seek enforcement of the settlement by plenary action" (*id.* at 451).

We subsequently granted the Church's motion for leave to appeal, and now reverse.

The mandates of CPLR 3212 were not satisfied in this case, and Supreme Court's order was thus not a proper award of summary judgment pursuant to article 32 of the CPLR. CPLR 3212 (a), titled "Time; kind of action," states that "Any party may move for summary judgment in any action, after issue has been joined." Here, however, it does not appear that any party

moved for summary judgment under CPLR 3212 and, more critically, issue was never joined by the Church. No matter how the Appellate Division described Supreme Court's judgment, there is simply no way that Supreme Court could have granted summary judgment against the Church.

But then Supreme Court never purported to do so; it simply granted various measures of relief without any citation to legal authority, statutory or otherwise. Given the presence of a "so-ordered" stipulation bringing the Church into this lawsuit in the first place, however, the only possible legal basis for Supreme Court's order was "[t]he power of a trial court to exercise supervisory control over all phases of pending actions and proceedings . . . [including] discretionary power to relieve parties from the consequences of a stipulation effected during litigation" (*Teitelbaum Holdings v Gold*, 48 NY2d 51, 54 [1979] [citation omitted]). Because the inherent authority described in *Teitelbaum* extends only to the enforcement of a stipulation within a pending action or proceeding, it is necessary to map out the boundaries of the stipulation in this case.

As an initial matter, the original unjust enrichment action brought by White House against the Levys concerned only the pro rata division of real property taxes between those parties. Critically, however, the Church expressly agreed to make itself a party to the stipulation settling this property tax dispute. The Church not only signed the stipulation, but also appeared at Supreme Court proceedings regarding the stipulation and agreed, pursuant to the stipulation itself, that the Church "ha[d] a vital interest in the outcome of the instant litigation and ha[d] agreed to be a party to the instant Stipulation." Insofar as the "cross-motion" in this case was actually brought merely to enforce the stipulation, the Church should be considered a party pursuant to *Teitelbaum*. Similarly, since the Church was given notice and an opportunity to appear (and, indeed, availed itself of that opportunity) in proceedings regarding the stipulation, any relief directed merely toward enforcement of the stipulation does not offend the Church's due process rights.

In sum, to the extent that Supreme Court's order enforced the terms of the stipulation against the Church, this was proper under *Teitelbaum*. In the stipulation, the Church agreed to pay the Levys' pro rata share of real property taxes to plaintiff's former attorney until the soonest of (1) the closing of the purchase contract, (2) subdivision of the 8.03-acre tax parcel, or (3) termination of the purchase contract due to the default of ei-

ther the Levys or the Church. The appealed-from judgment says that “[the Church] is *in default* pursuant to the terms of the Contract of Sale dated August 6, 1999, the Amendment thereto dated May 1, 2003 and the [stipulation] dated . . . June 4, 2003” (emphasis added), without specifying when or how any default may have occurred.² To the extent that the judgment directs the Church to pay the Levys’ pro rata share of property taxes after termination of the contract under this provision of the stipulation, it is erroneous. Insofar as differences remain between the Levys and the Church over the Church’s obligation to pay real estate taxes, those differences should be resolved by Supreme Court on remittal. But since Supreme Court only had the power under *Teitelbaum* to enforce the stipulation, so much of its judgment as ordered remedies against the Church for its purported breach of the purchase contract and its amendment is inappropriate. If the Levys desire to pursue a claim against the Church for breach of contract, they will have to commence a plenary action by filing a summons and complaint (*see* CPLR 304), after which the Church would have at least 20 days to answer (*see* CPLR 320). Then, after issue is joined, the Levys may move for summary judgment if they believe there are no material disputed issues of fact to be resolved (*see* CPLR 3212). The stipulation in the unjust enrichment action does not afford the Levys a way to bypass these procedural steps, or a portman-teau for all their claims against the Church.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

2. Both parties originally interpreted the judgment to make the Church liable for property taxes prospectively, either without end (according to the Church), or until the Levys completed the subdivision process (according to the Levys). The Levys now contend that the Church defaulted in March 2005 and is liable for property taxes through March 31, 2005; the Church disputes that it defaulted at all, and takes the position that its obligation to pay the Levys’ pro rata share of the property taxes ended in January 2005 when it terminated the 1999 purchase contract under paragraph “FOURTEENTH” by ceasing to make option payments.

[900 NE2d 915, 872 NYS2d 364]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SHEL-
DON ENNIS, Appellant.

Argued October 15, 2008; decided November 20, 2008

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 21, 2007. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Leslie Crocker Snyder, J.), which had convicted defendant, upon a jury verdict, of conspiracy in the second degree, assault in the first degree (two counts), assault in the second degree, criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree; and (2) an order of that Supreme Court (Robert M. Stolz, J.; op 2005 NY Slip Op 30328[U]), which had denied defendant's CPL 440.10 motion to vacate the judgment.

People v Ennis, 41 AD3d 271, affirmed.

HEADNOTES

Crimes — Right to Counsel — Conflict of Interest

1. Defendant's claim that defense counsel failed to make appropriate use of potentially exculpatory information discovered during trial did not warrant reversal on the ground that a conflict of interest arose that significantly impacted the defense. The conflict of interest purportedly arose when defense counsel learned, during trial, of a statement by a codefendant to authorities exculpating defendant and promised codefendant's counsel that he would not reveal information about the statement until the trial ended. The personal dilemma of defense counsel stemming from the assurance of confidentiality was markedly different from the types of conflicts that have been recognized as triggering conflict of interest analysis because it was entirely subjective. The purported conflict of interest did not arise from objective facts or circumstances external to defense counsel. Defendant's argument that defense counsel's failure to raise a *Brady* violation or to otherwise attempt to use the exculpatory information at trial was a result of the purported conflict, was rejected. The actions defendant claimed that his trial counsel should have taken would not have advanced his defense.

Crimes — Right to Counsel — Effective Representation

2. Defendant's claim that defense counsel's performance fell below constitutionally adequate levels based on his assertion that his lawyer failed to make appropriate use of potentially exculpatory information discovered during trial did not warrant reversal. Defense counsel learned, during trial, of a statement by a codefendant to authorities exculpating defendant and promised codefendant's counsel that he would not reveal information about the statement until the trial ended. Defense counsel performed as an effective

advocate in many significant respects. If defense counsel had sought a severance based on the purported *Brady* violation the codefendant would undoubtedly have asserted his Fifth Amendment privilege against self-incrimination. Because the codefendant could not have been compelled to testify on defendant's behalf and his statements would not have been admissible through a third party, defense counsel could not be deemed ineffective for failing to seek a severance or to otherwise attempt to admit the statements into evidence. Nor could the representation be deemed constitutionally deficient based on defense counsel's failure to raise the *Brady* argument during trial. Had the statement been turned over, there would have been no avenue for defense counsel to admit it into evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1832–172:1837, 172:1852, 172:1855–172:1857, 172:1865, 172:1889–172:1891.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.9, 11.10.

NY JUR 2d, Criminal Procedure: Procedure §§ 750, 864–868.

ANNOTATION REFERENCE

Circumstances giving rise to prejudicial conflict of interests between criminal defendant and defense counsel—state cases. 18 ALR4th 360.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Richard M. Greenberg of counsel), for appellant. I. Defense counsel's conflict of interest deprived Sheldon Ennis of his constitutional right to the effective assistance of counsel where, as a result of that conflict, defense counsel failed to act on exculpatory evidence that could have resulted in a new trial, established Mr. Ennis's innocence in the shooting of Billy Moody, and altered Mr. Ennis's defense to the remaining charges in the case. (*People v Berroa*, 99 NY2d 134; *People v Longtin*, 92 NY2d 640; *People v Ortiz*, 76 NY2d 652; *People v McDonald*, 68 NY2d 1; *United States v Kliti*, 156 F3d 150; *United States v Levy*, 25 F3d 146; *Cuyler v Sullivan*, 446 US 335; *People v Alicea*, 61 NY2d 23;

People v Brensic, 70 NY2d 9; *People v Settles*, 46 NY2d 154.) II. Where defense counsel failed to timely raise a meritorious motion for a mistrial and severance based on his discovery of *Brady* material that the prosecution had never disclosed, and where defense counsel's failure was not the result of a legitimate strategic decision, Sheldon Ennis was denied the effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Ortiz*, 76 NY2d 652; *People v Turner*, 5 NY3d 476; *People v Caban*, 5 NY3d 143; *People v Hobot*, 84 NY2d 1021; *People v Mahboubian*, 74 NY2d 174; *People v Bornholdt*, 33 NY2d 75; *People v Owens*, 22 NY2d 93; *People v Rivera*, 71 NY2d 705.) III. Where the prosecution failed to disclose significant *Brady* evidence that went directly to Sheldon Ennis's innocence in the Billy Moody shooting, and where defense counsel did not learn of that evidence until too late in the trial to take advantage of it, Mr. Ennis's convictions must be reversed. (*Brady v Maryland*, 373 US 83; *United States v Bagley*, 473 US 667; *Berger v United States*, 295 US 78; *People v Steadman*, 82 NY2d 1; *Banks v Dretke*, 540 US 668; *United States v Manning*, 56 F3d 1188; *Smith v Secretary of New Mexico Dept. of Corrections*, 50 F3d 801; *Bowen v Maynard*, 799 F2d 593; *People v Vilardi*, 76 NY2d 67; *People v Wright*, 86 NY2d 591.) IV. Where there was no evidence that Sheldon Ennis knew that anyone involved in the Randolph Sherman-Clarence Calwell incident was armed with a knife, no evidence that Mr. Ennis intended anyone to inflict physical injury on Sherman and Calwell by stabbing them, and no evidence that Mr. Ennis aided the actual stabbers in any way, his convictions for the assaults of Sherman and Calwell were obtained without legally sufficient evidence and must be reversed. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Piazza*, 48 NY2d 151; *People v Gerard*, 50 NY2d 392; *People v La Belle*, 18 NY2d 405; *People v Morales*, 130 AD2d 366; *People v Akptotanor*, 158 AD2d 694, 76 NY2d 1000; *People v Monaco*, 14 NY2d 43; *People v Rivera*, 176 AD2d 510.)

Robert M. Morgenthau, District Attorney, New York City (*Susan Axelrod* and *Patrick J. Hynes* of counsel), for respondent. I. The People did not fail to disclose *Brady* or *Giglio* material. (*People v Wright*, 86 NY2d 591; *Brady v Maryland*, 373 US 83; *People v Vilardi*, 76 NY2d 67; *People v Baxley*, 84 NY2d 208; *Giglio v United States*, 405 US 150; *People v Cwikla*, 46 NY2d 434; *United States v Bagley*, 473 US 667; *People v Bond*, 95 NY2d 840; *People v Sutherland*, 219 AD2d 523, 87 NY2d 908; *People v Clark*, 89 AD2d 820.) II. Defendant received effective

assistance of trial counsel. (*People v Pizarro*, 7 NY3d 840; *People v Bongarzzone-Suarrcy*, 6 NY3d 787; *People v Ortiz*, 76 NY2d 652; *People v Tamayo*, 222 AD2d 321; *United States v Moree*, 220 F3d 65; *Cuyler v Sullivan*, 446 US 335; *People v Berroa*, 99 NY2d 134; *People v McDonald*, 68 NY2d 1; *United States v Kliti*, 156 F3d 150; *United States v Levy*, 25 F3d 146.) III. The People's evidence was more than sufficient to sustain defendant's assault convictions for the stabbings of Clarence Calwell and Randolph Sherman. (*People v Danielson*, 9 NY3d 342; *People v Schulz*, 4 NY3d 521; *People v Tejada*, 73 NY2d 958; *People v Jackson*, 65 NY2d 265; *People v Bleakley*, 69 NY2d 490; *Matter of Erin C.*, 16 AD3d 320; *People v Wilson*, 240 AD2d 774; *People v Mitchell*, 77 NY2d 624; *People v Akptotanor*, 158 AD2d 694, 76 NY2d 1000.)

OPINION OF THE COURT

GRAFFEO, J.

Defendant, his brother and a coconspirator were jointly tried and convicted of participating in a conspiracy to sell drugs and assaulting rival drug dealers to further the conspiracy. On appeal, defendant argues that his convictions should be reversed because his trial counsel failed to make appropriate use of potentially exculpatory information that he discovered during the trial. We agree with the Appellate Division that reversal is not warranted and we therefore affirm.

Sheldon Ennis, his brother Aaron, and coconspirator Keith Taylor were named in a 23-count indictment as participants in a drug selling conspiracy in which they used violence to keep rival drug dealers from encroaching on their territory. At the joint trial of the three men, the People offered proof that Sheldon and Aaron Ennis ran their operation—known as the “Dog Pound”—out of a hotel on 38th Street in Manhattan. The Ennis brothers allowed other groups to sell drugs in the vicinity but warned them to stay outside of a designated area in front of the hotel. Those who failed to heed the warning were severely punished, as demonstrated by the two violent incidents that led to the convictions Sheldon Ennis challenges in this appeal.

One such incident, which occurred in August 1996, involved Frank “Nitti” Brown who ran a competing drug operation adjacent to the Dog Pound territory. Brown testified at trial that, for many months, he had a peaceful relationship with the Ennis brothers. That changed when Brown antagonized the brothers by his decision not to use them as his supplier. Then,

one of Brown's workers crossed into Dog Pound territory and sold drugs near the hotel. The Ennis brothers confronted Brown about the transgression and a verbal altercation ensued. Brown retreated to his base of operations in the Bronx, intending to return with a group of armed associates the next day. Nonetheless, that evening he and Billy Moody drove down 38th Street, accompanied by two female acquaintances. Brown and Moody both testified that they were unarmed and did not intend to provoke a fight.

Brown recounted at trial that, as he proceeded down the street, he spotted Sheldon Ennis leaning against a telephone pole. Once Sheldon saw Brown's car, he raised a gun and began to shoot. Brown swerved and then observed Aaron on the opposite side of the street. Aaron also began firing at Brown's vehicle. A third conspirator—Keith Taylor—pointed a gun at the car, although Brown was not sure whether Taylor pulled the trigger. As they drove off, Moody told Brown that he had been shot. A couple of blocks away, Brown was able to locate a police car to report the shooting. He then sought medical assistance for Moody, who survived but was paralyzed as a result of the incident. The police retrieved numerous discharged shells and casings from the area of the shooting and, at trial, a ballistics expert testified that at least two and probably more guns were involved. In connection with this shooting, the Ennis brothers and Taylor were charged with attempted murder of Moody and several counts of assault and criminal possession of a weapon.

The second violent incident occurred four months after the Moody shooting—in December 1996—when the Ennis brothers were involved in another fracas with Clarence Calwell and Randolph Sherman, rival drug dealers who ran an operation down the street. Similar to the Brown incident, the dispute arose when one of the dealers who worked for Calwell and Sherman conducted a drug sale in Dog Pound territory. Sheldon and Aaron located the rival dealers and initiated a confrontation that resulted in Calwell and Sherman each suffering multiple stab wounds. Both brothers were charged with two counts of attempted murder in the second degree and multiple counts of assault.

The jury returned a verdict convicting defendant Sheldon Ennis of conspiracy in the second degree for his participation in the Dog Pound drug operation. In connection with the Moody shooting, the jury acquitted defendant of the attempted murder count but convicted him of assault in the first degree and crim-

inal possession of a weapon in the second and third degrees. Defendant was also acquitted of the two attempted murder counts arising from the stabbing of Sherman and Calwell but was convicted of one count of assault in the first degree and one count of assault in the second degree for the injuries they sustained.¹

After the verdict but before sentencing, defendant's trial counsel—David Cooper—submitted a CPL 330.30 motion alleging that Sheldon's conviction for assault in the first degree as to the shooting of Billy Moody should be reversed based on a *Brady* violation. Cooper asserted that, during the trial, he learned that Aaron Ennis had participated in a proffer session with the District Attorney's office in which Aaron stated that he shot Billy Moody and that defendant was not present at the shooting. The People never turned over the statement as *Brady* material. Cooper explained that he was told about the statement in confidence and with the understanding that he would not disclose it until after the trial concluded. He claimed that, if the People had timely provided the *Brady* information, he would have sought a severance and a separate trial for defendant so that he could have called Aaron as a witness. Having learned of the statement late in the trial, however, Cooper contended there was no way he could get the statement before the jury because Aaron would have invoked his Fifth Amendment privilege against self-incrimination if Cooper had tried to call him as a witness at the joint trial.

The trial court denied the CPL 330.30 motion, reasoning that, although the People should have disclosed Aaron's statement, reversal was not warranted because defense counsel knew of the information during trial, at a time when he could have pursued various remedies (including an ex parte application to the court). The court concluded that defense counsel "tactically chose not to do anything" until after the jury reached its verdict, attempting "to use the *Brady* doctrine as both a shield and a sword." After the motion was denied, defendant was sentenced as a predicate felon to an aggregate term of 43¹/₃ to 60 years in prison.

Five years later, defendant made a CPL 440.10 motion to vacate the judgment, repeating his *Brady* argument and raising

1. Defendant was convicted of six out of the nine counts charged against him in the indictment: conspiracy in the second degree, two counts of assault in the first degree, criminal possession of a weapon in the second and third degrees, and one count of assault in the second degree.

an ineffective assistance of trial counsel claim. The motion was supported by the affidavit of David Cooper, Sheldon's trial attorney, who explained that it was Aaron's attorney who told him that, in an attempt to enter into a cooperation agreement with the People, Aaron stated that he shot Billy Moody and that defendant was not involved in the shooting. Cooper averred that, because he had promised Aaron's attorney that he would not disclose this information until the trial was over, he felt constrained not to alert the trial court. He further claimed that he had no "tactical or strategic reason" for his failure to act on the information during the trial. The motion court denied the application, echoing the reasoning of the trial court (2005 NY Slip Op 30328[U]).

The Appellate Division affirmed defendant's convictions, rejecting the ineffective assistance of counsel and *Brady* violation arguments for reasons similar to those articulated by the trial and motion courts (41 AD3d 271 [2007]). The court noted that there was no reasonable possibility that the People's failure to timely disclose Aaron's statement contributed to the verdict because there would have been no means for defendant to use the statement at trial, even if a severance had been granted, since Aaron would undoubtedly have invoked his Fifth Amendment privilege to avoid testifying on his brother's behalf. The court reasoned that any attempt to introduce the statement as hearsay through a third party present at the proffer session would have been unsuccessful because the statement did not fall within any hearsay exception, including the exception for declarations against penal interest. Finally, the Appellate Division also rejected defendant's claim that his assault convictions arising from the Calwell and Sherman incident were not supported by legally sufficient evidence. A Judge of this Court granted defendant leave to appeal (10 NY3d 810 [2008]).

[1, 2] Defendant raises two ineffective assistance of trial counsel arguments. First, he contends that when Cooper made a promise to Aaron's counsel not to reveal information about Aaron's exculpatory statement until the trial ended, a conflict of interest was created and reversal is necessary because the conflict significantly impacted the defense. Second, he asserts that he did not receive meaningful representation because Cooper failed to appropriately act on the information he received from Aaron's lawyer during the trial. We conclude that both arguments lack merit.

Under the state and federal constitutions, a criminal defendant is entitled to the effective assistance of counsel, defined as

“representation that is reasonably competent, conflict-free and singlemindedly devoted to the client’s best interests” (*People v Harris*, 99 NY2d 202, 209 [2002] [citations omitted]). A claim that defense counsel’s representation was compromised by a conflict of interest requires two inquiries. First, the court must examine the nature of the relationship or circumstances that are alleged to establish a conflict. Second, if a conflict is identified, the court must determine whether the conflict “operated on the representation” (*People v Ortiz*, 76 NY2d 652, 657 [1990] [internal quotation marks and citations omitted]), i.e., whether the relationship or circumstances “bore a substantial relation to the conduct of the defense” (*People v Berroa*, 99 NY2d 134, 142 [2002] [internal quotation marks and citations omitted]).

To date, our conflict of interest cases have generally fallen into one of two categories: cases where a potential conflict of interest was identified based on defense counsel’s previous or concurrent representation of a client whose interests conflicted with those of defendant (*see e.g. People v Abar*, 99 NY2d 406 [2003]; *People v McDonald*, 68 NY2d 1 [1986]) and cases where defense counsel became a witness against defendant (*see e.g. People v Lewis*, 2 NY3d 224 [2004]; *Berroa*, 99 NY2d 134 [2002]). Regardless of the circumstances, in our prior cases the potential conflicts of interest were discernible based on objective facts that were not easily subject to manipulation by the conflicted attorney. For example, in *Abar*, the purported conflict arose from defense counsel’s former employment as a prosecutor who had been involved in prior prosecutions of defendant. In *Berroa*, defense counsel’s out-of-court conversations with defense witnesses created the potential that she would become a witness against her client when those witnesses later gave alibi testimony contradicting what they had previously told her.

[1] In this case, the purported conflict of interest does not arise from objective facts or circumstances external to defense counsel. Rather, it is alleged that defense counsel was torn between keeping a promise to Aaron’s counsel not to reveal the exculpatory information and fulfilling his professional obligation to act in defendant’s best interests. In the affidavit submitted in connection with the CPL 440.10 motion, Cooper stated that he did not tell the trial court about the alleged *Brady* violation or otherwise attempt to use the exculpatory information at trial because he felt constrained to remain silent, apparently based on his personal (as opposed to professional) ethical values.

The personal dilemma defense counsel describes is markedly different from the types of conflicts that we have previously

recognized as triggering our conflict of interest analysis because it is entirely subjective. Many (perhaps most) attorneys would not have perceived any conflict; having learned information that they deemed useful to their client, they presumably would have pursued one of several available courses of action, including advising the trial court, *ex parte* and without necessarily divulging their source, that they had reason to believe there had been a proffer session in which exculpatory statements were made. For these lawyers, any personal concern stemming from the assurance of confidentiality would have been outweighed by the professional obligation to pursue the interests of a client who was on trial for serious offenses, including attempted murder. We are therefore hard-pressed to place the internal struggle cited by defense counsel in the same category as the conflicts of interest discussed in our precedents.

Even if we viewed this case as presenting a conflict situation, reversal would not be warranted under the second prong of the inquiry. “Whether a conflict of interest operates on the defense is a mixed question of law and fact and, as a result, our review is limited. We may disturb an Appellate Division determination on this issue only if it lacks any record support” (*Abar*, 99 NY2d at 409 [citations omitted]). Here, the Appellate Division rejected the argument that defense counsel’s failure to raise a *Brady* violation or to otherwise attempt to use the exculpatory information at trial was a result of the purported conflict. Defendant argues that this conclusion is unsupported by the record because defense counsel stated that he had no tactical or strategic reason for acting as he did. But the Appellate Division was not required to accept defendant’s allegations at face value. Rather, in determining what motivated defense counsel, all of the circumstances surrounding the situation could be taken into account. In this case, we cannot say that the inference drawn by the Appellate Division (and the other two fact-finding courts) lacked any support in this record, particularly because, as addressed below, the actions defendant contends that his trial counsel should have taken would not have advanced his defense.

Defendant’s related claim that defense counsel’s performance fell below constitutionally adequate levels is also based on his assertion that his lawyer failed to appropriately use Aaron’s statement—which he characterizes as *Brady* material—at trial. Where no conflict of interest is involved, the standard for assessing the effectiveness of trial counsel is whether the attorney provided meaningful representation. New York courts have

adopted a flexible approach that takes into account the fairness of the trial process as a whole and the totality of the representation (see *People v Benevento*, 91 NY2d 708 [1998]). Unlike the federal ineffective assistance standard, which requires a showing that, but for counsel's inadequacy, the outcome of the trial would have been different, New York courts do not conduct a strict prejudice inquiry (see *id.* at 713-714). However, this Court has held that it "would, indeed, be skeptical of an ineffective assistance of counsel claim absent any showing of prejudice" and that such a showing is "a significant but not indispensable element in assessing meaningful representation" (*People v Stultz*, 2 NY3d 277, 283-284 [2004]).

[2] In this case, defense counsel performed as an effective advocate in many significant respects. He vigorously cross-examined the People's witnesses, gave a strong closing argument, and succeeded in obtaining acquittals on the most serious charges facing defendant—the three attempted murder counts (one relating to the Moody shooting and the others stemming from the stabbings of Calwell and Sherman). Defendant contends that counsel operated below the minimally-required level of effectiveness because he failed to preserve an objection to the purported *Brady* violation (or to seek a mistrial or severance based on the violation) and made no attempt to get Aaron's exculpatory statement before the jury. We disagree.

Defendant's claim that his trial should have been severed from Aaron's so that he could call Aaron as a witness is undermined by the fact that Aaron would undoubtedly have asserted his Fifth Amendment privilege against self-incrimination if this had occurred. Nor could defendant have called a witness who overheard Aaron's statement—such as Aaron's attorney—to testify as to its content because, in a trial against defendant, the statement would be hearsay not subject to any exception.

Defendant's allegation that the statement would be admissible through a third party under the exception for declarations against penal interest (DAPI) also fails. To qualify under this exception, the declarant must be unavailable, must have competent knowledge of the facts and must have known at the time the statement was made that it was against his or her penal interests (*People v Brensic*, 70 NY2d 9, 15 [1987]; see *People v Settles*, 46 NY2d 154, 167 [1978]). Even if these criteria are met, the statement cannot be received in evidence unless it is also supported by independent proof indicating that it is

trustworthy and reliable (*id.*). Here, only two of the DAPI criteria are present: Aaron would have been unavailable to testify on defendant's behalf because of his Fifth Amendment privilege and, since Aaron acknowledged (and independent evidence indicated) that he participated in the shooting, he would have had competent knowledge of whether defendant was also a participant.

The requirement that the statement be contrary to the declarant's penal interest, however, poses a problem since the part of the statement that defendant would have sought to admit—that defendant was not present at the time of the shooting—is not directly inculpatory of Aaron (*Brensic*, 70 NY2d at 16 [courts “admit only the portion of (the) statement which is opposed to the declarant's interest since the guarantee of reliability contained in declarations against penal interest exists only to the extent the statement is disserving to the declarant” (citations omitted)]). Moreover, given the context in which the statements were elicited, it is questionable whether Aaron would have viewed them as being against his penal interest. Aaron made the statements at the District Attorney's office, in the presence of his attorney, at a time when he was already being prosecuted for the offense and as part of a proffer in which he apparently sought to obtain an advantage, perhaps a plea bargain for himself or leniency for Sheldon, in exchange for his cooperation. As such, Aaron was in control of whether any statement he made could be used against him and, if it was, it would only be because he had reached an agreement with the prosecution that he deemed sufficiently valuable to justify such a result. Finally, an inculpatory declaration is not admissible under the fourth criterion unless there is “sufficient competent evidence independent of the declaration to assure its trustworthiness and reliability” (*id.* at 15 [citation omitted]) and, in this case, no such proof has been identified.

Because Aaron could not have been compelled to testify on his brother's behalf and his statements would not have been admissible through a third party, defense counsel cannot be deemed ineffective for failing to seek a severance or to otherwise attempt to admit the statements into evidence. Nor can the representation be deemed constitutionally deficient based on defense counsel's failure to raise the *Brady* argument during

the trial.² While the People have an ongoing obligation to turn over exculpatory information—and their failure to do so in this case cannot be condoned—noncompliance with this requirement will not rise to the level of a *Brady* violation unless the evidence was material which, in New York, turns on whether the defense made a specific request for the information (*People v Vilardi*, 76 NY2d 67, 77 [1990]). Here, defense counsel sought disclosure of all statements made by participants in the crime that were exculpatory of defendant. As such, the People’s failure to turn over Aaron’s statement would be material if there is a “reasonable possibility” that the nondisclosure contributed to the verdict (*id.*). That standard is not met because, had the statement been turned over, there would have been no avenue for defense counsel to admit it into evidence, either in the joint trial of the Ennis brothers or in a separate trial of defendant had severance been granted.

As defendant acknowledges in his brief, it was not the content of Aaron’s statement that was potentially valuable to the defense; if true, the fact that defendant was not present at the shooting would be a fact already known to defendant. In other words, this is not a case where the information might have opened a line of investigation for the defense that was not otherwise available. Rather, here it was the fact that Aaron made the statement that was significant. Defendant contends that, if the jury had learned that the actual shooter stated that defendant was not involved, this would be compelling evidence supplying reasonable doubt. While the impact of such testimony is debatable since jurors would have had ample reason to question Aaron’s credibility given that he had an obvious motive to lie to protect his brother, a case could be made that, had the statement been admissible, there is at least a reasonable possibility that the outcome of the trial would have been different. But because there is no way that defendant could have presented the statement to the jury, this is a situation where the inadmissibility of the exculpatory information prevented it from being material, meaning its nondisclosure did not rise to the level of a *Brady* violation (*see e.g. People v Scott*, 88 NY2d 888

2. Although we discuss the *Brady* issue in connection with defendant’s ineffective assistance of counsel claim, defendant’s separate argument that reversal is warranted based on the purported *Brady* violation is not properly before this Court for review due to defense counsel’s failure to preserve the issue by making a timely objection to the People’s nondisclosure when he discovered it during the trial (*see People v Rogelio*, 79 NY2d 843 [1992]).

[1996]). As such, defense counsel's failure to preserve a *Brady* objection during the trial did not amount to ineffective assistance of counsel because an attorney is not deemed ineffective for failing to pursue an argument that had little or no chance of success.

Finally, we have considered defendant's challenge to the sufficiency of the evidence underlying the Calwell and Sherman assault convictions and find it to be without merit. There was ample evidence from which a rational jury could conclude beyond a reasonable doubt that the two brothers acted in concert and shared the intent to inflict the requisite degree of physical injury.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[900 NE2d 930, 872 NYS2d 379]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CLARENCE A. JOHNSON, Appellant.

Argued October 15, 2008; decided November 24, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 23, 2007. The Appellate Division affirmed an order of the Genesee County Court (Robert C. Noonan, J.), which had determined that defendant was a level two sex offender pursuant to the Sex Offender Registration Act.

People v Johnson, 47 AD3d 140, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Application of “Relationship Between Offender and Victim” Risk Factor to Possessor of Child Pornography

Defendant, a convicted sex offender whose crime consisted of possessing pornographic images of children, was properly assessed 20 points under the “Relationship Between Offender and Victim” factor 7 of the Risk Assessment Guidelines for having committed a crime “directed at . . . stranger[s].” Although most sex crimes involve criminals who subject their victims to sexual contact without the victims’ consent, and people who do that to people they do not know pose a special danger to the community justifying the assessment of points under factor 7, the truth of that generalization is not at all obvious when the offense in question is the possession of child pornography. Most people who commit such crimes never have any contact with the children whose images they look at. However, while factor 7 unambiguously required the assessment of 20 points against defendant, neither the Board of Examiners of Sex Offenders nor the court making the risk level determination was bound to choose the risk level indicated by defendant’s point total. Defendant could have, but failed to, argue for a downward departure from that level under the theory that the application of factor 7 to child pornography cases like his produced a seemingly anomalous result, one the authors of the Guidelines might not have intended or foreseen. Nevertheless, he still had a statutory right to petition County Court for an order modifying his designation (Correction Law § 168-o [2]).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 125, 126.

McKINNEY’s, Correction Law § 168-o.

NY JUR 2d, Penal and Correctional Institutions §§ 316–323.

ANNOTATION REFERENCE

State statutes or ordinances requiring persons previously convicted of crime to register with authorities. 36 ALR5th 161.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sex /2 offender /p risk /s stranger

POINTS OF COUNSEL

Gary A. Horton, Public Defender, Batavia (Bridget L. Field of counsel), for appellant. The lower court erred in accepting the People's assessment of points on the risk assessment instrument and finding Mr. Johnson to be a level two sex offender under Correction Law article 6-C. (*People v Taylor*, 48 AD3d 775; *People v MacNeil*, 283 AD2d 835; *People v Tejada*, 51 AD3d 472; *People v Lewis*, 45 AD3d 1381; *People v Brown*, 5 Misc 3d 529; *People v Patterson*, 149 AD2d 966; *People v Castro*, 286 AD2d 989.)

Lawrence Friedman, District Attorney, Batavia (David E. Gann of counsel), for respondent. I. Appellant was properly assessed 20 points under Sex Offender Registration Act: Risk Assessment Guidelines and Commentary risk factor 7, "Relationship Between Offender and Victim." (*People v Brown*, 5 Misc 3d 529; *New York v Ferber*, 458 US 747; *Osborne v Ohio*, 495 US 103; *Ashcroft v Free Speech Coalition*, 535 US 234.) II. Appellant's argument that he was improperly assessed 30 points under Sex Offender Registration Act: Risk Assessment Guidelines and Commentary risk factor 5, "Age of Victim," is without merit. (*People v Brown*, 5 Misc 3d 529; *People v Prado*, 4 NY3d 725; *People v Davila*, 299 AD2d 573.)

OPINION OF THE COURT

SMITH, J.

This case requires us to consider one of the risk factors used by the Board of Examiners of Sex Offenders (Board) to help courts assess the danger that convicted sex offenders pose to the community. Defendant, whose crime consists of possessing pornographic images of children, argues that the Board's factor 7, indicating an increased level of risk when a crime "was directed at a stranger," should be interpreted in a way that makes it inapplicable to his case.

Defendant's proposed reading of factor 7 is a strained one, and we reject it. It may well be that, in cases involving the possession of child pornography, the absence of a previous relationship between the offender and the children pictured does not normally heighten the risk the offender presents to the community. However, the way for courts to avoid anomalous results is not to distort the plain meaning of the Board's risk factors, but to exercise their discretion to depart from the result indicated by the risk factors in cases where that result does not make sense.

I

Defendant had on his computer pornographic images of children who were strangers to him. He pleaded guilty in County Court to attempted promoting a sexual performance by a child, and was sentenced to 10 years' probation. His conviction required him to register under the Sex Offender Registration Act (SORA) (Correction Law art 6-C), and County Court was required by SORA to decide whether defendant presented a level one (low), level two (moderate) or level three (high) risk (*see* Correction Law § 168-n [2]; *see also* Correction Law § 168-l [6]). The choice here was between level one and level two. The chief practical difference between them is that the identity of a level two offender is made available to the public (*see* Correction Law § 168-l [6] [b]; § 168-q).

County Court found defendant to be a level two offender, relying on a numerical calculation made by the Board. The Board made this calculation using its Risk Assessment Guidelines, which consist of 15 risk factors, each carrying a certain number of points. An offender who receives a score of 70 points or less is "presumptively level 1," and one who receives more than 70 but less than 110 is "presumptively level 2" (Board of Examiners of Sex Offenders, Sex Offender Registration Act: Risk Assessment Guidelines and Commentary [Guidelines], at 3 [2006]). (The point totals are subject to "overrides," not involved in this case, which automatically yield a presumptive level three designation [*id.*].)

In defendant's case, the Board recommended, and County Court adopted, an assessment of 100 points, but the Appellate Division later found, and the People do not dispute, that 20 of them were assessed in error. Of the remaining 80 points, 20 were assessed under factor 7, and the Appellate Division found that these points were proper. Based on the 80-point total, the

Appellate Division affirmed County Court's designation of defendant as a level two offender (47 AD3d 140 [2007]). This Court granted leave to appeal (10 NY3d 706 [2008]).

II

Factor 7 reads in full as follows:

“Factor 7: Relationship Between Offender and Victim

“The offender’s crime (i) was directed at a stranger or a person with whom a relationship had been established or promoted for the primary purpose of victimization or (ii) arose in the context of a professional or avocational relationship between the offender and the victim and was an abuse of that relationship (20 pts).”

Subsection (i) of factor 7 reflects the Legislature’s command that the Board consider, among other things, whether an offender has a condition that makes him “likely to engage in predatory sexually violent offenses” (Correction Law § 168-*l* [5] [a] [i]). The subsection tracks the legislative definition of the word “predatory”: “an act directed at a stranger, or a person with whom a relationship has been established or promoted for the primary purpose of victimization” (Correction Law § 168-a [9]).

The Legislature’s and the Board’s concern with sex offenders who direct their crimes at strangers is easily understandable, in the ordinary case. Most sex crimes involve criminals who subject their victims to sexual contact without the victims’ consent, and people who do that to people they do not know pose a special danger to the community—they present, in the words of the Board’s commentary on factor 7, “a heightened concern for public safety and need for community notification” (Guidelines at 12). In a footnote to this remark, the Board states an obvious truth: “The need for community notification . . . is generally greater when the offender strikes at persons who do not know him well . . .” (*Id.* at 12 n 8.)

But the truth of this generalization is not at all obvious when the offense in question is the possession of child pornography. Most people who commit such crimes never have any contact with the children whose images they look at. The unusual case where the offender and the children *are* acquainted would seem to present a greater threat to the community, not a lesser one.

Bad as this defendant's conduct was, it would surely be worse—and defendant would seem a significantly more dangerous man—if he had been looking at pictures of his friends' or neighbors' children. Yet, under factor 7, previous acquaintance with the children would (unless one of the other facts listed in factor 7 were present) decrease defendant's risk score, not increase it. It does not seem that factor 7 was written with possessors of child pornography in mind.

Defendant asks us to read factor 7 in a way that would exclude him from its coverage. But we see no way to do that under the factor's plain language. Defendant's crime was unquestionably "directed at . . . stranger[s]." Defendant argued to County Court that his crime was not "directed at" the children pictured in the images he possessed—i.e., that they were not his victims. But of course they were. The whole point of the child pornography statutes is to protect children like these from exploitation by pornographers—an exploitation to which defendant, by consuming the pornographers' product, contributed. As the Appellate Division pointed out, we have referred to provisions governing the age of children in child pornography statutes as "victim age provisions" (*Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 748 [2007]); and the United States Supreme Court, in a case involving New York child pornography statutes, has referred to "the child victim" of such a crime (*New York v Ferber*, 458 US 747, 759 n 10 [1982]). In this Court, defendant has abandoned the argument that the children were not his victims.

Defendant now focuses instead on the word "relationship" in the title of factor 7: "Relationship Between Offender and Victim." His argument is that because he had no relationship with his victims, factor 7 does not cover him. We find the argument to be without merit. It is plain from the face of factor 7 that it is meant to focus on the relationship, or absence of a relationship, between the offender and his victim before the crime was committed. This risk factor expressly includes, as the first-mentioned category of offender it covers, one whose victim was "a stranger." Perhaps factor 7 could have been more precisely titled "Relationship or Lack of Relationship Between Offender and Victim," but the shorter title does not create any real doubt about what the factor means.

Defendant is, in substance, asking us to distort the text of factor 7 to avoid an unjust result in cases like his. This expedient is not only inappropriate, it is unnecessary. While factor 7

unambiguously requires the assessment of 20 points against defendant, neither the Board nor the court was bound to choose the risk level indicated by defendant's point total. And although the Board did choose that risk level, the court was not bound to follow the Board's recommendation.

The Board's commentary on its Guidelines makes clear that the risk level it calculates from point totals is only "presumptive": "the Board or court may depart from it if special circumstances warrant" (Guidelines at 4). The commentary recognizes "that an objective instrument, no matter how well designed, will not fully capture the nuances of every case" and that a departure from the presumptive risk level is warranted where "there exists an aggravating or mitigating factor of a kind, or to a degree, that is otherwise not adequately taken into account by the guidelines" (*id.*).

The court is free to depart from the presumptive risk level even if the Board does not recommend such a departure. The statute is quite clear: the Board's duty is to "make a recommendation to the sentencing court" (Correction Law § 168-l [6]) and the court, applying a clear and convincing evidence standard, is to make its determination after considering that recommendation, and any other materials properly before it (Correction Law § 168-n [3]). While departures from the Board's recommendations are of course the exception, not the rule, the possibility of such departures has been generally recognized (*see Matter of VanDover v Czajka*, 276 AD2d 945, 946 [3d Dept 2000]; *Matter of New York State Bd. of Examiners of Sex Offenders v Ransom*, 249 AD2d 891, 892 [4th Dept 1998] ["The Board . . . serves only in an advisory capacity that is similar to the role served by a probation department in submitting a sentencing recommendation"]; *see also* 83 NY Jur 2d, Penal and Correctional Institutions § 319 [2d ed updated 2008] ["the court is not bound by the recommendation of the board in determining the appropriate risk level of an offender . . . and, in its exercise of discretion, may depart from the board's recommendation"]).

In this case defendant might well have argued for a downward departure from the level indicated by defendant's point total. As we have explained, the application of factor 7 to child pornography cases like this produces a seemingly anomalous result, one the authors of the Guidelines may not have intended or foreseen. However, defendant never asked County Court to use its discretion to depart from the Board's recommendation. He made only legal arguments, directed at the interpretation of the Guidelines.

The courts below did not err in rejecting defendant's arguments, and no other legal issue has been preserved for our review. We therefore affirm his level two designation. This result may not cause defendant serious hardship; he has a statutory right to petition County Court for an order modifying that designation (Correction Law § 168-o [2]), and our holding today does not affect that right.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, without costs.

[900 NE2d 943, 872 NYS2d 392]

In the Matter of WILLIAM J. GORMLEY, Appellant, v NEW YORK
STATE ETHICS COMMISSION, Respondent.

Argued October 14, 2008; decided November 24, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 13, 2007 in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division (1) confirmed a determination of respondent which found petitioner in violation of Public Officers Law § 73 (8) (a) (ii) and imposed a fine of \$3,500; and (2) dismissed the petition.

Matter of Gormley v New York State Ethics Commn., 46 AD3d 1078, affirmed.

HEADNOTE

Public Officers — Ethics — Lifetime Bar Provision

Respondent New York State Ethics Commission properly determined that petitioner, a former employee of the New York State Department of Health who had served as executive director of a project that developed and implemented the system used to determine Medicaid reimbursement rates for nursing homes, violated the “lifetime bar” provision of Public Officers Law § 73 (8) (a) (ii) when he was compensated by a group of nursing homes for executing an expert affidavit to support their litigation challenging that system which took “unfair advantage of his insider’s knowledge.” Public Officers Law § 73 (18) provides that “any person who knowingly and intentionally violates the provisions of subdivision[] . . . eight . . . shall be subject to a civil penalty.” In imposing a civil penalty upon petitioner under Public Officers Law § 73 (18) for that violation, respondent needed only to show that petitioner was aware of the nature or circumstances regarding the submission of the expert affidavit on the Medicaid reimbursement system, a matter in which he personally participated, and had the conscious objective to prepare the expert affidavit. Respondent was not required to show that petitioner knew the statements in the affidavit violated the lifetime bar or that he purposely acted to violate the law.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Public Officers and Employees §§ 252, 253.
McKINNEY’s, Public Officers Law § 73 (8) (a) (ii); (18).
NY JUR 2d, Civil Servants and Other Political Officers and
Employees §§ 184, 186.

ANNOTATION REFERENCE

See ALR Index under Public Officers and Employees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: Public Officers and Employees.

POINTS OF COUNSEL

O'Connell and Aronowitz, Albany (*Cornelius D. Murray* of counsel), for appellant. I. Public Officers Law § 73 (8) (a) (ii) does not prohibit a former state employee from submitting an affidavit to a court of law. (*Ivey v State of New York*, 80 NY2d 474; *Matter of McCulloch v New York State Ethics Commn.*, 285 AD2d 236; *Forti v New York State Ethics Commn.*, 147 AD2d 269, 75 NY2d 596; *People v Byron*, 17 NY2d 64.) II. Assuming, arguendo, there was a violation, the New York State Ethics Commission had the burden of proving that appellant knowingly and intentionally violated the Public Officers Law. (*Ivey v State of New York*, 80 NY2d 474; *Matter of Doxen v Wack*, 175 Misc 2d 326; *Ratzlaf v United States*, 510 US 135.) III. There was no substantial evidence in the record to support the finding that appellant knowingly and intentionally violated Public Officers Law § 73 (8). (*People v Alamo Rent A Car*, 174 Misc 2d 501; *United States v Golitschek*, 808 F2d 195; *Liparota v United States*, 471 US 419; *Arthur Andersen LLP v United States*, 544 US 696; *Matter of Valvo [Ross]*, 83 AD2d 344, 57 NY2d 116; *Matter of Maguire [Ross]*, 54 NY2d 965; *Matter of Smith [Ross]*, 78 AD2d 961; *People v Patterson*, 39 NY2d 288, 432 US 197; *Matter of McCulloch v New York State Ethics Commn.*, 184 Misc 2d 546, 285 AD2d 236; *Matter of Doxen v Wack*, 175 Misc 2d 326.)

Andrew M. Cuomo, Attorney General, Albany (*Julie M. Sheridan*, *Barbara D. Underwood* and *Andrea Oser* of counsel), for respondent. I. The lifetime bar extends to covered services rendered in courts as well as state agencies where, as here, those services are rendered for compensation. (*Forti v New York State Ethics Commn.*, 75 NY2d 596; *McDougald v Garber*, 73 NY2d 246; *People v Giordano*, 87 NY2d 441; *Sanders v Winship*, 57 NY2d 391; *Matter of Branford House v Michetti*, 81 NY2d 681; *Matter of Rodriguez v Perales*, 86 NY2d 361; *Matter of Smathers*, 309 NY 487; *Matter of McCulloch v New York State Ethics Commn.*, 285 AD2d 236; *Matter of Doxen v Wack*, 175 Misc 2d 326; *Samiento v World Yacht Inc.*, 10 NY3d 70.) II. A

civil penalty is authorized where, as here, an individual knowingly and intentionally engages in conduct which is in fact prohibited. (*Matter of Rubinfeld v New York State Ethics Commn.*, 43 AD3d 1195; *People v Shapiro*, 4 NY2d 597; *Bryan v United States*, 524 US 184; *People v Coe*, 71 NY2d 852; *Kolstad v American Dental Assn.*, 527 US 526; *United States v Murdock*, 290 US 389; *Arthur Andersen LLP v United States*, 544 US 696; *Liparota v United States*, 471 US 419; *People v Alamo Rent A Car*, 174 Misc 2d 501; *Matter of Otis E. Serv. v Hudacs*, 185 AD2d 483.)

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether imposition of a civil penalty under Public Officers Law § 73 (18) required the New York State Ethics Commission to prove that petitioner knew the conduct was prohibited and acted intentionally to violate the statute. We conclude that the Commission was not required to make such a showing.

Petitioner worked for the New York State Department of Health (DOH) from 1973 to 1995. During petitioner's 22-year tenure, he held various senior management positions and served as executive director of a project that developed and implemented New York's RUGS-II case mix reimbursement system—a system used to determine Medicaid reimbursement rates for nursing homes. Petitioner established a health care consulting firm in 1997 and, in 2004, was paid \$11,880 by a group of nursing homes to prepare an expert affidavit to support their litigation challenging the RUGS-II system (*see Matter of Nazareth Home of the Franciscan Sisters v Novello*, 7 NY3d 538 [2006]).

In his affidavit, petitioner stated, among other things:

“I served as Executive Director of the project that first developed and implemented the State's RUGS-II case mix reimbursement system for nursing facilities . . .

“OVERVIEW OF THE STATE'S RUGS-II REIMBURSEMENT SYSTEM . . .

“While the use of a 1983 base year was utilized in the original RUGS-II reimbursement system when first implemented in 1986 (since 1983 was the most recent rate year in which costs were available), the

RUGS-II System was designed to utilize the 1983 base for multiple years. The term ‘multiple years’ was used at this time as a signal to the nursing homes that base years would not move virtually every year as had been the history since the inception of the New York State Medicaid program . . .

“The exact number of years to maintain the same base year was never specified in policy or regulation during the 1983 to 1986 development and implementation timeframe. However, it is truly surprising that the 1983 base year has been in place for twenty-one years considering that the longest timeframe for utilizing a base prior to 1986 was just two years. *I never envisioned or intended the base year to continue in perpetuity or to ever last as long as it has*” (emphasis added).

In November 2004, the Commission notified petitioner that it had received information indicating that he may have violated the lifetime bar under Public Officers Law § 73 (8) (a) (ii) by executing that affidavit.* Following an initial investigation and a hearing, the Commission determined that, while petitioner’s empirical analysis on Medicaid reimbursement shortfalls for the Erie Region nursing homes was permissible (because “knowledge and methodologies developed while an individual was in State service may be applied in new settings after the individual has left State service”), his statement about his intentions regarding the applicability of the 1983 base year violated the lifetime bar because it took “unfair advantage of his insider’s knowledge.” The Commission imposed a civil penalty of \$3,500 under Public Officers Law § 73 (18) (the civil penalty provision [former Public Officers Law § 73 (14)]), rejecting petitioner’s argument that the language “knowingly and intentionally” in the statute required the Commission to show that petitioner knew his actions violated the law.

* The lifetime bar provides that a state employee shall not

“after the termination of [state] service or employment [1] appear, practice, communicate or otherwise render services before any state agency or [2] receive compensation for any such services rendered . . . on behalf of any . . . entity in relation to any case, proceeding, application or transaction with respect to which such person was directly concerned and in which he or she personally participated during the period of his . . . service or employment, or which was under his or her . . . active consideration” (Public Officers Law § 73 [8] [a] [ii]).

Petitioner commenced the instant CPLR article 78 proceeding challenging the Commission's determination. After a transfer from the Supreme Court pursuant to CPLR 7804 (g), the Appellate Division found that substantial evidence supported both the Commission's determination that the lifetime bar had been violated and imposition of the civil penalty, and dismissed the petition (46 AD3d 1078 [2007]). This Court granted petitioner leave to appeal (10 NY3d 705 [2008]). Thereafter, petitioner conceded that his conduct violated the lifetime bar, but continues to contest the civil penalty. We now affirm.

Public Officers Law § 73 (18) provides that “any person who *knowingly and intentionally* violates the provisions of subdivision [] . . . eight . . . shall be subject to a civil penalty” (emphasis added). The civil penalty provision traces its origins back to Penal Law § 1878 (L 1954, ch 695, § 2) where a violation of the then two-year ban was a criminal misdemeanor. In 1965, the provision was moved to Public Officers Law § 73 and the language “knowingly and intentionally” was added to the misdemeanor statute (L 1965, ch 1012, § 3). Amendments in 1987 changed the statute into a civil penalty provision but kept the “knowingly and intentionally” language (L 1987, ch 813, § 2). Finally, in 2007 the statute was renumbered as subdivision (18) of section 73 of the Public Officers Law and the maximum civil penalty was raised to \$40,000 (L 2007, ch 14, § 27).

Given the history of the statute, plainly the Penal Law lends guidance in construing Public Officers Law § 73. The Penal Law provisions defining “knowingly” and “intentionally” normally require only that petitioner knew of and intended to engage in the conduct. “A person acts knowingly with respect to conduct or to a circumstance . . . when he is aware that his conduct is of such nature or that such circumstance exists” (Penal Law § 15.05 [2]). Under Penal Law § 15.05 (1), “[a] person acts intentionally with respect to . . . conduct . . . when his conscious objective is to . . . engage in such conduct.” Neither mental state requires petitioner to have knowledge of the illegality of his conduct or to have the conscious objective to violate the statute; the requirement that petitioner be aware that his conduct was illegal is normally embodied in the term “willfully” (see *Bryan v United States*, 524 US 184, 193 [1998]; *People v Coe*, 71 NY2d 852, 854-855 [1988]).

While petitioner argues that “knowingly” has, in certain cases, required a showing beyond that stated in Penal Law § 15.05 (2), those cases involved different statutory language

and legislative history than that of the instant case (*see e.g. Arthur Andersen LLP v United States*, 544 US 696, 698 [2005] [statutory language “knowingly . . . corruptly persuad(e)”]; *Liparota v United States*, 471 US 419, 426 [1985] [food stamp statute criminalized a broad range of “apparently innocent conduct”]). Moreover, petitioner’s construction of the statute would allow a former state employee to escape liability simply by remaining ignorant of the law and would impede the enforcement of the lifetime ban and other prohibitions in Public Officers Law § 73.

In this case, petitioner conceded that his actions constituted a violation of the lifetime bar provision. To impose a civil penalty, the Commission needed only to show that petitioner was aware of the nature or circumstances regarding the submission of the expert affidavit on the RUGS-II system, a matter in which he personally participated, and had the conscious objective to prepare the expert affidavit. The Commission did not need to show that petitioner knew the statements in the affidavit violated the lifetime ban or that he purposely acted to violate the law.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Judgment affirmed, with costs.

[900 NE2d 136, 871 NYS2d 599]

In the Matter of the Estate of ABRAHAM XX., Deceased. KATHLEEN XX., as Administrator of the Estate of ABRAHAM XX., Deceased, Appellant; STATE OF NEW YORK, Respondent.

Argued October 14, 2008; decided November 20, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Broome County (Eugene E. Peckham, J.), entered December 17, 2007. The Supreme Court dismissed, upon petitioner's consent, so much of her claim as sought a refund of \$34,633.64 purportedly paid to respondent from a supplemental needs trust for petitioner's decedent for Medicaid expenditures for the period from October 16, 2000 to October 31, 2000. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 18, 2007. The Appellate Division order, insofar as brought up for review, had modified an order, and the judgment entered thereon, of that Supreme Court which had partially granted petitioner's motion for summary judgment and awarded petitioner the principal sum of \$472,167.12. The modification consisted of (1) denying petitioner's motion for summary judgment in its entirety; (2) granting summary judgment in respondent's favor for the full amount reimbursed to the Office of Mental Retardation and Developmental Disabilities for the period from March 24, 1998 to September 12, 1999; and (3) remitting to Supreme Court for further proceedings in accordance with the Appellate Division decision.

Matter of Abraham XX., 36 AD3d 1085, affirmed.

HEADNOTE

Social Services — Medical Assistance — Satisfaction of Medicaid Lien upon Death of Beneficiary of Supplemental Needs Trust

The State was entitled to reimbursement for Medicaid payments made for the care of petitioner's decedent, who was born with spastic quadriplegic cerebral palsy and was the recipient of a substantial malpractice award, during the period from the day after the jury's malpractice verdict through the date a supplemental needs trust (SNT) was funded on the infant's behalf. The State's recovery was not limited to the amount expended for the infant's care after the SNT was funded. Pursuant to federal and state law, the State held a remainder interest in all amounts remaining in the SNT "up to an amount equal to the total medical assistance paid" (42 USC § 1396p [d] [4] [A]) or "up to the total value of all medical assistance paid" (Social Services Law § 366 [2])

[b] [2] [iii] [A]) on behalf of the decedent. The “total medical assistance paid” was not limited by the date of the trust’s creation, but rather extended to the lifetime benefits paid on behalf of decedent. When an SNT is established pursuant to federal or state law, the beneficiary explicitly provides the State with a right to recover the total Medicaid paid on behalf of that individual. There is no temporal limitation on the State’s recovery. If trust assets are available upon the beneficiary’s death, the statute permits the State to recover the total amount of benefits paid throughout the beneficiary’s lifetime. Nor do the anti-recovery provisions of the federal and state Medicaid statutes limit the State’s recovery to the amount expended after the SNT was funded (*see* 42 USC § 1396p [b] [1]; Social Services Law § 369 [2] [b] [i]). The anti-recovery provisions are rules of general applicability for all Medicaid recipients regardless of the severity of disability, and are not applicable to the unique context of SNTs created for severely disabled individuals with assets that are sufficient to end their Medicaid eligibility but insufficient to account for their medical costs.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Welfare Laws §§ 33–38, 85, 86.
MCKINNEY’s, Social Services Law § 366 (2) (b) (2) (iii) (A);
§ 369 (2) (b) (i).
NY JUR 2d, Public Welfare and Old Age Assistance §§ 157,
364, 367, 377.
42 USCA § 1396p (b) (1); (d) (4) (A).

ANNOTATION REFERENCE

Personal injury recovery as affecting eligibility for, or
duty to reimburse, public welfare assistance. 80 ALR3d 772.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: medicaid /s reimburs! /s supplemental /2 needs /2
trust

POINTS OF COUNSEL

Hinman, Howard & Kattell, LLP, Binghamton (James M. Hayes and Amy Shapiro of counsel), for appellant. I. The State of New York is only entitled to recover medical assistance provided to Abraham XX. after establishment of the supplemental needs trust. (*Arkansas Dept. of Health & Human Servs. v Ahlborn*, 547 US 268.) II. Federal and state prohibitions against recovery of correctly paid Medicaid apply. (*Matter of Melendez v Wing*, 8 NY3d 598; *Arkansas Dept. of Health & Human Servs. v Ahlborn*, 547 US 268; *Human Dev. Servs. of Port Chester v Zoning Bd. of Appeals of Vil. of Port Chester*, 67 NY2d 702; *Matter of Dumbleton v Reed*, 40 NY2d 586; *Gold v United Health Servs.*

Hosps., 95 NY2d 683.) III. The Appellate Division erred in finding that the trust itself provides the State of New York recovery of pre-trust Medicaid—the trust provides for recovery of only what is required by law. (*Pocket Books, Inc. v Meyers*, 292 NY 58.) IV. The word “total” in the supplemental needs trust statute refers to all Medicaid for which the trust formed the basis of eligibility. (*People v Mobil Oil Corp.*, 48 NY2d 192; *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler*, 537 US 371; *Matter of Sutka v Conners*, 73 NY2d 395; *Matter of Town of Brookhaven v New York State Bd. of Equalization & Assessment*, 88 NY2d 354; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186; *Cricchio v Pennisi*, 90 NY2d 296; *Sullivan v County of Suffolk*, 174 F3d 282, 528 US 950; *Cook County v United States ex rel. Chandler*, 538 US 119; *Traynor v Turnage*, 485 US 535; *Matter of Mills v Durst*, 156 Misc 2d 676.) V. Court approval of the State of New York's lien for pre-trust Medicaid is res judicata contrary to the holding below, and therefore bars any recovery for that Medicaid from the trust remainder. (*Arkansas Dept. of Health & Human Servs. v Ahlborn*, 547 US 268; *Gold v United Health Servs. Hosps.*, 95 NY2d 683; *Matter of Hunter*, 4 NY3d 260; *Smith v Russell Sage Coll.*, 54 NY2d 185; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65; *Israel v Wood Dolson Co.*, 1 NY2d 116; *Brown v Spohr*, 180 NY 201.) VI. Interest should be awarded from the date funds were paid to the State of New York. (*Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.*, 94 NY2d 398.)

Andrew M. Cuomo, Attorney General, Albany (Kathleen M. Treasure, Barbard D. Underwood and Nancy A. Spiegel of counsel), for respondent. I. The State of New York properly received an amount equal to its total Medicaid expenditures pursuant to its remainder interest in the supplemental needs trust and the statutes governing it. (*Matter of Hubbell*, 302 NY 246; *Arkansas Dept. of Health & Human Servs. v Ahlborn*, 547 US 268; *Gold v United Health Servs. Hosps.*, 95 NY2d 683; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Seittelman v Sabol*, 91 NY2d 618; *Doe v State of New York*, 11 AD3d 579; *National Org. for Women v Metropolitan Life Ins. Co.*, 131 AD2d 356; *Cricchio v Pennisi*, 90 NY2d 296; *Sullivan v County of Suffolk*, 174 F3d 282.) II. Res judicata does not bar any portion of the State of New York's remainder interest. (*Matter of Hunter*, 4 NY3d 260; *Matter of City of Lackawanna*, 45

AD2d 1; *Amo v Little Rapids Corp.*, 100 NY2d 531; *Jobco, Inc. v County of Nassau*, 129 AD2d 614.) III. Petitioner is not entitled to predecision interest. (*Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170; *Matter of Meloni v Goord*, 267 AD2d 977; *Brown v State of New York*, 89 NY2d 172; *Sharapata v Town of Islip*, 56 NY2d 332; *Krohn v New York City Police Dept.*, 2 NY3d 329; *Matter of Lehigh Val. R.R. Co. v Joseph*, 281 App Div 57, 305 NY 853.)

OPINION OF THE COURT

Chief Judge KAYE.

At issue in this appeal is the scope of the State's right to reimbursement for Medicaid payments made on behalf of an infant pursuant to the terms of a supplemental needs trust established in accordance with state and federal law. The question is whether the State can recover its remainder interest in an amount equal to the "total medical assistance paid" on behalf of the recipient, or whether the State is limited to the amount expended from the trust's effective date to the recipient's death. We hold that the State can recover the entire amount paid from any remaining trust assets.

Background

Kathleen XX. suffered a grand mal seizure during pregnancy and delivered her son, Abraham, prematurely by emergency cesarean section on July 28, 1992. As a result, Abraham suffered from spastic quadriplegic cerebral palsy. He entered custodial care at the Broome Developmental Center (operated by the State Office of Mental Retardation and Developmental Disability [OMRDD]) in 1994, and the State assumed the costs of Abraham's room and care through the Medicaid program.¹ Kathleen litigated a successful malpractice suit on Abraham's behalf against her physicians and the hospital. Prior to a \$103 million jury verdict, the action settled for \$5 million pursuant to a high-low agreement. The State filed a lien for \$1,707,884.95 against the proceeds of Abraham's settlement, representing the Medicaid costs paid from his entry into custodial care through the date of the jury's verdict on March 23, 1998 (*see* Social Services Law § 104-b). The State has received full payment of its lien and it is not at issue here.

Payment of the settlement was delayed due to the parties' dispute regarding allocation of the proceeds. Abraham remained

1. The daily cost of room and care when Abraham entered the Broome Center was \$828.42. It rose to \$2,164.59 during his six years at the facility.

in care during this time, and the State continued to pay his Medicaid costs until a \$2.17 million lump-sum settlement payment made him Medicaid-ineligible. After years of litigation and an appeal to this Court (*see Gold v United Health Servs. Hosps.*, 95 NY2d 683 [2001]) the \$2.17 million was retroactively placed in a supplemental needs trust (SNT) created on Abraham's behalf, thereby reviving his Medicaid eligibility. As a result, there exists a gap between the date of the jury's verdict (also the expiration date of the State's Medicaid lien)—March 23, 1998—and the date the SNT was funded—September 12, 1999.² Reimbursement for Medicaid payments made during this gap is the issue before us.

Abraham died on June 11, 2003, just shy of his 11th birthday. The SNT Agreement provides that upon Abraham's death, the trustees must pay the State

“to the extent then required by law . . . such amount as shall be necessary to provide reimbursement for expenditures made for medical assistance for Abraham [XX.] . . . through Medicaid . . . and the balance, if any remains, shall be paid to the personal representative of the estate of Abraham [XX].”

Accordingly, the State filed a verified claim against the trust for just over \$1.5 million for Medicaid payments made on Abraham's behalf from March 24, 1998 through the date of his discharge from the Broome Center in October 2001. Kathleen stipulated to payment of the claim, reserving the right to seek a refund. The State alleges that after payment of its claim, there remained approximately \$285,000 in the trust plus title to a home purchased for Abraham.

As relevant to this appeal, Kathleen then petitioned for repayment by the State of \$961,810.89, representing the “Gap Medicaid” paid from March 24, 1998 to September 12, 1999. She argued that the State was precluded from recovering funds in excess of its Medicaid lien based on *res judicata*. Supreme Court agreed in part and ordered a partial refund.

The Appellate Division modified Supreme Court's order, reversed the partial refund and granted the State's motion for summary judgment, reasoning that the State's right to reim-

2. The precise dates of this gap vary by a few days throughout the record. We have adopted the dates utilized by both parties in their briefs to this Court.

bursement derives from the terms of the trust agreement, which designates the State as the primary remainderman. Because Kathleen “elected to avail Abraham of the eligibility benefits of an SNT, [she] is now bound by the terms of the trust agreement to reimburse [the State] for all Medicaid expended on Abraham’s behalf” (36 AD3d 1085, 1089 [3d Dept 2007]). The court also held that *res judicata* did not apply to the facts of this case.

On appeal to this Court, Kathleen solely disputes the State’s right to reimbursement for the period from March 24, 1998 (the day after the malpractice suit’s jury verdict) through September 12, 1999 (the day the SNT was funded).³ She concedes that the State is entitled to retain its recovery of Medicaid payments made after the SNT was funded.

Analysis

A supplemental needs trust is a planning tool used to shelter a severely disabled person’s assets for the dual purpose of securing or maintaining eligibility for state-funded services, and enhancing the disabled person’s quality of life with supplemental care paid by his or her trust assets.

In New York, the SNT—though not so named at the time—originated in a 1978 Surrogate’s Court decision in which the court prevented the State from invading the principal of a testamentary trust created by a father for the lifetime benefit of his severely disabled daughter (*Matter of Escher*, 94 Misc 2d 952 [1978], *affd* 75 AD2d 531 [1st Dept 1980], *affd* 52 NY2d 1006 [1981]). The decision introduced the concept of using a discretionary trust to supplement the care of severely disabled individuals without jeopardizing the individual’s right to government-provided medical care during the beneficiary’s lifetime (*see* Turano, Practice Commentaries, McKinney’s Cons Laws of NY, Book 17B, EPTL 7-1.12, at 319). A widely-used planning device among parents of disabled children, in 1993 the Legislature codified the SNT in order to provide clarity and uniformity in the law (*see* EPTL 7-1.12, as added by L 1993, ch 433, § 5).

In the same year that New York State codified the SNT, the United States Congress enacted the Omnibus Budget Reconcili-

3. The Appellate Division had remitted to Supreme Court for fact-finding with respect to Kathleen’s additional claim to a refund of \$34,633.64, representing Medicaid paid from October 16, 2000 to October 31, 2000. A final judgment of Supreme Court dismissing this claim was entered from which this appeal is now taken.

ation Act of 1993 (OBRA) to “tighten the eligibility requirements for Medicaid” and to curb abusive asset transfers, especially by the elderly (Rosenberg, *Supplemental Needs Trusts for People with Disabilities: The Development of a Private Trust in the Public Interest*, 10 BU Pub Int LJ 91, 127 [2000]). The general rule is that a Medicaid candidate’s trust assets are considered “available resources” and count toward determining that candidate’s eligibility for state services.

Disability advocates—concerned about the viability of trusts created by parents to provide for their disabled children’s futures—lobbied the federal government for protection. One such protection materialized in 42 USC § 1396p (d) (4) (A)—the federal provision at issue here—by striking a balance between the tightened eligibility requirements and the heightened needs of severely disabled individuals who receive a lump sum of money sizeable enough to end their Medicaid eligibility. Section 1396p (d) (4) (A) states that,

“[a] trust containing the assets of an individual under age 65 who is disabled . . . and which is established for the benefit of such individual by a parent, grandparent, legal guardian of the individual, or a court [and which provides that] *the State will receive all amounts remaining in the trust upon the death of such individual up to an amount equal to the total medical assistance paid on behalf of the individual* under a State plan under this subchapter” shall not be considered an “available resource” of the trust beneficiary and shall not impact his or her Medicaid eligibility (emphasis added).

The Medicaid SNT represented “a departure from the rules governing ‘available resources,’ which would otherwise make a person ineligible for Medicaid” (Rosenberg, 10 BU Pub Int LJ at 132). The New York State Legislature enacted a substantially similar provision in 1994 (*see* Social Services Law § 366 [2] [b] [2] [iii] [A]).

Here, Abraham’s parents took advantage of the Medicaid SNT provision in order to shelter the multi-million-dollar settlement he received as a result of the malpractice suit. The SNT agreement states that upon Abraham’s death the trust shall terminate and “to the extent then required by law” the trustees must “pay to the State . . . such amount as shall be necessary to provide reimbursement for expenditures made for medical assistance for Abraham [XX.] by the State . . . through Medicaid.”

When interpreting a trust agreement we usually rely on the words of the trust itself. Here, however, the trust refers us to the Medicaid statutes.

Pursuant to federal and state law, the State held a remainder interest in all amounts remaining in the trust “up to an amount equal to the total medical assistance paid” (42 USC § 1396p [d] [4] [A]) or “up to the total value of all medical assistance paid” (Social Services Law § 366 [2] [b] [2] [iii] [A]) on behalf of the trust’s beneficiary. The question before us is whether “total medical assistance paid” is limited by the date of the trust’s creation, or whether it extends to the lifetime benefits paid on behalf of the recipient.

Despite the 15 years since the OBRA amendments, we have found limited case law addressing the narrow issue now before us. Thus, we are left with the plain language of the statute and the policy behind its enactment. The words of the statute—though perhaps surprising at first blush—are clear and absolute. When a trust is established pursuant to 42 USC § 1396p (d) (4) (A) or Social Services Law § 366 (2) (b) (2) (iii) (A), the beneficiary explicitly provides the State with a right to recover the *total* Medicaid paid on behalf of that individual. There is no temporal limitation. The sole, though substantial, stated limitation on the State’s recovery is the existence of remaining assets in the trust upon the beneficiary’s death. If assets are available, according to the words of the statute the State may recover the total amount of benefits paid throughout the beneficiary’s lifetime.

This construction advances the underlying purpose of the bargain struck between the SNT beneficiary and the State. The SNT is available only to applicants under the age of 65 with severe disabilities as defined by statute. Unless the applicant placed excess assets in the Medicaid SNT for supplemental care, he or she would no longer be eligible for Medicaid, thus relieving the State of a substantial financial burden. In order to further Medicaid’s purpose of providing medical assistance to needy persons, the State agrees to continue paying Medicaid costs—in instances where it would otherwise be relieved of this obligation—in exchange for the *possibility* of reimbursement upon the recipient’s death. The State in a sense is like an insurer calculating risk. For every recipient who depletes the trust before death, the State can expect some trusts to have sufficient assets upon a recipient’s death to offset the additional cost of continuing Medicaid payments for these severely disabled individuals who

otherwise would be ineligible. Moreover, the State's right to reimbursement occurs only upon the death of the beneficiary—at a time when the life-enhancing purpose of the trust can no longer be effectuated. The Medicaid SNT reflects a policy decision to balance the needs of the severely disabled and the State's need for funds to sustain the system.

Nor do the anti-recovery provisions of the federal and state Medicaid statutes change this result. Kathleen XX. asserts that the terms of the SNT must be modified by Medicaid's anti-recovery provisions. Social Services Law § 369 (2) (b) (i) provides,

“[n]otwithstanding any inconsistent provision of this chapter or other law, no adjustment or recovery may be made against the property of any individual on account of any medical assistance correctly paid to or on behalf of an individual under this title, except that recoveries must be pursued [in circumstances inapplicable to this case].”

The federal and state statutes are similar, but New York's provision restricts the bar to recovery of correctly paid Medicaid “against the property of any individual” whereas the federal provision restricts the recovery of correctly paid Medicaid without limiting the source of recovery (*see* 42 USC § 1396p [b] [1] [“No adjustment or recovery of any medical assistance correctly paid on behalf of an individual under the State plan may be made”]). All parties agree that the Medicaid paid on behalf of Abraham was “correctly paid.” Kathleen XX. argues that the State's recovery of correctly paid Medicaid from the remainder of the trust assets must be limited to Medicaid paid from the date the trust was established. Any further recovery, she argues, would violate the anti-recovery provisions. We disagree.

The anti-recovery provisions are not applicable to the unique context of SNTs created under 42 USC § 1396p (d) (4) (A) or Social Services Law § 366 (2) (b) (2) (iii) (A). The anti-recovery provisions are rules of general applicability for all Medicaid recipients regardless of the severity of disability. The SNT statute, by contrast, specifically addresses the unique and difficult situation faced by severely disabled individuals with assets that are sufficient to end their Medicaid eligibility but insufficient to account for their medical costs. One provision is distinct from the other. There is no need to look beyond the terms of the SNT statute and the terms of the SNT itself.

More compellingly, appellant's construction does not address the anomaly it creates. As stated, no one disputes that the Medicaid paid on behalf of Abraham was correctly paid. That includes Medicaid paid after the establishment of the trust. Therefore, even under appellant's construction, the State will recover correctly paid Medicaid pursuant to the terms of the SNT. While the date of the SNT's establishment may be a convenient limitation of the State's remainder interest, there is no basis in the language of the statutes limiting the State's recovery of correctly paid Medicaid from that date.

Moreover, it should be noted that although the express exceptions do not apply to this case, they are helpful to deciphering the application of SNT reimbursement. Generally, the statutes permit the State to recover correctly paid Medicaid in circumstances where the individual or his dependents will no longer need the resources (*see generally* 42 USC § 1396p [b] [2]; Social Services Law § 369 [2] [b] [i], [ii], [iii]). Here, too, recovery occurs only upon the recipient's death and only if assets remain in the trust.

Finally, appellant argues that the United States Supreme Court's decision in *Arkansas Dept. of Health & Human Servs. v Ahlborn* (547 US 268 [2006]) mandates that the anti-recovery provisions apply in this context. We disagree. In *Ahlborn*, the Supreme Court held that a state's assignment right to "payment for medical care from any third party" (42 USC § 1396k [a] [1] [A]) grants the state a right only to the portion of a judgment or settlement allocated to medical care and not to portions allocated toward lost wages or pain and suffering. In so holding, the Supreme Court added that Arkansas's statute—which permitted the state to recover from the entirety of the settlement—conflicted with the anti-lien provision found in 42 USC § 1396p (a). The anti-lien provision is not at issue in this case and the U.S. Supreme Court expressly declined to address the impact, if any, of the anti-recovery provision in 42 USC § 1396p (b) (*see Ahlborn*, 547 US at 284 n 13). *Ahlborn* did not involve the interpretation of an SNT, or the interpretation of the Medicaid SNT statute, and it is therefore inapplicable to the matter before us.

We recognize that in this case the State would not have been entitled to reimbursement for Medicaid paid from March 24, 1998 through September 12, 1999 had the SNT not been cre-

ated. Equally significant, however, is that Abraham would not have been entitled to receive the benefits of Medicaid throughout his life but for the establishment of the SNT. The language of the statute is plain and clear, and the policy reasons support our interpretation. That the result may sometimes inure to the State's benefit as opposed to the beneficiary's estate is the product of a calculated legislative decision and a calculated choice by the family in setting up the SNT.⁴

We have considered appellant's remaining arguments and conclude that they are without merit.

Accordingly, the judgment appealed from and order of the Appellate Division brought up for review should be affirmed, with costs.

SMITH, J. (dissenting). The federal statute that allows use of a supplemental needs trust (SNT) to preserve Medicaid eligibility provides that, after the beneficiary's death, the State will receive from the SNT "an amount equal to the total medical assistance paid on behalf of the individual" (42 USC § 1396p [d] [4] [A]). The majority reads this to mean "the total medical assistance paid during the individual's lifetime." This is a possible reading, but the words can also be reasonably read to mean "the total medical assistance paid as a result of the SNT," and I think that is the meaning Congress is more likely to have intended. Unless the words are read in that way, a class of disabled people—those who received significant Medicaid payments before they had enough money to fund a trust—will never become SNT beneficiaries, because their families will know that the effect of establishing an SNT will be to impoverish their estates.

4. As in virtually every matter that reaches our Court, an argument also can be made for the opposite result—and the dissent does so here. We conclude, however, that the better result is to affirm the Appellate Division. First, the best evidence of legislative intent is the words Congress has used in the governing statute. Congress has said that, in exchange for otherwise unavailable Medicaid assistance, an SNT beneficiary must grant the State a remainder interest in the trust assets equal to the "total medical assistance paid on behalf of the individual." The only limitation, if it can be so labeled, is the limitless word "total." Second, Congress's decision to make the SNT available to severely disabled individuals (rather than their families) does not mean it is an appropriate planning tool for every situation—each family must weigh its particular circumstances in receiving the benefits of this tool against its potential disadvantages. Whether the State receives a "windfall"—or nothing—as a result of this bargain, creating the SNT in either event will clearly benefit the severely disabled individual throughout his or her lifetime, which is the very purpose of the law.

The statute defines an SNT as:

“A trust containing the assets of an individual under age 65 who is disabled (as defined in section 1382c (a) (3) of this title) and which is established for the benefit of such individual by a parent, grandparent, legal guardian of the individual, or a court if the State will receive all amounts remaining in the trust upon the death of such individual up to an amount equal to the total medical assistance paid on behalf of the individual under a State plan under this subchapter.” (42 USC § 1396p [d] [4] [A].)

The law allows the assets of an SNT to be disregarded in determining eligibility for Medicaid, thus producing an unusual situation: a person eligible for Medicaid who is not poor, and may even be very wealthy. Often, as in this case, the wealth is the result of a recovery in a tort action. Congress allows the use of an SNT to preserve Medicaid eligibility for the possessors of such wealth only where the beneficiary of the trust is seriously disabled—if an adult, “unable to engage in any substantial gainful activity,” or, if a child, afflicted with “marked and severe functional limitations” (42 USC § 1382c [a] [3] [A], [C] [i]).

The purpose of the statute is “to allow a person with a disability to have an additional source of support during her lifetime” (Rosenberg, *Supplemental Needs Trusts for People With Disabilities: The Development of a Private Trust in the Public Interest*, 10 BU Pub Int LJ 91, 132 [2000]). And since the purpose of the trust is to help the beneficiary, not to enrich his or her heirs, it would not be fair to let the heirs get the assets of the SNT upon the beneficiary’s death without reimbursing the State for Medicaid payments. The arrangement may be thought of as a loan—indeed, a commentator has labeled the SNT a “Payback Trust” and “A Bargain for Life” (*id.* at 131). The essence of the bargain is that the State pays Medicaid during the beneficiary’s lifetime, and is paid back from anything remaining in the trust after the beneficiary’s death.

But what of the beneficiary who was already a Medicaid recipient when he or she was poor—before either the SNT or the assets to fund it existed? This was the situation of Abraham, the beneficiary in this case, for several years before he recovered a large tort award. Most of the Medicaid payments made during that time were recouped by the State through the enforcement of its lien on Abraham’s recovery (*see Gold v United Health*

Servs. Hosps., 95 NY2d 683 [2001]), but there remained a period of several months—the period from the date the verdict was rendered to the date it was paid—during which the State paid for Abraham’s care and was not reimbursed for it; during that period, Abraham was entitled to Medicaid simply because he needed medical care and did not have any money. No SNT was necessary to make him Medicaid-eligible. The main issue in this case is whether the State can recover some \$472,000 in Medicaid payments made during that interval. (Abraham’s estate disputes a larger sum, but I would resolve that dispute in the State’s favor.)

A similar issue could arise in other cases and involve much larger amounts. Suppose, for example, that an adult who has been a Medicaid recipient all his life, and for whom the State has paid millions, then has an accident resulting in a large tort award—or simply receives a large inheritance. In such a case, the State ordinarily will get none of its Medicaid money back, no matter how immensely rich the former Medicaid recipient has become. With exceptions not relevant here, federal law provides: “No adjustment or recovery of any medical assistance correctly paid on behalf of an individual under the State plan may be made” (42 USC § 1396p [b] [1]). In Abraham’s case, if no SNT had been created, this statute would prevent the recovery of the \$472,000 at issue here.

But under the majority’s holding, the creation of an SNT changes the picture, and results in a windfall to the State. Because the majority reads “total medical assistance paid on behalf of the individual” to mean everything paid during the individual’s lifetime, the effect of the SNT in the case of the hypothetical adult is to make the unrecoverable millions in Medicaid payments recoverable from the SNT at the beneficiary’s death. In practice, this probably will not happen for the simple reason that, if correctly advised, the adult’s family will not create an SNT. But surely there is no good reason why that particular disabled person should lose the benefit of a federal statute designed to help people with similar disabilities. I would therefore read the statute in a way consistent with its purpose, taking “total medical assistance paid” to include only the total paid as a result of the SNT’s existence—thus effectuating the loan or “payback” that the authors of the statute plainly intended.

The majority says that its construction advances the statutory purpose because it provides the State with a funding source:

“For every recipient who depletes the trust before death, the State can expect some trusts to have sufficient assets upon a recipient’s death to offset the additional cost” (Majority op at 436.) I am unpersuaded, because the State will actually get its windfall only in the exceptional case where a trust is *unforeseeably* left with enough assets to pay back pre-SNT Medicaid. Where that event is foreseeable, and where the pre-SNT Medicaid is substantial, the beneficiary’s family simply will not create the trust at all. In a way, it is true that this will benefit the State, because there will be no SNT and no Medicaid payments going forward—but it seems highly unlikely that it was Congress’s purpose to benefit the State by deterring the creation of SNTs.

For these reasons, I would reverse the Appellate Division’s order.

Judges CIPARICK, READ, PIGOTT and JONES concur with Chief Judge KAYE; Judge SMITH dissents and votes to reverse in a separate opinion; Judge GRAFFEO taking no part.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[900 NE2d 144, 871 NYS2d 607]

CONTINENTAL CASUALTY COMPANY, Appellant, v TERRANCE D.
STRADFORD, Defendant, and HECTOR GUNARATNE et al.,
Respondents.

Argued October 22, 2008; decided November 25, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 11, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Richmond County (Philip G. Minardo, J.), which had granted plaintiff's motion for summary judgment, denied the cross motion of defendants Hector Gunaratne, Rose Gunaratne, and Sumanadasa Perera for summary judgment, and declared that defendant Terrance Stradford was not entitled to a defense or indemnification from plaintiff in the underlying dental malpractice actions entitled *Gunaratne v Stradford* and *Perera v Stradford*; (2) denied plaintiff's motion; (3) granted the cross motion; and (4) remitted the matter to the Supreme Court, Richmond County, for entry of a judgment declaring that plaintiff was obligated to defend and indemnify defendant Terrance Stradford in the underlying actions.

Continental Cas. Co. v Stradford, 46 AD3d 598, modified.

HEADNOTE

Insurance — Disclaimer of Coverage — Timeliness of Disclaimer on Basis of Noncooperation

In an action by plaintiff insurer seeking a judgment declaring that its insured's lack of cooperation in the two underlying dental malpractice actions brought against him terminated plaintiff's obligation to defend and indemnify him in those actions, the Appellate Division erred in holding that plaintiff's approximately two-month delay in disclaiming was unreasonable as a matter of law. Plaintiff was entitled to disclaim due to the insured's noncooperation, and the time for disclaimer ran from the date when what became its final letters to the insured were returned unclaimed, but a question of fact remained regarding the amount of time required for plaintiff to complete its evaluation of the conduct of the insured over a period of almost six years. Had the insured openly disavowed his duty to cooperate, little time would have been needed to evaluate his noncooperative conduct before disclaiming. Here, however, he punctuated periods of noncompliance with sporadic cooperation or promises to cooperate, and some reasonably longer period for analysis may have been warranted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1390, 1391, 1396, 1399, 1405,
1420–1424.COUCH ON INSURANCE (3d ed) §§ 198:34, 198:35, 198:47,
199:12–199:14, 199:25, 199:31.NY JUR 2d, Insurance §§ 1909–1912, 1923, 1928–1930,
1952–1955, 1957, 1959.**ANNOTATION REFERENCE**See ALR Index under Cooperation Clause; Insurance and
Insurance Companies.**FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: disclaim! /s timel! /p non-cooperation

POINTS OF COUNSEL

White Fleischner & Fino, LLP, New York City (*Benjamin A. Fleischner*, *Nancy Davis Lyness* and *Janet P. Ford* of counsel), for appellant. I. The trial court and the Appellate Division properly concluded that Continental Casualty Company had sustained its burden of proving Terrance Stradford's noncooperation in violation of the insurance contract. (*Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Baghaloo-White v Allstate Ins. Co.*, 270 AD2d 296; *Physicians' Reciprocal Insurers v Keller*, 243 AD2d 547; *Commercial Union Ins. Co. v Burr*, 226 AD2d 416; *Pawtucket Mut. Ins. Co. v Soler*, 184 AD2d 498; *New York State Ins. Fund v Merchants Ins. Co. of N.H.*, 5 AD3d 449; *Argento v Aetna Cas. & Sur. Co.*, 184 AD2d 487; *304 Meat Corp. v New York Prop. Ins. Underwriting Assn.*, 188 AD2d 382; *American Tr. Ins. Co. v Fuentes*, 1 Misc 3d 787; *Matter of Liberty Mut. Ins. Co. v Roland-Staine*, 21 AD3d 771.) II. The Appellate Division majority erred in concluding that Continental Casualty Company's disclaimer was untimely. (*Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Matter of Allstate Ins. Co. v Cruz*, 30 AD3d 511; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *Commercial Union Ins. Co. v Burr*, 226 AD2d 416; *Mount Vernon Fire Ins. Co. v 170 E. 106th St. Realty Corp.*, 212 AD2d 419; *Allstate Ins. Co. v Loester*, 177 Misc 2d 372; *Pawtucket Mut. Ins. Co. v Soler*, 184 AD2d 498; *Matter of Liberty Mut. Ins. Co. v Roland-Staine*, 21 AD3d 771; *New York State Ins. Fund v Merchants Ins. Co. of N.H.*, 5

AD3d 449.) III. The purported delay in disclaiming was not untimely because Terrance Stradford could have cooperated and maintained coverage through October 13, 2004. (*Commercial Union Ins. Co. v Burr*, 226 AD2d 416.) IV. Insurance Law § 3420 (d) does not apply to the circumstances underlying this coverage action. (*Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *TIG Ins. Co. v Town of Cheektowaga*, 142 F Supp 2d 343; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Dodge v Legion Ins. Co.*, 102 F Supp 2d 144; *Moncada v Rubin-Spangle Gallery, Inc.*, 835 F Supp 747; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Zappone v Home Ins. Co.*, 55 NY2d 131.) V. Claimants may not recover from Continental Casualty Company because their rights are no greater than those of Continental's insured. (*D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Coleman v New Amsterdam Cas. Co.*, 247 NY 271.)

Lutfy & Santora, Staten Island (*James L. Lutfy* of counsel), for respondents. I. Continental Casualty Company's disclaimer was untimely as a matter of law. (*Reyes v Diamond State Ins. Co.*, 35 AD3d 830; *Bovis Lend Lease LMB, Inc. v Royal Surplus Lines Ins. Co.*, 27 AD3d 84; *Allcity Ins. Co. v 601 Crown St. Realty Corp.*, 264 AD2d 315; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Those Certain Underwriters at Lloyds, London v Gray*, 49 AD3d 1; *Tully Constr. Co., Inc. v TIG Ins. Co.*, 43 AD3d 1150; *West 16th St. Tenants Corp. v Public Serv. Mut. Ins. Co.*, 290 AD2d 278; *Allcity Ins. Co. v 601 Crown St. Realty Corp.*, 264 AD2d 315; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159.) II. Plaintiff-appellant's point IV, which alleges that Insurance Law § 3420 (d) does not apply to the matter before this Court, is not only an argument that was not raised before the lower court and the Appellate Division, but also has no support in statutory law and the common law. III. Plaintiff-appellant's argument that a malpractice claim does not fall within the meaning of Insurance Law § 3420 (d) was not raised before the Appellate Division and the lower court and has no statutory or common-law support.

OPINION OF THE COURT

CIPARICK, J.

Over the course of nearly six years, defendant Terrance Stradford cooperated only sporadically with his professional liability insurer, plaintiff Continental Casualty Company, in the defense

of two dental malpractice actions. We are asked to determine whether plaintiff timely disclaimed coverage in those actions on the basis of Stradford's noncooperation. Because issues of fact remain with respect to the timeliness of plaintiff's disclaimer, we modify the order of the Appellate Division by denying summary judgment to defendants.¹

I.

In October 1998, defendants Hector Gunaratne and his wife, Rose, and Sumanadasa Perera, as parent and natural guardian of Prashan Perera, separately commenced dental malpractice actions against Stradford. A professional liability policy that Continental issued to Stradford was in effect at that time. The policy required Stradford to notify his insurer of the *Gunaratne* and *Perera* actions, gave Continental the right to defend him in those actions, and obligated the insured to "fully cooperate" in the company's litigation and settlement efforts. This cooperation clause explicitly required Stradford's attendance at hearings and trials, as well as his assistance in the securing and giving of evidence and obtaining the attendance of witnesses.

About a month after the underlying malpractice actions were initiated, Stradford notified Continental. Thereafter, Continental's employees and counsel whom the company retained to defend Stradford sought to obtain defendants' treatment records and other materials from him, solicit his views on potential expert witnesses, schedule depositions and meetings, and discuss potential settlements. These many requests took the form of largely unanswered correspondence and telephone calls to Stradford's home and office, and failed visits by defense counsel to Stradford's office pursuant to prearranged meetings. Stradford ignored the vast majority of Continental's requests or otherwise refused to cooperate with the company. In response, Continental repeatedly warned Stradford that his noncooperative conduct could jeopardize his coverage. These warnings, however, went unheeded.

Nevertheless, at various times, Stradford indicated an awareness of his duty to cooperate and expressed his willingness to do so. For example, Stradford made multiple promises to provide the requested documents, which he claimed were located on his boat or at his residence. Further, although Stradford's deposi-

1. Because defendant Stradford has never appeared in this action, use of the term "defendants" in this opinion only refers to defendants Gunaratne and Perera.

tion in *Gunaratne* was rescheduled multiple times due to his unexplained absences, he eventually appeared and was deposed.² Then, after more than four years had passed without his production of a single relevant document, Stradford participated in a July 2, 2003 conference call—which he had requested—to discuss a possible settlement of *Gunaratne*.

During that call, Stradford asked for new counsel in both underlying actions, claiming that he had lost confidence in his present attorney’s ability to zealously defend him due to the attorney’s actions in another malpractice action brought against him. Continental agreed to the request, Stradford’s attorney moved to be relieved, and Supreme Court marked all cases pending against Stradford off-calendar, pending the substitution of new counsel. Despite calls and a letter from his new counsel, Stradford never executed the necessary form to effect the requested substitution.

On July 8, 2004, Continental mailed Stradford two detailed letters—one each for *Gunaratne* and *Perera*. In the main, the letters set forth his history of noncompliance, evasion and broken commitments. They also demanded that Stradford schedule a meeting with his newly-retained counsel for a date on or before August 13, warned that further noncooperation “may imperil” his coverage, and, given adverse expert findings regarding Stradford’s care of defendants, recommended that he consent to settlement of both actions. On August 11, both letters were returned to Continental as “Unclaimed.” Approximately two months later, on October 13, 2004, Continental’s outside counsel sent a disclaimer letter to Stradford. Two days after its disclaimer was issued, Continental commenced the present action, seeking a declaratory judgment that it had no duty to defend or indemnify Stradford in the *Gunaratne* and *Perera* actions.

The decision-making process that Continental employed prior to disclaiming and bringing this action was described in the deposition testimony of Thomas Morelli, who by July 8, 2004 was the Continental employee responsible for *Gunaratne* and *Perera*. According to him, the “normal protocol” involved a recommendation by him to his director, who would then make a recommendation to Continental’s in-house coverage counsel. In addi-

2. Stradford’s deposition in *Perera* was rescheduled at least twice due to his failure to appear. Although there is no indication in this record that he was deposed in that action, defendants’ counsel swore in an affirmation that he possessed a transcript showing that such deposition did occur.

tion, in connection with the *Gunaratne* and *Perera* disclaimers, Morelli testified that Continental “sought an opinion from outside counsel regarding [its] coverage position.”

Continental’s decision to disclaim was bolstered by a declaratory judgment issued on June 1, 2004 in two other malpractice actions then pending against Stradford, *O’Halloran* and *Shields*. There, the court held that Stradford’s failure to respond to multiple letters seeking his cooperation and his absence on trial dates constituted sufficient grounds for a disclaimer of coverage.

In the present action, Continental moved for summary judgment on its declaratory judgment claim that Stradford’s noncooperation had terminated the company’s contractual obligation to him.³ Defendants cross-moved for summary judgment, arguing that the company’s disclaimer was untimely and, in the alternative, that it had not carried its burden of proving Stradford’s noncooperation. Supreme Court granted Continental’s motion in all respects and similarly denied the cross motion. The court concluded that Stradford was not entitled to a defense or indemnification because of his multiple breaches of the cooperation clause.

In a 3-2 decision, the Appellate Division reversed. All members of the panel concluded that Continental had carried its burden of establishing Stradford’s noncooperation. The majority held, however, that Continental’s approximately two-month delay in disclaiming—measured from August 11, 2004 (the date its final letters were returned unclaimed)—was unreasonable as a matter of law. The dissent disagreed, reasoning that Continental’s need to carefully analyze Stradford’s conduct and to consult with counsel to ensure that the company had discharged its “heavy burden” of attempting to bring about his cooperation prior to disclaiming supported the conclusion that Continental’s delay was “explained and . . . reasonable under the circumstances” (46 AD3d 598, 604, 605 [2007, Goldstein and Schmidt, JJ., dissenting] [internal quotation marks omitted]).

Plaintiff appeals from the order of reversal based on a dual dissent on a question of law. We now modify by denying defendants’ cross motion for summary judgment.

3. In April and May of 2005, Supreme Court entered judgments awarding defendants damages of \$116,200 and \$50,000, respectively, against Stradford.

II.

On this appeal, defendants do not dispute the lower courts' conclusions that Continental was entitled to disclaim due to Stradford's noncooperation. According to them, the timeliness of that disclaimer is the sole issue before us. We now turn to that single issue.

Even if an insurer possesses a valid basis to disclaim for noncooperation, it must still issue its disclaimer within a reasonable time (*see* 14 Couch on Insurance 3d § 199:69). When construing Insurance Law § 3420 (d), which requires an insurer to issue a written disclaimer of coverage for death or bodily injuries arising out of accidents "as soon as is reasonably possible," we have made clear that timeliness almost always presents a factual question, requiring an assessment of all relevant circumstances surrounding a particular disclaimer (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64, 69 [2003]; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028, 1030 [1979]; *Allstate Ins. Co. v Gross*, 27 NY2d 263, 270 [1970]).⁴ One of those circumstances is the time necessary for an insurer to conduct a prompt investigation into those grounds supporting a potential disclaimer (*see Gross*, 27 NY2d at 270; *First Fin. Ins. Co.*, 1 NY3d at 69). Although we have declined to provide a "fixed yardstick" against which to measure reasonableness of a delay in disclaiming coverage (*see id.* at 70), we have said that cases in which the reasonableness of an insurer's delay may be decided as a matter of law are exceptional and present extreme circumstances (*see Hartford*, 46 NY2d at 1030; *Gross*, 27 NY2d at 270). This is not such a case.

Fixing the time from which an insurer's obligation to disclaim runs is difficult. That period begins when an insurer first becomes aware of the ground for its disclaimer (*see First Fin. Ins. Co.*, 1 NY3d at 68-69, citing *Matter of Allcity Ins. Co. [Jimenez]*, 78 NY2d 1054, 1056 [1991]). But unlike cases involving late notice of claims (*see id.* at 66-67; *Hartford*, 46 NY2d at 1029; *Gross*, 27 NY2d at 268) or other clearly applicable coverage exclusions, an insured's noncooperative attitude is often not readily apparent. Indeed, as here, such a position can be obscured by repeated pledges to cooperate and actual cooperation.

4. Continental argues that Insurance Law § 3420 (d)'s timeliness standard is inapplicable here. Because that argument was not presented to the courts below, we decline to consider it (*see Segal v State of New York*, 60 NY2d 183, 190 n 2 [1983]; *Scott v Morgan*, 94 NY 508, 515 [1884]).

The challenge of setting an appropriate date is only heightened by the heavy burden that an insurer seeking to establish a noncooperation defense must carry (*see Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159, 168-169 [1967]; *accord Matter of Empire Mut. Ins. Co. [Stroud—Boston Old Colony Ins. Co.]*, 36 NY2d 719, 721 [1975]). To further this State's policy in favor of providing full compensation to injured victims, who are unable to control the actions of an uncooperative insured, insurers must be encouraged to disclaim for noncooperation only after it is clear that further reasonable attempts to elicit their insured's cooperation will be futile (*see Thrasher*, 19 NY2d at 168; *see also Matter of Liberty Mut. Ins. Co. v Roland-Staine*, 21 AD3d 771, 772 [1st Dept 2005] ["strict scrutiny" of facts supporting noncooperation defense required to protect "innocent injured parties from suffering the consequences of a lack of coverage"]). In some cases, such as where an insured openly disavows its duty to cooperate (*see e.g. Allcity Ins. Co. v 601 Crown St. Realty Corp.*, 264 AD2d 315, 316-317 [1st Dept 1999]), little time is needed to evaluate the relevant noncooperative conduct before disclaiming. But here, where an insured has punctuated periods of noncompliance with sporadic cooperation or promises to cooperate, some reasonably longer period for analysis may be warranted.

The Appellate Division majority acknowledged that even after June 1, 2004, when Continental received a declaratory judgment that it was entitled to disclaim coverage in the *O'Halloran* and *Shields* actions, the carrier "was continuing to pursue its heavy burden" of attempting to bring about Stradford's compliance in the two actions relevant here (*see* 46 AD3d at 601). The court also found that the time for disclaimer ran from August 11, 2004, the date when what became Continental's final letters to Stradford were returned unclaimed. Following that date, there is no indication that the company engaged in further communication with Stradford. Thus, on these facts, we agree with both of the Appellate Division's conclusions.

Contrary to the Appellate Division, however, we conclude that a question of fact remains regarding the amount of time required for Continental to complete its evaluation of Stradford's conduct in the two underlying actions. In this case, the reasonableness of an approximately two-month delay to analyze the pattern of obstructive conduct that permeated the insurer's relationship with its insured for almost six years presents a question of fact that precludes entry of summary judgment for

either plaintiff or for defendants (see *First Fin. Ins. Co.*, 1 NY3d at 69 [“(I)nvestigation into issues affecting an insurer’s decision whether to disclaim coverage obviously may excuse delay in notifying the policyholder of a disclaimer”]; *Hartford*, 46 NY2d at 1030 [“(A) two-month delay may often be easily justified, if in fact there be justification”]).

Accordingly, the order of the Appellate Division should be modified, without costs, by denying the cross motion of defendants Gunaratne and Perera for summary judgment and, as so modified, affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[901 NE2d 187, 872 NYS2d 696]

JAMES J. MORAN et al., Respondents, v MEHMET ERK et al., Appellants.

Argued October 22, 2008; decided November 25, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 9, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Joseph R. Glowonia, J.; op 21 Misc 3d 1137[A], 2006 NY Slip Op 52668[U]), entered after a nonjury trial, which had awarded plaintiffs damages against defendants in the sum of \$234,065.75.

Moran v Erk, 45 AD3d 1329, reversed.

HEADNOTE

Vendor and Purchaser — Contract for Sale of Real Property — Attorney Approval Contingency

The timely disapproval of the parties' real estate contract by defendants' attorney at defendants' request after they decided to buy a different residence was valid, as no explicit limitations were placed on the attorney approval contingency contained in a rider to the contract. A real estate contract that contains an attorney approval contingency providing that the contract is "subject to" or "contingent upon" attorney approval within a specified time period and without further limitations may be timely disapproved by an attorney for either party for any reason or for no stated reason. The implied covenant of good faith and fair dealing between parties to a contract does not implicitly limit an attorney's ability to approve or disapprove a real estate contract pursuant to an attorney approval contingency.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Vendor and Purchaser §§ 10, 480.

NY JUR 2d, Real Property Sales and Exchanges §§ 15, 41, 42, 137, 138.

NEW YORK REAL PROPERTY SERVICE § 18:192.

ANNOTATION REFERENCE

Construction and effect of clause in real estate contract making contract contingent upon approval by attorney for either party. 15 ALR4th 760.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: contract /p contingen! /4 attorney /2 approv! &
real /2 estate

POINTS OF COUNSEL

Harter Secrest & Emery LLP, Buffalo (*John G. Horn* of counsel), for appellants. I. The lower courts erred in concluding that respondents acted in bad faith when they decided not to purchase appellants' house. (*Pepitone v Sofia*, 203 AD2d 981; *Niederhofer v Lindner*, 6 AD3d 1218; *Nelson v Ring*, 136 AD2d 878; *Ulrich v Daly*, 225 AD2d 229; *Schreck v Spinard*, 13 AD3d 1027; *Rowe v Estate of Samuels*, 42 AD3d 744; *McKenna v Case*, 123 AD2d 517; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79; *Wieder v Skala*, 80 NY2d 628; *Van Iderstine Co. v Barnet Leather Co.*, 242 NY 425.) II. The lower courts erred in concluding that respondents prevented their attorney from "considering" the contract. (*Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Neuman v Pike*, 591 F2d 191; *In re Gulf Oil/Cities Serv. Tender Offer Litig.*, 725 F Supp 712; *Shear v National Rifle Assn.*, 606 F2d 1251; *District-Realty Tit. Ins. Corp. v Ensmann*, 767 F2d 1018; *Schreck v Spinard*, 13 AD3d 1027.) III. Judicial inquiry into what an attorney should consider in deciding whether to disapprove a real estate contract is unwarranted, improper and dangerous. (*Pelusio v Chen*, 3 Misc 3d 1106[A], 2003 NY Slip Op 51727[U]; *Niederhofer v Lindner*, 6 AD3d 1218; *Ulrich v Daly*, 225 AD2d 229.)

Scott D. Cannon, Geneseo, for respondents. I. Respondents acted in bad faith by instructing their attorney to disapprove the contract. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *McKenna v Case*, 123 AD2d 517; *Ulrich v Daly*, 225 AD2d 229; *Pelusio v Chen*, 3 Misc 3d 1106[A], 2003 NY Slip Op 51727[U]; *Van Iderstine Co. v Barnet Leather Co.*, 242 NY 425; *Niederhofer v Lindner*, 6 AD3d 1218; *Nelson v Ring*, 136 AD2d 878.) II. Adopting respondents' argument will create a right of cancellation/rescission. III. The arguments submitted in the amicus brief are misplaced. (*Christy v Premo*, 194 AD2d 910; *Pelusio v Chen*, 3 Misc 3d 1106[A], 2003 NY Slip Op 51727[U]; *Ulrich v Daly*, 225 AD2d 229; *Schreck v Spinard*, 13 AD3d 1027; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Big Apple Car v City of New York*, 204 AD2d 109.)

Couch White, LLP, General Counsel, New York State Associa-

tion of Realtors, Inc., Albany (*Michael T. Wallender* of counsel), for New York State Association of Realtors, Inc., amicus curiae. I. In New York, typically in “upstate” areas, contracts for the purchase and sale of residential real estate are prepared by real estate licensees and contain “attorney approval” clauses in accordance with the standards of *Matter of Duncan & Hill Realty v Department of State of State of N.Y.* (62 AD2d 690 [1978]). II. In the contemporary New York real estate marketplace, “attorney approval” clauses are generally understood to enable a party’s attorney to disapprove a proposed contract for any reason, without limitation. (*Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *Slamow v Del Col*, 174 AD2d 725, 79 NY2d 1016; *Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Triton Partners v Prudential Sec.*, 301 AD2d 411; *Delta Props. v Fobare Enters.*, 251 AD2d 960; *Namad v Salomon Inc.*, 74 NY2d 751; *Graff v Billet*, 64 NY2d 899; *Nelson v Ring*, 136 AD2d 878.)

OPINION OF THE COURT

READ, J.

On December 13, 1995, defendants Mehmet and Susan Erk signed a real estate contract to purchase the home of plaintiffs James J. and Kathleen D. Moran, a 5,000-square-foot ranch-style house located in Clarence, New York. The contract, which was executed by the Morans on December 22, 1995, provided for a purchase price of \$505,000, and contained a rider with an “ATTORNEY APPROVAL CONTINGENCY” stating as follows:

“This Contract is contingent upon approval by attorneys for Seller and Purchaser by the third business day following each party’s attorney’s receipt of a copy of the fully executed Contract (the ‘Approval Period’). . . . If either party’s attorney disapproves this Contract before the end of the Approval Period, it is void and the entire deposit shall be returned.”

Both the contract and the rider were form documents copyrighted and approved by the Greater Buffalo Association of Realtors, Inc. and the Bar Association of Erie County.*

After signing the contract, the Erks developed qualms about purchasing the Morans’ house. They discussed their misgivings

* The form contract, which is available electronically on the Bar Association’s Web site (*see* <http://www.eriebar.org/pdfs/Contract.pdf> [last accessed Nov. 17, 2008]), contains the subject attorney approval contingency as

(n. cont’d)

with each other and with friends and family, and ultimately decided to buy a different residence. As a result, they instructed their attorney to disapprove the contract, and she did so on December 28, 1995, which was within the three-day period for invoking the attorney approval contingency.

The Morans—who had moved out of their Clarence residence in September 1995—kept the house on the market until it was eventually sold for \$385,000 in late 1998. Shortly thereafter, they sued the Erks in Supreme Court, alleging breach of contract. They sought to recover as damages the difference between the contract price of \$505,000 and the eventual sale price of \$385,000, as well as “carrying costs” for marketing the Clarence property for almost three years beyond the date of the 1995 contract with the Erks.

After a bench trial, Supreme Court found in the Morans’ favor, and entered a judgment against the Erks for \$234,065.75, which represented the difference between the contract price and the eventual sale price, plus statutory interest. Citing *McKenna v Case* (123 AD2d 517 [4th Dept 1986]) and *Ulrich v Daly* (225 AD2d 229 [3d Dept 1996]), Supreme Court opined that “[i]t is well settled law that where a Buyer acts in bad faith by instructing his attorney to disapprove a real estate contract, the condition that the contract be approved by an attorney is deemed waived and a contract is formed” (21 Misc 3d 1137[A], 2006 NY Slip Op 52668[U], *5). Likewise relying on *McKenna*, the Appellate Division affirmed in a short memorandum opinion (45 AD3d 1329 [2007]). We subsequently granted the Erks’ motion for leave to appeal (10 NY3d 704 [2008]), and now reverse.

Attorney approval contingencies are routinely included in real estate contracts in upstate New York (see e.g. Dorothy H. Ferguson, *Subject to the Approval of My Attorney Clauses*, 35 NY Real Prop LJ 35 [spring/summer 2007]; Alice M. Noble-Allgire, *Attorney Approval Clauses in Residential Real Estate Contracts—Is Half a Loaf Better than None?*, 48 U Kan L Rev 339, 342 [2000]). Requiring a real estate contract to be “subject to” or “contingent upon” the approval of attorneys for both contracting par-

paragraph “ATC1” (see *id.* at 9). A boldface header to paragraph ATC1 provides:

“ATTORNEY APPROVAL CONTINGENCY. CAUTION: The deletion or modification of Paragraph ATC1 (A) or Paragraph ATC1 (B), unless such modification extends the Attorney Approval Period or Addendum Approval Period, shall result in the automatic withdrawal of any bar association approval of this form” (*id.* at 9).

ties ensures that real estate brokers avoid the unauthorized practice of law (see *Matter of Duncan & Hill Realty v Department of State of State of N.Y.*, 62 AD2d 690, 701 [4th Dept 1978], *lv denied* 45 NY2d 709, 821 [1978]; 1996 Ops Atty Gen No. 96-F11), and allows both contracting parties to have agents representing their respective legal interests (see generally Real Property Law § 443 *et seq.*; *Rivkin v Century 21 Teran Realty LLC*, 10 NY3d 344, 352-356 [2008] [discussing brokers' agency relationships and duties in real estate transactions, and emphasizing that, absent express disclosure to the contrary, a real estate broker does not represent the interests of both parties to a transaction]). Where a real estate contract states that it is "subject to" or "contingent upon" the approval of each party's attorney, this language means what it says: no vested rights are created by the contract prior to the expiration of the contingency period (see Black's Law Dictionary 828 [8th ed 2004], contingent interest ["An interest that the holder may enjoy *only upon the occurrence of a condition precedent*" (emphasis added)]).

Here, as previously noted, the contract between the Erks and the Morans explicitly stated that "[t]his Contract is *contingent upon approval by attorneys for Seller and Purchaser* by the third business day following each party's attorney's receipt of a copy of the fully executed Contract," and further provided that "[i]f either party's attorney disapproves this Contract before the end of the Approval Period, *it is void*" (emphases added). The Morans argue that the contract nonetheless created an implied limitation upon an attorney's discretion to approve or disapprove the contract. We do not ordinarily read implied limitations into unambiguously worded contractual provisions designed to protect contracting parties. The Morans, however, contend—and the lower courts apparently agreed—that the implied covenant of good faith and fair dealing implicitly limits an attorney's ability to approve or disapprove a real estate contract pursuant to an attorney approval contingency. This argument misconstrues the implied covenant of good faith and fair dealing under New York law.

The implied covenant of good faith and fair dealing between parties to a contract embraces a pledge that "neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract" (511 W. 232nd Owners Corp. v Jennifer Realty Co., 98 NY2d 144, 153 [2002], quoting *Dalton v Educational Testing*

Serv., 87 NY2d 384, 389 [1995] [additional citation omitted]). Yet the plain language of the contract in this case makes clear that any “fruits” of the contract were *contingent* on attorney approval, as any reasonable person in the Morans’ position should have understood (see *511 W. 232nd Owners Corp.*, 98 NY2d at 153 [implied covenant of good faith and fair dealing encompasses “promises which a reasonable person in the position of the promisee would be justified in understanding were included” (citations omitted)]).

Further, considerations of clarity, predictability, and professional responsibility weigh against reading an implied limitation into the attorney approval contingency. Clarity and predictability are particularly important in the interpretation of contracts (see *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373, 381 [1986] [“when contractual rights are at issue, where it can reasonably be assumed that settled rules are necessary and necessarily relied upon, stability and adherence to precedent are generally more important than a better or even a ‘correct’ rule of law” (some internal quotation marks and citation omitted)]), and “[t]his is perhaps true in real property more than any other area of the law” (*Holy Props. v Cole Prods.*, 87 NY2d 130, 134 [1995] [citation omitted]). But the bad faith rule advocated by the Morans, which derives from the *McKenna* decision, advances none of those objectives.

In *McKenna*, a short memorandum opinion, the Appellate Division held that an attorney’s disapproval pursuant to an attorney approval contingency “would terminate plaintiff’s rights under the contract, *unless said disapproval is occasioned by bad faith*” (123 AD2d 517, 517 [1986] [citations omitted and emphasis added]). The court further stated,

“While the issue of ‘bad faith’ usually raises a question of fact precluding summary judgment, the uncontradicted proof demonstrates conclusively that defendant acted in bad faith by instructing his attorney to disapprove the contract. Defendant, by interfering and preventing his attorney from considering the contract, acted in bad faith and, therefore, the condition that the contract be approved by seller’s attorney must be deemed waived and the contract formed” (*id.* [citation omitted]).

Reading a bad faith exception into an attorney approval contingency would create—as the *McKenna* court itself recog-

nized—a regime where “question[s] of fact precluding summary judgment” would “usually [be] raise[d]” by a disappointed would-be seller or buyer *any time* an attorney disapproved a real estate contract pursuant to an attorney approval contingency. In an area of law where clarity and predictability are particularly important, “this novel notion would be entirely dependent on the subjective equitable variations of different Judges and courts instead of the objective, reliable, predictable and relatively definitive rules” of plain-text contractual language (*Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399, 403 [1993]).

The circumstances of this case illustrate the chanciness inherent in a bad faith rule. The Erks’ attorney disapproved the contract for the sale of the Morans’ Clarence house in late 1995. The Erks soon bought a house in a different community, and continued on with their lives, relying on their attorney’s disapproval of a contract that declared that such disapproval rendered it “void.” Some three years after their last contact with the Morans, the Erks were served with the complaint in this breach-of-contract lawsuit. Now—10 years after their attorney disapproved the contract within a three-day disapproval period—the Erks are fighting a six-figure judgment for putatively breaching an unwritten covenant because of something Mrs. Erk may have said or neglected to say in a single conversation with her attorney.

Indeed, any inquiry into whether a particular attorney disapproval was motivated by bad faith will likely require factual examination of communications between the disapproving attorney and that attorney’s client (see e.g. *McKenna*, 123 AD2d at 517 [“defendant acted in bad faith by *instructing his attorney to disapprove the contract*” (emphasis added)]; *Moran v Erk*, 45 AD3d 1329 [2007] [“the evidence supports the court’s determination that defendants acted in bad faith by *instructing their attorney to disapprove the contract*” (emphasis added)]). That is, the disapproving attorney will be subpoenaed to testify about communications the disclosure of which might be detrimental to that attorney’s client—a direct conflict with an attorney’s duty to preserve a client’s confidences and secrets (see 22 NYCRR 1200.19 [a] [defining “*secret*” as “information gained in the professional relationship that the client has requested be held inviolate or the disclosure of which would be embarrassing or would be likely to be detrimental to the client”])). This is precisely what occurred here, where the lower courts’ findings

of bad faith were expressly grounded in the deposition testimony of the Erks' attorney. Moreover, the threat to attorney-client confidentiality under a bad faith regime could harm the attorney-client relationship itself in the context of real estate transactions. A diligent attorney, cognizant of the risk of being subpoenaed to testify as to the basis for a disapproval, would face a perverse incentive to avoid candid communications with his or her client regarding a transaction in which the attorney is supposed to represent the client's legal interest.

All these potential problems vanish when an attorney approval contingency is interpreted according to its plain meaning, as our sister state of New Jersey has long done (*see New Jersey State Bar Assn. v New Jersey Assn. of Realtor Bds.*, 186 NJ Super 391, 395, 452 A2d 1323, 1325 [1982] [approving "broad construction" of attorney approval clause "enabling an attorney to disapprove a contract or lease for any reason or reasons which would not be subject to review"], *mod on other grounds and affd* 93 NJ 470, 461 A2d 1112 [1983]). We therefore hold that where a real estate contract contains an attorney approval contingency providing that the contract is "subject to" or "contingent upon" attorney approval within a specified time period and no further limitations on approval appear in the contract's language, an attorney for either party may timely disapprove the contract for any reason or for no stated reason. Since no explicit limitations were placed on the attorney approval contingency in the contract in this case, the Erks' attorney's timely disapproval was valid, and the contract is void by its express terms.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the complaint dismissed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[900 NE2d 924, 872 NYS2d 373]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JASON
NARADZAY, Appellant.

Argued October 15, 2008; decided November 24, 2008

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered April 25, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Onondaga County (John J. Brunetti, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree (two counts), attempted burglary in the first degree and criminal possession of a weapon in the fourth degree.

People v Naradzay, 50 AD3d 1489, affirmed.

HEADNOTES

Crimes — Verdict — Attempt — Sufficiency of Evidence

1. Defendant's convictions of attempted murder and attempted burglary were supported by legally sufficient evidence inasmuch as defendant's actions prior to the arrival of a sheriff's deputy on the scene came "dangerously near" commission of murder and burglary (*see* Penal Law § 110.00). A rational jury could reasonably infer from defendant's conduct and the surrounding circumstances that defendant intended to commit murder and burglary. In accordance with his "to-do" list, defendant borrowed a vehicle, obtained a shotgun and ammunition and drove to the immediate vicinity of his intended victims' house. In the few minutes that elapsed between a passing motorist's 911 call and the arrival of the deputy, defendant brought his loaded shotgun within 20 feet of his intended victims' house. Defendant's actions could be characterized as potentially and immediately dangerous: he filled his pockets with 25 sabot slugs, loaded a shotgun capable of hitting a target accurately at a distance of 100 yards with four of these slugs, including one in the chamber, and stood mere steps away from the property of his intended victims, thereby placing it in his power to commit the offense unless interrupted. The jury might have reasonably concluded that there was no homicide here only because an observant motorist made a 911 call and law enforcement authorities responded promptly, cornering defendant before he could burst into his intended victims' house, armed with a shotgun, the next step on his "to-do" list.

Crimes — Confession

2. In the prosecution of defendant for attempted murder and attempted burglary, suppression of certain evidence as violative of defendant's *Miranda* rights was not warranted. Record evidence supported the Appellate Division's conclusion that the police engaged in threshold questioning designed to clarify the situation—not interrogation—while frisking defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 154, 155, 914, 916, 917.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:560–172:567.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.6, 6.7.

McKINNEY's, Penal Law § 110.00.

NY JUR 2d, Criminal Law: Procedure §§ 575–578, 587, 589, 3644; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 298–303, 319.

ANNOTATION REFERENCE

See ALR Index under Attempt to Commit Crime; Burglary; Homicide; Miranda Warnings.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: attempt! & dangerously /2 near & interrupt!

POINTS OF COUNSEL

Stewart F. Hancock, Jr., Syracuse, and *Hiscock Legal Aid Society* (*Gerald T. Barth* of counsel) for appellant. I. Defendant's convictions for attempted murder in the second degree should be reversed and those charges dismissed because there is insufficient proof, as a matter of law, that defendant—"with intent to commit" (Penal Law § 110.00) the crimes—engaged in conduct which tended "to effect commission of such" (*id.*) crimes. (*People v Kassebaum*, 95 NY2d 611; *People v Trepanier*, 84 AD2d 374; *Feldman v Citibank*, 110 Misc 2d 838; *People v Bracey*, 41 NY2d 296; *People v Collins*, 234 NY 355; *People v Chandler*, 250 AD2d 410; *People v Mendez*, 197 AD2d 485; *People v Acosta*, 80 NY2d 665; *People v Mahboubian*, 74 NY2d 174; *United States v Desena*, 287 F3d 170.) II. Defendant's conviction for attempted burglary in the first degree should be reversed and that charge dismissed because there is insufficient proof, as a matter of law, that defendant—"with intent to commit" (Penal Law § 110.00) the crime—engaged in conduct which tended "to effect the commission of such crime" (*id.*) III. The trial court committed two reversible errors in denying defendant's suppression motions: first, in not suppressing certain of defendant's un-Mirandized statements made in custodial interrogation at the scene; and second, in using these un-Mirandized statements to create probable cause for defendant's arrest, thus making the search of defendant's person which produced the "to-do list" a search incident to a lawful arrest. (*People v Huffman*, 41 NY2d 29; *People v Stroman*, 118 AD2d 1006, 68 NY2d 672; *People v Rosen*, 112 AD2d 253; *People v O'Connor*, 6 AD3d

738; *People v Crowley*, 98 AD2d 628; *People v Bastian*, 294 AD2d 882.) IV. The court's errors in denying suppression of the un-Mirandized statements and the "to-do list" taken in an illegal search require a reversal and a grant of a new trial on all of defendant's convictions.

William J. Fitzpatrick, District Attorney, Syracuse (Victoria M. White and James P. Maxwell of counsel), for respondent. I. Defendant came dangerously close to bursting into the G. home and shooting his intended targets. (*People v Gaimari*, 176 NY 84; *People v Villante*, 204 AD2d 369, 84 NY2d 834; *People v Garafolo*, 44 AD2d 86; *People v Williams*, 84 NY2d 925; *People v Thompson*, 72 NY2d 410; *People v Ford*, 66 NY2d 428; *People v Contes*, 60 NY2d 620; *People v Padilla*, 181 AD2d 1051; *People v Badia-Almonte*, 161 AD2d 1199; *People v Allen*, 9 NY3d 1013; *People v Rizzo*, 246 NY 334.) II. The hearing court's findings of fact and denial of suppression are supported by the hearing record. (*People v Prochilo*, 41 NY2d 759; *People v Stokes*, 212 AD2d 986, 86 NY2d 741; *People v Williams*, 202 AD2d 976, 83 NY2d 916; *People v McLee*, 249 AD2d 995, 92 NY2d 901; *People v Allen*, 9 NY3d 1013; *People v Huffman*, 41 NY2d 29; *People v Bennett*, 70 NY2d 891; *People v Madore*, 289 AD2d 986, 97 NY2d 757; *People v Bigelow*, 66 NY2d 417; *People v Weintraub*, 35 NY2d 351.)

OPINION OF THE COURT

READ, J.

In late winter or early spring of 2003, D.G. was introduced to defendant Jason Naradzay by a mutual friend while on an out-of-town visit to a resort in the Thousand Islands with two of her girlfriends. D.G. and defendant occasionally talked with and met each other in the ensuing months. In particular, defendant sought D.G.'s assistance in polishing his resumé and making contacts in the Syracuse area, where he planned to relocate.

According to D.G., by August 2003 she had decided to sever ties with defendant because he was "appearing just a bit too needy and troublesome . . . in his behavior." She claims that she told defendant not to call her again, but he did, and she would relent and talk to him as "a listening ear." She also encountered defendant in public more often than the odds of a chance meeting would seem to make plausible; for example, he turned up unexpectedly at a party that D.G. hosted for friends at an out-of-town restaurant near her summer home, and at her daughter's soccer game at the Carrier Dome. On February 3,

2004, defendant called D.G., angrily complaining that she no longer made time for him. She responded that he was “now not giving [her] any choice” about continuing their friendship; she instructed him not to call her again. Defendant, for his part, denies that D.G. ever asked him to stop calling her.

Defendant acknowledges, however, that on or about February 4, 2004 he put together a “to-do” list memorializing a plan to break into D.G.’s home and to shoot D.G. and her husband in front of their three children. The list consisted of eight individually numbered steps; specifically, (1) “pick up 7:00,” (2) “travel 7:30,” (3) “arrive and park and load,” (4) “corner of property,” (5) “power enter (door knob + run + seek),” (6) “ID” (written above the crossed-out phrase “seek out”) 1, 2 and 3 (possibly a reference to D.G.’s three children) as well as the words “head, knees, back, hands,” (7) “make children look” and “living room,” and (8) “final shot!” Below this last item on the list, defendant wrote, among other things, “security,” “chest shots,” “children,” the names of D.G. and her husband, and various body parts. He linked D.G.’s name to “right foot” and “hands”; he linked her husband’s name to “knees” and “back.”

On February 4, 2004, defendant responded to a newspaper advertisement offering a Remington 20-gauge shotgun for sale. After having first asked the seller to deliver the gun to him on February 6th, defendant called him back to move their appointment up one day, to February 5th. Defendant also called a friend to confirm that she would, as previously arranged, be staying overnight at his Syracuse apartment on February 5th and that he could borrow her vehicle that evening, which defendant falsely told her he needed “to run some errands and . . . meet a friend for coffee.” Defendant concedes that he advanced his purchase of the shotgun by one day so as to have it available when he had access to the borrowed vehicle, enabling him to carry out the plan he had “concocted.”

The friend arrived at defendant’s apartment around 6:40 P.M. on February 5, 2004; the seller of the shotgun, a little later. Defendant lied to the seller that he was buying the shotgun as a gift for his father for skeet shooting, and that “since his father was an elderly gentleman [he] needed something with less of a kick to it.” Defendant wrote the seller a check in the amount of \$575 (which the seller tried unsuccessfully to cash the next day) for the shotgun, 25 sabot slugs and a green safety key to lock the trigger. The seller described the shotgun as having a “fully

rifled barrel that shoots only Sabot^[1] slugs,” and as “real accurate . . . zeroed for a hundred yards.”

Defendant then left his apartment at 7:10 P.M., again telling his friend that he needed to borrow her car to run errands and meet someone for coffee. Five minutes later, he returned to ask his friend about the key to the vehicle, because he had been unable to get the door to open. When she “asked him if he would like [her] to come down, maybe the lock had frozen,” he was “adamant about no, no no, it’s okay, I’ll get it and then he left.”

About an hour later, at approximately 8:15 P.M., defendant again returned to his apartment. This time, he lied to his friend “that he had forgotten a library book that he had to return.” He “walked past [her] to the bookshelf and grabbed a book,” and she saw what “looked like a blanket or something wadded up under his left arm” as he left. Armed with the shotgun, defendant drove from Syracuse to Geddes, where D.G. and her family lived in a house on Cherry Road, at the junction of Cherry and Salisbury Roads.

Unsure of the exact location of D.G.’s house, defendant parked on Cherry Road south of her address and loaded the shotgun with four slugs—three in the magazine and one in the chamber. He got out of the vehicle with the shotgun in hand. As he walked north along Cherry Road, he concealed the shotgun inside his coat because “a thought came into [his] mind,” that he did not want to be seen with it. As defendant rounded the corner onto Salisbury Road, he realized that “power entry” was the next step on his “to-do” list. His idea was to “kick down the door.” According to defendant, he began to wonder if he could do that, but he “couldn’t go home.” He turned into a driveway on Salisbury Road. Defendant testified that he thought about shooting himself with the shotgun, and “it was the grace of God that [he] didn’t commit suicide or what [he] had planned.”

Between 9:00 P.M. and 9:30 P.M., a motorist pulled into the driveway of her 85-year-old mother’s house on Salisbury Road after a day of shopping and visiting.² She “looked around the neighborhood and . . . saw a man walking up Salisbury Road and . . . made a mental note of it because two ladies going into

1. A sabot is a thrust-transmitting sheathing that positions a slug in the gun’s barrel and prevents the escape of gas ahead of the slug, thereby improving accuracy (see Merriam-Webster’s Collegiate Dictionary 1028 [10th ed 1996]).

2. In an affidavit executed the night of the incident, the motorist said that she arrived at her mother’s house “at about 9:20 p.m.”

the house in the dark is scary.” As she went around to the back of her car to remove some packages, she saw defendant cross over to the side of Salisbury Road where her mother’s house was located, and walk “down the driveway of [her] mother’s elderly neighbor.” She noticed him “scurr[ying] down the driveway,” which “caught [her] attention again for [her] mother’s and [her] safety.” She then saw defendant pull a shotgun from beneath his coat. He leaned the shotgun against the neighbor’s house and stood behind some tall shrubbery, seemingly trying to hide from her. Alarmed, the motorist “closed the back door of [her] car, got in the front door of [her] car, [and] told her mother [they] weren’t going home right away.” The motorist then drove the six blocks to her own house and immediately called 911.

The first deputy to respond to the motorist’s 911 call testified that he received the dispatch informing him of a “[s]uspicious person with a rifle or a weapon” at 9:30 P.M. He arrived at the scene within minutes, driving his patrol car down Salisbury Road in a westerly direction (towards Cherry Road) with his headlights off. He observed defendant standing on the north shoulder of Salisbury Road, just east of the driveway on D.G.’s property. The area was illuminated by a street light. Defendant approached the patrol car, and the deputy asked him if he was the complainant. Defendant responded, “I’m not the complainant, but I have a complaint to report. I have mental problems.”

The deputy got out of his patrol car and asked defendant if he had any weapons. Defendant pointed towards a shotgun placed next to a snowbank, about 20 feet from D.G.’s house and closer to the driveway where her van and two other cars were parked. The snowbank was on the shoulder of the road, abutting a wooden fence on D.G.’s property. After defendant admitted that the shotgun was loaded, the deputy placed him in handcuffs. A second sheriff’s deputy soon arrived, and secured the loaded shotgun. This deputy testified that he received the dispatch at 9:30 or 9:35 P.M. and was at the scene within three minutes.

The two deputies were soon joined by two town police officers who assisted with frisking and questioning defendant. When asked what he was doing in the area, defendant responded by saying, “[T]hat bitch ruined my life.” When asked whom he was referring to, defendant named D.G. and provided her address. Meanwhile, one of the deputies retrieved 21 sabot slugs and the green safety key from defendant’s coat pockets. One of the police officers found a folded piece of paper in the pocket of

defendant's suit jacket. In response to the officer's question, defendant identified the paper as a "to-do" list.

A grand jury indicted defendant for attempted murder in the second degree, attempted burglary in the first degree and criminal possession of a weapon in the fourth degree. Following a hearing at which Supreme Court denied defendant's motion to suppress the "to-do" list and certain of his statements to police, the case proceeded to trial. At trial, defendant, who has been diagnosed with bipolar disorder, contended that he was not responsible for his acts by reason of mental disease or defect. He also protested at trial that he "[n]ever wanted to take a life," while acknowledging that he intended to open fire on D.G. and her husband with a shotgun in the confines of their home.

The jury convicted defendant of all charges. The trial judge, taking into account defendant's history of mental illness, sentenced him to concurrent terms aggregating 15 years' imprisonment plus five years of postrelease supervision. The Appellate Division subsequently affirmed, with one Justice dissenting, who granted defendant leave to appeal (50 AD3d 1489 [2008]). We now affirm.

[1] Defendant primarily challenges the legal sufficiency of the proof supporting his attempted burglary and murder convictions, arguing that his intent was equivocal and that his actions prior to the arrival of the first deputy did not come "dangerously near" commission of burglary and murder. Viewing the evidence in the light most favorable to the People (*see People v Danielson*, 9 NY3d 342, 349 [2007]), we disagree.

A defendant is guilty of attempt "when, with intent to commit a crime, he [or she] engages in conduct which tends to effect the commission of such crime" (Penal Law § 110.00). In order to constitute an attempt, the defendant's "conduct must have passed the stage of mere intent or mere preparation to commit a crime" (*People v Mahboubian*, 74 NY2d 174, 189 [1989]). In other words, the defendant must have "engaged in conduct that came 'dangerously near' commission of the completed crime" (*People v Kassebaum*, 95 NY2d 611, 618 [2001], quoting *People v Acosta*, 80 NY2d 665, 670 [1993]). The "dangerously near" standard does not, however, mandate that the defendant take "the final step necessary" to complete the offense (*Mahboubian*, 74 NY2d at 190; *see People v Bracey*, 41 NY2d 296, 300 [1977]).

Defendant contends that his intent wavered on the night of his arrest, as evidenced by his thoughts of suicide and his place-

ment of the shotgun on the shoulder of the road next to the snowbank. A rational jury could reasonably infer, however, that defendant intended to commit burglary and murder from his “conduct and the surrounding circumstances” (*Bracey*, 41 NY2d at 301 [internal quotation marks and citation omitted]). On the evening of his arrest, in accordance with his “to-do” list, defendant borrowed a vehicle, obtained a shotgun and ammunition and drove several miles to the immediate vicinity of D.G.’s house. There was evidence that, in the few minutes that elapsed between the motorist’s 911 call and the arrival of the first deputy, defendant emerged from the shrubbery beside a house on Salisbury Road and brought his loaded shotgun within 20 feet of D.G.’s house. Although, after the fact, defendant claimed that his plan evolved from murder (or murder-suicide) to suicide only, the jury was entitled to discredit that self-serving testimony.

Defendant also argues that his conduct never came “dangerously near” burglary and murder. He emphasizes that the first deputy on the scene found him “just standing” in the street and that he had not yet picked up the shotgun, walked onto D.G.’s property or tried to enter her home. But a rational jury could conclude that defendant crossed “the boundary where preparation ripens into punishable conduct,” a determination that “depends greatly on the facts of the particular case” (*Mahboubian*, 74 NY2d at 190). Defendant’s actions can be characterized as “potentially and immediately dangerous” (*id.* at 191): he filled his pockets with 25 sabot slugs, loaded a shotgun capable of hitting a target accurately at a distance of 100 yards with four of these slugs, including one in the chamber, and stood mere steps away from the property of his intended victims, thereby “placing it in [his] power to commit the offense unless interrupted” (*id.* [internal quotation marks and citation omitted]).

As we have “explicitly recognized” in previous decisions, “there comes a point where it is ‘too late in the *stage of preparation* for the law to conclude that no attempt occurred’ ” (*id.* at 192, quoting *People v Mirenda*, 23 NY2d 439, 446 [1969]). Although defendant seemed to claim that he put the shotgun aside and “meander[ed]” in the cold aimlessly for half an hour before the first deputy arrived, this is inconsistent with the motorist’s and the deputies’ testimony. They indicated that much less than half an hour elapsed between the time the motorist first spotted defendant propping the shotgun up against her mother’s

neighbor's house and the first deputy's arrival on the scene. There was evidence that defendant moved the shotgun closer to D.G.'s house—placing it on the shoulder of the road bordering her property—during this interval. In short, the jury might have reasonably concluded that there was no homicide here only because an observant motorist made a 911 call and law enforcement authorities responded promptly, cornering defendant before he could burst into D.G.'s house, armed with a shotgun, the next step on his “to-do” list.

[2] Finally, we reject defendant's argument that certain evidence was obtained in violation of his *Miranda* rights and should have been suppressed. Whether the police have engaged in custodial interrogation is a mixed question of law and fact (see *People v Paulman*, 5 NY3d 122, 129 [2005]). Here, record evidence supports the Appellate Division's conclusion that the police engaged in threshold questioning designed to clarify the situation—not interrogation—while frisking defendant.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting in part). I join the majority insofar as affirming the conviction for criminal possession of a weapon in the fourth degree. However, because the conduct of defendant did not, in my view, reach the point at which it would be punishable under the law of attempt, I respectfully dissent. As the majority correctly notes, to be guilty of attempted commission of a crime, a defendant must have (1) the specific intent to commit a crime and (2) conduct which comes “dangerously close” to the accomplishment of the crime—mere preparation is not enough (see *People v Bracey*, 41 NY2d 296, 300 [1977]). These requirements correspond to the mens rea and actus reus elements, both of which need to be established in order for a defendant to be guilty of attempt.

Here, there is no question that defendant's meticulous planning, post-arrest statements, and “to-do” list showed his intent to commit the crime of murder. However, intent by itself—no matter how loathsome—is not sufficient to establish criminal liability for attempt. As the dissent below aptly noted, “[t]he law does not punish evil thoughts” (50 AD3d 1489, 1492 [2008], quoting *People v Bracey*, 41 NY2d at 300, citing *People v Sullivan*, 173 NY 122, 133 [1903]). Even preliminary steps taken in furtherance of a criminal scheme, coupled with the requisite intent, would not constitute an attempt if those steps did not

come dangerously near completion of the crime (*see e.g. People v Rizzo*, 246 NY 334, 339 [1927]; *People v Sullivan*, 173 NY at 135-136).

As for the necessary actus reus element in this case, defendant merely carried out the initial steps in his “to-do” list and was never “dangerously near” completion of the crime. The evidence showed that at the time defendant approached the police admitting his mental problems and his possession of a shotgun, he was 25 to 30 feet from the border of the victims’ property and his weapon was 5 to 10 feet away from him. Defendant never approached the house—no footprints were found in the snowy lawn—and never saw or came close to his intended victims—in fact, one intended victim was not even in the area at that time (*see People v Rizzo*, 246 NY 334 [1927]). It is also unclear whether defendant identified the correct house; after creeping through the neighborhood unsure of the exact location of the victims’ house, defendant laid his shotgun down on a neighbor’s lawn and paced in front of that neighbor’s house. Under these circumstances, defendant’s conduct did not satisfy the dangerous proximity standard (i.e., his conduct had not gone “to the extent of placing it in [his] power to commit the offense unless interrupted” [*People v Mahboubian*, 74 NY2d 174, 191 (1989)]).

Moreover, in the minutes that elapsed between the neighbor’s call to the police and the arrival of the sheriff’s deputy, defendant had ample time to charge into the residence and execute his plan; but he did not. While defendant’s act need not be “the final one towards the completion of the offense” (*id.* at 190), defendant did not “pass[] that point where most [people], holding such an intention as defendant . . . , would think better of their conduct and desist” (*id.* at 191). Indeed, rather than proceeding with his plan, defendant disarmed himself and, upon the arrival of the police, surrendered to them. Although defendant’s intent and plans were malevolent, his conduct was at best equivocal and this is insufficient to support a conviction of attempted murder and attempted burglary under these facts.

Chief Judge KAYE and Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Judge JONES dissents in part in a separate opinion in which Judge CIPARICK concurs.

Order affirmed.

[900 NE2d 934, 872 NYS2d 383]

HELMSLEY-SPEAR, INC., et al., Appellants, v MICHAEL FISHMAN,
as President of SEIU Local 32B-32J, AFL-CIO, et al.,
Respondents.

Argued October 14, 2008; decided November 24, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 19, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Martin Shulman, J.; op 12 Misc 3d 1151[A], 2006 NY Slip Op 50855[U]), which had granted plaintiffs' motion for a preliminary injunction against defendants continuing their "banging racket" outside the Empire State Building; (2) vacated the injunction; and (3) dismissed the complaint.

Helmsley-Spear, Inc. v Fishman, 39 AD3d 361, reversed.

HEADNOTES

Labor Unions — Injunction in Labor Dispute — Federal Preemption

1. Plaintiffs' private nuisance cause of action, stemming from defendant Union's loud drumming outside of plaintiff managing agent's premises publicizing the Union's efforts to organize employees of the private security firm retained by plaintiff, was not preempted by the National Labor Relations Act. State regulations or causes of action may be maintained if the behavior to be regulated is of only peripheral concern to the federal law or touches interests deeply rooted in local feeling and responsibility. The controversy at issue—whether the drumming constituted a private nuisance—was distinctly different from the unfair labor practice charges against the Union filed by the private security firm with the National Labor Relations Board (NLRB), which involved allegations that the Union engaged in impermissible picketing and coercive conduct. There was no risk that the trial court's adjudication of the nuisance action would result in a significant risk of misinterpretation of federal labor law or in the consequent prohibition of protected conduct because the trial court restricted its imposition of the preliminary injunction to the drumming. The finding of the NLRB that "the use of the drum . . . was [not] sufficient to transform the leafleting activity into unlawful conduct" did not, ipso facto, render the drumming protected conduct. Moreover, plaintiffs' nuisance claim involved local interests such that it could not be inferred that Congress intended to deprive the State of the power to act.

Labor Unions — Injunction in Labor Dispute — Federal Preemption

2. Plaintiffs' private nuisance cause of action, stemming from defendant Union's loud drumming outside of plaintiff managing agent's premises publicizing the Union's efforts to organize employees of the private security firm retained by plaintiff, was not preempted by the proscription against state regulation and state law causes of action concerning employers' and unions'

use of economic weapons and self-help remedies. The drumming at issue did not constitute such an economic weapon or self-help remedy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Injunctions §§ 18, 58, 76; AM JUR 2d, Labor and Labor Relations §§ 516, 517, 520, 522, 557, 2742, 2743; AM JUR 2d, Nuisances §§ 42, 215, 332.

CARMODY-WAIT 2d, Injunctions in Labor Disputes and Controversies Involving Labor Matters §§ 80:8, 80:9.

NY JUR 2d, Employment Relations §§ 635-639, 695; NY JUR 2d, Injunctions § 115; NY JUR 2d, Nuisances §§ 6, 68.

ANNOTATION REFERENCE

See ALR Index under Injunctions; Labor and Employment; Nuisances.

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Query: labor /s pre-empt! /p union & nuisance

POINTS OF COUNSEL

McCarter & English, LLP, New York City (*Peter D. Stergios, Patrick M. Collins* and *Aimée Sato* of counsel), for appellants. I. Federal labor law does not preempt a state court action to abate tortious activity. (*Teamsters v Morton*, 377 US 252; *Machinists v Gonzales*, 356 US 617; *San Diego Building Trades Council v Garmon*, 359 US 236; *Machinists v Wisconsin Employment Relations Comm'n*, 427 US 132; *Healthcare Assn. of N.Y. State, Inc. v Pataki*, 471 F3d 87; *Moore v City of New York*, 219 F Supp 2d 335; *Belknap, Inc. v Hale*, 463 US 491; *Radcliffe v Rainbow Constr. Co.*, 254 F3d 772; *Automobile Workers v Russell*, 356 US 634; *Linn v Plant Guard Workers*, 383 US 53.)

Levy Ratner, P.C., New York City (*Andrew L. Strom, Daniel Engelstein* and *Dana Lossia* of counsel), for respondents. I. The Appellate Division correctly held that appellants' suit is preempted by the National Labor Relations Act. (*Golden State Transit Corp. v Los Angeles*, 475 US 608; *Wisconsin Dept. of Industry v Gould Inc.*, 475 US 282; *San Diego Building Trades Council v Garmon*, 359 US 236; *Burlington Northern R. Co. v Maintenance of Way Employes*, 481 US 429; *Sears, Roebuck & Co. v Carpenters*, 436 US 180; *NLRB v Sears, Roebuck & Co.*,

421 US 132; *Edward J. DeBartolo Corp. v Florida Gulf Coast Building & Constr. Trades Council*, 485 US 568; *United States v Doe*, 968 F2d 86; *Kaufman v Allied Pilots Assn.*, 274 F3d 197; *San Diego Building Trades Council v Garmon*, 359 US 236.) II. Labor Law § 807 barred the trial court from enjoining the union's drumming. (*Jou-Jou Designs v International Ladies' Garment Workers' Union, Local 23-25*, 94 AD2d 395, 60 NY2d 1011; *Schiviera v Long Is. Light. Co.*, 296 NY 26; *National Woodwork Mfrs. Assn. v NLRB*, 386 US 612; *Wall St. Garage Parking Corp. v New York Stock Exch., Inc.*, 10 AD3d 223; *Price Paper & Twine Co. v Miller*, 182 AD2d 748; *Burlington N. Santa Fe Ry. Co. v International Bhd. of Teamsters Local 174*, 203 F3d 703.) III. Appellants have no claim for private nuisance. (*Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *532 Madison Ave. Gourmet Foods v Finlandia Ctr.*, 96 NY2d 280; *Dugway, Ltd. v Fizzinoglia*, 166 AD2d 836; *Lewis v Stiles*, 158 AD2d 589; *Langan v Bellinger*, 203 AD2d 857; *People v Sturm, Ruger & Co.*, 309 AD2d 91.)

OPINION OF THE COURT

PIGOTT, J.

The issue on this appeal is whether plaintiffs' private nuisance cause of action is preempted by the National Labor Relations Act (NLRA). We hold that it is not.

I.

Plaintiff Helmsley-Spear, Inc., managing agent of the Empire State Building (ESB),* retained Copstat Security, LLC, a private security firm, to provide security services for the ESB. In 2005, defendants Michael Fishman, as President of SEIU Local 32B-32J, AFL-CIO, SEIU Local 32B-32J, AFL-CIO, and John Does 1-7 (collectively, the Union) began a concerted effort to organize Copstat employees. As part of that endeavor, on 18 separate days between November 2005 and February 2006, members of the Union assembled outside certain entrances of the ESB, distributing leaflets while one or more of the members drummed on a plastic container, metal pot or tin can.

Thereafter, nonparty Copstat filed three unfair labor practice charges against the Union with the National Labor Relations Board (NLRB), alleging that the Union's picketing or threatened picketing violated 29 USC § 158 (b) (7) (C), and that the Union's

* By court order dated January 26, 2007, Empire State Building Company L.L.C. was substituted for Helmsley-Spear as plaintiff.

activity was designed to coerce Helmsley-Spear into discontinuing business with Copstat in violation of 29 USC § 158 (b) (4) (i), (ii) (B) and coerce Copstat employees into selecting the Union as their collective bargaining representative in violation of 29 USC § 158 (b) (1) (A).

The NLRB dismissed the charges, finding that the Union “was engaged in protected handbilling or leafleting” and that “the use of the drum on the days in question . . . was [not] sufficient to transform the leafleting activity into unlawful conduct.” The NLRB’s Office of Appeals affirmed that decision on the same grounds.

Meanwhile, plaintiffs Helmsley-Spear and owners of nearby businesses commenced the instant private nuisance action against the Union seeking an order enjoining it from engaging in drumming or other noise-making activities. Following a hearing, Supreme Court granted plaintiffs’ request for a preliminary injunction, concluding that they met their burden of establishing that the drumming “caused stress and business interruption” which, if left unabated, would cause more stress and harm to the listeners (12 Misc 3d 1151[A], 2006 NY Slip Op 50855[U], *8). The court limited the injunction specifically to the drumming and did not prohibit the leafleting.

The Appellate Division reversed and dismissed the complaint, holding that plaintiffs’ “action to restrain conduct of loud drumming to publicize [the] [U]nion’s handbilling activities is preempted by federal labor law,” and stating that the NLRB had previously concluded that the Union had the right to engage in the drumming (*Helmsley-Spear, Inc. v Fishman*, 39 AD3d 361 [1st Dept 2007] [citations omitted]). Because it found plaintiffs’ claim to be preempted by federal law, the Appellate Division did not address the Union’s additional argument, that Labor Law § 807 prohibited the trial court from enjoining the drumming.

This Court granted leave (10 NY3d 703 [2008]) and we now reverse.

II.

It has been a hallmark of state-federal jurisprudence in the area of labor law that each jurisdiction recognize the respective rights and remedies of the other. The federal courts, in finding “presumptive preemption” with respect to certain union activities, have been careful to avoid interfering with a state’s right to keep order within its borders. The states, similarly, have been

careful to respect the federal government's right to protect unions, their workers and appropriate organizing activities.

In this regard, two federal statutes, NLRA §§ 7 and 8 (codified at 29 USC §§ 157, 158), “regulate ‘concerted activities’ and ‘unfair labor practices,’ respectively, seeking to protect the former and stamp out the latter” (*Building Trades Employers’ Educ. Assn. v McGowan*, 311 F3d 501, 508 [2d Cir 2002]). Because the NLRA does not include an express preemption provision (see *Building & Constr. Trades Council v Associated Builders & Contractors of Mass./R.I., Inc.*, 507 US 218, 224 [1993]), the United States Supreme Court in *San Diego Building Trades Council v Garmon* (359 US 236 [1959]) addressed Congress’s silence, by holding that “state regulations and causes of action are presumptively preempted if they concern conduct that is actually or arguably either prohibited or protected by the Act” (*Belknap, Inc. v Hale*, 463 US 491, 498 [1983], citing *Garmon*, 359 US at 245).

Where conduct falls within the scope of this so-called “*Garmon* preemption,” state regulations or causes of action may still be maintained “if the behavior to be regulated is behavior that is of only peripheral concern to the federal law or touches interests deeply rooted in local feeling and responsibility” (*Belknap*, 463 US at 498, citing *Garmon*, 359 US at 243-244; *Sears, Roebuck & Co. v Carpenters*, 436 US 180, 200 [1978]; *Farmer v Carpenters*, 430 US 290, 295 [1977]). In such cases, “the state’s interest in controlling or remedying the effects of the conduct is balanced against both the interference with the [NLRB’s] ability to adjudicate controversies committed to it by the Act, and the risk that the state will sanction conduct that the Act protects” (*Belknap*, 463 US at 498-499, citing *Sears, Roebuck & Co.*, 436 US at 205 [citations omitted]).

Here, even if one were to assume that the drumming constituted arguably “protected” conduct under the NLRA, as the Union argues and the Appellate Division implied, it does not necessarily follow that our state courts are foreclosed from adjudicating plaintiffs’ claim. This point was made clear in *Sears, Roebuck & Co.*, where the United States Supreme Court held that a state trespass claim lodged by an employer against picketers—challenging the location of the picketing as opposed to the picketing itself—was not preempted by the NLRA even though trespass was arguably protected under the Act (436 US at 198-204).

The *Sears* Court recognized that, even in cases where an employer has no right to invoke the Board's jurisdiction, preemption may be appropriate where "the exercise of state jurisdiction . . . might create a significant risk of misinterpretation of federal law and the consequent prohibition of protected conduct" (*id.* at 203). Nonetheless, the Court concluded that the state's evaluation of whether the union's trespass constituted protected activity under the Act did "not create an unacceptable risk of interference with conduct which the Board, and a court reviewing the Board's decision, would find protected" because, although "there are unquestionably examples of trespassory union activity" where such conduct may or may not be protected, "experience under the Act teaches that such situations are rare and that a trespass is far more likely to be unprotected than protected" (*id.* at 205). That reasoning applies here.

[1] The controversy in this case—whether the drumming constituted a private nuisance—is distinctly different from the matter presented by Copstat to the NLRB, which involved allegations that the Union engaged in impermissible picketing and coercive conduct. Moreover, there is no risk that the trial court's adjudication of the nuisance action will result in a "significant risk of misinterpretation" of federal labor law or in the "consequent prohibition of protected conduct" because the trial court restricted its imposition of the preliminary injunction to the drumming and emphasized that the order did not affect the Union's leafleting activity. Just as trespass, as found in *Sears*, "is far more likely to be unprotected than protected" under the Act, so, too, is the tort of private nuisance.

The dissent's implication that *Sears* is inapplicable because the Board found that the drumming is "actually protected" and constitutes "federally protected conduct" (*see* dissenting op at 480) misconstrues the Board's factual determination, which was centered on alleged "prohibited conduct," namely, allegations of the unfair labor practices of impermissible picketing and coercive activity. The Board did not proclaim the drumming to be "protected conduct" under the NLRA but, rather, premised its holding exclusively on the leafleting itself, finding that "the use of the drum . . . was [not] sufficient to transform the leafleting activity into unlawful conduct." That holding did not, ipso facto, render the drumming "protected conduct," as the dissent claims, but merely determined that the drumming did not transform otherwise protected conduct into prohibited conduct.

Moreover, plaintiffs' nuisance claim "touche[s] interests so deeply rooted in local feeling and responsibility" that it could not be inferred that Congress intended to deprive this State of the power to act (*Garmon*, 359 US at 244). The tort of private nuisance, much like the tort of trespass, has historically been governed by state law. It cannot be said that Congress, by enacting the NLRA, intended to preempt states from protecting their citizens from obnoxious conduct. Indeed, the United States Supreme Court has on numerous prior occasions found *Garmon* preemption inapplicable to other state common-law claims that touched upon a state's "local interests" (see *Belknap*, 463 US 491 [1983], *supra* [state law claims for misrepresentation and breach of contract by strike replacements not preempted]; *Sears, Roebuck & Co.*, 436 US 180 [1978], *supra* [state trespass claim allowed because the action concerned the location of the picketing and not the picketing itself]; *Farmer*, 430 US 290 [1977], *supra* [state intentional infliction of emotional distress claim not preempted, even though the conduct arguably involved unfair labor practices]; *Linn v Plant Guard Workers*, 383 US 53 [1966] [state defamation claims brought in the course of a labor dispute]; see also *Automobile Workers v Russell*, 356 US 634 [1958], *reh denied* 357 US 944 [1958] [pre-*Garmon* decision finding torts of threatened violence like false arrest, false imprisonment and malicious prosecution not preempted by the Act]).

Although the principal aim of *Garmon* preemption—to ensure the conformity of the national labor policy—is a sound one, the United States Supreme Court has been careful not to eliminate "state-court jurisdiction over conduct traditionally subject to state regulation without careful consideration of the relative impact of such a jurisdictional bar on the various interests affected" (*Sears, Roebuck & Co.*, 436 US at 188) and has found that *Garmon* preemption should not be applied inflexibly in circumstances where " 'the State has a substantial interest in regulation of the conduct . . . and the State's interest is one that does not threaten undue interference with the federal regulatory scheme' " (*id.* at 188, quoting *Farmer*, 430 US at 302).

Balancing the state interest in adjudicating private nuisance claims against the interference with the NLRB's ability to determine matters committed to it by the NLRA and the risk that state courts will prohibit conduct otherwise protected by the Act, we conclude that Congress did not intend to preempt

the jurisdiction of state courts to adjudicate the tortious conduct alleged here.

III.

[2] The Union's alternative argument, that the nuisance claim is preempted by the doctrine pronounced by the United States Supreme Court in *Machinists v Wisconsin Employment Relations Comm'n* (427 US 132 [1976]), which "applies to conduct the NLRA left unregulated" (*Healthcare Assn. of N.Y. State, Inc. v Pataki*, 471 F3d 87, 107 [2d Cir 2006]), is similarly unavailing.

The so-called *Machinists* preemption "proscribes state regulation and state-law causes of action concerning [unregulated] conduct . . . that was to remain a part of the self-help remedies left to the combatants in labor disputes" (*Belknap*, 463 US at 499, citing *Machinists*, 427 US at 140, 147-148). Preemption under *Machinists* "protects employers' and unions' use of 'economic weapons' that Congress aimed for them to have freely available" (*Building Trades Employers' Educ. Assn.*, 311 F3d at 508, citing *Machinists*, 427 US at 150-151). Thus, although there is no specific statutory provision that "expressly protects these economic weapons, they are integral parts of the legislative scheme and cannot be subject to regulation by the states or the courts or even the Board" (*Building Trades Employers' Educ. Assn.*, 311 F3d at 509).

The drumming in this instance does not constitute an "economic weapon" or "self-help" remedy akin to, for example, the employee walkout in *Machinists* or a lockout by an employer. Loud drumming is not an "integral part[] of the legislative scheme" of the NLRA.

The Appellate Division order should be reversed, with costs, and the matter remitted to that Court for consideration of issues raised but not determined on appeal to that court.

READ, J. (dissenting). The majority has not cited a single case that endorses a state court action challenging exactly the same conduct the National Labor Relations Board (NLRB or the Board) has already ruled to be protected by the National Labor Relations Act (NLRA or the Act). This is not surprising. Preemption is well-established as a matter of national labor policy, and is meant to avoid just the kind of conflict between federal and state law presented by this case.

I.

Under the Supreme Court's decision in *San Diego Building Trades Council v Garmon* (359 US 236 [1959]),

“[w]hen it is clear or may fairly be assumed that the activities which a State purports to regulate are protected by § 7 of the National Labor Relations Act, or constitute an unfair labor practice under § 8, due regard for the federal enactment requires that state jurisdiction must yield. To leave the States free to regulate conduct so plainly within the central aim of federal regulation involves too great a danger of conflict between power asserted by Congress and requirements imposed by state law. Nor has it mattered whether the States have acted through laws of broad general application rather than laws specifically directed towards the governance of industrial relations. Regardless of the mode adopted, to allow the States to control conduct which is the subject of national regulation would create potential frustration of national purposes” (*id.* at 244 [footnote omitted]).

The *Garmon* court further emphasized that while “[a]t times it has not been clear whether the particular activity regulated by the State was governed by § 7 or § 8 or was, perhaps, outside both these sections” (*id.*), “*courts are not primary tribunals to adjudicate such issues*” (*id.* [emphasis added]). Rather,

“[i]t is essential to the administration of the Act that these determinations be left in the first instance to the National Labor Relations Board. What is outside the scope of [a] Court's authority cannot remain within a State's power and state jurisdiction too must yield to the exclusive primary competence of the Board” (*id.* at 244-245 [citations omitted]).

As the Second Circuit recently pointed out, however, even the *Garmon* court itself

“recognized that the principles it announced were so broad that they would sometimes yield, as where, for instance, the activity regulated was merely peripheral to the federal concerns, or where the states' need to regulate certain conduct was so obvious that one would not infer that Congress meant to displace

the states' power" (*Healthcare Assn. of N.Y. State, Inc. v Pataki*, 471 F3d 87, 95 [2d Cir 2006], citing *Garmon*, 359 US at 243-244).

More specifically, "[b]ecause *Garmon* covers so many different concerns and situations, the one-size fits all remedy can be difficult to administer" (*Pataki*, 471 F3d at 95), and in *Sears, Roebuck & Co. v Carpenters* (436 US 180 [1978]), the Supreme Court "distinguish[ed] the substantive and remedial concerns" underlying *Garmon* "from the primary jurisdiction concern and prescrib[ed] different treatments for each" (*Pataki*, 471 F3d at 95, citing *Sears*, 436 US at 201).

In *Sears*, the Supreme Court found that a California state trespass claim against a group of picketers was not preempted by the NLRA. While the facts of *Sears* at first seem similar to those of this case, the first sentence of the *Sears* opinion illuminates the crucial distinction:

"The question in this case is whether the National Labor Relations Act, as amended, deprives a state court of the power to entertain an action by an employer to enforce state trespass laws against picketing which is *arguably—but not definitely*—prohibited or protected by federal law" (*Sears*, 436 US at 182 [emphasis added]).

While federal law unquestionably trumps state law where there is an actual conflict, *Sears* focuses on the grey areas between actual conflict and no conflict at all: areas of "arguable" conflict between state tort law and federal labor law. Where such an "arguable" conflict exists, it is generally accepted that the appropriate federal tribunal should have the first chance to decide whether federal law, in fact, applies—a concept known as "primary jurisdiction." Importantly, primary jurisdiction lies at the core of *Sears*, which explicitly relied on the defendant union's *failure to seek an adjudication before the NLRB* in reaching its holding:

"The primary-jurisdiction rationale unquestionably requires that when the same controversy may be presented to the state court or the NLRB, it must be presented to the Board. *But that rationale does not extend to cases in which an employer has no acceptable method of invoking, or inducing the Union to invoke, the jurisdiction of the Board.* We are therefore persuaded that the primary jurisdiction

rationale does not provide a *sufficient* justification for pre-empting state jurisdiction over *arguably protected conduct when the party who could have presented the protection issue to the Board has not done so and the other party to the dispute has no acceptable means of doing so*" (436 US at 202-203 [first and third emphases added]).

Here, the dispute was, in fact, submitted to the NLRB in the first instance, and the NLRB had ruled on the legality of the complained-of activity (drumming) by the time the nuisance claim was presented to Supreme Court. Accordingly, primary jurisdiction preemption—which *Sears* indicates can yield where no redress has been sought from a federal tribunal¹—is simply not involved.² Instead, a much more powerful form of preemption is implicated: "[t]he danger of state interference with federally protected conduct[—]the principal concern of the second branch of the *Garmon* doctrine" (*Sears*, 436 US at 203). Critically, "there is a *constitutional* objection to state-court interference with conduct *actually protected* by the Act" (*id.* at 200 [emphasis added]). Since the NLRB actually ruled on the complained-of conduct in this case, the central question is whether this conduct was "actually protected" by the Act; in the case of "actually protected" activity, the discretionary exception outlined by *Sears* for certain "arguably protected" activities is inapplicable as a constitutional matter.

The NLRB's ruling in this case must be read as finding the complained-of conduct to be "actually protected" under the Act. After Copstat filed a charge against the Union on December 8, 2005, alleging violations of NLRA § 8 (b) (1), (4) and (7) (codi-

1. Notably, "[t]hat state law might provide remedies unavailable under the NLRA has never been a basis for avoiding *Garmon* preemption" (*Richardson v Kruckho & Fries*, 966 F2d 153, 157 [4th Cir 1992], citing *Garmon*, 359 US at 246-247 ["In fact, since remedies form an ingredient of any integrated scheme of regulation, to allow the State to grant a remedy . . . which has been withheld from the (NLRB) only accentuates the danger of conflict" (359 US at 247 [emphasis added])]; *Operating Engineers v Jones*, 460 US 669, 684 [1983]). Indeed, "the Supreme Court has made clear that state-law claims may be preempted even when a plaintiff is without a remedy under the NLRA" (*Richardson*, 966 F2d at 157, citing *Guss v Utah Labor Relations Bd.*, 353 US 1 [1957]).

2. The critical role of the Board's prior ruling in this case cannot be overstated: absent a prior ruling by the NLRB, the plaintiffs' private nuisance cause of action might well not be preempted by the Act. But we need not, and should not, rule on that issue here, where the NLRB *was* presented with this dispute and ruled as it did.

fied at 29 USC § 158), the Acting Regional Director of the NLRB “carefully investigated and considered the charges filed by [Copstat] against [the Union].” Upon a review of evidence adduced during the Board’s investigation, including “[e]vidence . . . establish[ing] that approximately six to twelve individuals associated with the Union distributed leaflets and *played a drum* on four separate days, for approximately 1½ to 3 hours per day, on the sidewalk in front of entrances to the Empire State Building” (emphasis added), the NLRB concluded that “[t]he evidence therefore *establishes* that the Union was engaged in *protected* handbilling or leafleting, and not in picketing or other coercive conduct. . . . Neither the use of [a King Kong] costume *nor the use of the drum* on the days in question, as described above, was sufficient to transform the leafleting activity into unlawful conduct” (emphasis added).

Because the NLRB has issued an actual determination in this case, the majority’s finding of nonpreemption requires the NLRB’s determination to be read *not to protect* the drumming activity (see *Sears*, 436 US at 199 [“there is a constitutional objection to state-court interference with conduct *actually protected* by the Act” (emphasis added)]). But such a reading does not comport with the facts and the weight of federal authority on the issue of “protected activity” under the Act.

While section 8 (b) (4) *et seq.* of the NLRA—specifically addressed in both Copstat’s complaint and the NLRB’s determination—is generally directed towards prohibited conduct, that section also outlines protected conduct; in particular,

“for the purposes of . . . paragraph (4) only, nothing contained in such paragraph shall be construed to prohibit *publicity, other than picketing, for the purpose of truthfully advising the public, including consumers* and members of a labor organization, *that a product or products are produced by an employer with whom the labor organization has a primary dispute and are distributed by another employer*, as long as such publicity does not have an effect of inducing any individual employed by any person other than the primary employer in the course of his employment to refuse to pick up, deliver, or transport any goods, or not to perform any services, at the establishment of the employer engaged in such distribution” (29 USC § 158 [b] [4] [emphasis added]).

Critically, it is the proviso to section 8 (b) (4) of the Act protecting “*publicity*, other than picketing, for the purpose of truthfully advising the public [of a labor dispute]” (emphasis added) that protects handbilling and leafleting directed at non-parties to a labor dispute; the operative language of this proviso is “publicity . . . for the purpose of truthfully advising the public,” not the terms “handbilling” or “leafleting,” which are simply terms of art for activities covered by the proviso.³ Thus, it is clear that the NLRB’s determination that distributing leaflets, banging a drum, and wearing a King Kong costume constituted “protected handbilling or leafleting, and not . . . picketing or other coercive conduct” must be read to mean that all three activities (distributing leaflets, banging a drum, and wearing a King Kong costume) were actually protected under section 8 (b) (4) of the Act.

II.

Next, while the majority cites, in the alternative, a putative exception to absolute federal preemption for conduct implicating interests “deeply rooted in local feeling and responsibility” (*Garmon*, 359 US at 244), the Supreme Court has never applied this principle to conduct adjudged by the Board to be actually protected by the NLRA. Simply reading *Garmon* itself indicates why; here is the so-called “exception” placed in its proper context within the *Garmon* opinion:

“States [may have the] power to regulate . . . where the regulated conduct touched interests so deeply rooted in local feeling and responsibility that, *in the absence of compelling congressional direction*, we could not *infer* that Congress had deprived the States of the power to act.

“*When it is clear or may fairly be assumed that the activities which a State purports to regulate are protected by § 7 of the National Labor Relations Act, or constitute an unfair labor practice under § 8, due regard for the federal enactment requires that state*

3. The language of the NLRB’s determination in this case reveals the “publicity” basis for section 8 (b) (4) protection: after concluding that “[t]he evidence therefore establishes that the Union was engaged in protected handbilling or leafleting, and not in picketing or other coercive conduct,” the Board stated that “[t]he use of an ape costume did not constitute signal picketing, but was a permissible *device to draw attention to the Union’s handbilling activities*” (emphasis added).

jurisdiction must yield. To leave the States free to regulate conduct so plainly within the central aim of federal regulation involves too great a danger of conflict between power asserted by Congress and requirements imposed by state law. Nor has it mattered whether the States have acted through laws of broad general application rather than laws specifically directed towards the governance of industrial relations. Regardless of the mode adopted, to allow the States to control conduct which is the subject of national regulation would create potential frustration of national purposes” (*Garmon*, 359 US at 243-244 [footnotes and citations omitted; emphasis added]).

In short, where conduct is actually found to be protected by the NLRA, as is the case here, this constitutes “compelling congressional direction” and no “infer[ence]” is required to conclude that “Congress ha[s] deprived the States of the power to act.” Consequently, “state jurisdiction *must* yield.”

III.

Since the NLRB’s January 4, 2006 determination found the complained-of conduct (drumming) to be actually protected by the Act, appellants’ private nuisance action in state court has been preempted by the NLRA. As the *Sears* court pointed out, “there is a *constitutional* objection to state-court interference with conduct *actually protected* by the Act” (436 US at 199 [emphasis added]). Accordingly, I respectfully dissent.

Chief Judge KAYE and Judges SMITH and JONES concur with Judge PIGOTT; Judge READ dissents in a separate opinion in which Judge GRAFFEO concurs; Judge CIPARICK taking no part.

Order reversed, etc.

[900 NE2d 946, 872 NYS2d 395]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRYAN R. HAWKINS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUAN EDUARDO, Appellant.

Argued October 21, 2008 and October 23, 2008; decided November 25, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 8, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Francis A. Afronti, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree (two counts) and burglary in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 9, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edwin Torres, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

People v Hawkins, 48 AD3d 1279, affirmed.

People v Eduardo, 44 AD3d 371, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Court of Appeals

1. In order to preserve for review by the Court of Appeals a challenge to the legal sufficiency of a conviction, a defendant must move for a trial order of dismissal, and the argument must be specifically directed at the error being urged. General motions do not create questions of law for review by the Court of Appeals. A specific motion brings the claim to the trial court's attention, alerting all parties in a timely fashion to any alleged deficiency in the evidence, thereby advancing both the truth-seeking purpose of the trial and the goal of swift and final determination of guilt or nonguilt of a defendant.

Crimes — Appeal — Preservation of Issue for Review

2. Defendant's claim that the evidence was legally insufficient to support his conviction of depraved indifference murder was not preserved for review when his counsel objected that the People "failed to prove that [defendant] acted with Depraved Indifference Murder." Defendant's motion did little more than

argue that the People failed to prove the essential elements of depraved indifference murder. The objection could have been directed at either the reckless mens rea element, or the objective circumstances evincing a wanton, depraved indifference to human life, and did not alert the trial court to the argument being advanced on appeal.

Crimes — Appeal — Preservation of Issue for Review

3. In a prosecution arising out of the sale of cocaine to an undercover officer, defendant's claim that the evidence was legally insufficient to support his conviction of criminal sale of a controlled substance in the third degree was preserved for review by his motion for a trial order of dismissal, despite the fact that defendant's effort to specify his objection was frustrated by the trial judge. The trial judge was plainly aware of, and expressly decided, the question raised on appeal.

Crimes — Controlled Substances — Sufficiency of Evidence

4. In a prosecution arising out of the sale of cocaine to an undercover officer, defendant's conviction of criminal sale of a controlled substance in the third degree was supported by legally sufficient evidence. While defendant claimed that no one heard his conversation with his two codefendants, that he never handled money or drugs and that the police recovered neither drugs nor money from him, a rational trial factfinder could have inferred from the evidence that, based on the timing, defendant's conversation must have been about the drug sale, that defendant's looking around was for the purpose of detecting law enforcement and that, by leaving the scene with one of his codefendants, he shared that codefendant's intent to sell drugs. Thus the jury could have concluded beyond a reasonable doubt that defendant aided in the sale and shared a community of purpose with his codefendants to sell cocaine.

Crimes — Evidence — Chain of Custody

5. In the prosecution of defendant for murder and burglary, the People adequately established a chain of custody for blood evidence that was collected on a swab and placed in a box at the scene of the crime, left behind when the police departed and retrieved hours later by the police. Gaps in the chain of custody go to the weight of the evidence, not its admissibility, and may be excused when circumstances provide reasonable assurances of the identity and unchanged condition of the evidence. Here, the short time period between collecting and retrieving the lost sample from the victim's home, when combined with a lack of evidence of tampering, was sufficient to establish the necessary foundation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 619, 627, 786;
AM JUR 2d, Homicide §§ 45, 424, 429, 446, 447.
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172:3073, 172:4342–172:4344, 172:4358, 172:4493.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.
NY JUR 2d, Criminal Law: Procedure §§ 2163, 2164, 2857,
2864–2866, 3454–3458, 3462, 3472, 3637, 3638, 3642,
3644.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Chain of Custody; Homicide.

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POINTS OF COUNSEL

Richard W. Youngman, Conflict Defender, Rochester (Kimberly Czapranski and R. Adrian Solomon of counsel), for appellant in the first above-entitled action. I. Evidence that the victim suffered at least six hammer blows to the head with enough force to fracture his skull “like a hard boiled egg that you crack” established an intentional murder and no other crime. (*People v Payne*, 3 NY3d 266; *People v Lawhorn*, 21 AD3d 1289; *People v Gonzalez*, 1 NY3d 464; *People v Hafeez*, 100 NY2d 253; *People v Gray*, 86 NY2d 10; *People v Danielson*, 40 AD3d 174.) II. The chain of custody for blood swab “G” was broken when the police left the swab behind a filing cabinet at the crime scene for over four hours. The investigator’s testimony did not provide reasonable assurances of the identity and unchanged condition of the swab. (*Amaro v City of New York*, 40 NY2d 30; *People v McGee*, 49 NY2d 48; *Durham v Melly*, 14 AD2d 389; *People v Felder*, 178 AD2d 936; *Mitulinski v Mitulinski*, 17 AD2d 238; *People v Brown*, 115 AD2d 610.) III. The trial court’s *Sandoval* ruling that allowed the prosecution to specifically identify two of Mr. Hawkins’s prior convictions as burglaries was an abuse of discretion. (*People v Sandoval*, 34 NY2d 371; *People v Dickman*, 42 NY2d 294; *People v Syposs*, 122 AD2d 600; *People v Cooke*, 101 AD2d 983; *People v Wood*, 94 AD2d 814; *People v Hicks*, 88 AD2d 519.) IV. The aggregate indeterminate 50 years to life sentence is harsh and excessive and should be reduced. (*People v Delgado*, 80 NY2d 780; *People v Prather*, 249 AD2d 954; *People v Galvin*, 249 AD2d 946; *People v Donhauser*, 255 AD2d 933; *People v Santiago*, 269 AD2d 770; *People v Thompson*, 60 NY2d 513.)

Michael C. Green, District Attorney, Rochester (Kelly Christine Wolford of counsel), for respondent in the first above-entitled action. I. Defendant’s claim that his conviction for depraved indifference murder was based upon legally insufficient evidence is unpreserved for appellate review and therefore beyond

the review power of the Court of Appeals. (*People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v Lawhorn*, 21 AD3d 1289; *People v James*, 75 NY2d 874; *People v Cochran*, 302 AD2d 276; *People v Gonzalez*, 1 NY3d 464; *People v Feingold*, 7 NY3d 288; *People v Register*, 60 NY2d 270; *Policano v Herbert*, 7 NY3d 588; *People v Payne*, 3 NY3d 266.) II. Defendant's conviction for depraved indifference murder was supported by legally sufficient evidence. (*People v Sala*, 95 NY2d 254; *People v Dekle*, 56 NY2d 835; *People v James*, 75 NY2d 874; *People v Register*, 60 NY2d 270; *People v Sanchez*, 98 NY2d 373; *Policano v Herbert*, 7 NY3d 588; *People v Hafeez*, 100 NY2d 253; *People v Suarez*, 6 NY3d 202; *People v Russell*, 91 NY2d 280; *People v Payne*, 3 NY3d 266.) III. The trial court properly found that the People established a sufficient chain of custody to permit the admission of a blood swab into evidence. (*People v Julian*, 41 NY2d 340; *People v Flanigan*, 174 NY 356.) IV. Defendant's claim that the trial court's *Sandoval* ruling was an abuse of discretion is unpreserved for appellate review and is otherwise without merit. (*People v Walker*, 83 NY2d 455; *People v Robles*, 38 AD3d 1294; *People v Alston*, 27 AD3d 1141; *People v Lebron*, 249 AD2d 147; *People v Moreno*, 278 AD2d 434; *People v Gray*, 86 NY2d 10; *People v Combo*, 291 AD2d 887; *People v Hayes*, 97 NY2d 203; *People v Sandoval*, 34 NY2d 371; *People v Mattiace*, 77 NY2d 269.) V. Defendant's claim that his sentence is unduly harsh or severe is not reviewable by this Court. (*People v Thompson*, 60 NY2d 513; *People v Rytel*, 284 NY 242; *People v Potkowski*, 298 NY 299.)

Gregory C. Osakwe, Hartford, Connecticut, for appellant in the second above-entitled action. I. The intermediate appellate court erred in its ruling that Mr. Eduardo's "challenge to the sufficiency of the evidence and all of his constitutional claims are unpreserved. (*People v Carter*, 40 AD3d 1310, 9 NY3d 873; *People v Gray*, 86 NY2d 10; *People v Riddick*, 34 AD3d 923, 9 NY3d 868; *People v Thompson*, 3 AD3d 511, 2 NY3d 747; *People v Bynum*, 70 NY2d 858; *People v Payne*, 3 NY3d 266; *People v Kirkpatrick*, 32 NY2d 17; *People v Hines*, 97 NY2d 56; *Boykin v Alabama*, 395 US 238; *Griswold v Connecticut*, 381 US 479.) II. The intermediate appellate court's finding that Mr. Eduardo's "entire course of conduct and interactions with his codefendants supported the conclusion that he was a participant in a drug operation, and that he assisted the others by acting as a lookout" is at variance with *People v Bello* (92 NY2d 523 [1998]). (*People v Danielson*, 9 NY3d 342; *People v Crum*, 272 NY 348; *Tibbs v Florida*, 457 US 31; *People v Noble*, 86 NY2d 814; *People*

v Acosta, 80 NY2d 665; *People v Steinberg*, 79 NY2d 673; *Matter of Kadeem W.*, 5 NY3d 864; *People v Mills*, 1 NY3d 269; *People v Mayo*, 36 NY2d 1002; *People v Kaplan*, 76 NY2d 140.)

Robert M. Morgenthau, District Attorney, New York City (*Patricia Curran* and *Susan Gliner* of counsel), for respondent in the second above-entitled action. The Appellate Division's findings that the verdict was supported by legally sufficient evidence and was not against the weight of the evidence should remain undisturbed. (*People v Gray*, 86 NY2d 10; *People v Cona*, 49 NY2d 26; *People v Bynum*, 70 NY2d 858; *People v Stahl*, 53 NY2d 1048; *People v Acosta*, 80 NY2d 665; *People v Tejada*, 73 NY2d 958; *People v Contes*, 60 NY2d 620; *People v Allah*, 71 NY2d 830; *People v Kennedy*, 47 NY2d 196; *People v Montanez*, 41 NY2d 53.)

OPINION OF THE COURT

Chief Judge KAYE.

The issue common to these otherwise unrelated criminal appeals is the preservation for this Court's review of defendants' challenge to the legal sufficiency of the evidence.

People v Hawkins

On November 27, 2002, at approximately 2:00 P.M., Thomas Gallina called 911 and reported that someone with a hammer was breaking into his home. The operator heard Gallina yell for the intruder to leave and to let go, and then could hear only Gallina's moaning. When the police arrived shortly thereafter, they found Gallina, alone, on the kitchen floor in a pool of blood with several gruesome head injuries that later resulted in his death.

The police saw tire tracks on the driveway and footprints near various entrances to Gallina's house, which they later learned were defendant's. Meanwhile, from a doorway in the house a police investigator collected blood evidence on a swab, "G," placed it in a box marked "G," and set it on top of a filing cabinet in the study; police later learned it was defendant's blood. When the police left the house, the only people remaining there were family members, who cleaned up the broken glass, boarded up a broken window and locked the doors. None of them approached the filing cabinet where the swab was located.

Hours later, the police realized they were missing swab "G" and returned to the house, but it was locked. After obtaining a

key from Gallina's sister and entering the house, an investigator found box "G" behind the filing cabinet, between the cabinet and the wall, took it back with him to the police station and sealed the evidence. At trial, the investigator testified that the box he retrieved had not been opened because, had it been, the box would have been creased or "dog-eared." The swab was inside the box and appeared unchanged.

A grand jury indicted defendant for depraved indifference murder, felony murder and burglary in the second degree. At the close of trial, defendant moved for an order of dismissal as follows:

"I respectfully submit that the People have failed to prove a prima facie case of Depraved Indifference Murder. Not only have they failed to prove a prima facie case that my client Bryan Hawkins was the perpetrator of the homicide . . . but they failed to prove that Mr. Hawkins acted with Depraved Indifference Murder in that matter."

After the trial court denied the motion, the jury convicted defendant of all three charged counts. The Appellate Division affirmed, 3-2, concluding that defendant's legal sufficiency claim was unpreserved and that the People had proved a chain of custody for the blood evidence (48 AD3d 1279 [2008]). One of the dissenting Justices granted leave to appeal, and we affirm.

People v Eduardo

At 5:00 P.M. on April 13, 2005, Detectives Molina and Lansing, Sergeant Goggin, Undercover Officer 7567 and several other officers conducted a buy-and-bust operation in Manhattan. While driving around in an unmarked car, Molina and the undercover officer saw Adam Sanchez sell marihuana to an unidentified buyer on the sidewalk near where they were parked.

After the buyer walked away, the undercover exited the car. Sanchez called out "Weed." The undercover approached Sanchez asking "What do you have? Dimes?" Sanchez confirmed that he had "dimes," and the undercover requested two bags. Sanchez gave the undercover two bags of marihuana in exchange for \$20 prerecorded buy money. When the undercover asked whether Sanchez was also selling cocaine, he said, "[G]ive me a few minutes." Sanchez then approached defendant and Freddy Perez, who were standing a few feet away, near a bodega. The undercover pretended to converse with Molina, who observed Sanchez, Perez and defendant talking to one another;

Perez walked west, while Sanchez and defendant stayed near the bodega.

During the brief time Perez was out of sight, Molina testified that defendant looked “westbound . . . eastbound . . . north and south.” Perez then returned to the corner, where defendant stood, and placed a small object in the coin slot of a public telephone. Perez spoke to defendant and gestured to Sanchez. Sanchez then removed the object from the coin slot as defendant watched, “looking north and southbound.” Sanchez gave Perez money, walked up to the undercover and handed her a clear bag containing cocaine, and the undercover gave Sanchez \$30 in prerecorded buy money. During the cocaine transaction, defendant and Perez waited at the corner for a short time, then the two entered a double-parked van and drove away. Police pulled the van over, arrested defendant and Perez, and separately arrested Sanchez, who had \$30 in prerecorded buy money and some marihuana. Laboratory tests proved that the purchase was cocaine.

A grand jury indicted all three defendants for criminal sale of a controlled substance in the third degree. At the close of the People’s case at trial, defendant moved for a trial order of dismissal:

“THE COURT: All right. So you move for a trial order of dismissal on the grounds that the people have failed to make out a prima facie case which is denied.

“[COUNSEL]: Yes.

“THE COURT: The defense rests. You move on the entire case beyond a reasonable doubt?

“[COUNSEL]: Yes. . . .

“[COUNSEL]: Just with respect to the failure of the people to make out a prima facie case, I know your Honor denied the motion. Just for the record essentially this case came down to an officer allegedly observing three people speaking on the street for a few minutes; then the defendant looking up and down the block. That hardly—

“THE COURT: And then taking off with the guys in the car.

“[COUNSEL]: Going with one of them in the car.

“THE COURT: The totality of the picture goes past prima facie. What do look-outs do? They look around. They swirl their necks in and out. They were talking. The three of them obviously are thick. They’re together. He takes off with the guy in the—no, that’s it. More than enough.”

The jury convicted defendant of criminal sale of a controlled substance in the third degree. On defendant’s appeal, the Appellate Division affirmed, holding that defendant’s challenge to the sufficiency of the evidence and constitutional claims were unpreserved, and in any event lacked merit (44 AD3d 371 [2007]). A Judge of this Court granted defendant leave to appeal (10 NY3d 764 [2008]), and we affirm.

Analysis

Preservation—or, more precisely, the lack of preservation—frequently accounts for the disposition of criminal cases in this Court. The issue, therefore, again merits some elaboration, not only to explain the result in the appeals before us but also in the interest of encouraging that a proper record be made in the first instance.

Analysis begins with the State Constitution’s general limitation of the jurisdiction of the Court of Appeals to questions of law (NY Const, art VI, § 3; *see People v Belge*, 41 NY2d 60, 62 [1976]).¹ Among the kinds of determinations of reversal or modification deemed to be upon the law, the Criminal Procedure Law provides that “evidence adduced at a trial resulting in a judgment was not legally sufficient to establish the defendant’s guilt of an offense of which he was convicted” (CPL 470.15 [4] [b]).

The Criminal Procedure Law further provides that a question of law arises in a criminal proceeding when

“a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same.

1. Exceptions include death penalty appeals and determinations of the Judicial Conduct Commission, where the Court of Appeals has factual review powers (NY Const, art VI, § 3 [a]; § 22 [d]; *see also* Karger, Powers of the New York Court of Appeals § 1:3, at 10 [3d ed rev]). By contrast to the Court of Appeals, intermediate appellate courts have factual review powers and interest of justice jurisdiction in criminal proceedings (CPL 470.15 [1], [6]).

Such protest need not be in the form of an ‘exception’ but is sufficient if the party made his position with respect to the ruling or instruction known to the court, or if in re[s]ponse to a protest by a party, the court expressly decided the question raised on appeal” (CPL 470.05 [2]).

[1] To preserve for this Court’s review a challenge to the legal sufficiency of a conviction, a defendant must move for a trial order of dismissal, and the argument must be “specifically directed” at the error being urged (*People v Gray*, 86 NY2d 10, 19 [1995]; *People v Hines*, 97 NY2d 56, 62 [2001]). As we have repeatedly made clear—and underscore again—general motions simply do not create questions of law for this Court’s review (see *People v Finger*, 95 NY2d 894, 895 [2000]; *People v Bynum*, 70 NY2d 858, 859 [1987]; *People v Stahl*, 53 NY2d 1048 [1981]; *People v Cona*, 49 NY2d 26, 33 n 2 [1979]).²

Sound reasons underlie this preservation requirement. As we stated in *Gray*, a specific motion brings the claim to the trial court’s attention, alerting all parties in a timely fashion to any alleged deficiency in the evidence, thereby advancing both the truth-seeking purpose of the trial and the goal of swift and final determination of guilt or nonguilt of a defendant (86 NY2d at 20-21). A defendant’s motion for a trial order of dismissal that specifies the alleged infirmity helps to assure that legally insufficient charges will not be submitted for the jury’s consideration, and serves the overall interest in an efficient, effective justice system.

Viewing the preservation requirement in the context of the individual trial, it is defense counsel who is charged with the single-minded, zealous representation of the client and thus, of all the trial participants, it is defense counsel who best knows the argument to be advanced on the client’s behalf. Viewing the

2. By contrast, a defendant does not have to specifically object to errors that affect the mode of trial proceedings. As we explained in *Gray*, a mode of proceedings issue

“goes to the general and over-all *procedure* of the trial, forbidding alteration of mandated procedural, structural, and process-oriented standards. The examples [of mode of proceedings errors]—changing of the burden of proof, . . . deviation from State constitutionally mandated requirements for an indictment—show that the claimed errors [of legal insufficiency] should not fall within that exception” (86 NY2d at 21-22).

Legal sufficiency errors affect the substance, not the mode of proceedings, of the trial.

preservation requirement systemically, intermediate appellate court review is potentially comprehensive, including not only law questions but also fact issues and the interest of justice. This Court's second level of review—"to authoritatively declare and settle the law uniformly throughout the state"³—is best accomplished when the Court determines legal issues of statewide significance that have first been considered by both the trial and the intermediate appellate court.

[2] Applying these principles to the facts before us, when Hawkins' counsel objected that the People "failed to prove that Mr. Hawkins acted with Depraved Indifference Murder," that motion did little more than argue that the People failed to prove the essential elements of depraved indifference murder. The objection could have been directed at either the reckless mens rea element, or the objective circumstances evincing a wanton, depraved indifference to human life, and did not alert the trial court to the argument now being advanced: that defendant acted intentionally, not recklessly, in killing the victim. Defendant did not preserve that legal question for our review.

[3, 4] *People v Eduardo* presents a different scenario. While defendant Eduardo raised no constitutional claims at trial, his legal sufficiency claim is in fact preserved, as the People now acknowledge. Defendant's effort to specify his objection was frustrated by the trial judge, who plainly was aware of, and expressly decided, the question raised on appeal (CPL 470.05; *People v Prado*, 4 NY3d 725, 726 [2004]). The preserved issue, however, lacks merit. While defendant argues that the conviction is legally insufficient because no one heard his conversation with Perez and Sanchez, he never handled money or drugs, and the police recovered neither drugs nor money from him, in evaluating the sufficiency of his conviction, we must view the evidence in a light most favorable to the People. Accordingly, a rational factfinder could have inferred from the evidence that, based on the timing, defendant's conversation must have been about the drug sale, defendant's looking around was for the purpose of detecting law enforcement, and that, by leaving the scene with Perez, defendant shared Perez's intent to sell drugs. Thus, the jury could have concluded beyond a reasonable doubt that defendant aided in the sale and shared a community of purpose with his codefendants to sell cocaine.

3. *Reed v McCord*, 160 NY 330, 335 (1899), quoted in Cardozo, Jurisdiction of the Court of Appeals of the State of New York, at 11 (2d ed 1909).

[5] As for the remaining issues, Hawkins' claim that the People failed to establish the chain of custody for the blood swab is likewise meritless. Gaps in the chain of custody may be excused when circumstances provide reasonable assurances of the identity and unchanged condition of the evidence (*People v Julian*, 41 NY2d 340, 343 [1977]). Such gaps go to the weight of the evidence, not its admissibility. Here, the short time period between collecting and retrieving the lost sample from the home, when combined with a lack of evidence of tampering, was sufficient to establish the necessary foundation. Finally, defendant's *Sandoval* objection is unpreserved, as defendant made no objection to the court's ruling.

Similarly, Eduardo's contention that the Appellate Division did not correctly perform a weight of the evidence review is without merit.

Accordingly, the orders of the Appellate Division in *People v Hawkins* and *People v Eduardo* should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In each case: Order affirmed.

[901 NE2d 737, 873 NYS2d 244]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DWIGHT
GILES, Appellant.

Argued October 23, 2008; decided December 2, 2008

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 20, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles H. Solomon, J.), which had convicted defendant, upon a jury verdict, of attempted burglary in the second degree, attempted burglary in the third degree, criminal possession of stolen property in the fourth degree (two counts) and possession of burglar's tools.

People v Giles, 47 AD3d 88, modified.

HEADNOTE

Crimes — Proof of Other Crimes — Evidence of Uncharged Burglaries to Demonstrate Defendant's Knowing Possession of Stolen Property — Necessity of Limiting Instruction

In the prosecution of defendant for attempted burglary, possession of burglar's tools, and criminal possession of stolen property after the police officers who had observed defendant standing in an office doorway and poking at the lock with a pocketknife apprehended him and recovered certain items that had been stolen during prior burglaries for which defendant was never charged, Supreme Court erred by allowing the People to introduce detailed evidence regarding the uncharged burglaries without issuing a limiting instruction to cure the potential prejudicial effect of that evidence on the attempted burglary and possession of burglar's tools counts. Supreme Court should have advised the jury that it could consider the evidence for the possession of stolen property counts, but that it could not consider the prior burglaries with respect to the attempted burglary and possession of burglar's tools counts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 414, 447, 449; AM JUR 2d, Trial § 1083.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3004, 172:3005, 172:3010, 172:3011, 172:3713.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8.

NY JUR 2d, Criminal Law: Procedure §§ 2026, 2027, 2030, 2033, 2729.

ANNOTATION REFERENCE

See ALR Index under Burglary; Criminal Procedure Rules; Evidence; Instructions to Jury.

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Database: NY-ORCS

Query: limiting /2 instruction /s uncharged & burglary

POINTS OF COUNSEL

Susanna De La Pava, New York City, for appellant. I. The trial court erred in permitting evidence of two highly prejudicial and irrelevant burglaries without proper limiting instructions. (*People v Molineux*, 168 NY 264; *People v Cook*, 42 NY2d 204; *People v Allweiss*, 48 NY2d 40; *People v Alvino*, 71 NY2d 233; *People v Vails*, 43 NY2d 364; *People v Till*, 87 NY2d 835.) II. Appellant's sentence of 20 years to life in prison was derived from New York's unconstitutional discretionary persistent felony statute. (*People v Leon*, 10 NY3d 122; *People v Rawlins*, 10 NY3d 136; *Apprendi v New Jersey*, 530 US 466; *People v Rivera*, 5 NY3d 61; *People v Rosen*, 96 NY2d 329; *Harris v United States*, 536 US 545; *Ring v Arizona*, 536 US 584; *United States v Cotton*, 535 US 625; *Sattazahn v Pennsylvania*, 537 US 101; *Blakely v Washington*, 542 US 296.)

Robert M. Morgenthau, District Attorney, New York City (*Frank Glaser* and *Sylvia Wertheimer* of counsel), for respondent. I. The court properly admitted evidence of the uncharged burglaries. (*People v Molineux*, 168 NY 264; *People v Thomas*, 51 NY2d 466; *People v Harris*, 98 NY2d 452; *People v Tonge*, 93 NY2d 838; *People v Russell*, 71 NY2d 1016; *People v Hutchinson*, 56 NY2d 868; *People v Mateo*, 2 NY3d 383; *People v Alvino*, 71 NY2d 233; *Matter of Codey [Capital Cities, Am. Broadcasting Corp.]*, 82 NY2d 521.) II. New York's discretionary persistent felony offender statutes are not unconstitutional. (*Apprendi v New Jersey*, 530 US 466; *People v Rosen*, 96 NY2d 329; *United States v Booker*, 543 US 220; *People v Rivera*, 5 NY3d 61; *People v Rawlins*, 10 NY3d 136; *Cunningham v California*, 549 US 270.)

OPINION OF THE COURT

CIPARICK, J.

On November 7, 2001, at approximately 1:00 A.M., two New York City police officers patrolling in a marked car in the Upper

West Side of Manhattan observed defendant Dwight Giles standing in a doorway of a medical office “poking” at the lock with a pocketknife. When the officers confronted defendant, he fled and was apprehended after a brief chase. In response to an officer’s question as to what he was doing at the door, the record indicates that defendant said, “what door?” After a search of defendant’s person, the police recovered a folding knife, a wallet, a Visa card bearing the name of Frank Ballabio, a MetroCard and some other items. Inspection of the door and lock revealed fresh scratch marks.

It appears that the Visa card found on defendant had been stolen from Ballabio’s home a week prior to defendant’s arrest and the MetroCard had been purchased with an ATM debit MasterCard that belonged to an individual named Uri Kaufman. The ATM debit card had been stolen from Kaufman’s home during a burglary that occurred approximately six days prior to defendant’s arrest. Defendant was never charged with committing either burglary.

Prior to trial, the defense submitted a written motion seeking to preclude the People from introducing detailed testimony by the victims of the two home burglaries. The defense argued that:

“[i]f the jury were to hear that these cards were each stolen during a burglary, which is the same charge as the top count here, and to hear details of these burglaries—such as the ransacked apartment Mr. Ballabio came home to find, and how Ms. Kaufman awoke in the middle of the night to surprise a man in the act of committing the burglary—‘the court’s limiting instruction to the jury could not cure the prejudicial effect of the objectionable testimony’.”

The People argued that the evidence of the uncharged burglaries was necessary in order to prove the criminal possession of stolen property charges as the prosecution was required to establish that defendant possessed the Visa card and the MetroCard knowingly and with knowledge that they were stolen or purchased with a stolen card. Although defendant offered to stipulate that the two cards had been stolen, he never offered to stipulate that he knew they were stolen, and on that basis, the People refused to enter into the stipulation. Moreover, the People argued that defendant’s possession of the stolen cards was relevant to prove an element of the attempted burglary—

that defendant intended to steal property upon gaining entry into the doctor's office.

Supreme Court allowed the People to introduce detailed testimony regarding the uncharged burglaries and further provided the following limiting instruction, without telling the jury for what purpose the evidence had been admitted or how it should evaluate it:

“defendant is not charged with either of these two burglaries and there is no evidence that he committed these burglaries. The defendant is also not charged with stealing those cards and there is no evidence that he is the person who stole them and you are not to assume that he committed either of these two burglaries and that's the instruction I am going to ask you to follow.”

The court later advised the jury that

“you have heard evidence in this case that a credit card belonging to . . . Ballabio and ATM credit card belonging to . . . Kaufman were stolen from each of their homes. The Defendant is not charged with either of these two burglaries and there is no evidence that he committed them.

“The Defendant is also not charged with stealing those cards. There is no evidence that he is the individual who stole them. You are not to assume that he committed either of these burglaries or that he stole either of these two cards.”*

Defendant was convicted of attempted burglary in the second (Penal Law §§ 110.00, 140.25 [2]) and third degrees (Penal Law §§ 110.00, 140.20), two counts of criminal possession of stolen property in the fourth degree (Penal Law § 165.45 [2]) and possession of burglar's tools (Penal Law § 140.35). He was sentenced as a persistent felony offender to concurrent, indeterminate prison terms of 20 years to life imprisonment for each of the four felonies, and a definite, one-year term for possession of burglar's tools. Defendant appealed and, with two Justices dissenting, the Appellate Division affirmed (47 AD3d 88 [2007]).

Applying *People v Molineux* (168 NY 264 [1901]), the Appellate Division held that Supreme Court properly admitted evi-

* Defense counsel requested that a limiting instruction be given contemporaneously with the witnesses' testimony, and further requested a specific charge that the evidence be admitted solely on the question of the element of “stolen” as to the two criminal possession counts. Both requests were refused.

dence of the uncharged burglaries for both the issue of defendant's knowing possession of the stolen cards and his state of mind while attempting to burglarize the medical office. The dissenters stated that the contested evidence was neither relevant in determining whether defendant, when arrested, knew he was carrying stolen property nor whether he was intent on committing a burglary, and concluded that the evidence was unduly prejudicial. Defendant appeals pursuant to leave granted by a Justice of the Appellate Division. We now modify the order of the Appellate Division by reversing the convictions of attempted burglary in the second and third degrees and possession of burglar's tools, and remitting to Supreme Court for a new trial on these counts only.

We begin with the proposition that relevant evidence is admissible unless its admission violates some exclusionary rule. "Evidence is relevant if it has any tendency in reason to prove the existence of any material fact, i.e., it makes determination of the action more probable or less probable than it would be without the evidence" (*People v Scarola*, 71 NY2d 769, 777 [1988]). Although evidence of similar uncharged crimes may have some probative value, such evidence may not be offered to show a defendant's bad character or propensity toward committing crime (*People v Lewis*, 69 NY2d 321, 325 [1987]; *People v Alvino*, 71 NY2d 233, 241 [1987]; *People v Johnson*, 47 NY2d 785, 786 [1979]).

In *People v Molineux* (168 NY 264 [1901]), we established exceptions to the general rule by allowing evidence of uncharged crimes to be admitted if it helps to establish some element of the crime under consideration or is relevant in order to show, for example, a defendant's intent, motive, knowledge, common scheme or plan, or identity. However, when "evidence is actually of slight value when compared to the possible prejudice to the accused, it should not be admitted, even though it might technically relate to some fact to be proven" (*People v Allweiss*, 48 NY2d 40, 47 [1979]).

Here the People asserted that evidence of the uncharged burglaries was admissible to prove defendant's mens rea with respect to the stolen property charges. They argued that defendant's knowing possession of stolen property could then be used to show that, when defendant was observed attempting to enter the doctors' offices, he was presumably doing so with the intent to commit the crime of theft therein. There was no evidence, however, that defendant committed the prior burglaries,

and if the evidence as to the uncharged burglaries “has no bearing other than to show that defendant is of a criminal bent or character and thus likely to have committed the crime charged, it is excluded” (*People v Dales*, 309 NY 97, 101 [1955]).

We therefore conclude that Supreme Court erred by failing to issue a limiting instruction to cure the potential prejudicial effect of the evidence regarding the uncharged burglaries on the attempted burglary and possession of burglar’s tools counts. Supreme Court should have advised the jury that it could consider the evidence for the possession of stolen property counts, but that it could not consider the prior burglaries with respect to the attempted burglary and possession of burglar’s tools counts.

Defendant further argues that his sentence of 20 years to life is unconstitutional and violates his 6th and 14th Amendment rights. Since this matter is being remitted to Supreme Court for a retrial on the charges of attempted burglary in the second and third degrees and possession of burglar’s tools, we need not at this time reach the issue whether the imposition of a persistent felony offender sentence unconstitutionally enhances defendant’s sentence (*see Apprendi v New Jersey*, 530 US 466 [2000]; *People v Rivera*, 5 NY3d 61 [2005]). Supreme Court may, however, in the exercise of its discretion, consider resentencing as to the two remaining counts of criminal possession of stolen property in the fourth degree.

Accordingly, the order of the Appellate Division should be modified by remitting to Supreme Court for a new trial on the counts of attempted burglary in the second and third degrees and possession of burglar’s tools, and for resentencing as to the two counts of criminal possession of stolen property in the fourth degree, and as so modified, affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified by remitting to Supreme Court, New York County, for a new trial on the counts of the indictment charging attempted burglary in the second and third degrees and possession of burglar’s tools and for resentencing on defendant’s conviction of two counts of criminal possession of stolen property in the fourth degree and, as so modified, affirmed.

[900 NE2d 952, 872 NYS2d 401]

In the Matter of ENRIQUE RIVERA, Respondent, v NEIL JON FIRETOG, a Justice of the Supreme Court, Kings County, Respondent, and CHARLES J. HYNES, District Attorney, Kings County, Appellant.

Argued October 22, 2008; decided December 2, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 23, 2007 in a proceeding pursuant to CPLR article 78. The Appellate Division granted the petition, on the law, and prohibited respondents from retrying petitioner in the criminal action entitled *People v Rivera*, pending under Kings County indictment No. 1453/05.

Matter of Rivera v Firetog, 44 AD3d 957, reversed.

HEADNOTE

Crimes — Double Jeopardy

Retrial of petitioner for murder was not precluded by double jeopardy principles where petitioner's trial on charges of murder and lesser included manslaughter offenses ended with a mistrial based on jury deadlock. The trial judge did not abuse his discretion when he declared a mistrial without first asking the jury whether it had reached a partial verdict, as requested by defense counsel. The jury's deliberations—lasting nearly six days—exceeded the duration of the trial itself. During this period, the jury informed the court on three occasions that it could not reach a unanimous verdict. There was no clear indication that the jury had reached a partial verdict, and the jury requested reinstruction on all three charges on three separate occasions. The court appropriately explored alternatives to a mistrial by, among other things, directing the jury to continue deliberating and giving the jury an *Allen* charge. Under the circumstances, and reasoning that further deliberations would be futile or could lead to a coerced verdict, the trial court reasonably determined that there was a manifest necessity to declare a mistrial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 329, 330, 352, 353; AM JUR 2d, Trial § 1220.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1960, 172:1961, 172:1996, 172:2002, 172:3632, 172:3781, 172:3782.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 25.2.

NY JUR 2d, Criminal Law: Procedure §§ 1982, 2826, 2831, 2849.

ANNOTATION REFERENCE

Former jeopardy as bar to retrial of criminal defendant after original trial court's sua sponte declaration of a mistrial—state cases. 40 ALR4th 741.

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Database: NY-ORCS

Query: double /2 jeopardy /p jury /2 deadlock /6 mistrial

POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Victor Barall and Leonard Joblove of counsel), for appellant. The trial court did not abuse its discretion in declaring a mistrial, where the court reasonably concluded that the jury was genuinely deadlocked and that asking the jury whether it had reached a partial verdict might be coercive. (*People v Baptiste*, 72 NY2d 356; *Hall v Potoker*, 49 NY2d 501; *Matter of Plummer v Rothwax*, 63 NY2d 243; *United States v DiLapi*, 651 F2d 140; *Green v United States*, 355 US 184; *People v Latham*, 83 NY2d 233; *People v P.J. Video*, 68 NY2d 296, 479 US 1091; *North Carolina v Pearce*, 395 US 711; *Arizona v Washington*, 434 US 497; *Wade v Hunter*, 336 US 684.)

Joel K. Dranove, New York City, for respondent. I. This appeal should be dismissed, since the Appellate Division did not expressly or impliedly find new facts, appellant has not raised a substantial question of abuse as a matter of law, and the result reached is not so outrageous as to shock the conscience. (*Matter of Enright v Siedlecki*, 59 NY2d 195; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *Matter of Von Bulow*, 63 NY2d 221.) II. In light of the evidence that the jury had reached a verdict on the murder count, and defense counsel's repeated requests for an inquiry as to a partial verdict, the trial court's declaration of a mistrial on that count without any inquiry into the alternative of taking a partial verdict was an improvident exercise of discretion and was not manifestly necessary. (*People v Baptiste*, 72 NY2d 356; *Matter of Rubinfeld v Appelman*, 230 AD2d 911; *Matter of Zeigler v Morgenthau*, 99 AD2d 989, 64 NY2d 932; *People v Michael*, 48 NY2d 1; *Matter of Robles v Bamberger*, 219 AD2d 243; *People v Hymes*, 208 AD2d 355.)

Fahringer & Dubno, New York City (Herald Price Fahringer and Erica T. Dubno of counsel), for New York State Association of Criminal Defense Lawyers, amicus curiae. Where there is ev-

idence that the jurors may have reached a partial verdict, the jurors should be polled before a mistrial, which exposes defendant to double jeopardy, is declared. (*Matter of Davis v Brown*, 87 NY2d 626; *United States v DiFrancesco*, 449 US 117; *People v Baptiste*, 72 NY2d 356; *United States v Dolah*, 245 F3d 98; *Crawford v Washington*, 541 US 36; *United States v DiLapi*, 651 F2d 140; *Duncan v Louisiana*, 391 US 145.)

OPINION OF THE COURT

GRAFFEO, J.

In this CPLR article 78 proceeding, petitioner seeks to bar respondents from retrying him for murder on double jeopardy grounds. Petitioner was previously charged with murder and lesser included manslaughter offenses but his trial on those charges ended with a mistrial based on jury deadlock. The issue here is whether the trial judge abused his discretion when he declared a mistrial without first asking the jury whether it had reached a partial verdict, as requested by defense counsel. Under the circumstances of this case, we hold the trial court did not abuse its discretion and petitioner's reprosecution for murder is not precluded by double jeopardy principles.

Facts and Procedural History

Petitioner Enrique Rivera was indicted for murder in the second degree (Penal Law § 125.25 [1]) and criminal possession of a weapon in the fourth degree (Penal Law § 265.01 [2]) arising from a barroom confrontation that resulted in a stabbing death. After a five-day trial in Supreme Court, the trial judge submitted to the jury the second-degree murder count as well as the lesser included offenses of manslaughter in the first degree (intentional manslaughter—Penal Law § 125.20 [1]) and manslaughter in the second degree (reckless manslaughter—Penal Law § 125.15 [1]).¹ In accordance with *People v Helliger* (96 NY2d 462 [2001]), the court instructed the jury to consider the first-degree manslaughter count only if it first acquitted Rivera of the murder count and to consider the second-degree manslaughter count only if it found Rivera not guilty of first-degree manslaughter.

During the second day of deliberations, the jury returned a note indicating it could not reach a unanimous verdict and that it was split on Rivera's guilt. The note did not indicate the

1. The court dismissed the weapon count during trial.

count on which the jury disagreed. The court asked the prosecutor and defense counsel whether it should ask about the possibility of a partial verdict, but both sides rejected the offer. Instead, the judge instructed the jury to continue deliberating.²

The following day, in response to a jury question, the trial judge reinstructed the jury on all three counts. Later that day, the jury issued another note seeking clarification of the terms “bodily harm” and “reckless action.” Interpreting the note to refer to the two manslaughter counts, the court again read its instructions on those two counts to the jury, with a reminder that the jurors must consider the second-degree manslaughter charge only if they first found Rivera not guilty of first-degree manslaughter. After a brief period of deliberations, the jury sent a second deadlock note. With the consent of the parties, the trial judge gave the jury an *Allen* charge (see *Allen v United States*, 164 US 492 [1896]).

On the fourth day of deliberations, the court complied with the jury’s request to provide it with a written copy of all three charges. The jury later returned a note advising that one of the jurors had air travel plans that evening. After discussions with counsel, the court suggested that a question be posed to the jury regarding whether it had reached a verdict on any of the counts. The prosecutor objected, asserting that the jury had given no indication that it had reached a verdict on any of the three counts. Defense counsel countered that there was some indication the jury had progressed past the first count and requested the court to inquire about the possibility of a partial verdict. The judge agreed that there was an inference that the jury may have moved past the top count, but noted that the jury never declared that it had reached a partial verdict. The judge decided not to ask about a partial verdict and the case was adjourned for the weekend.

Deliberations resumed on Monday morning, at which time the jury requested a copy of the “explanation of criteria” for all three charges. The court supplied the requested information. In the afternoon of the sixth day of deliberations, the jury asked again for further clarification regarding all three charges and the court complied. The jury subsequently submitted a third

2. We disagree with the dissent’s inference that the trial court discouraged the jury from returning a partial verdict. Although the trial judge informed the jury that it need not “put a tally on the note” in response to the split vote, he did not suggest that the jurors could not reach a unanimous verdict on any of the counts.

deadlock note, stating that “after five and a half days of much discussion and review of the court exhibits and reading of the court testimonies, opinions remain unchanged and we cannot come to a unanimous decision.” The prosecutor moved for a mistrial and defense counsel requested an inquiry into the possibility of a partial verdict in view of the “extraordinar[y] amount of time” that the jury had deliberated. In response, the prosecutor asserted that there was no suggestion that the jury had reached a partial verdict because it had repeatedly asked for a copy of all three counts.

The trial court declared a mistrial, declining to ask the jury if it had reached a partial verdict. The court observed that it had no duty to inquire since CPL 310.70 (1) requires the taking of a partial verdict only if the jury “declares” that it has reached a verdict. The court determined that any inquiry at this point “would be suggesting [that] they have to reach at least some form of verdict,” which the court feared could be coercive.

Months later, Rivera filed a written motion to dismiss the indictment on double jeopardy grounds, arguing that the trial court’s refusal to question whether the jury had attained a partial verdict barred retrial. Supreme Court denied the motion.

Rivera then commenced this article 78 proceeding in the nature of prohibition against respondents Neil Jon Firetog, a Justice of the Supreme Court, Kings County, and Charles J. Hynes, District Attorney, Kings County, seeking to prevent a retrial. The Appellate Division, with one Justice dissenting, granted the petition. The majority held that the jury’s note regarding the manslaughter counts constituted “some evidence” that the jury had reached a verdict on the murder count and found that the trial court abused its discretion in declaring a mistrial (44 AD3d 957, 958 [2d Dept 2007]). Although the majority determined that double jeopardy principles prevented Rivera’s retrial on the murder charge, it concluded that he could be retried on the manslaughter counts provided the People represented appropriate charges to another grand jury. The dissenting Justice would have denied the petition, finding that retrial of the murder count was not precluded. We granted the District Attorney leave to appeal (10 NY3d 703 [2008]) and now reverse the judgment of the Appellate Division and dismiss the petition.

Discussion

The District Attorney contends that, under the circumstances of this case, the trial judge providently exercised his discretion

in concluding that there was a manifest necessity to declare a mistrial, and that retrying Rivera for murder would therefore not offend the constitutional double jeopardy prohibition. Rivera, joined by amicus New York State Association of Criminal Defense Lawyers, counters that defense counsel's request for a partial verdict, coupled with the indication that the jury had progressed beyond the murder count based on its request for reinstruction on the manslaughter counts, obligated the trial court to inquire into the possibility of a partial verdict before discharging the jury on deadlock grounds.³

The Double Jeopardy Clauses of the State and Federal Constitutions provide that the state may not prosecute a defendant twice for the same offense (*see* NY Const, art I, § 6; US Const 5th Amend). Because jeopardy attaches when a jury is impaneled and sworn (*see* CPL 40.30 [1] [b]), the constitutional protection also embraces "the defendant's right to be free from reprosecution if the first trial has not continued to conclusion" (*People v Baptiste*, 72 NY2d 356, 359 [1988]; *see also Arizona v Washington*, 434 US 497, 503 [1978]). As a general principle, the People are entitled to only one opportunity to compel a defendant to stand trial because the "defendant possesses a 'valued right' to have his trial completed by a particular tribunal on the first presentation of the evidence" (*Baptiste*, 72 NY2d at 359-360).

Nevertheless, if the merits of the charges have not been resolved, the right to have a trial completed by a specific tribunal "may be subordinate to the public interest in seeing that a criminal prosecution proceed to verdict" (*id.* at 360 [internal quotation marks and citations omitted]). In the oft-quoted words of Justice Story, the court may exercise its power to declare a mistrial when, "taking all the circumstances into consideration, there is a manifest necessity for the act" (*United States v Perez*, 9 Wheat [22 US] 579, 580 [1824]). The classic example of charges that may be retried after the termination of a trial without the defendant's consent occurs when the trial court discharges a genuinely deadlocked jury (*see Baptiste*, 72 NY2d at 360). To justify a mistrial on deadlock grounds, it must be "clear that the jury is hopelessly deadlocked and that there is no reasonable probability it can agree" (*id.*; *see also* CPL 310.60 [1] [a]).

3. Rivera does not take issue with the mistrial as to the manslaughter counts.

It is well settled that a trial judge's determination regarding the declaration of a mistrial on jury deadlock grounds involves the exercise of judicial discretion (*see Baptiste*, 72 NY2d at 360; *Arizona*, 434 US at 509 [observing that "in this situation there are especially compelling reasons for allowing the trial judge to exercise broad discretion in deciding whether or not 'manifest necessity' justifies a discharge of the jury"]). We have made clear that a trial court's decision "is entitled to great deference by reviewing courts for it is best situated to take all the circumstances of the particular proceeding into account and determine whether a mistrial is in fact required" (*Baptiste*, 72 NY2d at 360). Moreover, the failure to accord "great deference" to a trial court's determination

"might well encourage a needless waste of judicial resources and time by requiring further deliberation of juries that are hopelessly deadlocked and, more drastically, might similarly encourage the employment of untoward pressure upon juries or, simply, their eventual exhaustion to break deadlocks at the risk of unjust verdicts" (*Matter of Plummer v Rothwax*, 63 NY2d 243, 250 [1984] [internal quotation marks and citations omitted]).

At the same time, trial courts are not free to act without limitation. We have articulated a number of factors that a trial court should consider before exercising discretion, including "the length and complexity of the trial, the length of the deliberations, the extent and nature of the communications between the court and the jury, and the potential effects of requiring further deliberation" (*id.* at 251). Additionally, reviewing courts will examine whether the trial court "properly explored the appropriate alternatives" (*Hall v Potoker*, 49 NY2d 501, 505 [1980]).

Applying these principles, we perceive no abuse of discretion in the trial court's determination to declare a mistrial on the basis of jury deadlock. It is notable that the jury's deliberations—lasting nearly six days—exceeded the duration of the trial itself. During this period, the jury informed the court on three occasions that it could not reach a unanimous verdict. In response, the court appropriately explored alternatives to a mistrial. After receiving the first deadlock note relatively early in the deliberation process, the trial judge considered the option of asking whether the jury had reached a verdict on any of the counts but, when both parties declined, directed the jury to

continue deliberating. With the consent of the parties, the court gave the jury an *Allen* charge after the second deadlock note. Significantly, after the jury requested clarification of the manslaughter instructions, it sought copies of all three charges at three different junctures, indicating that it may not have resolved a verdict on any of the counts. Finally, the court discharged the panel following the third deadlock note, reasoning that further deliberations would be futile or could lead to a coerced verdict. Under these circumstances, we believe the trial court reasonably determined that there was a manifest necessity to declare a mistrial. Retrial on the indictment for second-degree murder therefore poses no double jeopardy problem.

In finding that the trial court improvidently exercised its discretion by declaring a mistrial on the murder count, the Appellate Division majority relied on *Matter of Robles v Bamberger* (219 AD2d 243 [1st Dept 1996], *lv denied* 88 NY2d 809 [1996], *appeal dismissed* 88 NY2d 962 [1996]). *Robles*, however, is readily distinguishable. There, the Appellate Division concluded that the trial court erred in declaring a mistrial based on juror disqualification without inquiring into whether the jury had reached a partial verdict, as requested by defense counsel. Significantly, the Appellate Division observed that there was “overwhelming evidence” that the jury had agreed on at least one count, including a note from a juror stating that “[o]ne decision has already been made and agreed by all of us” (*id.* at 247). Additionally, the trial court’s examination of another juror confirmed that the jury had reached agreement on one of the counts (*see id.*).

Here, the evidence that the jury had reached a verdict on any of the counts was far less certain. Although the trial judge at one point earlier in the deliberations found that there was an inference that the jury may have progressed past the murder count based on the jury’s manslaughter note, the jury did not clearly indicate that it had in fact reached a partial verdict. Furthermore, the jury subsequently requested reinstruction on all three charges on three separate occasions, a fact the trial court acknowledged when it ultimately denied Rivera’s request to poll the jury about the possibility of a partial verdict.

Finally, *Matter of Oliver v Justices of N.Y. Supreme Ct. of N.Y. County* (36 NY2d 53 [1974]) does not compel a different result. In *Oliver*, the petitioner was tried on one count of murder and

the lesser included offense of first-degree manslaughter.⁴ After receiving the case, the jury alerted the trial judge that it had reached a partial verdict and was instructed to continue deliberating. Later, the jury reported that it was hopelessly deadlocked and the trial court declared a mistrial. At no point did the jury indicate the nature of the partial verdict, nor did defense counsel ever seek clarification or ask for the taking of a partial verdict. The petitioner then commenced an article 78 proceeding seeking to prohibit retrial on double jeopardy grounds, arguing that the first jury was improperly discharged.

This Court in *Oliver* held that double jeopardy principles did not preclude reprosecution for murder. We acknowledged that the trial court was permitted to refuse to accept the declared partial verdict and direct the jury to continue deliberating under CPL 310.70 (1) (b) (ii), but noted that the trial court's failure to instruct the jury to resume its deliberation on "the entire case" as required by the statute left open the possibility that the jury may or may not have recognized that it could properly reopen reconsideration of the partial verdict. We therefore determined that the jury's subsequent declaration that it was deadlocked was ambiguous, because it was unclear whether the jury was deadlocked as to both counts or just one. Because the petitioner never sought to clarify the nature of the partial verdict when it was first announced or the status of the partial verdict when the jury declared itself to be deadlocked, we concluded there was no double jeopardy obstacle to retrial.

Although our decision in *Oliver* was premised in large part on the petitioner's failure to inquire into the status of a previously declared partial verdict, we did not suggest that a trial judge must question the jury about the possibility of a partial verdict as a matter of constitutional concern whenever requested by defense counsel. Critically, while the jury in *Oliver* specifically stated that it had reached a partial verdict (*see* CPL 310.70), the jury here never made such a declaration. In any event, we have repeatedly stressed that no per se rules or mechanical formulas apply to mistrial determinations (*see Baptiste*, 72 NY2d at 361; *Plummer*, 63 NY2d at 250), and we decline to create one in this case (*see United States v MacQueen*, 596 F2d 76, 82 [2d Cir 1979] [refusing to "adopt a (p)er se rule that a mistrial is

4. The jury was not given an "acquit-first" instruction, as required by our later decisions in *People v Boettcher* (69 NY2d 174 [1987]) and *People v Helliger* (96 NY2d 462 [2001]). Therefore, the jury in *Oliver* was free to reach a verdict on the manslaughter count without first agreeing on the murder count.

improperly declared whenever the trial judge fails to specifically inquire as to the possibility of a partial verdict’’)].

Accordingly, the judgment of the Appellate Division should be reversed, without costs, and the petition dismissed.

PIGOTT, J. (dissenting). Because I agree with the Appellate Division that the trial judge abused his discretion in declaring a mistrial on all of the counts against defendant without inquiring into a partial verdict, I respectfully dissent.

During the 5½ days of jury deliberations, the trial judge on two separate occasions indicated that he believed that there was at least an inference given by the jury that it had reached a verdict on the first count of the indictment. On the first occasion, the trial judge on his own initiative asked if either party wanted him to inquire about a partial verdict, stating his belief that it would be appropriate to do so. At that time both parties declined, since it was early in the deliberations and they were likely hoping that the jury would soon reach a complete verdict.

On the fourth day of deliberations, the judge once again asked the parties whether he should inquire into whether the jury had reached a verdict on any count or whether it was still deadlocked. When the prosecutor stated that she believed the jury had not given any indication of a partial verdict, the trial judge disagreed, responding that there was an inference that it had. Despite this, the trial judge refused to grant defense counsel’s request that the jury be asked if it had reached a partial verdict.

Although the majority recognizes that there was some evidence that the jury may have reached a verdict on one of the counts, it nevertheless finds that the trial judge did not abuse his discretion because the jury “did not clearly indicate that it had in fact reached a partial verdict” (see majority op at 508). In other words, short of the jury declaring to the judge that it had reached a partial verdict, as the jury did in *Matter of Robles v Bamberger* (219 AD2d 243 [1st Dept 1996], *lv denied* 88 NY2d 809 [1996], *appeal dismissed* 88 NY2d 962 [1996]), the majority finds no reason for the court to ask about one.

The problem with that reasoning is that the jury was unaware that it could render a partial verdict; and while it is true that juries should neither be encouraged nor discouraged to give a partial verdict, it is clear that they should at least be aware of that option (see *United States v Dolah*, 245 F3d 98 [2d Cir 2001]). This is particularly true in situations such as the one here, where the jury is struggling and there is some indication

that it has reached a verdict on one or more counts of the indictment.

Here, the guidance given to the jury was that it should not report any partial verdict at all. The first note the jury sent indicated that it was unable to come to a unanimous verdict and also contained a “vote” of the jurors’ positions. In response, the trial judge advised the jury that it need not indicate any vote or tally on its notes. By doing so, the judge, in my view, discouraged it from later providing the court with any indication that it had reached a partial verdict. The jury therefore had no guidance whatsoever on what to do if it had in fact reached a verdict on any count of the indictment.

That is not to say that in every case the court must inquire into whether a jury has reached a partial verdict. Rather, trial judges should be encouraged to inform the jury, when appropriate, of the possibility of rendering a partial verdict, particularly in a case such as this, where the jurors had deliberated for a substantial period of time and the trial judge recognized that they may have, indeed, reached a partial verdict.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH and JONES concur with Judge GRAFFEO; Judge PIGOTT dissents in a separate opinion.

Judgment reversed, etc.

[901 NE2d 734, 873 NYS2d 241]

CHRISTINE KOPSACHILIS, Respondent, v 130 EAST 18 OWNERS
CORP. et al., Appellants.

Argued October 22, 2008; decided December 2, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 20, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Emily Jane Goodman, J.), which, insofar as appealed from, had denied defendants' motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Kopsachilis v 130 E. 18 Owners Corp., 43 AD3d 744, reversed.

HEADNOTE

**Negligence — Maintenance of Premises — Failure to Keep Light in
Apartment Building Fire-Stairs Burning Continuously — Defense
of Owner's Lack of Knowledge or Consent**

In an action to recover damages for injuries plaintiff sustained when she fell down the unlit fire-stairs of defendants' apartment building, defendants were entitled to assert the lack of "knowledge or consent" defense contained in Multiple Dwelling Law § 37 (2) to the allegation that they were guilty of negligence per se for having violated the requirement of Multiple Dwelling Law § 37 (3) that "[e]very light in every fire-stair . . . shall be kept burning continuously." Subdivision (1) of Multiple Dwelling Law § 37 imposes a requirement that lights be provided in certain public areas, including "every . . . fire-stair," and subdivision (2) states a durational requirement for the turning on of the lights, subject to the exception provided in subdivision (3). Subdivision (2) also provides for a defense to an action premised on a violation of the statute that relieves an owner from liability if the light "becomes extinguished and remains so without the knowledge or consent of the owner." That defense applies to the extinguishment of any lights required by subdivision (1), whether they are required to be on only at night per subdivision (2), or continuously per subdivision (3). The statement in subdivision (3) that lights in windowless areas "shall be kept burning continuously" is an exception to the rule that lights need be on only at night and does not create a new liability to which there is no defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Premises Liability §§ 49, 597, 598, 602.
McKINNEY's, Multiple Dwelling Law § 37.

NY JUR 2d, Evidence and Witnesses § 162; NY JUR 2d, Premises Liability §§ 400, 401.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:90.

PROSSER AND KEETON, TORTS (5th ed) §§ 61, 63.

ANNOTATION REFERENCE

Landlord's liability for injury or death caused by defective condition of interior steps or stairways used in common by tenants. 67 ALR3d 587.

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Database: NY-ORCS

Query: light /s stair! & knowledge /5 defense

POINTS OF COUNSEL

Gannon, Rosenfarb & Moskowitz, New York City (*Peter J. Gannon* of counsel), for appellants. I. 130 East 18 Owners Corp. did not violate Multiple Dwelling Law § 37. (*Abood v Hospital Ambulance Serv.*, 30 NY2d 295; *Rankin v Shanker*, 23 NY2d 111; *Matter of United Press Assns. v Valente*, 308 NY 71; *Matter of Hogan v Culkin*, 18 NY2d 330; *Surace v Danna*, 248 NY 18; *Spencer v Myers*, 150 NY 269; *Gonzalez v Medina*, 69 AD2d 14; *Martin v Herzog*, 228 NY 164; *Tedla v Ellman*, 280 NY 124; *Chrisler v Spencer*, 31 AD3d 1124.) II. 130 East 18 Owners Corp. acted reasonably in keeping its building safe in view of all the circumstances. (*Basso v Miller*, 40 NY2d 233; *Palka v Service-master Mgt. Servs. Corp.*, 83 NY2d 579; *Tobin v Grossman*, 24 NY2d 609; *Goldstein v Consolidated Edison Co. of N.Y.*, 115 AD2d 34; *Peralta v Henriquez*, 100 NY2d 139.)

Segal & Lax, New York City (*Patrick Daniel Gatti* of counsel), for respondent. Defendants violated section 37 of the Multiple Dwelling Law and therefore are liable for negligence per se. (*Goldstein v Consolidated Edison Co. of N.Y.*, 115 AD2d 34; *Elliott v City of New York*, 95 NY2d 730; *Mermelstein v 417 Riverside Drive*, 25 AD2d 522; *Camacho v Tabak*, 18 AD2d 609, 18 NY2d 883; *Price v Delaware State Police Fed. Credit Union*, 307 F3d 362; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

Armienti, DeBellis, Guglielmo & Rhoden, LLP, New York City (*Vanessa M. Corchia* of counsel), for Riverbay Corporation, amicus curiae. A landowner does not have a duty to provide artificial illumination during a blackout occasioned by external

sources. (*Basso v Miller*, 40 NY2d 233; *Thackeray v Novak*, 124 AD2d 946; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Church v Callanan Indus.*, 99 NY2d 104; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053; *Peralta v Henriquez*, 100 NY2d 139; *Rivera v Nelson Realty, LLC*, 7 NY3d 530; *Stoliker v Crandall*, 31 AD2d 682, 25 NY2d 991; *Collins v Noss*, 258 App Div 101, 283 NY 595; *Ellis v Di Chiara*, 38 AD2d 780.)

OPINION OF THE COURT

SMITH, J.

Subdivision (2) of Multiple Dwelling Law § 37 requires, as a general rule, that owners of apartment buildings keep lights on all night in certain public areas. The same subdivision says that if a light “becomes extinguished and remains so without the knowledge or consent of the owner he shall not be liable.” Subdivision (3) of the statute makes an exception to the general rule of subdivision (2), requiring lights in windowless areas to “be kept burning continuously.” We hold in this case that the “knowledge or consent” defense created by subdivision (2) may be asserted in a case based on an alleged violation of subdivision (3).

I

The blackout of August 14, 2003 left many commuters stranded in New York City overnight. Plaintiff was one of them, and she stayed that night in the fourth floor apartment of a coworker in a building owned by defendants. The building was not one of those required by the New York City Administrative Code to have lighting connected to an emergency power source (*see* Administrative Code of City of NY § 27-382). The building did have backup, battery-operated lights, but the batteries lasted no more than 40 minutes. By the time plaintiff arrived at the building on the evening of August 14, the lights were out. The building staff had put flashlights and candles on the staircases, and staff members using flashlights escorted building occupants, including plaintiff and her host, up the fire-stairs.

The lights were still out when plaintiff was ready to leave the building the next morning. Neither she nor her host had a flashlight, and neither called down to the lobby for help. Plaintiff stood in the hallway outside her host’s apartment and opened the door to the fire-stairs, where she could see nothing. She put out her foot to feel for a landing, fell down the stairs and was injured.

Plaintiff brings this negligence action against the building owners. The principal basis for the action, and the only one that requires discussion, is her assertion that defendants were guilty of negligence per se because they violated the requirement of Multiple Dwelling Law § 37 (3) that “[e]very light in every fire-stair . . . shall be kept burning continuously.”

Supreme Court denied defendants’ motion for summary judgment, and the Appellate Division, with two Justices dissenting, affirmed. The Appellate Division concluded that section 37 (3) “does not relieve an owner of responsibility for lights extinguished without its knowledge or consent, but rather commands categorically that every light in a windowless fire-stair ‘shall be kept burning continuously’ ” (*Kopsachilis v 130 E. 18 Owners Corp.*, 43 AD3d 744, 745 [1st Dept 2007]). The dissenters’ view was that the statute did not impose “absolute liability,” and that defendants were entitled to assert a “knowledge or consent” defense (*id.* at 747).

The Appellate Division granted leave to appeal to this Court, and we now reverse.

II

Multiple Dwelling Law § 37 is best understood by reading its first three subdivisions in full:

“1. In every multiple dwelling the owner shall provide a light or lights, each of at least sixty watts incandescent or twenty watts cool white fluorescent or equivalent illumination, for every vestibule and entrance hall in every public hall, stair, fire-stair and fire-tower on every floor. Said light or lights shall be located as prescribed by the department, but, in every stair, fire-stair or fire-tower, shall be so located that every part thereof shall be lighted.

“2. Except as provided in subdivision three, every such light shall be turned on by the owner at sunset every day and shall not be turned off by the owner until the following sunrise. Every such light shall be kept burning daily from sunset until sunrise, but if it becomes extinguished and remains so without the knowledge or consent of the owner he shall not be liable. The burden shall be upon the owner to show that the light became and remained extinguished without his knowledge or consent.

“3. Every light in every fire-stair and fire-tower at every story, and in every stair and public hall at every story where there is no window opening to the outer air, shall be kept burning continuously except that this provision shall not apply to public halls lighted as provided in subdivision eleven of section two hundred seventeen.”

These three subdivisions are related. The first imposes a requirement that lights be provided in certain places, including “every . . . fire-stair.” Subdivision (2) applies to “every such light”—including the lights in fire-stairs. It states a durational requirement for the turning on of the lights, subject to an exception “as provided in subdivision three.” Subdivision (2) also provides for a defense to an action premised on a violation: if a light “becomes extinguished and remains so without the knowledge or consent of the owner he shall not be liable.” Subdivision (3) states the exception that subdivision (2) refers to: it says that certain of the lights already described, including lights in fire-stairs, “shall be kept burning continuously.”

The “knowledge or consent” defense in subdivision (2) applies to the extinguishment of any lights required by subdivision (1), whether they are required to be on only at night or continuously. This is the most natural reading of the section’s language. The words “[e]xcept as provided in subdivision three” do not modify the knowledge or consent defense—the exception and the defense appear in separate sentences.

The probable intention of the statute’s authors confirms what its text suggests. It seems unlikely that the Legislature meant to make liability dependent on the landlord’s knowledge or consent when a light fails in a windowed hallway during the night, but to impose strict liability when the failure occurs in a windowless area. If the Legislature had intended such a distinction, we would expect it to say so plainly. We therefore read subdivision (3)’s statement that lights in windowless areas “shall be kept burning continuously” as stating an exception to the rule that lights need be on only at night, not as creating a new liability to which there is no defense.

Defendants here obviously did not “consent” to the blackout that darkened the staircase in which plaintiff fell. They therefore have no liability under Multiple Dwelling Law § 37. Because plaintiff’s negligence per se theory fails, and because the record otherwise contains no evidence of negligence sufficient to create an issue of fact, plaintiff’s complaint must be dismissed.

Accordingly, the order of the Appellate Division should be reversed with costs, defendants' motion for summary judgment dismissing the complaint granted, and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[900 NE2d 959, 872 NYS2d 408]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ISAAC
DIGGINS, Appellant.

Argued November 20, 2008; decided December 16, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 1, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the first degree, criminal possession of a weapon in the second degree, and criminal possession of a weapon in the third degree, and sentenced him, as a persistent violent felony offender, to an aggregate term of 25 years to life.

People v Diggins, 45 AD3d 266, affirmed.

HEADNOTES

Crimes — Sentence — Persistent Violent Felony Offender — Challenge to Predicate Felony Conviction

1. Supreme Court did not abuse its discretion in denying defendant's request at his sentencing for an adjournment in order to "file motions," presumably aimed at gathering evidence to prove that one of his prior felony convictions was secured in violation of his constitutional right to counsel and therefore could not serve as a basis for sentencing him as a persistent violent felony offender. Defendant had received the People's predicate violent felony conviction statement four months earlier, and CPL 400.15 (6) puts defense counsel who controvert an allegation in a predicate violent felony conviction statement on notice to be prepared to proceed with an evidentiary hearing so long as the statement is received at least two days before the preliminary examination. While it may not always be feasible for counsel to obtain minutes or other documents in time for a hearing that immediately follows a preliminary examination, defense counsel here did not suggest that he had made any effort to obtain the minutes from the relevant prior trial, or even specifically request the adjournment for the purpose of procuring the minutes. Nor did counsel provide the judge with an affidavit from the attorney who represented defendant in the earlier trial, or secure that attorney's live testimony, but rather simply asserted that the attorney completely failed to participate in the earlier trial. Defendant, however, was concededly tried in absentia at that trial, giving rise to an inference that the attorney's nonparticipation was a protest strategy that would not support a claim of ineffective assistance.

Crimes — Proof of Prior Convictions — Prior Gun-Related Convictions Relevant to Defendant's Claim That Shooting Was Accidental

2. In the prosecution of defendant for attempted second-degree murder, first-degree assault, and criminal possession of a weapon in the second and

third degrees in connection with a shooting incident, Supreme Court did not err by permitting the jury to consider evidence that defendant, who had confessed to the shooting but claimed that the revolver discharged accidentally, had previously been convicted of three gun-related offenses. The evidence of defendant's prior gun-related convictions was highly probative of his intent, given that he claimed that the shooting was accidental, and had at least suggested in a videotaped statement admitted at trial that he was unaccustomed to handling firearms. Moreover, the witnesses to the shooting were extremely impeachable. Supreme Court limited the potential for prejudice by reading into the record a bare-bones stipulation consisting only of the conviction dates, the names of the crimes and, in two cases, the type of gun involved, and by repeatedly instructing the jurors to consider that evidence only in relation to the issue of accident, not propensity.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 739, 742, 743, 777; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 19, 38-40, 50-52.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:4027, 172:4029, 172:4034.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.

McKINNEY's, CPL 400.15 (6).

NY JUR 2d, Criminal Law: Procedure §§ 2899, 3274, 3275, 3280-3282, 3289, 3294.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders; Sentence and Punishment.

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Query: sentenc! /s persistent /2 violent & predicate /2 felony /s hearing

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Rosemary Herbert, Richard M. Greenberg and Ana Vuk-Pavlovic of counsel), for appellant. I. Isaac Diggins is entitled to a new trial where evidence of his three prior gun-related convictions, admitted pursuant to *People v Molineux* (168 NY 264 [1901]), was irrelevant to his accident defense and greatly bolstered the prosecution's weak case against him. (*People v Resek*, 3 NY3d 385; *People v Ventimiglia*, 52 NY2d 350; *People v Henson*, 33 NY2d 63; *People v Hudy*, 73 NY2d 40; *People v Clarke*, 293 AD2d 405; *People v Zarif*, 290 AD2d 401; *Dunnigan v Keane*, 137 F3d

117; *People v Lutchmansigh*, 306 AD2d 540; *People v Guiteau*, 267 AD2d 1094; *People v Plunkett*, 158 AD2d 949.) II. Isaac Diggins was illegally sentenced as a mandatory persistent violent felony offender after the sentencing court ascribed the wrong burden to the defense and denied Mr. Diggins his right to a hearing to determine the constitutionality of his prior conviction. (*People v Mack*, 203 AD2d 131; *People v Kilgore*, 199 AD2d 1008; *People v Case*, 173 AD2d 892; *People v Allen*, 135 AD2d 1034; *People v James*, 109 AD2d 1095; *People v Fraser*, 54 AD2d 965; *People v Robertson*, 287 AD2d 312; *People v Myron*, 28 AD3d 681; *People v Boomer*, 187 AD2d 659; *People v Aiken*, 45 NY2d 394.)

Robert M. Morgenthau, District Attorney, New York City (*Gina Mignola* and *Eleanor J. Ostrow* of counsel), for respondent. I. Proof of defendant's prior gun convictions was properly admitted to refute his claims of accident and mistake. (*People v Ventimiglia*, 52 NY2d 350; *People v Fiore*, 34 NY2d 81; *People v Blair*, 90 NY2d 1003; *People v Alvino*, 71 NY2d 233; *People v Vails*, 43 NY2d 364; *People v Molineux*, 168 NY 264; *People v Hudy*, 73 NY2d 40; *People v Steinberg*, 170 AD2d 50, 79 NY2d 673; *People v Mateo*, 2 NY3d 383; *People v Kello*, 96 NY2d 740.) II. Contrary to defendant's unpreserved complaint, the sentencing court properly adjudicated defendant to be a mandatory persistent violent felony offender. (*People v Verdel*, 22 AD3d 324; *People v Harris*, 61 NY2d 9; *People v Miller*, 8 NY3d 937; *People v Sailor*, 65 NY2d 224; *People v Catalanotte*, 72 NY2d 641; *People v Pierre*, 45 AD3d 1056; *People v Manohar*, 40 AD3d 1123; *People v Myron*, 28 AD3d 681; *People v Cottrell*, 299 AD2d 914; *People v Lewis*, 261 AD2d 908.)

OPINION OF THE COURT

READ, J.

Defendant Isaac Diggins, a drug dealer, was convicted after a jury trial of attempted second-degree murder (Penal Law §§ 110.00, 125.25 [1]), first-degree assault (Penal Law § 120.10 [1]) and criminal possession of a weapon in the second and third degrees (Penal Law § 265.03 [2]; § 265.02 [4] [now Penal Law § 265.03 [3]]) in connection with a shooting incident on May 13, 2005. Defendant confessed to the shooting, but claimed that the revolver discharged accidentally. Supreme Court sentenced him as a persistent violent felony offender to an aggregate term of imprisonment of 25 years to life.

On this appeal, we are asked to consider whether defendant was entitled to an evidentiary hearing on his allegation that one

of his predicate felony convictions was secured in violation of his constitutional right to counsel. For the reasons that follow, we conclude that Supreme Court did not abuse its discretion by denying defendant an adjournment to gather further evidence in support of his allegation.

I.

At defendant's arraignment in August 2005, the People filed with the court, and served on defendant, a "Statement of Two or More Predicate Felony Convictions." The statement notified defendant of two predicate violent felony convictions: a June 15, 2004 conviction for criminal possession of a weapon in the second degree; and a January 23, 1991 conviction for robbery in the first degree. Trial commenced on November 15, 2005, and the jury convicted defendant on November 22, 2005.

On December 14, 2005—four months after the People filed the persistent violent felony offender statement, and three weeks after the verdict—defendant appeared with counsel for sentencing. Defense counsel informed Supreme Court that defendant had a constitutional challenge to the 2004 conviction, which resulted from a trial in absentia because "[a]pparently his defense attorney in that case did not participate in the trial, did not cross-examine witnesses, and did not put forth a defense."

The judge asked defense counsel if he had an affidavit from the lawyer who represented defendant in the 2004 case, or if that lawyer was present. Counsel responded "No" to both queries, and requested an adjournment to "file motions." The judge responded, "Why should I adjourn it? It's a surprise to you? Because we discussed it at great length before the trial," meaning "whether or not [defendant] was a mandatory persistent violent felony offender."

When counsel reiterated that he was challenging the constitutionality of the conviction based on ineffective assistance, the judge interjected that "[d]efendant's obligation is to do more." Counsel then responded as follows:

"I believe I have placed on the record the fact that [the] defense attorney in that case . . . did not participate in the trial in any meaningful way. I think if you want to explore it further I think we need to ask [the attorney] why that was the case. I believe that is certainly sufficient to raise a presumption.

He did not receive effective assistance of counsel, his attorney did not participate in the trial[;] complete lack of participation seemingly would constitute ineffective assistance.”

Supreme Court stated that, under appellate case law, a lawyer’s deliberate choice not to participate in a trial as a protest does not amount to ineffective assistance, and so “the law [was] against [defendant].” The judge further observed that she was “not hearing anything” from counsel “that says that maybe there was a good thing [the attorney in the 2004 case] could have done once the complaining witness”—defendant’s wife—“showed up in that case.” Counsel responded, “I don’t know, if you want to give me time to order the minutes of that trial. I can’t give you any specifics about the trial.”

The judge concluded by observing to defense counsel that he had enjoyed sufficient

“time to prepare a meaningful challenge to this previous felony conviction and right now you just sort of tell me, well, I want more time, I’m entitled to more time, and let me just sort of cast around here. I’m still not hearing any reason to think that there is going to be something developed there, so I’m finding the defendant a mandatory persistent felony offender.”

The court then sentenced defendant, who appealed both his conviction and his sentence.

The Appellate Division affirmed. As for defendant’s sentence, the court concluded that Supreme Court did not err by sentencing him as a persistent violent felony offender “without affording him both an adjournment to obtain the transcript of the prior trial and a hearing to determine whether the conviction was unconstitutional” (*People v Diggins*, 45 AD3d 266, 267 [1st Dept [2007]]). The Appellate Division reasoned that defendant “advanced only conclusory allegations, not warranting a hearing, that his conviction for weapons possession was obtained without the effective assistance of counsel” (*id.* at 268). Further, he “had ample opportunity to obtain the minutes of the prior proceedings for review by the sentencing court, which was not required to grant him an adjournment under the circumstances” (*id.*). A Judge of this Court subsequently granted defendant leave to appeal (10 NY3d 810 [2008]), and we now affirm.

II.

A “persistent violent felony offender” includes “a person who stands convicted of a violent felony offense . . . after having previously been subjected to two or more predicate violent felony convictions” (Penal Law § 70.08 [1] [a]). Upon finding that a person is a persistent violent felony offender, “the court must impose an indeterminate sentence of imprisonment, the maximum term of which shall be life imprisonment” and the minimum term of which “must be in accordance with [Penal Law § 70.08 (3)]” (Penal Law § 70.08 [2]).

Criminal Procedure Law § 400.16 (2) states that the procedure for determining whether a person is a persistent violent felony offender is governed by CPL 400.15. This procedure furthers the principle that a “conviction obtained in violation of one’s constitutional rights may not be used to enhance punishment for another offense” (*People v Harris*, 61 NY2d 9, 16 [1983]; see CPL 400.15 [7] [b] [defendant may “controvert an allegation with respect to” a prior conviction on the ground it was unconstitutionally obtained “at any time during the course of the hearing hereunder”]).

The statute specifies that

“[w]hen information available to the court or to the people prior to sentencing for a violent felony offense indicates that the defendant may have previously been subjected to a predicate violent felony conviction, a statement must be filed by the prosecutor before sentence is imposed setting forth the date and place of each alleged predicate violent felony conviction” (CPL 400.15 [2]).

The statute next provides for a preliminary examination. Specifically, the “defendant must be given a copy of such statement and the court must ask him whether he wishes to controvert any allegation made therein” (CPL 400.15 [3]). A defendant who “wishes to controvert any allegation in the statement . . . must specify the particular allegation or allegations he wishes to controvert” (*id.*). Uncontroverted allegations are deemed admitted (*see id.*).

“Where the uncontroverted allegations in the statement are sufficient to support a finding that the defendant has been subjected to a predicate violent felony conviction the court must enter such finding” and sentence the defendant

accordingly (CPL 400.15 [4]). The court is, however, required to hold a hearing “[w]here the defendant controverts an allegation in the statement and the uncontroverted allegations in such statement are not sufficient to support a finding that the defendant has been subjected to a predicate violent felony conviction” (CPL 400.15 [5]). The hearing “must be before the court without jury” (CPL 400.15 [7] [a]). The People bear the burden to prove “that the defendant has been subjected to a predicate violent felony conviction . . . beyond a reasonable doubt by evidence admissible under the rules applicable to a trial of the issue of guilt” (*id.*), but not the prior conviction’s constitutionality (*see Harris*, 61 NY2d at 15).

Subdivision (6) of CPL 400.15, entitled “Time for hearing,” states as follows: “In any case where a copy of the statement was not received by the defendant at least two days prior to the preliminary examination, the court must upon request of the defendant grant an adjournment of at least two days before proceeding with the hearing.”

Thus, the statute contemplates that the court will proceed immediately from the preliminary examination to the hearing unless the defendant did not receive the statement at least two days beforehand. If this two-day notice requirement is met, the decision whether to grant an adjournment of the hearing is within the court’s discretion. This is consistent with the general rule that “[t]he granting of an adjournment for any purpose is a matter resting within the sound discretion of the trial court” (*Matter of Anthony M.*, 63 NY2d 270, 283 [1984]).

Here, defendant admits that he received the People’s predicate violent felony conviction statement at his arraignment in August 2005, four months before his December 2005 sentencing. Further, Supreme Court was willing to hold an evidentiary hearing based on defendant’s claim that his counsel did not participate in the 2004 trial, as shown by its inquiry whether defendant had an affidavit from that attorney, or if the attorney was present to testify. Thus, the precise issue on this appeal is whether Supreme Court abused its discretion in denying defendant his request for an adjournment to “file motions,” presumably aimed at gathering evidence to prove that his 2004 felony conviction was unconstitutionally obtained.

[1] The statute clearly puts defense counsel on notice to be prepared to proceed with an evidentiary hearing so long as

the predicate violent felony offender statement is received at least two days before the preliminary examination. Of course, it may not always be feasible for counsel to obtain minutes or other documents in time for a hearing that immediately follows a preliminary examination. But counsel in this case did not suggest that he had made any effort to obtain the 2004 minutes. He did not even specifically request the adjournment for the purpose of procuring the minutes; instead, he merely cited their unavailability as the reason why he could not “give [the judge] any specifics about the [2004] trial” in response to her questions and observations. In addition, counsel did not provide the judge with an affidavit from the attorney who represented defendant in the 2004 trial, or secure that attorney’s live testimony. He simply asserted that this attorney completely failed to participate in the 2004 trial; however, defendant was concededly tried in absentia, giving rise to an inference that the attorney’s nonparticipation was a protest strategy that would not support a claim of ineffective assistance (see *People v Aiken*, 45 NY2d 394, 399 [1978]). In light of these circumstances, Supreme Court was not required, as a matter of law, to grant defendant an adjournment to try to put together a more persuasive case.

[2] Finally, defendant also asserts that his conviction should be reversed because Supreme Court erred by permitting the jury to consider evidence that he had previously been convicted of three gun-related offenses. The evidence of defendant’s prior gun-related convictions was highly probative of his intent, however, given that he claimed that the shooting was accidental, and at least suggested in a videotaped statement admitted at trial that he was unaccustomed to handling firearms. As the judge also observed, the witnesses to the shooting (the victim and his roommate) were “extremely impeachable”: they both had prior criminal records; the victim was for a long time unwilling to cooperate with the police and the prosecutors because he was scared of defendant. Importantly, Supreme Court limited the potential for prejudice in two ways: by reading into the record a bare-bones stipulation consisting only of the conviction dates, the names of the crimes and, in two cases, the type of gun involved; second, by repeatedly instructing the jurors to consider this evidence only in relation to the issue of accident, not propensity.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order affirmed.

[901 NE2d 196, 872 NYS2d 705]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DON-
ALD MILLS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE
THEN, Appellant.

Argued November 18, 2008; decided December 17, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 1, 2008. The Appellate Division affirmed an order of the Onondaga County Court (Anthony F. Aloï, J.; op 14 Misc 3d 1220[A], 2007 NY Slip Op 50100[U]), which had (1) granted the People's motion pursuant to CPL 440.40 (1) to vacate a prior order of that County Court resentencing defendant pursuant to the 2005 Drug Law Reform Act, and (2) directed defendant's appearance before the court for reimposition of the original sentence.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (John Cataldo, J.), which had resentenced defendant, upon his 1999 conviction of criminal sale of a controlled substance in the second degree, to a term of five years; and (2) reinstated the original sentence of five years to life.

People v Mills, 48 AD3d 1108, affirmed.

People v Then, 47 AD3d 404, affirmed.

HEADNOTES

Crimes — Sentence — Drug Law Reform Act

1. In order to qualify for resentencing under the Drug Law Reform Act of 2005 (*see* L 2005, ch 643 [the 2005 DLRA]), which allows eligible nonviolent A-II felons (*see* Correction Law § 851 [2]) sentenced to indeterminate terms under the old Rockefeller Drug Laws to seek resentencing to determinate terms under the provisions of the Rockefeller Drug Law Reform Act of 2004 (*see* L 2004, ch 738), class A-II felony drug offenders must not be eligible for parole within three years of their resentencing applications. Although as a result of such a reading the 2005 DLRA does not cover first-time felony drug offenders facing indeterminate three-years-to-life sentences, while second- and third-time offenders might be eligible for resentencing, the difference in treat-

ment is not irrational since it ameliorates the conditions of those A-II offenders facing the longest prison time, as the Legislature intended when it enacted the 2005 DLRA.

Crimes — Sentence — Drug Law Reform Act

2. Defendant, who pleaded guilty in 1995 to a class A-II drug felony in exchange for the promised sentence of an indeterminate term of three years to life in prison was not eligible for resentencing under the Drug Law Reform Act of 2005 (*see* L 2005, ch 643 [the 2005 DLRA]). Defendant was less than three years from parole eligibility when he applied for resentencing and was required to receive a parole hearing every two years. Thus, in accordance with the plain meaning of the 2005 DLRA, defendant was not “more than twelve months from being an eligible inmate as that term is defined in subdivision 2 of section 851 of the correction law” and therefore did not qualify for resentencing.

Crimes — Sentence — Drug Law Reform Act

3. Defendant, who was sentenced to an indeterminate term of imprisonment upon his conviction in 2003 for a class A-II drug felony that he committed while released on parole from a 1999 conviction for another class A-II drug felony, was ineligible for resentencing under the Drug Law Reform Act of 2005 (*see* L 2005, ch 643 [the 2005 DLRA]). Defendant was not entitled to seek resentencing under the 2005 DLRA for both the 1999 conviction—which he claimed was, in effect, revived for purposes of the 2005 DLRA by the time assessment imposed for the parole violation—and the 2003 conviction. In order to be eligible for resentencing, an inmate must be more than three years from parole eligibility for the same class A-II drug felony for which resentencing is sought. Once a defendant has been released to parole supervision for a class A-II drug felony conviction, he or she no longer qualifies for 2005 DLRA relief for that particular conviction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 860.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:4089,
172:4090, 172:4095, 172:4096.

McKINNEY's, Correction Law § 851 (2).

NY JUR 2d, Criminal Law: Procedure § 3008; NY JUR 2d,
Penal and Correctional Institutions § 192.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Sentence and
Punishment.

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POINTS OF COUNSEL

Hiscock Legal Aid Society, Syracuse (*Philip Rothschild* of counsel), for appellant in the first above-entitled action. The

lower court erred in finding appellant ineligible for relief under the 2005 Drug Law Reform Act because he was within three years of parole, as that was contrary to the legislative intent, and the time eligibility requirement violated equal protection and due process. (*Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *People ex rel. Westchester Fire Ins. Co. v Davenport Trustees*, 91 NY 574; *People ex rel. Onondaga County Sav. Bank v Butler*, 147 NY 164; *Matter of Russo v Valentine*, 294 NY 338; *Matter of Meyer*, 209 NY 386; *Central Hanover Bank & Trust Co. v Commissioner of Internal Revenue*, 159 F2d 167; *People v Bautista*, 26 AD3d 230; *Matter of Roballo v Smith*, 63 NY2d 485; *Riley v County of Broome*, 95 NY2d 455.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* and *Victoria M. White* of counsel), for respondent in the first above-entitled action. Defendant was ineligible for relief under the 2005 Drug Law Reform Act because he was within three years of parole eligibility. (*People v Smith*, 45 AD3d 1478; *People v Parris*, 35 AD3d 891; *People v Thomas*, 35 AD3d 895; *People v Bautista*, 26 AD3d 230, 7 NY3d 838; *People v De Jesus*, 54 NY2d 447; *Matter of State of New York v King*, 36 NY2d 59; *People v Gray*, 86 NY2d 10; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Iannelli*, 69 NY2d 684.)

Center for Appellate Litigation, New York City (*Claudia S. Trupp* and *Robert S. Dean* of counsel), for appellant in the second above-entitled action. Appellant was properly resentenced by the motion court pursuant to section 1 of chapter 643 of the Laws of 2005 (Drug Law Reform Act), because at the time he filed his resentencing motion he was both “in the custody of the department of correctional services” and “more than twelve months from being an eligible inmate” as that term is defined by Correction Law § 851 (2). (*People v Utsey*, 7 NY3d 398; *Matter of Guido v Goord*, 1 NY3d 345; *People v Bautista*, 26 AD3d 230, 7 NY3d 838; *People v Paniagua*, 45 AD3d 98; *People v Villar*, 48 AD3d 282; *Matter of Tubens v New York City Dept. of Correction*, 143 AD2d 589; *People v McCloud*, 38 AD3d 1056; *People v Smith*, 45 AD3d 1478; *People v Bagby*, 11 Misc 3d 882; *People v De Jesus*, 54 NY2d 447.)

Robert M. Morgenthau, District Attorney, New York City (*Grace Vee* and *Christopher P. Marinelli* of counsel), for respondent in the second above-entitled action. Defendant was not

eligible for resentencing on his 1999 conviction under the 2005 Drug Law Reform Act. (*People v Bautista*, 26 AD3d 230, 7 NY3d 838; *People v Smith*, 45 AD3d 1478; *People v Nolasco*, 37 AD3d 622, 9 NY3d 848; *People v Thomas*, 35 AD3d 895; *People v McCloud*, 38 AD3d 1056, 8 NY3d 947; *People v Hernandez*, 46 AD3d 1425, 9 NY3d 1034; *People v Roman*, 12 Misc 3d 1197[A], 2006 NY Slip Op 51607[U]; *People v Bagby*, 11 Misc 3d 882; *People v Hardy*, 49 AD3d 779; *People v Holder*, 8 Misc 3d 784.)

OPINION OF THE COURT

READ, J.

These appeals call upon us to interpret the Drug Law Reform Act of 2005 (*see* L 2005, ch 643 [the 2005 DLRA]), which allows certain nonviolent A-II felons sentenced to indeterminate terms under the old Rockefeller Drug Laws to seek resentencing to determinate terms under the provisions of the Rockefeller Drug Law Reform Act of 2004 (*see* L 2004, ch 738). For the reasons that follow, we conclude that the 2005 DLRA does not apply to defendants Donald Mills and Jose Then. We therefore affirm the orders of the Appellate Division in both cases.

I.

A. Mills

On April 20, 1995, Mills pleaded guilty in County Court to criminal possession of a controlled substance in the second degree (Penal Law § 220.18 [1]), a class A-II felony, in exchange for the promised sentence of an indeterminate term of three years to life in prison. This sentence was imposed on July 26, 1995, to run concurrently with a 2 to 6 years' sentence resulting from Mills' conviction, in a separate proceeding, of criminal possession of a weapon in the third degree (Penal Law § 265.02), a class D felony.

Citing the 2005 DLRA, Mills moved in County Court on October 15, 2005 for resentencing on his 1995 drug conviction. By then, he had been denied parole by the Parole Board four times—in 1998, 2000, 2002, and 2004.¹ The judge initially denied Mills' motion, but later granted him leave to renew. After he was denied parole in April 2006, Mills again applied for

1. In those cases where the Parole Board denies parole, the inmate must be informed in writing of the reasons and factors supporting its decision, and the Board must specify a date not more than 24 months later for reconsideration (*see* Executive Law § 259-i [2] [a]; *see also* Correction Law § 851 [2], discussed *infra*).

resentencing in May 2006. In a decision and order dated June 22, 2006, County Court granted Mills' request for relief by resentencing him to an eight-year determinate sentence and a five-year period of postrelease supervision.

The People moved pursuant to CPL 440.40 (1) to set aside Mills' resentencing in light of the Appellate Division's decision in *People v Bautista* (26 AD3d 230 [1st Dept 2006], *appeal dismissed* 7 NY3d 838 [2006] [dismissing appeal on jurisdictional grounds after leave had been granted]). In a decision and order dated January 16, 2007, County Court granted the People's motion and vacated Mills' determinate sentence, ordering him to appear for resentencing to his original sentence (14 Misc 3d 1220[A], 2007 NY Slip Op 50100[U]).

County Court considered Mills' case to be "factually distinguishable" (2007 NY Slip Op 50100[U] at *3) from Appellate Division precedents holding that the 2005 DLRA did not cover A-II felony drug offenders who were parole-eligible within three years of their resentencing applications (*see Bautista*, 26 AD3d 230 [2006]; *People v Parris*, 35 AD3d 891 [2d Dept 2006], *lv denied* 6 NY3d 851 [2006]; *People v Thomas*, 35 AD3d 895 [3d Dept 2006]) because—unlike the defendants in those cases—Mills had served his minimum sentence. County Court nonetheless concluded that, by virtue of the language of the 2005 DLRA and Correction Law § 851 (2), "the benefits of [2005 DLRA] relief" were unavailable to "inmates who [had] been denied parole and [were] within two years of their next scheduled appearance before the Parole Board" because the 2005 DLRA "[did] not apply to inmates who [were] three or fewer years from eligibility for parole or appearance before the Parole Board" (2007 NY Slip Op 50100[U] at *4).

The Appellate Division unanimously affirmed in a memorandum, stating that

"County Court properly vacated the new sentence and reimposed the original sentence because defendant was eligible for parole within three years of the time of his application and thus was not eligible to be resentenced. At the time of his application in May 2006, defendant had been denied parole release and was scheduled to appear before the parole board again in April 2008" (*People v Mills*, 48 AD3d 1108 [4th Dept 2008] [internal quotation marks and citations omitted]).

A Judge of this Court subsequently granted Mills leave to appeal (10 NY3d 867 [2008]).

B. Then

On June 16, 1999, Then pleaded guilty in Supreme Court to criminal sale of a controlled substance in the second degree (Penal Law § 220.41 [1]), a class A-II felony. On June 30, 1999, Supreme Court sentenced Then to an indeterminate prison term of five years to life; on October 8, 2002, he was released to parole supervision.

In December 2002—barely two months later—Then was again arrested and indicted on drug charges. On July 8, 2003, he pleaded guilty in Supreme Court to criminal possession of a controlled substance in the second degree (Penal Law § 220.18 [1]), another class A-II felony, in full satisfaction of the indictment; on July 29, 2003, Supreme Court sentenced him as a second felony offender to an indeterminate prison term of six years to life. On August 8, 2003, Then’s parole on the 1999 conviction was revoked based on the July conviction, and a time assessment of five months and 26 days was imposed.²

Citing the 2005 DLRA, on December 12, 2005 Then moved in Supreme Court for resentencing on his 1999 conviction; he requested a determinate term of three years. He subsequently also applied for resentencing on his 2003 conviction, this time asking Supreme Court to resentence him to a determinate term of six years.

Then argued that he was entitled to consideration for resentencing on the 1999 and 2003 convictions because he was in the Department of Correctional Services’ (DOCS) custody, had been convicted of two class A-II drug felonies, and was more than three years away from his parole eligibility date. The

2. A “time assessment” is “a period of time which is fixed as a result of a final parole revocation hearing and which determines a date by which time the parole violator will be eligible for re-release” (9 NYCRR 8002.6 [a]; *see also* 9 NYCRR 8005.20 [c] [3] [ii] [providing that for nonviolent felony offenders such as Then, “a hearing officer shall impose a time assessment” upon the sustaining of any charges at a parole revocation hearing]). A time assessment “will be set in months and days” (9 NYCRR 8002.6 [b] [1]) and represents the time that must elapse before an offender can again be released to parole on a sentence for which he would otherwise be parole-eligible immediately (by definition, as the offender had already been not only eligible for parole, but *granted* parole on that offense). For Then, this meant that he could not be released to parole on any conviction until at least five months and 26 days after the final determination of his revocation hearing (*see* 9 NYCRR 8002.6 [e]). Of course, he was already going to be imprisoned beyond this time period on his 2003 conviction.

People did not contest Then's eligibility for resentencing for the 2003 conviction; however, they argued that he did not qualify for resentencing for the 1999 conviction because he had already been released on parole in 2002 for that conviction.

In a decision and order dated April 10, 2006, Supreme Court ruled in Then's favor. Supreme Court concluded that while various "lower court decisions . . . have concerned issues similar to that currently before this court" (citations omitted), Then's case was "[u]nique" because he was "currently in the custody of the Department of Corrections on two separate A-II felony convictions, *albeit*, his incarceration on the [1999 conviction was the] result of a parole violation resulting from his second A-II conviction"; and that "the purposes underlying the drug reform act call[ed] for eligibility in [Then's] case." On April 24, 2006, Supreme Court resentenced Then to a determinate term of five years' imprisonment and a five-year period of postrelease supervision for the 1999 conviction, to run concurrently with a determinate term of six years' imprisonment and a five-year period of postrelease supervision for the 2003 conviction.

The People appealed, and the Appellate Division unanimously reversed and reinstated Then's original sentence for the 1999 conviction. The court reasoned that Then's

"release to parole in 2002 precluded resentencing on his 1999 conviction. Under the 2005 DLRA, a defendant applying for resentencing must be more than three years away from parole eligibility. When defendant applied for resentencing in 2005, he did not qualify, because he had already been paroled" (*People v Then*, 47 AD3d 404, 405 [1st Dept 2008] [citations omitted]).

A Judge of this Court subsequently granted Then leave to appeal (10 NY3d 845 [2008]).

II.

The 2005 DLRA provides that

"any person in the custody of the department of correctional services convicted of a class A-II felony offense defined in article 220 of the penal law which was committed prior to the effective date of this section, and who was sentenced thereon to an indeterminate term of imprisonment with a minimum period not less than three years pursuant to provisions

of the law in effect prior to the effective date of this section, *and who is more than twelve months from being an eligible inmate as that term is defined in subdivision 2 of section 851 of the correction law*, and who meets the eligibility requirements of paragraph (d) of subdivision 1 of section 803 of the correction law^[3] . . . [may apply for resentencing to a determinate term]” (L 2005, ch 643, § 1 [emphasis added]).

Correction Law § 851 (2), in turn, defines an “eligible inmate” as

“a person confined in an institution who is eligible for release on parole or who will become eligible for release on parole or conditional release *within two years*. . . . In the case of a person serving an indeterminate sentence of imprisonment imposed pursuant to the penal law in effect after September one, nineteen hundred sixty-seven, for the purposes of this article parole eligibility shall be upon the expiration of the minimum period of imprisonment fixed by the court or where the court has not fixed any period, after service of the minimum period fixed by the state board of parole. If an inmate is denied release on parole, such inmate shall not be deemed an eligible inmate until he or she is within two years of his or her next scheduled appearance before the state parole board” (emphasis added).

[1] Reading these two provisions together, we hold that in order to qualify for resentencing under the 2005 DLRA, class A-II felony drug offenders must not be eligible for parole within three years of their resentencing applications (*see Bautista*, 26 AD3d at 230; *People v Parris*, 35 AD3d 891, 892 [2d Dept 2006]; *People v Thomas*, 35 AD3d 895, 896 [3d Dept 2006]; *People v Smith*, 45 AD3d 1478 [4th Dept 2007]). The statutory text is simply not amenable to any other interpretation. Even if it were ambiguous, legislative history and policy considerations do not support the proposition, advanced by Mills, that the Legislature never intended what he calls a “three-year carve-out.”

For example, interested parties as varied as the Commissioner of the Department of Correctional Services and the Executive

3. Correction Law § 803 governs merit time allowances for inmates.

Director of the New York State Defenders Association (NYSDA) explicitly described the 2005 DLRA as creating a three-year limitation. The Commissioner remarked that

“[t]o be eligible to apply, an offender must have more than three years remaining until his or her parole eligibility date and must also be otherwise eligible to earn merit time. It is estimated that there are approximately 508 inmates serving indeterminate sentences . . . who would be eligible to . . . be re-sentenced” (see Letter of Glen S. Goord, Commissioner of DOCS, Bill Jacket, L 2005, ch 643, at 11).

Indeed, the NYSDA’s Executive Director actually emphasized the fact that the 2005 DLRA would not reach first-time class A-II felony drug offenders, stating in a letter to Governor Pataki that

“[t]he bill is narrowly tailored to offer the possibility of relief to inmates who are most desperately in need of sentence review: those non-violent drug offenders who are serving life sentences for Class A-II drug offenses with *relatively long minimum terms* who were overlooked in the 2004 Drug Law Reform Act.

“[The bill that became the 2005 DLRA] offers the opportunity for discretionary resentencing only to those A-II felony offenders who are more than three years from parole release consideration. Therefore, [the bill] will not apply to most A-II offenders serving minimum terms of less than 6 years because the majority of them will be within 3 years of parole release consideration on the effective date of this law” (see Letter of Jonathan E. Gradess, Executive Director of the NYSDA, Bill Jacket at 25).

Moreover, while the introducer’s memorandum states that the statute would apply to “[t]hose class A-II felony controlled substance offenders who . . . at the time of the petition are . . . more than 12 months from being eligible for the temporary release program established pursuant to section 851 of the correction law” (Senate Introducer’s Mem in Support, Bill Jacket

at 3),⁴ this does not conflict with the three-year limitation. As the New York City Bar Association made clear in its description of the 2005 DLRA's eligibility provisions: "The bill would allow non-violent A-II offenders more than twelve months away from temporary release eligibility with three years or longer left to serve the opportunity to petition for resentencing" (Letter of John H. Doyle, III, Chair, Council on Criminal Justice, Association of the Bar of the City of New York, Bill Jacket at 22).

Further, this reading of the statutory text does not create a distinction that is irrational in light of the Legislature's intent. Defendants decry the fact that the 2005 DLRA does not cover first-time felony drug offenders facing indeterminate three-years-to-life sentences, while second- and third-time offenders might be eligible for resentencing. But this difference in treatment "ameliorat[es] the conditions of those A-II offenders facing the *longest prison time*" (*Bautista*, 26 AD3d at 230 [emphasis added]), as the Legislature intended when it enacted the 2005 DLRA. In short, the Legislature chose to confine the opportunity for resentencing in the courts to those A-II felony drug offenders unable to seek early release from prison from the Parole Board in the near term.

III.

[2] Mills was less than three years from parole eligibility when he applied for resentencing: as mentioned earlier, by law, Mills must receive a parole hearing every two years. Thus, in accordance with the plain meaning of the 2005 DLRA (and, by reference, Correction Law § 851 [2]), Mills is not "more than twelve months from being an eligible inmate as that term is defined in subdivision 2 of section 851 of the correction law" and therefore does not qualify for resentencing. As previously noted, the very point of the "eligible inmate" restriction is plausibly to allow the Parole Board (rather than the courts) to decide whether an incarcerated class A-II felony drug offender should be released in those cases where parole review is upcoming. Finally, although Mills also contends that ineligibility for resentencing would violate his rights to due process and equal protection under the State and Federal Constitutions, this argument is unpreserved for our review.

4. An Assembly memorandum not included in the Bill Jacket uses the language "more than twelve months from being eligible for appearance before the parole board" (Mem in Support of 2005 NY Assembly Bill A8980), but this appears to have been an error corrected by the time the bills were consolidated, passed, and sent to the Governor to be signed into law.

Then's case is somewhat more complicated because he was sentenced to an indeterminate term upon his conviction in 2003 for a class A-II drug felony that he committed while released on parole from a 1999 conviction for another class A-II drug felony. As a result of the 2003 conviction, he was ineligible for parole for more than three years at the time he applied for resentencing. Then urges us to read the "eligible inmate" language literally, thereby entitling him to seek resentencing under the 2005 DLRA for both the 1999 conviction—which he claims was, in effect, revived for purposes of the 2005 DLRA by the time assessment imposed for the parole violation—and the 2003 conviction.

This would create illogical, if not perverse, results. For example, if Then had *not* broken the law while on parole, he would clearly be ineligible for resentencing on the 1999 conviction under the 2005 DLRA (he would not have been in DOCS's custody, for one thing), leaving him with an indeterminate lifetime sentence.⁵ Then's argument boils down to the proposition that, solely because he is a repeat offender, he qualified for relief (possible resentencing to a determinate term for the 1999 conviction) otherwise beyond his reach. Surely the Legislature did not intend fresh crimes to trigger resentencing opportunities.

[3] A valid and more sensible reading of the statutory text is that in order to be eligible for resentencing, an inmate must be more than three years from parole eligibility for the *same* class A-II drug felony for which resentencing is sought. In Then's case, he became ineligible for parole on the 1999 conviction the minute he was, in fact, paroled. We therefore hold that once a defendant has been released to parole supervision for a class A-II drug felony conviction, he or she no longer qualifies for 2005 DLRA relief for that particular conviction (*see People v Hardy*, 49 AD3d 779, 779-780 [2d Dept 2008]; *People v McCloud*, 38 AD3d 1056, 1057 [3d Dept 2007], *lv dismissed* 8 NY3d 947 [2007]; *People v Hernandez*, 46 AD3d 1425, 1426 [4th Dept 2007], *lv dismissed* 9 NY3d 1034 [2008]).

Accordingly, the orders of the Appellate Division in *Mills* and *Then* should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

5. Assuming Then qualifies for postrelease "termination of sentence" under Executive Law § 259-j (3-a), part of the 2004 DLRA (*see* L 2004, ch 738, § 37), this same relief would still be available to him if and when he is once again paroled on his 1999 conviction.

In each case: Order affirmed.

[901 NE2d 192, 872 NYS2d 701]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JEAN YVES
JEAN-BAPTISTE, Respondent.

Argued October 21, 2008; decided November 25, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 9, 2007. The Appellate Division modified, on the law, a judgment of the Supreme Court, Kings County (Albert Tomei, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree. The modification consisted of reducing defendant's conviction of murder in the second degree to manslaughter in the second degree, vacating the sentence imposed thereon and remitting to Supreme Court for resentencing. The Appellate Division affirmed the judgment as modified.

People v Jean-Baptiste, 44 AD3d 792, affirmed.

HEADNOTE

Crimes — Murder — Depraved Indifference Murder

In the prosecution of defendant, who shot the victim at close range while the two were attending a party in the basement of a home, defendant's conviction was properly reduced from depraved indifference murder (Penal Law § 125.25 [2]) to manslaughter in the second degree (Penal Law § 125.15 [1]) because the evidence at trial was legally insufficient to establish defendant's guilt pursuant to the standard for depraved indifference murder applicable at the time of defendant's appeal. The standard by which depraved indifference murder is measured changed between the time of defendant's conviction and the time of his appeal from the objective standard as charged to the jury (*see People v Register*, 60 NY2d 270 [1983]) to a subjective standard as articulated in *People v Feingold* (7 NY3d 288 [2006]). Pursuant to traditional common-law principles the decision in *Feingold* is applicable to cases pending on direct appeal in which the defendant has adequately challenged the sufficiency of the proof as to his depraved indifference murder conviction. Because defendant herein made a specific motion to dismiss for legal insufficiency at trial, anticipating the change in the law brought by *Feingold*, defense counsel did not additionally have to take an exception to the court's depraved indifference murder charge.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 627, 786; AM JUR 2d, Homicide §§ 45–47, 424, 446, 447, 550, 560.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:3840, 172:4210, 172:4455, 172:4493.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.

McKINNEY's, Penal Law § 125.15 (1); § 125.25 (2).

NY JUR 2d, Criminal Law: Procedure §§ 2871, 3379, 3403, 3602, 3641; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 512, 549, 581.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting "depraved indifference." 25 ALR4th 311.

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Query: depraved /2 indifference /2 murder /p reduc! /6 manslaughter /p sufficien!

POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (*Ruth E. Ross* and *Leonard Joblove* of counsel), for appellant. The evidence adduced at defendant's trial was legally sufficient to support his conviction of depraved indifference murder. (*Policano v Herbert*, 7 NY3d 588; *People v Register*, 60 NY2d 270, 466 US 953; *People v Sanchez*, 98 NY2d 373; *People v Hafeez*, 100 NY2d 253; *People v Gonzalez*, 1 NY3d 464; *People v Payne*, 3 NY3d 266; *People v Suarez*, 6 NY3d 202; *People v Feingold*, 7 NY3d 288; *People v Favor*, 82 NY2d 254; *People v Mitchell*, 80 NY2d 519.)

Lynn W.L. Fahey, New York City, and *Joshua M. Levine* for respondent. The Appellate Division correctly determined that the evidence was legally insufficient to sustain respondent's depraved indifference murder conviction. (*People v Vasquez*, 88 NY2d 561; *People v Favor*, 82 NY2d 254; *People v Pepper*, 53 NY2d 213, 454 US 967, 1162; *Griffith v Kentucky*, 479 US 314; *Jones v United States*, 526 US 227; *In re Winship*, 397 US 358; *Schriro v Summerlin*, 542 US 348; *People v Getch*, 50 NY2d 456; *Sandstrom v Montana*, 442 US 510; *People v Hill*, 85 NY2d 256.)

OPINION OF THE COURT

PIGOTT, J.

The issue raised by this appeal is whether the evidence introduced at trial was legally sufficient to establish defendant's guilt of depraved indifference murder. Because the Appellate Division properly applied the present standard for depraved

indifference murder, as set forth in *People v Feingold* (7 NY3d 288 [2006]), we conclude that it was not and affirm the Appellate Division's reduction of defendant's conviction to manslaughter in the second degree (Penal Law § 125.15 [1]).

On January 13, 2002, just after midnight, Michael Weekes, his fiancée and several other friends arrived at a party in a basement of a Brooklyn home. After approximately 20 minutes, Weekes and his fiancée walked past a man nicknamed "Backshot," whom they recognized from previous parties. Backshot either said something to Weekes, pushed him, or both. In response, Weekes turned, picked up a bottle from a table and hit Backshot once on the side of the head. Defendant, Backshot's cousin, then pulled out a handgun and, when he was within 12 to 18 inches of Weekes, pulled the trigger twice, but the gun did not fire. Defendant pulled the trigger a third time, discharging a round into Weekes's chest, killing him.

For these acts, defendant was charged with, among other things, two counts of murder in the second degree (Penal Law § 125.25 [1] [intentional murder], [2] [depraved indifference murder]). After a trial, a jury acquitted defendant of intentional murder, but was unable to reach a verdict on the remaining charges, including the charge of depraved indifference murder. The People thereafter filed a superseding indictment, adding manslaughter in the first degree (Penal Law § 125.20 [1]) to the charges contained in the prior indictment.

At the time of defendant's second trial, the elements of depraved indifference murder were defined by this Court's decision in *People v Register* (60 NY2d 270 [1983]). Under that definition, the only culpable mental state that the People were required to prove was recklessness with respect to the risk of death. The requirement that the defendant's acts be committed "[u]nder circumstances evincing a depraved indifference to human life" under *Register* did not refer to defendant's mental state, but instead referred to "the factual setting in which the risk creating conduct must occur" (*id.* at 276). Based on that instruction from the court, the jury found defendant guilty of depraved indifference murder.

Defendant appealed, contending that the evidence was legally insufficient to support his conviction. He argued that because the standard by which depraved indifference murder is measured had changed between the time of his conviction and the time of his appeal, from the objective standard as charged to the jury to a subjective standard as articulated by this Court in

People v Feingold (7 NY3d 288 [2006]), he was entitled to a dismissal of that charge. In *Feingold*, this Court overruled *Register* and held that “depraved indifference to human life is a culpable mental state” (*id.* at 294). Thus, under *Feingold*, it is not the circumstances under which the homicide occurred that determines whether defendant is guilty of depraved indifference murder, but rather defendant’s mental state at the time the crime occurred. The Appellate Division, citing *Feingold*, agreed with the defendant and held that his conviction of depraved indifference murder could not stand because the evidence failed to establish the mental state required for depraved indifference to human life (44 AD3d 792 [2007]). It further concluded, however, that the evidence was legally sufficient to establish the lesser-included offense of manslaughter in the second degree (Penal Law § 125.15 [1]), and modified the judgment accordingly (44 AD3d at 793). A Judge of this Court granted leave to appeal (9 NY3d 1035 [2008]).

The primary issue before us is whether our decision in *Feingold* applies only prospectively to those defendants sentenced after that decision was rendered or whether that decision should apply to cases, such as the one now before us, which are pending on direct appeal. We hold that the standard as articulated in *Feingold* should apply to cases brought on direct appeal in which the defendant has adequately challenged the sufficiency of the proof as to his depraved indifference murder conviction.

“Under traditional common-law principles, cases on direct appeal are generally decided in accordance with the law as it exists at the time the appellate decision is made” (*People v Vasquez*, 88 NY2d 561, 573 [1996]). For instance, in *People v Hill* (85 NY2d 256 [1995]), we held that our decision in *People v Ryan* (82 NY2d 497 [1993])—concluding the term “knowingly” in Penal Law § 220.18 applies not only to the possession of the illicit substance itself but also to the weight of the substance—was applicable to cases pending on direct appeal at the time of the decision. We reasoned that “a conclusion that the *Ryan* case is not retroactive would result in a person’s guilt even though one of the elements of the crime had not been established” (85 NY2d at 263). As such, a finding of guilt would “have rendered the proceeding fundamentally unfair and a violation of due process” (*id.* at 262).

Our reasoning in *Hill* is applicable to this case. Notably, a majority of the Appellate Division decisions already considering the issue have applied the prevailing law to direct appeals of

depraved indifference murder convictions (*see e.g. People v Dickerson*, 42 AD3d 228 [1st Dept 2007], *lv denied* 9 NY3d 960 [2007]; *People v Ziminski*, 34 AD3d 507 [2d Dept 2006]; *People v George*, 43 AD3d 560 [3d Dept 2007], *affd* 11 NY3d 848 [2008] [decided today]; *People v Garrison*, 39 AD3d 1138 [4th Dept 2007], *lv denied* 9 NY3d 844 [2007]).

The People rely on our decision in *Policano v Herbert* (7 NY3d 588 [2006]) in urging that this Court should not apply the existing depraved indifference murder law to defendants challenging their convictions on direct appeals. In *Policano*, we applied the three-part *Pepper* test when deciding whether our new depraved indifference standard applied retroactively to a case brought by collateral attack (*id.* at 603-604; *see People v Pepper*, 53 NY2d 213 [1981]). We held that the existing law should not be applied on collateral review to defendants whose convictions became final prior to our new interpretation of the law of depraved indifference murder. But that is not the case here, where defendant's conviction is still not final.*

There are important distinctions between defendants continuing to press specific sufficiency challenges during the appellate process, and those raising such challenges long after their convictions are final. Courts are not generous in applying new rules of law to collateral proceedings, given the “underlying considerations of finality” (*see People v Favor*, 82 NY2d 254, 261 n 2 [1993]). This Court has “drawn a sharp distinction between cases on direct appeal and cases in which ‘[t]he normal appellate process [has come] to an end’ ” (*id.*). In *Policano*, we recognized that to allow retroactive application of existing law to final convictions “would mean that every defendant to whose case it was relevant, no matter how remote in time and merit, would become [a] beneficiary” (*Pepper*, 53 NY2d at 222; *see Policano*, 7 NY3d at 604). We specifically noted our concern for congesting the courts with a multitude of motions by defendants with long-standing final convictions (*Policano*, 7 NY3d at 604). That concern is not present here. To exempt those cases that are presently on direct appeal from the application of this Court's recent jurisprudence would produce results contrary to our common-law tradition. Consequently, the Appellate Division here properly evaluated defendant's sufficiency challenge in

* Similarly, in *People v Reynolds* (25 NY2d 489 [1969]), this Court held that an evidentiary rule, pronounced after defendant's conviction, would not be retroactively applied to defendant's case. Reynolds' appeal, however, was on a motion to reargue to this Court four years after his appeal had become final.

light of our recent decisional law on depraved indifference murder.

The People maintain that, even if this Court retroactively applied *Feingold* to cases on direct appeal, the legal sufficiency of defendant's conviction should be measured by the court's charge given without exception. Here, however, the defendant made a specific motion to dismiss for legal insufficiency at trial, anticipating the change in the law brought by *Feingold*. The principle the People cite is inapplicable when, as in this case, defense counsel made a specific motion for a trial order of dismissal. Having made that motion, defense counsel did not additionally have to take an exception to the court's depraved indifference murder charge (see *Suria v Shiffman*, 67 NY2d 87, 96 [1986]).

Our holdings in *People v Dekle* (56 NY2d 835 [1982]) and *People v Sala* (95 NY2d 254, 260 [2000]) are not to the contrary. In *Dekle*, defendant moved for a trial order of dismissal on a robbery count because no "immediate" threat of physical force was possible when defendant was unable to open the folded knife. The court denied his motion and charged the jury that "immediate" had its ordinary meaning and no specific time was required to convict; defendant did not object to that definition. On appeal, defendant advanced a new theory, claiming that the trial court should have charged that "immediate" requires temporal and geographic proximity to the taking of the property. Unlike the present case, defendant in *Dekle* failed to preserve his newly advanced legal theory because it differed from the theory he advanced at trial. In *Sala* as well, the defendants advanced a different legal theory in this Court than the one objected to at trial.

In applying the *Feingold* standard to the case at bar, we conclude that the Appellate Division properly found that the evidence failed to establish that defendant acted with the requisite mental state of depraved indifference to human life. Further, the court correctly concluded that the evidence supported a conviction for manslaughter in the second degree (Penal Law § 125.15 [1]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed.

[900 NE2d 966, 872 NYS2d 415]

FRANK ADAMO, as Executor of NORMA ROSE, Deceased, et al.,
Appellants, v BROWN & WILLIAMSON TOBACCO CORPORATION,
as Successor in Interest to THE AMERICAN TOBACCO COM-
PANY, et al., Respondents, et al., Defendant.

Argued November 18, 2008; decided December 16, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 10, 2008. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, insofar as appealed from, a judgment of the Supreme Court, New York County (Karen S. Smith, J.; see 10 Misc 3d 680), which had awarded plaintiffs Norma Rose and Leonard Rose compensatory damages against defendant Brown & Williamson Holdings, Inc. and defendant Philip Morris USA Inc., together with attorney's fees and litigation expenses, and awarded those plaintiffs punitive damages against defendant Philip Morris USA Inc.; (2) granted the motions by those defendants for a directed verdict and for judgment notwithstanding the verdict; and (3) dismissed the second amended verified complaint.

Rose v Brown & Williamson Tobacco Corp., 53 AD3d 80, affirmed.

HEADNOTE

Products Liability — Defectively Designed Product — Cigarettes — Failure to Prove Alternative Equivalence in Function or Utility

Defendant tobacco companies were entitled to a directed verdict and judgment notwithstanding the verdict with respect to plaintiffs' claims for negligent product design in an action premised upon the deceased plaintiff's development of lung cancer and another condition allegedly caused by smoking. While plaintiffs claimed that defendants should have used lower levels of tar and nicotine in their products, plaintiffs failed to prove that light cigarettes—cigarettes containing significantly lower levels of tar and nicotine—were equivalent in function, or utility, to regular cigarettes. The function of a cigarette is to give pleasure to a smoker, and plaintiffs made no attempt to prove that light cigarettes perform that function as well as regular cigarettes.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 933, 934, 938, 939, 942,
944, 945, 949–951, 974, 1705, 1706.

NY JUR 2d, Products Liability §§ 20–22, 59, 60, 95, 101, 206–208.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d, §§ 18:02, 18:03.

ANNOTATION REFERENCE

Products liability: cigarettes and other tobacco products.
36 ALR5th 541.

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Query: cigarette /s negligent! /2 design!

POINTS OF COUNSEL

Whiteman Osterman & Hanna LLP, Albany (Howard A. Levine, Alan J. Goldberg, Christopher W. Meyer, William S. Nolan and Christopher M. McDonald of counsel), and *Finz & Finz, P.C.*, Jericho (Stuart L. Finz, Jay L. Feigenbaum and Todd M. Rubin of counsel), for appellants. I. The Appellate Division majority erred in imposing a new, impossible-to-meet “consumer acceptability” burden on plaintiffs, a radical and unprecedented step that effectively immunizes the entire cigarette industry from defective design claims. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Gonzalez v Delta Intl. Mach. Corp.*, 307 AD2d 1020; *Smith v Hub Mfg. Inc.*, 634 F Supp 1505; *Cohen v Hallmark Cards*, 45 NY2d 493; *Denny v Ford Motor Co.*, 87 NY2d 248; *Rypkema v Time Mfg. Co.*, 263 F Supp 2d 687; *Friedman v National Presto Indus., Inc.*, 566 F Supp 762; *Rainbow v Elia Bldg. Co.*, 79 AD2d 287, 54 NY2d 718; *Felix v Akzo Nobel Coatings*, 262 AD2d 447.) II. Plaintiffs established a prima facie case of causation. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Gayle v City of New York*, 92 NY2d 936; *Schneider v Kings Hwy. Hosp. Ctr.*, 67 NY2d 743; *Mirand v City of New York*, 84 NY2d 44; *O’Neill v City of Port Jervis*, 253 NY 423; *Nowlin v City of New York*, 81 NY2d 81; *Mercado v Vega*, 77 NY2d 918; *Equitable Life Assur. Socy. of U.S. v Nico Constr. Co.*, 245 AD2d 194; *Mortensen v Memorial Hosp.*, 105 AD2d 151; *McKinnon v Bell Sec.*, 268 AD2d 220.) III. Plaintiffs’ negligent design claim is not preempted by federal law. (*FDA v Brown & Williamson Tobacco Corp.*, 529 US 120; *Geier v American Honda Motor Co.*, 529 US 861; *Medtronic, Inc. v Lohr*, 518 US 470; *Retail Clerks v Schermerhorn*, 375 US 96; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *English v*

General Elec. Co., 496 US 72; *Puerto Rico Dept. of Consumer Affairs v ISLA Petroleum Corp.*, 485 US 495; *Solid Waste Agency of Northern Cook Cty. v Army Corps of Engineers*, 531 US 159; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164.) IV. The jury's punitive damages award should stand. (*Nardelli v Stamberg*, 44 NY2d 500; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478; *United States v Philip Morris USA, Inc.*, 449 F Supp 2d 1; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Lugo v LJN Toys*, 146 AD2d 168; *Dubecky v S2 Yachts*, 234 AD2d 501; *Krohn v Agway Petroleum Corp.*, 168 AD2d 858; *Croton Falls Fire Dist. v Pierce Mfg. Co.*, 130 AD2d 456; *Hafner v Guerlain, Inc.*, 34 AD2d 162.)

Mayer Brown LLP, New York City (*Andrew H. Schapiro, Andrew L. Frey, Lauren R. Goldman and Scott A. Chesin* of counsel), *Joseph W. Bellacosa*, Garden City, *Arnold & Porter LLP*, New York City (*Keri L. Arnold and Angela Showalter* of counsel), *Winston & Strawn LLP* (*Thomas J. Quigley and Luke A. Connelly* of counsel), *Chadbourn & Parke LLP* (*Thomas E. Riley, Ellen Black and Cassandre L. Charles* of counsel) and *Arnold & Porter LLP*, Washington, D.C. (*James M. Rosenthal* of counsel), for respondents. I. The Appellate Division correctly dismissed appellants' negligent design claim because there was no evidence of a safer design that would have utility similar to that of regular cigarettes. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Denny v Ford Motor Co.*, 87 NY2d 248; *Scarangella v Thomas Built Buses*, 93 NY2d 655; *Felix v Akzo Nobel Coatings*, 262 AD2d 447; *Perez v Radar Realty*, 34 AD3d 305; *Pigliavento v Tyler Equip. Corp.*, 248 AD2d 840; *Clinton v Brown & Williamson Holdings, Inc.*, 498 F Supp 2d 639; *Rypkema v Time Mfg. Co.*, 263 F Supp 2d 687; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376.) II. Appellants' failure to prove proximate cause provides an independent basis for affirmance. (*Kulak v Nationwide Mut. Ins. Co.*, 40 NY2d 140; *Meiselman v Crown Hgts. Hosp.*, 285 NY 389; *Cipollone v Liggett Group, Inc.*, 683 F Supp 1487.) III. Prejudicial instructional and evidentiary errors would require a retrial if this Court were to reverse the dismissal. (*Denny v Ford Motor Co.*, 87 NY2d 248; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Scarangella v Thomas Built Buses*, 93 NY2d 655; *J.R. Loftus, Inc. v White*, 85 NY2d 874.) IV. Appellants' negligence claim, as it was sent to the jury, is preempted by federal law. (*Geier v American Honda Motor Co.*, 529 US 861; *Freightliner Corp. v Myrick*, 514 US

280; *FDA v Brown & Williamson Tobacco Corp.*, 529 US 120; *Conley v R.J. Reynolds Tobacco Co.*, 286 F Supp 2d 1097; *Johnson v Brown & Williamson Tobacco Corp.*, 345 F Supp 2d 16; *Insolia v Philip Morris Inc.*, 128 F Supp 2d 1220; *Alvarez v R.J. Reynolds Tobacco Co.*, 313 F Supp 2d 61; *Spain v Brown & Williamson Tobacco Corp.*, 363 F3d 1183; *Puerto Rico Dept. of Consumer Affairs v ISLA Petroleum Corp.*, 485 US 495; *Bob Jones Univ. v United States*, 461 US 574.) V. The punitive damages award cannot stand. (*Sharapata v Town of Islip*, 56 NY2d 332; *McDougald v Garber*, 73 NY2d 246; *Lugo v L.J.N. Toys*, 146 AD2d 168; *Dubecky v S2 Yachts*, 234 AD2d 501; *Krohn v Agway Petroleum Corp.*, 168 AD2d 858; *Croton Falls Fire Dist. v Pierce Mfg. Co.*, 130 AD2d 456; *West v Goodyear Tire & Rubber Co.*, 973 F Supp 385; *Camillo v Geer*, 185 AD2d 192; *Hafner v Guerlain, Inc.*, 34 AD2d 162; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196.)

Goldberg Segalla LLP, Buffalo (Neil A. Goldberg, Matthew S. Lerner and Bryan D. Richmond of counsel), and *Hugh F. Young, Jr.*, Reston, Virginia, for Product Liability Advisory Council, Inc., amicus curiae. I. This Court should affirm the Appellate Division's decision and order because it relies upon well-settled principles stated in *Voss v Black & Decker Mfg. Co.* (59 NY2d 102 [1983]) and the departure from these principles will have a dire statewide and national impact on future litigation concerning liability for product design defects. (*Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Clinton v Brown & Williamson Holdings, Inc.*, 498 F Supp 2d 639; *Friedman v National Presto Indus., Inc.*, 566 F Supp 762; *Denny v Ford Motor Co.*, 87 NY2d 248; *Felix v Akzo Nobel Coatings*, 262 AD2d 447; *Perez v Radar Realty*, 34 AD3d 305; *Pigliavento v Tyler Equip. Corp.*, 248 AD2d 840; *Scarangella v Thomas Built Buses*, 93 NY2d 655; *Codling v Paglia*, 32 NY2d 330.) II. Appellants' argument requires this Court to go beyond its defined role in this state's tripartite system and imposes a paternalistic view of products liability not considered in New York jurisprudence. (*MacPherson v Buick Motor Co.*, 217 NY 382; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Matter of 89 Christopher v Joy*, 35 NY2d 213; *FDA v Brown & Williamson Tobacco Corp.*, 529 US 120; *Klostermann v Cuomo*, 61 NY2d 525; *Codling v Paglia*, 32 NY2d 330; *Pommells v Perez*, 4 NY3d 566; *Matter of Jensen v Southern Pac. Co.*, 215 NY 514; *Santass v Consolidated Inv. Co., Inc.*, 10 NY3d 333.)

James A. Henderson, Jr., Ithaca, for Professor James A. Hen-

derson, Jr., amicus curiae. I. New York products liability law, as well as American products law generally, weighs heavily the interests of consumers in being allowed to choose products they deem useful and enjoyable. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Codling v Paglia*, 32 NY2d 330; *Scarangella v Thomas Built Buses*, 93 NY2d 655.) II. Ignoring the fact that consumers of regular cigarettes would not choose to smoke, plaintiffs' proposed alternative cannot be justified on the ground that cigarettes represent a special category of products that deserve to be banned from further sale or consumption. (*McCarthy v Olin Corp.*, 119 F3d 148; *Estate of White v R.J. Reynolds Tobacco Co.*, 109 F Supp 2d 424; *Kotler v American Tobacco Co.*, 926 F2d 1217; *Gunsalus v Celotex Corp.*, 674 F Supp 1149.)

Robbins, Russell, Englert, Orseck, Untereiner & Sauber LLP, Washington, D.C. (*Rachel Li Wai Suen* of counsel), and *National Chamber Litigation Center, Inc.* (*Robin S. Conrad* of counsel), for Chamber of Commerce of the United States of America, amicus curiae. I. Plaintiffs cannot prevail on a "reasonable alternative design" theory without evidence comparing the utility of regular and ultralight cigarettes. (*Dreisonstok v Volkswagenwerk, A.G.*, 489 F2d 1066; *Monahan v Toro Co.*, 856 F Supp 955; *Dyson v General Motors Corp.*, 298 F Supp 1064; *Denny v Ford Motor Co.*, 87 NY2d 248; *United States v Carroll Towing Co.*, 159 F2d 169; *Lavespere v Niagara Mach. & Tool Works, Inc.*, 910 F2d 167.) II. Plaintiffs offer no reason why their case should be treated differently from any other "reasonable alternative design" case. (*Linegar v Armour of Am., Inc.*, 909 F2d 1150; *Singleton v International Harvester Co.*, 685 F2d 112.)

OPINION OF THE COURT

SMITH, J.

Plaintiffs claim that two cigarette companies were negligent in designing their product, in that they should have used lower levels of tar and nicotine. We agree with the Appellate Division that plaintiffs failed to prove an essential element of their case: that regular cigarettes and "light" cigarettes have the same "utility." The only "utility" of a cigarette is to gratify smokers' desires for a certain experience, and plaintiffs did not prove, or try to prove, that light cigarettes perform this function as well as regular cigarettes.

Norma Rose, who died during the pendency of this appeal, smoked for more than 40 years, consuming more than a pack a

day of regular cigarettes. Beginning in the late 1960s, the products she smoked were manufactured by the American Tobacco Company and Philip Morris USA Inc. Ms. Rose quit smoking in 1993, and was diagnosed two years later with lung cancer and another condition allegedly caused by smoking. She and her husband brought a number of claims against American Tobacco's successor (Brown & Williamson Tobacco Corporation), Philip Morris and a third company. All their claims except one for negligent product design were dismissed at the trial level and are not now before us.

A jury found that American Tobacco and Philip Morris negligently designed the cigarettes Ms. Rose smoked and, in later phases of the trial, awarded compensatory and punitive damages. The Appellate Division reversed the resulting judgment, with two Justices dissenting, and granted judgment in defendants' favor (53 AD3d 80 [2008]). Plaintiffs appeal to us pursuant to CPLR 5601 (a), and we now affirm the Appellate Division's order.

In *Voss v Black & Decker Mfg. Co.* (59 NY2d 102, 108 [1983]), speaking of a claim of strict product liability, we said: "The plaintiff . . . is under an obligation to present evidence that the product, as designed, was not reasonably safe because there was a substantial likelihood of harm and it was feasible to design the product in a safer manner." While this is a negligence, not a strict liability, case, similar requirements apply—specifically, plaintiffs here had to prove that "it was feasible to design the product in a safer manner." This means, to use again the language of *Voss*, the plaintiffs must show "the potential for designing . . . the product so that it is safer but remains functional" (*id.* at 109).

Here, plaintiffs presented evidence from which a jury could find that light cigarettes—cigarettes containing significantly lower levels of tar and nicotine—are "safer" than regular cigarettes, but they did not show that cigarettes from which much of the tar and nicotine has been removed remain "functional." The function of a cigarette is to give pleasure to a smoker; plaintiffs have identified no other function. Plaintiffs made no attempt to prove that smokers find light cigarettes as satisfying as regular cigarettes—indeed, it is virtually uncontested that they do not. Both regular and light cigarettes are available on the market, and the enhanced dangers that come from smoking regular cigarettes are well known, but large numbers of consumers continue to prefer regular cigarettes.

It is not necessary in every product liability case that the plaintiff show the safer product is as acceptable to consumers as the one the defendant sold; but such a showing is necessary where, as here, satisfying the consumer is the only function the product has. A cigarette is a different kind of product from the circular saw in *Voss*, whose function was to cut wood, or the molding machine in *Robinson v Reed-Prentice Div. of Package Mach. Co.* (49 NY2d 471 [1980]), whose function was to melt and form plastic.

We find an apt analogy, as the Appellate Division did, in *Felix v Akzo Nobel Coatings* (262 AD2d 447 [2d Dept 1999]). The product involved in *Felix* was a quick drying lacquer sealer made from a highly flammable solvent base. The plaintiff argued that a safer design was “feasible,” because a sealer can be made from a water base, but the plaintiff’s expert “admitted that the water-based products take hours longer to dry” (*id.* at 448). The court in *Felix* found that this “functional difference” defeated the plaintiff’s case; the plaintiff failed to produce evidence “that there was an alternative, safer design” serving the same function (*id.* at 448, 449). Similarly, here plaintiffs’ case fails because plaintiffs failed to show that light cigarettes are equivalent in function, or utility, to regular ones.

Of course we are conscious, as everyone must be, of the irony in speaking of cigarettes’ “utility.” A strong argument can be made that, when the pleasure they give smokers is balanced against the harm they do, regular cigarettes are worse than useless. But it is still lawful for people to buy and smoke regular cigarettes, and for cigarette companies to sell them. To hold, as plaintiffs ask, that every sale of regular cigarettes exposes the manufacturer to tort liability would amount to a judicial ban on the product. If regular cigarettes are to be banned, that should be done by legislative bodies, not by courts.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I respectfully dissent. Plaintiffs met their burden of establishing that defendants were able to design a safer cigarette that maintained the functionality of a regular cigarette (see *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 109 [1983]). The majority concludes, however, that plaintiffs were required “to prove that smokers find light cigarettes as satisfying as regular cigarettes,” and were further obligated to prove that cigarettes serve some function other than to provide plea-

sure (majority op at 550). In my view, this language improperly shifts the burden of proving consumer acceptability to plaintiffs.

At trial, defendants moved “to offer evidence tending to prove that the ‘safer alternative design’ suggested by plaintiffs was not feasible because it was not acceptable to consumers (i.e., not commercially viable)” (10 Misc 3d 680, 696-697 [2005]). The trial court denied that motion, concluding that evidence of commercial viability of the lighter cigarette was irrelevant to its feasibility or functionality (*id.* at 699). That was error and, therefore, I would remit the matter to Supreme Court for a new trial to permit defendants the opportunity to present proof of the alleged commercial unacceptability of the lighter cigarette as compared to the regular cigarette.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge SMITH; Judge PIGOTT dissents in a separate opinion.

Order affirmed, with costs.

[900 NE2d 964, 872 NYS2d 413]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT
BUSS, Appellant.

Argued November 19, 2008; decided December 16, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 2, 2007. The Appellate Division affirmed an order of the Nassau County Court (Donald E. Belfi, J.), which, after a hearing, had designated defendant a level three sex offender pursuant to Correction Law article 6-C.

People v Buss, 44 AD3d 634, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Applicability

Defendant, whose sentence for his 1983 sexual abuse conviction would have expired before the effective date of the Sex Offender Registration Act (SORA) had he not committed another crime in 1987 for which he was given a 10-to-20-year sentence running consecutively to the undischarged part of his 1983 sentence, was subject to SORA. Penal Law § 70.30 provides for the calculation of terms of imprisonment by the merging of concurrent sentences and addition of consecutive sentences, with the result that two or more sentences are made into one. For SORA purposes a prisoner serving multiple sentences is subject to all the sentences, whether concurrent or consecutive, that make up the merged or aggregate sentence he or she is serving. Defendant, therefore, was still serving a sentence for his 1983 sex crime at the time SORA became effective in 1996.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 126, 137.
McKINNEY's, Correction Law art 6-C; Penal Law § 70.30.
NY JUR 2d, Penal and Correctional Institutions §§ 307-311.

ANNOTATION REFERENCE

State statutes or ordinances requiring persons previously convicted of crime to register with authorities. 36 ALR5th 161.

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POINTS OF COUNSEL

Legal Aid Society of Nassau County, Hempstead (Jeremy L. Goldberg and Kent V. Moston of counsel), for appellant. I. The Board of Examiners of Sex Offenders had no authority to deem appellant subject to Sex Offender Registration Act (SORA) assessment, as the sentence for the only crime being used to apply that statute to him would have expired many years before SORA's enactment, and it was consecutive to his subsequent sentence. (*People v Ramirez*, 89 NY2d 444; *People v Windham*, 37 AD3d 571, 10 NY3d 801; *People ex rel. Maurer v Jackson*, 2 NY2d 259.) II. The substance of appellant's plea allocation in 1983 establishes that he never in fact committed the crime which subsequently rendered him liable to Sex Offender Registration Act (SORA) classification, and so he should not have been made subject to SORA at all, or in the alternative should have been designated as no more than a level one offender. (*People v Windham*, 10 NY3d 801; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *Kennedy v Mendoza-Martinez*, 372 US 144; *Doe v Pataki*, 120 F3d 1263; *People v David W.*, 95 NY2d 130; *People v Lopez*, 71 NY2d 662; *People v Thomas*, 159 AD2d 529; *People v Kulzer*, 199 AD2d 783; *People v Zeth*, 148 AD2d 960; *People v Johns*, 201 AD2d 337, 83 NY2d 854.) III. The Appellate Division erred in affirming County Court's denial of any relief to appellant in connection with the 1987 presentence report. IV. In light of Sex Offender Registration Act's (SORA) strictly prophylactic purpose, as a matter of law appellant should not have been made subject to SORA's most onerous terms when all forward-looking evidence presented at his SORA hearing demonstrated that he posed no reasonable risk of reoffending. V. Inasmuch as the Sex Offender Registration Act Risk Assessment Guidelines neither have the force of law nor are narrowly tailored to the statute's ostensible purpose, the Appellate Division below abdicated its judicial responsibilities in relying on nothing more than those guidelines in affirming the level three risk assessment given to appellant. (*Doe v Pataki*, 940 F Supp 603, 120 F3d 1263; *People v Windham*, 10 NY3d 801; *People v Ford*, 86 NY2d 397; *People v Hands*, 37 AD3d 441; *Doe v Pataki*, 3 F Supp 2d 456; *People v Kennedy*, 7 NY3d 87.)

Kathleen M. Rice, District Attorney, Mineola (Margaret E. Mainusch, Peter A. Weinstein and Tammy J. Smiley of counsel), for respondent. I. Because defendant's sentence for sexual abuse was aggregated with his later sentence for another crime, and

he was, therefore, still serving his sentence for a sex offense when the Sex Offender Registration Act took effect, he is properly subject to the law's registration requirements. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Windham*, 37 AD3d 571, 10 NY3d 801; *Doe v Pataki*, 120 F3d 1263; *People v Torres*, 51 AD3d 531; *People v Curley*, 285 AD2d 274; *People v Nieves*, 172 Misc 2d 346; *People v Roberson*, 172 Misc 2d 486; *People v Merejildo*, 45 AD3d 429; *People v Cintron*, 46 AD3d 353, 10 NY3d 804; *People v Ramirez*, 89 NY2d 444.) II. Defendant's allegation that the Sex Offender Registration Act (SORA) should not apply to him because he was not guilty of sexual abuse was not reviewable in the SORA proceeding. (*Matter of Josey v Goord*, 9 NY3d 386; *Matter of Hunter*, 4 NY3d 260; *O'Brien v City of Syracuse*, 54 NY2d 353; *People v Taylor*, 65 NY2d 1; *People v Thomas*, 53 NY2d 338; *People v Seeber*, 4 NY3d 780.) III. Defendant's self-serving statements at his 1983 plea allocution provide no basis for overturning the Sex Offender Registration Act court's adjudication of him as a level three offender. (*People v Vasquez*, 49 AD3d 1282; *People v Miller*, 48 AD3d 774; *People v Brown*, 45 AD3d 1123; *People v Agard*, 35 AD3d 568; *Ashe v Swenson*, 397 US 436; *Buechel v Bain*, 97 NY2d 295; *Doe v Pataki*, 3 F Supp 2d 456; *People v Hetrick*, 80 NY2d 344; *People v Thornton*, 34 AD3d 1026; *People v Jordan*, 31 AD3d 1196.) IV. Defendant is not entitled to an order redacting the victim's version of the crime from the 1987 presentence report. (*People v Wosu*, 256 AD2d 1247; *People v Wright*, 206 AD2d 337; *People v Perry*, 36 NY2d 114; *People v Thomas*, 2 AD3d 982; *United States v Tucker*, 404 US 443; *Hili v Sciarrotta*, 140 F3d 210; *People v Farrar*, 52 NY2d 302.) V. Defendant's challenges to the Sex Offender Registration Act Guidelines in general and to their application to him in particular are without merit. (*People v Windham*, 10 NY3d 801; *People v Brown*, 302 AD2d 919; *Hernandez v Robles*, 7 NY3d 338; *Hope v Perales*, 83 NY2d 563; *People v Castleberry*, 43 AD3d 1369.)

OPINION OF THE COURT

PIGOTT, J.

Following a March 1983 incident in which he violently assaulted a neighbor, Robert Buss pleaded guilty to one count of sexual abuse in the first degree and one count of assault in the second degree, in satisfaction of all charges. He was sentenced to 2 to 6 years' imprisonment on each count, to run concur-

rently. In February 1987, while on parole supervision, Buss attacked and stabbed an acquaintance in her home. He pleaded guilty to attempted murder in the second degree, in full satisfaction of an indictment that included first-degree rape and first-degree sodomy counts. He was sentenced, as a second violent felony offender, to 10 to 20 years' imprisonment.

When Buss was released in 2002, the Board of Examiners of Sex Offenders (the Board) determined that he was required to register under the Sex Offender Registration Act (SORA), citing his 1983 sexual abuse conviction. The Board calculated a total risk assessment score of 80 points, on the basis of the 1983 incident, making Buss presumptively a level two (moderate risk) offender (*see* Correction Law § 168-1 [6]). The Board however recommended an upward departure to level three (high risk), because of "the brutal sexual and physical assault" Buss committed in 1987. Buss filed an objection to the Board's recommended SORA assessment level, arguing, among other things, that SORA does not apply to him because his sentence for the sexual abuse conviction "was due to expire" before SORA became effective in 1996.

County Court rejected that argument and designated Buss a level three sex offender. The court agreed with the Board's level three recommendation, based on two overrides, "offender inflicted serious physical injury or caused death" and "offender has made a recent threat that he will reoffend by committing a sexual or violent crime." (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary, Overrides 2, 3 [Nov. 1997].)

The Appellate Division affirmed County Court's level three designation (44 AD3d 634 [2007]). Noting the serious physical injury Buss had inflicted on his first victim, the Appellate Division concluded that County Court had properly determined that Buss was a presumptive level three sex offender by application of the serious injury override. Without discussion, the Appellate Division rejected as meritless Buss's claim that SORA did not apply to him in the first instance. We granted leave (10 NY3d 757 [2008]) and now affirm.

Buss argues in this Court that he is not subject to SORA because his 1983 sentence was "due to expire" or "scheduled to expire" before SORA became effective. He does not dispute that his 1987 sentence ran consecutively to the undischarged part of his 1983 sentence (*see* Penal Law § 70.25 [2-a]). He contends that because the undischarged portion of the sentence he

received in 1983 was completed in 1989, he was no longer serving a sentence for a sex crime.*

The People do not argue that Buss would be subject to SORA even if he were no longer serving a sentence for his sexual abuse conviction when SORA became effective. Instead, they rely on Penal Law provisions which, they argue, show that Buss was still serving a sex offense sentence when SORA took effect. The People cite Penal Law § 70.30 (1) (b), which directs how terms of imprisonment are to be calculated when a defendant is serving multiple, indeterminate sentences that run consecutively.

Penal Law § 70.30 provides for the calculation of terms of imprisonment by merging of concurrent sentences and addition of consecutive sentences. Although the primary function of the statute is to allow for the ready calculation of parole eligibility, we find it reasonable to apply section 70.30 to the question of whether a prisoner who has been given multiple sentences is subject to all his sentences for the duration of his term of imprisonment.

Concurrent and consecutive sentences are governed by different methods of calculation. If two or more indeterminate sentences are consecutive, then, with certain limitations not relevant here, the minimum and maximum sentences are added to form aggregate minimum and aggregate maximum wholes (Penal Law § 70.30 [1] [b]). In concurrent sentencing, on the other hand, “[t]he maximum term or terms of the indeterminate sentences and the term or terms of the determinate sentences shall merge in and be satisfied by discharge of the term which has the longest unexpired time to run” (Penal Law § 70.30 [1] [a]). Practically, the difference in prison term may be very significant to a defendant, depending on whether he was sentenced to consecutive or concurrent sentences. Nevertheless, in both situations, the Penal Law provides for a method whereby two or more sentences are *made into one*: the result either way is a single, indeterminate sentence. Underlying Penal Law § 70.30 is the proposition that concurrent sentences and consecutive sentences yield single sentences, either by merger or by addition.

We hold that for SORA purposes a prisoner serving multiple sentences is subject to all the sentences, whether concurrent or consecutive, that make up the merged or aggregate sentence he

* According to his parole report, when Buss was declared delinquent in February 1987, he owed 2 years and 14 days.

is serving. Buss was therefore still serving a sentence for his 1983 sex crime at the time SORA became effective in 1996.

The primary goals of SORA, one of which is to “protect the public from the danger of recidivism posed by sex offenders” (*People v Stevens*, 91 NY2d 270, 275 [1998] [internal quotation marks omitted], quoting Legislative Purpose or Findings, L 1995, ch 192, § 1), are best served by recognizing that a person who is returned to prison while on parole for a sex offense continues to be subject to his sex offense sentence for the duration of the aggregate sentence. Common sense and experience dictate that a defendant’s conduct while on parole is a reliable predictor of the risk he poses to society. In 1983, Buss committed a crime of a type that SORA subsequently denominated a sex offense. In 1987, while on parole, he demonstrated himself still willing to disregard the law. It is consistent with SORA’s aims that Buss was required to identify himself as a sex offender when ultimately released from prison, even though his sex offense sentence would have expired before SORA became effective had he not committed his later crime.

Defendant’s remaining contentions before us lack merit. Consequently we affirm his level three designation.

The order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, without costs.

[900 NE2d 970, 872 NYS2d 419]

In the Matter of SUFFOLK REGIONAL OFF-TRACK BETTING CORPORATION, Appellant-Respondent, v NEW YORK STATE RACING AND WAGERING BOARD et al., Respondents-Appellants. (And Four Other Related Proceedings.)

Argued November 19, 2008; decided December 17, 2008

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 29, 2007. The Appellate Division modified, on the law, a judgment of the Supreme Court, Albany County (E. Michael Kavanagh, J.), entered in five consolidated proceedings pursuant to CPLR article 78, which had dismissed petitions to review three determinations of respondent New York State Racing and Wagering Board concerning certain payments to be made by petitioners to regional harness tracks. The modification consisted of (1) reversing so much of the judgment as dismissed that part of the petitions challenging the maintenance of effort determination and the dark day payment determination; (2) granting the petitions to that extent; and (3) annulling those determinations. The Appellate Division affirmed the judgment as modified.

Matter of Suffolk Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd., 47 AD3d 133, modified.

HEADNOTES

Horse Racing — Off-Track Betting — Maintenance of Effort Payments to Regional Harness Tracks — No Credit for Daytime Harness Racing Commissions

1. Petitioners, regional Off-Track Betting Corporations (OTBs) that accepted wagers on the simulcasts of nighttime thoroughbred races and were obligated under Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a (2) (a) to make maintenance of effort payments to their regional harness tracks in order to hold the tracks harmless from the new competition, could not credit commissions from daytime harness racing against their maintenance of effort payments. The statute sets the baseline, or minimum, amount that OTBs must pay to harness tracks for the privilege of simulcasting evening thoroughbred racing: it must be at least the same level of payments received in 2002 from evening simulcasting. The amount of daytime harness racing commissions an OTB pays to a harness track is irrelevant in determining whether the OTB met its promised nighttime revenues threshold.

Horse Racing — Off-Track Betting — Maintenance of Effort Payments to Regional Harness Tracks — Payments to be Distributed on Track-by-Track Basis

2. Petitioners, regional Off-Track Betting Corporations (OTBs) that accepted wagers on the simulcasts of nighttime thoroughbred races and were ob-

ligated under Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a (2) (a) to make maintenance of effort payments to their regional harness tracks in order to hold the tracks harmless from the new competition, were required to make the maintenance of effort payments on a track-by-track basis, not a regional basis. Track-by-track payments are required by the explicit language of Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a (2) (b), the purpose of which is to hold each track harmless from the potentially negative impact of permitting OTBs to simulcast nighttime out-of-state thoroughbred races.

Horse Racing — Off-Track Betting — Dark Day Payments

3. Petitioners, regional Off-Track Betting Corporations (OTBs), were obligated to make dark day payments to their respective regional harness tracks in accordance with a statutory formula set forth in Racing, Pari-Mutuel Wagering and Breeding Law § 1017 when they broadcast out-of-state thoroughbred races on days that the State Racing Association was not conducting a thoroughbred race meeting and no licensed harness track was accepting wagers on or displaying the signal of any thoroughbred track. Although some of the headings within section 1017 required dark day payments only of “facilities licensed in accordance with section [1007] of this article,” and OTBs do not operate facilities under section 1007, those headings stand in marked contrast to other headings within section 1017 that govern the distribution of wagers placed at “facilities licensed in accordance with sections [1008] and [1009],” meaning OTB branch offices and simulcast theaters. A statute’s heading may help in ascertaining the intent of an otherwise ambiguous statute, but a heading cannot trump the clear language of the statute. Here, section 1017 specifies that dark day payments are a percentage of “total regional handle,” which is a term of art used in the Racing, Pari-Mutuel Wagering and Breeding Law in relation to the concept of payments by OTBs to tracks.

Administrative Law — Rule Making — Interpretive Statements

4. In making certain determinations regarding the obligations of regional Off-Track Betting Corporations with respect to maintenance of effort payments, separate payment distribution, and dark day payments, respondent New York State Racing and Wagering Board was not obligated to follow the procedures mandated by the State Constitution and the State Administrative Procedure Act for the promulgation of rules and regulations. Respondent did not promulgate rules or regulations when it made those determinations, but rather interpreted the requirements of the statutes in issue.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Entertainment and Sports Law § 40; AM JUR 2d, Gambling § 21.

McKINNEY’S, Racing, Pari-Mutuel Wagering and Breeding Law §§ 1007–1009, 1017; § 1017-a (2).

NY JUR 2d, Amusements and Exhibitions §§ 36, 39, 40, 41.

ANNOTATION REFERENCE

See ALR Index under Gambling; Racing or Racetracks.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrea Oser of counsel), for New York State Racing and Wagering Board, respondent-appellant. I. The New York State Racing and Wagering Board's reasonable interpretation of the statutory maintenance of effort provision should have been sustained. (People v Ryan, 274 NY 149; Bragg v Genesee County Agric. Socy., 84 NY2d 544; New York State Bankers Assn. v Albright, 38 NY2d 430.) II. The Racing, Pari-Mutuel Wagering and Breeding Law obligates Off-Track Betting Corporations to make dark day payments to regional harness tracks. (Matter of Dawn Joy Fashions v Commissioner of Labor of State of N.Y., 90 NY2d 102; Matter of Ontario County v Capital Dist. Regional Off-Track Betting Corp., 162 AD2d 865; People ex rel. Pughe v Parrott, 302 AD2d 823.)

Bleakley Platt & Schmidt, LLP, White Plains (Frederick J. Martin, Susan E. Galvão and Robert D. Meade of counsel), for Yonkers Racing Corporation, respondent-appellant. I. The New York State Racing and Wagering Board and Supreme Court correctly construed the provisions of section 1017-a of the Racing, Pari-Mutuel Wagering and Breeding Law. (Matter of Capital Dist. Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd., 54 NY2d 154; Matter of Finger Lakes Racing Assn., Inc. v State of N.Y. Racing & Wagering Bd., 34 AD3d 895, 8 NY3d 810.) II. The New York State Racing and Wagering Board and Supreme Court correctly construed the provisions of section 1017 of the Racing, Pari-Mutuel Wagering and Breeding Law.

Nolan & Heller, LLP, Albany (Richard L. Burstein of counsel), for Saratoga Harness Racing, Inc., respondent-appellant. The New York State Racing and Wagering Board's (Board) determinations should be upheld as they are reasonable interpretations by the agency vested with authority to administer the statute, and draw upon the Board's understanding of the underlying operational practices in the industry. (Matter of Ontario County v Capital Dist. Regional Off-Track Betting Corp., 162 AD2d 865; Matter of Excellus Health Plan v Serio, 303 AD2d 864, 2 NY3d 166; Matter of Capital Dist. Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd., 54 NY2d 154; Matter of Finger Lakes Racing Assn., Inc. v State of N.Y. Racing & Wa-

gering Bd., 34 AD3d 895; *People ex rel. Pughe v Parrott*, 302 AD2d 823; *People v O'Neil*, 280 App Div 145; *City of Poughkeepsie v Town of Poughkeepsie*, 52 Misc 2d 721, 37 AD2d 852.)

Marvin Newberg, Monticello, for Monticello Raceway Management, Inc., respondent-appellant. The custom and usage in the harness racing industry lend further support to the conclusion that the Racing, Pari-Mutuel Wagering and Breeding Law obligates Off-Track Betting Corporations to make dark day payments to regional harness tracks. (*Anderson v Regan*, 53 NY2d 356; *Matter of Kolb v Holling*, 285 NY 104; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *Wasserbauer v Marine Midland Bank—Rochester*, 92 Misc 2d 388; *City of Poughkeepsie v Town of Poughkeepsie*, 52 Misc 2d 721, 37 AD2d 852; *Knapp v Fasbender*, 1 NY2d 212; *Blaine Personnel v Lee Org.*, 76 Misc 2d 110; *Matter of Ontario County v Capital Dist. Regional Off-Track Betting Corp.*, 162 AD2d 865.)

Jaspan Schlesinger Hoffman, LLP, Garden City (*Thomas J. Garry* and *Keith M. Corbett* of counsel), for Nassau Regional Off-Track Betting Corporation, appellant-respondent. I. The Appellate Division, Third Department erred in dismissing appellants-respondents' petitions as the New York State Racing and Wagering Board's "separate payment" determination contradicts Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a (2) (a). (*Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Weiss v City of New York*, 95 NY2d 1; *Matter of Beer Garden v New York State Liq. Auth.*, 79 NY2d 266; *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753.) II. The Appellate Division, Third Department erred in holding that the New York State Racing and Wagering Board's "separate payment" determination was exempt from the rule-making authority requirements of the State Administrative Procedure Act. (*Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Cordero v Corbisiero*, 80 NY2d 771.) III. The Appellate Division, Third Department correctly held that the New York State Racing and Wagering Board's "dark day" determination is contrary to Racing, Pari-Mutuel Wagering and Breeding Law §§ 1017 and 1008. (*Anderson v Regan*, 53 NY2d 356; *Weiss v City of New York*, 95 NY2d 1.) IV. The Appellate Division, Third Department correctly held the New York State Racing and Wagering Board's "maintenance of effort" determination is contrary to Racing, Pari-Mutuel Wagering and Breeding Law

§ 1017-a (2) (a). (*Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Jansen Ct. Homeowners Assn. v City of New York*, 17 AD3d 588; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *Seittelman v Sabol*, 91 NY2d 618; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Longines-Wittnauer Watch Co. v Barnes & Reinicke*, 15 NY2d 443; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

Michael A. Cardozo, Corporation Counsel, New York City (Susan Choi-Hausman, Pamela Seider Dolgow, Ira H. Block and June R. Buch of counsel), for New York City Off-Track Betting Corporation, appellant-respondent. I. The Appellate Division correctly annulled the New York State Racing and Wagering Board's maintenance of effort determination. (*People v Robinson*, 95 NY2d 179; *Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539.) II. The Appellate Division correctly annulled the New York State Racing and Wagering Board's February 23, 2005 dark day determination. (*People v Ercole*, 308 NY 425; *People v Realmato*, 294 NY 45; *Matter of Notre Dame Leasing v Rosario*, 2 NY3d 459; *People v Mobil Oil Corp.*, 48 NY2d 192; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of Orens v Novello*, 99 NY2d 180; *Matter of Branford House v Michetti*, 81 NY2d 681; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Anderson v Regan*, 53 NY2d 356; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539.) III. The Appellate Division erred in affirming so much of the judgment as confirmed the New York State Racing and Wagering Board's separate calculation determination. (*Matter of Yolanda D.*, 88 NY2d 790; *Matter of Bliss v Bliss*, 66 NY2d 382.) IV. The Appellate Division erroneously held that the New York State Racing and Wagering Board's determinations were not rules required to be adopted in accordance with the State Administrative Procedure Act. (*Matter of Cordero v Corbisiero*, 80 NY2d 771; *Matter of Alca Indus. v Delaney*, 92 NY2d 775; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *People v Cull*, 10 NY2d 123; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Cubas*

v Martinez, 8 NY3d 611; *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273; *Matter of Burns v New York State Off. of Vocational & Educ. Servs. for Individuals with Disabilities*, 233 AD2d 781, 89 NY2d 1002; *Allied Chem. v Niagara Mohawk Power Corp.*, 72 NY2d 271, 488 US 1005.)

Powers & Santola, LLP, Albany (Michael J. Hutter of counsel), Neil H. Tiger, Hauppauge, and Stern & Rindner, Goshen (Mark D. Stern of counsel), for Suffolk Regional Off-Track Betting Corporation and others, appellants-respondents. I. The New York State Racing and Wagering Board's determinations must be annulled because they constitute rules within the meaning of State Administrative Procedure Act § 102 (2) (a) (i) but were not promulgated in conformity with the rule-making requirements of State Administrative Procedure Act § 202 and article IV, § 8 of the State Constitution. (*Matter of Cordero v Corbisiero*, 80 NY2d 771; *Matter of New York State Coalition of Pub. Empls. v New York State Dept. of Labor*, 60 NY2d 789; *Matter of Jones v Smith*, 64 NY2d 1003; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *People v Cull*, 10 NY2d 123; *Matter of Alca Indus. v Delaney*, 92 NY2d 775; *Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Matter of Gill v New York State Racing & Wagering Bd.*, 11 Misc 3d 1068[A], 2006 NY Slip Op 50433[U], 50 AD3d 494; *Matter of UCP-Bayview Nursing Home v Novello*, 2 AD3d 643.) II. The Appellate Division correctly annulled the New York State Racing and Wagering Board's maintenance of effort determination. III. The Appellate Division correctly annulled the New York State Racing and Wagering Board's February 23, 2005 dark day determination. IV. The Appellate Division erred in affirming so much of the judgment as confirmed the New York State Racing and Wagering Board's separate calculation determination.

OPINION OF THE COURT

Chief Judge KAYE.

At the core of this litigation—with the Off-Track Betting Corporations (OTBs) on one side, and the State Racing and Wagering Board and state harness racing tracks on the other side—are questions of statutory interpretation. We begin with a brief history of the relevant sections of the Racing, Pari-Mutuel Wagering and Breeding Law and the present controversy.

Prior to 1970, New York permitted wagering on horse racing only at its thoroughbred and harness tracks, leaving (as

Supreme Court observed) “a lucrative and illegal niche for local bookies, who took bets from those individuals who wished to gamble on horse racing but who were unable or unwilling to travel to the race track to place their wagers.” When off-track betting was thereafter authorized, its popularity depleted attendance at the tracks and threatened their viability. To redress the situation, the Legislature in 1973 created seven regional OTBs¹ to administer off-track wagering and required them to pay a “state tax,” a portion of which went to the regional harness tracks and nonprofit racing associations (L 1973, ch 346, § 4, as amended). The intention of the Legislature was:

“to derive from such betting . . . a reasonable revenue for the support of government, and to prevent and curb unlawful bookmaking and illegal wagering on horse races. It is also the intention of this article to ensure that off-track betting is conducted in a manner compatible with the well-being of the horse racing and breeding industries in this state, which industries are and should continue to be major sources of revenue to state and local government and sources of employment for thousands of state residents.” (Racing, Pari-Mutuel Wagering and Breeding Law § 518.)

In 1984, the Legislature authorized the simulcasting, or telecasting, of horse races conducted in the state for the purposes of pari-mutuel wagering (Racing, Pari-Mutuel Wagering and Breeding Law § 1001 [a]). That again was a perceived threat to the financial stability of the regional harness tracks, leading to new legislation requiring OTBs to pay them commissions on the simulcast wagers placed at OTB facilities.

Between 1984 and 2003, simulcasting of thoroughbred races was prohibited between 7:30 P.M. and midnight—evenings were traditionally reserved for harness racing. In 2003, however, the Legislature allowed simulcast licensees to broadcast, and accept bets on, thoroughbred races conducted after 7:30 P.M. from anywhere in the world. Again perceiving an adverse impact on nighttime harness racing, the Legislature provided for “maintenance of effort” payments, requiring OTBs that simulcast nighttime thoroughbred racing, every year after 2002, to guarantee to their regional harness tracks minimum payments based upon

1. Currently, there are six regional OTBs: New York City, Suffolk, Nassau, Capital District, Catskill and Western.

the commissions those tracks received before the nighttime thoroughbred simulcasts were permitted.

That requirement engendered two of the statutory questions now before us: first, can the OTBs credit commissions derived from *daytime* harness racing against the maintenance of effort payments and second, are those payments to be made on a regional, or track-by-track, basis.

The third statutory issue before us involves so-called “dark day” payments. “Dark days” occur when the State Racing Association is not conducting a thoroughbred race meeting, and no licensed harness track is accepting wagers on or displaying the signal of any thoroughbred track. On dark days, simulcast licensees can broadcast out-of-state thoroughbred races, but they must make payments to the harness tracks (which are not open for business that day) in accordance with a statutory formula (Racing, Pari-Mutuel Wagering and Breeding Law § 1017).² From 1997 through 2003, all OTBs made dark day payments to their respective regional harness tracks, but in 2004 New York City OTB (NYC OTB) stopped payment on the ground that the statute required the tracks, not OTBs, to make such payments to one another.

Seeking clarification on maintenance of effort and dark day payments, the OTBs brought their claims to the State Racing and Wagering Board, which in February 2005 rejected their arguments. The Board concluded that OTBs cannot credit commissions derived from daytime harness racing against the maintenance of effort payment; that Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a required calculation of the maintenance of effort payment on a track-by-track (not regional) basis; and that Racing, Pari-Mutuel Wagering and Breeding Law § 1017 required OTBs to make dark day payments to their respective regional harness tracks. Five of the State’s six regional OTBs (Western did not join) brought CPLR article 78 proceedings challenging the Board’s determinations. After consolidating the proceedings, Supreme Court dismissed the petitions, including a new claim that the Board’s determinations were rules not properly promulgated under the State Administrative Procedure Act. On appeal, the Appellate Division modified Supreme Court’s dismissal: while affirming the separate pay-

2. While the Legislature recently renumbered relevant sections of the Racing, Pari-Mutuel Wagering and Breeding Law, to maintain consistency we adhere to the statutory numbering used by Supreme Court and the Appellate Division in this case.

ment distribution and State Administrative Procedure Act determinations, the court reversed on the maintenance of effort and dark day payments issues (47 AD3d 133 [2007]). The Board and the harness tracks moved for leave to appeal, the OTBs cross-moved, and we granted leave to appeal to all parties (10 NY3d 706 [2008]). We now conclude that the Board and harness tracks, not the OTBs, were correct in their reading of the relevant statutory sections.

Analysis

Given the growth in codification of the law over recent decades, the principles governing the Court's statutory review have by now been extensively articulated. First and foremost, it is our role to implement the intent of the Legislature (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Deference to administrative agencies charged with enforcing a statute is not required when an issue is one of pure statutory analysis (*Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y.*, 7 NY3d 451, 455 [2006]). Even if no deference is owed to an agency's reading of a statute, a court can nevertheless defer to an agency's definition of a term of art contained within a statute (*Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588, 595 [1982]). Against this backdrop, we turn to the specific issues in controversy.

Maintenance of Effort Payments. Starting in May 2003, when OTBs were permitted to accept wagers on simulcast nighttime out-of-state thoroughbred races, Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a (2) (a) required them to make maintenance of effort payments to their regional harness tracks, to hold the tracks harmless from the new competition.

Section 1017-a (2) (a) provides:

“Any off track betting corporation which engages in accepting wagers on the simulcasts of thoroughbred races from out-of-state or out-of-country as permitted under subdivision one of this section shall submit to the board, for its approval, a schedule of payments to be made in any year or portion thereof, that such off track corporation engages in nighttime thoroughbred simulcasting. In order to be approved by the board, the payment schedule shall be identical to the actual payments and distributions of such payments to tracks and purses made by such off

track corporation pursuant to the provisions of section [1016] of this article during the year [2002], as derived from out-of-state harness races displayed after 6:00 P.M. If approved by the board, such scheduled payments shall be made from revenues derived from any simulcasting conducted pursuant to this section and section [1016] of this article.”

The apparent tension between the final two sentences of this subdivision gives rise to the present dispute. The Board and the tracks rely on the penultimate sentence in urging that OTBs cannot credit commissions from daytime harness racing against their maintenance of effort payments, and that payment must be identical to actual payments during 2002 as derived from out-of-state harness races displayed after 6:00 P.M. The OTBs, in urging that they can credit commissions from daytime racing, rely on the last sentence, directing that scheduled payments be made from revenues derived from *any* simulcasting conducted pursuant to this section and section 1016 of this article.

[1] Here, the trial court and Appellate Division understandably divided, each pointing to the plain language of the statute.³ Reading the provision as a whole, however, and taking into account the Legislature’s purpose in requiring maintenance of effort payments, we conclude that the correct interpretation of this less-than-perfectly-clear subdivision is that given by the trial court.

The penultimate sentence establishes the baseline, or minimum, amounts that OTBs must pay to harness tracks for the privilege of simulcasting evening thoroughbred racing: at least the same level of payments received in 2002 from *evening* simulcasting. The final sentence must then be read to concern only the total pool of dollars from which the mandated amounts can be paid. The amount of daytime harness racing commissions OTBs pay to a harness track is irrelevant to determine whether the OTB met its promised nighttime revenues threshold; allowing OTBs to credit daytime harness racing commissions against the mandated maintenance of effort payments would satisfy neither the words nor the objective of the statute.

“Separate Payment” Distribution. The OTBs urge that the maintenance of effort payments are to be made on a regional,

3. The trial court additionally accorded deference to the Board’s reading of the statute it is empowered to oversee. What is at issue, however, is a matter of statutory interpretation, not deference to the operational expertise of the administrative agency.

rather than track-by-track, basis. They argue that Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a (2) (a) incorporates the payment scheme of section 1016, which distributes commissions from harness racing simulcasting on a regional basis. The Board and the tracks, by contrast, contend that the maintenance of effort payment should be on a track-by-track basis because section 1017-a requires that the payment be “*identical to the actual payments and distributions of such payments to tracks and purses made by such off track corporation*” (emphasis supplied).

[2] We agree with the Board and the tracks that the plain text requires that the maintenance of effort payments be distributed on a track-by-track basis. As the Appellate Division noted, had the Legislature intended that the maintenance of effort payment be made on a regional basis, it could have used the same language as that used in the very next paragraph:

“During each calendar year, to the extent, and at such time in the event, that aggregate statewide wagering handle after 7:30 P.M. on out-of-state and out-of-country thoroughbred races exceeds [\$100,000,000], each off track betting corporation conducting such simulcasting shall pay to its regional harness track or tracks, an amount equal to [2%] of its proportionate share of such excess handle. In any region where there are two or more regional harness tracks, such [2%] shall be divided between or among the tracks in a proportion equal to the proportion of handle on live harness races conducted at such tracks during the preceding calendar year” (Racing, Pari-Mutuel Wagering and Breeding Law § 1017-a [2] [b]).

Track-by-track payments thus are required by the explicit language of the statute. That conclusion is underscored by the contrasting language of the immediately ensuing paragraph and indeed by the very purpose of the statute—to hold each track harmless from the potentially negative impact of permitting OTBs to simulcast nighttime out-of-state thoroughbred races.

Dark Day Payments. As the foregoing discussion demonstrates, the Racing, Pari-Mutuel Wagering and Breeding Law remains “an imbroglio, being born out of the union of diverse racing industry interests and legislative compromise” (*Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471, 476 [1978]). That observation is nowhere more

evident than in Racing, Pari-Mutuel Wagering and Breeding Law § 1017, which governs distribution of wagers placed on dark days at facilities that simulcast out-of-state races.

Section 1017 itself contains one subdivision, two paragraphs, six subparagraphs, 22 clauses, six subclauses, and six tables listing percentages due for state payments (with varying percentages depending on the type of bet, race and facility). Racing, Pari-Mutuel Wagering and Breeding Law § 1017 (1) (b) (5) (E) and (6) (F) provide in relevant part:

“On days when a non-profit racing association is not conducting a race meeting and when a licensed harness track is neither accepting wagers nor displaying the signal from an in-state thoroughbred corporation or association or an out-of-state thoroughbred track:

“(i) Such licensed regional harness track shall receive in lieu of any other payments on wagers placed at off-track betting facilities outside the special betting district on races conducted by an in-state thoroughbred racing corporation, two and eight-tenths percent on regular and multiple bets during a regional meeting and one and nine-tenths percent of such bets if there is no regional meeting and four and eight-tenths percent on exotic bets on days on which there is a regional meeting and three and four-tenths percent of such bets if there is no regional meeting.

“(ii) Such licensed regional harness track shall receive one and one-half per centum on total regional handle on races conducted at out-of-state or out-of-country thoroughbred tracks.”

From 1997 through 2003, without apparent problem, OTBs made payments to tracks in their region that did not open for business on dark days. Then in 2004, NYC OTB stopped making such payments. It claimed that the headings of section 1017 (1) (b) (5) and (6) required dark day payments only of “facilities licensed in accordance with section [1007] of this article,” and OTBs do not operate facilities under section 1007. Racing, Pari-Mutuel Wagering and Breeding Law § 1007 indeed does provide for simulcast licenses from track to track, not off-track branch offices or simulcast theaters.

[3] Those headings, however, stand in marked contrast to the headings of section 1017 (1) (b) (3) and (4) that govern the dis-

tribution of wagers placed at “facilities licensed in accordance with sections [1008] and [1009]”—meaning OTB branch offices and simulcast theaters. According to the OTBs, the statutory headers of subparagraphs (5) and (6) dictate that the tracks must simply pay one another. The Board and tracks claim that the body of the text, not the statutory headings, determines the meaning. Again, we agree with the Board and the tracks because the text’s unambiguous language requires OTBs to make the dark day payments, as they apparently also believed for several years.

While a statute’s heading may help in ascertaining the intent of an otherwise ambiguous statute, a heading cannot trump the clear language of the statute (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 123 [b]). Here, section 1017 specifies that dark day payments are a percentage of “total regional handle”—a term of art which the Board explained is used in the Racing, Pari-Mutuel Wagering and Breeding Law in relation to the concept of payments by off-track betting corporations to tracks; harness tracks do not have regions but rather are located for defined purposes within established off-track betting regions. Under the OTBs’ reading, if a region has only one track and it remains closed on the dark day, it will not receive any commissions because only tracks can contribute to regional handle. We conclude that, applying the Board’s definition of regional handle (meaning an OTB’s commissions), the statute makes sense: if a track remains closed on a dark day, then it will receive 1.5% of the total regional handle made by the OTB.

Additionally, the statute directs “off-track betting facilities”—a term used elsewhere in the Racing, Pari-Mutuel Wagering and Breeding Law to apply only to OTBs (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 520 [1]; § 532 [1], [3-a]; § 901 [2] [b]; § 907 [1] [e]; § 1016 [3] [b])—to make dark day payments to regional harness tracks. Finally, the purpose of dark day payments is to compensate harness tracks when the OTBs—competitors to harness tracks—simulcast out-of-state thoroughbred races. Requiring OTBs to pay the 1.5% of regional handle to harness tracks in their region that remain closed on the dark day implements that statutory purpose.

State Administrative Procedure Act. The State Constitution, as well as the State Administrative Procedure Act, mandates the procedures that must be followed for promulgation of rules and regulations. Excluded from these requirements are “interpretive statements and statements of general policy which in

themselves have no legal effect but are merely explanatory” (State Administrative Procedure Act § 102 [2] [b] [iv]). A rule or regulation, by contrast, is “a fixed, general principle to be applied by an administrative agency without regard to other facts and circumstances relevant to the regulatory scheme of the statute it administers” (*Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948, 951 [1985]).

[4] The OTBs argue that the Board’s maintenance of effort, separate payment distribution and dark day payment determinations were fixed, general principles to be applied without regard to other facts and circumstances relevant to the regulatory scheme of the Racing, Pari-Mutuel Wagering and Breeding Law by imposing financial obligations upon the OTBs. We agree with both Supreme Court and the Appellate Division that the Board here promulgated no rules or regulations, but rather interpreted the requirements of the statutes in issue, which we have now independently construed.

Accordingly, the order of the Appellate Division should be modified, with costs to respondents-appellants, by reinstating the judgment of Supreme Court, and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[900 NE2d 977, 872 NYS2d 426]

CLAIRE VAN KIPNIS, Appellant, v GREGORY VAN KIPNIS, Respondent.

Argued November 20, 2008; decided December 18, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 12, 2007. The Appellate Division affirmed, insofar as appealed from, a judgment of the Supreme Court, New York County (Judith J. Gische, J.), to the extent that it had confirmed in all respects the report of the Special Referee declaring that the “Marriage Contract” dated September 30, 1965 between the parties was valid and enforceable in New York, and provided that defendant pay plaintiff as spousal maintenance \$7,500 per month until defendant’s death, plaintiff’s death or plaintiff’s remarriage, and that defendant pay plaintiff the sum of \$92,779.57 for counsel fees.

Van Kipnis v Van Kipnis, 43 AD3d 71, modified.

HEADNOTES

Marriage — Prenuptial Agreement — Enforceability of French Prenuptial Agreement Providing for Separation of Estates Regime

1. A prenuptial agreement that was executed in France and provided for the separate ownership of assets held in the parties’ respective names during the course of the marriage was enforceable in a subsequent divorce action to preclude equitable distribution of the parties’ separately owned assets. The Domestic Relations Law contains no categorical requirement that a prenuptial agreement must set forth an express waiver of equitable distribution. Rather, when read together, Domestic Relations Law § 236 (B) (1) (d) (4) and (5) (b) provide that assets designated as separate property by a prenuptial agreement will remain separate after dissolution of the marriage. Here, with the exception of two jointly owned residences, which were distributed as marital property, the parties did not commingle their separately owned assets throughout their marriage.

Husband and Wife — Counsel Fees

2. In a divorce action in which the parties disputed whether the terms of their prenuptial agreement applied to the ownership of assets upon divorce, plaintiff wife should not have been precluded as a matter of law from recovering counsel fees under Domestic Relations Law § 237 for services provided in opposing defendant husband’s affirmative defense predicated on the prenuptial agreement.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Divorce and Separation §§ 497, 498, 1114, 1125, 1128, 1129, 1146.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:2, 118:3, 118:157, 118:174, 118:185.

3 LAW AND THE FAMILY NEW YORK (2d ed) §§ 3:8, 3:9.

McKINNEY's, Domestic Relations Law § 236 (B) (1) (d) (4); (5) (b); § 237.

NY JUR 2d, Domestic Relations §§ 155–158, 161, 183, 187, 188, 2607, 2613, 2622, 2660.

ANNOTATION REFERENCE

Enforceability of prenuptial agreements governing support or property rights upon divorce or separation as affected by fairness or adequacy of those terms—modern status. 53 ALR4th 161.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prenuptial /s enforce! /p equitable /2 distribution & separate /2 property

POINTS OF COUNSEL

Berkman Bottger & Rodd, LLP, New York City (*Walter F. Bottger*, *Elizabeth A. Fox* and *Amelia A. Nickles* of counsel), for appellant. I. An agreement to hold property separately should not, without more, effect a waiver of equitable distribution. (*Mercier v Mercier*, 103 Misc 2d 1029; *Torres v \$36,256.80 U.S. Currency*, 827 F Supp 197; *Lauro v Bradley*, 266 AD2d 911; *McLaren v McLaren*, 99 Misc 2d 797; *Tucker v Tucker*, 55 NY2d 378; *Valladares v Valladares*, 80 AD2d 244, 55 NY2d 388; *DeLuca v DeLuca*, 97 NY2d 139; *DeJesus v DeJesus*, 90 NY2d 643; *Price v Price*, 69 NY2d 8; *O'Brien v O'Brien*, 66 NY2d 576.) II. All of the wife's counsel fees should be paid by the husband. (*Schapiro v Schapiro*, 204 AD2d 87; *Lucci v Lucci*, 227 AD2d 387; *Lamborn v Lamborn*, 56 AD2d 623; *O'Shea v O'Shea*, 93 NY2d 187.) III. The maintenance award fails as against the statutory standards, the evidence and equity. (*Comstock v Comstock*, 1 AD3d 307; *Spencer v Spencer*, 230 AD2d 645; *Patron v Patron*, 40 NY2d 582; *Holterman v Holterman*, 3 NY3d 1; *Matter of Cassano v Cassano*, 85 NY2d 649.)

Gartner + Bloom, PC, New York City (*Stuart F. Gartner* and *Arthur P. Xanthos* of counsel), for respondent. I. The prenuptial agreement is a valid and enforceable agreement, and by its terms applicable upon divorce. (*Roos v Roos*, 206 AD2d 293; *Matter of Weeks*, 294 NY 516; *Lemye v Sirker*, 226 App Div 159;

Matter of Majot, 199 NY 29; *Bonati v Welsch*, 24 NY 157; *Van Cortlandt (de Graffenried) v de Graffenried*, 147 App Div 825; *De Ganay v De Ganay*, 269 AD2d 157; *Bourbon v Bourbon*, 300 AD2d 269; *Strebler v Wolf*, 152 Misc 859; *Housset v Housset*, 200 AD2d 508.) II. The equitable distribution, legal fees and maintenance ordered by the trial court were more than fair to appellant and in accordance with the law. (*Ford Motor Credit Co. v Colonial Funding Corp.*, 215 AD2d 435; *Jones Lang Wootton USA v LeBoeuf, Lamb, Greene & MacRae*, 243 AD2d 168, 92 NY2d 962; *D & L Holdings v Goldman Co.*, 287 AD2d 65, 97 NY2d 611; *Environmental Concern v Larchwood Constr. Corp.*, 101 AD2d 591; *Matter of Bianchi v New York State Div. of Hous. & Community Renewal*, 5 AD3d 303; *Schapiro v Schapiro*, 204 AD2d 87; *Wyser-Pratte v Wyser-Pratte*, 160 AD2d 290; *Lamborn v Lamborn*, 56 AD2d 623; *Anonymous v Anonymous*, 258 AD2d 547; *Kenyon v Kenyon*, 155 AD2d 825.)

OPINION OF THE COURT

GRAFFEO, J.

The principal issue in this matrimonial case is whether the parties' foreign prenuptial agreement precludes the equitable distribution of certain property under New York law. Like the courts below, we conclude that it does.

Plaintiff Claire Van Kipnis (wife) and defendant Gregory Van Kipnis (husband) were married in Paris, France in 1965. At the time of the parties' marriage, wife was a Canadian citizen from Quebec studying at the Sorbonne and husband was a citizen of the United States, having recently completed college. Prior to the marriage ceremony, wife had a "Contrat de Mariage" drafted under the French Civil Code and arranged for legal counsel to explain the terms of the prenuptial agreement in English to husband. The agreement was executed by the parties on September 30, 1965.

Under the provisions of the Contrat de Mariage, the parties opted out of the community property scheme (the governing custom in France) in favor of a separation of estates regime. In relevant part, the agreement provides:

"The future spouses declare that they are adopting the marital property system of separation of estates, as established by the French Civil Code.

"Consequently, each spouse shall retain ownership and possession of the chattels and real property that

he/she may own at this time or may come to own subsequently by any means whatsoever.

“They shall not be liable for each other’s debts established before or during the marriage or encumbering the inheritances and gifts that they receive.

“The wife shall have all the rights and powers over her assets accorded by law to women married under the separate-estates system without any restriction.”

After the wedding, the parties moved to New York where they resided during their 38-year marriage. Husband was employed in finance while wife worked as a professor at Cooper Union and later as a cultural counselor for the Quebec government. Wife was also the primary caretaker of the parties’ two children, now emancipated. Throughout their marriage, the parties maintained separate accounts and assets, with the exception of the joint ownership of their two homes—a \$625,000 house in Massachusetts and a cooperative apartment in Manhattan valued at \$1,825,000.

In 2002, wife commenced this action for divorce and ancillary relief.¹ Following discovery, but before trial, Supreme Court granted husband’s motion to amend his answer to assert the 1965 prenuptial agreement as a defense to wife’s equitable distribution claims. After the Appellate Division affirmed the order permitting the amendment (8 AD3d 94 [2004]), Supreme Court appointed a Special Referee to conduct a hearing on the issues of equitable distribution, maintenance and counsel fees.

The Referee determined that the French contract provided for the separate ownership of assets held in the parties’ respective names during the course of the marriage. As a result, husband retained his liquid assets of approximately \$7 million and wife kept her assets ranging from \$700,000 to \$800,000. But as to the jointly held properties, which the parties agreed were subject to equitable distribution, the Referee recommended that wife be awarded the Manhattan apartment, together with \$75,000 in reimbursement for repairs, and husband be awarded the country home in Massachusetts. After reviewing the statutory factors related to maintenance, the Referee proposed that wife receive \$7,500 per month in maintenance until either

1. Husband had also commenced an action for divorce in Massachusetts that resulted in an ex parte, no-fault divorce. The Massachusetts court referred the parties’ economic issues to wife’s pending proceeding in New York.

husband or wife dies or wife remarries. Finally, the Referee concluded that legal fees expended in connection with wife's challenge to the prenuptial agreement were not compensable under Domestic Relations Law § 237. After deducting that portion of wife's claim for counsel fees attributable to contesting the agreement, the Referee awarded wife \$92,779.57 in attorneys' fees. Supreme Court confirmed the Referee's report. The Appellate Division, with one Justice dissenting, affirmed (43 AD3d 71 [2007]), and we granted wife leave to appeal (10 NY3d 705 [2008]).

Wife contends that all of the parties' property should be subject to equitable distribution under Domestic Relations Law § 236 (B) (5). She asserts that the 1965 agreement, drafted and executed in France, was intended to apply to property ownership during the course of the marriage, but not to the distribution of property in the event of a divorce. In her view, the primary purpose of the agreement was for each spouse to avoid liability for the other's debts. Relatedly, wife posits that a prenuptial agreement cannot waive a party's right to equitable distribution under the Domestic Relations Law absent an explicit waiver. Husband counters that the agreement unambiguously provides that the parties shall retain their property separately throughout their marriage and, as a result, all property not held in joint names must be treated as separate property and excluded from equitable distribution.

It is well settled that duly executed prenuptial agreements are generally valid and enforceable given the "strong public policy favoring individuals ordering and deciding their own interests through contractual arrangements" (*Bloomfield v Bloomfield*, 97 NY2d 188, 193 [2001] [internal quotation marks and citation omitted]). As with all contracts, prenuptial agreements are construed in accord with the parties' intent, which is generally gleaned from what is expressed in their writing. Consequently, "a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms" (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Extrinsic evidence of the parties' intent may not be considered unless a court first finds that the agreement is ambiguous.

Prenuptial agreements addressing the ownership, division or distribution of property must be read in conjunction with Domestic Relations Law § 236 (B), enacted in 1980 as part of New York's Equitable Distribution Law. The statute provides that,

unless the parties agree otherwise in a validly executed prenuptial agreement pursuant to section 236 (B) (3), upon dissolution of the marriage marital property must be distributed equitably between the parties while separate property shall remain separate (*see* Domestic Relations Law § 236 [B] [5] [a]-[c]).² As relevant here, separate property is defined to include “property described as separate property by written agreement of the parties pursuant to subdivision three of this part” (Domestic Relations Law § 236 [B] [1] [d] [4]). Under the statute, a prenuptial agreement may include a “provision for the ownership, division or distribution of separate and marital property” and is valid and enforceable if it “is in writing, subscribed by the parties, and acknowledged or proven in the manner required to entitle a deed to be recorded” (Domestic Relations Law § 236 [B] [3]; *see also Matisoff v Dobi*, 90 NY2d 127, 130 [1997]).³

The Domestic Relations Law therefore contemplates two basic types of prenuptial agreement that affect the equitable distribution of property. First, parties may expressly waive or opt out of the statutory scheme governing equitable distribution (*see e.g. Bloomfield*, 97 NY2d at 193; *Housset v Housset*, 200 AD2d 508, 509 [1st Dept 1994]). Second, parties may specifically designate as separate property assets that would ordinarily be defined as marital property subject to equitable distribution under Domestic Relations Law § 236 (B) (5). Such property would then remain separate property upon dissolution of the marriage. In either case, the intent of the parties “must be clearly evidenced by the writing” (*Tietjen v Tietjen*, 48 AD3d 789, 791 [2d Dept 2008]).

[1] Here, the parties’ written agreement, adopting a “separation of estates” scheme, falls within the second prenuptial agreement category. The agreement specifies that separate ownership of assets applies not only to the property that each party had

2. Marital property is defined as

“all property acquired by either or both spouses during the marriage and before the execution of a separation agreement or the commencement of a matrimonial action, regardless of the form in which title is held, *except as otherwise provided in agreement pursuant to subdivision three of this part*” (Domestic Relations Law § 236 [B] [1] [c] [emphasis added]).

3. Noncompliance with the execution formalities outlined in Domestic Relations Law § 236 (B) (3) does not invalidate prenuptial agreements that predate the effective date of that subdivision (*see Bloomfield v Bloomfield*, 97 NY2d 188, 194 [2001]). Here, wife concedes that the prenuptial agreement was validly executed.

acquired at the time of the marriage, but also to property that they “may come to own subsequently by any means whatsoever.” It further assures that “wife shall have all the rights and powers over her assets accorded by law to women married under the separate-estates system without any restriction.” Contrary to wife’s argument, the Domestic Relations Law contains no categorical requirement that a prenuptial agreement must set forth an express waiver of equitable distribution. Rather, when read together, Domestic Relations Law § 236 (B) (1) (d) (4) and (5) (b) provide that assets designated as separate property by a prenuptial agreement will remain separate after dissolution of the marriage. Such is the case here. Indeed, as recognized by the Appellate Division, with the exception of two jointly owned residences (which were distributed as marital property), the parties did not commingle their separately owned assets throughout their 38-year marriage. We therefore agree with the courts below that the agreement constitutes an unambiguous prenuptial contract that precludes equitable distribution of the parties’ separate property, rendering it unnecessary to resort to extrinsic evidence.

Turning to the issue of maintenance, which was not addressed by the prenuptial agreement, wife contends that the courts below improperly weighed the factors listed in Domestic Relations Law § 236 (B) (6) (a), resulting in an inadequate monthly maintenance award. The record here, however, supports the affirmed findings of the courts below and we perceive no abuse of discretion in their calculation.

[2] Finally, wife submits that the courts below erred in precluding her recovery of legal fees under Domestic Relations Law § 237 for services provided in opposing her husband’s affirmative defense predicated on the prenuptial agreement. Neither party here seeks to set aside the prenuptial agreement; instead, their dispute centers on whether the terms of the contract apply to the ownership of assets upon divorce. In this respect, her request is similar to the fee application in *Ventimiglia v Ventimiglia* (36 AD3d 899 [2d Dept 2007]), where attorneys’ fees were awarded to a party who contested her spouse’s affirmative defense based on an antenuptial agreement. Remittal to Supreme Court for reconsideration is therefore necessary because this portion of wife’s fee application should not have been excluded as a matter of law.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for fur-

ther proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[901 NE2d 744, 873 NYS2d 251]

PASQUALE D'ONOFRIO et al., Appellants, v CITY OF NEW YORK,
Respondent, and NEW YORK CITY TRANSIT AUTHORITY, De-
fendant.

IDA SHAPERONOVITCH et al., Respondents, v CITY OF NEW YORK,
Appellant.

Argued November 20, 2008; decided December 18, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 19, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Erin M. Peradotto, J.; op 2005 NY Slip Op 30375[U]), which had granted the motion of defendant City of New York to set aside the verdict as against it and for a directed verdict in its favor on the basis that prior written notice was not provided to the City as required by Administrative Code § 7-201.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 18, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Larry D. Martin, J.), which had, upon a jury verdict and the denial of defendant's CPLR 4404 motion to set aside the verdict, awarded plaintiffs Ida Shaperonovitch and Moshe Shaperonovitch damages against the City in the principal sums respectively of \$172,685 and \$10,000.

D'Onofrio v City of New York, 41 AD3d 235, affirmed.

Shaperonovitch v City of New York, 49 AD3d 709, reversed.

HEADNOTE

Municipal Corporations — Sidewalks — Prior Notice of Defective Condition

Plaintiffs, who fell while walking in New York City, could not recover damages from the City for their resultant injuries because the maps submitted to the City by Big Apple Pothole and Sidewalk Protection Corporation before each plaintiff's accident did not give the City the requisite prior written notice of the sidewalk defects at issue (*see* Administrative Code of City of NY § 7-201 [c] [2]). The symbol indicating “[r]aised or uneven portion of sidewalk” where one plaintiff fell was insufficient in the absence of evidence that such a defect caused that plaintiff's injury. With respect to the other plaintiff, who tripped over an “elevation on the sidewalk,” no unadorned straight line, the symbol

for a raised portion of the sidewalk, appeared on the Big Apple map at the relevant location.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Highways, Streets, and Bridges §§ 492, 493;
AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 98, 250, 251; AM JUR 2d, Premises Liability §§ 37, 38.

NY JUR 2d, Government Tort Liability §§ 316, 317, 328; NY JUR 2d, Highways, Streets, and Bridges §§ 466, 467; NY JUR 2d, Premises Liability §§ 197, 199, 200.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:225.

PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Notice and Knowledge; Sidewalks.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: trip! f*ll /s sidewalk & notice /4 defect /s map

POINTS OF COUNSEL

Pollack, Pollack, Isaac & De Cicco, New York City (Brian J. Isaac of counsel), and *Burns & Harris* (Seth A. Harris of counsel), for appellants in the first above-entitled action. The complaint should not have been dismissed as the Big Apple map sufficed to give the City of New York prior written notice as required under the Pothole Law. The jury was properly allowed to decide the issue, and its liability verdict in favor of plaintiff was not irrational or legally insufficient and should not have been disturbed. (*Becker v City of New York*, 131 AD2d 413; *Acevedo v City of New York*, 128 AD2d 488; *Cipriano v City of New York*, 96 AD2d 817; *Matter of Big Apple Pothole & Sidewalk Protection Comm. v Ameruso*, 110 Misc 2d 688; *Amabile v City of Buffalo*, 93 NY2d 471; *Holt v County of Tioga*, 56 NY2d 414; *Fullerton v City of Schenectady*, 285 App Div 545, 309 NY 701, 350 US 980; *Barry v Niagara Frontier Tr. Sys.*, 35 NY2d 629; *Bruni v City of New York*, 2 NY3d 319; *Poirier v City of Schenectady*, 85 NY2d 310.)

Michael A. Cardozo, Corporation Counsel, New York City (Deb-

orah A. Brenner, Stephen J. McGrath and Alan Beckoff of counsel), for respondent in the first above-entitled action. The trial court properly set aside the jury verdict and directed that judgment be entered in the City of New York's favor because the City had not received prior written notice of the sidewalk defect that caused plaintiff's accident. (*Amabile v City of Buffalo*, 93 NY2d 471; *David v City of New York*, 267 AD2d 419; *Katz v City of New York*, 87 NY2d 241; *Poirier v City of Schenectady*, 85 NY2d 310; *Leary v City of Rochester*, 67 NY2d 866; *Roldan v City of New York*, 36 AD3d 484; *Waner v City of New York*, 5 AD3d 288; *Curci v City of New York*, 209 AD2d 574; *Jones v Town of Brookhaven*, 227 AD2d 530; *Fraser v City of New York*, 226 AD2d 424.)

Michael A. Cardozo, Corporation Counsel, New York City (Deborah A. Brenner and Barry P. Schwartz of counsel), for appellant in the second above-entitled action. Because the Big Apple map bore no symbol corresponding to the defect at issue here, but only an indecipherable or ambiguous marking that was legally insufficient to constitute prior written notice of any specific hazard, the Appellate Division erred as a matter of law in declining to dismiss the complaint. (*Katz v City of New York*, 87 NY2d 241; *David v City of New York*, 267 AD2d 419; *Drennen v City of New York*, 256 AD2d 379; *Poirier v City of Schenectady*, 85 NY2d 310; *Amabile v City of Buffalo*, 93 NY2d 471; *Laughton v City of New York*, 30 AD3d 472; *Solone v City of New York*, 238 AD2d 332; *Gianna v Town of Islip*, 230 AD2d 824; *Espinosa v JMG Realty Corp.*, 53 AD3d 408; *Roldan v City of New York*, 36 AD3d 484.)

Lester B. Herzog, Brooklyn, for respondents in the second above-entitled action. Since, as noted by a unanimous panel of the Appellate Division, Second Department, the Big Apple map "contained numerous symbols for defects at the location of the accident" and since one of them was "ambiguous" as conceded by the City of New York's witness, the factual dispute regarding the issue of prior written notice was properly submitted to the jury. The verdict in favor of plaintiffs was not irrational or legally insufficient and should not be disturbed. (*Almadotter v City of New York*, 15 AD3d 426; *Vertsberger v City of New York*, 34 AD3d 453; *Weinreb v City of New York*, 193 AD2d 596; *Alvino v City of New York*, 49 AD3d 676; *Kruszka v City of New York*, 29 AD3d 742; *Silva v City of New York*, 17 AD3d 566; *Doremus v Incorporated Vil. of Lynbrook*, 18 NY2d 362; *City of New York v Kalikow Realty Co.*, 71 NY2d 957; *Garricks v City of New York*, 1 NY3d 22; *Lopes v Rostad*, 45 NY2d 617.)

OPINION OF THE COURT

SMITH, J.

In each of these cases, the issue is whether a map submitted to New York City by Big Apple Pothole and Sidewalk Protection Corporation gave the City the notice of a sidewalk defect that is required by the Pothole Law (Administrative Code of City of NY § 7-201 [c] [2]). We hold that neither map adequately identified the defect.

Pasquale D’Onofrio and Ida Shaperonovitch fell and were injured while walking in New York City. They and their spouses sued the City for their injuries. The City defended the lawsuits on the basis of the Pothole Law, which says in relevant part:

“No civil action shall be maintained against the city for . . . injury to person . . . sustained in consequence of any . . . sidewalk . . . being out of repair, unsafe, dangerous or obstructed, unless it appears that written notice of the defective, unsafe, dangerous or obstructed condition, was actually given to the commissioner of transportation or any person or department authorized by the commissioner to receive such notice.” (*Id.*)

Plaintiffs asserted that Big Apple maps had given the “written notice” that the law requires.

Big Apple is a corporation established by the New York State Trial Lawyers Association for the purpose of giving notices in compliance with the Pothole Law. It does so through maps on which coded symbols are entered to represent defects. For example, a straight line is used for a raised or uneven portion of a sidewalk, a circle for a hole or hazardous depression, a line with a triangle at each end for an extended section of cracks and holes in a sidewalk, and so forth. In each of these cases, Big Apple submitted a map to the City before the accident; the map had a symbol at the place where the accident happened; and the issue is whether the symbol was sufficient notice of the defect complained of.

The notice issue was submitted to the jury in both cases, and both juries found the notice adequate. In *D’Onofrio*, however, Supreme Court held the notice insufficient as a matter of law, set aside the verdict and granted judgment in the City’s favor (2005 NY Slip Op 30375[U]); the Appellate Division affirmed (41 AD3d 235 [2007]). In *Shaperonovitch*, Supreme Court denied the City’s post-trial motion to set aside the verdict, and entered

judgment in plaintiffs' favor; this judgment, too, was affirmed by the Appellate Division (49 AD3d 709 [2008]). We granted leave to appeal in both cases (10 NY3d 702, 712 [2008]), and now affirm in *D'Onofrio* and reverse in *Shaperonovitch*.

The symbol used in *D'Onofrio* was a straight line, indicating "[r]aised or uneven portion of sidewalk." There is no evidence, however, from which the jury could have found that such a defect caused Mr. D'Onofrio's injury. He testified that, as he was walking over a grating, both his feet became caught almost simultaneously, causing him to fall forward. He said that he felt the grating move, and that he observed broken cement in the area; he attributed his fall to "the movement of the grating, plus the broken cement, the combination of the two." It is not completely clear how the accident happened, but there is no evidence that Mr. D'Onofrio walked across a raised or uneven portion of a sidewalk, even on the assumption that the grating is part of the sidewalk. A photograph of the area where he fell does not show any surface irregularity or elevation. Since the defect shown on the Big Apple map was not the one on which the claim in *D'Onofrio* was based, the lower courts in that case correctly set aside the verdict and entered judgment in the City's favor.

The problem in *Shaperonovitch* is in a way the reverse of that in *D'Onofrio*: the nature of the defect that caused the accident is clear, but the symbol on the Big Apple map is not. Ms. Shaperonovitch testified that she tripped over an "elevation on the sidewalk." No unadorned straight line, the symbol for a raised portion of the sidewalk, appears on the Big Apple map at the relevant location. The *Shaperonovitch* plaintiffs rely on a symbol that does appear there: it is a line with a diamond at one end and a mark at the other that has been variously described as a poorly drawn X, the Hebrew letter shin, or a pitchfork without the handle. No symbol resembling this appears in the legend to the map. A Big Apple employee, called to testify by the City, acknowledged that Big Apple "did not notify the city of any raise" in the location where Ms. Shaperonovitch fell.

Plaintiffs in *Shaperonovitch* argue that the symbol on the map is "ambiguous" and that its interpretation is for the jury. We disagree; we do not see how a rational jury could find that this mark conveyed any information at all. Because the map did not give the City notice of the defect, the City was entitled to judgment as a matter of law.

Accordingly, in *D'Onofrio v City of New York*, the order of the Appellate Division should be affirmed, with costs. In *Shaperonovitch v City of New York*, the order of the Appellate Division should be reversed, with costs, and the complaint dismissed.

JONES, J. (dissenting). Because I believe that the question of whether or not the Big Apple Pothole and Sidewalk Protection Corporation maps gave notice to the City of the defects injuring plaintiffs was properly decided by the jury, I respectfully dissent.

Mapping hazards is hardly an exact science. Although the symbols on the Big Apple maps were not designed to give notice of every unique defect found on the sidewalks and roads of New York City, each symbol on the map legend represents a general category of potentially hazardous defects (e.g., "Hole or hazardous depression," "Raised or uneven portion of sidewalk," "Pothole or other hazard"). Clearly, if no symbol or a completely different symbol is used on the map, the City does not receive notice of a given defect. It follows that where the defect could reasonably be encompassed by the symbol used on the map, the question of whether the City received notice of that defect is for the factfinder and not one that can be easily answered as a matter of law.

Plaintiff D'Onofrio was injured when he tripped over a combination of the movement of a loose metal grating and the broken cement alongside the edge of that grating. In the area where he fell, the Big Apple map depicted the defect as a "[r]aised or uneven portion of sidewalk." In my view, the gap created from the crumbling cement alongside the grating was an irregularity in elevation and could reasonably have been included under the category of "uneven . . . sidewalk"—it was at least a close call. This is not a case where a wrong symbol representing a different category of hazards was used (*compare Camacho v City of New York*, 218 AD2d 725 [2d Dept 1995] [no notice to the City where plaintiff was injured by a one foot deep hole but map symbol used was "raised or uneven sidewalk" rather than "hole or hazardous depression"]). To the contrary, no other symbol on the legend could more closely describe the instant hazard. As such, the question of notice to the City was properly resolved by the jury. Because the jury found that the City received notice, I would reverse the order of the Appellate Division and remit on the issue of apportionment of liability.

Plaintiff Shaperonovitch was injured when she tripped over an elevation on the sidewalk. Although such a defect would

properly be depicted as a straight line (the symbol representing a “[r]aised or uneven portion of sidewalk”), the ambiguous symbols used on the map were: (1) a diamond disconnected horizontally through the middle (or two letter “V”s, one upside down), (2) a straight line, and (3) a mark resembling a poorly drawn “X” or a pitchfork prong. I disagree with the majority that these symbols are meaningless. To the contrary, a deliberate mark on the map gives notice to the City of some defect—rather than no defect at all—at that location. As to which specific defects were depicted, the symbols could be reasonably interpreted in several ways. In my view, the question of whether the symbols were meaningless or whether they gave notice of one or more separate defects is not one that could be determined as a matter of law—the issue was properly resolved by the jury. Accordingly, I would affirm the order of the Appellate Division.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur with Judge SMITH; Judge JONES dissents and votes to reverse in a separate opinion in which Judge PIGOTT concurs.

In *D’Onofrio v City of New York*: Order affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur with Judge SMITH; Judge JONES dissents and votes to affirm in a separate opinion in which Judge PIGOTT concurs.

In *Shaperonovitch v City of New York*: Order reversed, with costs, and complaint dismissed.

[901 NE2d 1268, 873 NYS2d 517]

RICHARD S. LAWRENCE et al., as Preliminary Executors of ALICE LAWRENCE, Deceased, Appellants, v GRAUBARD MILLER et al., Respondents.

In the Matter of the Estate of SYLVAN LAWRENCE, Deceased. GRAUBARD MILLER, Respondent; RICHARD S. LAWRENCE et al., as Preliminary Executors of ALICE LAWRENCE, Deceased, et al., Appellants.

In the Matter of the Estate of SYLVAN LAWRENCE, Deceased. GRAUBARD MILLER et al., Respondents; RICHARD S. LAWRENCE et al., as Preliminary Executors of ALICE LAWRENCE, Deceased, Appellants.

Argued October 23, 2008; decided December 2, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 27, 2007. The Appellate Division affirmed, insofar as appealed from, that part of an order of the Surrogate's Court, New York County (Renee R. Roth, S.), which had confirmed so much of a Referee's report as recommended denial of motions by respondents estate of Alice Lawrence and Richard Lawrence, individually, to dismiss the petition of Graubard Miller for legal fees in connection with the estate of Sylvan Lawrence. The following question was certified by the Appellate Division: "Was the decision and order of this Court, to the extent that it affirmed the orders of the Surrogate's Court, properly made?"

Lawrence v Graubard Miller, 48 AD3d 1, affirmed.

HEADNOTE

Attorney and Client — Compensation — Unconscionability of Contingent Fee Agreement

Motions to dismiss the petition in a proceeding to recover over \$40 million in legal fees due pursuant to the parties' revised retainer agreement were properly denied. A fee arrangement can be deemed unconscionable when entered into or in retrospect. Here, following a long professional relationship and \$18 million in fees, the parties entered the revised retainer agreement which provided for a 40% contingent fee, and several months later, petitioner law firm secured a settlement in the underlying matter exceeding \$100 million and sought to collect legal fees exceeding \$40 million. In light of the applicable standard of review in resolving a motion to dismiss a petition, the facts and circumstances surrounding the revised retainer agreement had not been suf-

ficiently developed to determine whether the agreement was unconscionable at the time it was made. Further, circumstances arising after contract formation can render a contingent fee agreement—not unconscionable when entered into—unenforceable where the amount of the fee, combined with the large percentage of the recovery it represents, seems disproportionate to the value of the services rendered. Although, on its face, the amount of the fee here seemed disproportionate to the several months of work since the agreement's revision, there were no facts to refute or support this hypothesis, or to evaluate the agreement's unconscionability.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 248–250, 254, 258.

CARMODY-WAIT 2d, Officers of Court §§ 3:487, 3:496, 3:497, 3:500–3:503, 3:537.

NY JUR 2d, Attorneys at Law §§ 184, 200, 205–207, 209, 212.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Contingent Fees; Retainer.

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POINTS OF COUNSEL

Greenberg Traurig, LLP, New York City (*Leslie D. Corwin, Israel Rubin and Rachel Sims* of counsel), for Richard S. Lawrence and another, as preliminary executors of Alice Lawrence, deceased, appellants. I. The appellate court erred in finding that issues of fact preclude a finding that the revised fee agreement is unconscionable as a matter of law. (*Gillman v Chase Manhattan Bank*, 73 NY2d 1; *State of New York v Wolowitz*, 96 AD2d 47; *Brower v Gateway 2000*, 246 AD2d 246; *Matter of Teleserve Sys. [MCI Telecom. Corp.]*, 230 AD2d 585; *Gair v Peck*, 6 NY2d 97, 361 US 374; *Ween v Dow*, 35 AD3d 58; *King v Fox*, 7 NY3d 181; *Belzer v Bollea*, 150 Misc 2d 925.) II. This Court should find, as a matter of law, that the revised fee agreement is unconscionable. (*Gillman v Chase Manhattan Bank*, 73 NY2d 1; *Brower v Gateway 2000*, 246 AD2d 246; *King v Fox*, 7 NY3d 181; *Gair v Peck*, 6 NY2d 97; *Ween v Dow*, 35 AD3d 58; *Matter of Cooperman*, 83 NY2d 465; *Meinhard v Salmon*, 249 NY 458; *Matter of Lanyi*, 147 AD2d 644; *Agusta & Ross v Trancamp Contr. Corp.*, 193 Misc 2d 781; *Matter of Howell*, 215 NY 466.)

Greenfield Stein & Senior, LLP, New York City (Norman A. Senior, Gary B. Freidman and Jeffery H. Sheetz of counsel), for Richard S. Lawrence, individually and as executor of the estate of Sylvan Lawrence, deceased, appellant. I. Graubard Miller's claim for tortious interference should be dismissed because the contract it seeks to enforce is unconscionable. (*Matter of Cooperman*, 83 NY2d 465; *King v Fox*, 7 NY3d 181; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172; *Matter of Howell*, 215 NY 466; *Matter of Schanzer*, 7 AD2d 275, 8 NY2d 972; *Gair v Peck*, 6 NY2d 97; *Matter of Fitzsimons*, 174 NY 15; *Morehouse v Brooklyn Hgts. R.R. Co.*, 185 NY 520; *Gillman v Chase Manhattan Bank*, 73 NY2d 1; *Landsman v Moss*, 180 AD2d 718.) II. Because of the conduct of Messrs. Chill and Mallis and Ms. Reich, Graubard Miller is not entitled to any legal fees. (*Gair v Peck*, 6 NY2d 97; *Baye v Grindlinger*, 78 AD2d 690; *Petition of Rosenman & Colin*, 668 F Supp 788, 850 F2d 57; *Matter of Sherbunt*, 134 AD2d 723; *Matter of Buchyn*, 300 AD2d 739; *Shelton v Shelton*, 151 AD2d 659; *Quinn v Walsh*, 18 AD3d 638; *Matter of Winston*, 214 AD2d 677; *Bank of Commerce v De Santis*, 114 Misc 2d 491; *In re Securities Group*, 926 F2d 1051.) III. Graubard Miller has failed to state a claim under SCPA 2110. (*Matter of Warhol*, 165 Misc 2d 726; *Matter of Duke*, 297 AD2d 469; *Matter of Papadogiannis*, 196 AD2d 871; *Matter of Verplanck*, 151 AD2d 767; *Matter of Bloomingdale*, 172 Misc 218; *Matter of Potts*, 213 App Div 59, 241 NY 593; *Matter of Freeman*, 34 NY2d 1; *Matter of Schoonheim*, 158 AD2d 183.)

Berchem, Moses & Devlin, P.C. (Robert L. Berchem, of the Connecticut bar, admitted pro hac vice, of counsel), *Kim Koopersmith, P.C.*, New York City, and *Akin Gump Strauss Hauer & Feld LLP* (Elizabeth H. Raskin of counsel), for Marta Jo Lawrence and another, residuary legatees. I. A contract may be unenforceable on the grounds of substantive unconscionability alone. (*Gillman v Chase Manhattan Bank*, 73 NY2d 1; *Gair v Peck*, 6 NY2d 97, 361 US 374; *King v Fox*, 7 NY3d 181; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172; *Ween v Dow*, 35 AD3d 58.) II. The revised fee agreement is unconscionable as a matter of law.

Flemming Zulack Williamson Zauderer LLP, New York City (Mark C. Zauderer of counsel), *Steven Mallis*, pro se, and *Jones Day*, Washington D.C. (Michael A. Carvin of counsel), for respondents. I. Under the standard of review applicable to a motion to dismiss, Graubard Miller is entitled to the benefit of every possible favorable inference. (*Nonnon v City of New York*,

9 NY3d 825; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.*, 90 NY2d 606; *Leon v Martinez*, 84 NY2d 83; *Rovello v Orofino Realty Co.*, 40 NY2d 633.) II. The contingency fee agreement is not unconscionable as a matter of law. (*King v Fox*, 418 F3d 121, 7 NY3d 181; *Matter of Fitzsimons*, 174 NY 15; *Gross v Russo*, 47 AD2d 655; *Nonnon v City of New York*, 9 NY3d 825; *Matter of Peters [Bachmann]*, 271 App Div 518, 296 NY 974; *Matter of Sasson*, 231 App Div 524; *Murray v Waring Hat Mfg. Co.*, 142 App Div 514; *Syme v Terry & Tench Co.*, 125 App Div 610; *Sea Isle Foods v State of New York*, 40 Misc 2d 872; *Morehouse v Brooklyn Hgts. R.R. Co.*, 123 App Div 680, 195 NY 537.) III. Appellants' unproven allegations of professional misconduct afford no basis for dismissal of the petition. (*Matter of Lanyi*, 147 AD2d 644; *Landsman v Moss*, 180 AD2d 718; *Wade v Clemmons*, 84 Misc 2d 822; *King v Fox*, 7 NY3d 181; *Matter of Fitzsimons*, 174 NY 15; *Gross v Russo*, 47 AD2d 655; *Matter of Phillips*, 284 AD2d 897; *Matter of Lippman*, 232 AD2d 69; *Radin v Opperman*, 64 AD2d 820; *Matter of Buchyn*, 300 AD2d 739.) IV. Graubard Miller's claim for legal fees under SCPA 2110 should not be dismissed. (*Matter of Graves*, 197 Misc 638; *Matter of Quattrocchi*, 293 AD2d 481; *Rosenman & Colin v Winston*, 205 AD2d 451; *Matter of Burns*, 126 AD2d 809; *Matter of Bellinger*, 55 AD2d 448; *Abramowitz v American Gen. Contr. Co.*, 239 AD2d 303; *Matter of Potts*, 213 App Div 59, 241 NY 593; *Matter of Duke*, 297 AD2d 469.) V. This Court lacks the constitutional authority to grant appellants' motions to dismiss. (*King v Fox*, 418 F3d 121, 7 NY3d 181; *Morehouse v Brooklyn Hgts. R.R. Co.*, 185 NY 520; *Matter of Fitzsimons*, 174 NY 15; *Laidlaw Transp. v Helena Chem. Co.*, 255 AD2d 869; *Matter of State of New York v Avco Fin. Serv. of N.Y.*, 50 NY2d 383; *State of New York v Wolowitz*, 96 AD2d 47; *Magraw v Hann*, 263 NY 674; *Bowlby v McQuail*, 240 NY 684; *Matter of Martin*, 219 NY 557; *Palmer v State of New York*, 217 NY 601.)

OPINION OF THE COURT

JONES, J.

Sylvan Lawrence died testate in 1981, leaving his estate to his wife, Alice Lawrence, and three children. In 1982, decedent's will was admitted to probate and decedent's brother, Seymour

Cohn, was named executor.¹ In 1983, Mrs. Lawrence retained the law firm of Graubard Miller, on an hourly basis, to represent her in matters related to decedent's estate, including her lawsuit regarding Mr. Cohn's administration of decedent's estate. Mrs. Lawrence's retention of Graubard was confirmed in a letter dated August 4, 1983. Over the next 21 years, more than \$350 million in distributions were made to the beneficiaries of the estate, and the firm billed Mrs. Lawrence over \$18 million in legal fees. Mrs. Lawrence also paid, unbeknownst to the firm, over \$5 million in "bonuses" or "gifts" to three of the firm's partners and approximately \$2.7 million in taxes on those bonuses or gifts.

In November 2004, Mrs. Lawrence, facing legal bills which, according to her, had increased to almost \$1 million per quarter, asked the firm about the possibility of entering a new fee arrangement. By letter dated January 14, 2005, shortly before commencement of trial in connection with decedent's estate, Mrs. Lawrence and Graubard entered a revised retainer agreement, providing that (1) for one year commencing January 1, 2005, Mrs. Lawrence would pay the firm a flat fee not exceeding \$300,000 per quarter, (2) hourly billings would be capped at \$1.2 million and (3) if additional monies were distributed to beneficiaries of decedent's estate, or if Mrs. Lawrence settled her case against Mr. Cohn's estate, Mrs. Lawrence was to pay from her share 40% of the total distributed to the beneficiaries, minus any amount she had already paid the firm under the revised retainer agreement.

On May 18, 2005, five months after the revised retainer agreement became effective, the firm, on behalf of Mrs. Lawrence, reached a settlement by which Mr. Cohn's estate agreed to pay decedent's estate approximately \$104.8 million. Under the terms of the revised retainer agreement, Mrs. Lawrence was required to pay legal fees in excess of \$40 million. She refused to pay and on August 5, 2005, Graubard commenced a proceeding in Surrogate's Court to compel payment of its legal fees. Four days later, the firm amended its petition, which further alleged that appellant Richard Lawrence is liable to Graubard for its legal fees both individually, under a theory of tortious interference with contractual relationship, and as successor executor pursuant to Surrogate's Court Procedure Act § 2110 and other applicable law. By order dated September 12, 2005, Surrogate Renee

1. In late 2003, Mr. Cohn died and decedent's son, appellant Richard Lawrence, took over as successor executor.

R. Roth referred Graubard's contract enforcement proceeding to the Honorable Howard A. Levine (the Referee) to hear and report.

On September 13, 2005, Mrs. Lawrence brought suit in Supreme Court against the Graubard firm and three individual partners who had received over \$5 million in bonuses or gifts from Mrs. Lawrence. This suit seeks rescission of the revised retainer agreement, return of all fees paid to Graubard Miller during the entire 22-year period it represented Mrs. Lawrence, as well as the monies she paid separately to the three partners, on the ground that the revised retainer agreement is unconscionable as a matter of law. By order of Supreme Court dated December 14, 2005, Justice Helen E. Freedman directed that Mrs. Lawrence's rescission action be removed to Surrogate's Court pursuant to CPLR 325 (e). Thereafter, Surrogate Roth referred this action to the Referee, who also had before him the firm's contract enforcement proceeding.

Meanwhile, on or about October 24, 2005, Alice Lawrence and Richard Lawrence, individually and as successor executor to decedent's estate, each moved before the Referee to dismiss Graubard's petition under CPLR 3211. The firm countered by cross-moving for partial summary judgment dismissing Mrs. Lawrence's counterclaim for a refund of all fees previously paid to Graubard and three of its partners.

Taking into account the standard of review applicable to CPLR 3211 motions to dismiss, the Referee recommended denying the motions to dismiss the petition. In support of this recommendation, the Referee, noting the general rule that retainer agreements must be fair and reasonable to the client, explained that determining whether the revised retainer agreement is unconscionable "will require evidence concerning all factors relevant to Mrs. Lawrence's capacity, her understanding of the terms of the revised agreement, the completeness of the attorneys' disclosure and whether they exploited their preexisting confidential relationship with her to obtain the favorable terms of the agreement," and that an "excessive fee" determination pursuant to Code of Professional Responsibility DR 2-106 (22 NYCRR 1200.11) shall be made "after a review of the facts." The Referee further noted the presence of numerous questions of fact, which cannot be resolved on a pre-answer motion to dismiss. By decision dated July 10, 2006, Surrogate Roth granted motions to confirm the Referee's report and adopted his recommendations in their entirety.

By decision and order entered November 27, 2007, the Appellate Division, in a 4-1 decision, affirmed (*see* 48 AD3d 1 [1st Dept 2007]). The majority, noting that unconscionability determinations require a showing of both procedural and substantive unconscionability, found that

“while at first blush [the revised retainer] agreement might arguably seem excessive and invite skepticism, before any determination regarding unconscionability can be made, the circumstances underlying the agreement must be fully developed, including any discussions leading to the agreement, as well as the prospects at that time of successfully concluding the litigation in favor of Mrs. Lawrence” (48 AD3d at 4).

Similarly, the majority found that

“Mrs. Lawrence’s claims that the so-called ‘bonuses’ or ‘gifts,’ as well as the agreement itself, violated attorney disciplinary rules against self dealing, etc., cannot be resolved without determining [certain factual issues, i.e.,] Mrs. Lawrence’s capacity . . . ; what she was advised; and whether she understood the ramifications of the revised agreement” (*id.* at 8).

The dissenting Justice, noting that prior to the revised retainer agreement, Mrs. Lawrence had declined a \$60 million settlement offer from Mr. Cohn’s estate, concluded that a court “may find a provision of a contract so outrageous as to warrant holding it unenforceable on the grounds of substantive unconscionability alone” (*id.* at 18). He would have ruled that the firm is not entitled to any legal fees under the revised retainer agreement, and further, that it would be appropriate to refer Mrs. Lawrence’s complaints regarding the three partners to the Departmental Disciplinary Committee.

The Appellate Division granted the Lawrences leave to appeal from its order and certified the following question to this Court: “Was the decision and order of this Court, to the extent that it affirmed the orders of the Surrogate’s Court, properly made?”² We now affirm and answer the certified question in the affirmative.

2. Mrs. Lawrence died after the Appellate Division granted leave to appeal. The preliminary executors of her estate have been substituted. Further, the Appellate Division’s leave grant included so much of its order as affirmed Surrogate’s Court orders denying Mrs. Lawrence’s challenge to a Referee’s or-

(n. cont’d)

Whether the revised retainer agreement is unenforceable because it was unconscionable when entered into, or became so in retrospect, is the issue before us on appellants' motions to dismiss the firm's petition to compel payment of legal fees. On a motion to dismiss a petition we, of course, must accept the facts alleged in the petition as true, petitioner must be afforded every possible favorable inference, and we must determine whether the facts alleged by petitioner fit within any cognizable legal theory (see *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). Affidavits submitted by a respondent will almost never warrant dismissal under CPLR 3211 *unless* they "establish conclusively that [petitioner] has no [claim or] cause of action" (*Rovello v Orofino Realty Co.*, 40 NY2d 633, 636 [1976]).

It is well settled that an unconscionable contract is generally defined

"as one which is so grossly unreasonable as to be [unenforceable according to its literal terms] because of an absence of meaningful choice on the part of one of the parties ['procedural unconscionability'] together with contract terms which are unreasonably favorable to the other party ['substantive unconscionability']" (*King v Fox*, 7 NY3d 181, 191 [2006]; see *Gillman v Chase Manhattan Bank*, 73 NY2d 1, 10-11 [1988]).³

As noted above, a fee arrangement can be deemed unconscionable when entered into or in retrospect.

In light of the applicable standard of review in resolving a motion to dismiss a petition, we conclude that the facts and circumstances surrounding the revised retainer agreement have not, at this time, been sufficiently developed to determine whether or not the agreement was unconscionable at the time it was made. Petitioner Graubard Miller has not had the opportunity to lay bare admissible proof as to, among other things, whether the revised retainer agreement was fair, reasonable, and fully known and understood by Mrs. Lawrence. Further, appellants have not submitted admissible, conclusive proof that

der directing her appearance at a deposition and removing the action, *Lawrence v Graubard Miller*, from Supreme Court to Surrogate's Court. Because the appellants do not address these issues in their briefs, we do not reach them.

3. An unconscionable contract is usually voidable since a party to a contract has the power to validate, ratify or avoid it (see 1 Corbin on Contracts § 1.6, at 17-18 [1993 rev ed]).

the firm's petition is somehow deficient and/or that dismissal is otherwise warranted.

Given the courts' role in closely scrutinizing contingent fee agreements between attorneys and their clients (*see Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172, 176 [1986]), even if such an agreement is not determined to be unconscionable as of its inception, that is not the end of a court's analysis. Our case law clearly provides that circumstances arising after contract formation can render a contingent fee agreement—not unconscionable when entered into—unenforceable where the amount of the fee, combined with the large percentage of the recovery it represents, seems disproportionate to the value of the services rendered (*see Gair v Peck*, 6 NY2d 97, 106-107 [1959] [“there comes a point where the amounts to be received by attorneys under contingent fee contracts are large enough to be (unenforceable) under the circumstances of the case” (*id.* at 107)]; *see also King*, 7 NY3d at 192 [determining whether a contingent fee agreement is unconscionable requires an analysis of “the facts and circumstances surrounding the agreement, including the parties' intent and the value of the attorney's services in proportion to the fees charged, in hindsight”]).⁴

Here, the firm and Mrs. Lawrence—after a long professional relationship, and \$18 million in fees—entered the revised retainer agreement which provided for a 40% contingent fee. Five months later, Graubard secured a settlement with the Cohn estate exceeding \$100 million and, pursuant to the agreement, the firm sought to collect legal fees exceeding \$40 million from Mrs. Lawrence. On its face, the amount of the fee seems disproportionate to the five months of work since the agreement's revision. However, we have not been presented with facts to refute or support this hypothesis, or to evaluate the agreement's unconscionability.

Because questions which cannot be resolved on a motion to dismiss are present and because a full record has not been

4. In general, agreements entered into between competent adults, where there is no deception or overreaching in their making, should be enforced as written. Accordingly, the power to invalidate fee agreements with hindsight should be exercised only with great caution. It is not unconscionable for an attorney to recover much more than he or she could possibly have earned at an hourly rate. Indeed, the contingency system cannot work if lawyers do not sometimes get very lucrative fees, for that is what makes them willing to take the risk—a risk that often becomes reality—that they will do much work and earn nothing. If courts become too preoccupied with the ratio of fees to hours, contingency fee lawyers may run up hours just to justify their fees, or may lose interest in getting the largest possible recoveries for their clients.

developed, dismissal of the petition is not warranted at this time. Moreover, until a determination regarding the validity of the agreement is made, appellants' claims concerning the excessiveness of the contingent fee, the partners' acceptance of the bonuses or gifts and the alleged violation of certain disciplinary rules, as well as Mr. Lawrence's motion to dismiss Graubard's tortious interference with contract claim, cannot be resolved.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, etc.

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